



QUALIFICATION PROGRAMME

Associate **Module 4**

Business Management

FOURTH EDITION



Hong Kong Institute of
Certified Public Accountants
香港會計師公會



Hong Kong's
CPA Qualification
香港會計師專業資格



MODULE 4
**BUSINESS
MANAGEMENT**

Qualification Programme

Fourth Edition



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DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants

 INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of ‘verticals’ that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.



HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

LEVEL 1: FOUNDATION		
Skill	Verb	Definition
Knowledge The remembering of previously learned material (recall of facts)	<i>Define</i>	Give the accepted meaning of
	<i>Identify</i>	List or ascertaining possibilities before analysis; Point to the essential part or parts
	<i>List</i>	Provide a concise summary of the relevant points, often in bullet point format
	<i>Outline</i>	Give the main facts about something
	<i>State</i>	Accurately articulate established principles, concepts, terms etc.
Comprehension Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas	<i>Describe</i>	Communicate the key features of something, present a detailed account of something focusing on depth of knowledge
	<i>Explain</i>	Make clear the details of something; or show the reason for, or underlying cause of, or the means by which something occurs
	<i>Illustrate</i>	Offer examples, to show how something happens, that something happens, or make concrete a concept by giving examples
	<i>Interpret</i>	Make clear the meaning of something and its implications
	<i>Summarise</i>	Describe something concisely; bring together the main facts

LEVEL 2: INTERMEDIATE

Skill	Verb	Definition
Application Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way	<i>Account for / Demonstrate</i>	Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts
	<i>Apply</i>	Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems
	<i>Calculate / Compute</i>	Determine by computation or arrive at by mathematical means or processes
	<i>Prepare</i>	Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet)
	<i>Solve</i>	To work out to a result or conclusion
	<i>Use</i>	Apply in a practical way
Analysis Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation	<i>Analyse</i>	To examine methodically by separating into parts and studying the interrelationships in order to discover essential features
	<i>Compare</i>	Critically consider two or more things, emphasising their similarities
	<i>Contrast</i>	Critically consider two or more things, emphasising their differences
	<i>Classify / Categorise</i>	Apply concepts to categorise information or groups into categories
	<i>Justify</i>	Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options
	<i>Prioritise / Determine</i>	Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance

LEVEL 3: ADVANCED

Skill	Verb	Definition
Integration Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions	<i>Construct</i>	To form an idea, a process, or procedure by bringing together various theoretical and conceptual elements
	<i>Design</i>	Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options
	<i>Develop</i>	To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan
	<i>Formulate</i>	Devise and put a plan into words
	<i>Integrate</i>	Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action
	<i>Plan / Propose</i>	Formulate a detailed proposal for doing or achieving something
	<i>Produce</i>	Draw together similar or disparate items to form a report containing financial and/or non-financial information
Evaluation The ability to judge the value of material for a given purpose	<i>Advise</i>	Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient
	<i>Appraise</i>	Assess the value or quality of something; or to assess its performance
	<i>Consider</i>	Think carefully about something before making a decision, to look closely or attentively at something through a process involving critical thinking
	<i>Evaluate</i>	Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions
	<i>Recommend</i>	Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options

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Anderson, L.W., Krathwohl, D.R., Airasian, W., Cruikshank, K.A., Mayer, R.E., & Pintrich, P.R. (2001). *A taxonomy for learning, teaching and assessing: A revision of Bloom's Taxonomy of educational outcomes: Complete edition*. New York: Longman.

The International Federation of Accountants. (2016). *Framework for International Education Standards for Professional Accountants and Aspiring Professional Accountants*. (2015). Retrieved from <https://www.ifac.org>

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LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

Module 4

Syllabus area	Weighting (%)
Describe the types and characteristics of business entities	5–15
Explain the importance of effective organisational management	10–20
Explain the role of production and operations management	10–20
Explain the importance of management in a service entity	5–15
Explain the role of financial management	5–15
Explain the role of human resource management	5–15
Describe and analyse effective control systems	10–20
Explain and apply basic concepts of marketing	10–20
Describe the characteristics of international business and features of globalisation	5–15

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO1: DESCRIBE THE TYPES AND CHARACTERISTICS OF BUSINESS ENTITIES		
LO1.01: Describe the types of business entities, their stakeholders and the impacts of external factors to a business	1	
1.01.01 State the general objective of businesses	1	1
1.01.02 Identify the nature and characteristics of different business entities	1	1
1.01.03 Define stakeholders and describe the impact from internal and external stakeholders to the organisation	1	1
1.01.04 Illustrate how the following external factors may affect business and organisational management: • Political and legal factors • Economic factors • Social and demographic factors • Technological factors • Environmental factors • Industrial factors • Competitive factors	1	1

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT		
LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity	1	
2.01.01 Explain the concept of management and strategic management of an organisation, including external and internal analytical frameworks (e.g. value chain analysis, SWOT analysis, organisational culture analysis, PESTLE analysis, Porter's five forces analysis)	1	2, 3
2.01.02 Explain how entities might be designed and structured (e.g. channel oriented, market oriented, product centric, function oriented)	1	3
2.01.03 Describe the organisation design in terms of advantages and disadvantages of different structures	1	3
2.01.04 Describe the various levels of management and the function and inter-relationship of each level	1	3
2.01.05 Describe alternative approaches by management to problem solving and decision making (e.g. 'bottom up', 'top down')	1	3
2.01.06 Describe the various types and levels of planning undertaken by entities	1	3
2.01.07 Explain the concepts of authority, accountability and responsibility	1	3
2.01.08 Identify different business functions and explain how these functional areas can help to achieve business objectives	1	3
2.01.09 Describe common quality management techniques	1	5,6
2.01.10 Explain how the theories of organisational behaviour may be used to enhance the performance of the individual, teams and the organisation	1	4
PRINCIPAL LO3: EXPLAIN THE ROLE OF PRODUCTION AND OPERATIONS MANAGEMENT		
LO3.01: Describe the key elements of production and operations management in a manufacturing business and explain the role of strategic production analysis	1	
3.01.01 Describe the key elements of production and operations management	1	5
3.01.02 Explain the role of strategic production analysis	1	5
3.01.03 Describe the concept of just-in-time, total quality management and supply chain management	1	5
PRINCIPAL LO4: EXPLAIN THE IMPORTANCE OF MANAGEMENT IN A SERVICE ENTITY		
LO4.01: Describe the key elements of management in a service entity and explain the importance of service quality and strategic planning in a service entity	1	
4.01.01 Describe the distinctive features of a service entity	1	6
4.01.02 Describe the characteristics of service in a service entity	1	6

Learning Outcomes	Proficiency Level	Chapter where covered
4.01.03 Explain the importance of service quality	1	6
4.01.04 Explain the importance of strategic planning in service entities	1	6
PRINCIPAL LO5: EXPLAIN THE ROLE OF FINANCIAL MANAGEMENT		
LO5.01: Explain the role of financial management in a business entity	1	
5.01.01 Explain the role of financial management in the overall management of a business entity	1	7
5.01.02 Describe the short- and long-term financial requirements of a business entity	1	7
5.01.03 Explain the key financial decisions an organisation needs to make and the roles played by different stakeholders, advisors and financial institutions in the financial strategy selected by a business	1	7
5.01.04 Explain the role of the accounting function in relation to financial analysis, reporting and control	1	7
PRINCIPAL LO6: EXPLAIN THE ROLE OF HUMAN RESOURCE MANAGEMENT		
LO6.01: Explain the role and functions of the human resource management and its importance in a business entity	1	
6.01.01 Explain the importance of human resource management	1	8
6.01.02 Describe the following functions of human resource management: • Staff planning • Employee recruitment • Payroll • Selection • Induction • Training • Development • Appraisal	1	8
PRINCIPAL LO7: DESCRIBE AND ANALYSE EFFECTIVE CONTROL SYSTEMS		
LO7.01: Describe the characteristics of effective control systems and risks (including operating and financial risks, key issues in relation to crisis management) in a business entity and analyse the systems' effectiveness (including performance control, financial and non-financial methods of control), and the main components of the risk management process	2	
7.01.01 Explain the need for control in entities	1	9
7.01.02 Describe and analyse the characteristics of effective control systems including performance control in entities	2	9
7.01.03 Describe financial and non-financial methods of control	1	9
7.01.04 Describe operating risk and financial risk	1	9
7.01.05 Identify the main components of the risk management process	1	9
7.01.06 Describe and analyse the key issues in relation to risk and crisis management	2	9

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO8: EXPLAIN AND APPLY BASIC CONCEPTS OF MARKETING		
LO8.01: Explain the basic concepts of marketing and apply marketing mix and how businesses analyse and use marketing information	2	
8.01.01 Define marketing	1	10
8.01.02 Identify the nature and functions of marketing	1	10
8.01.03 Explain and analyse the relationships between: • Market segmentation • Market targeting • Market positioning	2	10
8.01.04 Explain and apply key elements of marketing mix: • Product • Price • Place • Promotion	2	10
8.01.05 Explain how businesses analyse and use marketing information	1	10
PRINCIPAL LO9: DESCRIBE THE CHARACTERISTICS OF INTERNATIONAL BUSINESS AND FEATURES OF GLOBALISATION		
LO9.01: Describe the key characteristics of international business	1	
9.01.01 Explain the importance and relevance of conducting business across national borders	1	11
9.01.02 Describe the key characteristics of international business: • Regulatory requirements • Terminology • Cultural diversity • Socio-political environment • Economic environment • Global and regional trade regimes	1	11
9.01.03 Describe the features of globalisation including the role of multi-national corporations (MNCs), international trade, e-commerce and emerging markets	1	11



STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **List of formulas:** A compilation of the equations introduced in the chapter.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.



Part A

Fundamentals of Business Organisation

- 
- Chapter 1** Business and Organisation
 - Chapter 2** Competitive Analysis
 - Chapter 3** Organisational Structure
 - Chapter 4** Organisational Behaviour

1

Business and Organisation

CHAPTER TOPIC LIST

1.1 Purpose of a Business

- 1.1.1 For-Profit Organisations
- 1.1.2 Not-for-Profit Organisations
- 1.1.3 Mission Statement, Vision and Values

1.2 Nature of Business

- 1.2.1 Commercial
- 1.2.2 Not-for-Profit Organisations
- 1.2.3 Public Sector

1.3 Stakeholders

1.4 Internal Environment

- 1.4.1 Owners

1.4.2 Board of Directors

1.4.3 Employees

1.4.4 Work Environment and Culture

1.5 External Environment

1.5.1 Political Environment

1.5.2 Economic Environment

1.5.3 Social and Demographic Environment

1.5.4 Technological Environment

1.5.5 Legal Environment

1.5.6 Environmental Concerns



LEARNING OUTCOMES

PRINCIPAL LO1: DESCRIBE THE TYPES AND CHARACTERISTICS OF BUSINESS ENTITIES
LO1.01: Describe the types of business entities, their stakeholders and the impacts of external factors to a business
1.01.01 State the general objective of businesses
1.01.02 Identify the nature and characteristics of different business entities
1.01.03 Define stakeholders and describe the impact from internal and external stakeholders to the organisation
1.01.04 Illustrate how the following external factors may affect business and organisational management: • Political and legal factors • Economic factors • Social and demographic factors • Technological factors • Environmental factors • Industrial factors • Competitive factors

- Political and legal factors
- Economic factors
- Social and demographic factors
- Technological factors
- Environmental factors
- Industrial factors
- Competitive factors

 OPENING CASE

STARTING A RESTAURANT IN HONG KONG

Joe is considering starting up a new restaurant in Hong Kong. However, he has no experience in running any food and beverage businesses. Therefore, instead of him operating it alone, he wants to invite some of his friends to form a partnership to run this new business. They are evaluating whether the restaurant should be formed as a partnership or incorporated as a company with limited liability to safeguard their financial exposure in the future.

Since Joe is a sushi fan, he hopes to establish a high-end sushi restaurant to fulfil his dreams. The first priority is for him to learn more about government policies and regulations on food and environmental hygiene, in particular the treatment and serving of raw fish to the public. Besides, since he wants to ensure the highest food quality and to differentiate his restaurant from the competitors, Joe also needs to check the employment restrictions on hiring Japanese chefs from Japan. As this is a premium-priced restaurant, it is important for Joe to evaluate the economic condition (such as the interest rate, exchange rates for Japanese Yen, purchasing power of Hong Kong consumers, etc.) and analyse the market potential of high-end Japanese restaurants in Hong Kong. This will affect his pricing and promotion strategies for sustained business growth.

Other factors may also include the technological aspect of the restaurant's operation. It would be beneficial for Joe to explore whether there is any possibility of automation to increase efficiency in preparing and serving food in order to ensure freshness. Also with advancements in mobile technology, he could consider using a mobile application for promoting, reaching out to potential consumers and allowing them to order fresh sushi online. 



OVERVIEW

There are small businesses and huge companies, but regardless of size, every business is organised according to a legal structure, each with its own advantages and disadvantages. A business could be a sole proprietorship, partnership or corporation. It could be family owned or even employee owned. Corporations have the advantage of limited liability.

For many small businesses, sole proprietorship or partnership is the preferred business structure due to their simplicity.

This chapter describes the basic features of important forms of business entities, such as partnerships and corporations. After studying this chapter, you should be able to identify types of business entities based on their characteristics. You should also understand the advantages and disadvantages of the different types, which are also explained here.

A company has many stakeholders with many different interests and expectations. While it may be impossible to satisfy everyone, managers should try to avoid upsetting the company's internal stakeholders, such as employees and owners, and external stakeholders, such as customers, suppliers, regulators, governments and local and global communities.

This chapter also discusses the internal and external environments of a business, and introduces a tool called the PESTLE analysis for understanding important external factors that impact businesses. PESTLE refers to political, economic, social and demographic, technological, legal and environmental factors. This chapter explains each of these in detail.

Public criticism could be harsh and lead to expensive consequences. Hence, management must have a strong understanding of the external environment and how business decisions could affect stakeholders and societies. This chapter explores these important topics in depth.



1.1 PURPOSE OF A BUSINESS

The word **business** is a broad term used to refer to many kinds of profit-seeking enterprises, ranging from big corporations like Cathay Pacific Airways Limited and The Coca-Cola Company to small local restaurants and tutorial centres. In these study materials, we will often use the term 'business entity' to refer to the structure or formal organisation of a business.

Some businesses produce goods, such as smartphones, kitchenware and chocolate bars, while others provide services, such as concerts, insurance and car washing. Businesses are essential in an economy because they produce not only the products and services that people need but also employment opportunities.



Every city relies on business to drive economic activity. Even core elements such as infrastructure, transportation, real estate, healthcare and education are related to business in some way. Therefore, it is through business that citizens' quality of life is improved.

Every business transaction involves an exchange between a buyer and a seller. A seller provides goods or services to gain profits and a buyer trades money with the seller to obtain the product or service needed.

1.1.1 For-Profit Organisations

To conduct business, risks must be taken to bring together the resources needed to create and market goods and services. These resources range from people, technology and information to raw materials and land. Profits are the rewards earned by the business people that take these risks, and are usually the incentive for starting a company, growing it and ensuring its competitiveness by providing high-quality goods and services.

In the language of accountants, profits are the difference between revenues and the expenses incurred to generate those revenues. Without profits – that is, if expenses were greater than revenues – a business would not survive. It is therefore no surprise that earning profits is the focus of business.

However, social and ethical responsibilities are important too, and business people are increasingly recognising this. It would be difficult in today's competitive environment for companies to succeed in the long run if they do not behave ethically and responsibly towards employees, customers, **suppliers**, investors, creditors, competitors, governments and the general public.

1.1.2 Not-for-Profit Organisations

Government postal services, charities and trade associations are examples of not-for-profit organisations, also called non-profits. They often operate and are structured very much like businesses, but earning profits for their owners is not the primary objective. Addressing humanitarian and environmental needs, for example, are the main reasons for their existence, which makes these organisations very important in society.

Non-profits can be found in both the private and public sectors. Someone might establish a non-profit trade association and religious organisation in the private sector. Government agencies, labour unions and political parties are also examples of public sector non-profits.

Although money is not the core incentive for non-profits, they still need to raise funds in order to operate and achieve their social goals. Funding is needed for research, obtaining the needed materials and providing services. Hence, many of the same business challenges and concepts that apply to profit-seeking companies also apply to not-for-profit organisations.

Non-profits obtain funding from various sources, including private sources like individual donations and government sources. They also recruit volunteers and are often exempt from taxes.

1.1.3 Mission Statement, Vision and Values

A company's mission, vision and values are extremely important. **Mission** is a short explanation of the organisation's reason for existence. **Vision** is the ability to anticipate needs – whether

consumer, societal or environmental needs – and what an organisation can do to satisfy them. Business people must have a strong vision in order to make the right decisions to drive the business in a specific growth direction. An organisation's mission is its ultimate aim. The mission is important because it communicates the organisation's values to the company's stakeholders and the general public. An organisation's **values** are what it cares about and the principles that guide its actions.

Vision, mission and values represent the foundations of successful businesses. The mission, vision and values have always been the foundation of not-for-profit organisations, as these are crucial for obtaining funding and convincing stakeholders to support their cause. In today's competitive business environment, however, it has become increasingly important for profit-seeking companies to communicate clearly their mission, vision and values as well.

Consumers have become more aware of social and environmental issues and many would boycott unethical or irresponsible businesses. The concept of responsible investing is also becoming a trend – which refers to an approach to investing that incorporates environmental, social and governance considerations when making investment decisions; many investors no longer select stocks simply based on potential monetary returns. They want to make sure that the companies they invest in have a positive impact on the world, or at least do no harm, in addition to demonstrating a strong financial performance.

In addition, a company's mission, vision and values directly influence its **corporate culture**, which refers to the beliefs and behaviours of the company's employees and management. The corporate culture largely determines how employees interact with each other and with customers, as well as their work ethic and attitude. By being clear about its mission, vision and values, a company can attract and retain the right employees.

Illustrative Example 1

The English Schools Foundation (ESF), the largest English-medium international school in Hong Kong, expresses its vision on its website as follows: 'Our vision is for every student to be the best that they can be'. ESF's mission statement is: 'Our mission is to inspire creativity and nurture global citizens and leaders of the future'. ESF lists five values in its strategic plan, as follows:

- Inspiring minds: We create joyful learning environments that foster curiosity, creativity and a desire for personal growth.
- Embracing individuality: We bring out the best in every child.
- Leading by example: We always strive to be the best that we can be, setting high standards and sharing best practice.
- Optimising our network: Together we are stronger. Our size and scale help us collaborate across schools.
- Being accountable: We work to high professional standards in all that we do, taking responsibility for our outcomes.

(Source: English Schools Foundation, Vision and Mission)

Apply and Analyse 1

Apply

HK Air is a low-cost carrier in Hong Kong. Its vision strives to find new ways of doing business with its customers and ensure customer satisfaction through quality services. Its mission focuses on low fares and secure and on-time reliability to operate its airline business. Its value is to be responsible to the environment and community.

It joined Earth Hour and coordinated a volunteer group of employees to organise various community activities and volunteer services such as beach and mountain clean-up activities, banning shark fin cargo and charity run or walks for different charities.

Beyond these commitments, outline a possible corporate culture that HK Air could adopt to build a positive brand image.

Analysis

HK Air may regularly research competitor's strategies and offer services at a competitive price to achieve its mission. For its vision, it may also adopt various safety and stringent security policies to manage its flights and operations to ensure secure and on-time reliable services. All these practices and procedures should be disseminated to all employees.

Employees could be rewarded if they are able to align their duties and work to these practices and procedures. The value of HK Air could also manage its employees as part of a unified team. A common goal could be set to serve customers in a friendly way, and then empower employees to serve customers in their own way to meet its vision. Employees should be given the support and motivation if customers are served happily. HK Air could also provide health and fitness programmes to ensure that employees take regular breaks and exercise. They would then be able to enjoy work-life balance and their commitment to serve customers would be enhanced. A positive and motivated corporate culture may help HK Air build a positive brand image.

Key Learning Point

Profits are the rewards earned by the business people that take these risks, and are usually the incentive for starting a company, growing it and ensuring its competitiveness by providing high-quality goods and services.

A **mission statement** is a short explanation of the organisation's reason to exist.

► Knowledge Check Questions

Question 1

FC is a kitchenware manufacturer. It aims to earn a profit through offering high-quality kitchenware to customers. Identify the type of organisation that FC is.

- A** Profit-seeking business
- B** Not-for-profit organisation
- C** Charity
- D** Government

► Knowledge Check Questions (*continued*)

Question 2

Nandy is a brand which produces smartphones and tablets. It seeks to create innovative and highly reliable products for consumers through innovative technology. It strives to anticipate and satisfy customer needs. Identify the type of business foundation described.

- A Value
- B Vision
- C Mission
- D Corporate culture

Question 3

Party Bakery produces pastries and cakes. It aims to provide a hardworking, fun and helpful work environment for employees. It provides a strong benefits package and promotes a positive culture. Identify the type of business foundation described.

- A Value
- B Vision
- C Mission
- D Corporate culture

Question 4

List two examples of not-for-profit organisations each in both private and public sectors.

➤ 1.2 NATURE OF BUSINESS

Business is an ancient part of human society. The earliest businesses were likely similar to sole proprietorships, partnerships and joint ventures. These types of arrangements can work especially well for small businesses but they have distinct disadvantages for businesses that accumulate large amounts of capital. This is because sole proprietors and general partners do not benefit from **limited liability**, so they are personally responsible for all business debts.

Eventually, limited liability was invented for the corporate form. It encourages investment because it protects investors from losses beyond their investments. They are not personally liable for the company debts.

Businesses today may be structured in numerous ways to attain various benefits. Ranging from a simple sole proprietorship (one-owner business) to large multinational **corporations**, firms are structured to gain various operational efficiencies and competitive advantages.

1.2.1 Commercial

Commercial enterprises have profit as a primary objective. This section describes the different types of business organisation for commercial enterprises.



1.2.1.1 Sole Proprietorship

This is a single-owner business.

The **sole proprietorship** is not a separate legal entity. The firm's liabilities and assets belong solely to their owner. Its profits and losses belong to the sole owner. Unlimited personal liability puts the sole proprietor's personal assets at stake if the business loses money.

In Hong Kong, sole proprietorships must register with the Business Registration Office of the Inland Revenue Department. Anyone who carries on more than one business should apply for a Business Registration Certificate for each of the businesses.

For example, if Andy starts a dessert catering business out of his home and takes no formal legal action to organise in another form, his business will be deemed a sole proprietorship.

1.2.1.2 General Partnership (GP)

This is an association of two or more persons to carry on as co-owners of a business for profit.

The ownership of a **general partnership** is shared amongst the partners and based on the partnership agreement. The same is true for any liabilities. All partners are responsible for any liabilities entered into by any one of the partners.

Suppose that Andy is often hired to provide desserts at catered events. He frequently runs into Bella who provides appetisers at many of the same events. They may decide to form a partnership to form a full-service catering business and share the profits. Their business arrangement would be considered a general partnership if they do not undertake a formal legal process.

In a general partnership, Andy and Bella would both be personally responsible for any business debts.

Under the Partnership Ordinance (Cap.38) in Hong Kong, each partner of a general partnership is personally liable for the acts of the other partners and for all debts of the firm.

1.2.1.3 Joint Venture

This generic term is often used to denote a one-shot general partnership-type relation. A variety of situations in which two or more parties cooperate with one another in a mutual business endeavour could be described as **joint ventures**.

Under Hong Kong law, the term 'joint venture' does not carry a specific legal meaning. The legal relationship between the joint ventures is determined by the agreement between the parties, subject to the common law.

Compared with partnership, joint venture is often for shorter duration. For instance, if Andy and Bella team up to cater a single event, they could consider having a joint venture. A general partnership would be better for an enduring business relationship.

1.2.1.4 Limited Partnership (LP)

This is a partnership with at least one general partner and at least one limited partner. It is distinguished from a general partnership in that its limited partners give up some of the general management rights that partners in a general partnership would have in exchange for the limited liability restricted to the amount of their contribution to the capital of the partnership.

It bears repeating that an **LP** must have at least one general partner who will be generally liable for the firm's obligations, though the general partner can be a limited company rather than an individual.

In Hong Kong, limited partnerships must be registered in accordance with the Limited Partnerships Ordinance (Cap.37) with the Registrar of Companies.

Andy and Bella ask their wealthy friend Toby to invest in their catering business. This is considered a source of financing. Toby is interested, but he would like assurance that he will not be liable for the business's debts. A limited partnership structure, formed through a legal process, can ensure Toby is not liable, as long as he does not participate in the active management of the business. However, if he takes an active role, Toby will become a general partner and be liable for any business debts.

1.2.1.5 Limited Liability Partnership (LLP)

This is a relatively new form of business organisation that carries greater protection from liability than in either general or limited partnerships. The **LLP** was created primarily to protect professionals, such as accountants and lawyers, from undue malpractice liability arising from the errors of their partners. Thus, if Tad and Todd are lawyers who practice as general partners, Tad is personally liable for any malpractice committed by Todd. An LLP form can shield Tad from personal legal liability caused by Todd's malpractice. In LLPs, partners are generally liable only for (a) their own malpractice, and (b) the malpractice of those they directly supervise.

In Hong Kong, the Legal Practitioners (Amendment) Ordinance 2012 introduced LLP as a new form of partnership for local and foreign law firms in Hong Kong. The ordinance came into effect on 1 March 2016.

1.2.1.6 Limited Company

This is an artificial legal entity. Its owners (shareholders) typically enjoy limited liability. The creation of the notion of an artificial legal entity in order to encourage people to invest in others' business ideas is one of the great advances in Western legal thought.

Kay may buy General Motors (GM) stock because she is secure in the notion that even if GM goes bankrupt, she will not be liable for its obligations. Her potential loss is limited to the amount she invested when she bought GM stock.

1.2.1.7 Other Ownership Options

In addition to the main legal structures there are several other ownership options, including employee-owned businesses, **family-owned businesses**, franchises, mergers and acquisitions (M&A) and the public sector.

Employee-owned Businesses

Employee ownership means that shares of stock are owned by some or all of a company's employees. Other than that, the company remains the same. Employee ownership is becoming increasingly popular because more and more people want to share in the profit their company earns. Management also wants employees to be committed to the organisation and care deeply about its success, so this kind of compensation for employees can be a win-win situation.



Family-owned Businesses

These firms come in many different sizes and legal structures. These companies face unique challenges simply because family relationships can be complex. For example, marriages, divorces and seniority could all affect decision making regarding succession, compensation, shareholder control, hierarchy and authority.

Some families choose a loose business structure and might not even put certain agreements in writing, but choosing the wrong legal structure for a family-owned business could mean trouble from the start. A clearly written plan for succession from one generation to the next can provide security for the company's continuity. Alternatively, there can be chaos for the business when succession is challenged.

Franchises

Franchising is a business arrangement between a dealer (or **franchisee**), such as a retailer or restaurant operator, and a supplier (or franchisor), such as a manufacturer. The arrangement is based on a contract that specifies how the dealer should market the supplier's goods or services. Some big brands like 7-Eleven and McDonald's use this model to spread across the world.

Franchise agreements can be complex. The franchisee usually has to pay an initial purchase fee as well as take on the start-up costs. The agreement also requires the franchisee to purchase certain ingredients or equipment, and follow certain pricing and marketing efforts, as the franchisee is representing the franchisor. The franchise agreement could therefore seem overly restrictive to some franchisees. Because the agreement is strict to maintain the uniformity of the brand, it limits the franchisee's autonomy to make decisions on what might appear to be small matters.

The upside is that franchising is a quick way to become a **business owner**, and it is arguably less risky than starting a small, independent company. As the franchisor already has a well-developed operating procedure and the brand is already established and familiar to consumers, franchising generally requires less time and effort for expansion. In addition, franchisees have the franchisor's support in several key areas, including marketing, financing, assistance in obtaining a location, business training, supplies and supplier relationships.

However, failure in one franchise could affect the reputation of the whole brand. Hygiene problems discovered in one franchise restaurant, for example, can hurt business for the entire chain, as most consumers would not know that the restaurants are owned and operated by different people. Likewise, if the franchisor is mismanaged at the top level, the smaller business owners of the individual franchises may also run into serious problems.

In Hong Kong, there is no specific legislation governing franchising operations. When disputes arise from the franchise agreement, common law or other relevant legislation – such as legislation on intellectual property rights, for example – will be relied upon to reach resolutions. Such legislation includes the Trade Marks Ordinance (Cap.559), Trade Descriptions Ordinance (Cap.362), Copyright Ordinance (Cap.528), Registered Designs Ordinance (Cap.522) and Patents Ordinance (Cap.514).

Mergers and Acquisitions

Mergers and acquisitions (M&A) have been increasing in recent years, especially amongst Chinese and US corporations. Airlines, financial institutions, telecommunications companies, media corporations and publishing companies are some examples of businesses that have merged into giants.

In a **merger**, two or more companies combine to form one company. In an **acquisition**, one company purchases the other, acquiring the other company's property and assets, as well as any debt obligations it may have. Sometimes, a company only acquires a division or subsidiary of another company.

When M&A is successful, it can diversify a company's risks, expand its product portfolio, increase customer bases and cut costs. But failure is common due to conflicts that often arise from culture clashes and differing expectations.

In Hong Kong, there are various ways to proceed with an M&A transaction, including amalgamation under the Companies Ordinance (Cap.622). The common method is share acquisition or asset transfer, following negotiations or under an auction process.

1.2.1.8 Advantages and Disadvantages of Different Types of Business Entities

Different types of business entities come with different advantages and disadvantages.

Sole Proprietorships

Advantages:

- Total control: The owner needs answer to no other owner; he or she may make all decisions. Other persons, such as creditors, might, of course, have something to say about how the business is run.
- Simplicity: A sole proprietorship is simple to set up and manage. No complicated documents need be filed with the government to form a sole proprietorship, although even a sole owner of a business ultimately will have to deal with legal formalities such as tax returns, licences to undertake a particular activity and permission to do business in foreign jurisdictions.
- Taxation: The profits tax rate for sole proprietorships is lower than the one for limited companies in Hong Kong. The amount of profits tax payable could further be reduced if the sole proprietors elect for personal assessment which is not available for limited companies.

Disadvantages:

- Personal liability: The owner is the business and the business is the owner in a sole proprietorship. Therefore, the owner is personally liable for any debts incurred by the business.

General Partnerships

Advantages:

- Simplicity: No complicated documents need to be filed with the government to form a general partnership. If two persons associate with the goal of carrying on as co-owners of a business for profit, the law will treat their relationship as a general partnership regardless of whether they have filed any legal documents. They may clarify the nature of their rights and responsibilities by putting the partnership agreement in writing so it will be enforceable under the common law.

Disadvantages:

- **Personal liability:** All general partners are personally liable for the obligations of the business. Thus, if two partners each put HK\$100,000 into a partnership, but it lost all that money and HK\$200,000 more, the two partners together are personally liable for the extra HK\$200,000 in losses.
- **Liability for partners' actions:** Each partner can also be held responsible for the actions of the other partner taken on behalf of the business.

Joint Venture**Advantages:**

- **Simplicity and flexibility:** two or more parties are bound by a mutual agreement to jointly combine resources such as operations, assets, labour, land or/and entities. It normally involves short term arrangement or temporary duration.
- **Selectivity:** any information exchanges and cooperation would be limited to the agreed extent. Parties could carefully control the exposure to the other parties on confidential information such as from internal systems, communications and operation.
- **Accessing to new market with reduced risk:** the parties can share risks for participating in investment. It is common for a foreign company to have a joint venture arrangement with a local firm to enter the market.
- **Cost savings:** the parties can minimise some costs e.g. labor, advertisement or production, when leveraging their resources for production or technology projects.
- **Better resources:** the joint venture can better use the resources of both parties, e.g. specialised technology, staff, skills and knowledge.

Disadvantages:

- **Extensive research and planning:** the success of joint venture relies on extensive research and planning before implementing the operational processes of collaboration.
- **Different expectation between joint venture parties:** the parties may have their own expectations for the joint venture arrangement. They may not have clear directions towards the objectives set which need to be well-communicated to everyone involved for being fully devoted to the joint venture process.
- **Unreliable partners:** some parties may not devote 100% attention and effort to the project and become unreliable.
- **Different cultures and management styles:** the parties may cause barriers for co-operation if they have diverse beliefs and different forms of management practices. It may greatly influence the communication between the joint venture parties.

Limited Partnerships

Advantages:

- Limited liability of limited partners: Limited partners are not personally liable for business debts or liabilities, or for the actions of other partners, so long as they do not take part in the management of the firm.
- Flexibility: Limited partners can be replaced without dissolving the partnership.
- Investment separate from management: Clear delineation between general partners and limited partners allows for funds to be raised without affecting how the business is managed.

Disadvantages:

- Formality: Legal documents must be filed with the Registrar of Companies in order to form a limited partnership. The firm's name must reflect its limited partnership status, as by using the term 'Ltd' or 'LP'.
- Authority: A limited partner must forfeit the right to manage the business in order to be entitled to limited liability.
- Personal liability: A limited partnership must have at least one general partner who will be generally liable to creditors for the obligations of the partnership. However, that general partner can be a corporation whose artificial entity will shield any individual owners from personal liability for business debts.
- Limitations for limited partners: Limited partners are required to be passive investors. They cannot dissolve a partnership and the introduction of a new partner does not require the consent of the existing limited partners.

Limited Liability Partnerships

Advantages:

- Limited liability: Like limited partners, the partners of LLPs are not liable for the general obligations of the partnership, although they typically remain liable for the legal liabilities generated by their own actions and the actions of those they supervise. Therefore, if Todd and Tad are partners in a legal firm, which is a LLP, and Todd commits malpractice, Tad will not be personally liable for that wrong. Tad is liable only for crimes that he and the employees in the firm whom he supervises commit.
- Authority: LLPs may be actively involved in managing the partnership without forfeiting the limited liability that partners in a LLP generally enjoy. This is a distinct advantage over the traditional limited partnership form.

Disadvantages:

- Formality: Legal documents must be filed with the Registrar of Companies in order to form an LLP.
- Selectivity: LLP is usually just limited to particular professions, such as lawyers in Hong Kong.



Limited Company

Advantages:

- **Limited liability:** Limited liability is generally applied to all shareholders in a limited company, only except for some rare circumstances where the shareholders may be held personally liable for company debts, which is known as piercing of the corporate veil.
- **Legal personality:** A limited company can enter into the same legal relationships as natural persons. This includes things such as owning assets and entering into legal agreements. Legal personality means that the corporation itself is a legal entity, separate from its owners. This offers company owners an advantage over partnerships, which are more likely to be considered as legal aggregations of the individual partners.
- **Perpetual duration:** Because a limited company is a separate legal entity, distinct from its shareholders, it can exist beyond the lifetimes of any shareholders. For example, if a limited company has four shareholders, who all die in a tragic fire, the shares can be inherited by their issues and the company can continue to exist. In this manner, a company can continue for generations.

Disadvantages:

- **Higher taxation:** Corporations are subject to higher profits tax rate in Hong Kong than other forms of entities such as sole proprietorship.
- **Formality:** Legal documents including articles of association and prescribed forms must be filed with the Registrar of Companies in order to form a corporation. Corporations also need to fulfil listing requirements if they are listed companies.

1.2.2 Not-for-Profit Organisations

Not-for-profit organisations are business-like establishments that have primary objectives other than profits. They place public service over profits but need money to achieve their goals. In the private sector they include museums, libraries, trade associations, charitable organisations and religious organisations. In the public sector, they include government agencies, political parties and labour unions. They face many of the same challenges as businesses when it comes to raising money. Without funds, they cannot provide services.

1.2.3 Public Sector

The **public sector** refers to organisations that are owned and operated by the government. These organisations are not-for-profit organisations that exist to provide services for citizens. Examples include public schools, libraries, electricity providers, emergency services, fire services, police services, postal services, public hospitals and social services.

Public sector organisations sometimes outsource projects to organisations in the private sector, or they may cooperate as public-private partnerships to jointly deliver a service or business venture to the society.

Public services are usually funded through taxes, fees and financial transfers from within the government.

Illustrative Example 2

Joe has finally opened his high-end sushi restaurant in Causeway Bay. The business has been growing very well for the past few years. As the success of the restaurant is partly due to the craftsmanship and the high quality of food that the master chef prepares, Joe is concerned that the master chef would be headhunted by his competitors or decide to go back to Japan. Therefore, he decides to give 10% in shares to this master chef and his top team as a gesture of appreciation with an aim to retain key staff. Joe believes that making this restaurant an employee-owned operation would encourage staff's loyalty and commitment to sustain business growth.

Joe also wants to expand his business into mainland China. However, he has no experience in the Chinese market. As such, he decides to franchise out his restaurant's brand for quicker expansion into the Chinese market. While he can maintain strict control on the use of his brand, the operating mode and food menu from Hong Kong, he will let his franchisees finance the opening of their restaurants in the southern part of mainland China and run their businesses on their own. Joe will receive a franchising fee for all shops opened.

Apply and Analyse 2

Apply

TDL is the biggest operator of noodle shops and eateries in Korea. It aims to expand its business around the world by 2030. It strives to be in the top 15 global restaurant brands and plans to open 5,000 outlets worldwide. TDL wants to expand its business in Hong Kong first, and then penetrate into the mainland market. It decides to acquire a famous local noodle chain shop, named SG Noodle, in Hong Kong to grow its business in a faster, less expensive and less risky way. The local noodle chain shop is a family-owned business that was founded in 1997. It is famous for its rice noodles with a localised spicy and sour taste. Its noodles are well received by food writers, celebrities and customers.

Most restaurant businesses usually enter foreign markets by opening branches, but TDL has chosen to expand its noodle business through acquisitions. Explain the pros and cons of acquisitions in TDL's case.

Analysis

The acquisition allows TDL to expand its business quickly with fewer entry barriers. It offers the opportunity to acquire resources and core competencies not currently held by TDL, including the skills and techniques of SG Noodle in making the noodles and the spicy and sour soup, its brand reputation for years, its market position and its existing customer base. The success of SG Noodle can bring synergy to TDL. The risks and costs of developing new products are also minimised for TDL. TDL can also quickly penetrate the Hong Kong market, and that can serve as the foothold to enter the mainland market to achieve its aim of expanding the business around the world. It can also increase its market share by accessing a wider customer base. The new cooperation may generate new ideas and new products to the business.



Apply and Analyse 2 (continued)

However, this acquisition may induce conflicting objectives, mission, and vision in operating business. Two management teams may have different rules and objectives in running the business and producing products. It may also trigger cultural conflict in management and operation, the resentment of employees because of anxiety or anger at the new management culture, and the loss of customers due to any disappointment about the food under the new operation. These may cause financial fallout, such as a higher acquisition price, longer acquisition timeframe and lower cost savings than expected in the acquisition process.

Key Learning Point

Limited liability was invented for corporates, which encouraged investors to take more risks with their money, because the most they could lose was their investment in the enterprise.

► Knowledge Check Questions

Question 5

Sunita is the owner of an electronic repair shop. She creates the marketing strategy for her shop, pays all the required taxes and is also the only person who enjoys the profits generated by the shop. Identify the type of business ownership of Sunita's business in this scenario.

- A Sole proprietorship
- B General partnership
- C Limited company
- D Limited partnership

Question 6

Salma and Debbie opened a restaurant in general partnership. Two years later, Debbie left the restaurant, and Salma discovered that Debbie had incurred numerous expenses to their account. These expenses resulted in thousands of dollars' worth of debt for the restaurant. From the following, identify an accurate statement about this situation.

- A Salma does not have to worry because, according to the law, everyone is responsible for their own debt.
- B Salma does not have to worry because business creditors will pursue Debbie alone since her signature authorised payments.
- C Business creditors will expect Salma to pay at least half the debt since she owns 50% of the business.
- D Business creditors will expect full payment from Salma.

► Knowledge Check Questions (*continued*)

Question 7

Jose is a stockholder in a software consulting firm. Moreover, the firm pays taxes on its earnings. As an individual, Jose is not legally liable to pay off the debt that might be incurred by the firm. Identify the type of business ownership of Jose's software consulting firm in this scenario.

- A Sole proprietorship
- B General partnership
- C Limited company
- D Limited partnership

Question 8

Joe's sushi business has been growing well. But after five years of operation, the interiors of the restaurants have become old and some furniture is beyond repair. Before further deterioration of service and image of the brand, Joe decides to renovate his two shops with a new image and enhance customer experience. However, this would require huge investment and put a strain on his cash flow. As such, he has invited his friend Billy to invest in his company. Although Billy has the money, he has no interest in running a restaurant and thus is concerned about the potential loss and financial risk.

Identify the type of cooperation Joe can propose to Billy to address his concerns and explain the advantages and disadvantages of this type of business ownership structure.

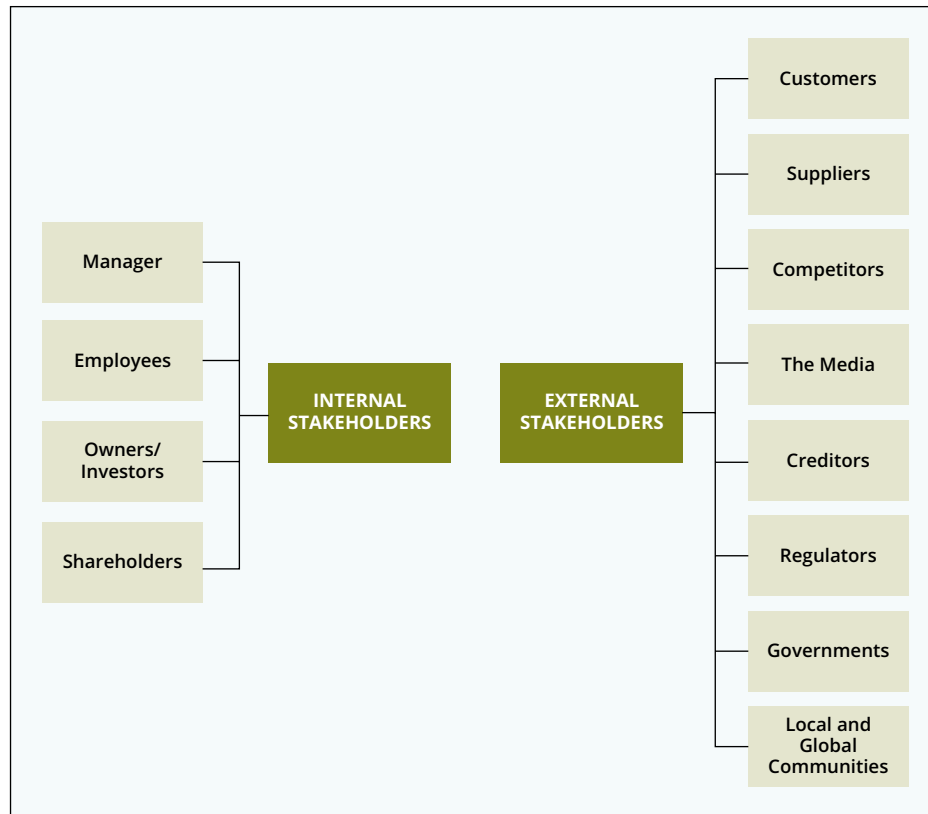
➤ 1.3 STAKEHOLDERS

For a business, all organisations, groups and persons it interacts with are known as **stakeholders** because they have a direct interest or 'stake' in the company's behaviour and performance. The company's decisions and actions often also have an effect on the stakeholders in some way.

All external conditions, which create the context for the management's decision making, form the general environment (or **external environment**) of business. The environment consists of the broad scope of dynamic forces that surround and influence the company.

Stakeholders such as managers, employees, directors, owners and shareholders are called **internal stakeholders** because they are part of the company.

Other stakeholders such as customers, suppliers, competitors, the media, creditors, regulators, governments and local and global communities are external stakeholders (Exhibit 1.1). Although they are not part of the company, they are still affected by the company's management decisions.



► **EXHIBIT 1.1** Internal and external stakeholders

Both internal and external stakeholders have expectations of the company. Investors or owners would have earnings and growth expectations, while employees would expect the company to provide good compensation for their work/labour. Nowadays, employees expect much more than just salaries/wages – they want job security and satisfaction, career growth and employee benefits as well as the company to have a good reputation. Customers want quality products and services with good prices for value. Suppliers want reliable, long-term business relationships, and communities want companies to behave ethically.

A company's stakeholders, therefore, can have very different interests and expectations.

Illustrative Example 3

Joe is aware that his staff are assets to the sushi restaurant and important internal stakeholders to retain in order to keep his business growing and profitable. As such, he tries to provide a competitive remuneration package to attract good talent to join the team and retain them. He will also provide adequate fringe benefits and training to staff. He also wishes to establish a good corporate culture of caring and respect to employees so that they will find job satisfaction and career development opportunities within the company.

Illustrative Example 4 (*continued*)

Joe also sees the need to manage the relationship with external stakeholders. He keeps a close relationship with the media to ensure periodic exposure and coverage in the media for publicity of his restaurant. Joe also complies with the regulations on food and environmental hygiene and follows the proper procedures laid down by the Immigration Department on hiring the Japanese chef from Japan.

Apply and Analyse 3

Apply

TNG is a sportswear brand offering innovative and fashionable products at economical prices. It has its own manufacturing plants to produce goods at lower costs with efficient distribution. Its employees are one of its internal stakeholders. They expect a good working environment, attractive remuneration and medical packages, flexible work hours for taking care of their kids and families as well as recognition and rewards for quality work. List the possible ways for TNG to take reference and identify areas where TNG could improve the working conditions and well-being of its employees.

Analysis

TNG could provide a safe environment with work practice and rules for the employees. It could also provide comparative remuneration and medical packages as compared with competitors' offers to attract quality employees. Staff could have the choice to work on flexible working hours. Baby-sitting services could be provided in plants or offices for employees with kids and babies. These services help strengthen their commitment and loyalty to the company as well as their responsibility and productivity at work. TNG could set up a performance reward scheme to recognise employees' quality and efficient work. This scheme helps motivate employees to work better for the company. More importantly, TNG should ensure work-life balance through providing various leisure and health activities.

Key Learning Point

For a business, all organisations, groups and persons it interacts with are known as **stakeholders** because they have a direct interest or 'stake' in the company's behaviour and performance.

► Knowledge Check Questions

Question 9

Happy Cream is an ice-cream manufacturer. It joined the fair-trade scheme to support vanilla bean farmers. Identify the type of stakeholders.

- A Internal stakeholders – shareholders
- B External stakeholders – suppliers
- C Internal stakeholders – owner
- D External stakeholders – competitors

Question 10

Tasty is a coffee chain shop. It strives to provide a safe environment, health and fitness activities and education programmes to its employees. Identify the type of stakeholders.

- A Internal stakeholders – employees
- B External stakeholders – government
- C Internal stakeholders – investors
- D External stakeholders – customers

Question 11

LaSa grocery store supports the government's policy and fosters fairness at work, prevents job discrimination and encourages having a flexible work environment. Identify the group of stakeholders.

- A Internal stakeholders – employees
- B External stakeholders – government
- C Internal stakeholders – owners
- D External stakeholders – local communities

Question 12

List the two key types of stakeholders of a business and describe the expectations of respective parties to the business.

1.4 INTERNAL ENVIRONMENT

The internal environment is composed of all internal stakeholders, such as managers and other employees, and forms the corporate culture (recall from Section 1.1 that this involves the mission, vision and values of a company as well as the work attitude of its employees).

1.4.1 Owners

The owner of highly successful companies like Swire, MTR Corporation and The Walt Disney Company understand that their internal environments are just as important as their customers. Owners have the right to change company policy through which they can impact the company.

This understanding is manifested through the strong corporate culture that is created to attract and retain competent and suitable talent. Without highly motivated employees, it would be difficult to sustain a high level of quality in goods and services.

1.4.2 Board of Directors

The success of a company is highly dependent on the actions of its employees. Therefore, it is crucial that business owners and the executive management – or the **board of directors** – ensure all employees are motivated to do their very best. They also have to ensure that the physical work environment is comfortable, pleasant and provides the resources that employees need to do their jobs well.

1.4.3 Employees

Employees have to work together and serve customers every day – if they come to work each day unwillingly, then it is very unlikely that the company would compete well against competitors. Google, for example, is well known for providing its employees with a fun work environment and leisure facilities, a reason why the company is able to attract and retain top-notch talent.

1.4.4 Work Environment and Culture

In addition to the internal stakeholders and corporate culture, the internal environment of a company also includes its resources and capabilities.

To create an ideal internal environment, top management must demonstrate the desired work ethic and attitude rather than just talk about it. Many large companies also emphasise available career paths to potential and existing employees as well as provide valuable training in order to gain employees' commitment and loyalty. Management needs to know that employees are performing well and are committed to the company's core values, while employees need to know that they have a good future with the company and that management cares about their well-being.

However, not all organisations are able to create a nurturing internal environment. A poor environment leads to low employee morale and to high turnover – which is the rate at which employees leave a company and are replaced – and increases the likelihood of unethical behaviours that could have devastating consequences for a company. Low morale, distrust, reduced productivity, poor performance and damage to a company's image and reputation impact the company's stakeholders, including customers, investors, employees and the society at large.

Illustrative Example 4

Joe is determined to provide a better work environment to his staff because he realises the correlation between happy staff and happy customers. If he cannot keep his staff happy and motivated at work, he will not be able to expect them to perform well and provide good customer service at his restaurant.

Illustrative Example 4 (continued)

As such, he wants to create a pleasant and prosperous internal work environment to his staff. They are provided with good customer service and supervisory skills training. And Joe will at times organise staff outings and team-building activities to let the staff and their families have some informal networking activities. This will help build rapport and team spirit within the organisation and hopefully will enhance their sense of loyalty and commitment too.

Apply and Analyse 4

Apply

Adobe is an American multinational computer software company. It gives challenging projects to employees and avoids micromanaging at work by excessive observation and control. It also avoids using ratings to assess employees' capabilities. Summarise the managing culture of Adobe by doing some online researches (e.g., <https://www.adobe.com/careers/why-adobe.html>; <https://www.thehrdigest.com/adobe-and-the-art-of-a-great-corporate-culture/>).

Analysis

Adobe has fantastic cultures. Although it gives challenging projects to employees, it ensures the managers coach their subordinates to set goals and determine the assessment methods for the challenging projects. The avoidance of micromanaging implies greater trust in employees, and it allows more creativity from its employees, which is particularly important to its creative culture. The avoidance of using ratings for assessing performance also helps encourage creativity and support team work.

Key Learning Point

The **internal environment** is composed of all internal stakeholders, such as managers and other employees, and forms the corporate culture.

► Knowledge Check Questions

Question 13

A company has a collection of beliefs that employees and the company share to help the business respond to environmental forces and changes. Identify the type of internal environment factor in this case.

- A Attitude
- B Work ethic
- C Commitment
- D Corporate culture

► Knowledge Check Questions (*continued*)

Question 14

A poor work environment could have a serious impact on the company. Identify the possible impact in this situation.

- A** High turnover
- B** Ethical work behaviour
- C** Committed workforce
- D** Compassion, respect and understanding

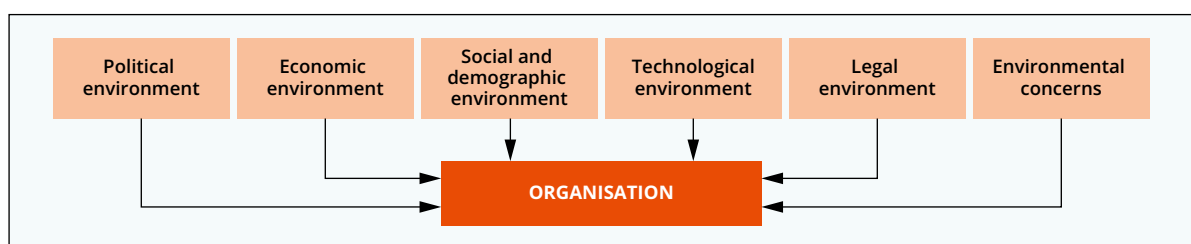
Question 15

A successful company should have a positive internal environment. Identify the principle that cannot shape a successful company.

- A** Motivating employees through fair compensation and promotion schemes.
- B** Providing a comfortable and pleasant work environment.
- C** Encouraging unethical behaviour and competition amongst employees.
- D** Fostering work-life balance through fitness and health programmes.

➤ 1.5 EXTERNAL ENVIRONMENT

Businesses often use a tool called the **PESTLE** analysis to gain comprehensive insight into the external environment. PESTLE is the acronym that refers to political, economic, social and demographic, technological, legal and environmental factors (Exhibit 1.2). Although there may be external factors that business managers are not even aware of, they need to take the PESTLE factors into account as much as possible when making decisions.



► **EXHIBIT 1.2** PESTLE factors

1.5.1 Political Environment

Political forces affect all businesses in some way, regardless of industry or type of business. Regulatory shifts or new legislation could mean that a company needs to make substantial changes to continue operating within a particular legal or political environment. Business managers must therefore keep an eye on all activities related to government policy.



1.5.1.1 Government Policies

Government policies can shape the external environment in which a company operates. These policies can have a significant impact on the way companies are structured and how they operate as well as their revenues and profits.

Tax policies have a significant impact on company operations. For instance, Hong Kong's low corporate tax rates are a big attraction for businesses. Land use policies may determine whether a company can set up a factory or build new headquarters. Investment policies may determine corporate strategy.

Government policies such as China's Belt and Road Initiative, Greater Bay Area or regional cooperation policies may open up the door to significant levels of funding.

1.5.1.2 Corruption Levels

Just as government policy can dictate corporate strategy, so can the way regulators apply such policy. The quality of governance and corruption may have a significant impact on how the external environment in which a company operates is shaped. In turn, they can dictate how companies devise their strategies to operate within a particular external political environment.

1.5.2 Economic Environment

Financial markets, inflation, income levels and job creation are important macro-economic conditions. These critical environmental drivers determine the overall health of the economy and affect consumer spending patterns, lifestyles and business prospects. Business executives often spend a lot of time monitoring, assessing and forecasting these conditions prior to making business decisions. This is to ensure that the company sells the right products and services at the right time.

1.5.2.1 Competition

One important concept in economics which has implications for all businesses at all times is **supply and demand**. Doing business involves at least one buyer and a seller making an exchange. The buyer needs or wants a particular good or service, and the seller (after recognising this need) provides the goods or services for a price. For the seller to survive and earn a profit, the business needs transactions. Hence, both demand and supply are key drivers of the exchange process.

Companies compete amongst each other to reach customers, providing the goods and services that can best supply demand. Businesses compete to win revenue. If a business is the leader in revenue in a certain product or service, it is said to have the largest market share.

Businesses that compete in the same market or the same industry will probably have similar industrial factors of political, economic, social, technological, legal and environmental constraints. For example, sushi restaurants in Hong Kong can be considered a subset of the food/restaurant industry. If Joe's sushi restaurant wants to be the market leader in the sushi restaurant industry, he must analyse the industrial factors of political, economic, and market factors that apply to sushi restaurants in Hong Kong.

Essentially, demand refers to the desire of consumers to buy goods and services at various prices – that is, what they want and what they can afford. Supply refers to the amount of goods

and services available for sale at various prices. The factors that determine demand and supply and their interactions can be analysed to understand consumer preferences and spending patterns, as well as the behaviour of businesses and governments.

Demand can increase the availability of certain goods and services, hence **competition** in the market. For example, as consumers increasingly use online shopping, more and more businesses are adapting to this increased demand by providing apps and websites that enable customers to make purchases with a click of the mouse or a swipe of the finger. As a result, the competition for online shopping or e-commerce is keen.

1.5.2.2 Market Share

Market share is the portion of a market controlled by a particular company or product. For example, Delicious Sushi Kingdom has 42% of the market in sushi restaurants in Hong Kong, while Sushi Palace is second at 31% and others make up the rest of the market.

Companies seek to expand their market share by identifying demand for their products and services and providing an optimal level of supply to leverage that demand.

Generally, a higher market share gives economies of scale to the organisation. Suppose that Joe's sushi restaurant has the kitchen facilities to serve 200 customers, but it has only 150 customers on average currently. If its market share increases, the kitchen may be more fully utilised, there will be more revenue, and probably more profit.

Market share can also be driven by supply and demand. If the demand for sushi goes up, and Joe's sushi restaurant has a great reputation, solid customer reviews and the ability to handle more customers, his market share can go up.

But, if the demand for sushi drops, even if Joe maintains a good market share, his profits may go down if there are fewer customers at all the various sushi restaurants.

In general, demand decreases as the price of a good or service increases. The opposite is true as well – as prices fall, buyers will generally purchase more, although they may accept high prices for some factors like location, branding or premium quality. Changing consumer preferences, income levels, prices of substitutes and complementary items, the number of buyers in a market and the general future outlook may also influence the overall demand for a product or service. For example, when household income increases, consumers have more money to spend and therefore can buy more goods and services.

Alternatively, supply is also affected by the willingness and ability of companies to provide certain goods and services at various prices. Of course, sellers would prefer to charge higher prices and therefore earn more. Hence, as prices increase, sellers become more willing to increase their supply. As prices fall, the quantity supplied also falls. Market prices therefore have a direct relation to the output of businesses.

However, to produce their output, businesses need various inputs, including natural resources (such as land and building sites), capital (such as technology, tools, information and financial capabilities), human resources (such as physical labour and business intelligence) and entrepreneurship (such as the willingness to take business risks). These factors of production have substantial impact on the overall supply of goods and services. A change in the cost or availability of any of these factors could increase or decrease the supply available at a certain price. In addition, if a company finds a way to be more efficient in its production process, it



would be able to produce more using less labour and at lower costs. Demand and supply can affect employment and job creation as well.

In reality, changes that affect demand and supply do not occur alternatively. Several changes often happen at the same time – and key factors are constantly changing. Sometimes the overall direction of change in supply and demand reflects the factor that has changed the most amongst the multiple changing factors that put contradictory pressures on prices and quantities.

1.5.2.3 Interest Rates

An interest rate refers to the proportion of a loan charged by a lender to an individual or business. It is usually expressed as a percentage of principal on an annual basis. It determines the costs of financing of business and other investment activities. Higher interest rates would increase the expenses to a company, but reduce consumer spending.

1.5.2.4 Inflation

Inflation refers to the increase of the general level of prices for goods and services and consequently the purchasing power of currency is falling. When inflation occurs, the costs of production, inventory, operation, management, promotion and investment increase and that may increase the selling price to consumers. Consumers may also buy less products when inflation occurs. The purchasing power decreases, relative to other currencies. The costs for international purchases increase during inflation.

1.5.3 Social and Demographic Environment

Every company has employees and customers that belong to certain demographic groups. Their age, gender, ethnicity, marital status and geographic location, for example, affect purchasing patterns, work ethic, travel habits and disposable income.

1.5.3.1 Social Mobility

The behaviours and beliefs associated with the demographic groups form the **sociocultural forces** that influence a business. In order to retain talent and attract customers, managers must understand the sociocultural characteristics relevant to their business and adapt their strategies accordingly.

For example, the workplace may involve different **generational cohorts** (people of similar age and background), leading to culture clashes. Different life experiences affect how people shop, learn, work and interact with others, as well as their values and priorities in life. Older generations, for instance, have had to learn how to use technology, whereas millennials grew up with technology as a norm. Millennials are therefore often described as good at multitasking, as wanting immediate rewards and frequent interaction with others, as well as placing higher value on knowing where to find out about things than actually knowing things.

1.5.3.2 Ethics

As social values and trends change, companies must also adapt their employment practices, branding, product development, marketing strategies and internal policies.

Business ethics are professional ethics of ethical and moral application to a business. If you treat your stakeholders with ethics and respect, your organisation will benefit. Corporate and organisational leadership should not cheat, lie or defraud their stakeholders.

1.5.3.3 Employment Levels

Demographic changes may affect the employment levels of an organisation. An ageing population may cause greater mobility to an organisation in terms of the workforce. Organisations may have to increase the retirement age to ensure sufficient workforce for an organisation.

1.5.3.4 Consumer Behaviour

Consumers' demographic background may affect their purchase and consumption behaviours. When consumers grow, their lifestyle and needs change. Younger people tend to spend more on lifestyle and social needs for fun and leisure. Older people would spend less on leisure activity, but more on health-related products and services. Females and males also have different needs in choosing brands and products, for examples fashion, skincare and beauty. People in the middle income group usually buy based on needs and utility, while people in the upper income group tend to make purchases based on their wants for fun, leisure and lifestyle. Education background may also affect the product choice, decision-making process and information search behaviours.

1.5.4 Technological Environment

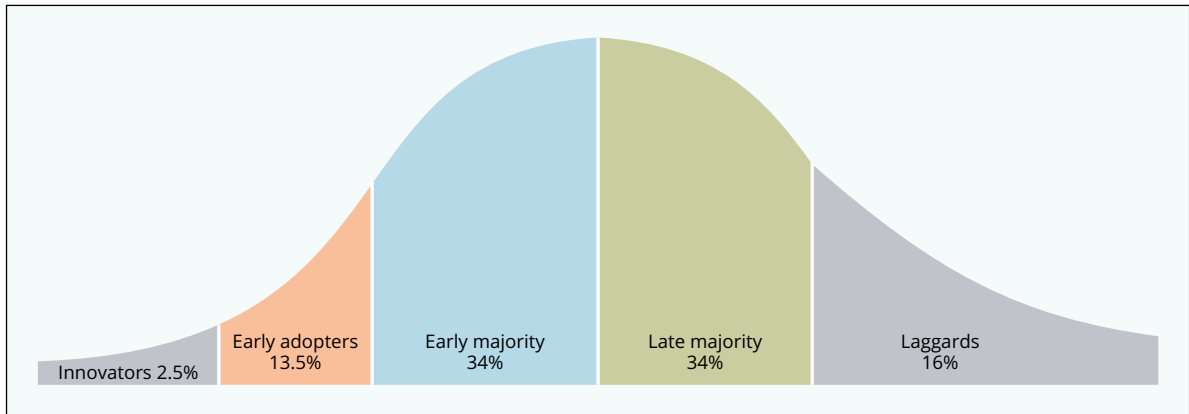
Everything from how we work to how we live is under the influence of technological developments. Businesses in every industry are therefore increasingly using social media to promote their brand and products, and to communicate with their stakeholders. There are now social media applications for new product development, advertising, data sharing, employee networking, virtual meetings and many other functions.

1.5.4.1 Bleeding Edge Technologies

The rapid development of smart device technologies is also changing everyday life. However, there is also a downside to technological advancements. For employees, technology makes it hard not to have work responsibilities tangled with their non-work lives. As long as they have a smart device turned on, people will often find their work following them home and even on vacation. Social media also carries reputation risks – poor handling of one's social media presence could limit career opportunities as hirers can now easily access information on a candidate's personal life.

For employers, a common problem is that many employees spend time at work doing personal things online, causing a loss of productivity. Distraction caused by technology and over-reliance on technology is a concern that can lead to serious mistakes or accidents in certain types of work.

Managers must therefore assess the impact of new technology and adapt their business strategies in order to remain competitive. Due to the speed of technology innovation, this is an ongoing task that may require substantial time and resources, but which cannot be neglected. There are five consumer segments according to the technology adoption (Exhibit 1.3).



► **EXHIBIT 1.3 Diffusion of innovation model (by percentage to total adopters)** (Source: Adapted from Rogers 1962.)

1.5.4.2 Innovators

Innovators are the first to adopt an innovation. They are usually the youngest in age with the highest social class and greater financial lucidity. They are venturesome and interested in new innovation, technology and products.

1.5.4.3 Early Adopters

This group of individuals adopt an innovation after innovators. They are young in age with higher social status and advanced education. They usually act as opinion leaders in most social circles and they enjoy sharing their experiences and knowledge with the social groups. They are aware of the need for change and they do not need further information to convince them to adopt.

1.5.4.4 Early Majority

This group adopts an innovation before an average person. They interact with the peers in the social groups, but they do not often take up the leadership role in groups. They usually deliberate more time than innovators and early adopters in adopting an innovation. They will make contact with early adopters for opinions when deciding to adopt new ideas and products.

1.5.4.5 Late Majority

Individuals who adopt an innovation after the majority of the society are the late majority. They belong to a sceptical group that adopt an innovation only after most others have already adopted the innovation or there is strong pressure from peers in their groups. Their social status is below average with very little financial lucidity. They seldom take up the opinion leadership role in social groups.

1.5.4.6 Laggards

Individuals in this group are traditionalists who are the last to adopt an innovation. They have little or no opinion leadership. They are conservative and focused on the past. Their decisions are made based on previous generations. They tend to be advanced in age with the lowest social status, the lowest financial fluidity and an aversion to change agents.

1.5.4.7 Non-adopters

These individuals never adopt the innovation. They are not venturesome or they may not have the need for the innovation. They only make up a very small portion of the entire population.

1.5.5 Legal Environment

Laws impose constraints on businesses that managers must understand and abide by. This means that companies have little choice but to spend time and money to ensure that their decisions and actions are in line with legal requirements. Typically, these laws are intended to protect the interests of consumers, employees, communities and the environment. Managers must understand and abide by these rules to operate legally.

In addition, all industries, businesses and professionals must follow the **regulations** – or standards and rules – set by external governing bodies such as government agencies and industry associations. These regulations oversee business practices to ensure fair competition and ethical behaviour. When ethical misconducts arise, the law must step in to enforce good business practices.

1.5.5.1 Compliance

Compliance is when a company conforms to a rule, policy, standard or law. The compliance of any public and private company is listed on the website of Companies Registry under HKSAR.

1.5.5.2 Ordinances and Regulations

Ordinance is a law enacted by a local authority or a municipality. Ordinance and regulations govern the operation and management of companies in a market. In total, there are 1,182 ordinances in effect, including Business Registration Ordinance (Cap.310), Inland Revenue Ordinance (Cap.112), Partnership Ordinance (Cap.38), Banking Ordinance (Cap.155), and so on.

Financial institutions are required to comply with due diligence and reporting requirements in the Inland Revenue Ordinance (Cap.112) (IRO) and observe the department's *Guidance for Financial Institutions* which should be read to ensure consistency with the commentaries on the Common Reporting Standard (CRS), CRS-related FAQs and CRS *Implementation Handbook* of The Organisation for Economic Co-operation and Development (OECD).

1.5.5.3 Legal Procedures of Forming Different Entities

Businesses other than local limited companies have to register with the Inland Revenue Department within one month of business commencement.

The Companies Registry is responsible for processing incorporation of local limited companies. The Companies Registry will issue the Certificate of Incorporation and the Business Registration Certificate in one go if the application is successful.

1.5.6 Environmental Concerns

Resource availability and scarcity is one major challenge that businesses face today. Food, energy and water are three types of resources that affect business operations. Demand for these resources is primarily determined by the world population, which is currently around 8 billion. If the current rate of population growth at about 1% a year continues, in 70 years the world population will double, which means demand for resources will also double.



Resource scarcity is a pressing issue in what a business would call the external environment. Another type of environment that managers must deal with when operating a business is the internal environment. Unlike the external environment, which is forces outside the organisation, the internal environment involves forces inside the organisation. A company's employees are part of its internal environment, whereas the available talent pool, with the right skills, knowledge, creativity and relationships, from which the company needs to hire in order to optimise its performance, is part of the external environment.

1.5.6.1 Niche

Managers may or may not have the power to change the various forces in the two different environments: sometimes they may have direct control, while at other times they may have little to no influence. Managers may also focus their companies on a specific niche and develop strategies to fit those niches.

For example, business managers have some limited power over their suppliers, who are needed to provide the business with resources such as material, money, manpower and information. To operate a restaurant, for instance, the restaurant manager would have to source the food and beverages, linens and cleaning chemicals, temporary workers during holidays, financing and many other things. As suppliers are also businesses, they too have suppliers.

Companies may also come under the influence of **advocacy groups**, which are groups of people dedicated to creating change based on their values and concerns. These range from wildlife protection and poverty alleviation to green practices. By providing factual information, advocacy groups help consumers make informed decisions.

Advocacy groups may try to persuade companies to do things differently and may even pressure them into changing by staging protests or raising awareness of their cause through advertisements and social media.

1.5.6.2 Location

Owing to the growth of the economy and business in Hong Kong, water, waste, noise and air pollution affect the ecology of Hong Kong. Littering is also a problem of land pollution. The air pollution is mainly from the exhaust gas of vehicles. Water pollution is caused by inappropriate treatment of sewage. As people become increasingly concerned about global warming, pollution and other environmental issues, organisations have to recognise that consumers expect them to respect the environment and help preserve natural resources. When companies act in ways that are harmful to the environment, they could be criticised harshly, leading to significant losses and expensive reputation management. Sometimes mistakes are severe and irreversible, with grave consequences, such as a nuclear plant failure or a major oil spill. These could stir up enough public anger for a company to be sued and put out of business.

1.5.6.3 Potential Expansion Options

The shift in demand for 'green' products and services also means opportunities for green businesses that are able to demonstrate that sustainability is a core element in their operations. As part of their business strategy, these companies might emphasise their green practices, such as efforts to cut down waste, increase recycling, reduce water consumption, improve energy efficiency and use renewable energy.

1.5.6.4 Environmental Regulations

Environmental legislation ensures the empowerment of environmental protection departments to control different environmental problems created by businesses. In Hong Kong, there are several environmental ordinances imposed including Air Pollution Control Ordinance (Cap.311), Waste Disposal Ordinance (Cap.354), Water Pollution Control Ordinance (Cap.358), and so on.

Illustrative Example 5

The operating costs of Joe's sushi restaurant have risen significantly since his launch five years ago. With increasing concerns for environmental protection, the amendment bill on the Municipal Solid Waste (MSW) Charging Scheme has been introduced into the Legislative Council on 14 November 2018. It is proposed that restaurants will be charged HK\$0.11 per litre of garbage that they dispose of. This scheme will force restaurant operators to adopt a waste management system and find ways to reduce waste at source, manage waste sorting and recycle food waste.

Joe has learnt how to appreciate the sociocultural behaviour of his target audience in order to develop appropriate business strategies. Since the positioning of this sushi restaurant is contemporary premium Japanese cuisine for young executives, Joe decides to recruit employees, in particular frontline and marketing staff, who are of the same generational cohort. He hopes that the teams, with similar age and background, can work closer together and that they would have a better understanding of the expectation and lifestyle of the target customers.

And with the penetration of mobile technology these days, many people in Hong Kong enjoy sharing food pictures on social media such as Instagram and Facebook. With the creative dishes by the master chef, the marketing team of Joe's restaurant runs frequent online promotion programmes on social media. Customers are encouraged to take photos of the food and share them on their social media platforms, thus raising awareness of the restaurant amongst similar target audiences and attract their future patronage.

1.5.6.5 Corporate Sustainability

Nowadays, businesses are necessary to oversee environmental concerns for sustaining corporate development as our worldwide resources are limited and in poverty. Not only pursuing profit, management should also be aware that having a good market sense and driving actions will help to maintain sustainable development goals. Whether you are working in a private company, a listed company or even a not-for-profit organisation, environmental issues like climate change or energy consumption can be turned into green opportunities or risk mitigation from time to time. In the modern and fast-growing economy, sustainability is inevitable to help business growth by enacting a long-term and valuable strategy that works in harmony, aligning with all stakeholders around the world.

In Hong Kong, the Environmental, Social and Governance (ESG) reporting guide in Appendix 27 (<https://en-rules.hkex.com.hk/rulebook/environmental-social-and-governance-reporting-guide-0>) of the Main Board Listing Rules consists of two levels of disclosure obligations for the issuers to disclose about company policies on Environmental and Social areas, including

general disclosures and key performance indicators on various aspects to demonstrate how they have performed. Corporate governance is addressed separately in the Corporate Governance Code (Appendix 14 of the Main Board Listing Rules; <https://en-rules.hkex.com.hk/rulebook/appendix-14-corporate-governance-code-and-corporate-governance-report>). For the sake of demonstrating the commitment to building a sustainable future, companies must voluntarily protect the world by identifying any significant environmental impacts, assuming social responsibility and conducting business ethically.

The guide can help investors avoid companies that pose a greater financial risk for their environmental and social practices. ESG is related to three areas. 'Environment' covers topics like climate change, air and greenhouse gas emissions, generation of hazardous and non-hazardous waste and use of natural resources. 'Social' covers compliance with employment and health and safety laws and regulations, employees' development and training, supply chain management and product responsibility. 'Governance' relates to the quality and effectiveness of the board of directors, risk management and internal control systems.

This guide also provides information on the ESG reporting principles (materiality, quantitative, balance, and consistency, as listed in A27-3). Companies need to report what ESG practices in terms of level, scope and processes were adopted, what were the thresholds important to investors and other stakeholders, measurable KPIs used to demonstrate significant environmental and social impacts, etc. The report has to be unbiased and the methodologies adopted should be consistent for meaningful and reliable comparison. This guide also reminds companies what ESG issues have to be included in their business review reported in each financial year.

Apply and Analyse 5

Apply

Z&E is a European-based clothing and accessories brand. It has an online store and more than 1,800 stores all over the world. It is the market leader in the fast fashion industry. It is noted for selling modern designs at affordable prices and adapting to the customers' preferences. Z&E decides to open stores in Hong Kong. In order to stay competitive in the market, Z&E decides to deploy new technology to track customer preferences on its products. One idea is to use radio-frequency identification (RFID) tags on all of its displays. Analyse and describe the impact of this new technological development on Z&E and how it can improve the customer experience.

Analysis

In order to improve the efficiency, Z&E can decide to deploy RFID tags on each of its display items. Whenever a piece of clothing is being taken off the racks to try-on, or being put back on the shelf, or being sold, the computer will record all these activities. And Z&E will have real-time consumer preferences for each design, and thus will be able to promptly reorder stock to meet unexpected demand and be alerted on slow-moving items for clearance.

By means of fast rollout of latest designs and replenishing new products on time to meet demand, these can improve the customer experience.

► Knowledge Check Questions

Question 16

Identify which of the following environmental factors is NOT a resource that affects how businesses operate globally.

- A Food
- B Water
- C Energy
- D Shelter

Question 17

A convenience shop plans to mobilise all its transactions and payment systems because of recent mobile technology such as the QR Code. Identify the external factor of this decision.

- A Political
- B Technological
- C Environmental
- D Sociological

Question 18

A grocery store displayed a promotional sale of a bag of chocolate with price tags showing the standard price as HK\$4.5 and a discounted price as HK\$10 for two pieces. The total amount charged for two pieces of the same bag of chocolate was HK\$9 and that was lower than the discounted price of HK\$10. The discounted price actually misled consumers into believing that a price advantage was on offer. According to the Trade Descriptions Ordinance (Cap.362) of Hong Kong, it is an offence to apply a false trade description to any goods. Identify the external factor in this situation.

- A Legal
- B Technological
- C Environmental
- D Sociological

Question 19

List the common tools for analysing the external factors and explain how the factors impact on business operations.

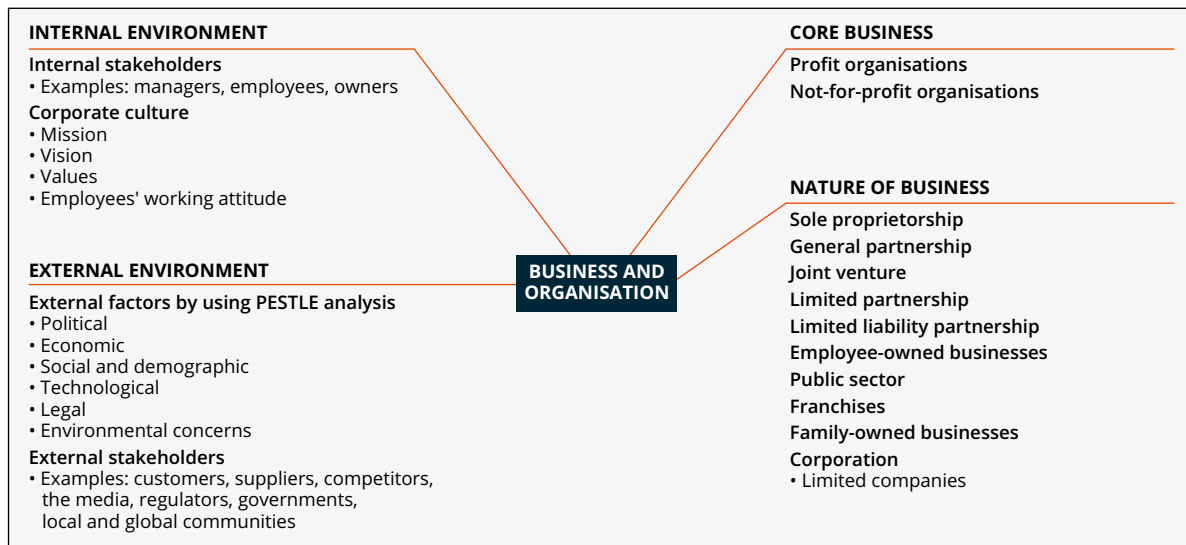


SUMMARY

- The word '*business*' is a broad term used to refer to many kinds of profit-seeking enterprises.
- The three main business structures are sole proprietorship, partnership and limited company.
- *Profits* are the rewards earned by the business people that take these risks, and are usually the incentive for starting a company, growing it and ensuring its competitiveness by providing high-quality goods and services.
- Government postal services, charities and trade associations are examples of *not-for-profit organisations*, also called non-profits.
- A company's mission, vision and values are extremely important. *Vision* is the ability to anticipate needs. An organisation's *mission* is its ultimate aim. An organisation's *values* are what it cares about and the principles that guide its actions.
- In addition, a company's mission, vision and values directly influence its *corporate culture*, which refers to the beliefs and behaviours of the company's employees and management.
- The sole proprietorship is not a separate legal or taxable entity. The firm's liabilities and assets belong solely to their owner. Its profits and losses belong to the sole owner. Unlimited personal liability puts the sole proprietor's personal assets at stake if the business loses money.
- A general partnership is an association of two or more persons to carry on as co-owners of a business for profit.
- Joint venture is a generic term that is often used to denote a one-shot general partnership-type relationship.
- In a limited partnership, there is at least one general partner and at least one limited partner.
- A limited liability partnership is a relatively new form of business organisation that carries greater protection from liability than in general or limited partnerships.
- A limited company is an artificial legal entity. Its owners (shareholders) typically enjoy limited liability.
- For a business, all organisations, groups and persons with which it interacts are known as *stakeholders* because they have a direct interest or 'stake' in the company's behaviour and performance.
- Stakeholders such as managers, employees, directors, owners and shareholders are called internal stakeholders because they are part of the company.
- The *internal environment* is composed of all internal stakeholders, such as managers and other employees, and forms the corporate culture.
- Businesses often use a tool called the *PESTLE analysis* to gain comprehensive insight into the external environment. PESTLE refers to political, economic, social and demographic, technological, legal and environmental factors (Exhibit 1.2).
- Political forces affect all businesses in some way, regardless of industry or type of business.

- Business executives often spend a lot of time monitoring, assessing and forecasting these conditions prior to making business decisions. This is to ensure that the company sells the right products and services at the right time.
- The behaviours and beliefs associated with the demographic groups form the *sociocultural forces* that influence a business.
- Everything from how we work to how we live is under the influence of technological developments.
- Laws impose constraints on businesses which managers must understand and abide by.
- *Resource availability and scarcity* is one major challenge that businesses face today.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct because it is a profit-making business.

Answer B is incorrect because this form of business does not aim to make a profit. Profit making is not its primary objective.

Answer C is incorrect because this form of business does not aim to make a profit. It is a kind of not-for-profit organisation.

Answer D is incorrect because this form of business does not aim to make a profit. It is a kind of not-for-profit organisation.

Question 2

Answer A is incorrect because it is what an organisation cares about and the principles that guide its actions.

Answer B is correct because it is the ability to anticipate needs and what an organisation can do to satisfy them.

Answer C is incorrect because it is the ultimate aim of an organisation.

Answer D is incorrect because it refers to the beliefs and behaviour of the company's employees and management.

Question 3

Answer A is incorrect because it is what an organisation cares about and the principles that guide its actions.

Answer B is incorrect because it is the ability to anticipate needs and what an organisation can do to satisfy them.

Answer C is incorrect because it is the ultimate aim of an organisation.

Answer D is correct because it refers to the beliefs and behaviour of the company's employees and management.

Question 4

Not-for-profit organisations can be found in both the private and public sectors. Trade associations, religious organisations and charities are examples of not-for-profit organisations in the private sector. Government agencies, labour unions and political parties are examples of not-for-profit organisations in the public sector.

Question 5

Answer A is correct because sole proprietorship is a single-owner business. Sunita is the only owner of her shop and she is responsible for her shop's liabilities and assets.

Answer B is incorrect because this form of business is an association of two or more persons to carry on as co-owners of a business for profit.

Answer C is incorrect because this form of business is an artificial legal entity, whereas its owners enjoy limited liability.

Answer D is incorrect because this form of business involves at least one general partner and at least one limited partner. It is distinguished from a general partnership in that its limited partners give up some of the general management rights that partners in a general partnership would have in exchange for the limited liability, which is restricted to the amount of their contribution to the capital of the partnership.

Question 6

Answer A is incorrect because all partners are responsible for any liabilities entered into by any one of the partners in a general partnership, so Salma is responsible for the debt.

Answer B is incorrect because all partners are responsible for any liabilities entered into by any one of the partners in a general partnership, so Salma is responsible for the actions of Debbie taken on behalf of the business.

Answer C is incorrect because all partners are responsible for any liabilities entered into by any one of the partners in a general partnership, so Salma is responsible for the full amount of the debt.

Answer D is correct because all partners are responsible for any liabilities entered into by any one of the partners in a general partnership, so business creditors will expect full payment from Salma.

Question 7

Answer A is incorrect because this form of business requires the owner to take responsibility for the liabilities, assets, profits and losses.

Answer B is incorrect because this form of business is an association of two or more persons to carry on as co-owners of a business for profit.

Answer C is correct because this form of business is made up of owners (shareholders) who enjoy limited liability.

Answer D is incorrect because this form of business involves at least one general partner and at least one limited partner. It is distinguished from a general partnership in that its limited partners give up some of the general management rights that partners in a general partnership would have in exchange for the limited liability, which is restricted to the amount of their contribution to the capital of the partnership.

Question 8

Joe can propose to Billy to form a limited partnership. Joe can explain to Billy the advantages and disadvantages as follows:

- Billy will have limited liability so long as he does not take part in the management and running of the restaurant.
- However, prescribed forms must be filed with the Registrar of Companies in order to form the limited partnership. The firm's name must reflect its limited partnership status by using the term 'Ltd' or 'LP'.

Question 9

Answer A is incorrect because the farmers are not shareholders (internal stakeholders) in this case.

Answer B is correct because the farmers are kinds of suppliers (external stakeholders) in this case.

Answer C is incorrect because the farmers are not the owners (internal stakeholders) in this case.

Answer D is incorrect because the farmers are not competitors (external stakeholders) in this case.

Question 10

Answer A is correct because employees are internal stakeholders in this case.

Answer B is incorrect because employees are not government (external stakeholders) in this case.

Answer C is incorrect because employees are not investors (internal stakeholders) in this case.

Answer D is incorrect because employees are not customers (external stakeholders) in this case.

Question 11

Answer A is incorrect because the government is not internal stakeholders (employees) in this case.

Answer B is correct because the government is external stakeholder in this case.

Answer C is incorrect because the government is not the owner (internal stakeholder) in this case.

Answer D is incorrect because the government is not the local communities (external stakeholders) in this case.

Question 12

Internal and external stakeholders, and their respective expectations are listed below.

Internal stakeholders	Expectations
Employees/managers	On-time salary or wages payment Safe and satisfactory working conditions Job security Job satisfaction and motivation Job promotion prospects

Internal stakeholders	Expectations
Owner/investors	Business and profit growth Share options Dividends
Shareholders	Dividends Capital gain Business growth
External stakeholders	Expectations
Customers	Quality and reliable products Satisfactory customer services Value for money
Suppliers	On-time payment Long-term contracts Purchasing growth
Creditors	Interest and principal to be repaid on time Credit rating
Communities	Awareness to environment, local paid and benefits Impact to the local communities in different perspectives Ethics and community concern
Government/Regulators	Compliance (i.e., operate legally) Tax revenue Job offers
The Media	Company information transparency
Competitors	Ethical and fair practices

Question 13

Answer A is incorrect because it refers to employees' commitment to an organisation.

Answer B is incorrect because it refers to the moral benefit and the importance of work that strengthens character.

Answer C is incorrect because it refers to the engagement to action.

Answer D is correct because it is the shared beliefs within an organisation.

Question 14

Answer A is correct because a poor work environment may induce low morale, distrust, reduced productivity and poor performance, which lead to high turnover.

Answer B is incorrect because this is a positive result of a good work environment.

Answer C is incorrect because this is a positive result of a good work environment.

Answer D is incorrect because this is a positive result of a good work environment.

Question 15

Answer A is incorrect because this principle would help shape a successful company.

Answer B is incorrect because this principle would help shape a successful company.

Answer C is correct because this principle would create a work environment with low morale, distrust and poor performance.

Answer D is incorrect because this principle would help shape a successful company.

Question 16

Answer A is incorrect because this factor can affect the businesses globally.

Answer B is incorrect because this factor can affect the businesses globally.

Answer C is incorrect because this factor can affect the businesses globally.

Answer D is correct because this factor is local-specific and does not affect the businesses globally.

Question 17

Answer A is incorrect because this decision is not affected by political factors. There is no information about intervention or support from the government.

Answer B is correct because this decision is affected by the technology developed in the market.

Answer C is incorrect because this decision is not affected by environmental factors. There is no information about the climate, weather, pollution and other environmental changes.

Answer D is incorrect because this decision is not affected by sociological factors. There is no information about the consumers and the market.

Question 18

Answer A is correct because the Trade Descriptions Ordinance (Cap.362) is a legal factor.

Answer B is incorrect because this factor is not related to the legal issues.

Answer C is incorrect because this factor is not related to the legal issues.

Answer D is incorrect because this factor is not related to the legal issues.

Question 19

The tool for identifying the external factors is the PESTLE analysis. The external factors are as follows:

- Political and government policies affect business decisions and the operating environment.
- Economic considerations such as market demand and supply, consumer behaviour, and so on, will affect business growth and sustainability.
- The social demographic of the customers and staff of a company will also determine how the company operates.
- Technological advancement will affect a company's ability to improve operation efficiency as well as its marketing and outreach to customers.
- Legal requirements will have direct impact and impose restrictions on how the company would operate in the market.
- Environmental concerns are increasingly important to businesses as there are pressure groups to lobby government policies which might have an impact on the operating environment of the business.

EXAM PRACTICE**QUESTION 1**

Three members of Abdul's family work at BioTechno, a multinational drug manufacturer. Each of them owns 5% in shares of the company. In fact, most of the employees of BioTechno, like Abdul and his family members, are stockholders of the company. Identify the nature of business ownership of BioTechno in this case.

- A.** Sole proprietorship
- B.** Employee-owned corporation
- C.** Family-owned business
- D.** Partnership

QUESTION 2

A coffee chain shop offers a contractual business arrangement to different dealers in various countries around the world to earn a profit. Identify the nature of business of this international coffee chain shop.

- A.** Franchise
- B.** Merger
- C.** Acquisition
- D.** Not-for-profit organisation

QUESTION 3

Work preferences of different generations and public values over issues such as high pay for corporate executives are examples of a certain business factor. Identify the factor described.

- A.** Economic
- B.** Environmental
- C.** Sociological
- D.** Technological

QUESTION 4

The HKSAR government imposes certain rules and regulations regarding the interest rates and transactions for its financial institutions. Identify the type of factor in this example.

- A.** Economic
- B.** Legal
- C.** Sociological
- D.** Technological

QUESTION 5

JDC is a social enterprise which provides professional training and support to children of different abilities and their families. Its mission is to provide support for people in need, but not seek a profit. Identify the type of organisation that JDC is.

- A.** Profit-seeking business
- B.** Not-for-profit organisation
- C.** Limited Companies
- D.** Franchise

QUESTION 6

G&U is a fashion and apparel brand. It strives to produce high-quality products at economical prices for customers, protect the land and environment around its factories and respect its suppliers. Identify the group that G&U is respecting in this case.

- A.** Internal stakeholder
- B.** External stakeholder
- C.** Shareholder
- D.** Government

QUESTION 7

A business owner intends to establish a successful company through a positive internal environment. Identify the principle that cannot shape a successful company.

- A.** Providing fitness and health programmes for reducing employees' work pressure.
- B.** Creating a strong corporate culture to retain competent and suitable talent.
- C.** Fostering ethical behaviour and commitment through training and education.
- D.** Creating a productive environment through layoff policy.

QUESTION 8

'Green Life' is a new not-for-profit social enterprise. Their objective is to lobby big retail chains to donate their leftover canned food, vegetables and meat and redistribute them to the needy in lower income districts such as Sham Shui Po.

- i. Identify the key stakeholders of 'Green Life'.
- ii. List the expectation of these stakeholders.

QUESTION 9

Mary is inexperienced in running her business. She has more concerns for making money and dealing with external matters and lacks attention on creating a good internal environment for her employees. Staff turnover has been high in past years. Describe the consequences of running a company with high staff turnover. Identify the ways that Mary should improve the situation.

QUESTION 10

Ocean Park Hong Kong (Ocean Park) is a famous theme park in Hong Kong. Identify and explain the external factors facing Ocean Park by using the PESTLE Analysis.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect because this form of business is owned by an owner.

Answer B is correct because this form of business is owned by employees who share the stock of the company.

Answer C is incorrect because this form of business is owned by the family members.

Answer D is incorrect because this form of business is owned by two or more persons who carry on as co-owners of a business for profit.

QUESTION 2

Answer A is correct because this form of business is a contractual business arrangement between a manufacturer or another supplier and a dealer or a retailer.

Answer B is incorrect because this form of business is an agreement in which two or more firms combine to form one company.

Answer C is incorrect because this form of business is an agreement in which one firm purchases another.

Answer D is incorrect because this form of business does not aim to pursue a profit.

QUESTION 3

Answer A is incorrect because this phenomenon is not related to economic issues.

Answer B is incorrect because this phenomenon is not related to environmental issues.

Answer C is correct because this phenomenon is related to sociological issues. It is about the trend of generational cohorts.

Answer D is incorrect because this phenomenon is not related to technological issues.

QUESTION 4

Answer A is incorrect because this phenomenon is not related to economic issues.

Answer B is correct because this phenomenon is related to political issues. It is about the intervention of the government on business.

Answer C is incorrect because this phenomenon is not related to sociological issues.

Answer D is incorrect because this phenomenon is not related to technological issues.

QUESTION 5

Answer A is incorrect because it is a profit-making business.

Answer B is correct because this form of business does not aim to make a profit. Profit making is not the primary objective of this business.

Answer C is incorrect because this form of business aims to make a profit. It is a kind of profit-seeking business.

Answer D is incorrect because this form of business aims to make a profit. It is a kind of profit-seeking business.

QUESTION 6

Answer A is incorrect because it includes managers, employees and owners.

Answer B is correct because it includes customers, suppliers, competitors, the media, governments, and local communities.

Answer C is incorrect because customers, suppliers and local communities are not shareholders in this case.

Answer D is incorrect because customers, suppliers and local communities do not belong to the government in this case.

QUESTION 7

Answer A is incorrect because this principle would help shape a successful company.

Answer B is incorrect because this principle would help shape a successful company.

Answer C is incorrect because this principle would help shape a successful company.

Answer D is correct because this principle would create a work environment with low morale, distrust and poor performance.

QUESTION 8

The internal stakeholders include employees and the board of directors of Green Life. The external stakeholders are supporters of Green Life, major retail food chains, district councils, and those people receiving the donations from Green Life.

The stakeholders have different expectations of Green Life, as follows:

- Employees: salaries/ wages, benefits, job satisfaction, contribution to the society.
- Board of directors: effective running of the organisation, contribution to the society, strictly following the vision, mission and values of the social enterprise.
- Major retail food chains: corporate social responsibilities, brand image, contribution to the society, efficient logistics in donating the food in the collaboration.

- District councils: effective poverty improvement, efficient operation of the social enterprises, improved living conditions of the needy.
- Those receiving the donations: regular supply of food, nutrition and warmth.

QUESTION 9

High staff turnover will result in high pressure and workload for remaining employees, low morale, increased risk of unethical practices and poor performance and services, affecting the company image.

Mary should be more concerned about the employees' well-being and provide better planning for their career paths as well as proper training to existing and potential staff. This would help improve their sense of loyalty and commitment to the company, as they would feel that there is a better prospect and future in staying with the company.

QUESTION 10

Ocean Park enjoys a favourable political environment in that the Hong Kong government supported the tourism industry and launched the Individual Visit Scheme in 2003. The number of arrivals is increasing, and that benefits the Ocean Park. Also, it supported the construction of the South Island railway line opened on 28 December 2016. This public transportation facilitates the accessibility of the Ocean Park, and will bring in more visitors.

Examples of the legal factors include the Ocean Park Corporation Ordinance (Cap.388), Road Traffic Ordinance (Cap.374), Dangerous Goods Ordinance (Cap.295), Minimum Wage Ordinance (Cap.608), and Environmental Impact Assessment Ordinance (Cap.499). These ordinances regulate its business operation and management.

Because of the Minimum Wage Ordinance (Cap.608), the employee wage was often reviewed. It also faces high turnover rate. These factors induce the unfavourable economic situation to the Ocean Park that the operating costs will be increased. Fortunately, the number of arrivals is increasing, and that may lessen the effect of increasing employee wages and turnover.

Other economic factors include competition from other theme parks like Disneyland and Zhuhai ChimeLong. Ocean Park needs to retain market share through awareness of ticket price increases (especially as compared to other theme parks), quality of customer experiences, and perceived value of the experience. It may be that Ocean Park needs to 'freshen' up their environment, new buildings, new displays, improved animal venues and to keep litter to a minimum. The cost of these changes should be covered by increased benefits and revenue.

The social pressures include the ageing population of Hong Kong, and that influences the number of local visitors. Also, people's awareness of the animal rights issue is growing. This concern may discourage their visit to the park.

The environmental challenge is the criticisms from animal rights, environmental and wildlife groups. Ocean Park is challenged by the groups because it keeps animals in captivity for enjoyment and research, and also the lack of suitable environment for the rare animals (for instance, the weather in Hong Kong is not suitable for polar species).

Technological development facilitates the operation and services of Ocean Park. The latest technology includes: mobile app, mobile order and payment, beacons, global positioning system (GPS), near field communication (NFC), artificial intelligence (AI), 3-D simulation and others. These all help to enhance park experiences for the visitors.

2

Competitive Analysis

CHAPTER TOPIC LIST

2.1 The Roles and Functions of Management

- 2.1.1 Planning
- 2.1.2 Organising
- 2.1.3 Leading
- 2.1.4 Controlling
- 2.1.5 Management Roles

2.2 Strategic Framework and Tools

- 2.2.1 SWOT Analysis
- 2.2.2 Porter's Five Forces
- 2.2.3 Porter's Competitive Strategies
- 2.2.4 Porter's Value Chain
- 2.2.5 Organisational Culture Analysis



LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT**LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity**

- 2.01.01** Explain the concept of management and strategic management of an organisation, including external and internal analytical frameworks (e.g. value chain analysis, SWOT analysis, organisational culture analysis, PESTLE analysis, Porter's five forces analysis)



OPENING CASE

THE COMPETITIVE ANALYSIS OF STARBUCKS

Nowadays companies must constantly look for new ways to improve customer service and lower operating costs by dealing with the competition and the market. To sharpen their competitive advantages, companies need to effectively and efficiently manage their internal functional units to improve their processes and adapt to market changes within the industry.

In the coffee café industry, Starbucks Coffee Company is facing a large number of competitors with different sizes, specialties and marketing strategies. They have to compete with each other for the potential customers as the bargaining power of the customers is strong. The switching costs to customers are low and there are many choices available in the market. There are many suppliers with many varieties to provide ingredients. The cost of doing its coffee business is moderate, but the cost of brand building is relatively high when facing the competitors like Pacific Coffee and HABITŪ.

These coffee companies are now adopting various types of technologies to sustain their competitiveness. Some of them are using modern point-of-sale systems to easily select the menu items that customers order and to collect customer data for further review and analysis. Starbucks and Pacific Coffee are using contactless payment services in store to speed up the payment process and services. Starbucks also adopted mobile and online ordering through apps to facilitate customers' purchase experiences. HABITŪ utilises QR code for its loyalty programme to reach potential customers. Some companies are looking for mobile technology and voice-ordering technology to facilitate the ordering and payment process.

To maintain the competitive edge in the coffee market, Starbucks maintains its leadership in product innovation, adapts to changing consumer tastes and preferences, diversifies its business away from coffee to its consumer product goods and food, opens up express stores instead of dine-in restaurants, and expands its business without using franchising in order to sustain the company's value and culture.

To stay competitive in the market, Starbucks manages its business through analysing its internal strengths and weaknesses, the market opportunities and threats as well as the competitiveness of its business in the industry by developing effective and efficient strategies. 



OVERVIEW

The business environment today is highly competitive and constantly changing and evolving. To be successful, organisations need managers who are highly adaptable and aware, and who can motivate and empower employees. They need to be good at planning, organising, leading and controlling.

This chapter looks at the various management roles and functions. It also looks at some of the most popular competitive analysis tools that managers use nowadays, such as Professor Michael E. Porter's theories and SWOT analysis. As any business exists within the context of its environment, business managers must analyse and understand the numerous different factors that make up a company's strengths, weaknesses, opportunities and threats (SWOTs).

Managers must also understand organisational culture as it plays a big role in determining employee attitudes and behaviours, thus affecting business operations. Culture is made up of a set of assumptions, values and beliefs that define how we think and interact, as well as what we pay attention to. Employees are most comfortable working with others who share the same world-view and may be uncomfortable working in environments that have different values which contrast starkly with their own.

Culture provides us with a sense of identity and is deeply related to our personal self-esteem. Managers who do not understand organisational culture may misperceive and misinterpret the behaviours of employees. Alternatively, managers who know how to analyse and shape organisational culture will be able to enhance employees' sense of security and create a productive and harmonious workplace.



2.1 THE ROLES AND FUNCTIONS OF MANAGEMENT

Today's business environment is constantly changing because of rapid technological innovation, dramatic economic fluctuations, globalisation, and shifting cultural dynamics in both the marketplace and the workplace. Hence, managers today must be highly adaptable and aware so they can ensure organisations respond quickly to change.

Four distinct management functions can be used to categorise the actions of managers. These are planning, organising, leading and controlling. When describing the responsibilities and work of managers, these four functions remain relevant even as work environments evolve and as managers' roles expand. To keep up with the increasing pace of communication, production and service, managers must often multitask and act on all these functions simultaneously. These functions are seen as overlapping and interconnected.



2.1.1 Planning

The **planning** function refers to the process of setting short- and long-term goals, devising appropriate strategies and making decisions on the best course of action and how to obtain the resources needed to achieve the organisation's goals. In short, planning involves defining what the organisation wants to achieve and how it will work towards that specific destination. Without a clear direction and plan, it would be very unlikely for an organisation to become successful.

In the past, organisational planning was a centralised activity performed only by a number of managers at the top ranks of a company. Nowadays, the process is driven by management's vision of the company's purpose, which is communicated to employees, customers and the society at large. Starbucks, for example, is not only known for its coffee but also for its stores with warm, comfortable interiors that share consistent designs. This is achieved because Howard Schultz, the founder of Starbucks, knew with clarity that he wanted to create a place that not only served good coffee but also provided a good experience for customers. This vision was, and still is, the foundation of all strategies and decision making, and Starbucks became as successful as it is today largely because of its commitment to this vision.

However, as the company expanded across the world, individual store managers became important leaders. Starbucks is no longer managed by just a handful of top managers; instead, the brand relies on individual store managers' understanding of their specific customers, employees and communities. While the overall vision is still manifested throughout the chain, smaller goals and certain strategies may differ from store to store according to their specific needs.

2.1.2 Organising

Plans need to be implemented in order to be useful. To do that, a manager may need to recruit a team of people and obtain the needed resources. All the actions and decisions involved in this process of preparation are part of the **organising** function.

Managers in various departments at Television Broadcasts Limited (TVB) have many responsibilities when preparing for an upcoming television show, for example, ensuring there is enough budget; making decisions on the script; selecting actors; checking that the filming locations, sets and lighting create the desired atmosphere; and making sure the music and final touches are added. The organising process for a high-quality television show might involve hundreds of people, millions of dollars and years to complete. Management must be highly organised in order for such a project to stay within its time and budget constraints.

2.1.3 Leading

Another essential function of management is **leading**; managers must exhibit leadership to ensure that activities go as planned. This involves effective communication and motivating employees and team members to work towards the shared goal. Leading is important during and after the planning and organising processes, and it becomes even more critical when setbacks or disappointments occur. To be a good leader, managers must be able to bring together diverse teams, understand what motivates employee behaviour and ensure all team members know the importance of their individual roles in the project.

This management function is much like the job of a football coach. During the break of a losing game, the coach will bring the team together and motivate them by encouraging them to focus on what matters. The coach might remind them that they must not give up and that giving their best effort matters more than winning or losing. In business, a manager might need to motivate the sales team during a sluggish economy, or inspire volunteers to help a community recover from a natural disaster. With good leadership, even an unfavourable situation might have a chance of being turned around.

2.1.4 Controlling

The **controlling** function involves all monitoring activities and processes for measuring results against goals and making corrective actions when needed. Even when a good plan is implemented and everything is organised with a good manager leading the team, controlling is needed to make sure everything is done in the right way and events happen as anticipated.

Consider again the making of a television show at TVB. To ensure that each episode is completed on time, within the approved budget and meets high-quality standards, each scene has to be inspected by the director and producer to check that it is consistent with the artistic vision and that not too much time is spent on any one scene. This balancing act ensures that all the scenes are developed with the human and financial resources available. Managers involved in the television show also meet regularly to review progress, make adjustments to the production schedule, reallocate funding and approve or redo work based on TVB's quality standards. This is very important as things rarely go as planned or organised without consistent monitoring.

In order for an organisation to enjoy long-term success, its managers must understand and effectively execute all four management functions.

2.1.5 Management Roles

A manager's work can also be described in terms of **managerial roles**, which refer to the organisation's expectations of managers. There are interpersonal, informational and decisional roles. In **interpersonal roles**, managers focus on building relationships with the people they work with. **Informational roles** require managers to obtain, analyse and communicate information to co-workers and teams to support them in their work. In **decisional roles**, managers are responsible for monitoring and assessing situations based on available information and data to make accurate judgements and decisions. When executed well, these managerial roles enable organisations to pursue goals and use resources effectively.

In every organisation, an ideal manager would be someone who motivates and empowers employees by being positive and showing them what they are capable of, who constantly evaluates data and feedback to improve the customer experience and who focuses on the learning aspects of mistakes rather than the mistakes themselves.

Illustrative Example 1

In Starbucks Coffee Company, the coffee business is led by Howard Schultz. Schultz has grown the company from a small chain to an international coffee giant. He has the decisional role for the innovation, design and development of Starbucks Reserve Roasteries around the world, the expansion of the Starbucks Reserve retail store format and the company's social impact initiatives.

Kevin Johnson is the president and chief executive officer for Starbucks. He takes up the decisional and interpersonal roles to drive the business growth and to communicate with media and outsiders on behalf of the company.

Vivek Varma is the executive vice president of Public Affairs. He takes up the interpersonal role to lead and manage Starbucks communications, community efforts, global responsibility, public policy and partner (employee) engagement teams across the globe. Starbucks also appoints regional directors to manage their regions' business and provide leadership for around 90 to 100 stores.

They are responsible for driving long-term growth and business development for new and existing stores. It also has managers at every store to manage the store business, personnel training of staff and maintain personnel contacts. Both regional directors and store managers take up the informational and decisional roles at regional and store levels.

(Source: Adapted from Starbucks.)

Apply and Analyse 1

Apply

S-Mart is a grocery chain store selling gourmet foods, organic foods, vegetarian foods, frozen foods, wine and beer, bread, cereal, eggs, dairy, coffee, produce, personal hygiene products, household cleaners and vitamins. S-Mart is keen on its thriftiness and cost-saving measures. It emphasises that 'We help save your dollar'.

It has a comprehensive policy and system to search out tasty and quality food from all around the world, contracts directly with a manufacturer and maintains a small stock of each product. S-Mart also fosters a friendly and caring organisational culture through its recruitment and training policy. All employees are treated as friends. Each employee is provided with medical, dental, and vision benefits with retirement and vacation packages and staff discounts. The compensation package is higher than other companies.

Each new staff member is supervised by an experienced staff member to deliver services to the customers. Each staff member is also provided with induction training and on-the-job training to sharpen their skills in serving happy customers and for promotion. S-Mart believes that happy employees will lead to happy customers.

Explain the management roles in terms of planning, organising, leading, and controlling.

Analysis

Planning is the process of setting performance objectives and actions taken to accomplish them. S-Mart aims to save costs with an emphasis on customers, saying that 'We help save your dollar'. It has a comprehensive policy and system in planning and stocking to source foods, contract suppliers and maintain inventory levels to support its operational objectives.

Apply and Analyse 1 (continued)

Organising involves arranging resources to accomplish organisational goals efficiently. The compensation package at S-Mart is high for the industry. This attracts quality employees and that reduces high turnover rates and expenses. Its training opportunities also help develop employees' potential to support its business.

Leading inspires people to work hard to achieve high performance. S-Mart established a strong organisation culture that is friendly and caring. It hires employees to fit the culture with desired skills and character. It also arranges for experienced employees to supervise new employees when serving customers.

Controlling measures the business performance to ensure the desired results. Control goes hand-in-hand with planning to measure the success of the plan by measuring results. S-Mart has a cost control policy and system as well as attractive compensation packages to minimise turnover and recruitment expenses. Store size, inventory control and aggressive cost cutting are measured and adjusted as necessary.

Key Learning Point

Four distinct management functions can be used to categorise the actions of managers. These are **planning, organising, leading** and **controlling**.

► Knowledge Check Questions

Question 1

State the belief most likely to be a successful manager.

- A** Technical knowledge is all that is needed for success.
- B** Technical skills do not influence efficiency.
- C** Effectiveness is not impacted by human behaviour.
- D** Technical skills are necessary, but insufficient on their own for success.

Question 2

Fernando is a marketing manager of an e-commerce company. As the increase of new entrants in the market poses competition, Fernando creates a new set of goals and designs strategies to beat the competition. Describe the management functions that Fernando is performing.

- A** Planning
- B** Organising
- C** Leading
- D** Controlling

Question 3

Identify which of the following is not one of the four primary management functions.

- A** Planning
- B** Leading

► Knowledge Check Questions (*continued*)

C Controlling

D Staffing

Question 4

State the primary management function that requires the manager to monitor activities and processes for measuring results against goals and making corrective actions when needed.

A Organising

B Controlling

C Leading

D Planning

Question 5

Bling Style is a small-scale clothing and apparel shop targeted at teenagers. It sets quarterly sales goals/targets for each young and energetic salesperson at HK\$10,000. This quota and target are adjustable based on the employee's historical data and shop data. The general rule of thumb of the quota is that about 80% of the salespeople can meet it during the quota period.

The shop owner assigns one experienced salesperson as the shop manager whose duties include supervising the other salespeople, managing the business of the shop and reporting quarterly to the shop owner. Each salesperson is assigned to provide help for customers in the shop and organise the apparel on the shelf for purchase. Orientation and on-the-job training are provided for each newly joined staff member.

Commissions are provided to the employees to meet the sales target. Guidance and coaching by the supervisor to the sales team are provided weekly for improving the job performance and the shop business.

The shop owner monitors the sales made by each salesperson and compares it to the sales target set for each quarter. The owner adjusts the sales target, provides training and motivations and implements other strategies to minimise the deviations that occur.

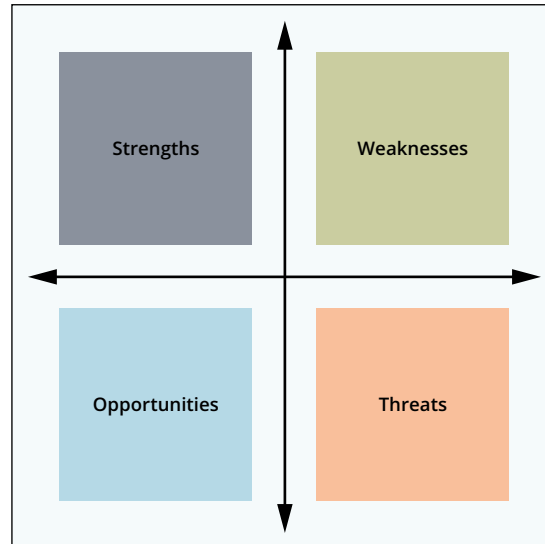
Define and explain the four management functions of Bling Style.

2.2 STRATEGIC FRAMEWORK AND TOOLS

Apart from the PESTLE Analysis discussed in Chapter 1, businesses also use a range of strategic frameworks and tools for competitive analysis. The most popular ones are the SWOT analysis, Porter's five forces, Porter's competitive strategies, Porter's value chain and organisational culture analysis. We discuss all these frameworks and tools in this section.

2.2.1 SWOT Analysis

SWOT stands for strengths, weaknesses, opportunities and threats. A **SWOT analysis** is an evaluation method used to assess a business venture's strengths and weaknesses, and to



► **EXHIBIT 2.1 SWOT analysis** (Source: Adapted from Porter 1980.)

identify the opportunities and threats open to the business (Exhibit 2.1). This structural analysis identifies favourable and unfavourable factors of the internal and external environment to the business, helping the business owners and managers understand where the business stands in the market. By systematically evaluating all strengths, weaknesses, opportunities and threats, managers can then develop effective strategies to gain and maintain competitive advantage.

A company's strengths and weaknesses include factors in functional areas such as finance, marketing, information technology and human resources. Managers may evaluate these factors for the entire company or for each individual office, factory or store.

A company's opportunities and threats include factors that are mostly external. Examples of threats for a restaurant are potential price increases in ingredients, the slowdown of the economy and increased competition from new restaurants and fast-food chains. Examples of opportunities are the possible expansion of the company's operations, increased product offerings, apps that enable the restaurant to increase sales through delivery services and stronger customer relationships by building loyalty through online platforms.

However, a SWOT analysis is not carved in stone. Strengths and weaknesses, as well as opportunities and threats, change over time. What is perceived to be a weakness may turn out to be a strength, and a threat may turn into an opportunity. The SWOT analysis is therefore often used at numerous stages of a business's life, and always with the competition in mind.

For example, when a company launches an innovative product or service that is the first of its kind, the company would be **first to market**. At that time, the company would have no direct competition. However, this advantage rarely lasts – copycats often catch up quickly with highly similar or even improved versions of the innovation. For example, Apple was first to introduce their iPhone. But soon after many competitors such as Samsung also offered similar mobile phones. The SWOT analysis would look different before and after product launch.

Even the most innovative companies constantly face competition. To survive, business managers must understand the strengths and weaknesses of not only their company, but also the competitors' products and services. This analysis is then incorporated into product development so that the company can come up with new ideas and features to stay competitive.

Illustrative Example 2

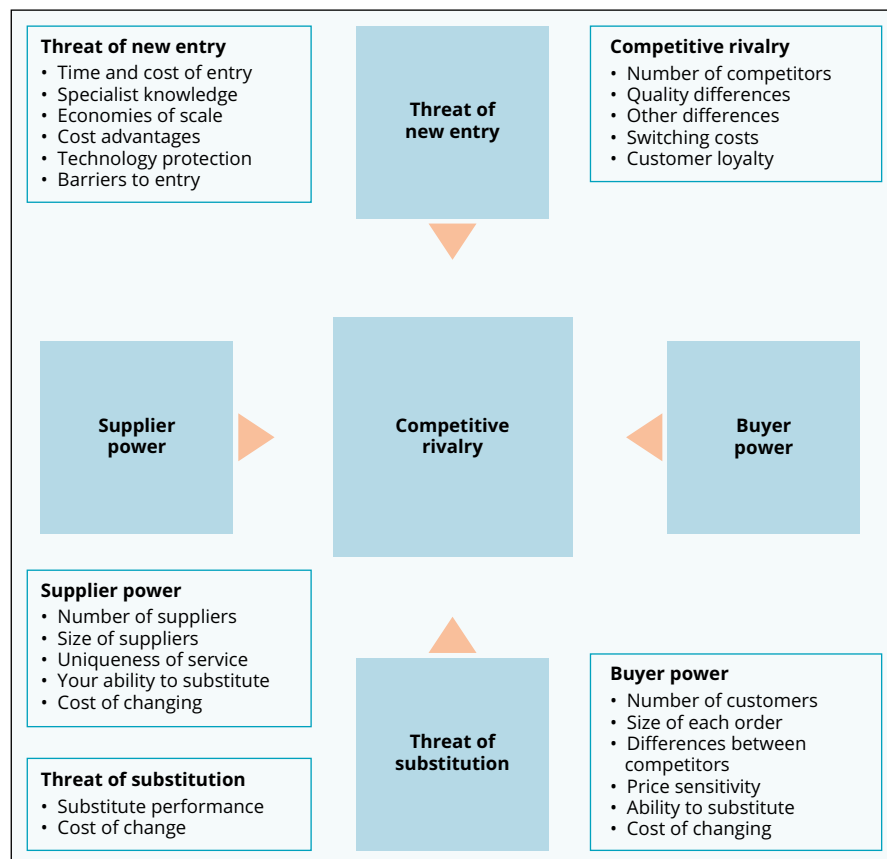
Giordano is a well-known brand selling apparel and accessories for men, women and kids. It has a good financial position, fast-track management, and supply chain systems selling value-for-money products, but it is not competitive in the apparel market in terms of brand image, price and product variety.

There are some opportunities in the market that are good for its business development, greening clothing trend, increasing awareness on health and quality products, market expansion possibility in Mainland China, and the latest technology in fabric and apparel production. Nevertheless, both local and international competitors are strong and aggressive. Consumers' needs are also changing. Operation costs are higher. These unfavourable factors are challenges to Giordano. The following table summarises the SWOT analysis of the Giordano apparel chain store in Hong Kong:

Strengths	Weaknesses
• Good financial position with strong cash flow (net). • Products are value for money so that consumers are more confident in making buying decisions. • Current supply chain systems are more comprehensive and relevant to today's demand situation. • The company's fast-track management development programme brings vitality and new ideas.	• Its competitiveness is not as strong as other brands, as it does not have its special brand logo or icon on clothes. • Prices are higher compared to competitors like Bossini and Baleno. • Less product variety than competitors.
Opportunities	Threats
• Dressing green and comfortably is a rising trend, and clothes made from natural fibres are more popular amongst consumers. • The growing awareness on health and quality of life leads to rapid development in functional clothing innovation such as anti-UV, anti-ray and self-cleaning. • The 'hyper' growth rate of the Chinese economy has acted as the growth engine for other economies, notably in the Asia-Pacific region, for example, the Middle East and South Korea. • Technology development enables consumers to buy custom-made outfits online.	• International brands grow steadily with competitive prices. • Same marketing strategies are easily used by competitors. • Changing demographics of customers who have changing needs based on their culture and habits. • Rising labour costs in Hong Kong, stricter environmental regulations and appreciation of renminbi (RMB) in Mainland China. • Rising operating costs, for example, rent, wage, salary, electricity, and so on.

2.2.2 Porter's Five Forces

Developed in 1979 by Professor Michael E. Porter of Harvard Business School, **Porter's five forces of competitive position analysis** is a framework for evaluating the position and competitiveness of a business organisation (Exhibit 2.2).



► **EXHIBIT 2.2 Porter's five forces** (Source: Adapted from Porter 1980.)

Based on the theory that there are five forces that determine the level of competition and attractiveness of a market, Porter's five forces are used to assess the competitive strength of an organisation's current position, and the strength of a position that an organisation may consider moving into. By using the model, managers can better understand where key areas of strength are, enabling them to avoid mistakes and assess whether new products or services could be profitable.

The five forces are:

- Threat of new entry
- Threat of substitution
- Buyer power
- Supplier power
- Competitive rivalry



2.2.2.1 Threat of New Entry

Profitability is reduced when many businesses enter the market. Some markets have high barriers to entry or are less attractive to new entrants because of patents, economies of scale, capital requirements or government policies. The higher the threat of a new entry, the greater the competition is.

2.2.2.2 Threat of Substitution

The likelihood of customers switching to alternative products increases when similar substitute products exist in the market. Customers tend to switch products and services when prices increase. A high threat of **substitution** reduces supplier power and makes the market less attractive.

2.2.2.3 Buyer Power

This is an assessment of how easy it is for customers to influence the reduction of prices. This is determined by the number of potential customers in the market, the importance of each customer to the organisation and the cost to the customer of switching the product or service provider. The fewer powerful buyers a business has, the more power those buyers have to dictate terms.

2.2.2.4 Supplier Power

This is an assessment of how easy it is for suppliers to influence the increase of prices. This is determined by the number of suppliers for each type of input needed, the uniqueness of their product or service, the size and competitiveness of the supplier and the cost of switching suppliers.

2.2.2.5 Competitive Rivalry

The main driver of rivalry is the number of competitors in the market and their capability. A market is less attractive if it has many competitors offering undifferentiated products and services.

By analysing these five forces, organisations can better understand the factors affecting profitability in a specific market. It can help the decision-making process when developing marketing strategies and when considering whether or not to enter a certain market or increase investment in a certain market.

Illustrative Example 3

Handcraft Coffee Café is a newly established coffee shop in Hong Kong. It is a small-scale business facing a large number of competitors with different sizes, specialities and marketing strategies in the market. It has to stay competitive amongst the competitors and attract potential customers as a wide variety of choices exists and the customers' switching costs are low.

In operating its business, it enjoys the various varieties of ingredient supplied by lots of suppliers. Running a coffee business is moderate, but the costs involved in brand building and product differentiation are relatively high when facing well-known coffee shops like Starbucks, Pacific Coffee, HABITŪ, and other small-scale coffee shops.

The following five forces analysis reveals the most significant issues facing Handcraft Coffee Café in Hong Kong:

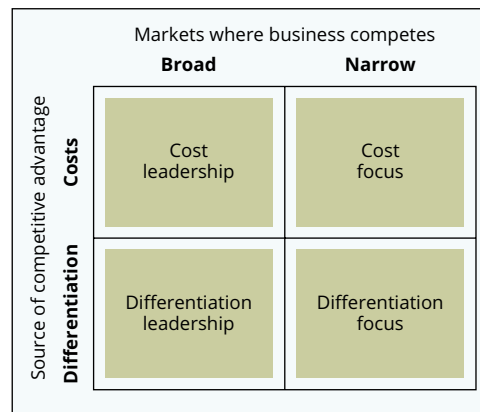
Illustrative Example 3 (continued)

	Strength of Force	Explanation of Force
Competitive rivalry	Strong	• Large number of firms with different sizes, specialities and marketing strategies (strong force) • Certain variety of firms (moderate force)
Buyer power	Strong	• Low switching costs (strong force) • Many substitutes available for choice (strong force) • Small purchase size of individual buyers (weak force)
Supplier power	Weak	• Many varieties of suppliers (weak force) • Moderate size of individual supplier (moderate force) • Large overall supply of resources (weak force)
Threat of substitutes	Strong	• Many substitutes available (strong force) • Low costs of substitutes (strong force)
Threat of new entrants	Moderate	• Moderate operating cost (moderate force) • High cost of brand building and differentiation (moderate force) • Moderate supply chain cost (moderate force)

Based on the analysis, Handcraft Coffee Café is facing a challenging and difficult situation in operating its business. It has to differentiate and stay competitive in the market through product innovation, customer services or other marketing strategies.

2.2.3 Porter's Competitive Strategies

Whether a company's profitability is above or below the industry average depends on the company's relative position within its industry. Sustainable competitive advantage is needed for a company to achieve above-average profitability in the long run. According to Porter's theory of competitive strategies, companies can possess two key types of competitive advantage: low cost and/or differentiation. Combining these two types of competitive advantage with the range of activities that a company undertakes leads to three generic strategies for achieving above-average performance in an industry: cost leadership, differentiation and focus (Exhibit 2.3).



► **EXHIBIT 2.3 Porter's generic strategies**

(Source: Adapted from Porter 1980.)

2.2.3.1 Cost Leadership

Using a broad target/lower cost strategy, or cost leadership, a company aims to be a low-cost producer or service provider in its industry. Cost advantage can come from a wide range of sources depending on the structure of the industry. A company may pursue economies of scale, proprietary technology, preferential access to raw materials and other factors. A low-cost producer or service provider must identify and exploit all sources of cost advantage. By achieving and sustaining cost leadership, and commanding prices at or near the industry average, a company can become an above-average performer in its industry.

2.2.3.2 Differentiation

In a broad target/high differentiation strategy, a company aims to be unique in its industry in ways that are valued by customers. It chooses one or more attributes that are perceived as important by many consumers in the industry and positions itself uniquely to meet those demands. A company that achieves differentiation is able to charge a premium price.

2.2.3.3 Focus

A lower target/lower cost or **focus strategy** requires choosing a narrow competitive scope within an industry. A company using this strategy selects a market segment or several segments in the industry and customises its strategy based on the unique demands and situations of these segments.

The focus strategy has two variants – cost focus and differentiation focus.

- **Cost focus** – this strategy exploits differences in cost behaviour in certain market segments, where a company seeks a cost advantage in its target segment.
- **Differentiation focus** – this strategy exploits the unique consumer needs in certain market segments, where a company seeks differentiation in its target segment.

Another variation of the focus strategy is the lower target/high differentiation approach.

Both variants of the focus strategy are based on differences between a company's target segment and other segments in the industry. The target segments must have consumers with unique demands or the company must have production and delivery processes that best serve the target segment and are different from those used for other industry segments.

Illustrative Example 4

IKEA is taking the cost leadership strategy to stay competitive in the market. IKEA offers low-priced and eco-friendly products with the modernist design. It has strong attention to the cost control and operation through promoting self-assembling of the products by the customers.

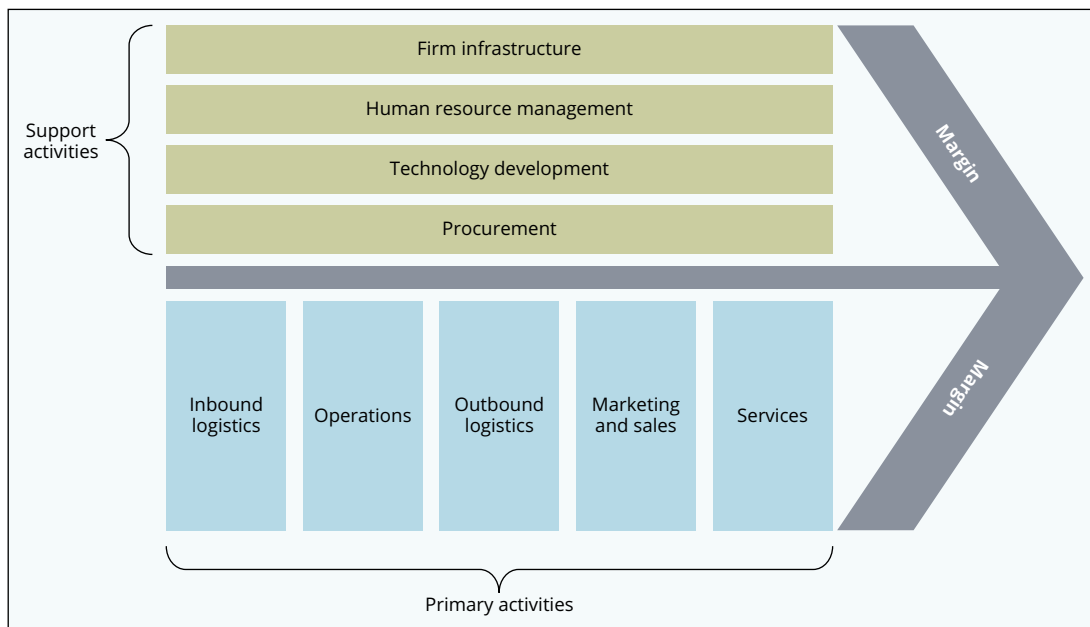
Samsung is a well-known South Korean brand. The group involves various businesses including food processing, textiles, skincare, retail, securities and insurance. Samsung Electronics is the largest information technology company in the world selling consumer electronic products. It adopts the differentiation strategy to differentiate its products and brands from the competitors through innovation and research in product development.

HK Express is a low-cost carrier. It adopts focus strategy, particularly cost focus, whereby it offers airline services to only 28 destinations in Asia.

Build-A-Bear Workshop is an American retailer selling stuffed teddy bears and animals. It adopts the differentiation focus strategy that customers can enjoy an interactive experience through designing and assembling teddy bears, animals, or other dolls at a premium price.

2.2.4 Porter's Value Chain

Porter's value chain views organisational processes as parts of a complete system comprising inputs and outputs (Exhibit 2.4). This involves the acquisition and use of resources such as money, labour, materials, equipment, buildings and land. Costs are determined by how value chain activities are carried out; thus, the value chain affects profits.



► **EXHIBIT 2.4 Porter's value chain** (Source: Adapted from Porter 1980.)

In the process of converting inputs to outputs, organisations may engage in hundreds or even thousands of activities. These activities can be classified generally as either primary or supporting activities, and all businesses must undertake them in some way.



2.2.4.1 Primary Activities

The primary activities are:

- **Inbound logistics:** relationships with suppliers and all activities related to receiving, storing and disseminating inputs.
- **Operations:** all activities related to transforming inputs into outputs (products and services).
- **Outbound logistics:** all activities related to collecting, storing, and distributing outputs.
- **Marketing and sales:** all activities related to informing consumers about products and services, convincing customers to purchase them and facilitating transactions.
- **Services:** all activities related to ensuring the product or service works effectively for the customer after it is sold and delivered.

2.2.4.2 Supporting Activities

The supporting activities are:

- **Procurement:** the acquisition of inputs (or resources).
- **Human resource management:** all activities related to recruiting, hiring, training, developing, compensating and, if necessary, dismissing or laying off workers.
- **Technological development:** relates to the equipment, hardware, software, procedures and technical knowledge obtained to facilitate the company's conversion of inputs into outputs.
- **Infrastructure:** consists of functions or departments, such as accounting, legal, finance, public relations and management, that serve the company's various needs.

Illustrative Example 5

Ming Tea is a retailer selling Chinese tea leaves, tea bags, and other tea products. As far as the inbound logistics are concerned, it appointed its in-house buyers to source the finest quality of tea leaves from China. The tea leaves are then transported to its manufacturing plants to process and pack.

All processes and packed tea leaves products are then transported to inbound distribution and logistics centres in order to maintain quality products from sourcing to the end users. Ming Tea operates in mainland China, Hong Kong, Taiwan, Singapore, Malaysia, Vietnam, Korea and Canada through company-owned stores or licensees.

It adopts outbound logistic firms to ensure reliable and secured storage and delivery of the products. Its marketing and sales strategies are attractive to consumers. It has its own retail shops and online shops available for the selling points stated above to ease the purchasing process. A wide variety of promotion and pricing strategies, such as product sampling, gift and premiums, quantity discounts, rebate, and loyalty programmes, are offered to consumers throughout the years. Ming Tea aims to provide reliable and empathetic services to its consumers through staff training and service guidelines.

Illustrative Example 5 (continued)

Ming Tea procures quality resources from quality and reliable farmers in China. Its infrastructure includes various departments, in the same way as other companies, to facilitate its operation, distribution, financing, bookkeeping, marketing, and human resources. Its employees are given different sets of uniforms for differentiating their teams and roles. Its human resource management provides orientation and training to employees to facilitate their understanding towards tea, its products, and their job duties and responsibilities. Its remuneration and medical packages, as well as recognition and award schemes, are attractive and comparable to many beverage and tea companies. All these help to maintain happy staff, low turnover rate, greater productivity, better services, and stronger loyalty.

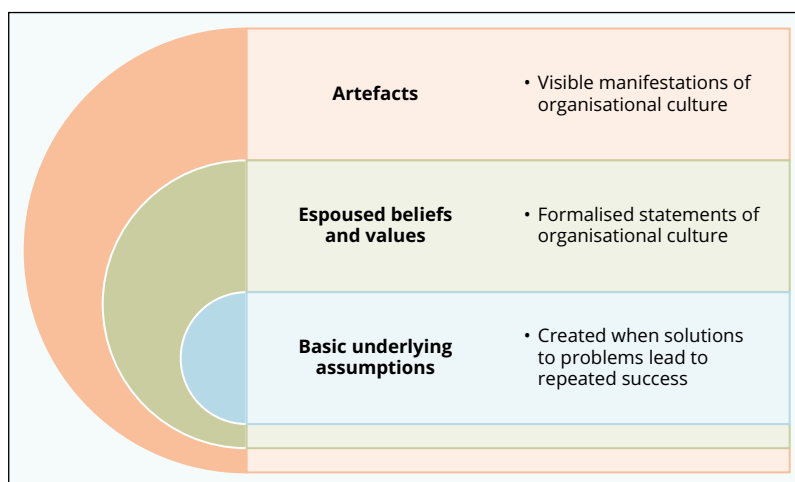
Ming Tea adopts the latest machines and technology for processing and packing tea products to the highest quality. It uses the Internet to operate its online shop and other software to manage stock and distribute products. Its product research department also develops the latest technology to process and pack tea products. Because of the above successful value-chained activities, it ensures that it can be a quality tea products provider.

2.2.5 Organisational Culture Analysis

An organisation's culture is important because it influences how employees behave and interact with each other. It also affects how other stakeholders, such as customers and the general public, perceive the organisation. Thus, organisational culture can affect everything from employee productivity and work ethic to publicity and sales, and consequently the company's bottom line. A strong culture can be the key to the success of a company.

In general, culture can be analysed based on the degree to which cultural phenomena is visible. These range from obvious manifestations that you can see and feel, to deeply embedded assumptions that you may take for granted and of which you may not be consciously aware. Between these extremes are various espoused beliefs, values, norms and rules of behaviour that define a culture.

Recognising these critical levels of cultural phenomena make us aware why it is so difficult and anxiety provoking to change an organisation's culture (Exhibit 2.5).



► **EXHIBIT 2.5** Organisational culture analysis



2.2.5.1 Artefacts

Artefacts refer to the things you will see, hear and feel when you encounter an unfamiliar culture. These include tangible factors, such as the architecture of a physical environment; language; technology; artistic creations; style, such as in clothing and personality; myths and stories told about the organisation; published lists of values; and rituals and ceremonies. For example, organisational processes, formal descriptions of how the organisation works and organisation charts are all artefacts of culture.

Artefacts are both easy to observe and difficult to understand. Outsiders can describe what they see and feel but cannot easily understand what those things mean to an organisation. Some things may not make sense to outsiders unless they ask insiders for insights.

Inferring deeper assumptions from artefacts alone could lead to very inaccurate interpretations that are only projections of the observer's cultural background. For example, an outsider might interpret a very informal organisation as 'inefficient' if they assume that informality means playing around and not working. Alternatively, an outsider might interpret a very formal organisation as 'lacking innovativeness' if they assume that formality means bureaucracy and standardisation. Both of these interpretations may be wrong – why an organisation does things a certain way becomes clear only when enough time has been spent with the organisation or when insiders explain why.

2.2.5.2 Espoused Beliefs and Values

All organisational values reflect someone's sense of what ought to be – their original beliefs and values. Solutions proposed to deal with new tasks or problems reflect certain individuals' assumptions about what is right or wrong, and what will or will not work. When a leader is able to convince the team to do things in a certain way, the leader's beliefs and values become a shared basis for how things should be done. These then become the **espoused beliefs and values** of the organisation.

For example, a manager might propose to increase advertising to boost sales. If the manager convinces the organisation to act accordingly and it indeed leads to increased sales that justify the advertising costs, then the manager's perceived value of advertising would gradually become a shared value, and if actions based on it continue to be successful, it would ultimately become a shared assumption. Members of the organisation will eventually forget that this belief was debated at an earlier time and that someone had to convince them to take this course of action.

Of course, not all beliefs and values are adopted into the organisational culture. Only those that have been tested and continue to work reliably to solve the organisation's problems would be transformed in such a way. Some proposed solutions may fail, while some claims may not be testable at all (such as those to do with less controllable factors in the environment or with moral values, religious beliefs or aesthetic taste). Consensus through **social validation** – that is, confirmation through shared social experiences – could lead to such claims being adopted into the culture, but, even then, the link between performance and certain strategies that are based on untestable beliefs may be hard to prove.

Sometimes, beliefs become so deeply entrenched in an organisation that they become non-discussible assumptions. Although such assumptions might provide meaning and comfort to individuals in the organisation, they may not actually improve performance.

Espoused beliefs and values are often explicitly articulated in an organisation because they guide employees on how to behave and deal with difficult situations. In this sense, the espoused beliefs and values reflect the organisation's desired behaviour. However, the beliefs and values might be highly abstract and even contradictory, for example, when a company claims to equally value stockholders, customers and employees, or when it claims to have both lowest cost and highest quality.

2.2.5.3 Basic Underlying Assumptions

Basic underlying assumptions are created when solutions to problems lead to repeated success. What was once a hypothesis can become known as the reality, and the values behind a solution can become taken for granted. Employees of an organisation may even find behaviour based on any premise other than their basic assumptions incomprehensible.

For example, employees of an engineering company would find it inconceivable to purposely design a product that is unsafe, because the importance of safety is a basic assumption that is taken for granted and treated as common sense. Such basic assumptions are not debatable and hence are very difficult to change.

Assumptions can be dangerous. A company culture that assumes managers are always right, for instance, may cause employees to remain silent even when they know their manager's strategy is problematic. In contrast, employees would be more comfortable with pointing out problems, and managers would be more comfortable with acknowledging that they were wrong, if the company culture encourages people to embrace mistakes without feeling embarrassed or humiliated.

Unconscious, unexamined assumptions also distort the truth. For example, if an organisation's managers tend to think that human nature is lazy, they would be quick to assume that a seemingly idle person is 'loafing around' rather than thinking of solutions to a problem. They would also be less likely to trust employees to work from home and more likely to enforce strict controls to ensure that employees are busy working at their desks.

In contrast, managers who assume that people are generally self-motivated would be more comfortable with allowing employees to work from home. They would trust employees to do things their own way, and that they are thinking or planning if they are sitting quietly at their desks. An employee who is discovered to be unproductive would not be immediately thought of as lazy or incompetent; instead, the managers would assume that they have not been assigned suitable tasks.

In both scenarios, there is the potential for distortion, as whether the employee in question is motivated or not varies case by case. Broad assumptions about human nature are often derived from the larger cultural context in which the organisation operates, and these assumptions often become the basis of management and control systems. When employees are treated consistently based on certain basic assumptions, they may eventually behave according to those assumptions, thus helping to make the organisation more stable and predictable. A less confident employee who is believed to be competent and is treated as such, for instance, may eventually become competent and confident because of the organisation's faith in them.

Illustrative Example 6

Kids Play is a service centre offering various workshops and activities for kids and parents. Its vision is to provide fun, reliable and quality activities for kids and parents with care and well-trained staff. About its organisational culture, its artefacts include new hire orientation and training, welcoming parties, and annual encouragement activities for staff to ensure caring and quality staff. It also provides a colourful uniform for staff serving different units and roles to project a fun and happy image. All the employees are happy, caring and empathic.

Also, all employees have shared beliefs and values at work. They consider customers' needs and care and happiness as the first priority. They believe that happy customers will cause happy employees. They strive to offer fun, reliable and quality activities and workshops for the customers.

Kids Play assumes that all employees are self-motivated to offer safe, reliable, fun and quality activities for customers. They trust their employees to plan and execute their workshops and activities on their own. They believe that they are well-qualified to provide professional services. This is the basic underlying assumption of Kids Play.

Apply and Analyse 2

Apply

Sportswear recorded significant growth in Hong Kong. The sales of athleisure fashion clothing, running shoes, hiking shoes, and biking accessories are increasing. Nike was the leader in the Hong Kong market in 2017. It competes with strong brands like Adidas, Puma, New Balance, Reebok, Skechers, Asics, and others. Analyse the position and competitiveness of Nike in sportswear by using Porter's Five Force Model.

	Strength of force	Explanation of force
Competitive rivalry	Strong	- Low market growth rate due to high market penetration and market saturation (strong force) - Aggressive competitors striving for more market share, for example, Adidas (strong force) - Moderate number of brands (moderate force)
Buyer power	Moderate	- Low switching costs (strong force) - Moderate substitutes available in the market (moderate force) - Small size of individual buyers (weak force)
Supplier power	Weak	- High overall supply (weak force) - Large number of suppliers (weak force) - Moderate size of individual suppliers (moderate force)

Apply and Analyse 2 (continued)

	Strength of force	Explanation of force
Threat of substitutes	Moderate	- Moderate availability of substitutes (moderate force) - Moderate performance of substitutes (moderate force) - Low switching costs of substitutes (strong force)
Threat of new entrants	Weak	- High economies of scale (weak force) - High cost of brand building and differentiation (weak force) - Moderate operation cost (moderate force)

Nike is facing a moderate to favourable situation in the apparel market. Nike has a strong brand name with quality products well received by customers. It can stay competitive in the market, but continuous product research and development is needed.

Key Learning Point

SWOT stands for **strengths, weaknesses, opportunities** and **threats**. A **SWOT** analysis is an evaluation method used to assess a business venture's strengths and weaknesses, and to identify the opportunities and threats open to the business. Developed in 1979 by Professor Michael E. Porter of Harvard Business School, *Porter's five forces of competitive position analysis* is a framework for evaluating the position and competitiveness of a business organisation.

► Knowledge Check Questions

Question 6

Describe the action that an organisation would take if it decides to pursue the cost leadership strategy.

- A** Offering the best prices for its goods and/or services in the industry.
- B** Offering low-quality products at low prices with high-quality after-sales services.
- C** Offering products or services of reasonably good quality at competitive prices.
- D** Providing high-quality products at low prices in specific markets.

Question 7

State the strategy Walmart pursues which offers the lowest priced general merchandise for customers through effective cost control in the industry.

► **Knowledge Check Questions (*continued*)**

- A Decreased market share
- B Differentiation
- C Best cost provider
- D Cost leadership

Question 8

State the implication for firms that have a threat of new entrants into their market.

- A Increased price
- B Decreased market share
- C Increased demand for services
- D Reduced quality

Question 9

Identify the cause of a firm's strategy to boost demand for its service by reducing price and improving the quality of its service.

- A Threat of substitute products from other industries
- B Buyer power
- C Increase in suppliers' bargaining power
- D Low threat of new entrants into the market

Question 10

Identify the process of analysing an organisation's activities to determine where value is added to products and/or services and what costs are incurred for doing so.

- A Value chain analysis
- B Value grid trial
- C Value networking
- D Value shop

Question 11

Banana Inc. is a newly developed American multinational technology company. It designs and sells computers, notebooks, mobile phones, audio, TV, computer software, and other online services. It adopts a new operation system, which is different from iOS and Android. It is more user friendly and easier to use for all ages.

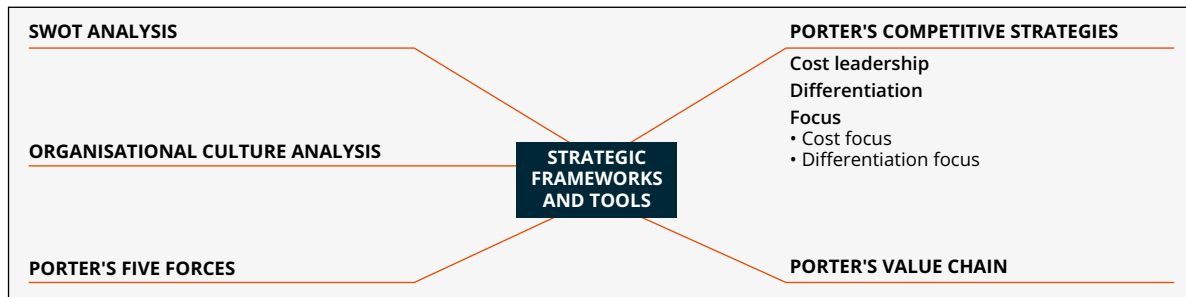
Describe the five forces developed by Michael E. Porter and used to analyse the competition within an industry. Describe the level of competition of Banana Inc. by illustrating with Porter's five forces model.



SUMMARY

- Four distinct management functions can be used to categorise the actions of managers. These are planning, organising, leading and controlling.
- The *planning* function refers to the process of setting short- and long-term goals, devising appropriate strategies and making decisions on the best course of action and how to obtain the resources needed to achieve the organisation's goals.
- All the actions and decisions involved in this process of preparation are part of the *organising* function.
- Another essential function of management is *leading*; managers must exhibit leadership to ensure that activities go as planned.
- The *controlling* function involves all monitoring activities and processes for measuring results against goals and making corrective actions when needed.
- A manager's work can also be described in terms of *managerial roles*, which refer to the organisation's expectations of managers.
- SWOT stands for strengths, weaknesses, opportunities and threats. A *SWOT analysis* is an evaluation method used to assess a business venture's strengths and weaknesses, and to identify the opportunities and threats open to the business.
- Developed in 1979 by Professor Michael E. Porter of Harvard Business School, *Porter's five forces of competitive position analysis* is a framework for evaluating the position and competitiveness of a business organisation. The five forces are: threat of new entry; threat of substitution; buyer power; supplier power and competitive rivalry.
- According to Porter's theory of competitive strategies, companies can possess two key types of competitive advantage: low cost or differentiation.
- *Porter's value chain* views organisational processes as parts of a complete system comprising inputs and outputs.
- An organisation's culture is important because it influences how employees behave and interact with each other. In general, culture can be analysed based on the degree to which the cultural phenomenon is visible.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because the statement is not true to be a successful manager.
 Answer B is incorrect because the statement is not true to be a successful manager.
 Answer C is incorrect because the statement is not true to be a successful manager.
 Answer D is correct because technical skills are necessary to be a successful manager, but are not the only factor.

Question 2

Answer A is correct because creating goals and designing strategies is part of planning.
 Answer B is incorrect because organising does not involve creating goals and designing strategies.
 Answer C is incorrect because leading does not involve creating goals and designing strategies.
 Answer D is incorrect because controlling does not involve creating goals and designing strategies.

Question 3

Answer A is incorrect because planning is one of the four primary management functions.
 Answer B is incorrect because leading is one of the four primary management functions.
 Answer C is incorrect because controlling is one of the four primary management functions.
 Answer D is correct because staffing belongs to the subcategory of the leading function.

Question 4

Answer A is incorrect because organising involves recruiting a team of people and obtaining the needed resources for achieving the goals set.
 Answer B is correct because controlling involves monitoring activities and processes for measuring results against goals and making corrective actions when needed.

Answer C is incorrect because leading involves leadership to ensure the planned activities are properly implemented.

Answer D is incorrect because planning involves setting goals, devising strategies and making decisions on action and sources of resources.

Question 5

The planning function encompasses defining an organisation's goals, establishing an overall strategy for achieving those goals, and developing a comprehensive hierarchy of plans to integrate and coordinate activities. For Bling Style, the shop owner has good planning in managing the employees with the sales quota, which is adjustable based on the historical data of individual employees and the shop. Its quota was well planned so that 80% of the salespeople can meet it during the quota period.

Organising includes the determination of what tasks are to be done, who is to do them, how the tasks are to be grouped, who reports to whom, and where decisions are to be made. Assigning projects and project team leaders is an example of organising. For Bling Style, it arranged an experienced salesperson as the manager to supervise other less experienced salespeople and manage the shop operation. Specific duties are assigned to each salesperson, which facilitates the organisation of the business.

The leading functions involve motivating employees, directing the activities of others, selecting the most effective communication channels, and resolving conflicts amongst members. Leading weekly sales meetings on informational topics to motivate a sales team is an example of leading. For Bling Style, the employees are motivated to meet sales quota through the commissions as well as being led by weekly guidance and coaching. It also provides support for new staff through orientation and training. All these can help improve their job performance.

Controlling involves monitoring, comparing and correcting to get the organisation back on track. Reprimanding an employee who consistently arrives to work late is an example of controlling. For Bling Style, the employees' performance is monitored quarterly with feedback for further improvement. The sales target is adjustable, and training and motivations are provided to reach the target. It shows that the controlling function is well implemented in the business.

Question 6

Answer A is incorrect because best prices cannot suit this strategy.

Answer B is incorrect because low-quality products cannot suit this strategy.

Answer C is correct because the statement is well suited to this strategy.

Answer D is incorrect because high-quality products cannot suit this strategy.

Question 7

Answer A is incorrect because change in market share is not related to the strategy.

Answer B is incorrect because differentiation is not related to the strategy.

Answer C is incorrect because best-cost consideration is not related to the strategy.

Answer D is correct because cost leadership is related to the cost control and low-priced strategy in its industry.

**Question 8**

Answer A is incorrect because increasing price can be an implication of low level of threat of substitutes but not an implication for new entrants.

Answer B is correct because new entrants may capture the market share of existing brands, if the market size remains the same.

Answer C is incorrect because increasing demand for services is not the implication for the statement. It is related to the buyer aspect, but not the competitors.

Answer D is incorrect because reducing quality is not the implication for the statement. It is related to the company itself.

Question 9

Answer A is incorrect because the threat of substitute products is not related to the consumer demand and needs.

Answer B is correct because the series of actions can be related to customer bargaining power.

Answer C is incorrect because bargaining power from suppliers is not related to the consumer demand and needs.

Answer D is incorrect because the threat of new entrants is not related to the consumer demand and needs.

Question 10

Answer A is correct because value chain analysis is the process for adding value to the products and/or services.

Answer B is incorrect because there is no such tool.

Answer C is incorrect because this answer is a kind of social and business gathering organised by like-minded people.

Answer D is incorrect because this answer is about the shop selling products at bargain prices.

Question 11

Porter's primary competitive forces that analyse the competition within an industry includes:

- Competitive rivalry refers to the rivalry amongst competing sellers in an industry. A market is less attractive to the market player if it has many competitors offering undifferentiated products and services.
- Threat of new entry refers to the potential new businesses entering into an industry. The higher the threat of new entry, the greater the competition is.
- The buyer power refers to bargaining power that customers have within an industry. The fewer powerful buyers a business has, the more power those buyers have to dictate terms.
- The supplier power refers to the bargaining power that suppliers have within an industry. A stronger supplier would increase the competitiveness of an industry and decrease the profitability for the market players.

- The threat of substitution refers to the potential of substitute products from other industries. A high threat of substitution reduces supplier power and makes the market less attractive.

Analysis on Banana Inc.:

	Strength of force	Explanation of force
Competitive rivalry	Strong	• High aggressiveness of other brands in product innovation and imitation, as well as advertising, for example, Apple, Samsung, LG, Sony, Xiaomi (strong force) • Low switching cost amongst brands to customers (strong force)
Bargaining power of buyers	Strong	• Low switching costs (strong force) • Small purchase size of individual buyers (weak force)
Bargaining power of suppliers	Weak	• High number of suppliers available for providing phone components (weak force) • High overall supply (weak force)
Threat of substitutes	Weak	• Many substitutes available (moderate force) • Low performance of substitutes (weak force)
Threat of new entrants	Moderate	• High capital requirements (weak force) • High cost of brand building (weak force) • Strong capacity of potential new entrants, for example, Google (Nexus smartphones) (strong force)

Based on the above analysis, the competition in this market is moderate to strong for Banana Inc. It has to develop a competitive advantage over its competitors. It could focus on one distinctive product to stand out in the market and attract the potential customers, and then induce their interests in other products through developing their loyalty towards the brand of Banana Inc.

EXAM PRACTICE

QUESTION 1

State the function that involves designing an organisation's structure, such as who reports to whom.

- A. Organising
- B. Controlling
- C. Contemplating
- D. Leading

QUESTION 2

Identify the management roles if managers build relationships with the people they work with and act as a public symbol for the many people they represent.

- A. Informational role
- B. Interpersonal role
- C. Operational role
- D. Decisional role

QUESTION 3

ABC Manufacturer offers products that are unique compared to its competitors' products. Identify the Porter's competitive strategy that ABC Manufacturer adopts.

- A. Cost leadership
- B. Cost focus
- C. Differentiation
- D. Focus

QUESTION 4

Identify which of the following is an example of a cost leadership strategy.

- A. Alta Automotive offers a luxury car brand, called Vector. Despite their luxury branding, some Vector models are mid priced.
- B. Island Hotel offers luxury suites with excellent service and it charges a price as high as HK\$10,000 per night.
- C. Dog Pack motorcycles targets only the high end of the heavyweight market – the high-end premium cruiser market – with names such as Wolf, Mastiff and Bulldog.
- D. Mark & Mason is a global home-furnishings retailer that combines trendy style, practical function and quality. It focuses on affordability and low prices.

QUESTION 5

Describe the differentiation strategy developed by Porter. Provide an example for a cake shop to stand out in the industry.

QUESTION 6

SG is a design and printing company with an innovative image. Its physical environment is creative, clean and tidy, which is different from the usual printing houses. It used innovative design for its internal environment. Employees can have smart casual wear for their work to be consistent with its innovative image. According to the organisational culture analysis, describe the component of the above case.

QUESTION 7

Sandra Shoes is a brand producing Italian-style shoes for women and men. It is a well-known brand well received by consumers because of its quality, durable and stylish shoes selling at an affordable high price. It has its own designer to design its shoes and buying teams to source quality materials for making shoes. It has its own manufacturing plants in Spain and two licensed plants for product packaging in Vietnam. It adopts licensed logistics teams to transport its materials and final products to different sites and selling points. It has its own retail shops and online shops in Spain and Hong Kong. Its marketing and sales teams are responsible for promoting and selling products to the consumers. It adopts a membership scheme with discounts, gifts and rewards. It also uses social media marketing and digital marketing to reach the younger group of consumers. It also has a customer service team responsible for any customer enquiries, complaints and comments. Efficient and caring are the core values of its customer service team.

Sandra Shoes procures quality materials for making stylish, durable and quality shoes. Its organisational structure involves design, accounting and financing, product research and development, marketing, sales, procurement, human resources, customer services, production, information technology and distribution. All departments are well coordinated for product design, production, distribution and promotion. Sandra Shoes is a good employer. It offers orientation training and on-the-job training to strengthen employees' knowledge and skills at work. It has a fair promotion system where quality performance is recognised and rewarded. It also provides leisure activities and environment, as well as health-related programmes, for employees to ensure that they have a balanced life. It provides the latest computers and software for different departments to complete their jobs. It also keeps searching the latest technology for making its products.

Conduct Porter's value chain analysis on Sandra Shoes.

QUESTION 8

Pandora Jewellery is a famous Danish jewellery brand. It offers trendy, affordable and personalised jewellery and charm bracelets to link the customer emotionally through their unforgettable memories. It relies on its well-integrated end-to-end control to integrate its backward system vertically from in-house design, manufacturing, global marketing to direct selling. It mainly offers jewellery products and its communication strategy is not frequent and clear to the customers. The profit margin is not high, as its products were set at an affordable price. The upmarket customers are not covered at this moment.

In the market, consumer preferences are changing with more disposable income. They also prefer online channels to purchase products. However, there are many strong competitors in the market. The prices and supply of raw materials fluctuate. Its operation is in Thailand, but the political situation is not optimistic.

Conduct a SWOT analysis on Pandora Jewellery.



ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is correct because the design of an organisation structure is one of the organising functions to put the business plan into implementation for achieving success.

Answer B is incorrect because controlling is not about the design of an organisation structure but for monitoring activities, measuring goals against results and making corrective actions when necessary.

Answer C is incorrect because contemplating is not a management function.

Answer D is incorrect because leading involves the leadership skill to ensure that the activities go as planned. It does not involve the design of an organisation structure.

QUESTION 2

Answer A is incorrect because informational roles require managers to obtain, analyse and communicate information to co-workers and teams to support them in their work.

Answer B is correct because interpersonal roles focus on building relationships with the people with whom they work.

Answer C is incorrect because there is no such management role.

Answer D is incorrect because decisional roles require managers to monitor and assess situations based on available information and data to make accurate judgements and decisions.

QUESTION 3

Answer A is incorrect because this strategy aims to be a low-cost producer in its industry.

Answer B is incorrect because this strategy exploits differences in cost behaviour in certain segments, where a company seeks a cost advantage in its target segment.

Answer C is correct because this strategy aims to be unique in its industry in ways that are valued by customers.

Answer D is incorrect because this strategy requires choosing a narrow competitive scope within an industry. It focuses on selling quality products at low and affordable prices.

QUESTION 4

Answer A is incorrect because it is an inappropriate example of a best-cost provider strategy. It does not focus on the low price or cost, but mid-range price.

Answer B is incorrect because it is an inappropriate example of a best-cost provider strategy. It does not focus on low price or cost, but a high-price market.

Answer C is incorrect because it is an inappropriate example of a best-cost provider strategy. It does not focus on low price or cost, but a high-end premium market.

Answer D is correct because it is the true example of a best-cost provider strategy.

QUESTION 5

Differentiation strategy aims to be unique in its industry in ways that are valued by customers. It chooses one or more attributes that are perceived as important by many consumers in the industry, and positions itself uniquely to meet those demands. A company that achieves differentiation is able to charge a premium price. The cake shop may produce 4-D cakes with animation effect, lighting, music, or voice messages tailor-made for the customers.

QUESTION 6

In this case, the component is artefacts. It refers to the things you would see, hear and feel when you encounter an unfamiliar culture. In this case, it includes the creative, clear and tidy physical environment, innovative design of the internal environment, and employees with smart casual wear.

QUESTION 7

Value chain analysis on Sandra Shoes:

- Primary activities

Inbound logistics: It has its own designer to design its shoes and buying teams to source quality materials for making shoes. It has its own manufacturing plants in Spain and two licensed plants for product packaging in Vietnam. It adopts licensed logistics teams to transport its materials to different sites.

Outbound logistics: It adopts licensed logistics teams to transport its final products to different selling points.

Operation: It has its own retail shops and online shops in Spain and Hong Kong. Its marketing and sales teams are responsible for promoting and selling products to the consumers.

Marketing and sales: Its marketing and sales teams are responsible for promoting and selling products to the consumers. It adopts a membership scheme with discounts, gifts and rewards. It also uses social media marketing and digital marketing to reach the younger group of consumers.

Services: It has a customer service team responsible for any customer enquiries, complaints and comments. Efficient and caring are the core values of its customer service team.

- Supporting activities

Procurement: Sandra Shoes procures quality materials for making stylish, durable and quality shoes.

Human resource management: Sandra Shoes is a good employer. It offers orientation training and on-the-job training to strengthen employees' knowledge and skills at work. It has a fair promotion system where quality performance is recognised and rewarded. It also provides leisure activities and environment, as well as health-related programmes, for employees to ensure that they have a balanced life.

Infrastructure: Its organisational structure involves design, accounting and financing, product research and development, marketing, sales, procurement, human resources, customer services, production, information technology and distribution. All departments are well coordinated for product design, production, distribution and promotion.

Technological development: It provides the latest computers and software for different departments to complete their jobs. It also keeps searching the latest technology for making its products.

Based on the above analysis, the value chain of Sandra Shoes was the key success factor to ensure that it is a well-known brand selling quality, durable and stylish shoes at an affordable high price.

QUESTION 8

SWOT analysis on Pandora Jewellery:

Strengths	Weaknesses
- Setting market trends on charm bracelets and personalised jewellery. - Adopting end-to-end control that integrate backward vertically from in-house design, manufacturing, global marketing and direct selling to create the best quality and personalised jewellery. - Pandora positioned itself as an affordable and personalised luxury that linked emotionally to customers through unforgettable memories.	- Product diversification was weak in that it focuses entirely on jewellery, while the opportunities in other domains like accessories, clothing or textiles are growing. - The effectiveness of communication strategy was not as clear and strong as with other strong brands, and that caused reduced visibility for the brand amongst competitors. - Poor margins that require increasing their product price consecutively. - The upmarket customers were upset and need retargeting through re-engineering the products.
Opportunities	Threats
- Customer preferences are changing with more disposable income that increases sales opportunities. - The popularity of online channels created a new channel for Pandora for reaching customers.	- Competitors are strong, for example, Chamilia, Chopard, and Mouswad. - Fluctuations in the prices and supply of raw materials. - Political impacts within Thailand because of its main operation in this country.

3

Organisational Structure

CHAPTER TOPIC LIST

3.1 Overview of Organisational Structures

- 3.1.1 Flat Organisation
- 3.1.2 Hierarchical Organisation
- 3.1.3 Strong Leadership
- 3.1.4 Participatory Leadership
- 3.1.5 Conservative Focus
- 3.1.6 Liberal Focus
- 3.1.7 Informal Organisation Structure

3.2 Business Functions

- 3.2.1 Purchase Function
- 3.2.2 Production Function
- 3.2.3 Distribution Function
- 3.2.4 Accounting Function
- 3.2.5 Financial Management Function
- 3.2.6 Human Resources Function
- 3.2.7 Marketing Function
- 3.2.8 Information Technology Function
- 3.2.9 Inter-relationship of Each Business Function to Achieve Business Objectives

3.3 Levels of Management

- 3.3.1 Operational
- 3.3.2 Strategic and Tactical
- 3.3.3 C-Suite

3.4 Decision Making

- 3.4.1 Types of Decisions
- 3.4.2 Focus
- 3.4.3 Types of Decision-making Systems
- 3.4.4 Decision-making Approach

3.5 Authority, Accountability and Responsibility

- 3.5.1 Authority
- 3.5.2 Accountability
- 3.5.3 Responsibility

3.6 Types and Levels of Planning

- 3.6.1 Types of Planning
- 3.6.2 Levels of Planning



LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT

LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity

- 2.01.01** Explain the concept of management and strategic management of an organisation, including external and internal analytical frameworks (e.g. value chain analysis, SWOT analysis, organisational culture analysis, PESTLE analysis, Porter's five forces analysis)
- 2.01.02** Explain how entities might be designed and structured (e.g. channel oriented, market oriented, product centric, function oriented)
- 2.01.03** Describe the organisation design in terms of advantages and disadvantages of different structures
- 2.01.04** Describe the various levels of management and the function and inter-relationship of each level
- 2.01.05** Describe alternative approaches by management to problem solving and decision making (e.g. 'bottom up', 'top down')
- 2.01.06** Describe the various types and levels of planning undertaken by entities
- 2.01.07** Explain the concepts of authority, accountability and responsibility
- 2.01.08** Identify different business functions and explain how these functional areas can help to achieve business objectives



OPENING CASE

One of Hong Kong's largest travel agencies, WWPKG Holdings, revealed its customer database was hacked in 2017, putting at risk personal information such as ID card numbers and credit card information. The agency, which specialises in tours to Japan, made a police report and shut down its website and offices.

All four of its branches – in Tsim Sha Tsui, Mongkok, Causeway Bay and Sha Tin – were closed on that day and its website was also not available. In a Facebook post, the company said the closure was for a 'computer security system upgrade' and its services would resume at 12:00 p.m. after a couple of days.

The management said the system was breached by hackers who stole personal information of 200,000 customers, including 20,000 sets of credit card details. The hackers also took people's phone numbers, passport information, Hong Kong identity card numbers and addresses. The management could not estimate the loss or how long it would take for the issue to be resolved, adding that it rejected the attackers' seven-figure ransom demands. More than two days after its database was compromised, the firm's executives gave an account of the incident.

Police officers from the Cyber Security and Technology Crime Bureau were investigating the case, while a police source on the next working day said the compromised computers were in both WWPKG's main and branch offices, and were used mainly by senior management.

Middle management from the company said they could not find the reasons why the system was breached. After a few days, the media reported that the CEO will improve the system in the near future with a large budget.

This case shows that the decision-making processes concern many levels and business functions of management, as well as timeliness.



OVERVIEW

Studying high-performing organisations is much easier than creating them. There is no single best way to do things; no one organisational form can meet the needs of all circumstances. What works well at one moment in time can quickly become outdated or even dysfunctional in the next. This is why organisations often make changes to their structures and personnel and reorganise operations to improve their performance.

Organising puts people together with resources in ways designed to help them achieve performance goals. Although organisations still make use of traditional structures, new approaches are being crafted around horizontal relationships, teams and collaboration. Key trends in organisational design are reshaping structures for better alignment with the people, tasks and demands of the new workplace.

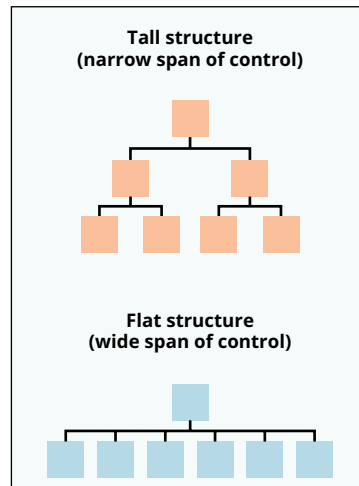
This chapter begins by examining the role of management in bringing an organisation's goals to life. Different levels of management are needed for full implementation of programmes and projects. To do this successfully, managers must have particular skills and perform specific tasks. The first of management's key tasks – planning – helps managers to meet the challenges of a rapidly changing business environment and develop strategies that guide a company's future. Other sections of the chapter explore the types of decisions that managers make, the role of managers as leaders and the importance of organising.



3.1 OVERVIEW OF ORGANISATIONAL STRUCTURES

The way in which the various parts of an organisation are arranged is usually referred to as the **organisational structure**. This includes reporting relationships, formal communication channels and workflows that facilitate a system of tasks. Organisational structure determines how diverse groups and people within a firm connect with one another and ensure their work is in sync. An organisation's structure should both effectively allocate tasks through a division of labour and coordinate performance results. A structure that accomplishes both well helps to implement an organisation's strategy.

There are two types of organisation structures: tall (hierarchical) and flat as shown in Exhibit 3.1.

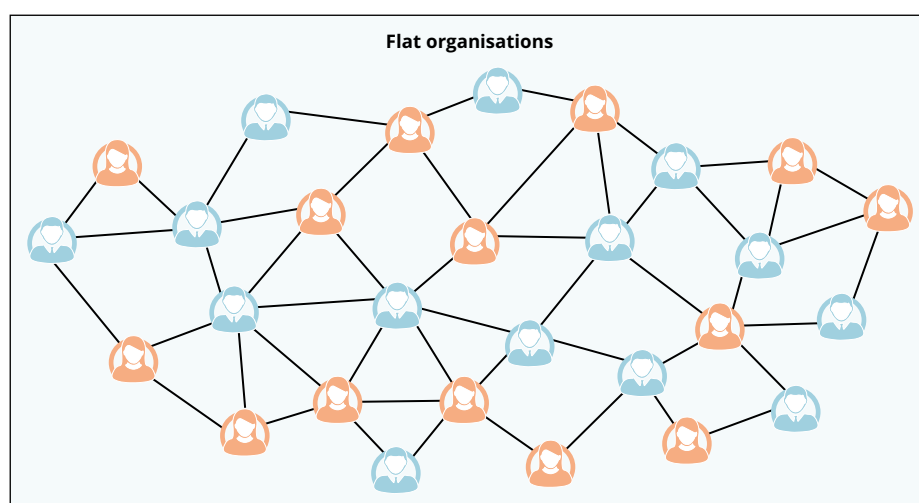


► **EXHIBIT 3.1** Organisation structures

3.1.1 Flat Organisation

Span of control is the number of people directly reporting to a manager. Wider spans of control typically result in few management levels, meaning that an organisation has a **flat structure**. Flat organisations offer a number of benefits, including reduced overhead costs, more agility and increased worker empowerment and independence.

Flat organisations (Exhibit 3.2) often organise groups of people into **project teams** that are created to support the completion of a specific task or initiative. The advantage of a team structure is that it helps to break down interpersonal barriers and mobilise diverse talents. Project teams often result in quicker and more sound decision making and better overall performance. This is because teams benefit from the diverse knowledge and skillsets of all of their members, who focus this shared expertise on a specific project. Compared with non-team workers, team members usually report higher levels of morale and often report feeling more connected to their work and more enthusiastic about their role.



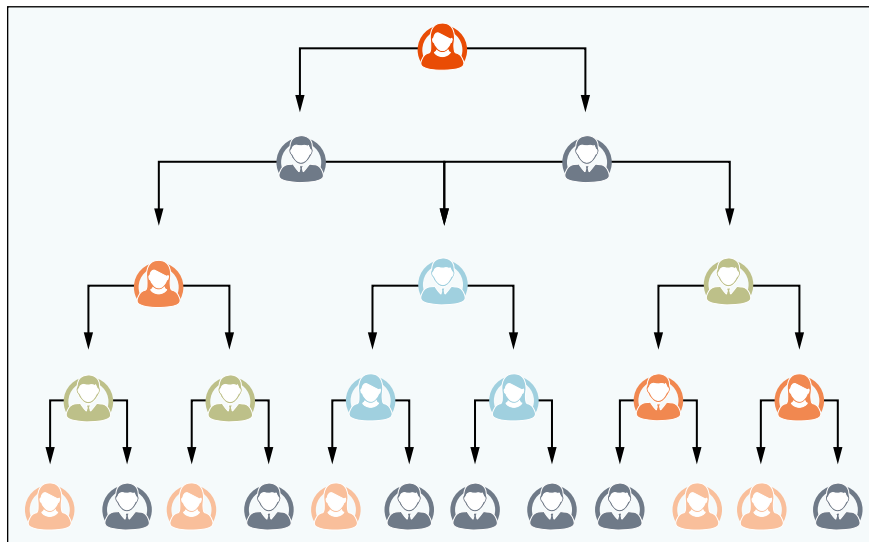
► **EXHIBIT 3.2** Flat organisations

Despite these benefits, team structures also have a few disadvantages. Teams are complex and may require frequent meetings, which can complicate workflows, inhibit time management and undermine productivity. Additionally, individual team members who also have non-team work may face competing priorities. In order for a team structure to work effectively, strong management, appropriate tools and technology and solid team dynamics must be maintained. Leadership is responsible for managing both the workflow and interpersonal relationships that are crucial to a team's success.

The current trend favours organisations cutting unnecessary levels of management and shifting to wider spans of control. As a result, larger teams working with less supervision are more common than they have been in the past. Managers must adapt to the changes in responsibility that come with wider spans of control.

3.1.2 Hierarchical Organisation

When an organisation has many levels of management, it is said to have a **tall structure**, or a narrow span of control (Exhibit 3.3). Because tall organisations have more managers, they are more costly. They also tend to be less efficient, less flexible and less customer-sensitive.



► **EXHIBIT 3.3** Hierarchical organisations

A typical organisational chart shows the **chain of command**, or the line of authority that vertically links each position with successively higher levels of management. When organisations get bigger they also tend to get taller as levels of management are added to the chain of command.

A key question of management relates to organisational structure: Should most decision making take place only at the organisation's top levels, or should it be delegated throughout the structure? The former approach is referred to as **centralisation**; the latter is called **decentralisation**. And the decision to operate one way or another is a strategic choice.

The trend now is that delegation, empowerment and horizontal structures are contributing to more decentralisation in organisations; at the same time, advances in information technology help top managers maintain centralised control.



3.1.3 Strong Leadership

Leadership success begins with how managers use their power to influence the people around them. Theoretically, anyone in a managerial position – team leader, department head, supervisor – has power, but how well it is used varies from person to person. Leaders gain power both from the position they hold and from their personal qualities.

Strong leadership that motivates others towards a common purpose is highly effective. Their power is enhanced by their ability to communicate a compelling **vision** – a hoped-for future that if achieved will improve on the present state of affairs. But simply talking up a vision is not enough. Truly exceptional leaders excel at transforming their vision into accomplishments and results.

The term **visionary leadership** describes the behaviours of leaders who offer a clear and compelling sense and view of the future, as well as an understanding of the actions needed to get there successfully. This starts with developing a clear vision and clearly communicating it with others. When communicated effectively, the vision will resonate with employees, who will find more relevance and value in their day-to-day tasks. Good leaders inspire others to pursue the organisation's shared vision.

Nowadays you will increasingly hear conversations about **servant leadership**. This means that leaders seek to help employees and other stakeholders to recognise and use their talents. In many organisations, this goes a step further to embrace a leader's ability to help everyone in a company benefit society. Instead of being focused on themselves, servant leaders are focused on others, especially those whose lives they directly influence.

When servant leaders shift the focus away from themselves and towards others, the result is **empowerment**. Empowerment is allowing others to exercise power and achieve organisational influence. Employees can become empowered when they have the autonomy to make and execute decisions. In order for this to be successful, they must be given the necessary information, responsibility, authority and trust. Employees who are empowered will work hard so that the organisation is better equipped to pursue its cause or mission.

3.1.4 Participatory Leadership

Participatory leadership involves encouraging participation by the people who will be affected by the plans and asked to help implement them. This participation should occur at all planning stages. Research strongly indicates that when people participate in setting goals, they gain motivation to work hard to accomplish them. This power of participation is unlocked in planning when people who are involved in the process gain commitment to work hard and support the implementation of plans.

Participatory planning certainly takes more time than decisions made at the top, but the potential improvements in performance and quality are often worth the extra effort. Among the benefits of participation during planning are increased creativity and greater information. Participatory leadership increases success because the people tasked with all levels of a plan's execution are more likely to understand and support plans they have had input in creating.

3.1.5 Conservative Focus

A classic **bureaucracy** is a vertical structure that relies on a strict hierarchy of authority, rigid division of labour and a set of formal policies. It is based on logic, order and the legitimate use of formal authority. This is also referred to as a **conservative focus**.

Due to their rigid adherence to established procedures, bureaucracies are associated with 'red tape'. While they were probably designed to be well-organised, fair and efficient, they often are seen as cumbersome and inflexible, making them less effective in addressing the needs of internal stakeholders and clients. Despite their reputation, bureaucracies are not inherently flawed. When deciding if a bureaucracy is appropriate, management theory asks two questions: When is bureaucracy a good choice for an organisation? What alternatives are available?

A more bureaucratic form thrives in stable environments. But bureaucratic organisations have difficulty in environments that are rapidly changing and uncertain. In these dynamic environments a much less bureaucratic form, called 'organic', performs best and is described next.

3.1.6 Liberal Focus

When organisations are in dynamic and uncertain environments, their effectiveness depends on being able to adapt quickly to changing customer tastes and preferences. This requires more **organic designs**. These are horizontal structures that operate with decentralised authority, fewer rules and procedures, less precise division of labour, wider spans of control and more personal means of coordination. This is also referred to as a **liberal focus**.

Organic designs are necessary for **adaptive organisations** that must be well-prepared for fluid situations where flexibility is necessary. The less rigid structure of organic designs results in informal workflows, ad-hoc procedures and direct employee networking. This requires a foundation of trust that gives employees the freedom to use their own ideas and expertise to do things on their own initiative and without waiting for orders from a 'boss'. This means giving workers freedom to get the job done.

3.1.7 Informal Organisation Structure

Other than the above formal organisation structure, there is usually an informal structure formed under the formal organisation. It involves the social relationship when people interact and associate with each other in an organisation.

The informal structure is created spontaneously by the employees for the purpose of satisfying psychological and social needs.

However, this type of organisation structure is not stable and informal communication is usually involved. This informal structure has its own norms, values and beliefs.

For example, in the XYZ organisation there are several who are involved in the company's football club. They play football once a week and go out for dinner after the game. Over the years, the players have become good friends and will probably interact informally on the job.

Also, all members in the informal structure are equal in terms of authority. As a comparison, formal structures (see Section 3.1.5) are created by top management to fulfil the business objectives. These are stable and durable. They involve official communication, rules and regulations. Members are organised by the hierarchical structure.



Illustrative Example 1

A famous example that uses the flat organisation structure is Valve, which is an American video game developer and digital distribution company headquartered in Bellevue, Washington. Unlike any other corporate structure that exists, there are usually no job titles, seniority, managers or executives.

At Valve, there are no job titles and nobody tells anyone on what to work. Instead, active projects are visible to all employees, who are free to select project teams to join. Employees are also welcome to start their own projects, for which they must secure funding and organise a team.

Apply and Analyse 1

Apply

A flat organisation structure has relatively few layers in the company organisational chart as the specific number varies with the complexity of the business. As the structure in an organisation refers to the reporting relationships between employees, these relationships can be shown in graphic form via an organisational chart that displays the reporting relationships between different staff members. It can link many project teams that are temporary or focus on specific tasks. Describe how the flat organisation structure suits small companies or large enterprises to improve communication amongst staff.

Analysis

A flat structure facilitates a greater level of communication between employees and management. Such companies tend to be more democratic and offer a greater level of innovation. Communication is usually faster, more reliable and more effective than in tall structures. Direct staff input leads to more support for decisions and fewer behind-the-scenes power struggles and disagreements.

In view of this, the flat structure works best for small organisations or for small units inside a larger organisation. Large structures lose flat structure benefits when there is too much variation between offices or locations. A very small company with a flat organisational structure may have all staff reporting directly to the president, whereas a multinational corporation might have many levels of management, but still be flatter than its peers.

Key Learning Point

The way in which the various parts of an organisation are arranged is usually referred to as the **organisational structure**. It is the system of tasks, workflows, reporting relationships and communication channels that connect the work and activities of diverse individuals and groups within a firm.

► Knowledge Check Questions

Question 1

Describe organisational structures that are characterised by democratic and inclusive styles of management.

- A Hierarchical
- B Bureaucratic
- C Flat
- D Functional

Question 2

Identify which of the following is not a purpose of an organisational structure.

- A To coordinate people and resources
- B To organise lines of communication
- C To formalise authority
- D To limit workers' rights

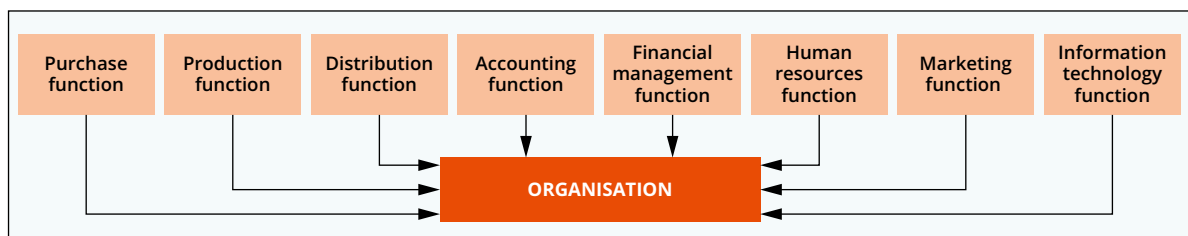
Question 3

Identify which of the following is not an advantage of a hierarchical structure.

- A Clear chain of command
- B Quick response to change
- C Discipline and stability
- D Small span of control

3.2 BUSINESS FUNCTIONS

In **functional structures**, people with similar skills who perform similar tasks are grouped together into formal work units (Exhibit 3.4). Members of functional departments share technical expertise, interests and responsibilities.



► **EXHIBIT 3.4** Functional structures in an organisation

Functional structure aims to group people with the same expertise to maximise productivity and effectiveness. The overall organisation benefits when the functional groups



perform well. Organisations that offer a small number of products, or businesses in industries that tend to be predictable, may find that functional structures work well.

3.2.1 Purchase Function

The selection of suppliers is called **sourcing**: suppliers are literally the 'source' of supply. Direct products are the raw materials and components that go directly into the production process of a product. Each industry typically has its own direct products and raw materials which they purchase from specialised suppliers and distributors who are prepared to meet the needs of a particular sector. Indirect products include items used for the maintenance, repair and operation of direct products and raw materials. Examples include computers, office supplies, workspace furnishings, custodial services and business-related travel expenses. Indirect products do not go directly into the production of finished goods. Unlike direct materials, they are not typically specific to an industry.

Because indirect goods are not as specialised or expensive as direct goods, companies do not need to be as careful about these purchases. Companies are more likely to buy indirect goods and services over the Internet or from a wider range of suppliers. Variations in the quality of indirect goods and services have little effect on the quality of a company's final products because they are not directly related to production. Despite this, most companies prefer to secure even indirect goods and services from suppliers they have established relationships with.

A key element in the development of a successful partnership between a company and a supplier is the establishment of linkages. The most important linkage is information flow; companies and suppliers must communicate – about product demand, about costs, about quality and so on – in order to coordinate their activities.

3.2.2 Production Function

Production is often defined as a transformation process. Inputs (such as material, machines, labour, management and capital) are transformed into outputs (goods and services). Client needs and feedback are used to adjust factors in the transformation process, which may in turn alter inputs. The overarching goals of production management are to maintain efficiency and ensure that the output is of greater value than the sum of the inputs.

3.2.3 Distribution Function

Distribution includes all the steps required to move a product from the producer to the end user. Transportation, physically moving a product from one place to another, is at the heart of distribution. Distribution management is responsible for the handling of materials and products at receiving docks, the storage of products and materials, packaging before goods are shipped to the end user and the shipment of products to fill customer orders. The focus of distribution, what it accomplishes, is referred to as **order fulfilment**. It is the process of ensuring on-time delivery of the customer's order.

Distribution and transportation are also often referred to as **logistics**. While similar to supply chain management, logistics typically has the more narrow scope of being concerned with just transportation and distribution, in which case logistics is a subset of supply chain management.

3.2.4 Accounting Function

Accounting is the process of measuring, interpreting and communicating financial information to enable people inside and outside a company to make informed decisions. Accounting can be considered the 'language of business'. Accountants track, record, validate, report and interpret financial information so it can be used to evaluate an organisation's financial position and to aid in decision making.

Accountants can be either internal employees or employed by outside accounting firms. An internal accountant employed directly by a firm is called a **management accountant**. These accountants typically collect and record financial transactions and prepare financial statements used by an organisation's decision makers. Management accountants provide timely, relevant, accurate and concise information that managers can use to make decisions that enhance effectiveness, efficiency and profitability. A management accountant plays a major role in both preparing and interpreting financial statements. Within a constantly changing environment, their responsibilities range from business analysis to strategy to legal compliance and reporting.

It is important to distinguish between external financial accounting and internal management accounting. The purpose of the former is to comply with regulatory and statutory rules for government regulators and the investment community. The purpose of the latter is to provide information for insights and better decision making. Management accounting practices may differ from the rules (often referred to as 'generally accepted accounting practices' – GAAP). For example, management accounting may apply activity-based costing (ABC) to apply indirect expenses to product costs. In contrast, financial accounting may use standard costing practices with more simplistic cost allocations to product costs.

3.2.5 Financial Management Function

An organisation's financial objectives include not only meeting expenses and investing in assets but also maximising its overall worth, often determined by the value of the company's common stock.

Because of the intense pressures they face today, organisations are increasingly measuring and attempting to control or reduce the costs of business operations, in an effort to maximise revenues and profits. This business function is called **finance**. As a result, **financial managers** – executives who develop and implement their company's financial plan and determine the most appropriate sources and uses of funds – are amongst the most vital people within an organisation. Financial managers are responsible for meeting expenses, investing in assets and increasing profits to shareholders. Successful financial management is critical for a company's high performance.

Financing is the first step for many business decisions. Once funding is in place, business operations, including investing, can take place. All organisations, profit oriented and not-for-profit, perform these basic activities.

3.2.6 Human Resources Function

The importance of employees to the success of any organisation is the very basis of management. Companies have a far greater chance of success when their employees are

actively and positively engaged in their work, strive to do their best and understand the organisation's vision. **Human resource management** is responsible for ensuring employees are committed to the organisation and are satisfied with their jobs. Human resources also is responsible for attracting new hires, developing and retaining the current workforce and ensuring the organisation has employees who have the skills necessary to accomplish organisational objectives. An alternative term for this function is 'personnel'.

Small companies may not have a separate human resources department, but companies of all sizes must plan for staffing needs, recruit and hire employees, provide training, evaluate performance, determine compensation, select benefits and oversee employee separation.

An organisation's overall competitive strategy must be reflected in human resource plans so suitable and effective employees are in place to fulfil organisational goals. For this reason, human resource managers are likely to be involved in long- and short-term strategic planning. In conjunction with other managers, human resource managers predict how many employees a company or department will need and what skills those workers should bring to the job – along with what skills they might learn on the job. Human resource managers also provide insights about the financial impacts of layoffs and increasing employee headcount.

3.2.7 Marketing Function

Every organisation must serve customer needs to succeed. Marketing is a process that begins with discovering unmet customer needs. In order to fulfil these needs, the marketing process begins by researching the potential market, developing a product that fills the target need and promoting, pricing and distributing that good or service. Throughout the entire marketing process, a successful organisation focuses on building customer relationships.

The best marketers not only give consumers what they want but even anticipate consumers' needs before those needs surface. Ideally, they can get a jump on the competition by connecting their brand with the fulfilment of the need.

A company's marketers find a need through marketing research and analysis of the individuals and business decision makers in its potential market. Decisions about marketing involve strategies for four areas of marketing activity: product, distribution, promotion and pricing. A company's marketing mix blends the four strategies to fit the needs and preferences of a specific target market.

3.2.8 Information Technology Function

Today, virtually all business functions – from human resources to production to supply chain management – rely on information systems. Businesses both large and small have felt the impact of the technological revolution.

An **information system** is a tool that follows an organised method for gathering and communicating information from both internal and external sources. This information records things that have happened in the past, ongoing present activities and projections about the future. Most information systems today use computer and telecommunications technology. A large organisation typically assigns responsibility for directing its information systems and related operations to an executive called the **chief information officer (CIO)**. Often, the CIO

reports directly to the company's chief executive officer (CEO). An effective CIO will understand and harness technology so that the company can seamlessly communicate internally and externally. But small companies rely just as much on information systems as large ones, even if they do not employ a full-time manager assigned to this area.

Today's CIO, closely connected to the company's overall business strategies and marketing efforts, is concerned with how cloud-delivered business services of software and data are transmitted to enterprises, with a focus on sales, customer interfaces, and 'consumerisation', the reorientation of goods and service designs around the individual end user. Cloud-delivered software resides with a software vendor via the Internet. It is increasingly replacing on-premises hardware and software operated in the company's physical location. Yesterday's CIO, focused on installation and design of software, has become increasingly aware of the need for data security, systems availability and responsiveness.

Information systems can be tailored to assist many business functions and departments – from marketing and manufacturing to finance and accounting. They can manage the overwhelming information overload by organising data in a logical and accessible manner. Through the system, a company can not only plan better but also can manage all aspects of its operations and business strategy, identifying challenges and opportunities. Information systems contain data gathered from inside and outside the organisation; the data is processed to produce information that is relevant to all aspects of the organisation. Processing steps could involve storing data for later use, classifying and analysing it, and retrieving it easily when needed.

3.2.9 Inter-relationship of Each Business Function to Achieve Business Objectives

Many factors influence the organising of business functions. The list includes a company's goals, competitive strategy, product type, industry, the use of technology and size. Small companies typically create very simple structures. In a small business, like a catering company, the owner is typically the top manager. He or she hires employees to fulfil administrative tasks, prepare food and make deliveries. The owner focuses on tasks like purchasing supplies such as fresh ingredients and warming trays, hiring and training employees, creating marketing campaigns and promotions and maintaining accounting records.

Larger companies tend to have more complex structures that have more hierarchical layers and more specialised employee roles. For example, a company with a global reach may have a number of salespeople, each responsible for a specific territory. They may report to a regional sales manager, who reports to a global sales director.

An effective structure is clear and easy for employees to understand. It establishes who reports to whom and how each job supports the company's mission and strategy.

In deciding on business functions, managers take into account the type of product the company produces, the size of the company, its customer base and the locations of its customers.



Illustrative Example 2

Organisations use functional structures or job groups based on the similarity of their functions, which differ in terms of departmentalisation. The result of these structures is departments such as marketing, manufacturing, finance, accounting, human resources and information technology. In these structures, each person serves a specialised role and handles large volumes of transactions. For example, a marketing employee working in a functional structure may specialise in event planning. As part of their position, they may be responsible for organising and executing all events that promote the company's products.

Divisional structures differ from functional structures because departments typically focus on a particular sector, such as a brand, a customer segment or a geographic region. In this structure each unique product offering has its own department, which includes marketing, manufacturing and other functional roles. In this divisional structure, employees must have a wider scope and are less likely to specialise in a particular functional task. Divisional employees need to perform a range of tasks in the service of the product. For example, a marketing employee working in a divisional structure may be responsible for planning campaigns, hiring advertising agencies and undertaking marketing research.

Apply and Analyse 2

Apply

In 2015, NTT DATA Hong Kong Ltd was founded to help global merchants (mostly online companies) process payments in a range of currencies. Its mother company, Japan NTT DATA, is a world-leading IT service provider that operates in more than 40 countries and has more than 75,000 employees.

China is one of the world's largest markets for e-commerce, which makes Hong Kong an attractive hub for NTT DATA's new global transaction service. Not only does Hong Kong offer a local base for the Chinese market, but it also provides NTT DATA with a competitive advantage by providing customers with a knowledgeable local partner.

Based on this scenario, explain what business functions might NTT DATA Hong Kong be adopting in Hong Kong.

Analysis

In Hong Kong, NTT DATA has a small team of about 20 employees covering all essential business functions and supporting headquarters in Japan. With the push by the Hong Kong government to strengthen the city as the fintech hub of Asia, it also set up operations as many companies have regional headquarters in Hong Kong, especially for retail, travel and digital services. Meanwhile, a highly skilled and multilingual workforce, which is important for the payments industry, was recruited for sales and marketing. The workforce can help global merchants grow sales in Greater China and across Asia, as well as help them navigate the complex and dynamic e-commerce market in Asia.

Key Learning Point

In functional structures, people with similar skills and who perform similar tasks are grouped together into formal work units.

► Knowledge Check Questions

Question 4

Identify which of the following is not true about the advantages of business functions.

- A Minimum flexibility in the use of staff.
- B Individual experts can be utilised by many different tasks.
- C Specialists in the division can be grouped to share knowledge and experience.
- D The functional division also serves as a base for technological continuity.

Question 5

Identify which of the following is not true about the disadvantages of business functions.

- A The client is not the focus of activity and concern.
- B The functional division tends to be oriented towards the activities particular to its function.
- C The response to client needs can be fast.
- D There is a tendency to sub-optimize the project.

Question 6

In business functions, state what functional structures aim to create or perform similar tasks amongst employees.

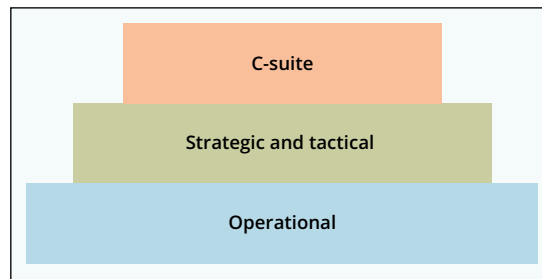
- A Teamwork
- B Specialisation
- C Project work groups
- D Multiskilled employees

3.3 LEVELS OF MANAGEMENT

Many types of managers comprise an organisation. A company's management usually has three levels that are, from the bottom up, **operational management**, **strategic and tactical management** and **C-suite** or executive management, as shown in Exhibit 3.5. Managers at each level perform different activities.

3.3.1 Operational

Supervisory management, or first-line management, includes positions such as supervisor, section chief and team leader. These managers are directly responsible for assigning non-managerial employees to specific jobs and evaluating their performance.



► **EXHIBIT 3.5** Levels of management

Line managers have a direct influence on the organisation's outputs. At a local grocery store, line managers include the retail managers and department supervisors, who do work that directly relates to the store's sales operations.

Managers at this first level of the hierarchy have direct supervision of employees who produce and sell the company's goods and services. They encourage and support workers to meet regular and periodic goals (e.g., daily, weekly, monthly), which allows an organisation to fulfil its bigger plans. Line managers report to middle managers, who engage in higher-level, longer-term planning.

3.3.2 Strategic and Tactical

The second tier in the management hierarchy includes positions such as general managers, plant managers, division managers and unit managers. These types of roles are often collectively referred to as 'middle management'.

Functional managers are responsible for one type of business activity such as finance, marketing, production, human resources, accounting or sales. An example of a functional manager is the manager of the information technology department within an organisation. That person would oversee everything related to IT infrastructure, systems, maintenance, hardware and security for everyone in the organisation. General managers are responsible for activities covering many functional areas. An example of a general manager is a plant manager who oversees the operation's purchasing, manufacturing, human resources, finance and accounting functions.

Middle managers focus on specific operations, products or customer groups within an organisation. They are responsible for implementing the organisation's top-level strategic plans by creating detailed plans and procedures within their specific department. For example, if a company decides to broaden the distribution of a particular product, a sales manager would be responsible for determining the number of sales personnel required. Similarly, a plant manager would be responsible for determining how to meet increased demand while maintaining efficiency and quality. Put another way, when CEOs set sales and profit goals, middle managers are tasked with figuring out how to target customers and products that will support the targeted growth.

Middle managers are more closely involved in the daily operations of their particular department, which positions them to discover and execute new ways for the company to improve. To achieve these goals, middle managers might budget money for product development, identify new uses for existing products and improve the ways they train and motivate employees.

3.3.3 C-Suite

The highest level of management includes the chief executive officer (CEO), chief financial officer (CFO) and executive vice president (EVP). These roles are collectively referred to as the **C-suite** because most of their titles begin with 'chief'. Top managers focus on establishing a company's long-term plans. They make decisions such as whether to introduce new products, purchase other companies or enter new geographical markets. Top managers set a direction for their organisation and inspire the company's executives and employees to achieve their vision for the company's future.

Typically, the C-suite reports to the board of directors and is responsible for the organisation's overall performance. The job is intense and demanding. Many top managers must lead their companies through a variety of challenges, which might include a slowing economy, a quality crisis and formidable competitors. Sometimes this involves selling a positive outlook to investors, stockholders and managers during challenging times. Top managers should pay special attention to the external environment and be alert to potential long-run problems and opportunities. The best top managers are strategic thinkers who are able to make good decisions under highly competitive and even uncertain conditions.

Illustrative Example 3

An accounting information system is the collection, storage and processing of financial and accounting data used by internal users to report information to investors, creditors and tax authorities. While business size and industry determines some of the information a system contains, a typical accounting information system includes data relating to revenue, expenses, customer information, employee information and tax information. Specific data includes sales orders, analysis reports, purchase requisitions, invoices, check registers, inventory, payroll, ledger, trial balance and financial statement information.

Management in organisations exists on three levels with operational control, managerial planning and control and strategic management. Each of the three management levels holds differing implications for developing information systems. Suppose a medium-sized enterprise of around 40 employees develops its own accounting information systems, identify the information requirements for the different levels of management.

For the three levels of management, managers prepare information as follows:

- Operations/supervisory managers need internal information that is of a repetitive, low-level nature. They are highly dependent on information that captures current performance, and they are large users of online, real-time information resources. The need for past performance information and periodic information is only moderate.
- As middle managers need both short- and longer-term information, they also have extremely high needs for information in real time. For proper control, they also need current information on performance as measured against set standards. Middle managers are highly dependent on internal information. Unlike operations managers, they rely heavily on historical information, which can be used alongside additional data to facilitate simulations and analyses that can predict future outcomes.



Illustrative Example 3 (continued)

- Top managers differ somewhat from both middle and operations managers in their information requirements. They are highly dependent on information from external sources that supply news of market trends and the strategies of competing corporations. To make projections into the uncertain future, top managers have a high need for information of a predictive nature.

Apply and Analyse 3

Top-level management performs strategic decisions, middle-level management handles tactical decisions and supervisory-level management enacts operational roles.

In an accounting department of a typical medium-sized enterprise, state three appropriate tasks for the three levels of management and illustrate one job position for each level.

Hints: This company has four business functions, that is, the accounting and financial department, human resources department, marketing department and operations department. The major tasks include:

- Personnel forecasting
- Compensation analysis
- Order processing
- Pricing analysis
- Ratio analysis
- Sales force automation
- Payroll processing
- Inventory management
- Resources planning

Analysis

Accounting job positions and tasks are:

- Top level – chief financial officer
 - Resources planning: This involves the planning of different business areas, including product planning, material sourcing, inventory control, distribution planning and arrangement, marketing and promotion planning, financial planning and human resources planning. The chief financial officer has to cooperate with the departmental managers to plan all the above resources for business operation.
- Middle level – accounting manager
 - Ratio analysis: This is a useful management tool that will analyse or aid executives to interpret the financial statements in terms of the operating performance and financial position of a firm. These statements or reports

Apply and Analyse 3 (continued)

- are usually for executives such as financial directors or CFOs making better business decisions.
- Pricing analysis: This involves the prediction of consumer demand in response to the price or the analysis of changes in demand when different price points were used.
- Supervisory level – accounting supervisor
 - Payroll processing: This refers to the administration of employees' financial records such as salaries and bonuses. It is a straightforward process and much easier to handle at supervisory level in accounting and/or human resources departments, such as the role of supervisor or team head.

Key Learning Point

A company's management usually has three levels that are, from the bottom up, operational management, strategic and tactical management and C-suite or executive management.

► Knowledge Check Questions

Question 7

Identify the level of an organisation where managers are referred to as 'middle executives'.

- A** Functional level
- B** Strategic or tactical level
- C** Operational level
- D** C-suite level

Question 8

State what the middle management level of an organisation is also known as.

- A** Functional level
- B** Strategic or tactical level
- C** Operational level
- D** C-suite level

Question 9

Identify which of the following is the highest-ranking financial personnel responsible for strategic planning and use of resources in a firm.

- A** Auditor
- B** Financial consultant
- C** Chief financial officer
- D** Accounting manager



3.4 DECISION MAKING

Decisions, decisions, decisions. We all make them and we all have to live with their consequences, both for ourselves and for others affected by them. Managers must gather and use information effectively in order to solve problems and explore opportunities. They must be familiar with the steps in the decision-making process and understand current issues that potentially influence the quality of their decisions and outcomes.

3.4.1 Types of Decisions

Managers make two basic kinds of decisions: programmed decisions and non-programmed decisions.

A **programmed decision** frequently pertains to simple and common problems that the organisation already has solutions for. Examples of programmed decisions include reordering office supplies, renewing a lease and referring to an established discount for bulk orders. Programmed decisions are not made spontaneously. Company rules, policies and procedures dictate how managers and employees should respond in situations that occur with frequency. Programmed decisions actually save managers time and companies money because new decisions do not have to be made each time the situation arises.

A **non-programmed decision** involves a complex and unique problem or opportunity with important consequences for the organisation. Examples of non-programmed decisions include entering a new market, deleting a product from the line or developing a new product.

3.4.1.1 Top Down

The way a person uses power to lead others determines their leadership style. Leadership styles range from autocratic to free rein. **Autocratic leadership** is centred on the boss. Autocratic leaders make decisions independently, without consulting employees. They determine what action must be taken and order employees to implement their plans without question.

3.4.1.2 Bottom Up

Democratic leadership includes subordinates in the decision-making process. This leadership style centres on employees' contributions. Democratic leaders delegate assignments, ask employees for suggestions and encourage participation.

3.4.1.3 Internal Input to Decisions

Most business decisions rely on **internal information** to provide insight and help managers solve problems. This information comes from a manager's specific department and from other parts of the organisation. Internal information flows downward in the form of goals, instructions and feedback. It flows horizontally in ways that assist in cross-functional coordination and problem solving. And, it flows upward as performance reports, suggestions for improvement and even policy and personnel disputes.

3.4.1.4 External Input to Decisions

Organisations also gather information from outside the company. Such external information is sometimes referred to as 'business intelligence'. Managers use this intelligence to deal

with customers, competitors and other stakeholders, including employees, shareholders, creditors, suppliers, community members and even government. By making information public, organisations also provide data to stakeholders and the external environment. Reasons for this include financial transparency and regulations, promoting the company's image and advertising new products, among other purposes. Such outwardly directed information is communicated via advertising, public relations campaigns, social media posts and financial reports.

3.4.2 Focus

Top management is responsible for setting longer-term plans and directions for the organisation as a whole. They set the context for lower-level management to work on useful short-term plans. Unless everyone understands an organisation's long-term plans and objectives, there is always risk that the pressures of daily challenges will divert attention from 'important tasks'. Without a sense of long-term direction, employees can end up working hard and still not achieve significant – or mission-critical – results.

3.4.2.1 Strategic

The most far-reaching decisions are strategic – decisions that involve determining the primary objectives of an organisation and then acting and allocating resources to achieve those objectives. Generally, strategic decisions are undertaken by top executives in a company.

Strategic decisions are focused on the organisation as a whole or a major component. They are longer-term decisions that set broad action directions and create a frame of reference for allocating resources for maximum performance impact. Strategic decisions ideally set forth the goals and objectives needed to accomplish the organisation's vision in terms of mission or purpose and what it hopes to be in the future.

3.4.2.2 Tactical

Tactical decisions involve implementing the activities specified by strategic decisions. Tactical decisions guide the current and near-term activities required to implement overall strategies.

Tactical decisions are developed and used to implement strategic decisions. They specify how the organisation's resources can be used to put strategies into action. Tactical decisions in business often take the form of functional plans that indicate how different components of the enterprise will contribute to the overall strategy.

3.4.2.3 Operational

Operational decisions create the detailed standards that guide implementation of tactical decisions. This activity involves choosing specific work targets and assigning employees and teams to carry out plans. Unlike strategic decisions, which focus on the organisation as a whole, operational decisions deal with developing and implementing tactics in specific functional areas.

Operational decisions guide behaviour and determine what needs to be done in the short term to support strategic and tactical decisions. They include both standing plans like policies and procedures that are used over and over again, and single-use plans like budgets that apply to one specific task or time period.

3.4.3 Types of Decision-making Systems

Every day, businesses must make key decisions. While some of these decisions may have tremendous and immediate impact, others may be more subtle. In all cases, decisions can affect the business, its stakeholders and even society at large. New challenges are posed by the characteristics of today's world: information-driven, digital, socially networked, transparent and continuously evolving.

To be successful in management, individuals should strive for three specific skill sets:

- **Technological:** an understanding of new technologies and how to use them to advance a company's goals.
- **Information:** the ability to locate, gather, organise and communicate information as it relates to the organisation.
- **Analytical:** the ability to analyse and evaluate information to solve problems the business is facing.

3.4.3.1 Decision Support Systems

Decision support systems (DSS) are a set of related applications or programs that combine with data to facilitate in the analysis and decision-making processes within an organisation. These systems work in conjunction with the three competencies described above – technological, information and analysis – to shore up decision-making systems. Effective DSSs rely on equally effective data mining. The better the data that goes in, the more effective the DSS.

Data mining is the process of analysing data to produce useful information for decision makers. There is now so much computing power available that we increasingly talk about Big Data, which is collected in huge quantities and is difficult to mine without using sophisticated mathematical and analytical techniques. UPS, for example, spends over US\$1 billion per year on technology. In one Big Data programme, some 250 million data points are run through an algorithm with over 1,000 pages of code to calculate optimum daily routes for drivers. The company expects to save some US\$50 million per year from eliminating excess driving miles. Data mining can also provide 'drill down' capabilities. For example, a manager may observe an unusual 'outlier' customer invoice price. They can 'click on' the invoices to drill down to see the individual line items making up the invoice. Popular business intelligence software vendors are Tableau, Qlik, Alteryx and SAS. Free open source software are Python and R.

One of the trends in business intelligence is the use of executive dashboards that visually display and update key performance metrics in the form of graphs, charts and scorecards in real time. For example, a regional manager might rely on a digital dashboard that is displayed on a large computer monitor filled with a wide range of real-time information including, for example, sales by product, salesperson and sales area, as well as tracking comparisons with past performance and current sales targets.

3.4.3.2 Expert Systems

Even when data is available, we do not always use it well. The challenge in data mining, especially when mining Big Data, comes down to strength in **analytics**.

This is sometimes called business analytics or management analytics, which is the systematic evaluation and analysis of data to make informed decisions. Think, for example, of

the vast amounts of data being collected by social media sites. These sites – Facebook, Twitter, LinkedIn and others – mine the data for their own business uses, and they also sell the data to others. Common business analytics techniques include correlation, regression, segmentation, associations and clustering analysis.

Expert systems, systems designed using artificial intelligence (AI), rely on vast quantities of quality data. This data often comes in the forms of large databases of expert data on a specific subject.

Organisations of all types are investing heavily in Big Data initiatives, hiring people with strong analytics skills and setting up analytics units and teams to make available data valuable. The top management role of a chief data officer is appearing in more C-suites and the job of data scientist is appearing more often in help wanted ads.

3.4.3.3 Executive Information Systems

Executive information systems, in turn, are sometimes grouped as a subsection of DSS, except that they are tailored to help executives make better decisions.

People and organisations perform best when they have available to them the right information at the right time and in the right place. This is the function served by **management information systems** that use the latest technologies to collect, organise and distribute data.

Information departments or centres are now mainstream features on organisation charts, and the CIO (chief information officer), CKO (chief knowledge officer), CTO (chief technology officer) or CDO (chief digital officer) are prominent members of the C-suite within top management teams.

Executive information systems could be used for forecasting, identifying and analysing problems, tracking market activities and monitoring company performance in different areas. Examples of executive information systems include ADP Workforce Now, UltiPro, Workday HCM and People Soft.

3.4.3.4 Artificial Intelligence

Prior to artificial intelligence (AI) and its eventual commercial application, executives have had to rely on inconsistent and incomplete data. With artificial intelligence, they have data-based models and simulations to turn to.

Today's AI systems start from zero and feed on a regular diet of Big Data. This is augmented intelligence in action, which eventually provides executives with sophisticated models as a basis for their decision making.

There are several AI applications that enhance decision-making capacities. The automation efficiency lent by artificial intelligence to today's business processes has gone beyond the physical robots used in manufacturing and assembly lines of the past. In several business functions, such as marketing and distribution, AI has been able to hasten processes and provide decision makers with reliable insight.

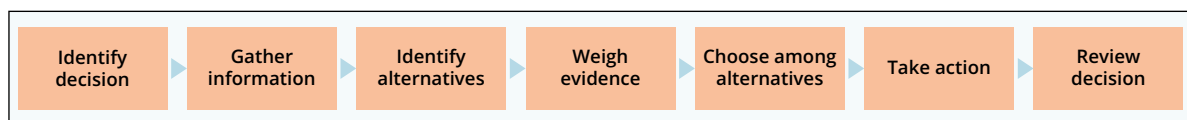
In marketing, for instance, the automation of market segmentation and campaign management has enabled more efficient decision making and quick action. You get invaluable insight into your customers, which can help you enhance your interactions with them. Marketing automation is one of the main features of a good customer relationship management application.

Distribution automation with the help of AI has also been a key advantage of several retailers. Through AI-supported monitoring and control, retailers can accurately predict and respond to product demand.

A form of AI is robotic process automation (RPA). Examples for RPA are routine clerical processes like invoicing, purchasing and payroll. As AI and RPA increase in use there will be social issues resulting from the elimination of jobs being replaced by computers.

3.4.4 Decision-making Approach

In a narrow sense, decision making involves choosing amongst two or more alternatives, with the chosen alternative becoming the decision. In a broader sense, decision making involves a systematic, step-by-step process that helps managers make effective choices. This process begins when someone recognises a problem or opportunity, develops possible courses of action, evaluates the alternatives, selects and implements one of them, and assesses the outcome (Exhibit 3.6).



► EXHIBIT 3.6 Decision-making approach

3.4.4.1 Identify Decision

Decision making can be difficult and requires skill and consideration. A decision might hurt or help the sales of a product; it might offend or disappoint a customer or co-worker; it might affect the manager's own career or reputation. Managers' decisions can have complex legal and ethical dimensions.

The first step in decision making is to find and define the problem. Information gathering and deliberation are critical at this stage. The way a problem is defined can have a major impact on how it is resolved, and it is critical here to clarify exactly what a decision should accomplish. The actions taken to reach specific goals are easier to evaluate than actions taken to accomplish broader or more complex goals.

3.4.4.2 Gather Information

Business intelligence is the process of tapping or mining information systems to extract data that is potentially useful for decision makers. It sorts and reports data in organised ways that help decision makers detect, digest and deal with patterns posing important implications. Some of that data provides competitive information.

At Amazon, for example, a 'competitive intelligence' team buys products from other retailers to check on their quality, speed and customer service. Data on the purchases is presented to top management and analysed to keep Amazon ahead of the competition. Some of that data provides big picture information. For example, companies can now easily share the latest financial results across different levels in the organisation so that employees know current profits and how they compare to past results and desired targets. Other data provides function-specific information. An example is ensuring that manufacturing workers are always aware of costs, marketing people are aware of sales expenses relative to sales revenues and customer service employees know cost per service contact.

3.4.4.3 Identify Alternatives

Decisions often have unintended consequences in the form of unanticipated positive or negative side effects. If alternatives are given proper attention, some of these could be identified ahead of time and their implications used to modify and strengthen a decision.

One way to strengthen the search for alternatives is to actively seek consultation and the involvement of others. Adding more people to the process helps bring new perspectives and information to bear on a problem, generates more alternatives for consideration, reveals more about the possible consequences of the alternatives, and can result in a chosen course of action that is better for everyone involved in – and potentially affected by – the decision.

Another way to strengthen the search for alternatives is to put each through a systematic and rigorous cost-benefit analysis. This compares what an alternative will cost in relation to what it will return in respect to expected benefits. At a minimum, the benefits of an alternative should be greater than its costs to stay in consideration. And, it should also be ethically sound.

3.4.4.4 Weigh Evidence

Once a problem is defined, it is time to assemble the facts and information that can be used to solve it. This process examines what is known and unknown about the specific problem and proposed solutions. Extensive information gathering should identify alternative courses of action as well as their potential consequences.

Key stakeholders in the problem should be identified, and the effects of possible courses of action on each of these should be considered. Importantly, a course of action can only be as good as the quality of the alternatives considered. The better the pool of alternatives and the more that is known about them, the more likely it is that a good decision will be made.

3.4.4.5 Choose Amongst Alternatives

There are different approaches to decision making. The process of choosing an alternative and who is involved in that process differs based on the organisation's structure and the problem itself. Management theory recognises rather substantial differences between the classical and behavioural models of decision making.

The **classical decision model** views the manager as acting rationally in a certain world. The assumption is that the decision maker fully understands the alternatives for consideration and will choose the best and most rational course of action. Under this model, managers have perfect information: they face a clearly defined problem and understand the consequences and requirements of every option. As a result, managers make an optimising decision that gives the absolute best solution to the problem.

Behavioural scientists have doubts about the classical model's assumption of perfect information. Herbert Simon is one of the foremost scholars of the behavioural approach. Behavioural decision making instead recognises that there are cognitive limitations on our human information-processing capabilities. There are also problems with obtaining perfect information. These facts make it difficult to ensure that the best option is chosen. They create a **bounded rationality**, such that managerial decisions are rational only within the boundaries set by the available information and known alternatives, both of which are incomplete.

The problem of bounded rationality leads the **behavioural decision model** to assume that managers can only ever have partial knowledge about the available action alternatives and their consequences. As a result, the first alternative that appears to offer a satisfactory resolution to the problem is most likely to be chosen.



3.4.4.6 Take Action

A decision is only as good as the actions that implement it. Approaching a decision with determination is the only way managers can solve problems. This takes determination, organisation, planning, creativity and the ability to follow through.

Difficulties encountered when decisions get implemented may trace to **lack-of-participation error**. This is a failure to adequately involve in the process individuals whose support is necessary to put the decision into action. Implementation relies on individuals and their willingness to work. This means that it is important to ensure necessary employees are on board from the beginning of the process with the decision and understand what needs to be done.

3.4.4.7 Review Decision

The decision-making process is not complete until action is taken and results are evaluated. If the desired outcomes are not achieved or if undesired side effects result, corrective action should be taken. Evaluation requires measuring performance results and comparing them with established goals. If results do not measure up to the desired outcome, it is time to re-evaluate the implementation. Problem solving and decision making are ongoing parts of management.

Clear goals, measurable targets and realistic timetables must be established before any actions are implemented. This ensures that results can be fully evaluated.

Illustrative Example 4

Rainbow enjoys making cakes at home. She decides to open a cake shop for her bakery business and she has to decide to buy or rent a flat or set up an online business for her new cake shop.

Steps	Example
1. Identify decision	Rainbow's decisions included (a) buy a flat, (b) rent a flat, or (c) set up an online business.
2. Gather information	She looked for information on spaces requirement for making cakes and the available options like leasing and purchasing the flat to store with a similar setting for making cakes from several real estate agents. She also looked for loan information from banks to calculate the budget available for her new business. She also searched information about consumers' preference for buying cakes from online research firms.
3. Identify alternatives	Rainbow had several alternatives for setting up her cake business depending on her budget: (1) buy a flat and new baking ovens, (2) rent a flat with bakery ovens and all baking settings pre-installed, or (3) continue her cake-making process at home and open an online shop.
4. Weigh evidence	Rainbow found that the budget requirement for alternative 1 is the highest, and followed by alternatives 2 and 3. The first alternative also involved the greatest business risk which requires a longer period for the break even. It is important to promote her business and generate sales. Consumers' preferences are also crucial to her business, especially for millennials who prefer convenient purchasing and delivery methods.

Illustrative Example 4 (*continued*)

Steps	Example
5. Choose amongst alternatives	Rainbow decided to choose alternative 3 first. If her cake business succeeded, she would further develop her business by renting a physical store for her cake business.
6. Take action	Rainbow set up a new website for her cake business, as well as Instagram, Facebook and YouTube accounts to generate business to her site. She obtained the relevant licences for her business, for example, bakery licence, cold store licence, food factory licence and so on.
7. Review decision	Rainbow's cake business was well received by her target customers. The sales orders were stable with steady growth. She expected that her business would break even in nine months.

Apply and Analyse 4

A business owner of a clothing and apparel business found that the market demand is increasing. He is thinking to find a new plant to increase its production and supply. As an unprogrammed decision, suggest the possible steps with examples in solving his problem.

Analysis

Steps	Example
1. Establish the need for a new plant	Considering building a new plant, if insufficient production lines for the existing and future demand.
2. Determine best geographical area based on needs	Geographical areas for consideration: local, Mainland China, Vietnam, or other countries.
3. Establish the requirements	Consideration factors or requirements include costs, resources, staffing, legal and political issues, economic issues, logistics and distribution issues, product production and packing issues, country of origin issue and so on.
4. Screen many communities	Identifying areas or communities for building a new plant for the clothing and apparel business.
5. Pinpoint few communities for detailed study	Comparing the pros and cons of the community options according to the consideration factors or requirements.
6. Select the best location	Allocating scores of each option and choosing the best option for the business.
7. Build the plant	Preparing sufficient resources and planning for the plant building project.

Key Learning Point

A **programmed decision** involves simple, common and frequently occurring problems for which solutions have already been determined. A **non-programmed decision** involves a complex and unique problem or opportunity with important consequences for the organisation.

► Knowledge Check Questions

Question 10

Identify the characteristics of a programmed decision.

- A Complex and risky
- B Uncertain and non-routine
- C Low risk and certain
- D Routine and non-complex

Question 11

State to which of the following types of decision an investment decision belongs.

- A Programmed decision
- B Routine decision
- C Management decision
- D Non-programmed decision

Question 12

Identify which of the following best show the difference between programmed and non-programmed decisions?

- A Programmed decisions are made by managers who prefer a thinking or technocratic style; while non-programmed decisions are made by managers who use judgement and follow intuition.
- B Programmed decisions are handled with decision rules; while decision rules cannot be developed for non-programmed decisions.
- C Programmed decisions have computer routines developed for them; while non-programmed decisions are not computerised.
- D Programmed decisions occur under certainty or risk; while non-programmed decisions occur under uncertainty or ambiguity.

➤ 3.5 AUTHORITY, ACCOUNTABILITY AND RESPONSIBILITY

A leader's choice amongst alternative decision-making methods is governed by three factors: (a) decision quality – based on who has the information needed for problem solving; (b) decision acceptance – based on the importance of follower acceptance to the decision's

eventual implementation; and (c) decision time – based on the time available to make and implement the decision. Each decision method has advantages and disadvantages with respect to these factors. As a consequence, effective leaders continually shift amongst methods as they deal with daily problems and opportunities.

3.5.1 Authority

Authority decisions work best when leaders have the expertise needed to solve problems and are confident acting alone. They also work best when followers are likely to accept and implement leader's decisions, and when there is little or no time available for group discussion. Consultative and group decisions work best when the leader lacks the expertise or information needed to solve a problem. They also work best when the problem is unclear, follower acceptance is uncertain but necessary for implementation and adequate time is available.

3.5.2 Accountability

Delegation is the process through which managers assign work to subordinates. Employees might be responsible for answering customer queries, stocking shelves, ringing up sales, processing returns, preparing shipments, opening or closing a store, contributing to new product design, calculating a return on investment and other business-related tasks. When work is delegated, employees performing the related tasks are given a certain amount of authority to make autonomous decisions.

As employees receive greater authority, they also must be accountable for their actions and decisions – they receive credit when things go well, and must accept responsibility when they do not. A popular technique is the application of key performance indicators (KPIs). Senior management selects target levels for each KPI and then monitors the performance of teams or individuals' actual KPI results compared to the targets.

3.5.3 Responsibility

A company's ethics code is set by the top-level managers and flows throughout the organisation. Setting a high ethical standard benefits organisations in two ways. First, it encourages employees to conduct themselves properly and avoid undesirable behaviours. Second, it increases job satisfaction and motivates employees to succeed. As a result, the organisation enjoys the long-term competitive advantages of increased productivity and stability.

In practice, ethical decisions are not always clear-cut, and managers must make difficult decisions. For example, companies that operate in two different countries may face conflicting ethical standards. In other situations, ethical decisions may have undesirable side effects, such as reduced profits or necessary layoffs.

Illustrative Example 5

Delegation involves assigning individuals in an organisation to make decisions rather than relying on the hierarchy to pass decisions down. This results in decentralisation, so decisions are made throughout the organisation rather than only at the top level.



Illustrative Example 5 (continued)

Identifying the right person for the right job is crucial to successful delegation. Factors that influence an employee's fit for a particular job depend on skill set, personality and the capacity to take on additional tasks. Employees' individual career goals will also determine whether a match is appropriate. When people are given new opportunities, they may reveal undiscovered talents which can shift their role within the organisation.

In this new way of viewing the organisation, self-contained teams are responsible for a specific part of the business or for a particular project. Upper-level management sets the targets and the teams determine how to best meet them. Team members may consult with specialised departments such as research and development, finance, human resources and marketing – although they may have their own specialists. Teams may also evaluate outside suppliers and specialists, depending on cost, effectiveness and efficiency. In some cases, an entire project may be delegated to an outside supplier.

When asking an employee to take on new responsibilities, it is important to communicate confidence in their abilities. Clearly outline the scope of work they must complete, including a full description of the project along with specific instructions, especially if tasks must be completed in a certain way. A written description should include:

- A timeline, including milestones;
- Scheduled check-ins to ensure the employee gets support for bigger projects or tasks – and so you are sure everything is proceeding as planned;
- A budget; and
- Who can be reached for help.

For complex projects, it is helpful to put the delegated tasks in writing so there is a reference point for both you and the employee. Asking the employee delegate to summarise their responsibilities and the project overall will reveal misunderstandings so they can be reconciled early on.

Apply and Analyse 5

ABC Mall has an online purchase system for customers to purchase its products online. This system was outsourced to an IT agent. Ron is the technical supervisor of ABC Mall who has to monitor the order queues online and the online purchase whether it runs smoothly and efficiently, including the duration of waiting for an order response from the system, the average time used to handle each customer order and close the deal. Once he finds that the system takes longer time to process the order or goes down, he has to report it to the managers of Information Technology and Sales. He also has to relay the problems to the IT agent who is responsible for managing and running the system for ABC Mall, order it to follow, and then monitor the maintenance process and procedures. Explain the authority, responsibility and accountability of Ron in the above case.

Apply and Analyse 5 (continued)

Analysis

As the representative of ABC Mall, Ron is delegated by ABC Mall. Ron has the authority to relay the problems to the IT agent, order it to follow, and monitor the maintenance process and procedures when the system takes a longer time to process the order or goes down.

As the staff of ABC Mall, Ron's responsibility is to monitor the order queues online and the online purchase whether it runs smoothly and efficiently.

Ron is accountable for the management of ABC Mall. He reports to the managers of Information Technology and Sales when the system takes longer time to process the order or goes down.

Key Learning Point

Authority, responsibility and accountability are three different concepts in management. Authority is the power or right assigned to a manager, a supervisor, or an executive to give orders and achieve certain business objectives. Responsibility refers to the obligation of an individual to perform assigned duties and tasks to the best of their ability. Accountability is the liability or obligation created for an individual to report formally to their supervisor or manager about the assigned duties or tasks. These three management concepts are inter-related.

► Knowledge Check Questions

Question 13

Identify which of the following can be delegated.

- A** Responsibility
- B** Authority
- C** Accountability
- D** Understandability

Question 14

Identify which of the following is an example of responsibility at work.

- A** Dave is the accounting supervisor of the local sales division. He reported the sales figures of last quarter to his accounting manager.
- B** John's daily duties and tasks include calling customers about the latest promotional offers and answering customers' enquiries about sales orders.
- C** Ann is a marketing manager. She assigns her subordinates different tasks and roles for a marketing event.
- D** Mandy is a human resources manager. She instructs her subordinates to organise a staff development activity.

► Knowledge Check Questions (*continued*)

Question 15

Explain which of the following represents the best step after accepting responsibility.

- A Delegate the work to someone else.
- B Get the work done when you have time.
- C Become obligated to perform the assigned work.
- D Give it back for the supervisor to assign it to someone else.

3.6 TYPES AND LEVELS OF PLANNING

Planning is the process of anticipating future events and conditions and determining courses of actions for achieving organisational objectives. Effective planning helps a business focus its vision, avoid costly mistakes and seize opportunities. Planning should be flexible and responsive to changes in the business environment, and as global competition intensifies, technology expands and the speed at which companies bring new innovations to market increases.

Planning should also involve managers from all levels because planning for an organisation's future is critical. For example, a CEO and other top-level managers need to plan for succession by identifying who will take over their roles when they need to step down. C-suite executives should not fear that succession planning will force them out of their jobs. Instead they should consider the importance of the next generation of management to maintaining a strong position in the marketplace.

3.6.1 Types of Planning

Planning can be categorised by scope and breadth. Some plans are very broad and long range, whereas others are short range and very narrow, affecting selected parts of the organisation rather than the company as a whole. Planning can be divided into the following categories: strategic, tactical, operational and contingency, with each step including more specific information than the last. A comprehensive framework should include everything from the mission statement to objectives to specific plans, organised by phase. The framework also must include narrow, functional plans aimed at individual employees and work areas relevant to individual tasks. These plans must fit within the company's overall planning framework and help it to reach objectives and achieve its mission.

3.6.1.1 Strategic

The most far-reaching level of planning is **strategic planning** – the process of determining the primary objectives of an organisation and then acting and allocating resources to achieve those objectives. Generally, strategic planning is undertaken by top executives in a company. Such planning could involve planning to build a new plant, which could take several years, to

boost supply of a particular product or develop a new product or service line, also a multi-year process, to tap into a new market.

Strategic plans are focused on the organisation as a whole or a major component. They are longer-term plans that set broad action directions and create a frame of reference for allocating resources for maximum performance impact. Strategic plans ideally set forth the goals and objectives needed to accomplish the organisation's vision in terms of mission or purpose and what it hopes to be in the future.

3.6.1.2 Tactical

Tactical planning involves implementing the activities specified by strategic plans. Tactical plans guide the current and near-term activities required to implement overall strategies. A new customer relations strategy is an example of a tactical decision that can be implemented typically within the same accounting period.

Tactical plans are developed and used to implement strategic plans. They specify how the organisation's resources can be used to put strategies into action. Tactical plans often delineate the roles of different business functions (e.g., finance, human resources, operations) that contribute to the overall strategy.

3.6.1.3 Operational

Operational planning creates the detailed standards that guide implementation of tactical plans. This activity involves choosing specific work targets and assigning employees and teams to carry out plans. Unlike strategic planning, which focuses on the organisation as a whole, operational planning deals with developing and implementing tactics in specific functional areas.

Operational plans guide behaviour and describe what needs to be done in the short term to support strategic and tactical plans. They include both standing plans like policies and procedures that are used over and over again, and single-use plans like budgets that apply to one specific task or time period. In manufacturing the shortest term plan is referred to as dispatching – moving parts to a work centre. Slightly longer is referred to as production scheduling and can be for the day or the week.

3.6.1.4 Contingency

Planning cannot foresee every possibility. Natural disasters, accidents, political upheaval and sudden economic shifts can wreak havoc on well-considered plans. **Contingency planning** prepares organisations for sudden business disruptions resulting from uncommon circumstances. It allows companies to resume operations as quickly and as smoothly as possible after a crisis while openly communicating with the public about what happened.

This planning activity involves two components: business continuation and public communication. Many companies have developed management strategies to speed recovery from accidents, data breaches, product failures and natural disasters. A company's contingency plan establishes a chain of command for crisis management, assigning specific functions to particular managers and employees in an emergency. While these types of events typically have a global impact, contingency planning must also be in place for more immediate, internal crises. For example, a product may need to be recalled, a key executive might be unable to attend a key client meeting, or a day-long power outage could occur.

The following are some steps in a contingency plan.

1. Revise your current plan or develop a new one.
2. Involve all employees in the planning process.
3. Set up a contingency readiness team.
4. Review data backup and storage procedures.
5. Provide for an emergency recovery office.
6. Secure outside support for payroll and benefits.
7. Develop websites and telephone hotlines to provide information in case of emergency.
8. Develop procedure manuals.
9. Catalogue personnel information.
10. Review the plan frequently, such as monthly or quarterly.

3.6.2 Levels of Planning

Although managers spend some time on planning virtually every day, the total time spent and the type of planning done differ according to the level of management. Top managers, including a company's board of directors and CEO, spend a great deal of time on long-range planning, while middle-level managers and supervisors focus on short-term, tactical and operational planning. Employees at all levels can benefit, as can their company benefit, by making plans to meet their own specific goals.

Scenario planning is another approach to planning that uses 'what if' analysis to attempt to anticipate events in the future and how to prepare for what might occur. What if global warming continues and Hong Kong floods? What if Great Britain does withdraw from the European Union? What if our competitors open a new line that cuts into our market share? Being able to anticipate likely events or scenarios and then draft plans 'in case' such events do occur.

Scenario planning is a long-range planning tool. Some questions to be asked – What will the economy be like in 10 years? What will be our competition in the market in 10 years? What technological trends will affect our products and services in 10 years? How can we maintain a competitive advantage in 10 years? What internal issues might we expect in 10 years (ageing CEO, ageing employees)? What external issues might we expect?

There are no right and wrong answers for scenario planning, but scenario brainstorming can help an organisation plan for the future accordingly.

Illustrative Example 6

A contingency plan is a course of action designed to help an organisation respond effectively to a significant future event or situation that may or may not happen. A contingency plan is sometimes referred to as 'Plan B', because it can also be used as an alternative for action if expected results fail to materialise. Contingency planning is a component of business continuity, disaster recovery and risk management.

Illustrative Example 6 (continued)

The Hong Kong Red Cross (HKRC) has adopted a three-level contingency plan for SARS prevention. The levels of the SARS Response System and their definitions are the same as those of the HKSAR Government's SARS Response Plan.

- Alert level: activated when there is (a) laboratory-confirmed SARS cases outside Hong Kong, or (b) a SARS Alert (as defined by the World Health Organisation) in Hong Kong.
- Level 1: activated when there is one or more laboratory-confirmed SARS cases in Hong Kong occurring in a sporadic manner. The activation should be completed within 12 hours of the laboratory confirmation.
- Level 2: activated when there are signs of local transmission of the disease.

In fact, contingency planning is not just about major disasters. On a smaller scale, it is about preparing for events such as the loss of data, people, customers and suppliers and other disruptive unknowns. That is why it is important to make contingency planning a normal part of the way a business works.

(Source: Hong Kong Red Cross, SARS Prevention Guidelines and Contingency Plan.)

Apply and Analyse 6

A good contingency plan of a business should include any event that might disrupt operations. It considers the possibility of a situation that would adversely impact operations. If the response to the situation is poor, there might be a dramatic impact on the future of the business, such as a loss of customers, loss of data, or even the loss of the business.

Management should think about the following items for the plan:

- Natural disasters, such as hurricanes, floods, fires and earthquakes.
- Crises, such as workplace accidents or violence.
- Human resources, such as death of a senior manager or a labour strike.
- Data loss, which could result from natural disasters, sabotage or malicious hacking activities.
- Mismanagement, such as fraud, neglect of duty or accidental destruction.
- Product issues, such as reallocation of plant resources or a product recall.

Key Learning Point

Planning can be divided into the following categories: **strategic, tactical, operational** and **contingency**, with each step including more specific information than the last.

► **Knowledge Check Questions**

Question 16

Identify which of the followings is not a recognised type of plan.

- A** Business plan
- B** Succession plan
- C** Ad hoc plan
- D** Financial plan

Question 17

Identify the time frame to which strategic plans relate.

- A** Long term
- B** Medium term
- C** Short term
- D** Unspecified time it takes to achieve an aim

Question 18

Identify which of the following is not a recognised form of business continuity planning.

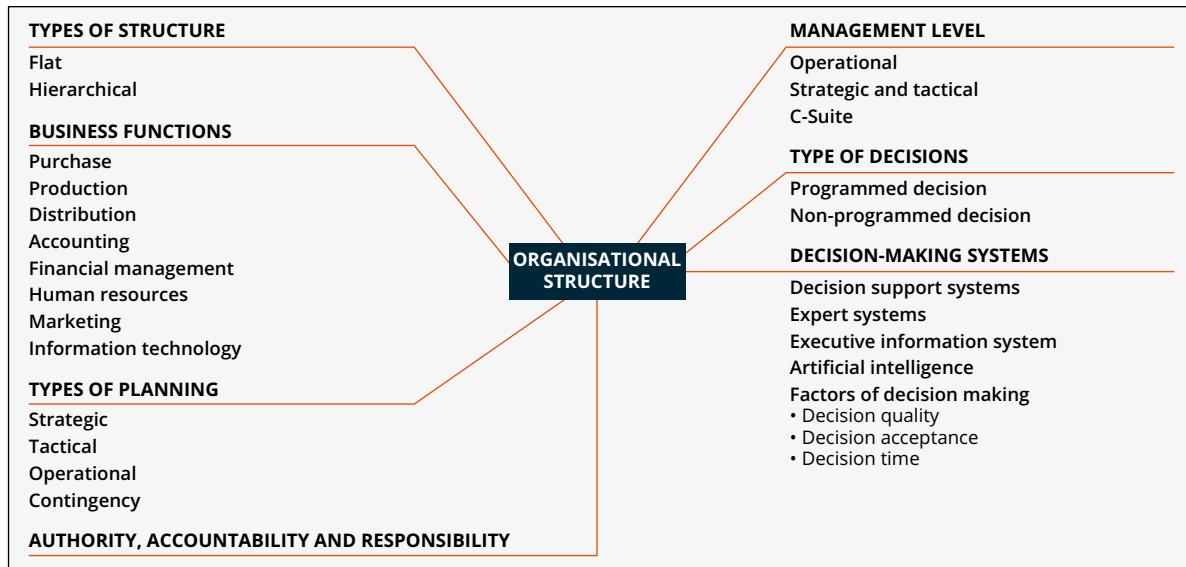
- A** Contingency planning
- B** Scenario planning
- C** Financial planning
- D** Building planning



SUMMARY

- Decision making is the process of recognising a problem or opportunity, evaluating alternative solutions, selecting and implementing an alternative and assessing the results.
- Managers make decisions every day, whether it involves shutting down a manufacturing plant or adding grilled cheese sandwiches to a lunch menu.
- Planning often makes the difference between an organisation's success and failure. Four types of planning have formed the basis of many fundamental management decisions: strategic, tactical, operational and contingency.
- A company's management usually has three levels: top, middle and supervisory. However, the complexity, uncertainty and change inherent in today's environment are prompting more organisations to shift towards horizontal and organic structures.
- A number of trends in organisation design are evident as structures and practices are adjusted to gain performance efficiency and effectiveness in challenging conditions.
- The growth of new technologies, particularly in information systems and social media, is helping to drive these trends by improving information availability and ease of communication within organisations.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because hierarchical structure is characterised by narrow spans of control and tall structures with many levels of management.

Answer B is incorrect because bureaucratic structure is characterised by logic, order and the legitimate use of formal authority.

Answer C is correct because the flat organisation has fewer levels of management with direct reporting mechanism in democratic and inclusive styles for the management.

Answer D is incorrect because functional structure is characterised by specialised functional areas, for example, accounting, human resources, marketing, production, logistics and distribution, IT and so on.

Question 2

Answer A is incorrect because one of the purposes for an organisational structure is to coordinate people and resources.

Answer B is incorrect because one of the purposes for an organisational structure is to organise lines of communication.

Answer C is incorrect because one of the purposes for an organisational structure is to formalise authority.

Answer D is correct because the workers' rights are an issue for human resources and management.

Question 3

Answer A is incorrect because a clear chain of command is an advantage of hierarchical structures.

Answer B is correct because a quick response to change is not an advantage of a hierarchical structure.

Answer C is incorrect because discipline and stability is an advantage of hierarchical structures.

Answer D is incorrect because a small span of control is an advantage of hierarchical structures.

Question 4

Answer A is correct because minimum flexibility in the use of staff is not an advantage of business functions.

Answer B is incorrect because business functions allow individual experts to be utilised by many different tasks.

Answer C is incorrect because business functions let specialists in the division be grouped to share knowledge and experience.

Answer D is incorrect because the functional division also serves as a base for technological continuity which is one of the advantages of business functions.

Question 5

Answer A is incorrect because the client is not the focus of activity and concern which is a disadvantage of business functions.

Answer B is incorrect because business functions provide a disadvantage that the functional division would be oriented towards the activities particular to its function.

Answer C is correct because a fast response to clients is an advantage of business functions.

Answer D is incorrect because business functions may create tendency to sub-optimize the project which is a disadvantage.

Question 6

Answer A is incorrect because teamwork is another scenario for group formation, not related to the structure.

Answer B is correct because specialisation enables employees to perform similar tasks in functional structures or business functions.

Answer C is incorrect because project work groups are related to the project management approach.

Answer D is incorrect because multiskilled employees can work for multiple functions or departments.

**Question 7**

Answer A is incorrect because the functional level is not classified as a level of management.

Answer B is correct because the tactical level refers to mid-level managers of the departments of an organisation.

Answer C is incorrect because the operational level refers to the supervisor or team head managers of the departments of an organisation.

Answer D is incorrect because C-suite or senior executives make strategic decisions as their main role.

Question 8

Answer A is incorrect because the functional level is related to the structure of an organisation.

Answer B is correct because the tactical level includes many types of managers, and is normally the managerial level of an organisation.

Answer C is incorrect because the operational level is not the right choice for the managerial level.

Answer D is incorrect because the C-suite level is not the right choice for the middle management level.

Question 9

Answer A is incorrect because the auditor is not the highest-ranking position.

Answer B is incorrect because the financial consultant is not the highest-ranking position.

Answer C is correct because the chief financial officer (CFO) is one of the top managerial roles in the highest level of management.

Answer D is incorrect because the accounting manager is not the highest-ranking position.

Question 10

Answer A is incorrect because complex and risky are not the characteristics of a programmed decision.

Answer B is incorrect because uncertain and non-routine are not the characteristics of a programmed decision.

Answer C is incorrect because low risk and certainty are not the characteristics of a programmed decision.

Answer D is correct because a programmed decision involves simple, non-complex, routine and frequent decisions.

Question 11

Answer A is incorrect because investment decisions are not programmed.

Answer B is incorrect because investment decisions are not routine.

Answer C is incorrect because investment decisions are not suited for all management.

Answer D is correct because investment is always complex, unique and not routine consequences that belong to non-programmed decisions.

Question 12

Answer A is incorrect because the statement is not true that they are not the characteristics of programmed and non-programmed decisions.

Answer B is incorrect because the statement is not true that they are not the characteristics of programmed and non-programmed decisions.

Answer C is correct because the statement is true that they are the characteristics of programmed and non-programmed decisions.

Answer D is incorrect because the statement is not true that they are not the characteristics of programmed and non-programmed decisions.

Question 13

Answer A is incorrect because the situation is not truly related.

Answer B is correct because authority decisions work best with a delegated role.

Answer C is incorrect because the situation is not truly related.

Answer D is incorrect because the situation is not truly related.

Question 14

Answer A is incorrect because this task refers to the accountability at work.

Answer B is correct because this task refers to the responsibility at work.

Answer C is incorrect because this task refers to the authority at work.

Answer D is incorrect because this task refers to the authority at work.

Question 15

Answer A is incorrect because responsibility acceptance is your own role.

Answer B is incorrect because responsibility acceptance is your own role.

Answer C is correct because your responsibility is to perform the assigned work.

Answer D is incorrect because responsibility acceptance is your own role.

Question 16

Answer A is incorrect because a business plan is a recognised type of plan.

Answer B is incorrect because a succession plan is a recognised type of plan.

Answer C is correct because an ad hoc plan is not a recognised type of plan.

Answer D is incorrect because a financial plan is a recognised type of plan.

Question 17

Answer A is correct because a strategic plan is long-term planning that sets broad action directions and creates a frame of reference for allocating resources for maximum performance impact.

Answer B is incorrect because a strategic plan is not for the medium term.

Answer C is incorrect because a strategic plan is not for the short term.

Answer D is incorrect because a strategic plan is not for an unspecified length of time.

Question 18

Answer A is incorrect because contingency planning is a recognised form of planning.

Answer B is correct because scenario planning is not a recognised form of planning.

Answer C is incorrect because financial planning is a recognised form of planning.

Answer D is incorrect because building planning is a recognised form of planning.

 EXAM PRACTICE**QUESTION 1**

State what the executive management level of an organisation is also known as.

- A.** Operational level
- B.** Strategic or tactical level
- C.** Managerial level
- D.** C-suite level

QUESTION 2

Identify which of the following organisational structure(s) is/are centralised.

- A.** The simple structure only
- B.** The functional structure only
- C.** The divisional structure only
- D.** Both the simple and functional structures

QUESTION 3

Identify which levels of decisions are referred to as unstructured decisions because the problems are relatively complex and non-routine.

- A.** Operational level
- B.** Executive level
- C.** Supervisory level
- D.** Tactical level

QUESTION 4

Identify amongst which of the following does an organisation create a relationship.

- A.** Customer, work and resources
- B.** People, work and management
- C.** Customer, work and management
- D.** People, work and resources

QUESTION 5

Identify which of the following type of business is built up with the functional structure.

- A.** A business producing a single product or limited range of products.
- B.** A business requiring greater flexibility because there is a greater demand for changes in business, products or operation.
- C.** A business facing an unstable environment.
- D.** A business requiring creativity and innovation in producing products.

QUESTION 6

State what organisational design is based on.

- A.** Work specialisation and departmentalisation
- B.** Chain of command and span of control
- C.** Centralisation and decentralisation
- D.** Type of employees

QUESTION 7

In a medium-sized enterprise with about 20 to 30 employees, briefly describe what kind of organisational structure (i.e., functional, divisional or matrix) and managerial communication method are practicably suitable to choose.

QUESTION 8

Bingo is an ice cream and frozen yogurt chain. It plans to open a new shop at Causeway Bay and introduce eight new ice cream flavours in the coming two years. For the first year, the production team will source fruits and food for the four new ice cream flavours in the first two quarters. The senior management team will then look for a new building for opening its new shop in the third quarter and then design and renovate the shop in the fourth quarter. For the second year, the HR department will recruit and train shop assistants for the new shop in the first quarter. It will then open the shop after the first quarter. Also, the marketing department will organise some competitions to generate ideas from customers for the remaining four new ice cream flavours. For its operation, a quality assurance policy on ice cream making will be implemented to ensure that its product quality will meet legal requirements and customer expectation. The human resources department will prepare HR guidelines and a menu for the frontline staff to serve its customers. The operational manager will also prepare operational guidelines for daily operations in shops. Describe the types of plans involved in the case.

QUESTION 9

As a business owner or company leader, it is your responsibility to decide whether the organisational structure that underlies your business is formal or informal. As these are not mutually exclusive choices, a business can have a formal structure and still operate with the characteristics that define an informal structure. For making a better decision for your business, identify the differences between a formal and informal organisational structure.

QUESTION 10

BLING is a brand producing high-tech products like smartphones, notebooks, tablets, home appliances and audio equipment. It emphasises employees' creativity and innovation in designing new products to adapt to changing consumer needs. Alternatively, FOCUS is a brand producing low-cost furniture with prices comparatively lower than competitors. It strives to have zero errors, a high level of productivity, efficiency at work, strict norms and austere accommodation, standardised production and low overhead costs. Explain whether tall or flat organisational structure is suitable in these two cases.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect because executive management level does not belong to the operational level.

Answer B is incorrect because executive management level does not belong to the strategic or tactical level.

Answer C is incorrect because executive management level does not belong to the managerial level.

Answer D is correct because executive management level belongs to the C-suite level.

QUESTION 2

Answer A is incorrect because centralisation is not just in the simple structure.

Answer B is incorrect because centralisation is not just in the functional structure.

Answer C is incorrect because the divisional structure is not centralised.

Answer D is correct because centralisation is applied in both simple and functional structures.

QUESTION 3

Answer A is incorrect because the operational level always handles structured decisions.

Answer B is correct because the executive level always deals with unstructured decision making.

Answer C is incorrect because the supervisory level always handles structured or semi-structured decisions.

Answer D is incorrect because the tactical level is similar to the operational level.

QUESTION 4

Answer A is incorrect because it is not the overriding elements without people and resources.

Answer B is incorrect because it is not the overriding elements without people and resources.

Answer C is incorrect because it is not the overriding elements without people and resources.

Answer D is correct because the relationship amongst people, work and resources should be well established.

QUESTION 5

Answer A is correct because the functional structure works well for a business producing a single or limited range of products.

Answer B is incorrect because the functional structure is not flexible so that it does not work well for a business that needs greater adaptability to changes in business, products or operation.

Answer C is incorrect because the functional structure is not flexible so that it does not work well for a business facing an unstable environment.

Answer D is incorrect because the functional structure is relatively structured that it does not work well for a business that requires creativity and innovation in producing products.

QUESTION 6

Answer A is incorrect because the organisational design involves work specialisation and departmentalisation.

Answer B is incorrect because the organisational design involves the chain of command and span of control.

Answer C is incorrect because the organisational design involves centralisation and decentralisation.

Answer D is correct because the organisational design does not involve the type of employees.

QUESTION 7

The organisational structure most commonly found and most practicably applied in medium-sized enterprises is the functional structure. It is easy to be executed in that people with similar skills are grouped together to perform similar tasks. While a divisional structure may be feasible, it is not the most practical because there is duplication of departmentalisation. For instance, each division may have its own accounting, human resources, operations and marketing departments and communication is within the division and with the organisation head in a down-up linear channel, but not often between divisions.

QUESTION 8

Strategic plans are involved in the Bingo case in that it plans to open one new shop and introduce eight new ice cream flavours. Tactical plans are also involved in that it will source new fruits and foods for the new ice cream flavours through the production department, generate new ice cream flavour ideas through the marketing department and also open the new shop through the senior management team. These plans implement activities for the strategic plan. Operational plans are also developed in this case for its operation, including a quality assurance policy on ice cream making, human resources guidelines, a menu for the frontline staff to serve its customers and operational guidelines for daily operations in shops.

QUESTION 9

Within any organisation, there are usually formal structures and informal structures. Informal structures will often become more important if the formal structures stop working and the organisation does not adjust them. An organisation's formal structure can be seen in its organisational chart. Organisational charts show the official flow of work and authority in a company. They show who reports to whom. They show who has responsibility for certain areas of work. Informal structure helps facilitate communication and social relationship within an organisation. It may also create a team culture that facilitates the business operation.

QUESTION 10

BLING is suitable to adopt a flat organisational structure. This structure has less reporting line, and it breaks down interpersonal barriers and mobilises diverse talents. It works well for BLING that it focuses on employees' creativity and innovation in designing new products and adapting to changing consumer needs. In comparison, the tall organisational structure is less efficient, less flexible and less customer-sensitive, which are not suitable for BLING.

FOCUS is suitable to adopt a tall organisational structure. This structure emphasises a clear chain of command that minimises errors and costs in operation. Employees receive clear guidelines and instruction to produce standardised products for the company. It ensures that FOCUS can meet its operational objectives. In comparison, the flat structure may create more errors and costs that deviate from FOCUS's objectives.

4

Organisational Behaviour

CHAPTER TOPIC LIST

4.1 Theory of Motivation

- 4.1.1 Maslow's Hierarchy of Needs Theory
- 4.1.2 Two-factor Theory
- 4.1.3 Equity Theory
- 4.1.4 Theory X and Theory Y
- 4.1.5 Myers-Briggs Analysis

4.2 Types of Motivation

- 4.2.1 Monetary Rewards
- 4.2.2 Recognition

- 4.2.3 Promotion

- 4.2.4 Teamwork

4.3 Negative Motivation

- 4.3.1 Lack of Rewards
- 4.3.2 Probation
- 4.3.3 Incentive Plans
- 4.3.4 Remediation Plans



LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT
LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity
2.01.10 Explain how the theories of organisational behaviour may be used to enhance the performance of the individual, teams and the organisation



OPENING CASE

Motivation is a powerful tool. It drives us forward to complete tasks. For example, in a workplace, you may be learning new things which is why you love being a part of a team. For every project, there are different ideas and ways to tackle it. Teams can work together to refine the plan. Being open to what others have to say and thinking outside the box keeps you interested in the work.

What are the scenarios of motivation when you are suffering? What can a team leader do to ensure high levels of motivation amongst their team members? There are several theories of motivation that can be applied, such as Maslow's hierarchy of needs theory and Herzberg's two-factor theory.

In order to be effective, CEOs must love the company they lead and be committed to work hard to meet its goals. CEOs must also have strong strategic thinking skills and be able to cultivate a company vision.

An unmotivated CEO can destroy what a business owner has worked hard to build. The CEO has to share the business owner's company vision or pursue another vision to lead the company with the business owner to greater success. Either way, a CEO has to be passionate about the job and company, so he stops at nothing to make his vision a reality.

Effective and mindful CEOs understand that they are setting a framework for a company's long-term future. Not only do CEOs develop strong strategic plans, but they must also set an inspiring vision for future generations of employees. For example, Walt Disney made a lasting impression on his company. Decades after his death, Disney employees continue to be inspired by his creativity and vision, which also serves as a blueprint for the company's strategic growth. 



OVERVIEW

All employees are different. Some are satisfied with their jobs and strive to perform their duties well, even exceeding expectations. Others are ineffective or unmotivated, putting in the minimum required to avoid termination. What can be done to ensure that every person, at every task, in every job, on every workday achieves the best possible performance?

There are times when all of us lack the motivation to do something and other times when we are so 'psyched' it is hard to stop what we are doing. These contrasting situations have intrigued and perplexed generations of social scientists. Even though there's more work for researchers to do, we have learnt a lot about the conditions under which people – ourselves and others – can be highly motivated to work hard on the job, at school and in leisure pursuits.

Perceptions, personalities, attitudes, emotions and moods can have a positive or a negative influence on individual behaviour. When employees are treated without respect at work, they may respond with low performance, poor customer service, absenteeism and even antisocial behaviour. In contrast, when individuals work in supportive settings, positive work behaviour is much more likely to emerge – including higher levels of work performance, less withdrawal and dysfunction and helpful citizenship behaviour.

The ultimate goal of all this information is more effective company and human resource management. A properly motivated staff leads to more effective organisational management.



4.1 THEORY OF MOTIVATION

The term **motivation** describes forces within individuals that account for the level, direction and persistence of effort that they expend, in this case at work. Simply put, a highly motivated person works hard at a job while an unmotivated person does not. One of a manager's most important responsibilities is to create conditions under which people feel consistently fulfilled and inspired to work hard.

4.1.1 Maslow's Hierarchy of Needs Theory

Abraham Maslow's theory of human needs is an important foundation in the history of management thought. The **lower-order needs** in his hierarchy include physiological, safety and social concerns, while **higher-order needs** include esteem and self-actualisation concerns. Lower-order needs relate to more basic desires that fulfil physical and social well-being; higher-order needs relate to more abstract desires for psychological development and growth.

4.1.1.1 Physiological Needs

These are basic items that we all need to ensure our survival, such as shelter, food, water, air, sleep and warmth. In the workplace, for example, this translates to the need for a fair salary, which in turn provides the ability to feed, house and clothe ourselves.

4.1.1.2 Safety Needs

Once our **physiological needs** are satisfied, we need an environment that is safe, both physically and mentally. For example, in the production line of a manufacturing company, employees need to be reassured that every step possible has been taken in order to prevent any accidents with machinery. Employees also need to be mentally satisfied that their jobs are secure and that they are being provided with decent benefits.

4.1.1.3 Affiliation/Belongingness Needs

These needs reflect our desire to be accepted by others and to find our place within certain working groups. Inherently, we want to foster good working relationships with our peers, managers and co-workers in order to create a pleasant working environment.

4.1.1.4 Esteem Needs

This is our need to be respected and appreciated by others. In organisations, most employees have a desire to be recognised, rewarded and credited for hard work.

4.1.1.5 Self-Actualisation Needs

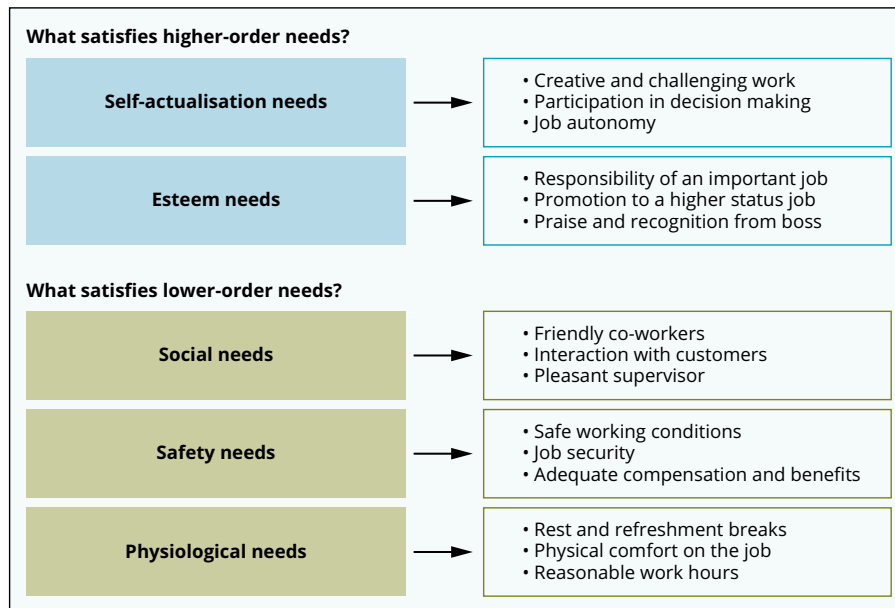
Sitting at the top of Maslow's hierarchy is our need for self-actualisation. This means that we have an innate need for personal growth and self-development. Managers can aid the process of self-actualisation in work environments by providing further training, assigning challenging goals and encouraging creativity.

Esteem needs and **self-actualisation needs** are particularly important and relevant for today's fluid workplace if organisations want to retain their staff. When managers communicate effectively with their teams, reward them sufficiently and offer them opportunities for personal growth and advancement, employees are more likely to attain a high level of job satisfaction, which encourages them to stay with an organisation.

Maslow used two principles to describe how these needs affect human behaviour. The **deficit principle** provides that a satisfied need no longer motivates behaviour. People are expected to act in ways that satisfy deprived needs – that is, needs for which there is a 'deficit'. The **progression principle** states that the need at one level does not become activated until the next-lower-level need in the hierarchy is already satisfied. People are expected to proceed up the hierarchy in the established order as their needs are fulfilled at every step. This progression principle ends at the level of self-actualisation. According to the theory, the need to self-actualise can never be met fully. In fact, the more the need for self-actualisation is satisfied, the stronger it is theorised to grow.

Exhibit 4.1 illustrates how managers can use Maslow's ideas to meet the needs better of the people with whom they work. Notice that higher-order self-actualisation needs are served by opportunities like creative and challenging work and job autonomy; esteem needs are served by respect, responsibility, praise and recognition. The satisfaction of lower-order

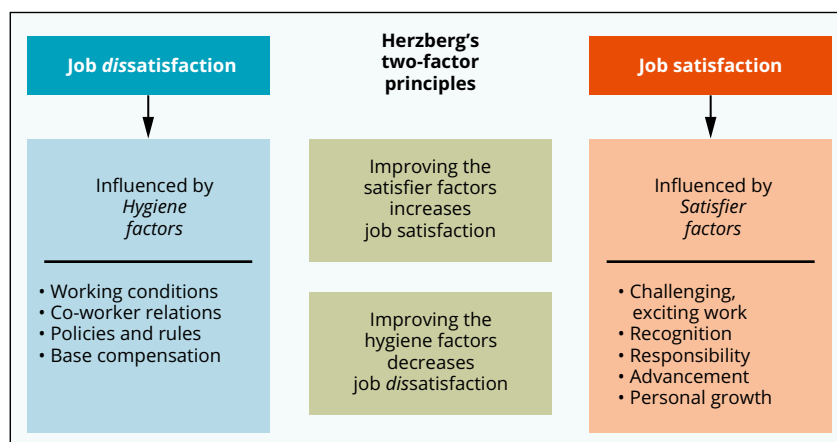
social, safety and physiological needs depends on aspects of the work environment, such as positive interactions with others, compensation and benefits and reasonable working conditions.



► **EXHIBIT 4.1** How managers use Maslow's hierarchy of needs (Source: Adapted from Maslow 1943.)

4.1.2 Two-factor Theory

Frederick Herzberg developed the two-factor theory of motivation from a pattern discovered in almost 4,000 interviews. When asked what they liked about their jobs, respondents talked mostly about issues related directly to the nature of the work itself. Herzberg called these **satisfier factors**, or motivator factors. When asked what they disliked, respondents talked more about issues related to the actual work environment. Herzberg called these **hygiene factors**. As shown in Exhibit 4.2, Herzberg argued that these two factors affect people in different ways.



► **EXHIBIT 4.2** Herzberg's two-factor theory (Source: Adapted from Herzberg 1959.)

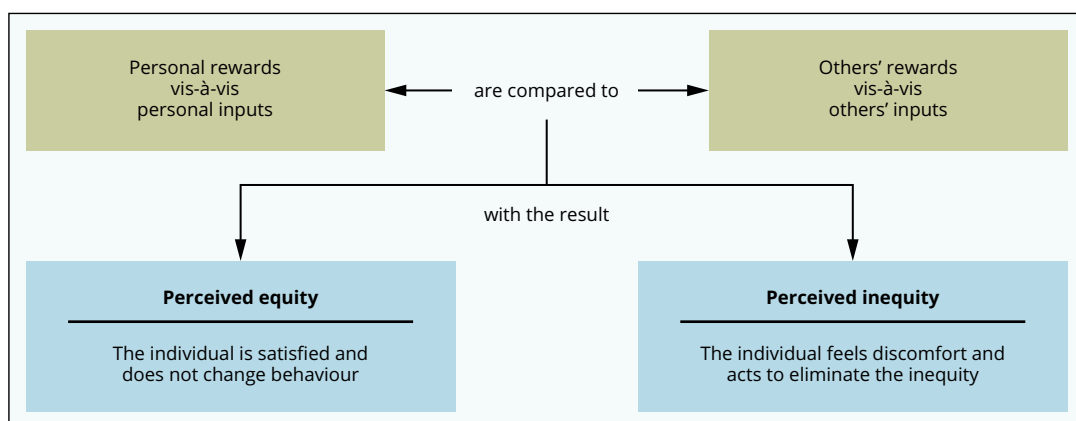
Two-factor theory links hygiene factors with job dissatisfaction. Job dissatisfaction goes up as hygiene quality goes down. Hygiene factors are found in the job context – the environment in which the work takes place – and include factors such as working conditions, interpersonal relations, organisational policies and administration and compensation. Herzberg argued that improvements in these factors, such as remodelling work spaces or adding a quality cafeteria, can help to decrease job dissatisfaction. However, these hygiene improvements will not increase job satisfaction and motivation.

Satisfier factors are linked with job satisfaction. They are found in the job content – the nature of the work itself – and include things like job challenge, recognition for work well done, a sense of responsibility, the opportunity for advancement and feelings of personal growth. Herzberg believed that the more satisfier factors are present in a job, the higher individuals' work motivation. The way to build such high-content jobs, he argued, is to make job holders responsible for not just doing the work, but also planning and controlling its accomplishment.

Criticisms of Herzberg's research on this theory include that it is entirely dependent on his method, which makes it difficult to replicate. At the very least, the two-factor theory highlights two critical parts of employment: (1) job content, the tasks people do in a particular job, and (2) job context, the setting in which they work. Herzberg's advice to managers also makes good sense: correct poor job context to eliminate potential job dissatisfaction; build satisfier factors into job content to maximise job satisfaction.

4.1.3 Equity Theory

One of the best-known motivation theories is the **equity theory** of motivation, brought to us through the work of J. Stacy Adams. Central to Adams's theory is that all people want to be treated fairly. This is determined by how people are treated in comparison to others. When people believe they are getting too much they feel dissatisfied and when they believe they are getting too little, they feel uncomfortable. People seek to avoid these feelings (Exhibit 4.3).



► **EXHIBIT 4.3 Equity theory** (Source: Adapted from Adams 1963.)

According to equity theory, people compare their outcomes-to-inputs ratio to the outcomes-to-inputs ratios of others (called a referent). Outcomes include anything an employee gets out of a job: pay, benefits, job security, advancement opportunities, autonomy, interesting

work experiences and anything else that the employee values. Inputs are the qualifications that an individual possesses and the contributions that the individual makes to the organisation. These include education, experience, special skills and training, the quality and quantity of work completed and a positive attitude and loyalty.

Perceived inequities occur when people feel that their compensation for contributions is not in line with what others receive. Many things that are considered perks or incentive pay (e.g., bonuses, raises, better office space, etc.) can make these feelings of inequity particularly pronounced, especially when managers can allocate them at their discretion.

A key point in the equity theory is that people behave according to their perceptions. For example, in the case of a pay rise it is not the reward's absolute value or the manager's intentions that influence individuals' behaviour; the recipient's perceptions determine the motivational impact of the raise.

An individual who perceives that they are being treated unfairly in comparison to others will be motivated to act in ways that reduce the perceived inequity. There are two basic types of inequity: over-reward or positive inequity and under-reward or negative inequity.

Over-reward inequity (i.e., $\text{input} < \text{reward}$) occurs when individuals perceive that they are receiving more than what is fair. That is, the outcomes-to-inputs ratio is greater than that of a referent other. While such perceptions do occur, it is much more common for individuals to experience **under-reward inequity** (i.e., $\text{input} > \text{reward}$). The perception here is of receiving less than what is deserved in comparison to someone else.

While equity theory is based on the premise that all employees desire fairness, research suggests that equity considerations are not equally important to all individuals. The idea of **equity sensitivity** proposes that people have different preferences for equity and thus react differently to perceptions of inequity.

Benevolent individuals are less concerned about being under-rewarded. They are more willing to accept situations of negative inequity, while situations of positive inequity make them very uncomfortable.

Sensitive individuals have a strong preference for equitable distribution of rewards. They react as the basic theory proposes.

Entitled individuals have a desire to be over-rewarded. They try to create situations of positive inequity for themselves and react very negatively in situations of perceived negative inequity.

4.1.4 Theory X and Theory Y

Douglas McGregor argued that managers should give more attention to workers' social and self-actualising needs. He called on managers to shift their view of human nature away from a set of assumptions he called Theory X and towards ones he called Theory Y.

According to McGregor, managers with **Theory X** assumptions believe that employees generally dislike work, have little ambition, are irresponsible, resistant to change and prefer to be led rather than to lead. In contrast, managers with **Theory Y** assumptions believe employees

are willing to work hard, accept responsibility, are capable of self-control and self-direction and are imaginative and creative (Exhibit 4.4).

McGregor's Theory X assumes that workers:	McGregor's Theory Y assumes that workers are:
Dislike work	Willing to work
Lack ambition	Capable of self-control
Are irresponsible	Willing to accept responsibility
Resist change	Imaginative and creative
Prefer to be led	Capable of self-direction

► **EXHIBIT 4.4 Theory X and Theory Y**

One important point regarding Theory X and Theory Y is that McGregor believed these assumptions create **self-fulfilling prophecies**. When managers behave consistent with the assumptions, he said, they end up encouraging employees to act in ways that confirm managers' original expectations.

Managers with Theory X assumptions tend to be directive and favour a command-and-control management style. As a result, employees tend to have little autonomy. In response, employees become passive and fail to take initiative; they wait to be told what to do. Theory Y managers tend to favour a management style that relies on high levels of employee engagement and empowerment. Their employees tend to have higher levels of job involvement and more autonomy. This results in high-performing employees who take initiative and feel self-actualised in their jobs, and satisfy esteem and self-actualisation needs.

Theory Y thinking includes valuing diversity, employee engagement, self-managing teams, empowerment and leadership. Managers need to ponder their Theory X and Y assumptions and think through their implications for how to behave as a manager and team leader. They also must be prepared to meet and work with others holding different assumptions.

4.1.5 Myers-Briggs Analysis

The Myers-Briggs type indicator (MBTI) is another popular approach to personality assessment. It uses a questionnaire to identify how people act or feel in various situations, then assigns corresponding personality types. The MBTI was developed by a mother-daughter team, Katherine Briggs and Isabel Briggs-Myers, who based their assessment on the philosophy of psychologist Carl Jung.

Jung's model of personality differences includes three main distinctions. The first is how people differ in the ways in which they relate to others – by extraversion (outgoing and sociable) or introversion (shy and quiet). The second is how they differ in the ways in which they gather information – by sensation (emphasising details, facts and routine) or by intuition

(looking for the 'big picture' and being willing to deal with various possibilities). The third is how they differ in the ways in which they evaluate information – by thinking (using reason and analysis) or by feeling (responding to the feelings and desires of others). In the MBTI, all three of Jung's personality dimensions are combined with a fourth dimension that describes how people differ in the ways in which they relate to the outside world – judging or perceiving.

Sixteen possible MBTI personality types result from the various combinations of the four dimensions. These kinds of systematic, easily understandable personality classifications have made the Myers-Briggs type indicator an extremely popular management tool. Employers and trainers like it because people can be taught to understand their own personality types, for example, as an ESTJ or ISFJ, and to learn how to work better with people with different personalities. The various personality types are shown in Exhibit 4.5.

<i>INTJ</i>	<i>INTP</i>	<i>ENTJ</i>	<i>ENTP</i>
Innovative, strategic, analytical	Innovative, objective, questioning	Innovative, determined, outgoing	Smart, curious, risk-taking
<i>INFJ</i>	<i>INFP</i>	<i>ENFJ</i>	<i>ENFP</i>
Inspiring, idealistic, devoted	Adaptable, insightful, eager to help	Charismatic, optimistic, versatile	Enthusiastic, sociable, compassionate
<i>ISTJ</i>	<i>ISFJ</i>	<i>ESTJ</i>	<i>ESFJ</i>
Fact-minded, logical, methodical	Dedicated, supportive, meticulous	Administrators, organised, practical	Extraordinarily caring, sociable, loyal
<i>ISTP</i>	<i>ISFP</i>	<i>ESTP</i>	<i>ESFP</i>
Expedient, bold, and practical	Charming, tolerant, flexible	Energetic, pragmatic, spontaneous	Spontaneous, friendly, harmonious

► EXHIBIT 4.5 Personality types

ESTJ personalities – extroverted, sensing, thinking, judging – are common amongst executives. ESTJs are willing to take on complex challenges while focusing on the details and are happy to do it as leaders of teams. Not many people fit the ESTJ personality type, making up just 11% of the population. INFP personalities – introverted, intuitive, feeling, perceiving – personalities are more common amongst middle managers and employees that can empathise more with staff and customers but may have a more difficult time making the tough decisions.

4.1.5.1 Extroverted versus Introverted (E or I)

This pair of styles refers to the source and direction of a person's energy. It is about the social interaction of a person, whether he or she tends towards being outgoing and sociable or shy and quiet. Persons who are extrovert prefer to direct their energy to deal with the outer world. Introverted people prefer to deal with their internal world, including things like beliefs and ideas.

4.1.5.2 Sensing versus Intuitive (S or N)

These two styles concern the type of information that a person receives. It is about the collection of data whether a person tends to focus on the big picture or on details in dealing

with problems. People who are sensing prefer to have facts and clarity obtained from the external world, while people with intuition prefer to deal with ideas and generate new possibilities from the internal world.

4.1.5.3 Thinking versus Feeling (T or F)

This set of styles describes how people make decisions, whether they tend to rely on logic or emotions in dealing with problems. People with a thinking style prefer to make decisions based on logic and analytics. People with a feeling style prefer to make decisions according to their emotions and values.

4.1.5.4 Judging versus Perceiving (J or P)

This final pair of personality dimensions represents the type of work style, whether a person prefers order and control or acts with flexibility and spontaneity. People with judging style prefer rules, as well as a planned and well-structured work style. People with a perception style prefer flexibility and improvise and enjoy exploring alternatives for solving problems.

Illustrative Example 1

How can employees be motivated to excel in their work and strive to achieve their goals? Answering this question is critical to understanding and manage the work behaviour of colleagues at every level.

Put a different way, what could be the reasons for a person's weak performance?

Paul Tang has two young children and a wife who stays at home. The company Mr. Tang works for pays him a wage that is enough to support him but he just learned that his wife is expecting their third child so he now must reassess his needs.

Perhaps Mr. Tang needs a larger income so his family can secure a larger home and a larger vehicle better suited to their growing family. He has met the highest income potential in his current position and the current economic climate has caused his company to eliminate bonuses and overtime pay. He is aware that a promotion is unlikely because all positions on his career path are full.

Unless another employee leaves the company or loses their job, Mr. Tang will remain in his current position.

In order to meet his need for a higher income, Mr. Tang needs to be promoted or seek employment elsewhere to satisfy his physiological needs according to the Maslow's hierarchy of needs theory. He is considered to be a good employee and his supervisor does not wish to lose him. However, Mr. Tang's personal needs outweigh the need his employer has to keep him employed in his current position without a promotion.

His supervisor must make a decision between how much the company needs Mr. Tang as an employee and what they are willing to do to keep him a part of their company. Mr. Tang needs to decide how much of a higher income is necessary to meet his needs, and how he plans on fulfilling that need.

Apply and Analyse 1

Motivation is driven by personality, skills, expectations, drive, ambition, gender, age, needs, wants, desires and so on. Motivation is what makes employees act in certain ways. How might you motivate your staff using appropriate theory? One of the main theories relating to motivation is Maslow's hierarchy of needs. People have needs. A need is a lack of something we want. This produces the drive and desire which motivates us to satisfy that need. Satisfying this need or getting the thing we want or lack is the goal.

The challenge, then, is to explain the needs of Maslow's hierarchy of needs theory and illustrate each need.

Managers have a responsibility to ensure Maslow's hierarchy is applied to work environments. The first aim of this responsibility is to drive efficiency. This means:

- A safe environment
- Proper wages
- Developing employee potential

Failing to meet these needs can lead to frustration and poor performance, low job satisfaction and more people leaving.

Illustrate this with practical initiatives.

Analysis

The theory of hierarchy of needs states that people have five main needs in the following order of importance:

1. Physiological needs such as the need to eat or drink that can be met through cafeterias, vending machines and access to water.
2. **Safety needs** that can be met with competitive wages and benefits.
3. **Affiliation/belongingness needs** that can be met through greater team spirit and social activities as well as praise and participation.
4. Self-esteem needs that can be met with self-respect and respect from others.
5. Self-actualisation needs that can be met with training and by encouraging creativity.

Key Learning Point

The term **motivation** describes forces within individuals that account for the level, direction and persistence of effort they expend at work. Simply put, a highly motivated person works hard at a job while an unmotivated person does not.



► Knowledge Check Questions

Question 1

To motivate an employee, a manager informally asks him about his satisfaction with the job's ability to provide safety, social interaction, self-respect and opportunities for growth. Identify which theory of motivation the manager is more likely to be trying to apply.

- A Theory X and Theory Y
- B Myers-Briggs analysis
- C Maslow's hierarchy of needs theory
- D Two-factor theory

Question 2

According to the two-factor theory, state which factor is the element associated with conditions surrounding the job environment.

- A Motivating
- B Hygiene
- C Economic
- D Environmental

Question 3

Identify which of the following statements would be an appropriate motivator if a manager would like to improve the job performance of clerical staff.

- A Offering them opportunities for achievement and recognition.
- B Providing them with a better healthcare plan.
- C Punishing any clerical staff who has low performance.
- D Redecorating their offices so that they are pleasant and comfortable.

Question 4

Identify which of the following motivating factors is true in Herzberg's theory.

- A Organisation status
- B Salary
- C Recognition
- D Working conditions



4.2 TYPES OF MOTIVATION

Most discussions of motivation begin with the concept of individual needs – individuals' unfulfilled physiological or psychological desires. Although the theories discuss a slightly different set of needs, all agree that needs create tensions that lead individuals to act in ways to help meet their needs. They suggest that managers should attempt to help people satisfy important needs through their work, and try to eliminate obstacles that block the satisfaction of needs.

In broad strokes, the psychological and behavioural processes that lead people to act in a particular way are collectively known as the **process theories of motivation**. These theories explore how a person's needs impact their motivation to do their work.

Motivation could be divided into extrinsic and intrinsic motivation. Extrinsic motivation involves the use of external reward or punishment to motivate people to perform behaviour or an activity. Examples in an organisation could be bonuses, promotion, salary and compensation. Intrinsic motivation refers to internal stimuli to motivate a person. Examples include recognition, empowerment, power and social status.

Extrinsic motivation (external)	Intrinsic motivation (internal)
Promotions	Personal enjoyment
Salary pay rises and promotions	Internal purpose
Bonuses	Personal passion
Perks/travel	Reinforcing self-esteem
Other compensation	Personal satisfaction of a job well done

4.2.1 Monetary Rewards

It may be that no other work issue receives as much attention as pay. **Base compensation** in the form of a market-competitive salary or hourly wage helps in hiring the right people. The way pay increases are subsequently handled can have a significant impact on employees' job attitudes, motivation and performance and it can also influence their tendencies to look for a better job elsewhere.

Benefits also rank right near the top of the list in importance with pay as a way of helping to attract and retain workers.

The trend in compensation today is largely towards 'pay-for-performance', also called a '**merit pay**' system. Under this system, salary increases will be based at least in part on some assessment of performance. The idea is that a good merit rise is a positive signal to high performers; no merit raise or a low merit raise sends a negative signal to low performers. Because their pay is contingent on performance, both groups are expected to work harder in the future.

Bonus pay plans provide one-time or lump-sum payments to employees who meet specific performance targets or make some other extraordinary contribution, such as an idea for a work improvement. Bonuses are most common as part of executive compensation plans, but they are also used with lower-level employees.

Profit-sharing plans give employees a proportion of the net profits earned by the organisation during a performance period. **Gain-sharing** are more targeted, permitting groups of employees to share in any savings realised when their efforts or ideas result in measurable gains, either from cost reductions or productivity increases. As incentive systems, profit-sharing plans, gain-sharing plans and bonus plans have the advantage of helping to ensure that individual employees work hard by linking their pay to the performance of the organisation as a whole.

Some employers provide employees with ways to accumulate stock in their companies and thus develop a sense of ownership. The idea is that stock ownership will motivate employees to work hard so that the company becomes and stays successful, for example, Hong Kong Exchanges and Clearing Limited. Some of these programmes, in Hong Kong, are known as an Employee Share Option Scheme.

4.2.2 Recognition

Positive reinforcement strengthens or increases the frequency of desirable behaviour. It encourages particular activity by tying that behaviour to a desired reward. For example, a manager compliments an employee on their creativity in making a helpful comment during a staff meeting.

Positive reinforcement deserves special attention amongst the reinforcement strategies. It should be part of any manager's motivational toolkit. One of the most important tasks as a manager is to get people fired up, which means publicly recognising and rewarding small wins that keep everyone motivated for the long haul. A manager should never underestimate the power of telling someone they are doing a good job.

4.2.3 Promotion

Employees have to be motivated and rewarded for their good performance through job promotion, which is an advancement of employees within an organisation's positions. Job promotion usually involves pay rises, more compensation, greater responsibility and increased autonomy.

Pay rises and compensation make employees feel that they are rewarded for their quality performance, and that can further encourage them to achieve goals and perform better. Greater job responsibility will make employees feel more accountable for their job, and that will encourage them to meet the challenges of their new positions.

Job promotion may also have increased autonomy that employees may have to work more independently with more authority and leadership skills. Employees may enjoy more control over their work and the supervision role in managing subordinates.

4.2.4 Teamwork

All companies rely on several individuals working together. As John Donne wrote 'No man is an island'. Teams frequently include different skills and strengths that combine to make successful projects.

For accounting projects, the team may include auditors, tax experts, technology personnel and a team captain, with upper management overseeing the whole project.

One example of such a team is a global virtual team. Here the team is composed of experts from different locations. With high speed Internet, online video conferencing and online storage like Box or DropBox, teams can work in almost any place and at any time.

Illustrative Example 2

Motivational skills in the workplace can be defined as actions or strategies that will elicit a desired behaviour or response by a stakeholder.

There are many tactics that can help managers motivate staff. Motivational tactics will vary given the style of the motivator, their relationship with the target of the motivation and the personality of the individual to be motivated.

For example, nine steps in motivation for employees could be:

1. Assessing the preferences and personality characteristics of individuals or groups.
2. Defining motivational strategies.
3. Conveying expectations for performance.
4. Communicating benefits, rewards or sanctions if expectations are met or not met.
5. Providing feedback.
6. Addressing problems or obstacles.
7. Providing rewards for desired outcomes.
8. Issuing warnings before sanctions.
9. Publicly recognising others who have responded in the desired manner.

Google is a good example of how this can be done. The company offers typical benefits such as flex spending accounts, no-cost health and dental insurance, 401K plans (retirement plans), vacation packages and tuition reimbursements.

However, Google also offers some exceptional and well-known benefits to keep its employees happy. These include:

- Reimbursement of up to US\$5,000 to employees for legal expenses.
- Maternity benefits of a maximum of 18 weeks off at around 100% pay. The father and mother of the newborn are given expenses of a maximum of US\$500 for take-out meals in the initial 3 months they spend at home with the baby (take-out benefits).
- Financial support for adopting a child (Google's adoption assistance).
- On-site car wash, oil change, bike repair, dry cleaning, gym, massage therapy and hair stylist are available at the company's headquarters in Mountain View.
- At the Googleplex, there's an on-site doctor and free fitness centre and trainer and facility to wash clothes amongst other benefits. Lunch and dinner are available free of charge. In addition, an assortment of delicious but healthy meals are available every day, prepared by gourmet chefs.

Google is a good example of rewards including flex spending accounts, where the company and employee can set funds aside to be used as the employee desires (for healthcare, child care, education); Google also has vacation spending accounts, many options on health and dental care and helping the employee pay for additional education.



Apply and Analyse 2

There are many different forms of motivation. Motivation is generally defined as the force that compels us to action. It drives us to work hard and pushes us to succeed. Motivation influences our behaviour and our ability to accomplish goals.

As a chief operating officer in an accounting firm, illustrate how you can motivate your employees.

Analysis

Monetary rewards like bonuses and promotions are good examples of incentives used for motivation.

Non-monetary rewards are also important. Sometimes employees also need to receive positive feedback from peers and superiors.

People's personalities vary and so does the type of motivation that is most effective in inspiring their conduct. This involves both monetary and non-monetary rewards, which are often called incentive motivation. Many people are driven by the knowledge that they will be rewarded in some manner for achieving a certain target or goal.

For recognition, achievement motivation is also commonly referred to as the drive for competency. We are driven to achieve goals and tackle new challenges. Generally, this feeling of accomplishment and achievement is intrinsic in nature.

Examples of recognition might include:

- Employee of the month.
- Recognition of team accomplishments (such as completing a major audit project).
- Plaques for longevity, team and individual accomplishments.
- Special recognition for those making partners.
- Other recognition for promotions.

Citicorp's Credit Card Division has a monthly recognition event with dessert (cake, or other items) and a director recognising individuals and teams that have significant accomplishments.

Key Learning Point

Monetary rewards, recognition and promotion are key approaches to motivate staff.

► Knowledge Check Questions

Question 5

Identify which of the following is a need that motivates human behaviour.

- A** Achievement
- B** Affiliation
- C** Power
- D** All of the above

Question 6

Identify which of the following best describes how people are motivated according to process theories of motivation.

- A** People make subjective judgements based on past experiences and individual thought processes.
- B** People are located at different positions in a framework.
- C** Behaviour is modified through punishment and reward.
- D** People have different orientations to work.

➤ 4.3 NEGATIVE MOTIVATION

Managers should anticipate that perceptions of negative inequity arise especially when visible rewards such as pay or promotions are given. They should make sure that processes for allocating rewards are objectively fair, and also that they are perceived to be fair. One way to do this is to be as transparent as possible. Managers have to apply some positive punishments or negative reinforcements to motivate employees to work better. These actions may induce negative thought and that may take away employees' motivation. Here are some examples of such negative thoughts:

- Hopelessness – or lack of motivation without end.
- Helplessness – often beyond control.
- Overwhelming yourself – magnification of challenges.
- Jumping to conclusions – a sense that something is not doable.
- Self-labelling – self-reinforcing perceptions of inferiority.
- Undervaluing the rewards – activities not worth the effort.
- Perfectionism – inappropriate goals.
- Fear of failure – expectations of not succeeding.
- Fear of success – lack of confidence.
- Fear of disapproval or criticism – expectations that mistakes will bring disapproval.

- Coercion and resentment – intense pressure to perform.
- Low frustration tolerance – comparing reality to ideal environment.
- Guilt and self-blame – lack of motivation.

Below are some examples of positive punishments or negative reinforcements.

4.3.1 Lack of Rewards

When an employee does not qualify for a reward, managers should communicate the intended value of the offered reward. To help the employee understand how to improve performance, managers should clarify how work is evaluated and suggest ways for an employee to compare their performance with what is desired. This can help an employee objectively measure performance and understand that evaluations are not intended to be subjective. This advice is particularly relevant in organisations using merit-based pay-for-performance systems. Any disagreement over performance ratings increases the likelihood of negative equity dynamics problems.

4.3.2 Probation

Probation is usually given to newly employed staff to begin a job with a certain performance level required within a period of time. The probationary time period allows the employer to evaluate the employee's performance, commitment, abilities, skills and adaptability to the organisational culture and values. It also ensures employees can see if they are a good fit for the organisation.

The probationary periods are usually exempt from the notice period for contract termination and certain contractual terms. Qualified employees would then be rewarded with full-time status, benefits and compensation, but disqualified employees' contracts would be terminated or their probationary period would be extended.

Some existing employees might be placed on a probationary period if their performance failed to meet the standard. If they were then unable to improve their performance within a specified period of time, their contracts would be terminated. The probationary periods serve as a reminder or warning to motivate staff to work better.

4.3.3 Incentive Plans

Continuous reinforcement administers a reward each time a desired – or approximated – behaviour occurs. **Intermittent reinforcement** rewards behaviour only periodically. Continuous reinforcement tends to work best to encourage desired behaviours through shaping, while intermittent reinforcement works best to maintain it.

Companies may use *incentive plans* to motivate their employees. Incentive plans generate rewards for accomplishing certain tasks or meeting standards of performance. An approach to promotion based on performance is an example of an incentive plan, so is a bonus scheme linked to performance. Incentive plans can also be used as negative motivators when failure to meet a certain goal or task leads to the employee missing out on the incentive.

4.3.4 Remediation Plans

Different companies implement different plans to remedy behavioural problems. However, generally speaking, the following guidelines for remediation are applicable to most scenarios:

- Clearly explain what the person is doing wrong.
- Clearly communicate what the person is doing right.
- Concentrate on behaviours and their effects, not personal characteristics.
- Ensure that punitive consequences are appropriate and encourage positive behaviour.
- Do not publicly discuss the employee's shortcomings.

Illustrative Example 3

Money is the driving force of negative motivations.

Negative motivators are used to take something away from an employee when performance does not meet expectations. An example of this is withholding a rise.

Other negative motivators include the threat of failing to advance or even dismissal. An unspoken threat of losing a job can prompt employees to work harder and longer.

Negative motivation encourages someone to perform an activity to avoid some kind of pain that may result from not doing it. Positive motivation is a reward.

Some people have high pain tolerance, meaning it takes a lot of negative motivation before they budge. Compare this to someone who has low pain tolerance – who cannot bear too much pain and whose threshold is low. For this second type, negative motivation can be an effective tool.

Apply and Analyse 3

A business owner of an apparel shop found difficulties in motivating his employees to increase the sales target through bonus, performance rewards and recognition. He was told to adopt the negative motivation approach to motivate his staff to increase the sales target. Explain the role of negative motivation in pushing the sales target and the possible ways to implement it in this case.

Analysis

The business owner may adopt the following negative motivation approach to increase the sales target:

- Extending the probation period for newly joined employees if they are unable to meet the sales target within the probation period.
- The base salary can be set lower, while the proportion of the commission can be greater.
- Deducting monetary rewards, like a bonus or pay, if the sales target was not met.



Key Learning Point

Managers should take a balanced approach to adopt positive motivators and negative motivators to manage its employees. Some employees may have more favourable behaviours if positive motivators are used, while others may have more favourable behaviours if negative motivators are used.

► Knowledge Check Questions

Question 7

Identify what negative motivation is based on.

- A** Extended probation
- B** Rewards
- C** Money
- D** Status

Question 8

A salesperson can get less bonus if they cannot get sufficient contracts signed, while they may have to undertake a remedial course to improve sales technique and communication skills if they are unable to get sufficient sales for the company. Describe the type of negative motivations of the above two policies.

- A** Bonus refers to negative reinforcement and the remedial course refers to positive punishment.
- B** Bonus refers to negative reinforcement and the remedial course refers to negative punishment.
- C** Bonus refers to positive reinforcement and the remedial course refers to positive punishment.
- D** Bonus refers to positive reinforcement and the remedial course refers to negative punishment.

Question 9

A production supervisor receives a bonus for each day when a project is completed ahead of schedule. Identify what this practice is called.

- A** Probation
- B** Remediation plans
- C** Negative reinforcement
- D** Positive reinforcement



SUMMARY

- To maximise expectancy, people must believe in their abilities. They must believe that if they try, they can perform. This is an issue of perceived competency.
- Managers can build positive expectancies by selecting workers with the right abilities for the jobs to be done, providing them with the best training and development, and supporting them with resources so that the jobs can be accomplished.
- To maximise instrumentality, people must see the link between high performance and work outcomes. This is an issue of rewards and recognition for accomplishments.
- Managers can create positive instrumentalities by clarifying the possible rewards for high performance and then allocating these rewards fairly and on a performance-contingent basis.
- To maximise performance, people must value the outcomes associated with high performance. This is an issue of individual differences. Managers can use different theories of motivation, such as Maslow's hierarchy of needs theory, Herzberg's two-factor theory and MBTI, to help understand what needs are important to different individuals. Steps can then be taken to link these needs with outcomes having positive effects and that can be earned through high performance.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because Theory X and Y do not address security, social, esteem and self-actualisation needs.

Answer B is incorrect because Myers-Briggs analysis does not address security, social, esteem and self-actualisation needs.

Answer C is correct because the motivation theory of Maslow's hierarchy of needs is most likely to be applied by the manager. The needs concerned are security, social, esteem and self-actualisation needs.

Answer D is incorrect because two-factor theory does not address security, social, esteem and self-actualisation needs.

Question 2

Answer A is incorrect because motivating is not the appropriate factor in the case.

Answer B is correct because hygiene is the factor concerning the job environment.

Answer C is incorrect because the economic factor is not the appropriate factor in the case.

Answer D is incorrect because the environmental factor is not the appropriate factor in the case.

Question 3

Answer A is correct because recognition is the appropriate motivation type.

Answer B is incorrect because the statement is not the appropriate motivation type.

Answer C is incorrect because the statement is not the appropriate motivation type.

Answer D is incorrect because the statement is not the appropriate motivation type.

Question 4

Answer A is incorrect because the status of the organisation is not the motivating factor.

Answer B is incorrect because salary is not the factor in Herzberg's theory.

Answer C is correct because recognition can bring job satisfaction in Herzberg's theory.

Answer D is incorrect because working conditions are not the factor in Herzberg's theory.

Question 5

Answer A is incorrect because not only achievement motivates human behaviour.
Answer B is incorrect because not only affiliation motivates human behaviour.
Answer C is incorrect because not only power motivates human behaviour.
Answer D is correct because achievement, affiliation and power are the factors for motivation.

Question 6

Answer A is correct because it is the correct statement on who can be motivated.
Answer B is incorrect because it is not about motivation.
Answer C is incorrect because it is not about motivation.
Answer D is incorrect because it is not about motivation.

Question 7

Answer A is correct because extended probation is a negative motivation to the employee in that they have to wait for a longer time to get the full-time status.
Answer B is incorrect because reward is a positive motivation.
Answer C is incorrect because money is a positive motivation.
Answer D is incorrect because status is a positive motivation.

Question 8

Answer A is correct because bonus deduction refers to negative reinforcement and the implementation of remedial course refers to a positive punishment to the salesperson.
Answer B is incorrect because the implementation of remedial course is not a kind of negative punishment.
Answer C is incorrect because the bonus deduction is not a positive reinforcement.
Answer D is incorrect because the bonus deduction is not a positive reinforcement and the implementation of remedial course is not a negative punishment.

Question 9

Answer A is incorrect because probation is not a reinforcement practice.
Answer B is incorrect because remediation plans are used to remedy behavioural problems and does not apply here.
Answer C is incorrect because a bonus is not negative reinforcement.
Answer D is correct because extra bonus is a positive reinforcement.

 EXAM PRACTICE**QUESTION 1**

Identify which of the following does not belong to Maslow's hierarchy of needs.

- A.** Safety
- B.** Social
- C.** Self-actualisation
- D.** Relatedness

QUESTION 2

The human resource manager believes that the employees have to be treated fairly in order to enhance their commitment and responsibility to their jobs. Identify which of the following motivation theory is adopted in this case.

- A.** Maslow's hierarchy of needs
- B.** Two-factor theory
- C.** Theory X and Theory Y
- D.** Equity theory

QUESTION 3

State the two-factor theory.

- A.** Safety and self-esteem
- B.** Self-actualisation and status quotient
- C.** Hygiene and behaviour
- D.** None of the above

QUESTION 4

Students doing group work may be unhappy with a high grade if they feel some members of the group did not contribute evenly to the effort in getting that grade. State which of the following applies to this circumstance.

- A.** Maslow's hierarchy of needs
- B.** Equity theory
- C.** Two-factor theory
- D.** Theory X and Theory Y

QUESTION 5

Identify the self-actualising tendency according to Maslow.

- A.** Growth motivation
- B.** Deficiency motivation
- C.** Instinct
- D.** Imprinting

QUESTION 6

The 'need for success', 'expectancy for success' and the 'incentive value of success' are the three motivational factors which determine the strength of one of the following. Identify the correct answer.

- A.** Social motives
- B.** Biological motives
- C.** Personal motives
- D.** Achievement need

QUESTION 7

An individual is seeking a junior sales job and is interviewed by a human resources manager. Explain what types of motivation will apply to this job and illustrate with a motivation theory.

QUESTION 8

Describe the advantages and disadvantages of performance-based payment. Explain how managers can motivate their sales teams other than through performance-related pay systems.

QUESTION 9

Explain the advantages to an organisation of encouraging teamwork for achieving a common goal or for completing a task in the most effective and efficient way.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect because safety is a need in Maslow's hierarchy of needs.

Answer B is incorrect because the social factor is a need in Maslow's hierarchy of needs.

Answer C is incorrect because self-actualisation is a need in Maslow's hierarchy of needs.

Answer D is correct because the 'relatedness' is not a need in Maslow's hierarchy of needs.

QUESTION 2

Answer A is incorrect because Maslow's hierarchy of needs addresses human needs, but not fairness.

Answer B is incorrect because two-factor theory focuses on the satisfier factor and hygiene factor, but not fairness.

Answer C is incorrect because the Theory X and Theory Y focus on self-fulfilling prophecies.

Answer D is correct because equity theory focuses on fairness.

QUESTION 3

Answer A is incorrect because safety and self-esteem is another theory of Maslow's hierarchy of needs.

Answer B is incorrect because self-actualisation and status quotient is another theory of Maslow's hierarchy of needs.

Answer C is correct because hygiene and behavioural factors influence job satisfaction according to the two-factor theory.

Answer D is incorrect because answer C applies.

QUESTION 4

Answer A is incorrect because Maslow's hierarchy of needs focuses on human needs (e.g., safety, social and self-actualisation concerns, etc.).

Answer B is correct because the equity theory describes the fairness in the statement.

Answer C is incorrect because the two-factor theory is not true to the statement.

Answer D is incorrect because Theory X and Theory Y is not true to the statement.

QUESTION 5

Answer A is correct because people have an innate need for personal growth and self-development.

Answer B is incorrect because the self-actualising tendency is just related to growth motivation.

Answer C is incorrect because the self-actualising tendency is just related to growth motivation.

Answer D is incorrect because the self-actualising tendency is just related to growth motivation.

QUESTION 6

Answer A is incorrect because social motives are not linked to success and motivational factors.

Answer B is incorrect because biological motives are not linked to success and motivational factors.

Answer C is incorrect because personal motives are not linked to success and motivational factors.

Answer D is correct because the achievement need is linked with these success and motivational factors.

QUESTION 7

As we have learnt, monetary rewards (e.g., base compensation, merit performance, bonus pay, etc.) and non-monetary rewards (e.g., recognition such as awards and promotion) are major concerns in motivation. The interviewee's reply regarding motivation should take into consideration the following:

- Avoiding being too generic or vague about which types of motivation the interviewee wants. This would make it easier for the manager to see the interviewee not just as an applicant but also as a future employee. For example, the interviewee can provide specific answers relating to the position.
- Avoid being too focused on the salary. The interviewee can also show concern about other factors such as job satisfaction, the job environment and so on.
- Avoid being too dishonest about motivation. The interviewee should not state that they like interacting with customers if they actually hate dealing with people.

QUESTION 8

Advantage: Creates incentive. If targets are clearly set, then sales representatives have clear objectives. Targets can be set for each individual sales representative.

Disadvantage: Unrealistic targets. Other motivating factors may be lacking.

Managers can motivate their sales teams by using group incentives, holidays and fringe benefits and through job satisfaction and working as a team.

QUESTION 9

Teamwork involves a group of interdependent individuals working together towards a common goal. The advantages can increase motivation through the following:

- Greater range of skills and knowledge to solve problems.
- Increase in employee morale.
- Problems across the organisation can be solved more easily.
- Team ideas can be more creative.



Part B

Specific Applications on Management

- 
- Chapter 5** Production and Operations Management – Manufacturing Entities
 - Chapter 6** Service Organisations and Management
 - Chapter 7** Financial Management
 - Chapter 8** Human Resource Management
 - Chapter 9** Control Systems, Risks and Recovery
 - Chapter 10** Marketing and Management
 - Chapter 11** International Business and Management

5

Production and Operations Management – Manufacturing Entities

CHAPTER TOPIC LIST

5.1 Nature of Making Products

- 5.1.1 Process of Making Products
- 5.1.2 Stakeholders
- 5.1.3 New Product Development Process
- 5.1.4 Product Life Cycle

5.2 Production Considerations

- 5.2.1 Supply Chain Management
- 5.2.2 Just-in-Time
- 5.2.3 Quality Assurance
- 5.2.4 Total Quality Management
- 5.2.5 Six Sigma

5.3 Top (Strategic) Decision Making

- 5.3.1 Long Range
- 5.3.2 Less Precision

- 5.3.3 External Focus

- 5.3.4 Competition

- 5.3.5 Resources

- 5.3.6 Strategic Planning Processes

5.4 Middle (Tactical) Decision Making

- 5.4.1 Weeks/Months Time Frame

- 5.4.2 Blended Precision

5.5 Daily (Operational) Decision Making

- 5.5.1 Short Range

- 5.5.2 More Precision

- 5.5.3 Mostly Internal

- 5.5.4 Quicker Decisions



LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT

LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity

2.01.09 Describe common quality management techniques

PRINCIPAL LO3: EXPLAIN THE ROLE OF PRODUCTION AND OPERATIONS MANAGEMENT

LO3.01: Describe the key elements of production and operations management in a manufacturing business and explain the role of strategic production analysis

3.01.01 Describe the key elements of production and operations management

3.01.02 Explain the role of strategic production analysis

3.01.03 Describe the concept of just-in-time, total quality management and supply chain management



OPENING CASE

SUPPLY CHAIN MANAGEMENT FOR HONG KONG'S FAST-MOVING CONSUMER GOODS INDUSTRY

Supply chain management (SCM) involves the collaboration of trading partners throughout the supply chain to enhance the value to the consumer for the least possible cost.

Modern retailers face an increasingly difficult environment driven by increasingly rigorous client demands. Today's consumers expect higher quality, more variety, lower costs, shorter timelines and enhanced complexity.

Trading partners include the suppliers of raw materials, manufacturers, distributors, retailers, service providers and even government entities.

The consumer is at the centre of supply chain activity. By working together, all organisations in the supply chain can reduce inefficiencies and eliminate activities that do not add value, while also tapping into current technologies such as product numbering, bar coding and scanning, EDI/XML, the Internet, electronic product code (EPC) and global data synchronisation (GDS).

At its core, SCM is structured around three flows: the flow of physical goods, the flow of information and the flow of funds.

Over the past decade a fundamental change in business has led to the increasing sophistication of SCM. Mature retail markets across the United States, Europe and Japan have been quick to respond.

Hong Kong faces unique challenges in the fast-moving consumer goods (FMCG) industry, which has had difficulty adopting cutting-edge SCM elements. FMCGs are varied. They include a range of products such as packaged foods, beverages, milk, fruit, toilet paper or any other product that is sold quickly in the consumer market. The product life cycle of FMCGs is short within the supply chain.

Some of Hong Kong's larger FMCG businesses have been able to successfully adopt SCM concepts more easily, but some of the smaller local industry players lag behind. In order for Hong Kong to remain competitive, this gap will need to be narrowed – and FMCG companies of all levels will need to prioritise SCM.

Speed, accuracy and efficiency are at the heart of SCM. Innovations in product replenishment and services delivery will need to be adopted if the industry is to maintain a competitive edge in the global market. 



OVERVIEW

Globalisation and advanced information technology have led supply chain management to become central to business strategy. SCM is a point where the three points of product quality, customer satisfaction and competitiveness intersect.

Supply chain management focuses on ensuring the flow of goods and services responds appropriately to customer needs while lowering total costs. In the past, each segment of the supply chain had its own targets and was managed independently.

However, to compete in today's global marketplace, all parts of the supply chain must operate in sync.

Managers use a variety of decision-making processes as they face different kinds of challenges in organisations. In some cases, the planning environment is stable and predictable; in others it is more dynamic and uncertain.

Different situations call for different types of plans and decisions. For example, a new product has different SCM needs than established or declining products.



5.1 NATURE OF MAKING PRODUCTS

New products and services keep organisations alive and bringing something new to market requires design.

Design is a critical process that defines a firm's customers and competitors. It leverages an organisation's core competencies and identifies what needs to be developed. New products and services can also be change agents that invigorate an organisation, define new markets and yield new technologies.

By designing new products, companies can be encouraged to push the boundaries of convention and pursue new ideas. Successful design also requires teamwork across all functions of the company. Through this process, a firm and its employees can learn new ways of doing things and experiment with exciting ideas. Establishing a design process that supports all of this is critical to new-product development.

5.1.1 Process of Making Products

Customers are always at the heart of product design, but making new offerings requires the participation of the production process. Certain design decisions could be cost prohibitive or impossible to manufacture, so coordinating with production is critical.



5.1.1.1 Input

Manufacturing organisations produce physical goods, for example, mobile phones or automobiles. Inputs in manufacturing can include people, technology, capital, equipment, materials and information.

Suppose one company is the first to market a fresh design, but a competing successor offers better quality. A company is different from another based on its experience, knowledge and know-how which form its core competencies. Core competencies are not static; they should be a focus of strategy and be developed over time. An understanding of customer needs is essential to ensuring that a competency remains relevant. Core competencies that do not evolve in response to customer needs can become core rigidities for a firm.

Product design decisions influence the product's final cost, its manufacturing workflow, speed to market and sales strategies. Early design decisions are less disruptive than those made late in the process.

A business that sells a particular product and also assembles it, making all the parts and directly sourcing raw materials is completely **vertically integrated**. Vertically integrated companies are rare. Most organisations cannot or will not create all of the parts that go into a product. Deciding what should be done by third parties, and who those partner organisations are, are major strategic decisions. They must account for final product cost, the risks of dependence on third parties, the option of building competency and the impact on proprietary information.

Considerations must be made as to what items can be made in-house, when should outsourcing be considered, how quality should be ensured. Regarding the suppliers themselves, organisations must have a clear idea of how suppliers should be chosen, how close relationships with those suppliers should be, how many suppliers should be used, and whether suppliers should be permitted to work directly with one another. Such granular decisions are crucial to ensuring high quality throughout the supply chain.

For process planning, the company needs to decide which items will be purchased from an outside supplier and which items will be produced by its own factories.

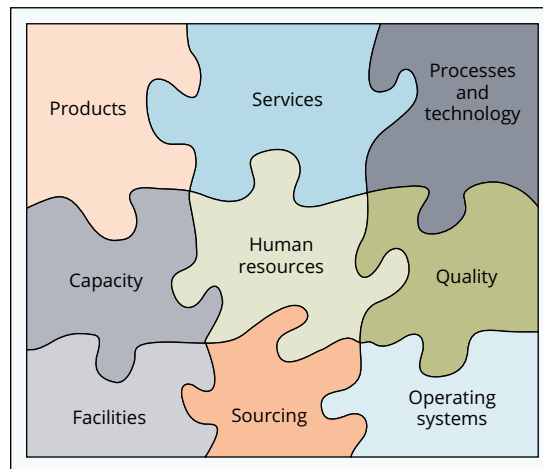
5.1.1.2 Operations

The operations function helps strategy evolve by creating new and better ways of delivering a firm's competitive priorities to the customer. There are five common groups of competitive priorities for a firm:

- Cost
- Quantity
- Time
- Flexibility
- Innovation

Once a firm's competitive priorities have been established, its operating system must be configured and managed to provide for these priorities. This involves a range of related decisions pertaining to products and services, technology, processes, capacity, plants, human resources, quality and sourcing. All these decisions should 'fit' like pieces in a puzzle to seek for competitive priorities (Exhibit 5.1). A tight strategic fit means competitors must replicate

the entire system to obtain its advantages. Thus, the competitive advantage that allows an organisation to outperform competitors through an integrated operating system is more sustainable than short-lived products or technologies.



► **EXHIBIT 5.1 Integrated operating system**

(Source: Adapted from Boone 2016)

Production processes can be classified as projects, batch production, mass production and continuous production.

Projects often have a long timeline and involve a large investment of funds and resources. Typically, projects result in the fulfilment of a single customer order. Examples include new product development and construction projects like the building of an office tower or a large-scale ship.

In **batch production**, many different jobs pass through the same production system over the same period of time. These jobs are sent through in batches or a few at a time. Batch production works best when products are made specifically to fill customer orders as they are received. This is typically seen when there is relatively low volume (e.g., small order size) and variable demand. Examples of businesses likely to use batch production include bakeries, machine shops, printing companies, and furniture makers.

Mass production produces large volumes of a standard product for a mass market. Organisations typically rely on mass production when demand is stable and volume is high. Goods that are mass produced include automobiles, televisions, personal computers, fast food and most consumer goods.

Continuous production is used for very high-volume commodity products that are very standardised. Automated systems allow production to operate around the clock. Businesses that rely on continuous production include oil refineries, water treatment plants, chemical manufacturers, steel plants and food-related businesses.

The process chosen to create the product or service must be consistent with product and service characteristics. The most important product characteristics (in terms of process choice) are degree of standardisation and demand volume. Organisations aim at maximising quality in the transformation process to meet the customer needs.



5.1.1.3 Output

Output is defined as goods which are produced in a given period of time by an organisation. Factors that influence product quality include the design of the production process, the materials used and the skills of the employees involved in production. An effective quality-control system can help identify the frequency and effects of poor processes, defective materials, machinery failures and human error. Increased supervision, alterations to design or changing materials suppliers are just a few ways companies can address output problems and improve overall product quality. It is important to prevent problems and solve them early to produce high-quality products.

5.1.2 Stakeholders

A business organisation produces goods and services to meet its customers' needs. Quality is a major factor for customers in how they value products and services. Customers know that certain companies produce better-quality products than others, so businesses must consider how consumer behaviour influences product quality. The case is the same whether an organisation's consumers are manufacturers purchasing raw materials, store owners purchasing products to sell, or individual consumers buying things online.

As the endpoint in any production process, the customer should always be at the centre of production decisions. It is important for companies to understand the needs of their customers so they can create appropriate and effective products. Customer needs and the price they are willing to pay should determine the quality and design of the final product or service.

One way to consider quality is how value is created. Product development is a function of its quality, how desirable its characteristics are to the customer and what that customer wants, needs and is willing to pay. Design has a tremendous influence over quality and production process. After the product is designed, the production process should be tailored to ensure the product meets the specifications required by the design. This is referred to as the **quality of conformance**.

From the producer's perspective, good-quality products conform to specifications – they are well made; poor-quality products are not made well – they do not conform to specifications. Achieving quality of conformance at an acceptable cost is also an important consideration.

Not only good quality is essential to achieve conformance to specifications, key personnel including the engineering staff, supervisors and managers and, most importantly, employees are also crucial.

5.1.2.1 Management Team

Management teams design, operate, improve and monitor productive systems – systems for getting work done. They design systems, ensure quality, produce products and deliver services. They also work with customers and suppliers and use cutting-edge technology. They solve problems, re-engineer processes, innovate and integrate. Production and operations are more than planning and controlling. Whether it is superior quality, speed-to-market, customisation, or low cost, excellence in production and operations is critical to a firm's success.

Production

Production is concerned with how the product will be made. Designs that are difficult to make often result in poor-quality products. Engineers tend to overdesign products, with too many features, options and parts.

In general, the management team of a production department includes production managers that are the key people of this functional unit. Their roles can identify the right quantity of raw materials and type of equipment that may be required.

After the inputs are ready, they schedule production processes with several types of production works in the production line. They can then coordinate production procedures more efficiently and effectively.

At the same time, they also work with other members of the team, such as product managers, whose focus is on the design and quality of the specific product line or brand.

Apart from looking after the tools used for production design, production personnel are responsible for production planning, production control and quality control. In production planning, the production method decisions need to be planned. Capacity planning and facilities decisions are also crucial in the planning stage. In production control, production personnel must solicit and respond to the deviation and adjust as needed. In production control, production personnel ensure that goods are produced according to the specifications and standards fixed at the design stage. The continuing responsibility of all operations personnel is to improve the performance of the organisation's operation.

Late changes in design are expensive and also jeopardise the effectiveness of the supply chain. An adjustment in one part may necessitate an adjustment in other parts, which can have a domino effect on various aspects of a product's design. That is why production design should be taken as a preliminary design phase.

Recommended approaches to production design include simplification, standardisation, modularity, design for manufacture and design for supply chain. Choosing supply chain partners early in the design stage and working with them to finalise the design, enhance manufacturing capabilities and reserve long-term capacity, are essential to meeting new product launch goals for both quality and time to market.

Simulation, defined as the imitation of a situation or process, is often applied to production problems, such as production scheduling, production sequencing, assembly line balancing for improving productivity (of in-process inventory), plant layout and plant location analysis. Many production processes can be viewed as queuing systems that can be analysed only by using simulation. Since machine breakdowns typically occur according to some probability distributions, maintenance problems are also frequently analysed using simulation. It also takes complex requirements and stochastic processing times into account.

Operations

Operations are often defined as a transformation process, which includes:

- Changes in the physical characteristics of materials
- Changes in the location of materials
- Changes in the ownership of materials



Inputs (such as materials, machines, labour, management and capital) are transformed into outputs (goods and services). Customer feedback and requirements affect the transformation process, which may in turn change inputs. A goal of operations management is to create value. This can be accomplished by ensuring that the transformation process is efficient and results in a product that has a greater value than the sum of its parts. The transformation process itself can be viewed as a series of activities along a value chain extending from supplier to customer.

Activities in operations management include organising work, determining processes, arranging layouts, locating facilities, defining jobs, measuring performance, controlling quality, scheduling work, managing inventory and planning production. Effective operations managers have a good understanding of processes, technology and leadership. They must not only work under sometimes stressful, deadline-driven conditions, but they also need to be able to effectively manage their employees. The work of operations managers is integral to the business and they often work closely with other functional areas.

5.1.2.2 End Customers

Today's customers have increased power in purchasing decisions based on the fulfilment and price of products. Fulfilment is first considered when customers demand order management tools that facilitate self-service enabled by the increasingly important Internet. This reduces the time from order entry to actual delivery. At the same time, producers used to determine the market price of their goods but, today, customers have gained control over the price of goods and are increasingly establishing the value of a given product.

As far as product types are concerned, customers now want products customised to meet their unique needs, including configuring exactly what they want at the time of ordering. It can be useful to classify goods and services as either business to consumer (B2C) or business to business (B2B), depending on whether the purchasers of the particular item are consumers or businesses. These classifications can be subdivided further, and each type requires a different competitive strategy in different product types as follows.

Convenience products are items that consumers purchase frequently, immediately and with little effort. Such convenience products include newspapers, coffee, bread and snack foods. These items are often for sale in petrol station markets, vending machines and local newsstands.

Shopping products are typically purchased only after the buyer has compared competing products in competing stores. These products are often quite costly, so the consumer is content to spend considerable time researching products before making a final decision. For example, a person intent on buying a new car or piece of furniture may visit many dealers and explore dozens of options available at a number of retailers.

Specialty products are those that a purchaser is willing to make a special effort to obtain. The purchaser is already familiar with the desired product and considers it to have no reasonable substitute. Specialty products involve add-on features or unique production parts. Examples are handmade gourmet chocolates, designer label clothing (e.g., Vivienne Tam), expensive sports cars, engraved tablet and phone cases and high-price photographic equipment (e.g., Canon).

Unsought products are goods and services that consumers either do not know about or know about but do not think of buying until a need arises. Examples include car towing, home security systems and burial services.

Business products are goods and services such as payroll services and large equipment used in typical business operations. This category also includes raw materials, buildings, machinery and tools. Business products are classified based on how they are used and other key characteristics. Expensive products that are expected to have long useful lives are called **capital items**. Less costly products that are consumed within a year are referred to as **expense items**.

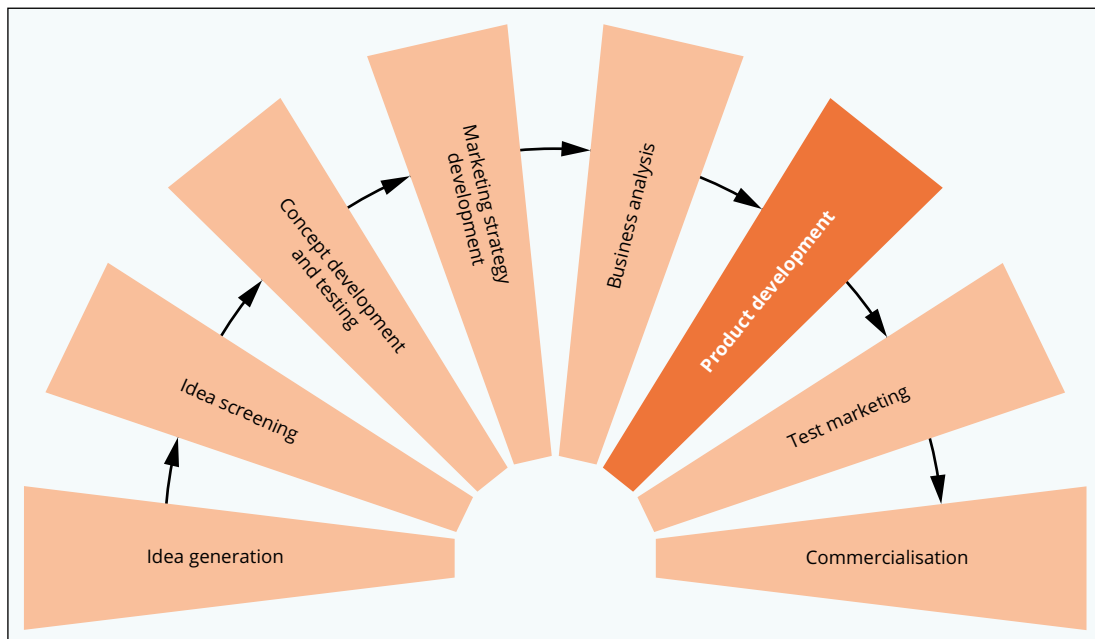
All these types of products have different product life cycles, especially for designing and manufacturing processes. For example, convenience products belong to daily or frequent consumption by end customers. These products should be linked with regular production lines on a routine and non-stop basis. Meanwhile, some other types of products such as shopping products and specialty products can be produced at different intervals.

Production managers can schedule the production timeline in turns or specific time sections, such as weekly and bi-weekly. As specialty products involve making unique features or customisation, their production normally takes more time. As far as unsought products or business products are concerned, the production timeline can be adjusted based on the needs of customers to some given period or based on seasonal needs.

5.1.3 New Product Development Process

New product development is costly, time consuming and risky because of the high rate of failure. Products can fail for many reasons. A few of the most common are: insufficient development, poor marketing, ineffective distribution and poor alignment with customer needs. Even successful products may eventually reach the decline stage and must be replaced with new product offerings.

Most of today's newly developed items are aimed at satisfying specific consumer demands. New product development is becoming increasingly efficient and cost-effective because marketers use a systematic approach in developing new products (Exhibit 5.2).



► **EXHIBIT 5.2** Major stages in new product development (Source: Adapted from Armstrong 2006)



The product development process includes five steps:

1. Idea generation and screening
2. Feasibility studies
3. Prototype development
4. Test marketing
5. Commercialisation

5.1.3.1 Idea Generation and Screening

The starting point in the new product development process is generating ideas for new offerings. Ideas come from many sources, including customer suggestions, suppliers, employees, research scientists, marketing research, inventors outside the firm and competitive products. The most successful ideas are directly related to satisfying unmet customer needs.

In the second stage, ideas are rigorously analysed and any that do not match overall company objectives or that cannot be developed given the company's resources are eliminated. Open discussions with specialists who work in different functional areas in the organisation can help establish whether or not an idea is viable and worth pursuing.

During concept development and business analysis, additional assessments seek to determine a product's potential sales, profits, growth rate and competitive strengths. Managers also determine whether the product fits with the company's existing distribution and marketing resources.

Concept testing – marketing research designed to solicit initial consumer reaction to new product ideas – may be used at this stage. For example, potential consumers might be asked about proposed product names, logos and packaging.

Focus groups are sessions in which consumers meet with marketers to discuss what they like or dislike about current products and perhaps test a new offering to provide immediate feedback.

5.1.3.2 Feasibility Study

A **feasibility study** is an assessment of the practicality of a proposed plan or method which looks at the three major areas of market issues: organisational, technical and financial issues.

Marketing examines ideas that are generated and the corresponding customer needs identified in the first stage of the design process and formulates alternative product and service concepts. A feasibility study is used to analyse the most promising concepts from multiple perspectives, including a market analysis. Most companies have market researchers who can design and evaluate customer surveys, interviews, focus groups, or market tests. Their findings determine whether there is enough demand for the proposed product to support further investment and development.

If the demand potential exists, an economic specialist examines the estimated costs of development and production and compares them to estimated sales volume. The product's market segment and branding strategy is explored, and these elements help to determine a

price for the product. Cost-benefit analysis, decision theory, net present value or internal rate of return are commonly used to evaluate the profit potential of the project but these estimates contain considerable uncertainty. The new product's risk and the organisation's comfort with this are considered.

Finally, technical and strategic questions must be addressed before positive feasibility assessment allows the idea to move into the development phase. Some of the topics surrounding these questions are: new technology requirements, risk levels, new labour and management needs, existing production capacity, competitive advantage, and compatibility with core business.

Performance specifications describe what the product should do to satisfy customer needs. These should be clearly communicated for all concepts that move into the development phase.

5.1.3.3 Prototype Development

Prototype development is the creation of an actual product and subjected to rigorous tests and rounds of revision. Functioning prototypes or detailed descriptions of the product may be created. Product development and marketing work together to create and fine-tune prototypes. Marketing seeks consumer reactions to the proposed design, including physical attributes like colour. Prototypes that do not meet the performance specifications are eliminated.

This process can take quite a bit of time and involve many rounds of revision. It involves building an initial prototype, testing it, revising the design and retesting it, until a viable product is identified and created.

5.1.3.4 Test Marketing

Test marketing introduces a new product supported by a complete marketing campaign to a selected city or geographic area. Marketers look for a location with a manageable size, where residents match their target market's demographic profile, to test their product.

The methods of test marketing include focus group interviews, consumer surveys and trade show exhibits. Organisations choose one or more of these methods based on the type and amount of information marketers need and the organisation is offering.

During the test marketing stage, the item is sold in a limited area while the company analyses both consumer responses to the new offering and the marketing effort used to support it. Test market results can help managers determine the product's likely performance in a full-scale introduction. Some companies forgo test marketing because they believe it could reveal too much to competitors.

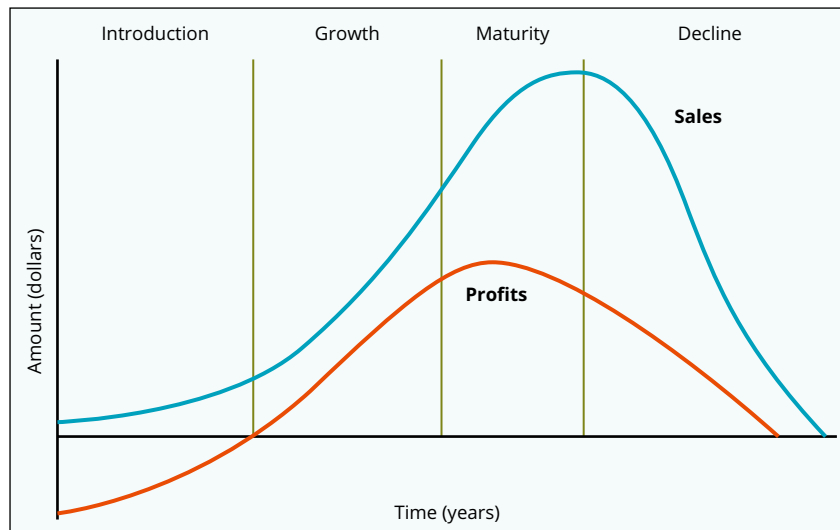
Test marketing can also be too costly to consider. For example, creating limited production runs of cars or large appliances can be cost prohibitive. In such cases, products move straight from development to production.

5.1.3.5 Commercialisation

In the final stage, **commercialisation**, the product is made available in the marketplace. This stage can also be referred to as a produce launch. A lot of planning goes into this stage, which requires coordination of distribution, promotion and pricing strategies.

5.1.4 Product Life Cycle

Once a product is on the market, it usually goes through four stages known as the **product life cycle**: introduction, growth, maturity and decline (Exhibit 5.3).



► **EXHIBIT 5.3 Product life cycle** (Source: Adapted from Levitt 1965)

Product life cycles are not set in stone; not all products follow this pattern precisely and different products may spend different periods of time in each stage. The concept, however, helps the production manager and operations manager better anticipate developments throughout the various stages of the life of a product.

The assumption of profitability also assumes a predictable pattern through the stages of production and emphasis shifts from developing a product to manufacturing it in a profitable manner and distributing it in a profitable fashion.

5.1.4.1 Introduction

In the introduction stage, the company tries to promote demand for its new offering while improving the production process. Production can be complicated by the various factors that go into new product development. Once a new product is ready to be made, the manufacturer has to take into account a series of factors such as workflow and investment. A profitable product can be linked to the flow of supply chain management from the initial development stage to final customers.

The production flow of a new product involves idea generation, market research, prototype design, product testing and market analysis. After a new product has gone through all these processes, the product can be launched and will succeed. New product development is typically an important process for any manufacturer. The company can run regular product life cycle processes to determine a product's lifespan.

5.1.4.2 Growth

During the growth stage, sales climb quickly as new customers join early users who, depending on the cost and type of item, are now repurchasing. For some manufacturers, this stage is

significant since their products have established market position in the market through increasing sales and acquiring higher profit margins. As production of these products can increase the quantities to meet the market demand, the manufacturers can reduce manufacturing costs at this stage since it is the most profitable stage in the whole cycle through economies of scale and operational efficiencies.

As the growth of products can bring more customers, the greater awareness of customers can bring more suggestions to improve their existing products. Some manufacturers can have insights to improve their products to a new or modified version in the next cycle.

5.1.4.3 Maturity

In the maturity stage, industry sales at first increase, but they eventually reach a saturation level at which further expansion is difficult. Competition also intensifies, increasing the availability of the product. It causes challenges for manufacturers. As profits have to be shared amongst competitors in the market, the sales and profits are going to drop owing to the loss of market share.

In view of this, some manufacturers have to find efficient ways to manufacture greater quantities of profitable products at lower cost. Meanwhile, they can optimise their production workflow by finding new ways of operation or produce a product with different features to cope with challenges in the maturity stage.

5.1.4.4 Decline

Sales continue to fall in the decline stage, the fourth phase of the product life cycle. Production lines and production of the product might be slowed or even decommissioned or repurposed as demand for the product falls. Profits decline and may become losses as further price cutting occurs in the reduced overall market for the item. Competitors gradually exit, making some profits possible for the remaining companies in the shrinking market.

For some manufacturers, another way to continue making profits from a product during the decline stage may be to look to new, cheaper markets to boost sales. The profit generated from these markets may not justify the investment needed to re-enter an existing market. Thinking of other solutions, such as different manufacturing alternatives, different techniques, or moving a production plant to another cheaper location or recruiting cheaper workers, they can survive this stage.

Apply and Analyse 1

The product life cycle has four phases from creation to phase out in the manufacturing of the self-driving car industry.

Products are created and nurtured during the early stage and they grow and mature in the market before finally declining and being phased out. Every product follows this cycle at different rates of speed, with some products moving through the cycle in a few months, others going through it in a few years and still others lasting a few decades.



Apply and Analyse 1 (continued)

The four phases of the life cycle are as follows:

1. *Introduction*: Frequent design changes and quality are critical at this stage. For example, in the manufacturing of self-driving vehicles, this phase is often the most difficult. When these vehicles are first released, costs are extremely high and sales are low. Companies focus much time and energy on research and development, testing and market research. The self-driving car relies on development tools that can sense its environment and navigate without much human input.
2. *Growth*: This phase of the cycle is marked by increasing demand while maintaining quality and cost controls. Increased variety in products is common. After early adopters purchase the product, sales start to grow exponentially at this stage. Companies can take full advantage of economies of scale and improved distribution channels. Self-driving cars, for example, combine a growing number of techniques to perceive their surroundings, including radar, lasers, GPS technology, odometry and computer vision. Advanced control systems interpret sensory information to identify appropriate navigation paths, as well as obstacles and relevant signage. All these improvements can be made and add value to the product by differentiating.
3. *Maturity*: Competitors enter the market and force costs to be lowered in order to minimise costs and maximise profits. In the case of self-driving cars, this phase is likely to be marked by established products that capture a certain amount of market share. By the maturity phase, competitors have usually released similar products. Successful companies usually begin to modify products, adding new features and reducing prices.
4. *Decline*: The final phase of the product life cycle is marked by scaled down processes that help eliminate unprofitable competitors. Sales of products, such as the self-driving vehicle, may decline. After the market is saturated, successful companies can attempt to salvage any remaining profits by switching to less expensive production methods.

As mentioned earlier, the product life cycle applies to all types of products, even if the length of the cycle varies. New computer products, software and video games often have short life cycles. Product such as diamonds and durable goods (kitchen appliances, for instance) have longer life cycles. Because new computer-related products have high costs of research and development, the turnover caused by technology innovation is faster. As hardware breaks down and people throw it away, recycling resources are increasingly used.

Another consideration is supply and demand. For example, computers and other hardware are increasingly needed as is the software to support them.

How a product is promoted, priced, distributed or modified can also vary throughout its life cycle.

Key Learning Point

A firm that sells the product, assembles the product, makes all the parts and extracts the raw material is completely **vertically integrated**. An integrated operating system of a company links up a few operations or functional units to run in a unified, efficient and effective manner, such as an enterprise resource planning system.

► Knowledge Check Questions

Question 1

Define the stage of creating new and better ways of delivering a firm's competitive priorities, such as a product with perceived quality or reliable performance and faster delivery time to market, to the customer.

- A Input
- B Operation
- C Output
- D Review

Question 2

Identify which of the following stages of the production process would enable an organisation to produce large volumes of a standard product to the market.

- A Projects
- B Batch production
- C Mass production
- D Continuous production

Question 3

Determine to which of the following product types car towing and home security systems belong.

- A Convenience products
- B Shopping products
- C Specialty products
- D Unsought products

5.2 PRODUCTION CONSIDERATIONS

Demand forecasts determine how much inventory is needed, how much of a product to make and how much material to purchase from suppliers. This determines the need for and location of key production entities, including plants and warehouse, and what type of transportation is required for on-time delivery.



It is best to avoid housing large stocks of costly inventory at each stage of the supply chain. Conversely insufficient inventories create customer service problems caused by late deliveries and items being out of stock. This is especially hurtful in today's competitive global business environment where customer service and on-time delivery are critical factors. Both of these undesirable outcomes can be avoided if forecasts accurately predict customer demand.

5.2.1 Supply Chain Management

A **supply chain** encompasses all activities associated with the flow and transformation of goods and services from the raw materials stage to the client, as well as the associated information flows. It encompasses all the assets, information and processes that ensure a supply of a particular product. A supply chain includes a number of key entities, starting with suppliers of raw materials, parts and components; moving to subassembly shops, producers and distributors; and ending with the buyer.

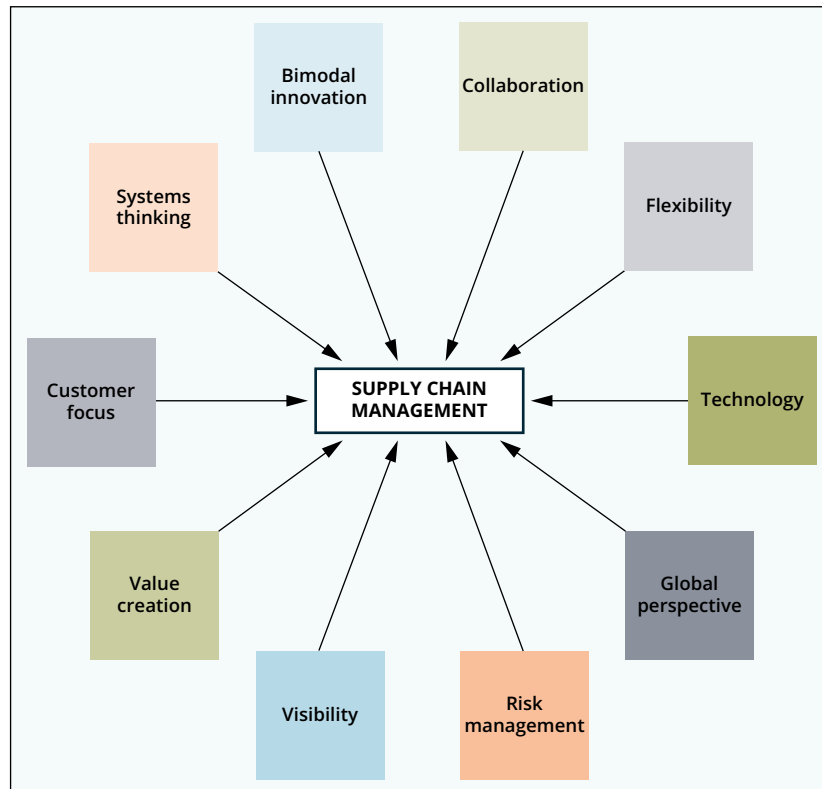
The supply chain begins with suppliers, which can be as basic as raw material providers. Suppliers who are involved in activities that help to create a product are referred to as **upstream** supply chain members. Once the product is created, distributors and warehouses make up the supply chain. These post-production entities, along with customers, are referred to as **downstream** supply chain members.

The supply chain can represent a single producer directly linked to one level of suppliers and one set of customers. A grocery store that gets fresh milk, eggs and vegetables directly from a farmer (and not through a distributor) and sells them directly to the customer, who consumes them, illustrates the most basic supply chain. However, supply chains are more typically much more complex. In fact, it can be helpful to think about a supply chain as a series of customers, with each supplier acting as a customer to the supplier further up the chain.

Suppliers and customers must be able to trust each other. Reliability and consistent quality are two important characteristics that customers rely on. To achieve value for the customer, the members of the supply chain must act as partners to systematically create value at every stage of the supply chain. Not only must they be sure that orders will be delivered on time, but they must also trust that the product will function as they need and expect. In order to ensure this for their customers, businesses must consider their internal production processes and those of the entire supply chain. Bear in mind that customers are not necessarily consumers or end users of a product. Any company that works with suppliers is also a customer. In order for the supply chain to perform effectively and efficiently, every partner member must be dependable.

Collaboration and integrated processes ensure that product design, quality and supply-chain performance are at the necessary levels. This is achieved by bringing together purchasing, inventory, manufacturing, facilities and distribution. Market demand, technology and industry conditions affect all of these functions and require the suppliers and customers to adapt.

Supply chain management enables companies to address and focus on the new requirements of the customers (see Exhibit 5.4). It would be faster to reduce the delivery time of product distribution by internal and external data to create value in the chains. For example, the manufacturers can do internal predictive analytics, risk management through technology and collaboration, while they can do external forecasting on global perspective and bimodal innovation in the market.

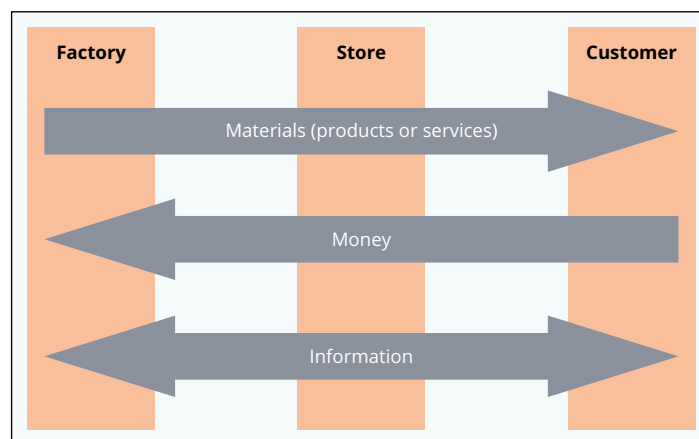


► **EXHIBIT 5.4 Supply chain management functions** (Source: Adapted from Stanton 2017)

Moreover, some flexible feedbacks for changing demand or supply situations are collected by applying ad hoc and real-time planning requirements. Once the products are sent, the process can increase flexibility by allowing customers to reroute shipments to a better destination. Thus, efficient robots can be applied to automatically handle the production from raw materials input to product packaging and delivery.

Supply chain management is the management of these three flows (Exhibit 5.5):

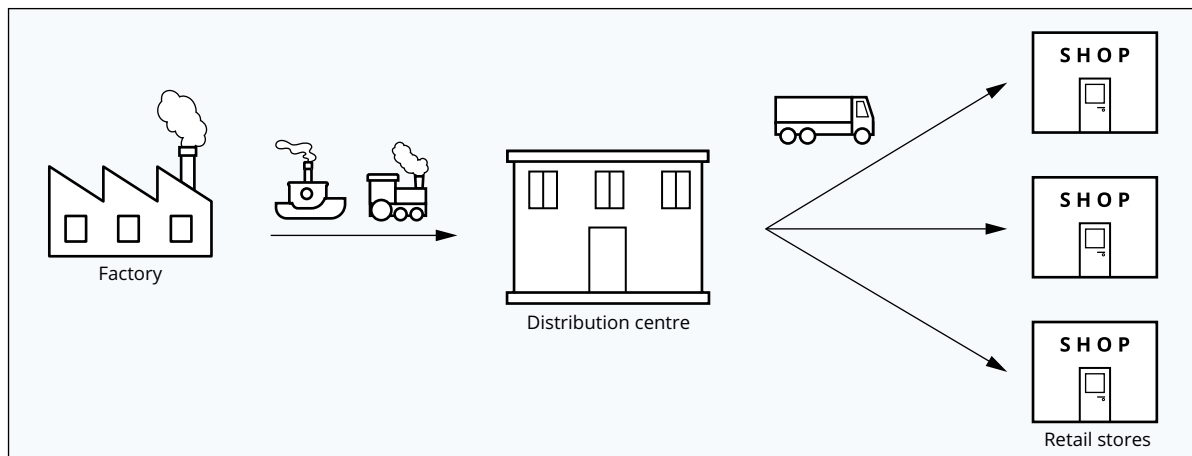
1. **Materials (product or services):** are the flow of physical product from factories or suppliers to customers through middlemen such as stores, wholesalers and retailers. The direction is usually unidirectional.



► **EXHIBIT 5.5 Supply chain relationships** (Source: Adapted from Stanton 2017)

2. Money: is the flow of movement of money or financial currencies from customers back to factories or suppliers. The financial terms, for example, in debit terms, are set by their agreements.
3. Information: is the bidirectional flow between suppliers and customers involving purchase orders, delivery status, invoices, and so on.

After manufacturing of the product, it can be transported to a distribution centre where it can be stored until sold (Exhibit 5.6). Distribution centres also offer value-added services like product mixing, order fulfilment and packaging. Basically, the flow velocity through the distribution centre is much greater. It is customer-centric and is the bridge between a supplier and its customers. This middle step can satisfy the customer requirements more efficiently.



► **EXHIBIT 5.6 Supply chain steps** (Source: Adapted from Stanton 2017)

5.2.1.1 Logistics

Logistics is the process of coordinating and moving resources from one location to storage at a desired location and only refers to what happens within a single organisation. Whereas supply chain management refers to what happens within a larger network of separate organisations.

Supply chain is the flow of goods and services from the materials stage to the end user; it may involve many organisations in between. Parts and materials are transformed into final products or services. These products may be stored at a distribution centre or warehouse before being transported by carriers to customers.

Marketing mix refers to the tactics that a company uses to promote its brand or product in the market and is a combination of variables that can be controlled by a company to influence consumers to purchase its products.

Distribution, the second marketing mix variable, focuses on moving goods and services from producer to wholesaler and to retailer to buyers. Managing the distribution process includes making decisions such as what kind of wholesaler to use and where to offer products for sale. Retailers can range from specialty stores to factory outlets and everything in between and they must choose effective customer service, pricing and location strategies.

Logistics for global supply chain management must take into account national and regional differences. Business practices and regulations can vary widely from country to country and region to region. When developing products for foreign markets, it is important to remember that the country of the end user has a tremendous impact on labelling, packaging and transportation.

5.2.1.2 Shipping and Handling

As in other areas of supply chain management, information technology has a significant impact on distribution. Companies now distribute goods in response to or anticipation of Internet sales. Online customers have resulted in increased order frequency, smaller order size and higher customer service expectations. No matter how far goods must travel, customers expect quick fulfilment. To fill online orders successfully, warehouses and distribution centres must be set up as flow-through facilities that rely on automated handling to process and deliver orders quickly.

Rather than buying goods in bulk and storing them, retailers have pushed inventory, storage and final configuration upstream. Suppliers and distributors are now expected to make more frequent deliveries of smaller quantities of merchandise. In order to meet this expectation, many companies rely on mixed pallets, which group different products together in a single package. The items inside must be properly labelled and packed so the products can be easily identified and restocked according to the store's configurations. Consider the many ways clothing retailers present their goods. A store may want to receive shipments of blue jeans that are prefolded so they can be shelved right out of the box. However, they may want button-down shirts to be delivered on hangers to prevent wrinkling and to make them easy to hang.

The burden of preparing these different types of shipments falls on distribution centres, which rely on automation to execute these tasks. The sophisticated system that prepares such a variety of shipments is called a **warehouse management system (WMS)**. This automation system supports the daily operations of a distribution centre and keeps track of inventories. The WMS places an item in storage at a specific location (a putaway), locates and takes an item out of storage (a pick), packs the item and ships it via a carrier.

The WMS confirms whether or not a product is available to shop and, if not, when it will be.

5.2.2 Just-in-Time

A **just-in-time (JIT) system** is a type of inventory control that influences the entire system of production and operations management. A JIT system seeks to provide the right part at the right place at the right time – right before it is needed in production. The key objectives of JIT are to improve the efficiency of organisations and lower costs by eliminating the need to produce or store idle inventory.

However, the disadvantage of JIT is that the manufacturers have to take the risk that the suppliers may not be able to supply enough high-quality materials when they are needed. Also, if the demand is under-estimated, the manufacturers will not have extra inventory on hand to meet the customers' needs. Natural disasters can also have a negative impact on JIT systems, preventing materials from reaching manufacturing facilities in a timely manner.

A JIT system can help improve the efficiency of an organisation and reduce costs. The system does not allow organisations to produce or store idle inventories. The system is



arranged and managed so that raw material orders from suppliers match the production schedule. For example, a car manufacturer can operate with low inventory levels based on its supply chain to deliver parts used to build cars.

5.2.3 Quality Assurance

Companies believe that increased sales and market share resulting from increased customer satisfaction can offset the costs of achieving good quality. This is because the cost of achieving good quality will be reduced as technologies and processes resulting from increases in quality also improve. These companies are frequently the ones that seek to achieve zero defects.

The dimensions of quality for manufactured products that a consumer looks for include the following:

- Performance: the basic operating characteristics of a product; for example, how well a car handles.
- Features: the 'extra' items added to the basic model, such as a built-in navigation system.
- Reliability: the probability that a product will operate properly within an expected time frame; that is, the car will not be damaged by normal wear and tear.
- Conformance: the degree to which a product meets pre-established standards; such as an even coating of paint that is consistent in colour across vehicles.
- Durability: how long the product lasts; its life span before replacement. A car may last more than 15 years or 200,000 miles with proper care and maintenance.
- Serviceability: the ease of getting repairs, the speed of repairs and the courtesy and competence of the repair person; for instance, a service station in a dealership that stocks a wide range of parts.
- Aesthetics: how a product looks, feels, sounds, smells, or tastes; such as whether the dashboard is made from attractive materials.
- Safety: assurance that the customer will not suffer injury or harm from a product; an especially important consideration for automobiles.
- Other perceptions: subjective perceptions based on brand name, advertising and the like.

Customers consider these quality characteristics in relation to a product's price. As a rule, customers will pay for the level of quality they can afford. Satisfaction is based on the sense of getting what they have paid for (or more).

The **costs of quality** (COQ) are those incurred to achieve good quality and to satisfy the customer, as well as costs incurred when quality fails to satisfy the customer. Thus, quality costs fall into two categories: the cost of achieving good quality, also known as the cost of quality assurance. The cost of conformance includes prevention cost (e.g., statistical process control) and appraisal cost (e.g., quality audits and inspection). The cost associated with poor-quality products, also referred to as the cost of not conforming to specifications includes internal failure and external failure cost. Internal failure costs refer to scrap and rework. External failure costs refer to product liability and complaint warranty.

Currently, there are two drivers of interest in measuring quality costs. The first is the updated ISO 9000, which states that measurements are crucial because they use quantifiable data to reflect improvements in quality. The second driver is Six Sigma, a popular approach that aims to communicate measurable quality improvement in the form of financial and cost data. Both ISO 9000 and Six Sigma are outlined here.

ISO 9000 describes the fundamental concepts and principles of quality management. These concepts and principles apply in particular to organisations looking to implement quality management systems; improve customer confidence in their ability to provide products and services; strengthen confidence in supply chains and improve communication through shared vocabulary or conformity assessments.

Maintaining quality cost data can provide ISO auditors with evidence of improvement in an organisation applying for ISO certification. Similarly Six Sigma emphasises the financial impact of projects as a measure of improvement, which has resulted in a need for data related to quality costs.

5.2.4 Total Quality Management

Total quality management (TQM) is an approach to long-term success through customer satisfaction and has been the most prominent and visible approach to quality to evolve from the work of W. Edwards Deming and his contemporaries.

TQM originated in the 1980s as a Japanese-style management approach to quality improvement. During the 1990s, it gained popularity and was adopted by countless companies around the world. Although it has taken on many meanings, it was (and still is) a philosophy for managing an organisation centred on quality and customer satisfaction as the strategy for achieving long-term success. TQM requires the active and constant participation of everyone in an organisation, across all divisions and processes. To achieve and sustain this pervasive focus on quality requires a significant long-term commitment on the part of the organisation's leadership.

The philosophies and teachings of the early quality gurus are clearly embodied in the eight basic principles of TQM:

1. Customer focus: The customer defines quality and customer satisfaction as the top goal; it is a requirement and is not negotiable. The principle covers both customer needs and customer service while stressing that a business should understand its customers and their needs and meet (or exceed) their expectations.
2. Total employee involvement: Quality improvement is the responsibility of every employee; all employees must be trained and educated to achieve quality improvement. Businesses should have clear objectives and goals and include its employees in actively achieving those targets.
3. Process centred: Quality problems are found in processes and problems must be prevented, not solved. Processes that are managed well can help reduce costs, improve consistency and eliminate waste while promoting ongoing improvements.
4. Integrated systems: Integrating various systems help ensure consistency and understanding while speeding up activities.
5. Strategic and systematic approach: Efforts to focus on key processes and align processes that complement each other lead to better efficiency. When multiple processes are managed together, systems can be made more efficient.

6. Continual improvement: Continuous quality improvement is the strategic goal that requires planning and organisation. The benefits of continuous improvement include an increased ability to benefit from new opportunities, more organisational flexibility and improvement performance particularly during tough economic times.
7. Fact-based decision making: A logical business approach should be based on data and analysis. At times, however, decisions can be made rashly or without careful analysis.
8. Communication: Communication ensures a strong relationship between a company and its suppliers. It recognises their interdependence and enhances productivity and seamless working practices.

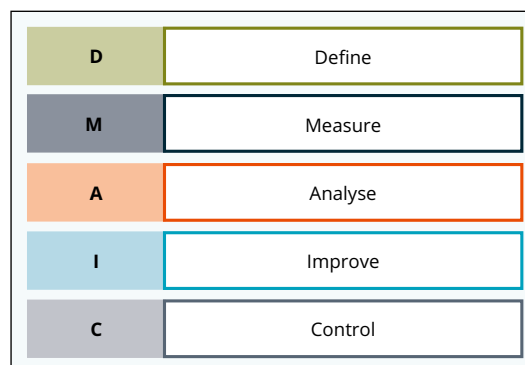
5.2.5 Six Sigma

Another tool for measuring performance is **Six Sigma**, a quality management strategy that uses statistical methods to analyse the causes of defects with the intention to develop and deliver perfect products and services. Six Sigma is a scientific tool aiming for perfect quality in the eyes of customers. Developed and introduced by Motorola, Six Sigma has become popular amongst many types of business including General Electric and manufacturing company 3M, as well as smaller companies around the world.

By monitoring product quality on an ongoing basis, Six Sigma can be used to help organisations make better-quality products more efficiently. This could result in significant increases in profits and cost savings. Basically, performance is improved by aiming to reduce defects to near zero, on a project-by-project basis. A number of organisations have credited Six Sigma with billions of dollars in cost savings and increased profits and these reported successes have led many other large and small organisations to adopt all or some of the Six Sigma methodology. As a result, Six Sigma is currently one of the most popular quality management systems in the world.

‘Sigma’ is a statistical term for the standard deviation, which measures the variance around the mean of a normal distribution. In Six Sigma, it measures how much a product or process deviates from perfection. By measuring the number of defects in a process, it is believed that they can be systematically eliminated. In its most basic form, Six Sigma uses a statistical goal of 3.4 defects per million opportunities (DPMO), which is determined by evaluating which process should be improved and to begin isolating the cause(s) of defects. In other words, the near elimination of all defects from a product, service or process. Six Sigma can also be used to reduce waste in terms of resources and non-value activities, as well as to improve the flow and efficiency of processes.

Another key process in Six Sigma is the five-step breakthrough strategy which is widely used (Exhibit 5.7). The steps are define, measure, analyse, improve and control (DMAIC).



► EXHIBIT 5.7 The five steps of Six Sigma

1. Define: Key to success is knowing who the customers are, what they want and how the company's products and services fall short. In this step, these factors are defined to provide a clear direction for improvement.
2. Measure: Data are collected to measure the current performance against the desired performance. Characteristics that are critical to quality, product and process capabilities and risks are identified in this step.
3. Analyse: The causes of defects are identified through analysis of the data.
4. Improve: Solutions to the problems are developed through brainstorming sessions amongst teams. Changes to the process are made and the results are evaluated to see if the problems have been solved. If not, the process is repeated until they are.
5. Control: If the desired level of performance is achieved, processes are monitored to ensure that no unexpected and undesirable changes occur, thereby maintaining the level of performance.

An organisation that adopts Six Sigma typically trains all employees on the breakthrough strategy, quality improvement techniques and statistical tools so that they can participate in the Six Sigma project teams. Every employee should be involved in Six Sigma strategies because quality is considered to be every employee's responsibility.

Typically, staff trained in Six Sigma principles rely on a gradation identified as belts. Six Sigma 'Black Belts' operate under 'Master Black Belts' to apply the methodology to projects. A Black Belt professional has a high level of understanding of the system's principles, supporting systems, tools and techniques. They can figure out non-value-added activities and can use tools to reduce them.

Black Belts train and share their experiences with 'Yellow Belts' and 'Green Belts'.

Green Belts work on an ad hoc basis in Six Sigma projects. They take up Six Sigma implementation as part of their job responsibilities. Most Green Belts understand the phases of DMAIC and use that understanding to analyse and solve the quality related issues and participate in quality improvement projects. Most Green Belts work on projects within their own functional area.

Some companies apply the Six Sigma concept during the design and developmental stages of a product or service; this could be more effective and less expensive than fixing problems in a process that is already in place. Design for Six Sigma (DFSS) is used for this purpose; it is similar to the breakthrough strategy but is used earlier on so as to design products and services that meet customer expectations and desired quality levels right from the start.

The most famous DFSS system is DMADV (design, measure, analyse, develop and verify). This Six Sigma method brings in a sense of customer needs when designing new processes to deliver high-quality products to customers. The various steps include the following:

- Define: The system starts by defining customer needs changing customer input from an external variable to an internal one.
- Measure: The second step uses a definition of what the customer wants to create specifications and define products and services in a way that is measurable, allowing data to be collected and compared to specific requirements.

- **Analyse:** The proposed process or product is analysed and studied to determine if there are better approaches to achieve the desired results and identify areas that need improvement.
- **Design:** The information gathered in the previous step is used to design new products or processes. The analysis step is repeated to compare the new design with the characteristics sought. Customer test groups may be used.
- **Verify:** The final step is an ongoing process of verifying that the end result meets or exceeds the customer's requirements.

Over the years, companies have come up with their own versions of Six Sigma to fit their own needs. The ultimate goal, however, is the same: to improve productivity and quality so that the costs associated with poor quality are reduced. The improved quality of products and services makes a company more competitive and the improved perception in the eyes of its customers enables it to charge higher prices, resulting in further increased profitability.

Illustrative Example 1

Six Sigma can help an organisation change and improve the quality of management. It has been adopted by lots of multinational organisations over the last decade. Applying the principles of Six Sigma can help enhance a person's problem-solving and general management skills.

Fluctuations in the global economy are causing increases in operating costs. As a result, many banks and insurance companies have introduced this management system to improve the quality of the services they provide. A case in point is HSBC, the global bank. Some banks have used Six Sigma to improve their in-house processes to improve how they provide credit and mortgages by identifying issues with workflow.

Six Sigma can be used in myriad industries. A five-star hotel may use it to improve customer satisfaction. After implementation, many problems can be defined and improvements analysed such as whether customers care about having television sets in their rooms or soft pillows.

The international coffee shop chain Starbucks uses Six Sigma to measure organisational performance and improve efficiency. As the corporation grew, management sought more clarity on how customers order their coffee and what their experience is like. Starbucks uses Six Sigma to train employees and speed up service.

In fact, every company has problems to address. The big question is which problems to address and how to address them. Many improvement methods seem simple, the challenge is to define and evaluate problems.

The Six Sigma code is summarised in the acronym 'DMAIC' – define, measure, analyse, improve and control.

Starbucks adopted this approach step by step:

- **Define:** The problem was how to improving the efficiency of Starbucks in dealing with customer orders.

Illustrative Example 1 (*continued*)

- Measure: How quickly do customers expect their coffee to be served and at what level of quality?
- Analysis: Starbucks gathered data in the areas of ordering, customers' receiving and payments.
- Improve: Cash register rings up orders, baristas proactively take customers' orders before customers pay, reducing wait time.
- Control: Continuous monitoring of customer behaviour, whether any changes or not, and review customers feedback and workflow of catering services in the market and technology innovation.

The ultimate aim, for the company, was to improve processes using statistical tools. The approach helps improve quality, reduce costs and improve customer loyalty. Finally, the approach can enhance productivity through efficiency and effectiveness.

Apply and Analyse 2

The process of manufacturing products flows from the input of raw material to finished product output through different ways of making products. In general, product flow includes movement of goods from supplier to consumer, as well as dealing with customer service needs such as input materials or consumables or services like housekeeping.

In the supply chain the goods and services generally flow downstream (forwards) from the source or point of origin to consumer or point of consumption. There is also a backwards (or upstream) flow of materials, mainly associated with product returns.

In typical supply chain management, there is a supplier, manufacturer, distributor, wholesaler, retailer and consumer. The consumer may even be an internal customer in the same organisation.

For example, in a fabrication shop there may be many kinds of raw steel turned into different building components through cutting, general machining and welding centres. These parts are then assembled to order on a flatbed for shipment to a customer.

The flow of product in such a factory is from one process/assembly section to the other having relationship as a supplier and consumer (internal). Acquisition is taking place at each stage from the previous stage along the entire flow in the supply chain.

In manufacturing, operational decision making is essential and is especially applied to modern manufacturing facilities of manufacturers. In the beverage industry, the production process needs to consider some requirements such as various materials, ingredients, special treatment in brewing fermentation, cleaning and hygiene procedures. Middle management should guarantee the quality, safety and shelf life of the production line to meet the product deadline and also to reduce production costs. In view of these considerations, you are trying to analyse how production managers in the beverage industry can leverage processes and production features to sustain competitive advantages through effective management.



Apply and Analyse 2 (continued)

What examples of actual processes can be identified?

Summarise the processes linked to products from input to output in the management of the supply chain and illustrate the actual processes with an example.

Analysis

Management of a plant which makes beverages can first plan on production planning and scheduling before making products in their production lines as part of normal operations. In fact, these kinds of decisions relate to day-to-day operations and internal planning tasks. Meanwhile, the decisions of maintenance operations are also quickly planned. Otherwise, any repairs or abnormal facilities in production lines may cause budget overruns and affect production scheduling.

These decisions are necessary to ensure that ongoing production meets market demand and provides reasonable profits for the plant. The involved business processes include:

- Production planning: Aggregate planning and master production scheduling.
- Inventory demand: Plan and control inventories.
- Resource requirements: Plan materials and capacity requirements.
- Shop floor planning and control: Short-range decisions about what to produce and when to produce at each production line.
- Materials management: Manage all types of materials input.

Key Learning Point

A supply chain encompasses all activities associated with the flow and transformation of goods and services from the raw materials stage to the end user (customer), as well as the associated information flows. **Supply chain management** is the management of materials, money and information.

► Knowledge Check Questions

Question 4

The supply chain begins with suppliers. Identify which of the following is not the function of supply chain management.

- A Purchasing
- B Inventory
- C Distribution
- D Customer services

► Knowledge Check Questions (*continued*)

Question 5

A just-in-time system seeks to eliminate anything that does not add value in operations. Identify which of the following such a system provides.

- A** The right part at any place at any time.
- B** The right part at the right place at just the right time.
- C** The right part at any place at just the right time.
- D** The right part at the right place at any time.

Question 6

If the desired level of performance is achieved, processes are monitored to ensure that no unexpected and undesirable changes occur. Identify to which of the following steps of Six Sigma's breakthrough strategy this statement refers.

- A** Measure
- B** Analyse
- C** Improve
- D** Control

5.3 TOP (STRATEGIC) DECISION MAKING

Strategic decisions are focused on the organisation as a whole or a major component. They affect and shape the direction of the whole organisation. They are longer-term plans that set broad action directions and create a frame of reference for allocating resources for maximum performance impact. Strategic plans ideally set forth the goals and objectives needed to accomplish the organisation's *vision* in terms of mission or purpose and what it hopes to be in the future. Senior management of manufacturing corporations contemplates major types of decisions which link to the manufacturing function. The strategic decisions in manufacturing could be categorised into facilities, capacities, vertical integration, manufacturing process, new products, human resources management, quality management, manufacturing infrastructure and vendor relation.

As production focuses on the process of making products or creating services, it is an important operations task for management from inputs to outputs in manufacturing entities. In general, there are three types of decision-making management levels:

1. Top management – strategic decisions
2. Middle management – tactical decisions
3. Daily management – operational decisions

In manufacturing, the decisions are varying and made from different positions, mainly operations or production managers.

For example, operations managers make decisions on production planning at the planning stage. They determine where and when to manufacture products and how to acquire the necessary resources. The aim of this tactical decision in middle management is to produce high-quality goods on time and at a reasonable cost while making sure the company satisfies customers with the right production process.

Another example is that of operations supervisors who set daily production controls from time to time. They mainly concentrate on controlling scheduling and costs in the actual daily operations of running the production line in the manufacturing plant. Their daily operational decisions are time consuming but can be helped by computer-aided production systems.

5.3.1 Long Range

In the very long term, operations managers make plans concerning the resources they need and the objectives they need to achieve. Planning should be more focus than control as little control is needed. Long-range decisions of relevance to the production area include which products to produce, on which of the dimensions of cost, quality, delivery and flexibility to compete; where to locate facilities; what production equipment to use; and long-range choices concerning raw materials, energy and labour skills.

In the not-too-distant past, long-term plans looked three or more years into the future, while short-term plans covered one year or less. But, the increasing environmental complexity and dynamism of recent years has severely tested the concept of 'long-term' planning. Most executives are likely to agree that these complexities and uncertainties challenge how we actually go about planning and how far ahead we can really plan. At the very least we can conclude that there is a lot less permanency to long-term plans today and that they are subject to frequent revisions.

Even though the time frames of planning may be shrinking, top management is still responsible for setting longer-term plans and directions for the organisation as a whole. They set the context for lower-level management to work on useful short-term plans. Unless everyone understands an organisation's long-term plans and objectives, there is always risk that the pressures of daily challenges will divert attention from 'important tasks'. Without a sense of long-term direction, employees can end up working hard and still not achieve significant – or mission-critical – results.

5.3.2 Less Precision

Strategic decisions are generally unstructured. A manager has to use his judgement and intuition when defining a problem. Decision making is therefore based on partial knowledge of uncertain and dynamic environmental factors, making decisions less precise. It usually involves a high degree of uncertainty. Decisions may be taken which the managers may not be sure about. There is a high level of complexity, for example, vertical integration decision in terms of direction, extent, capacity balance amongst stages.

5.3.3 External Focus

When both strategy and planning are aligned to meet customers' needs in a way that rivals cannot, strategic decision making is successful. In addition to an internal view of the company's

capabilities, strategic decision making should also take into consideration an external view of customers and competitors.

Customers, competition, capabilities, mission and vision – these are the core elements of a strategy that should be aligned. When decisions are driven by solid external knowledge, organisations can make strategic bets in a way that is profitable.

5.3.4 Competition

Strategic decision-making focuses attention on priorities and helps avoid the **complacency trap** – simply being satisfied with how things are and therefore not asking questions along the way and being caught unaware of deficiencies.

It is a way for people and organisations to stay ahead of the competition and become better at what they are doing. Strategic planning keeps the future visible as a performance target and reminds us that the best decisions are often those made before events force problems upon us.

Management consultant Stephen R. Covey points out that the most successful executives ‘zero in on what they do that “adds value” to an organisation’. Instead of working on too many things, they work on the things that really count. Covey says that good planning makes managers more:

1. results oriented – creating a performance-oriented sense of direction;
2. priority oriented – making sure the most important things get first attention;
3. advantage oriented – ensuring that all resources are used to best advantage; and
4. change oriented – anticipating problems and opportunities so they can be dealt with most effectively.

By focusing on these four priorities managers can make their companies and the operation of their companies more competitive and efficient, improving operations and driving profitability.

A **differentiation strategy** seeks competitive advantage through uniqueness. Firms that want to capitalise on a differentiation strategy must offer products that are clearly different from their competitors’. This can be challenging because there are typically industry standards that establish general behaviour and expectations for all industry participants. Similarly organisations have their own guiding principles and strategies they need to follow. Companies must balance these with new offerings that will win consumers’ attention away from the competition.

Businesses must continually differentiate their products, a critical and strategic marketing process. Differentiation is key to building a competitive advantage. The industry in which a company operates can have an impact on differentiation. Companies operating on a large volume industry may differentiate themselves or their products while companies that operate in niche industries could set their products apart. A differentiation industry in a mature industry might require more marketing or better sales staff while a fragmented industry may call for better branding.

Regardless of the approach, the differentiation strategy must fit the industry. It is also necessary to consider:

- the size, shape and components of the product in question;
- product or service features;



- product performance and quality;
- performance consistency;
- product life cycle:
- product reliability;
- whether the product can be repaired; and
- style and design.

5.3.5 Resources

Once a decision is taken, it implies commitment of resources. Acquisition of resources such as talent including training and development, materials control and financial performance requires careful planning by senior management in the areas of new product introduction, capacity and facilities planning, and vertical integration.

5.3.6 Strategic Planning Processes

Scenario planning is a long-term strategic planning process. It involves identifying several possible future scenarios or states of affairs and then making plans to deal with each scenario should it actually occur. In this sense, scenario planning forces us to think really far ahead and to be open to a wide range of possibilities.

Scenario planning gives manufacturers this type of visibility. This basically calls for constantly asking 'what-if' and reviewing scenarios and courses of action. With this information, companies can prepare for any changes and avoid being caught by surprise. Scenario planning is not the same as a three-year-plan or five-year-plan but is developed from the expectations of management and makes it easier for companies to adapt. Scenario planning considers possibilities without banking on those predictions.

Scenario planning is one approach to strategic planning that takes into account the various factors discussed in this chapter, including the long-term outlook, precision requirements, external focus, competition and access to resources. In fact, all approaches to strategic planning must take into account these factors.

Companies must link their manufacturing objectives to any strategic business objectives. Manufacturing objectives, such as improving quality, reducing costs, speeding up throughput or increasing production flexibility, can help companies compete more effectively while meeting the price, quality and delivery requirements of their customers. This can be done as set out below.

- Improving quality is a key manufacturing objective. Quality products can improve customer satisfaction, boost sales and facilitate customer retention. Poor-quality products can hurt the reputation of a company and lead to lost revenue and increased costs.
- Reduce costs to ensure the most competitive practices. This can be done by reducing inventory, sourcing from lower-cost suppliers, increasing productivity, automating processes or implementing quality processes to minimise waste and reworking. One approach is to adopt lean manufacturing techniques and just-in-time delivery (JIT).

- Improving supply chain efficiency to meet cost, quality and flexibility objectives. Improving communications can help along with improvements in supply chain integration through mergers and acquisitions.
- Increase flexibility as a manufacturing objective to meet more market requirements and improve competitive advantages. Flexible production facilities allow companies to customise their products and expand their model line. Outsourcing can be useful to achieve flexibility objectives.

When things go well, planners can become overconfident but, as in anything, past success does not ensure future success. It is often better to continue to seek better ways to improve, and **benchmarking** can help. Benchmarking is the use of external and internal comparisons to better evaluate current performance and identify possible ways to improve for the future.

The purpose of benchmarking is to identify the things that others do very well and assess how to adopt the same ideas and tactics. It is basically a way of learning from the successes of others. One benchmarking technique is to search for best practices – things people and organisations do that help them to achieve superior performance.

Apply and Analyse 3

Strategic decision making focused on the customer is the golden rule of making the right products.

If a company is searching for the next big thing to improve a product or develop a brand new one, chances are your target customers have answers.

Too many companies suffer from customer uncertainty, as though they have forgotten how to have routine conversations with their customers. When they come to new product development, they jump right to product design, assuming they know what customers need and then ship the finished product as soon as possible.

Illustrate the steps needed to determine the right customer needs in long-term planning.

In general, there are two good ways for long-term customer development and relationship management. Building strong, cohesive and long-term relationships with customers.

First, find out what problems can be solved for customers before designing and manufacturing products.

Second, collect useful and early feedback on new product concepts from customers when showing them prototypes of products.

Throughout different stages from design to after-sale services, customer requirements can be collected and integrated into a customer relationship management system. Thus, senior management can pinpoint the summary or projection in strategic planning.

Key Learning Point

Strategic decisions are focused on the organisation as a whole or a major component. They are longer-term plans that set broad action directions and create a frame of reference for allocating resources for maximum performance impact.

► Knowledge Check Questions

Question 7

A manager has to use his judgement and intuition when defining a problem. Decision making is therefore based on partial knowledge of uncertain and dynamic environmental factors, making decisions less precise. State what type of strategic decision it is.

- A Structured
- B Semi-structured
- C Unstructured
- D None of the above

Question 8

External and internal comparisons can be used to evaluate current performance better and identify possible ways to improve for the future. Identify which of the following is part of the strategic planning process.

- A Benchmarking
- B Scenario planning
- C Complacency trap
- D Best practices

Question 9

Identify which one of the following can be used to avoid the complacency trap through strategic decision making:

- A Differentiation
- B Scenario planning
- C Benchmarking
- D Priorities

5.4 MIDDLE (TACTICAL) DECISION MAKING

Tactical decisions are developed to implement strategic plans. They specify how the organisation's resources can be used to put strategies into action. Tactical plans in business often take the form of functional plans that indicate how different

components of the enterprise will contribute to the overall strategy. Such functional plans might include:

- Production plans: Dealing with work methods and technologies.
- Financial plans: Dealing with money and capital investments.
- Facilities plans: Dealing with physical space and work layouts.
- Logistics plans: Dealing with suppliers and acquiring resource inputs.
- Marketing plans: Dealing with selling and distributing goods or services.
- Human resource plans: Dealing with and building a talented workforce.

Tactical decisions help implement the strategy. The decisions are usually made by middle management. Middle managers have to make a decision in employee levels, inventory levels and capacity.

5.4.1 Weeks/Months Time Frame

Tactical decisions are not long-term decisions but they do take into consideration a longer time frame than short-term, day-to-day decisions. For example, renting warehouse space, moving stock between a factory-warehouse distribution centre, decisions might be made with weekly or monthly goals in mind.

5.4.2 Blended Precision

Because the time frame is midway between long term and short term, the precision of the decisions may fluctuate. These decisions are often more precise than long-term decisions. In manufacturing corporations, production capacity could be increased or decreased within limits in the medium term but this is less precise than short-term decisions.

Apply and Analyse 4

Tactical planning is short-range planning emphasising the current operations of various parts of the organisation.

Managers use tactical planning to outline what the various parts of the organisation must do for the organisation to be successful at some point one year or less into the future.

Tactical plans are usually developed in the areas of production, marketing, personnel, finance and plant facilities. In finance, plans mainly deal with money and capital investments, and planning figures out some questions on orienting the product.

In the manufacturing sector, middle management always deals with work methods, technologies and work layouts for production and facilities planning. For example, transportation costs for products are high so corporations may consider outsourcing, which may provide cost benefits. At the tactical level, management must work within strategic guidelines to identify and negotiate terms with suppliers or vendors, which are most beneficial to the corporation as a whole.



Apply and Analyse 4 (continued)

In broad strokes, developing tactical plans requires careful analysis from various different angles including:

- Are there realistic estimates of sales and revenue?
- Are product costs acceptable?
- Are development costs affordable and acceptable?
- Is the product going to be profitable?
- Is its profitability acceptable and as good or better than other opportunities that the firm has?
- Is there an adequate return on investment?
- Are the risks understood and are they acceptable?
- Is this product in line with our company strategy?

These profitability questions are normally answered with a formal business case that shows projected profit over the life of the product or expresses this data in the form of return on investment (ROI) or other similar financial measures.

Key Learning Point

Tactical decisions are developed and used to implement strategic plans while strategic decisions are focused on the organisation as a whole or a major component.

► Knowledge Check Questions

Question 10

Identify which of the following types of plans can be adopted in tactical decision making to indicate different companies in a business?

- A** Integrated
- B** Functional
- C** Special
- D** Blended

Question 11

Identify one of the following tactical plans for building a talented workforce.

- A** Production plan
- B** Facilities plan
- C** Logistics plan
- D** Human resource plan

5.5 DAILY (OPERATIONAL) DECISION MAKING

Operational decisions guide behaviour and describe what needs to be done in the short term to support strategic and tactical plans. They include both standing policies and procedures that are used repeatedly and single-use plans like a **budget** that apply to one specific task or time period. The decisions are normally taken by junior managers and are for the day-to-day running of the business.

5.5.1 Short Range

Stock control is the daily operational tasks relating to making better decisions for production in manufacturers. Efficient stock or inventory control plays an important role in affecting budget. It allows the right amount of stock in the right place at the right time. It ensures that budget is not tied up unnecessarily, and protects production if problems arise with the supply chain.

It is also used to show how much stock the company has at any one time, and how to keep track of it. It applies to every item required to produce a product or service from raw materials to finished goods. It covers stock at every stage of the production process, from purchase and delivery to using and reordering the stock.

For instance, the average delivery time of the online retailers have been steadily reducing from almost a week to a few days and finally down to same day delivery. This results in extremely high inventory turnover and also puts pressure on production systems to increase manufacturing output, which increases the demand for inventory.

As far as budgets are concerned, the management are also expected to achieve work objectives while keeping within allocated budgets. Being 'over budget' is generally bad, while coming in 'under budget' is generally good. Because budgets link planned production activities with the resources needed to accomplish them, they are useful for activating and tracking performance.

Production managers deal with and use a variety of budgets. Financial budgets project cash flows and expenditures; operating budgets plot anticipated sales or revenues against expenses; non-monetary budgets allocate resources like labour, equipment and space. A fixed budget allocates an established amount of resources for a specific purpose, such as HK\$100,000 for equipment purchases in a given year. A flexible budget allows resources to vary in proportion with emergent levels of activity, such as having extra money available to hire temporary workers when workloads exceed certain levels. A zero-based budget deals with this rollover budget problem by approaching each new budget period as if it were brand new. In zero-based budgeting there is no guarantee that any past funding will be renewed; all proposals, old and new, must compete for available funds at the start of each new budget cycle.

Stock control aims at monitoring the stock level at any given point in time in manufacturing corporations. Manufacturing corporations would not be able to produce at full capacity if there are insufficient stock levels, poor decision making or poor inventory management. Consequently, operating expenses will increase due to discarding obsolete inventory. Junior production managers are faced with these questions on a daily basis.



5.5.2 More Precision

As these decisions relate to day-to-day operations of the organisation, they are effective over a short-term and have to be taken repeatedly. These decisions are based on facts regarding specific events and do not require much business judgement. Assuming management is well informed and takes a rational approach, these decisions are generally more precise.

Companies that produce tangible goods use operations managers while service-oriented businesses put similar responsibility on a manager with a different title, such as a project manager, consultant, office manager, and so on.

The field of operations management is multidisciplinary and focuses on managing all aspects of the operations of an organisation. The dividing of a company's activities into functional categories happens early. Most companies make products or a service they can sell and must carry out sales and marketing, accounting and administrative functions to manage employees and the business.

Operations management focuses on providing the product or service that a company offers. Their job is to assure quality production and relies on applying ideas and technologies to increase productivity, reduce costs, improve flexibility, assure a safe workplace and when possible assist in assuring high-quality customer service.

5.5.3 Mostly Internal

As organisations grow, so do their decision-making challenges and so does the use of staff planners. These specialists are experts in all steps of the decision-making process, as well as in the use of planning tools and techniques. Operational decisions involve manufacturing staff changes. When operation procedures and schedules change, some employees may need cross-training to prepare them to work with the new equipment or in new roles. They can help bring focus and expertise to a wide variety of planning tasks. But one risk is a tendency for a communication gap to develop between the staff planners and line managers. Unless everyone works closely together, the resulting plans may be based on poor information. Also, an organisation's employees may end up with little commitment to implement the plans made by the staff, no matter how good they are.

5.5.4 Quicker Decisions

As these decisions are short term and based on solid information, managers can make them much more quickly compared to tactical or strategic decisions. Quicker decision making also means less time and, generally, less resources needed. These decisions are often flexible, with room for change and adaptation. The stakes are also much lower, with less serious consequences – although a series of mistakes left uncorrected could be a recipe for disaster.

Shorter lead times may improve quality, reduce costs and eliminate non-value-added waste while simultaneously boosting competitiveness and market share. The time-based framework of quick response manufacturing (QRM) accommodates strategic variability such as offering custom-engineered products and cutting variability.

Companies that make products in low or varying volumes use QRM as an alternative or to complement strategies such as lean manufacturing, total quality management (TQM), Six Sigma or Kaizen.

Apply and Analyse 5

In manufacturing, operational decision making is essential and is especially applied to modern manufacturing facilities of manufacturers. Analyse and explain how managers of production in the beverage industry can leverage process and production features to sustain competitive advantages through effective planning of day-to-day management of production.

Analysis

Management of a plant that makes beverages can first plan on production planning and scheduling before making products in their production lines as part of normal operations. In fact, these kinds of decisions relate to day-to-day operations and internal planning tasks. Meanwhile, the decisions of maintenance operations are also quickly planned. Otherwise, any repairs or abnormal facilities in production lines may cause budget overruns and affect production scheduling.

These decisions are necessary to ensure that ongoing production meets market demand and provides reasonable profits for the plant. The involved business processes include:

- Production planning: Aggregate planning and master production scheduling.
- Inventory demand: Plan and control inventories.
- Resource requirements: Plan materials and capacity requirements.
- Shop floor planning and control: Short-range decisions about what to produce and when to produce at each production line.
- Materials management: Manage all types of materials input.

Key Learning Point

Operational decisions guide behaviour and describe what needs to be done in the short term to support strategic and tactical plans.

► Knowledge Check Questions

Question 12

State how best to describe the allocation of an established amount of resources to purchase equipment in production lines in a given year.

- A** Operating budgets
- B** Non-monetary budgets
- C** Fixed budgets
- D** Flexible budgets



► **Knowledge Check Questions** *(continued)*

Question 13

Identify which type of budget deals with rollover budget problems by approaching each new budget period as if it was brand new.

- A** Zero-based
- B** 100%-based
- C** Operating
- D** Fixed

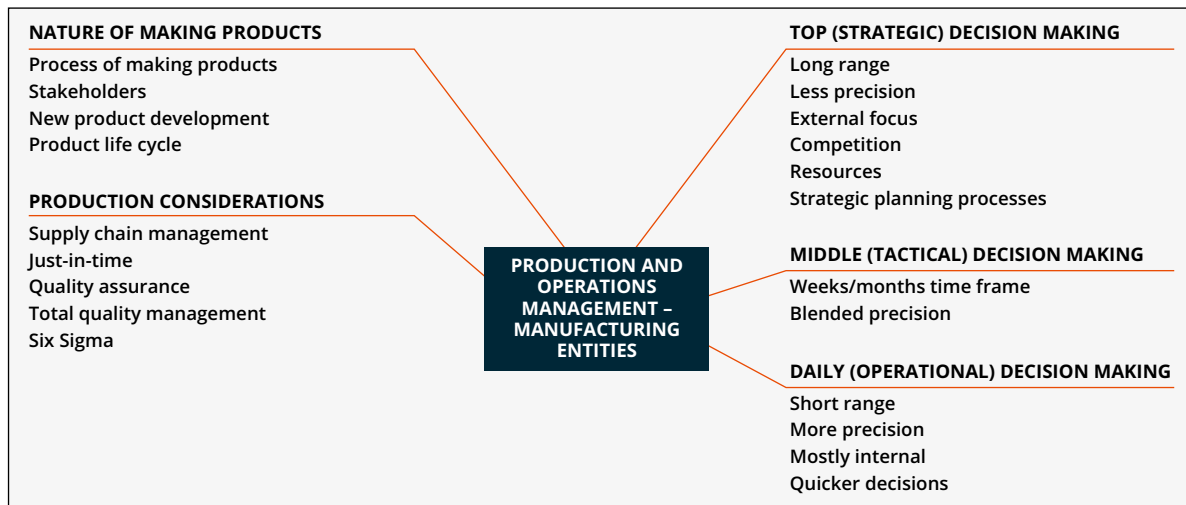
SUMMARY

- The need for new products to continually be offered to a company's customers, the chances of product failure and the significant financial investment needed to complete a successful new product launch make new product development critical to any business.
- A firm that sells the product, assembles the product, makes all the parts and extracts the raw material is completely vertically integrated.
- The operations function helps strategy evolve by creating new and better ways of delivering a firm's competitive priorities to the customer.
- Production processes may be classified as projects, batch production, mass production and continuous production.
- The consumer is the most important part of the production line. Quality should be aimed at the needs of the consumer, present and future.
- Management teams design, operate and improve productive systems – systems for getting work done.
- New product development is costly, time consuming and risky because of the high rate of failure.
- The starting point in the new product development process is generating ideas for new offerings.
- Marketing takes the ideas that are generated and the customer needs that are identified from the first stage of the design process and formulates alternative product and service concepts.
- Performance specifications are written for product concepts that pass the feasibility study and are approved for development.
- Test marketing introduces a new product supported by a complete marketing campaign to a selected city or geographic area.
- Once a product is on the market, it usually goes through four stages known as the product life cycle: introduction, growth, maturity and decline.
- A supply chain encompasses all activities associated with the flow and transformation of goods and services from the raw materials stage to the end user (customer), as well as the associated information flows.
- Suppliers are referred to as upstream supply chain members, while the distributors, warehouses and eventual end-use customers are referred to as downstream supply chain members.
- Logistics for global supply chain management must take into account national and regional differences.
- A just-in-time (JIT) system implements a broad management philosophy that reaches beyond the narrow activity of inventory control to influence the entire system of production and operations management.



- Quality characteristics are weighed by the customer relative to the price of the product.
- Total quality management (TQM) has been the most prominent and visible approach to quality since the 1980s.
- Six Sigma is a quality management strategy that uses statistical methods to analyse the causes of defects with the intention to develop and deliver perfect products and services.
- Strategic decisions are focused on the organisation as a whole or a major component.
- Scenario planning is a long-term strategic planning process.
- Tactical decisions are developed and used to implement strategic plans.
- Budgets are single-use plans that commit resources for specific time periods to activities, projects, or programmes.
- Operational decisions guide behaviour and describe what needs to be done in the short term to support strategic and tactical plans.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because it is the earlier stage in the process of making products.

Answer B is correct because the operating system of the firm must be configured and managed to provide for these priorities.

Answer C is incorrect because it is the final stage in the process of making products.

Answer D is incorrect because it is not a process of making products.

Question 2

Answer A is incorrect because projects are not a stage of the production process while projects mainly involve all processes in a certain period of time.

Answer B is incorrect because batch production does not mean a large volume of products produced. Batch focuses on certain groups or stages to handle the production lines.

Answer C is correct because mass production is needed when the product demand is stable and product volume is high.

Answer D is incorrect because continuous production focuses on continued or non-stop production processes without any interruption.

Question 3

Answer A is incorrect because convenience products are frequently sought and immediately bought with little effort.

Answer B is incorrect because shopping products are typically purchased only after the buyer has compared competing products in competing stores.

Answer C is incorrect because specialty products are specific products that a purchaser is willing to make a special effort to obtain.

Answer D is correct because unsought products are goods or services that consumers either do not know about or know about but do not think of buying until a need arises.

**Question 4**

Answer A is incorrect because purchasing is a function in supply chain to acquire relevant input or materials to the suppliers or manufacturers.

Answer B is incorrect because inventory is a function in supply chain to accumulate the unsold products before selling.

Answer C is incorrect because distribution is a function of supply chain function to manage the processes like packaging, warehousing and logistics, about the movement of goods from supplier to point of sale.

Answer D is correct because customer services is not a supply chain function.

Question 5

Answer A is incorrect because a just-in-time system aims at right place and right time.

Answer B is correct because a just-in-time system suggests 'The right part at the right place at just the right time'.

Answer C is incorrect because a just-in-time system also aims at the right place.

Answer D is incorrect because a just-in-time system also aims at the right time.

Question 6

Answer A is incorrect because measure can check what and how for the current performance only.

Answer B is incorrect because analyse can identify the defects through data analysis.

Answer C is incorrect because improve can find out the solutions to the problem.

Answer D is correct because control can maintain the level of performance in the strategy.

Question 7

Answer A is incorrect because structured strategic decision is focused clearly on routine or experienced tasks.

Answer B is incorrect because semi-structured strategic decision requires some human judgement and sometimes with solutions agreed.

Answer C is correct because the statement is an unstructured strategic decision.

Answer D is incorrect because answer C applies.

Question 8

Answer A is correct because benchmarking is part of the strategic planning process.

Answer B is incorrect because scenario planning identifies possible future scenarios, which is a long-term strategic planning process.

Answer C is incorrect because a complacency trap is a feeling of being satisfied with how things are.

Answer D is incorrect because best practices is a procedure that is accepted as being correct or effective.

Question 9

Answer A is incorrect because differentiation is the process of finding the derivatives.

Answer B is incorrect because scenario planning identifies possible future scenarios.

Answer C is incorrect because benchmarking is used to evaluate current performance.

Answer D is correct because setting priorities can avoid the complacency trap.

Question 10

Answer A is incorrect because integration is an approach to combine tasks, which is not related to tactical planning.

Answer B is correct because a functional plan is used for different functional areas in business, for example, production, finance, inventory and logistics.

Answer C is incorrect because a special plan can refer to a team or task that specialises in a certain objective.

Answer D is incorrect because a blended plan is a mixture or combined method in different things or tasks.

Question 11

Answer A is incorrect because it is related to work methods and technologies.

Answer B is incorrect because it is related to physical space and work layouts.

Answer C is incorrect because it is related to suppliers and acquiring resource inputs.

Answer D is correct because a human resource plan is correlated with manpower resources for recruitment and training and development.

Question 12

Answer A is incorrect because operating budgets plot anticipated sales or revenues against expenses.

Answer B is incorrect because non-monetary budgets allocate resources like labour and equipment.

Answer C is correct because fixed budgets have specific purposes, such as purchasing equipment in a given year.

Answer D is incorrect because flexible budgets allow resources to vary in proportion with emergent levels of activity.

Question 13

Answer A is correct because zero-based budget has no guarantee that any past funding can be renewed and it competes for available funds at the start of each new budget cycle.

Answer B is incorrect because 100%-based budget has past funding and can be renewed.

Answer C is incorrect because operating budget plots anticipated sales against expenses.

Answer D is incorrect because fixed budget allocates an established amount of resources for a specific purpose, for example, equipment

 EXAM PRACTICE**QUESTION 1**

State which of the following is the ability of a product or process to meet its design specifications that are interpretations of what the customer needs or to meet the effectiveness of design.

- A.** Quality of conformance
- B.** Quality of work
- C.** Mass production
- D.** Continuous production



QUESTION 2

Identify which of the following items are long-lived and relatively expensive.

- A. Expense items
- B. Capital items
- C. Specialty items
- D. Unsought items

QUESTION 3

State which of the following marketing research approaches is designed to solicit initial consumer reaction to new product ideas.

- A. Performance specifications
- B. Feasibility study
- C. Focus groups
- D. Concept testing

QUESTION 4

Identify which of the following is not a stage in the product life cycle.

- A. Introduction
- B. Growth
- C. Maturity
- D. Testing

QUESTION 5

State which of the following statements is not a basic principle of total quality management (TQM).

- A. Quality improvement is the responsibility of every employee in a corporation; all employees must be trained and educated to achieve quality improvement.
- B. Quality problems are found in processes and problems must be prevented, not solved.
- C. The quality standard is 'full of defects'.
- D. Quality must be measured; improvement requires the use of quality tools and especially statistical process control.

QUESTION 6

Describe with examples and explain the five steps of the breakthrough strategy in Six Sigma to reduce product defects in the garment manufacturing industry.

QUESTION 7

Illustrate any of the five functional plans of an organisation for which management can make tactical decisions.

QUESTION 8

In the supply chain, goods and services generally flow downstream (forwards) from the source or point of origin to consumer or point of consumption. There is also a backwards (or upstream) flow of materials mainly associated with product returns. It may involve many parties such as suppliers, manufacturers, distributors, wholesalers, retailers and consumers.

Summarise the processes that products go through from input to output in the management of the supply chain and illustrate the actual processes with examples.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is correct because quality of conformance interprets customer and design needs. Answer B is incorrect because quality of work is the value of work managing the quality of task completion.

Answer C is incorrect because mass production is for when the product demand is stable and product volume is high.

Answer D is incorrect because continuous production is for when products are continuously produced without any interruptions.

QUESTION 2

Answer A is incorrect because expense items are items which are consumed within a year.

Answer B is correct because capital items are long-lived products which could be utilised for more than one year, for example, production machinery.

Answer C is incorrect because they are consumer products that take special effort to obtain.

Answer D is incorrect because they are consumer products that are not sold until a need arises.

QUESTION 3

Answer A is incorrect because performance specifications are a written description that specifies the operational requirements of a component.

Answer B is incorrect because a feasibility study is an analysis of a proposed project to determine potential outcomes.

Answer C is incorrect because focus groups are used for discussions about a product before it is launched or as a form of market research.

Answer D is correct because concept testing is to evaluate consumer acceptance of a new product idea before launch.

QUESTION 4

Answer A is incorrect because introduction is the first stage in the product life cycle.

Answer B is incorrect because growth is the second stage in the product life cycle.

Answer C is incorrect because maturity is the third stage in the product life cycle.

Answer D is correct because testing is not a stage in the product life cycle.

QUESTION 5

Answer A is incorrect because the statement relates to quality improvement and is a basic principle of TQM.

Answer B is incorrect because the statement relates to a quality problem and is a basic principle of TQM.

Answer C is correct because TQM aims at no defects as a quality standard.

Answer D is incorrect because the statement relates to quality measurement and is a basic principle of TQM.

QUESTION 6

The steps are define, measure, analyse, improve and control (DMAIC):

Define: Key to success is knowing who the customers are, what they want and how the company's products and services fall short. In this step, these factors are defined to

provide a clear direction for improvement. Example: clearly understand customer requirements for the clothes, for example, cutting styles and colours.

Measure: Data are collected to measure the current performance against the desired performance. Characteristics that are critical to quality, product and process capabilities and risks are identified in this step. Example: the sample testing or prototype for the clothes can be tested on a target customer group to know their feelings and feedbacks.

Analyse: The causes of defects are identified through analysis of the data. Example: 3-D modelling or testers in garment software can be used for checking the defects or mismatches of size or cuttings for the clothes.

Improve: Solutions to the problems are developed through brainstorming sessions amongst teams. Changes to the process are made and the results are evaluated to see if the problems have been solved. If not, the process is repeated until they are. Example: middle management can have meeting with designers to seek for improvement of the clothes in the next round.

Control: If the desired level of performance is achieved, processes are monitored to ensure that no unexpected and undesirable changes occur, thereby maintaining the level of performance. Example: output of the garments can be monitored by each location of the clothes and even the process of machinery in production.

QUESTION 7

Such functional plans might include:

- Production plans: dealing with work methods and technologies.
- Financial plans: dealing with money and capital investments.
- Facilities plans: dealing with physical space and work layouts.
- Logistics plans: dealing with suppliers and acquiring resource inputs.
- Marketing plans: dealing with selling and distributing goods or services.
- Human resource plans: dealing with and building a talented workforce.

QUESTION 8

Supply chain management facilitates the management of a company outline as an integrated approach from sourcing materials needed for a product or service to delivering to customers. It affects manufacturing companies in different aspects of production, such as the availability of inputs needed for production processes, costs and profitability of manufactured items. More technically, it can also restructure the company infrastructure and the ways to interact with its suppliers and customers.

Two examples are:

1. Fabric industry: In a manufacturing shop, there may be many kinds of raw steel turned into different building components through cutting, general machining and welding centres. These parts are then assembled to order on a flatbed for shipment to a customer. The flow of products in such a factory is from one process/assembly section to the other having a relationship as a supplier and consumer (internal). Acquisition takes place at each stage from the previous stage along the entire flow in the supply chain.
2. Garment manufacturing: The processes can be divided into three components.
 - Input (raw materials): Ordering of the raw materials such as fabric, accessories as buttons, zippers, care labels, logos, tags for the washing machine and other material needed for manufacturing the garment products which are based on

pattern and model according to the bill of materials (BOM). Raw materials are shipped to the manufacturer/contractor or optional direct delivery of the raw materials to the manufacturing site.

- Operation (manufacturing): Receipt and acceptance of the raw materials and distributing the parts to the sewing station according to production plan and lot, and so on, to the sewing stations. Then, sewing together the individual parts and attaching the label at the back of the garment products.
- Output (textile): Packing the finished goods, that is, textiles/garments into cardboard boxes, loading onto pallets, transmitting the standardised dispatch/delivery order (DO) advice. After that, the logistic companies confirm to production/the manufacturer that the goods have been loaded, customs cleared and they are ready for transport/shipment.

6

Service Organisations and Management

CHAPTER TOPIC LIST

6.1 Characteristics of Service

- 6.1.1 Intangible
- 6.1.2 Inseparable
- 6.1.3 Perishable
- 6.1.4 Variable

6.2 Quality Service

- 6.2.1 Service Time
- 6.2.2 Error/Defects Control
- 6.2.3 Service as a Strategic Goal
- 6.2.4 Feedback

6.3 The Pick Two Relationship

- 6.3.1 Quality

- 6.3.2 Price

- 6.3.3 Service

6.4 Retail Service

- 6.4.1 Customer is Always First
- 6.4.2 Service Quality Standards

6.5 Strategic Planning in Service Entities

- 6.5.1 Importance of Strategic Planning
- 6.5.2 Considerations in Planning Service Entity Strategies



LEARNING OUTCOMES

PRINCIPAL LO2: EXPLAIN THE IMPORTANCE OF EFFECTIVE ORGANISATIONAL MANAGEMENT

LO2.01: Describe the features of different organisational structures and explain the importance of effective organisational management to achieve the aims of a business entity

2.01.09 Describe common quality management techniques

PRINCIPAL LO4: EXPLAIN THE IMPORTANCE OF MANAGEMENT IN A SERVICE ENTITY

LO4.01: Describe the key elements of management in a service entity and explain the importance of service quality and strategic planning in a service entity

4.01.01 Describe the distinctive features of a service entity

4.01.02 Describe the characteristics of service in a service entity

4.01.03 Explain the importance of service quality

4.01.04 Explain the importance of strategic planning in service entities



OPENING CASE

The jewellery industry in Hong Kong has been very competitive for the past few decades. The competition intensified when several big brands like Chow Tai Fook, Chow Sang Sang and TSL began to dominate the market, putting pressure on smaller local jewellery shops. As the economy developed, consumer expectations on quality of service increased, as well as the desire for international jewellery brands such as Tiffany and Cartier.

Unfortunately, brand differentiation and product uniqueness amongst local brands were low. Diamonds looked generic and the reference price of 24-carat gold had always been set by the goldsmith associations; thus, there would not be much price advantage for members.

Moreover, in the 1990s, Chow Tai Fook, the market leader in Hong Kong, started to promote a 'one price, no bargain' policy which has become the market benchmark. As such, there was no strong reason to purchase at a particular retailer and, thus, these brands had to find ways to differentiate themselves in order to survive in the competition.

Jewellery brands started to invest in brand building. However, with such a huge investment in advertising while facing stiff price competition, the profit margin of these retailers was significantly reduced. Therefore, some retailers started to explore other areas of differentiation. One of the more promising strategies was the emphasis on service quality.

Retail is a people business. Investing in human capital is important to ensure consistent delivery of service quality and the retention of good retail staff. Moreover, since diamond products look quite homogeneous, service differentiation plays a significant role in drawing customers to the brands. By providing better service, a brand would be able to charge a higher premium for its products, thus improving its profit margin in the long run.

Hong Kong jewellery brands have enjoyed favourable status when entering the Chinese market some twenty years ago. However, as a result of the rapid development of the Chinese economy, the knowledge and taste in jewellery amongst Chinese consumers, especially in tier 1 and tier 2 cities, have been improving over the years. With the influx of many international jewellery brands into China together with the rise of a number of domestic jewellery brands, the preference towards Hong Kong brands has diminished. Therefore, some retail brands have also taken the initiative to introduce quality service as their differentiator to help them stay competitive in this changing market landscape.



OVERVIEW

Today, good service is required for companies to remain competitive even if their focus is to sell physical products. Many traditional hard goods manufacturers are adding service components to sustain their competitive advantage. Furthermore, quality services are crucial for attracting, retaining and growing customers.

Because of the importance of service design and delivery, organisations that only provide service products also have to engage in strategic planning and execution to succeed. The marketing and branding challenges for service organisations are no less, compared to hard goods manufactures – and in some ways are even more difficult.

Services are difficult to evaluate before and even after they have been consumed. It is also difficult to conduct a side-by-side comparison with competitors, as can be done with hard goods.

Consider a patient visiting a doctor. Even if the patient has gone through a careful selection process, considering references, education and other qualifications of a doctor, she still cannot say with objective certainty that her service encounter with this doctor will be better than with another doctor. And even after having a positive experience with the doctor, the patient still cannot say for sure that she would not have received a higher level of service quality with a different doctor. Service quality and delivery also varies per experience; hence, one good experience with a service provider does not necessarily guarantee that the next experience with the same service provider will be the same.

When consumers are unable to depend on objective measures of quality, many other factors may influence their judgements. Hence, a service organisation must carefully coordinate all aspects of the experience before, during and after service delivery to maximise the positive perceptions and the effectiveness of its marketing efforts. It is not enough to make big promises; the company must meet its promises consistently and profitably.

The focus of this chapter is on service management. We will look at the unique challenges that service organisations face and how they manage their service offerings to ensure high customer satisfaction and loyalty.



6.1 CHARACTERISTICS OF SERVICE

By treating **services** as **products**, the profitability of service organisations has increased dramatically. The standardisation of services means that companies can avoid redesigning services every time a service is performed. This reduces costs and increases profit margins. Consistent performance quality can also be maintained, which is critical to the successful sale of services.



However, despite the commoditisation of services, there are still critical ways in which services are distinct from hard goods. These differences carry implications for how services are marketed, sold and delivered.

Services are distinct from hard goods in that they are intangible, inseparable, perishable and variable (Exhibit 6.1). These characteristics are discussed in detail.

Characteristic	Summary Description
Intangible	Services cannot be seen or touched.
Inseparable	Services cannot be inventoried, stored, or inspected.
Perishable	Services are generally produced and consumed at the same time.
Variable	Services are rarely delivered in an identical way.

► **EXHIBIT 6.1** Characteristics of service

6.1.1 Intangible

Services are **intangible**: they cannot be seen or touched in the way that a physical object can.

This means that logos, taglines, and other marketing tactics leaving a lasting impression are even more important for services. The goal is to make the intangible memorable.

Of course, hard goods also have brilliant logos. The difference is that services do not have the advantage of having the logos on a physical product. They are not constantly present during the product consumption experience even though they may appear on an envelope, business card or a truck.

Since there is no physical presence, it is less likely for customers to have continued positive brand association for a service than, say, if they purchased an expensive watch and wore it to social gatherings where others could comment on it. Developing a strong brand identity for services therefore is both more difficult and more important than it is for physical products.

Because of this, the services sector is constantly finding innovative ways to make their intangible products more memorable. Luxury hotels, for example, may go above and beyond customers' expectations to create value and impress them. Because of intangibility, the management response to 'intangibility' is through reducing service complexity, reducing consumers' uncertainty, facilitating word-of-mouth recommendation, and focusing on service quality.

Word-of-mouth also becomes a crucial part of marketing in the absence of a physical product. In today's social media era, the word-of-mouth effect has increased exponentially. Consumers frequently give ratings on everything from restaurants and hotels to legal and financial consulting firms. Managers of service providers must always be attentive to digital reputation; affirming positive reviews and dealing with negative ones quickly and effectively.

6.1.2 Inseparable

Services are **inseparable**; that is, they cannot be inventoried. This means a service cannot be inspected prior to sale in the way a physical product can. Quality control and operations therefore become more difficult, and often, services can fail to deliver consistent quality.

Another disadvantage is that when services fail in this way, there is little opportunity for recovery. A bad customer experience cannot be taken back in the way a physical product can be exchanged.

Furthermore, it is difficult to prepare for fluctuations in demand when an inventory cannot be kept. Services cannot be stored in the way extra goods can. Operations excellence and effective planning enhances service quality and increases the organisation's ability to meet fluctuating demand. Proper selection and training customer contact personnel are necessary in order to ensure the quality standard. As in the case of a salon, two persons with different haircuts will be treated with the same level of respect. Service providers succeed in sustaining a competitive advantage when they are able to achieve operations excellence.

6.1.3 Perishable

Services are **perishable**, meaning they are generally produced and consumed at the same time. This translates into a performance element in services that differs from how performance is measured for hard goods. By delivering consistent, high-quality services, an organisation ensures that expectations are met. Extensive employee training, setting operating procedures and standardised materials, equipment and physical environments all help increase quality and consistency.

However, cooperative customers are often closely related to the quality of services. A medical examination, for example, can be conducted better when the patient is cooperative.

In addition, services cannot be stocked for later sales and use. For example, an airline offers seats on a 7:00 a.m. flight from Hong Kong to Shanghai. The airline company could not sell any empty seats once the flight has left Hong Kong. As another example, an empty hotel room night is a missed opportunity for revenue that evening.

6.1.4 Variable

Services are **variable** because they are usually performed by humans. In other words, while hard goods can be manufactured to be identical, no service can be delivered twice in exactly the same way. For example, one employee can be courteous and helpful while another is arrogant and obstructive in the same airline company.

The most important measure of service quality is reliability and consistency. Service design, then, must strive for predictability.

One way to improve consistency is to replace humans with machines. Technology is constantly improving to meet specific needs, and consumers are increasingly comfortable with using technology. Two popular terms for this is robotic process automation (RPA) and artificial intelligence (AI). ATMs are a great example of successful use of technology to provide certain banking services. Another example is hotel check-in kiosks. But there are limitations – providing financial planning services entirely via machine would be more difficult. Thus, while technology can enhance consistency and lower costs, it may limit effectiveness as well as service differentiation.

Apply and Analyse 1

Retail service is a people business. The success relies a lot on the consistent delivery of good service by frontline sales and service staff. This will affect the customer experience and the subsequent word-of-mouth marketing. This is particularly true for high-end luxury retail where the customer relationship is important and what is at stake is the sale of high-involvement items. Customers' expectations on the level of service are higher.

TSL is one of the key players in the jewellery market. However, it does not have the same deep pockets to invest in advertising and brand building. Therefore, it has taken a route to differentiate itself by offering 'value-added service' to complement the sales of diamond jewellery. This includes the training of 'wedding ambassadors' to provide customers with wedding tips and advice on rituals besides basic product knowledge. Moreover, TSL can even help the groom-to-be to design a surprise for the proposal.

Although this initiative is well received by TSL's potential customers, the company is faced with two challenges to sustain this service edge. First, the turnover of frontline staff remains high. Second, the creativity of these value-added services fluctuates from shop to shop and there is no consistency in service level across the chain.

Identify and explain the characteristics of service industry which apply in TSL. Discuss the approaches TSL can take to standardise its service proposition and service consistency.

Analysis

Since the type of value-added service is so intangible, TSL will make use of various marketing materials to highlight and describe the service to potential couples. Frontline staff will wear a badge saying 'Wedding Ambassador'. Furthermore, proper training and refresher courses will be given to these wedding ambassadors to equip them with sufficient knowledge about weddings.

Standardised procedures and operation manuals will be prepared to ensure consistent service delivery across the retail chain. This wedding service is also inseparable; thus, TSL will need to invest in a monitoring system to ensure compliance of staff, quality control and feedback to staff for their service. This may include a 'Mystery Shopper' programme and participation in the 'Service & Courtesy' Award organised by the Hong Kong Retail Management Association.

With the above training and feedback mechanism in place, frontline sales will feel empowered and properly rewarded for providing good service, thus reducing staff turnover.

Key Learning Point

Services are **intangible**, **inseparable**, **perishable** and **variable**.

► Knowledge Check Questions

Question 1

Services are intangible in that they cannot be seen or touched. State what should be done to help customers remember the brand and quality of service.

- A Create more value to impress customers.
- B Put logos and taglines on marketing materials.
- C Use social media to create word-of-mouth publicity.
- D All of the above.

Question 2

Services are variable because they are performed by humans and are impacted by fluctuations in performance. Identify the most important factor in service design.

- A Consistency and predictability
- B High quality
- C Measurable
- D Customer satisfaction

Question 3

Identify which of the following is not a way to ensure consistency in perishable service.

- A Use a monitoring system.
- B Use standardised materials.
- C Set operating procedures.
- D Provide extensive training to frontline staff.

6.2 QUALITY SERVICE

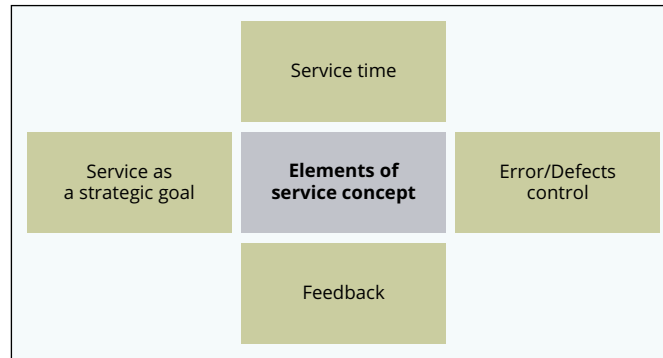
An organisation's **service concept** defines, by one definition, the target customer and the desired customer experience, as well as how the service is different from others and how it is competitive in the market. As an idea, **quality service** refers to meeting or exceeding customer expectations.

If a service concept addresses a previously unoccupied niche or unmet need by a customer, or differs from what is generally offered, the service may become successful. Social networking platforms, Airbnb, Uber and Netflix are some examples of successful innovative service concepts.

A **service package** is created from the service concept that a company develops to meet customer needs. A service package includes the psychological, physical and sensual benefits that a product can offer. For example, a restaurant may offer its customers a series of psychological benefits that include well-being, status, comfort, rest and relaxation while also providing physical goods such as food and drinks as well as tables and chairs to enjoy them. Sensual benefits include taste and aroma, that might entice customers as well as the ambience.

All the components of a service package must be recognised and defined in the service design. This involves finding the appropriate mix of physical items and sensual and psychological benefits and designing them to complement each other and be consistent with the service concept.

To develop quality service, a company's service concept has to consider such elements as service time, errors or defects, the strategic goals of service, and any feedback from customers (Exhibit 6.2). All of these are explored in the sections that follow.



► **EXHIBIT 6.2** Elements of service

6.2.1 Service Time

Service time refers to the time that a company takes to serve a customer.

For instance, when a customer enters a fast-food restaurant, she expects to be served with speed. The food is given to her quickly and she is also expected to consume it quickly. Thus, the tables, chairs and booths are not designed to be comfortable, and the overall environment and dining experience do not encourage lengthy stays. The service package here is consistent with the expected service time.

For an upscale restaurant the package would have to facilitate the enjoyment of a full-course meal. While the service time would be lengthened to ensure excellent food, the environment must also make customers want to stay for a longer time and feel comfortable waiting and socialising. Some strategies are used to manage service time, especially when demand fluctuates.

For example, a restaurant might need to offload demand during peak periods or boost low-period demand sufficiently to support the fixed costs and labour costs necessary to meet peak demand.

A restaurant bar provides a comfortable bar and lounge area for customers to socialise while waiting; hence, customers are more willing to wait for a table later in the evening – this is a classic example of offloading demand. The restaurant might also offer an early dinner special or happy hour to increase revenues during a commonly slow period. These principles can be applied in most service sectors – promotional strategies can be used to smooth peak loads by shifting demand to other periods or by increasing the acceptable waiting time.

Other service industries may have similar considerations in regard to service time and can achieve these through meticulous planning, sharing the right information with customers, setting clear expectations and communicating with customers in the case of any delays.

6.2.2 Error/Defects Control

The unique inventory challenges in the service industry make advanced planning especially important for service providers. They must anticipate problems in advance, imagine what could go wrong and develop strategies for reducing the frequency and impact of service failures. A **service failure** refers to the performance of a service that fails to meet customer expectations.

Failing to be proactive could lead to high costs for fixing unanticipated problems. Effective prevention, in the long run, saves time and resources. Besides developing strategies to reduce service failures, and the analysis of failures is also important. Failure analysis includes collecting failure data to learn lessons, analysing service failure data to improve service provision and developing defect control strategies.

A service provider should ask *whether* and *when* it should introduce technology – for example, to mechanise or automate – into its services. The answer is never constant – consumer acceptance of technology and companies' ability to leverage technology to deliver services is constantly changing. A key consideration is cost – as automation and technology continue to become less expensive, companies are likely to fulfil more and more service needs in this way. However, there will always be situations in which consumers prefer services to be delivered by humans.

6.2.3 Service as a Strategic Goal

Tight integration of operations and marketing is needed to achieve exceptional service delivery. Without this integration, marketing will overpromise delivery time and product performance, and operations will under-deliver.

By treating service as a **strategic goal**, a company can ensure that both functions are in sync so the company's delivery capabilities match the expectations created through marketing. In this way, expectations are always set and met appropriately.

6.2.4 Feedback

Nearly all companies solicit some type of **feedback** from their customers about their product and service experiences. Service companies, in particular, often solicit customer feedback immediately following an interaction or a transaction.

The goal of this feedback solicitation process is to get unbiased insight from customers about how the firm is doing, what it is doing well and should continue to do, and what it should improve on. These insights then help decision making regarding service design, service offering and employee incentives.

The feedback solicitation process also has another – usually unintentional but sometimes intentional – effect. Asking a customer to talk about positive experiences can influence their memory and behaviour and increase future sales. Large-sized organisations aim at consumers choosing them and using their service. Consequently, they intend to invest heavily in customer focus groups because they inevitably learn new information from them.

Indeed, actively soliciting compliments and praise from customers can be powerful, even on the bottom line. While this might lead to more positive feedback than is actually warranted, it is certainly important to provide avenues and encouragement for positive feedback from customers.

An approach that is often used is called **net promoter score (NPS)**, which is calculated based on surveys of a single question: 'How likely is it that you would recommend that company/product/service to a friend or colleague'. NPS is used to measure customer loyalty. Most Fortune 1,000 companies use this approach.

Companies should also be cautious about asking customers to give negative feedback. A request for such feedback could also lead to biased insight and have a detrimental impact, for example, customers are quick to write negative reviews online when they have a bad experience with a company on future sales. Companies should assess the problem first. The trigger point that leads to dissatisfaction should be found out. Then, companies should respond to customers' feedback immediately but avoid reacting to the problems immediately and defensively. They should allow time to react appropriately, sincerely, respectfully and thankfully.

Receiving feedback is an opportunity to understand the problems of the companies for better service design and operations. If customers' feedback is solved, they are more likely to repurchase. If the feedback is satisfactorily solved, they will generate word-of-mouth about the good treatment they have received.

Ultimately, executives should be aware that care must be taken when making decisions on how customer feedback is solicited. Customer feedback scores can be manipulated based on when and how questions are asked, so it is also important to be aware of the accuracy and reliability of such feedback.

Apply and Analyse 2

The idea of operating 'cat cafés' originated in Asia about a decade ago. Since then it has become a big hit in Taiwan and Japan, spreading to Hong Kong and other parts of the world. However, many cat cafés are commercially operated with the cats being used as a 'tool' to attract customers and to make money.

Mr. Chan intends to open a new 'cat café' concept in which all cats in the restaurant will be stray cats on loan from cat shelters. The aim is to provide a platform and a gathering place for cat lovers to come and physically interact with abandoned cats in a relaxing environment. The objective is to encourage potential owners to adopt those cats if they bond with the cats.

Define the service concept and service design. Suggest a service concept to address the market needs of potential customers and illustrate how the service package could be designed to attract them.

Analysis

Mr. Chan's service concept is to operate a new cat café which would serve as a gathering place for cat lovers and a platform for stray cats to mingle with the patronage of the café. By enabling more direct and intimate interaction between the customers and the cats, emotional bonds can be developed, hopefully increasing the chance for the cats to be adopted.

Unlike other cat cafés where cats are regarded as 'money-making tools', all cats will be treated with respect and pet adoption will be encouraged. The target audience would be cat lovers of all ages and genders.

Apply and Analyse 2 (continued)

A well-balanced service package would be offered to differentiate this cat café from others.

First, to provide a good sensual experience, the café will have to be well decorated to provide a relaxing experience to customers to interact with each other. Proper hygiene measures will be in place and the café will be clean without odour.

Second, the café will hire an experienced chef to prepare tasty foods, which is important for delivering high-quality products and services, that is, high-quality physical items to customers.

Finally, since the café targets cat lovers attracted to their mission of 'adopt and don't buy', the customers of the café would have a sense of well-being and compassion towards animal welfare. They would feel that their patronage to this cat café would help contribute to the charity for stray cats and thus develop a sense of 'psychological benefit'.

Key Learning Point

A company's service concept defines the target customer and the desired customer experience, as well as how the service is different from others and how it is competitive in the market. To meet customer demands, a **service package** is created from the service concept.

► Knowledge Check Questions

Question 4

Most companies continue to improve their service quality and provide timely customer service support. There is increasing deployment of automated customer service. Identify which of the following is not an initiative of automation.

- A Interactive voice response system (IVRS) for CS hotline
- B Live chat on website
- C Chatbot on Facebook
- D Concierge service

Question 5

Restaurant owners need to manage the service time to meet customer expectations. Identify which of the following is not a way for a fine dining restaurant to manage the fluctuation in demand during the day to maintain its service quality.

- A Give special offers for dining in off-peak hours.
- B Provide a comfortable lounge area for customers while waiting for a table.
- C Ask customers to stand in queue to be seated.
- D Offer happy hour specials to increase revenue during the low period.

► Knowledge Check Questions (*continued*)

Question 6

With tight integration of operations and marketing, the service provider can achieve a high level of service and manage the expectation of customers. Identify which of the following best describes the relationship between operations and marketing.

- A** Marketing will overpromise delivery time and product performance while operations will over-deliver.
- B** Marketing will under-promise delivery time and product performance while operations will under-deliver.
- C** Marketing will under-promise delivery time and product performance while operations will over-deliver.
- D** Operations will deliver by matching the expectations created through marketing.

Question 7

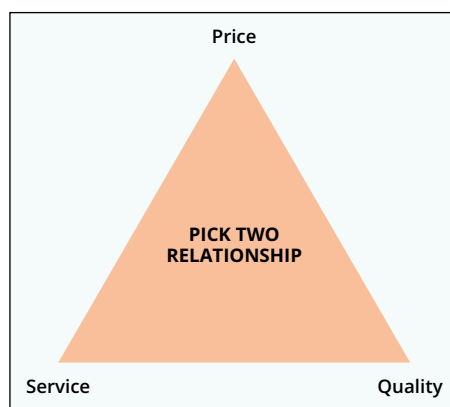
State what is to be cautioned when a company solicits feedback from customers.

- A** Soliciting negative feedback could lead to biased insight and impact future sales.
- B** Find a reputable research agency to do so.
- C** Can be costly.
- D** Feedback can be 100% accurate.

6.3 THE PICK TWO RELATIONSHIP

'Price, quality, or service: pick two' is a popular saying, hence, the **pick two relationship**. This is because no business can successfully or consistently provide the best service and the highest quality at the lowest price. No business can be all things to all people, all the time.

There is always a trade-off. For example, while low prices for good-quality products can attract crowds of customers to a shop, this will inevitably put a strain on service and diminish the quality of the shopping experience. In other words, there may be good prices, but customer service may suffer (Exhibit 6.3).



► **EXHIBIT 6.3** Pick two relationship. Businesses can successfully be the best at two of the three characteristics shown

6.3.1 Quality

Quality is one of the key elements of ensuring customer satisfaction. Regardless of prices, the quality of products or services that companies deliver to their customers will ultimately determine how customers respond.

There is a trade-off, however, in that high-quality products and services often cost more. There is a frequent correlation between higher quality and higher cost. A business that provides high-quality service and high-quality products or experiences will not be able to maintain low prices.

6.3.2 Price

Quality is linked to price, another of the three independent, but often-interlinked variables that make up the 'pick two' relationship.

In order to operate profitably in the long run, companies must set prices that can cover all the costs and provide a good profit margin but also that attract customers. The costs that prices should cover include service to customers as well as the appropriate level of quality.

Set the prices too low and sales may increase but quality and service may suffer. Set the prices too high, and companies may be able to provide the highest quality of service and products but sales may suffer.

Depending on the type of business, different combinations of price, quality and service will be chosen.

6.3.3 Service

The third variable in this relationship is service and customer expectations of service often vary depending on price and perceived quality.

For instance, a casual restaurant might sell on price and quality – cheap and tasty food but poor service. On the one hand, a budget airline will sell on price and service, with the main service product, which is the flight, should still be safe and reliable, but the quality of the experience will be lower. A luxury retailer, on the other hand, will sell on quality and service with high-quality products and great service that come at a high price.

Illustrative Example 1

When Mr. Chan designed the service concept for the cat café, he faced a dilemma. First, he aspires to provide a very comfortable and relaxing experience to his customers.

The overall ambience would be stylish and pleasing to young executives who are more willing to pay a premium for the service. However, he understands that a higher price for quality service and better customer experience would mean a more restricted target audience, thus limiting the reach to potential cat adopters. This would in turn have a lower impact on helping abandoned cats, which was his original mission for this project.

Mr. Chan's original idea of operating the café in a lifestyle approach was good for differentiating his café from the other players in the market, which mainly target mass consumers. The relaxing and high-quality food and services provide good customer experience, thus increasing the chance of repeated purchase and customer loyalty.

Illustrative Example 1 (continued)

However, by doing so, the higher price would screen out price-sensitive cat lovers from coming and thus would limit the chance of cats being adopted. Reducing the price to a more affordable price range would attract higher patronage, but that might cause stress to the cats because the café would be constantly filled with customers. Moreover, charging low prices would mean a lower profit margin and thus affect his ability to invest in maintaining or upgrading the service, the decor and the food quality of his café.

Hence, Mr. Chan needs to strike a balance between price, quality of service and dining experience.

Key Learning Point

Pick two relationship aims at striking a balance between price, quality and service offering.

► Knowledge Check Questions**Question 8**

Identify which of the following is true for a company offering high-quality products and services as well as experience but at a low price.

- A** Highly profitable.
- B** Not attractive because it can only attract customers by offering a low price.
- C** Not sustainable and not profitable.
- D** Will be in the market for very long.

Question 9

Identify which of the following is the correct strategy for a high-end leather goods brand.

- A** Set a premium price with high-quality products and great service.
- B** Set a low price with high-quality products and great service.
- C** Set a premium price with high-quality products and poor service.
- D** Set a premium price with low quality products and great service.

Question 10

Price, quality and services are the three considerations in providing customer services. State the likely strategy for these considerations.

- A** Try to achieve all three.
- B** Consider which is the most important.
- C** Pick only two to focus on.
- D** Ask customers what is the most important to them.

6.4 RETAIL SERVICE

Services are becoming increasingly important in the retail sector. Good service is often a differentiator and a competitive advantage for companies offering services that might have numerous competitors in the market. To ensure proper strategy and execution of retail service (such as finance companies) – companies must understand their customers and their expectations.

6.4.1 Customer is Always First

If service improves, then customer satisfaction and loyalty, and ultimately profitability, will follow. Customer satisfaction is a measure of how an organisation's total product performs in relation to a set of customer's expectations. Customer loyalty is a customer's commitment to repurchase over an extended period of time. It is generally driven by positive experiences with a particular company and its products. It is important to create customer value. This is the belief that drives companies to invest in customer service and to always prioritise customers first.

It is extremely important to satisfy customers in retail companies. A retailer's service mainly comes from two groups of customers, which are new customers and repeated customers. New customers can generate market share, but retaining existing customers is important in sustaining the market share. Also, attracting new customers can cost a lot more than keeping current customers. Consequently, keeping customers is as important as attracting new customers.

However, increased customer satisfaction may not lead directly to increased loyalty. The relationship between these elements is complex. Increased customer satisfaction will not always guarantee an increase in profitability. Customer satisfaction measures how a product performs in relation to customer expectations.

It is in fact possible that blind investment in customer service, without adequately evaluating customers' responses to the service, can lead to a decline in customer satisfaction and profitability. This is because customers' expectations change over time.

The actual links between improved service, improved customer satisfaction and loyalty, and improved profitability depend on more than investment increases. For example, consumers adapt to improve service standards and come to expect it and demand more; thus, by continuing to commit the same amount of resources, the organisation would eventually fail to meet increased customer expectations or fail to maintain profitability. This happens when the organisation fails to approach customer service strategically and simply sets a vague goal of improving customer service in a general manner. Companies should continuously collect feedback from customers and employees to identify problems and opportunities in its services, and then take actions to improve. The standard or goal should be reviewed periodically and adjusted to the market needs with the consideration of market situation and competitors' strategies. The goals should be specific, measurable, achievable, and time-bound.



6.4.2 Service Quality Standards

By executing and continuously evaluating the customer service strategy, an organisation can ensure high service quality standards. In so doing, the organisation must first refer to its core competence to determine whether and how to improve its customer service.

Ensuring that all aspects of service delivery are controlled is a daunting task. The good news is that customers are generally quite forgiving, as long as the service experience falls within the range of expected and acceptable outcomes. This means that satisfaction with a product can make up for less-than-perfect service delivery – and even lead to higher levels of perceived service quality. Perceived service quality refers to how consumers evaluate the service performance they receive when dealing with a company and how that quality of service compares with their expectations. In such cases, customers might give the organisation credit for quality of service that they did not fully achieve.

According to Grönroos (2011), there are seven criteria of perceived quality of service, including:

- Professionalism and skills
- Attitude and behaviour
- Accessibility and flexibility
- Reliability and trustworthiness
- Service recovery
- Services gap
- Reputation and credibility

Each of these has impacts on different dimensions of service. For example, professionalism and skills fall within the realm of outcomes, which Grönroos calls the 'outcome dimension'. Other criteria are part of the 'process dimension', which involves companies focusing on the process of service. These process criteria are attitude and behaviour, accessibility and flexibility, reliability and trustworthiness, service recovery and the service gap. Finally, there is an 'image dimension' that extends to the reputation and credibility criteria.

All these categories ensure service delivery of companies falls within a certain range of acceptable outcomes. When service falls outside the range of expected and acceptable outcomes, customers' reported level of dissatisfaction are likely to be much worse than their actual experience. This tends to happen no matter how slight the deviation is from the minimum expectations. That means actual performance and reported performance do not exactly correspond.

When the quality of service delivery fails to meet expectations, the level of satisfactions that customers report tends to fall – which is to say that dissatisfaction rises. The two are related. As the quality of service improves, so does customer satisfaction. When the quality of service drops, so does the level of reported customer satisfaction. There is a significant correlation between the two.

At times, however, organisations exceed the expectations of quality of service that their customers have. What happens when an organisation exceeds service quality expectations, rising above the range of expected and acceptable outcomes?

Many companies constantly pressure employees to exceed customer expectations. However, the logical consequences of such efforts may not be in the company's favour. As mentioned, consumers are extremely adaptive. When customers have a positive service or product experience for the first time, they will be delighted and may share information about their experience with others, but they are also likely to adjust their expectations upwards, anticipating that the next service experience will be equal to or even better than the last. This means they will be disappointed if the company cannot continually (and profitably) meet these rising expectations – more than they might have been if the company had simply performed at a lower but more consistent level.

For companies, ensuring a high level of service quality requires a combination of factors. The first of this is a focus on the market and the customer. Along with this focus is the need for companies to empower frontline staff to provide quality service. For this to happen, companies have to ensure that staff are also well-trained and motivated. All these factors can be tied together by a clear vision of the quality of service that companies want to provide.

Furthermore, expectations vary from one customer to another. Hence, when it comes to service quality standards, companies should aim to achieve consistency before brilliance. Although companies do need to improve services in order to stay competitive in the marketplace, improvement needs to be achieved profitably and systematically rather than through irregular spikes in performance.

Exceeding service quality expectations does not ensure sustainable growth. It is crucial that companies seek to consistently deliver services based on their core competence, and constantly strive to improve their overall level of service quality within this framework.

Illustrative Example 2

The CEO of a fast-food chain is a strong believer in providing quality customer service and has proposed a 'customer first' strategy to meet customer expectations as much as possible. In order to provide flexibility for customers to choose different combinations of food items, he has decided to modify the point-of-sale system of the cashier and change the food preparation process. He has even upgraded the shop ambience and made the seating more comfortable so as to give customers a better dining experience. He believes that taking these initiatives in improving service quality standards will lead to higher customer loyalty and eventually lead to improved profitability.

Providing flexibility of choice in menu selection and better dining and seating arrangement will of course enhance customer satisfaction. However, this 'customer always first' strategy may not always lead to higher customer loyalty and medium- to long-term profitability due to the following reasons:

1. The profit margin of a fast-food chain operation is generally very thin; therefore, strict cost control and emphasis on process and production efficiency are required. Standardised menus and well-defined food production and service delivery manuals have been developed to help drive down costs and ensure a consistent level of service delivery. Addressing the specific needs of individual customers would cause disruption in the smooth running of the defined process and incur additional operating costs. Moreover, the modification of the point-of-sale system and other support functions such as the procurement of food and the food

Illustrative Example 2 (continued)

preparation procedure inside the kitchen to enable this flexibility would incur additional costs as well.

2. Efficiency and the ability to serve customers quickly are critical for the success of a fast-food chain. Providing relaxing and comfortable seating arrangement will encourage customers to stay behind and occupy the seats for a longer time. This may work against the original service design for efficiency of service.
3. Customers of fast-food restaurants are normally price sensitive and they will respond to price promotions easily, thus building customer loyalty may be a bit difficult. Blindly investing in customer service therefore may not be justifiable.

Key Learning Point

Seven criteria of **perceived quality of service** include professionalism and skills; attitude and behaviour; accessibility and flexibility; reliability and trustworthiness; service recovery; services gap; and reputation and credibility.

► Knowledge Check Questions**Question 11**

Explain why improved service may not always lead to improved profitability.

- A** Customers will adapt to the improved service standards and have higher expectations, thus draining further resources.
- B** Wrong service improvement could be implemented.
- C** There may not be enough resources to support the improved service.
- D** Customer service goals are not clear.

Question 12

Customer expectations on service quality differ amongst customers. State what an organisation should try to confront.

- A** Customise their service to suit individual customers' needs.
- B** Try to achieve better quality each time to exceed customer expectations.
- C** Praise employees for providing exceptional customer service.
- D** Aim to achieve consistency in service delivery and quality standards.

Question 13

A customer went to buy a new mobile phone. He predicted that he had to queue up for a long time. Luckily, there were not too many people in front of him. Suggest how the shop manages its customers' expectation and perception of its services by using the proper criteria as developed by Grönroos (2011).

► Knowledge Check Questions (*continued*)

Question 14

Amazon.com is an online store offering a wide variety of products, which include music, books, groceries, electronics, toys, movies, apparels, sportswear and equipment, and other home items. Amazon.com provides delivery alternatives for customers. Customers can choose the delivery option that best fits their budget and schedule. Package tracking services are also provided. Usually, Amazon can deliver its products to customers earlier than the proposed delivery schedule. Amazon.com keeps verifying the performance of each customer purchase by getting feedback from customers and posting performance scores on-site for customers' references.

Search some information on the Internet, then explain how Amazon.com manages customers' expectation and perception of its services by using the criteria of perceived quality of service as suggested by Grönroos (2011).

6.5 STRATEGIC PLANNING IN SERVICE ENTITIES

Service encounters are inherently emotional, and taking into consideration the challenges in delivering service, performance and profitability for service entities can be highly volatile and therefore difficult to control strategically. Hence, strategic planning is crucial for maintaining discipline and ensuring that a systematic approach is taken to service issues.

6.5.1 Importance of Strategic Planning

Establish direction: Strategic planning is crucial from the very conception of a service entity because it needs to strategically define its business objectives. That is, the company needs to know which service aspects to include as service quality standard, reputation or sustainability.

Wise business decisions: For example, a service organisation in the home safety business would design services that ensure home safety. But if it does not have the capacity to deliver such a wide range of services, it may need to reconsider its positioning and focus on a more specific business, such as the home-alarm business. This way, it would only need the capacity to install home alarms. While the home safety business may sound grander, the organisation needs to be realistic about its ability to compete in that category.

Operational efficiency: Strategic planning helps service organisations use their resources wisely and prevents them from making wrong decisions. Strategic planning also helps companies have a clear understanding of their core competences in their services. It is crucial that companies know what they can realistically deliver on a consistent basis, and not promise more than they can actually deliver to customers.

Organisation to be proactive: The service organisation also needs to plan how to strategically communicate the value of its core competence to its customers. Sometimes, customers demand services beyond a company's expertise and competence. If an employee



delivers services that are above and beyond the company's defined scope of competence, that employee is often rewarded for increasing customer satisfaction in the short term.

However, if the company cannot maintain that level of service quality on a consistent basis, its resource allocation, service provision and resulting customer satisfaction will be inconsistent. Hence, the company must proactively and clearly communicate the value and scope of its competencies.

Make business more durable: The service organisation also needs to plan how to retain existing customers. This may involve training service representatives to ensure they are knowledgeable and able to meet potential customer inquiries. Service delivery plays a crucial role in customer acquisition as well as customer retention.

When the time has come for the company to consider leveraging a service attribute in order to compete with or differentiate from competitors, strategic planning will be necessary in the decision-making process. The company needs to know whether it can profitably dominate with the chosen attribute, and it should avoid unrealistic thinking. This is not easy because the intangibility of services makes it difficult to disprove claims of having an advantage in a particular area.

6.5.2 Considerations in Planning Service Entity Strategies

There are several key considerations in strategic planning for service organisations, as follows:

- *Manage expectations:* Instead of promising everything, companies should ensure that they define expectations within the limits of their expertise. The objective here should be to never make a promise they cannot keep and to avoid customer dissatisfaction. This limits the ability for marketing departments to compete against escalating competitive claims about service performance; however, in the long run, it is not the companies that make the biggest promises that succeed, but those that consistently deliver on the promises they make. By realistically assessing their abilities at the planning stage, companies can avoid future failures.
- *Manage production/servicing:* As mentioned, 'consistency before brilliance' is the key consideration. While many companies reward outstanding service providers (e.g., with 'employee of the month' awards), these employees may actually be raising customer expectations beyond the standards that the company can consistently meet. Of course, in the long run exceptional service is desirable, but only when the company can achieve the same level of service all the time. Companies should in fact take exceptional performers off the front line as quickly as possible and find ways for them to transfer their skills and knowledge to other positions within the organisation, perhaps positions that involve strategic planning and long-term quality assurance. This will enable them to increase the overall, long-term competence of the organisation instead of just contributing to inconsistent spikes in performance.
- *Manage the memory:* Customers' opinion of service encounters can be influenced even after the encounter. Therefore, by emphasising successes and reminding customers of the good service they have received, companies can benefit from positive impressions of their services and brand. In addition, companies should also evaluate what constitutes failure. For example, a grocery store may choose not to stock a certain product item if it is not fresh, while another store might be willing to stock a slightly

older product so customers who need it can conveniently buy it there. It is up to the company to define and communicate success and failure.

- *Monitor competitors' strategies:* Companies should keep monitoring competitors' strategies in offering services to satisfy and keep customers. Companies have to stay competitive in the market to design service and then differentiate from competitors and attract consumption from customers. Companies may have their own research team to investigate competitors' actions and strategies periodically. They can then adjust their planning and strategies of their services.

In sum, the management expectations, production, memory and competitors' strategies are the key considerations in strategic planning for service organisations. However, a company needs to be sure that the need for (and the readiness to pay for) its chosen services exists amongst enough consumers to justify its strategy. And ultimately, a company has a competitive advantage in providing a service only if it has a core competence in providing that service.

Illustrative Example 3

Mr. Lee is a restaurant owner who is keen to compete with a newly opened restaurant next door. He noticed that his new competitor has been very consistent in providing customer service.

They require customers to make prior reservations to ensure proper seating and no disappointment at the door. Moreover, they have set two predefined serving periods, 6:00–8:00 p.m. and 8:00–10:00 p.m. during peak hours. This would ensure sufficient serving time for the restaurant patrons to enjoy their meals without too much waiting time. Sometimes they have to deny bookings to avoid overcrowding inside the restaurant and retain a good dining ambience.

However, to Mr. Lee, this was too 'consistent' which he saw as too rigid. He demanded his team try to meet 'every customer's needs'. They were to take on orders as much as possible and try stretching the seating capacity of his restaurant. He also stressed the production/cooking capacity to its limit.

He did gain some additional business at the start but after a while, the dining experience deteriorated too much due to the overcrowding of customers and the rush to serve the next patrons. Staff were overworked and complained. Those who could not stand the pressure left the restaurant. Service quality dropped and the competitiveness of the restaurant was weakened too.

The idea of meeting every customer's needs is good, but Mr. Lee has to strike a balance between quality services, service supply, and customer needs. First, he has to develop a service blueprint listing out the service standards, process and support. He can predict the possible time and duration of each service process, and the average of customers' dining time. He should also involve employees at each level to provide input to finetune the service plan and blueprint. Second, he could try to manage customers' demands and their expectation of the services through communicating clearly the arrangement of services. Lastly, he should monitor the new service process and adjust according to the situation and the feedback from customers and employees.

Apply and Analyse 3

It is a market practice for jewellers to help customers engrave their names onto their rings to make the jewellery more memorable and unique. However, it is also a norm for retailers to restrict performing such services for their customers on their products. This is to manage customer experience and to make sure there will not be flaws and unexpected difficulties when altering the rings because the craftsmen should have known the design of the products well enough.

One day a lady brought her ring to Jeweller A and requested them to help engrave a name on it. However, the ring was bought from Jeweller B. With much persuasion by the lady, the frontline sales finally agreed to help her do it in hopes of providing better customer service. The lady was very happy that the salesperson walked an extra mile to help her and wrote to the CEO of the jeweller to thank them for the service.

Discuss the considerations for and against the extra service provided by the frontline sales to manage the customer's expectation.

Analysis

The frontline staff has done a good job walking an extra mile to help the customer. The satisfied customer will be a good testimony for Jeweller A. This may enhance customer preference and repeat purchase in the future.

However, the sales should have *managed the customer's expectation* by highlighting the fact that this particular treatment was a 'one-off' special arrangement. Consequently, Jeweller A can benefit from making a positive impression to the lady. This customer should not take it for granted and raise her expectation that Jeweller A will do this again in the future. The provision of a one-off service to this customer helps *manage the customer's memory*.

If the management team of Jeweller A sees this as an opportunity to offer differentiating service to beat its competition, they should also *manage the production* ability. They should evaluate if the craftsmen are capable of doing this kind of engraving service consistently in the future. They may need to start collecting information and familiarising the design and technical details of other jewellers so as to prepare their team of craftsmen for future requests. They have to *monitor competitors' strategies* and products for further product and service improvement.

Key Learning Point

Strategic planning is crucial from the very conception of a service entity because it needs to strategically define its business objectives.

► Knowledge Check Questions

Question 15

Identify which of the following is not a key consideration in strategic planning for service organisations.

- A Managing customer experience
- B Managing the memory of customers
- C Managing production capability
- D Managing customer expectation

Question 16

John is new to the catering industry. He has just finished his training in serving Japanese cuisine. He would like to run his own Japanese restaurant. But later he thinks that the restaurant concept might expand to cover other East Asian cuisines such as Korean and Chinese cuisines. Identify which of the following best describes what John should do in strategic planning.

- A Expand his cuisine choices to include East Asian cuisines so as to attract more customers.
- B Expand to include non-Asian cuisines to widen the appeal of his restaurant.
- C Be more focused and do his best in offering the best Japanese food.
- D Test customer preferences by having different cuisine promotions during the year before deciding.

Question 17

Supermarket A is serious about upgrading their service standards to beat the competition. They decided to gather feedback from their customers. They want to reinforce successes and remind customers of the good services that they have received. State what Supermarket A is doing in planning its strategy.

- A Managing customer expectation
- B Managing production capability
- C Managing the memory of customers
- D Managing customer experience

Question 18

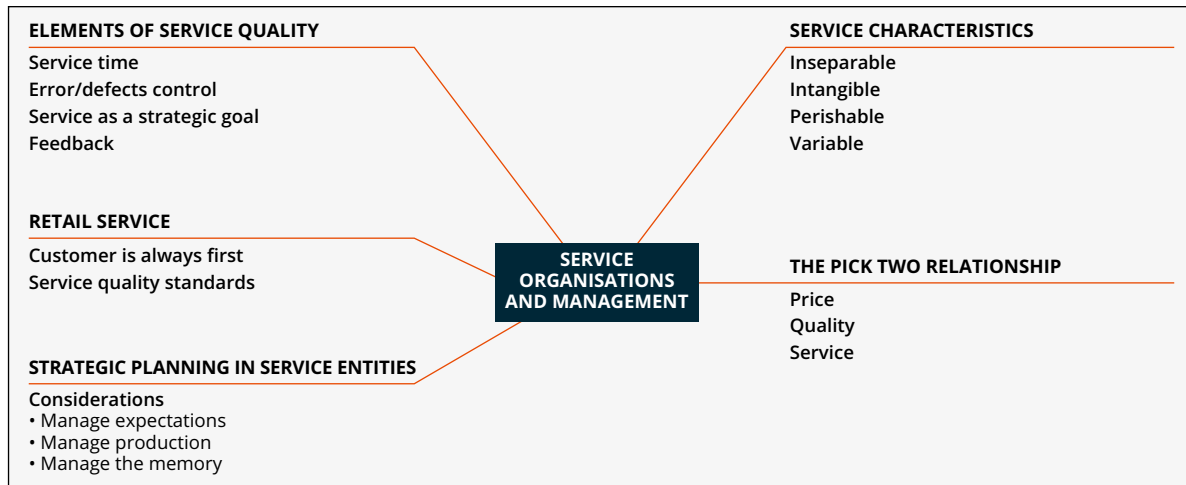
Johnny is the owner of a healthcare organisation providing medical and surgical treatments, dental service and optometric service. Johnny believes that his organisation can continue on existing standards and approaches to deliver services, as it is the leader in the healthcare market and the market lacks strong competitors. He thinks that strategic planning is not important to its situation, but indeed the market is changing. Explain the importance of strategic planning to Johnny.



SUMMARY

- By treating *services* as products, the profitability of service organisations has increased drastically.
- Service management is both difficult and crucial because of the unique nature of service products.
- Services are intangible and inseparable. It is difficult to design something that cannot be seen, touched, stored on a shelf or tried on for size.
- Services are *perishable*, meaning they are generally produced and consumed at the same time.
- Services are *variable* because they are usually performed by humans.
- A company's *service concept* defines the target customer and the desired customer experience, as well as how the service is different from others and how it is competitive in the market.
- To meet customer demands, a *service package* is created from the service concept.
- The unique inventory challenges in the service industry make advanced planning especially important for service providers. A service provider should ask *whether* and *when* it should mechanise or automate its services.
- Tight integration of operations and marketing is needed to achieve exceptional service delivery.
- Nearly all companies solicit some type of *feedback* from their customers about their product and service experiences.
- No business can successfully or consistently provide the best service and the highest quality at the lowest price.
- If service improves, then customer satisfaction and loyalty, and ultimately profitability, will follow.
- It is possible that blind investment in customer service, without adequately evaluating customers' responses to the service, can lead to a decline in customer satisfaction and profitability.
- By executing and continuously evaluating the customer service strategy, an organisation can ensure high service quality standards.
- Strategic planning is crucial from the very conception of a service entity because it needs to strategically define its business objective.
- Key considerations for strategic planning include managing expectations, production and customer memory.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because it is not the only reason to help customers remember the brand and quality of service.

Answer B is incorrect because it is not the only reason to help customers remember the brand and quality of service.

Answer A is incorrect because it is not the only reason to help customers remember the brand and quality of service.

Answer D is correct because all of the above can help customers to remember the brand and quality of service.

Question 2

Answer A is correct because of consistency and predictability which are important to provide a service that would meet the expectation of most customers without too much fluctuation in service quality.

Answer B is incorrect because high quality will not help humans to consistently do a great job.

Answer C is incorrect because measurability will not help humans to consistently do a great job.

Answer D is incorrect because the service level performed by humans may fluctuate and thus high customer satisfaction cannot be guaranteed.

Question 3

Answer A is correct because using a monitoring system is not a way to ensure consistent and high-quality service delivery.

Answer B is incorrect because using standardised materials is a way to ensure consistent and high-quality service delivery.



Answer C is incorrect because setting operating procedures is a way to ensure consistent and high-quality service delivery.

Answer D is incorrect because extensive training for frontline staff is a way to ensure consistent and high-quality service delivery.

Question 4

Answer A is incorrect because it is an automated way to provide customer and hotline service.

Answer B is incorrect because it is an automated way to provide customer and hotline service.

Answer C is incorrect because it is an automated way to provide customer and hotline service.

Answer D is correct because it is a service provided by intensive manpower support.

Question 5

Answer A is incorrect because special offers to dine in off-peak hours will incentivise customers to visit during other times of the day.

Answer B is incorrect because a comfortable lounge area will help increase customers' willingness to wait a bit longer for the table.

Answer C is correct because asking customers to stand in queue to be seated does not motivate customers to visit the fine dining restaurant during other times.

Answer D is incorrect because offering happy hour specials to increase revenue during the low period supports the fixed costs and labour costs necessary to meet peak demand.

Question 6

Answer A is incorrect because there will be a mismatch of expectation created by both marketing and operations departments.

Answer B is incorrect because there will be a mismatch of expectation created by both marketing and operations departments.

Answer C is incorrect because there will be a mismatch of expectation created by both marketing and operations departments.

Answer D is correct because the expectation created by marketing should be matched with the service delivery by the operations department.

Question 7

Answer A is correct because soliciting negative feedback could reinforce bad memories of customer experience leading to biased insights being collected.

Answer B is incorrect because it is not the key consideration for service planning in soliciting customer feedback.

Answer C is incorrect because it is not the key consideration for service planning in soliciting customer feedback.

Answer D is incorrect because it is not the key consideration for service planning in soliciting customer feedback.

Question 8

Answer A is incorrect because it will not be too profitable with such a high cost in providing good service and experience.

Answer B is incorrect because it should be a very attractive offer to consumer but the company could not be sustained.

Answer C is correct because the company cannot sustain its presence if it does not recover the full costs of providing high-quality service and experience.

Answer D is incorrect because if the company cannot recover the full costs of providing high-quality service and experience, it will not be able to stay in the market for too long before it go broke.

Question 9

Answer A is correct because the premium price can be justified by offering high-quality products and great service.

Answer B is incorrect because a premium brand cannot be justified by setting a low price.

Answer C is incorrect because a premium price and brand positioning cannot be justified by having a low service level.

Answer D is incorrect because a premium price and brand positioning cannot be justified by having low product quality.

Question 10

Answer A is incorrect because it is not possible to achieve all three.

Answer B is incorrect because a company should choose at least two areas to support service.

Answer C is correct because it is optimal for a company to choose two areas to support service.

Answer D is incorrect because a company should ask customers to choose two areas that are important to them.

Question 11

Answer A is correct because it is costly to constantly upgrade service to meet the changing needs of the service rendered.

Answer B is incorrect because it is the wrong diagnosis of the problem.

Answer C is incorrect because it is the wrong diagnosis of the problem.

Answer D is incorrect because it is the wrong diagnosis of the problem.

Question 12

Answer A is incorrect because highly customised service would be too costly for companies to sustain.

Answer B is incorrect because customers' expectation on service quality would be ever increasing and it would not be sustainable for companies to keep exceeding customers' expectation.

Answer C is incorrect because customers' expectation on service quality would be ever increasing and it would not be sustainable for companies to keep exceeding customers' expectation.

Answer D is correct because companies should try to provide a consistent quality service to manage good customer expectation on the quality.

Question 13

The shops can manage customers' expectation or perception by ensuring service *accessibility and flexibility*. The shops can manage the customer's expectation through listing out the possible waiting time. The customer will accept to wait for that long time. The salesperson may serve the customer before purchase. The salesperson can record customer's product preference and payment method that will facilitate the transaction process during the purchase stage. This practice can make the customer feel happy and efficient, which contribute a positive perception of its services.

Managing a customer's expectation on waiting time through occupying their waiting time by offering some services can minimise the *service gap* that makes customer feel happier.

If the shop can provide the purchase service to the customer within the proposed waiting time, it can enhance its service *reliability and trustworthiness* to the customer, as well as the *reputation and creditability* of the shop.

The shop manager should also explain the service details, product specification, and payment plans with friendly and empathetic services to the customer to ensure that he or she is happy with the service process. It can ensure *professional and courteous* services to be perceived by the customer. Employees' *attitude and behaviour* in serving customers can also enhance the quality perception of the customer.

Question 14

Amazon.com manages customers' expectation on the product delivery by listing the expected delivery dates and costs of different delivery options. Customers can know the possible delivery date and expected costs that help fit their budget and schedule. Besides, Amazon.com manages customers' expectation through providing the tracking system that they can predict the delivery dates. It can enhance customers' perception towards the service *accessibility and flexibility*. This can also minimise the service gap between customers' expectation and perception in receiving the delivery.

Amazon also did well in managing customers' perceptions of its services. Its order usually arrives ahead of the promised dates, which made customers feel happy. It can enhance customer perceptions towards its service *reliability and trustworthiness*.

Amazon.com also lists customers' feedback and performance scores on site for customers' references in choosing their preferred shops and offers. It can project a professional image to customers (i.e., *professionalism and skills*).

Amazon keeps collecting customer feedback to verify the performance of the orders made. It makes customers feel that they care about their customers in the purchase. It can show its responsibility in improving its services. It can show its good *attitude and behaviour* in managing customers' feedback and complaints. It can further enhance the service *reputation and creditability*.

Question 15

Answer A is correct because customer experience is not the key consideration for strategic planning.

Answer B is incorrect because managing customers' memory is one of the key considerations of strategic planning.

Answer C is incorrect because managing production capability is one of the key considerations of strategic planning.

Answer D is incorrect because managing customer expectation is one of the key considerations of strategic planning.

Question 16

Answer A is incorrect because it is not something John is good at and he may not be able to deliver what he promises.

Answer B is incorrect because it is not something John is good at and he may not be able to deliver what he promises.

Answer C is correct because a company should know what it is realistically able to deliver on a consistent basis and should not promise more than it can actually deliver.

Answer D is incorrect because it is not something John is good at and he may not be able to deliver what he promises.

Question 17

Answer A is incorrect because it involves customers' memory, not their expectations.

Answer B is incorrect because it is not related to the production of goods.

Answer C is correct because it reminds customers of the good experience that they have received, thus stirring their memories.

Answer D is incorrect because it reminds customers of the good customer experience that they have received, thus affecting the memory.

Question 18

Although Johnny's healthcare organisation is the market leader and there are no major competitors to compete with his organisation at this moment, he has to stay tuned to the market needs and situation. There are increasingly informed and demanding clients, who can easily get information from different channels. They may demand better services and treatment from his organisation. Also, competitors may have improved skills and services to serve customers, and that may encourage customers to switch. The technology of healthcare may also improve so that he has to consider adopting the new technology in its services in order to stay competitive.

Strategic planning allows Johnny to plan ahead and establish direction for the development of his healthcare business, the improvement of its operational efficiency, the design of a wise business decision and the competitiveness of its business in the market.

EXAM PRACTICE

QUESTION 1

Explain why it is more difficult and important for services to develop a strong brand identity.

- A.** There is no physical presence, unlike a physical product.
- B.** Weaker brand association as the service is not tangible during the consumption experience.
- C.** They do not have logos like physical products do.
- D.** All of the above.

QUESTION 2

Innovative service concepts may very often win a fair share in the market by differentiating from those offered by traditional service providers. One example would be Uber. Explain the reason.

- A.** The fare is lower than taxis.
- B.** The drivers are younger.
- C.** The service can address some previously unoccupied niches, for example, better quality of cars and drivers.
- D.** The service concept is new.

QUESTION 3

The heater of an upscale spa was out of service. The centre manager tried to make sure her receptionist and therapists tell the customers about this before bookings or treatments. Describe the manager's objective.

- A.** Manage the expectations of the customers to avoid disappointment.
- B.** Hope the customers would come later.
- C.** Try to be honest.
- D.** Provide more information about the ambience of the spa.

QUESTION 4

The operating costs for retail outlets in Hong Kong have been rising over the past years. Many restaurant owners have been struggling to upkeep their business to cope with these rising costs. Rent contributes to the biggest share in fixed overheads followed by manpower cost. Though some owners try to hire part-time staff and helpers during peak hours, there is a big portion of staff costs still being fixed as it is necessary for restaurants to keep some minimum manpower support regardless of the level of business activities.

By using the pick two relationship, identify a few strategies which the restaurant owners can consider to maximise their return under this cost-inflating situation.

QUESTION 5

The onset of an ageing population increases the demand for aged care residential services. Customers' expectation in aged care residential services is far more complex than general healthcare services. Any mismatch of customer expectations and experiences is the beginning of service failure and customer complaints. It seems that the service providers have to look for ways to understand customers' expectation in different aspects. Also, the service providers may have to look for ways to help customers set proper expectations of their services. Customer feedback is essential for the organisation's future planning. In order to avoid failure and customer complaints, it is necessary to do pre-admission assessments. Alternatively, standards and rules should be well known to all the employees. For understanding the service performance and identifying possible improvement plans, the service providers may have to plan some measurements to assess the service performance. Search some information on the Internet, and then explain the considerations in strategic planning for aged care residential services: managing expectations, managing production/ servicing, and managing the memory.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect as it is not the only reason why services need to develop strong brand identity.

Answer B is incorrect as it is not the only reason why services need to develop strong brand identity.

Answer C is incorrect as it is not the only reason why services need to develop strong brand identity.

Answer D is correct because all of the above are key factors for why services need a strong brand identity.

QUESTION 2

Answer A is incorrect because the fare is normally higher than taxis in most cases.

Answer B is incorrect because this is not part of the proposed service concept.

Answer C is correct because this addresses the previous concerns of many taxi passengers such as better quality of drivers and cars.

Answer D is incorrect because this is not part of the proposed service concept.

QUESTION 3

This is correct because a company should promise only what they can deliver.

This is incorrect because this is not the objective of the spa manager.

This is incorrect because this is not the objective of the spa manager.

This is incorrect because this is not the objective of the spa manager.

QUESTION 4

The restaurant may have few strategies for consideration:

Strategy 1: setting a higher price and then maintaining its quality and services to cover the increasing costs, but there should be enough consumer demand in high-quality food at a premium price.

Strategy 2: providing less services with the same quality of products in non-peak hours, but this service practice should be communicated to the customers before consumption. Customers have to be educated to have self-service during the non-peak hours.

Strategy 3: providing lower quality products at a lower price in non-peak hours to shift the demand from peak hours to non-peak hours that offloads some of the demand on its services and human resources to the non-peak hours.

QUESTION 5

Manage expectations: The service organisations have to consider the expectation of both the care recipients and their family members. Their expectations may involve safety, security, physical evidence, personnel, medical services and emotional support. The service providers may arrange one-to-one interviews with the care recipients and their family members, and invite them to voice their concerns and expectations. Meanwhile, the providers have to explain clearly their services and standards to see whether they could match with the expectations of the care recipients and family members. A pre-admission assessment could be conducted to determine the needs and services required by the care recipients. A written document listing the expectations of the services, the services to be offered and the nursing



instructions could be signed by all involved parties to ensure the customers' expectations are managed properly.

Manage production/servicing: A set of rules, guidelines and service standards has to be disseminated to all employees throughout the organisation. Newly joined employees have to be trained and coached by the senior staff in order to deliver the services up to the standards. Their performance should be periodically monitored and reviewed with feed-forward to improve their service performance to care recipients. Quality staff should be rewarded, while others may have to go through some training to improve the service standards.

Manage the memory: The aged care service organisation should keep monitoring the service performance and collecting customers' feedback for further improvement and showing their care for the customers' needs. This could enhance customers' experiences, satisfaction and loyalty. Also, the collected information would be served as the input for the strategic planning of the next business cycle.

7

Financial Management

CHAPTER TOPIC LIST

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7.4.1 Financial Decisions

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LEARNING OUTCOMES

PRINCIPAL LO5: EXPLAIN THE ROLE OF FINANCIAL MANAGEMENT

LO5.01: Explain the role of financial management in a business entity

- 5.01.01** Explain the role of financial management in the overall management of a business entity
- 5.01.02** Describe the short- and long-term financial requirements of a business entity
- 5.01.03** Explain the key financial decisions an organisation needs to make and the roles played by different stakeholders, advisors and financial institutions in the financial strategy selected by a business
- 5.01.04** Explain the role of the accounting function in relation to financial analysis, reporting and control



OPENING CASE

FINANCIAL MANAGEMENT CRITICAL FOR SME SURVIVAL

Candy Lim is the director of a small- and medium-sized enterprise (SME) in Hong Kong. Her company is involved in traditional trading services and has operated smoothly for a few years. However, both Candy and her management are dealing with a loss of overseas clients. She would like to expand the business using offline to online models for the sake of avoiding failure like other vast majority SMEs who wrestle with huge competition in external conditions.

In view of this, she faces a major challenge with financing and financial management. She has a difficult time obtaining cash to expand or work. As her company has primitive financial management, it often has problems tapping into financing. To deal with these problems, she has aligned with a financial consultant, Luke Tam, who has suggested some practical steps to improve her company's financial management.

The way Mr. Tam sees it is that Candy should develop good relationships with banks because lenders are the main source of finance, other than family funds and retained earnings. He suggests that Candy maintains regular contact with banks and socialises with bankers to talk about the company's needs and to get their advice. The management could also consider contacting banks with which they do not presently transact to identify ways to work with those banks in the future and put in place contingency plans should the relationship with their present banks deteriorate.

Thus, she is recommended to establish adequate credit lines as well. Even though there is an expense to establishing credit lines, such as an overdraft facility and term loan, and so on, establishing them before they are needed is always better than waiting until it is too late. Management should also consider talking to a range of banks, explain their future needs and negotiate for the best possible terms on establishing a credit facility.

Moreover, she should also consider using asset-backed financing by selling trade receivables and borrowing against assets like properties, plants and equipment. However, this type of financing should be carefully calculated to ensure interest payable and other costs are justified compared to financing options that may be available.

Another important consideration is to develop strong cash management policies to avoid one of the most common causes of business failure. Management should know their cash position daily. Accountants should prepare regular statements of cash flows and monitor inflows and outflows. Cash forecasts should be prepared to identify future cash needs and management must ensure that proper authorisation is sought before cash commitments are made.

Finally, Candy should ensure that the business has enough cash. In most situations, the primary source of income for an SME's owner is profit. Sufficient profit, however, needs to be retained in the company to see it through difficult times. 



OVERVIEW

Effective financial management is critical to the success of a business. Finance includes securing funds, managing them and planning how they should be used in order for the business to fulfil its objectives. A company's managers must ensure that it has enough money to operate successfully, in both the present and the future. Adequate financial resources must be available to purchase materials, equipment, and other assets; pay bills; and compensate employees. This requires funds to be wisely invested.

An organisation's financial objectives include meeting expenses and investing in assets while also maximising its overall worth. A company's value is often determined by the price of its common stock. Finance managers are responsible for meeting expenses, investing in assets, and increasing profits to shareholders. Solid financial management is critical to the success of a business.

This chapter focuses on the finance function of organisations. It describes the financial planning process, outlines the components of a financial plan, and discusses how organisations manage assets as efficiently and effectively as possible. The two major sources of funds – debt and equity – are compared, and the concept of leverage is introduced. The major sources of short-term and long-term funding are also described.



7.1 FINANCIAL MANAGEMENT

Because of the intense pressures they face today, organisations are increasingly measuring and attempting to control or reduce the costs of business operations, in an effort to maximise revenues and profits. This business function is called **finance**.

As a result, **finance managers** – executives who develop and implement their company's financial plan and determine the most appropriate sources and uses of funds – are amongst the most vital people within an organisation.

7.1.1 Key Decisions of an Organisation

Financial professionals must continually balance risks with expected financial returns. Risk is the uncertainty of gain or loss; financial return is the gain or loss that results from an investment over a specified period of time. Finance managers strive to maximise the wealth of their company's shareholders by balancing risk and return. The optimal balance of these two measures is called the **risk–return trade-off**.

To illustrate this concept, imagine a company relying heavily on borrowed funds. This strategy may increase the return to shareholders by providing them with cash, but it also exposes them to risk. While more cash on hand reduces the risk of being unable to meet unexpected cash needs, it also fails to earn much of a return. As such, holding surplus funds in cash reduces a company's potential return. Instead of holding a cash surplus, it would be better to invest the money in an income-earning asset – such as in securities – or to invest it in developing a new product that could generate a significant return.

7.1.1.1 Investment Decisions

Most companies invest excess cash in **marketable securities** – low-risk securities that either have short maturities or can be easily sold in secondary markets.

In addition, companies also invest in long-lived assets. Long-lived assets such as buildings, vehicles, and so on, are expected to produce economic benefits for more than one year. These investments often involve substantial amounts of money.

The process by which decisions are made regarding investments in long-lived assets is called **capital investment analysis**. Companies normally make two basic types of capital investment decisions: expansion and replacement. Replacement decisions involve upgrading assets by acquiring new ones.

Finance managers must estimate all of the costs and benefits of a proposed investment, which can be quite difficult, especially for very long-lived investments. The potential return of investment options should be measured by the difference between benefits and costs. Only those investments that fall into an acceptable range should be considered.

7.1.1.2 Financing Decisions

Debt capital consists of funds obtained through borrowing. **Equity capital** consists of funds sourced from a company's owners. While equity capital can take the form of cash or other contributions, it can also be provided via asset liquidations, stock issuance, reinvested earnings and funding from outside investors. The mix of a company's debt and equity capital is known as its **capital structure**.

There are various ways to approach capital structure, and a company's unique situation influences these decisions. Financial position and industry are key factors in this decision. As debt increases, so does a company's associated risk. This is because, whether or not a company has a positive cash flow, interest must be made regularly on the borrowed funds. These interest payments should be considered fixed costs, so larger amounts of debt make a company more dependent on sales revenues. Despite this risk, debt is an inexpensive way to secure financing, so it is common.

7.1.1.3 Dividend Decisions

A **dividend** is a cash payment made to shareholders on a periodic basis. Quarterly payments are the most common and are referred to as a **regular dividend**. Other companies may pay dividends twice yearly or on some other regular timeline. In certain circumstances, companies may decide to make extra dividend payments. Furthermore, companies that do not typically pay dividends may decide to make special one-time payments. Dividends are paid from earnings that a firm chooses not to reinvest, so they cannot be counted as additional equity capital.

The board of directors is responsible for decisions regarding a company's dividend policy. Not all companies pay dividends, and it is not required by law to do so. A company's dividend policy is based on a number of factors but investment is one of the most important. For example, a company with abundant investment opportunities and a capital structure that favours equity funding is unlikely to use its earnings to pay dividends.

In some cases, shareholders may prefer that a company reinvests its earnings instead of paying a dividend. The idea behind this is that reinvestment will support more robust profits, which will cause shares to more quickly increase in value. In other cases, companies may face limited investment opportunities, leading them to decide to pay more of their earnings in dividends.

7.1.1.4 Asset Management Decisions

Assets consist of what a company owns. But assets also represent uses of funds. Companies must acquire assets in order to grow, and finance departments are responsible for deciding how to effectively and efficiently acquire and manage assets.

In turn, asset management refers to the process of taking advantage of an organisation's assets to maximise shareholder value and offer the best possible returns to stakeholders in the organisation. The assets of an organisation include land and buildings, plant and equipment, inventories, cash in hand and so on. It is important for managers to make the best possible decisions to get maximum returns. Ineffective asset management would lead to wasted resources.

Today, companies often have assets worldwide. Managing international assets creates several challenges for the finance manager. These challenges are varied. One important consideration is how to deal with the issue of foreign exchange rates. Another is how to deal with such variables as interest rates, which may vary from one market to another. A third issue is how to manage various assets, including both intellectual and fixed or real estate assets. Intellectual assets are referred to as 'intangible capital'. Examples are brand capital and human capital. These are not covered in this chapter.

As a result of all these considerations, many global companies engage in activities that reduce the myriad risks that emerged from changes in real estate markets or changes in technology or exchange rate fluctuations.

Some of these considerations are quite complicated. One of the simplest and most widely used technique to deal with these risks is called a **balance sheet hedge**. Essentially, a balance sheet hedge creates an offsetting liability to an asset in one currency, with another in that same currency.

For example, to create an offsetting liability, the company could take out a loan in euros, creating a euro-denominated liability. If done correctly, this can reduce the risk posed by changes between the value of the dollar relative to the euro. This hedge can have a positive impact on its stock price by boosting a company's financial performance.

Illustrative Example 1

SME owner Candy Lim plans to reshape her finance department and recruit a finance manager for her company. She knows that success in a finance department can help promote the financial health of the company. Experienced staff can help with cost controls to maximising revenue.

She does have an accounting department whose staff is busy with daily transactions, accounting reports and payroll issues but she believes it is important to formulate financial strategies and goals.

With this in mind, Ms. Lim is looking for a finance manager who can make decisions in the areas of investment, financing, dividend and even asset management. She expects the manager can produce valuable and reliable financial statements, reports and forecasts to support her to make the best possible decisions and handle risks and returns.

Ms. Lim would like her company to adapt to changes in the competitive market and expand its opportunities. She can inform her finance manager to provide her with an overall picture of financial status such as existing cash flows and fixed assets. She would then have the ability to make better decisions to seize existing or new markets for her trading business. At the same time, she also understands the strengths of her products or channels. Business always changes. Many competitors have already utilised online platforms to promote products and place advertisements.

Her finance manager should provide more professional advice on controlling costs, such as putting more focus on keeping existing customers because it can be done at lower cost than finding new ones. Cost is an important factor in the development of any business. Furthermore, if making new investments is recommended, Ms. Lim may choose to invest in marketable securities. In conclusion, financial planning is vital to business management.

Apply and Analyse 1

Finance managers increasingly assist executives in making decisions that affect the organisation. They need to possess analytical ability and excellent communication skills. They are responsible for the financial stability of an organisation. They are required to produce timely and accurate financial reports, investment activity reports and formulate strategies, plans and policies to achieve long-term financial goals of the organisation.

Companies should make judicious management decisions regarding how, when and where funds are raised and utilised.

Explain three types of financial decisions and outline the factors that should be taken into consideration by the finance manager.

Apply and Analyse 1 (continued)

Analysis

Investment decisions relate to the determination of the total amount of assets to be held in the firm. The composition of these assets involves complex calculations, because some decisions can relate to short-lived investments and others to long-range ones. Although some decisions may be risky, they represent the most important financial issue for investors.

Since funds involve cost and are available in a limited quantity, their proper utilisation is necessary to achieve the goal of wealth maximisation.

Once the firm has taken a decision to make an investment and committed itself to new investment, it must decide the best means of financing these commitments. Since firms regularly make new investments; the need for financing and financial decisions is continuous.

In order to meet this ongoing need, financial managers must undertake planning. At the heart of these plans is balancing how to acquire new assets and support the company's optimal mix of financing.

Thus, the finance manager must take the following points into consideration when making financing decisions:

- The risks involved in raising the funds. The risk associated with debt is higher than equity.
- The cost of funds. The manager should choose the source of funds with the lowest cost.
- The amount of fund control. Shareholder's needs and also wants to determine the composition of a company's capital structure. They usually prefer borrowed funds since it does not dilute their ownership.
- Cashflow from the operations of the business may also help a company determine where it will seek to raise funds. High cashflows may allow access to greater amounts of debt and facilitate the repayment of the debt but the debt may also affect cash flows since it has to be repaid and the greater the debt the greater the interest.
- Flotation costs such as brokers' commissions or fees for underwriters involved in raising the securities also determine the sources of funds. Thus, securities with minimum cost must be chosen.

Dividend decisions are the third major financial decision related to the disbursement of profits back to investors who have supplied capital to the firm.

The term 'dividend' refers to that part of the profits of a company which is distributed by it amongst its shareholders. It is the reward to shareholders for investments made by them in the share capital of the company. Dividend decisions are linked to the quantum of profits to be distributed amongst shareholders.

Key Learning Point

Finance managers strive to maximise the wealth of the company's shareholders by striking the optimal balance between risk and return. This balance is called the *risk-return trade-off*.

► Knowledge Check Questions

Question 1

State the term that describes the optimal balance that the finance managers are keen to achieve for maximising the shareholders' wealth.

- A Risk-return trade-off
- B Debt-return trade-off
- C Capital investment analysis
- D Equity capital

Question 2

Identify which type of capital is obtained through borrowing.

- A Equity capital
- B Debt capital
- C Capital structure
- D Dividends

Question 3

Identify which of the following stakeholder groups receive dividends from their investments.

- A Customers
- B Finance managers
- C Shareholders
- D Financial department



7.2 SHORT-TERM AND LONG-TERM FINANCES

Money provides the growth engine of any business. Companies of every size rely on financing.

An important decision faced by finance managers is about the determination of the most appropriate mix of short- and long-term sources of funds. Short-term funds are categorised as current liabilities in the statement of financial position, for example, leasing, factoring, letter of credit. Long-term funds consist of long-term debt and equity. Short-term funds are generally less expensive than long-term funds, but they also expose the company to more risks. This is

because short-term funds have to be renewed, or rolled over frequently while the interest rates for short-term funds can be more vibrated than the long-term funds.

7.2.1 Short-term Finances

Many times throughout a year, an organisation may discover that its cash needs are seasonal and exceed its available funds. They are used to help organisations to increase their inventory orders, payrolls, and daily supplies. For example, during most of the year, retailers generate surplus cash which is spent in the late summer and autumn to purchase inventory for the holiday shopping season. This can create a cash shortfall until revenue from holiday sales is generated, and short-term funding is relied upon to maintain business operations. The holiday revenue will be used to repay the short-term loans. In these instances, finance managers evaluate short-term sources of funds.

Funds that are repaid within one year are considered short-term funds. Large companies typically meet their short-term financing needs through a combination of trade credit, short-term loans and commercial paper.

7.2.1.1 Trade Credit

Trade credit is a credit offered by suppliers to its customers. In these situations, goods or services are delivered to a client and the supplier agrees to accept payment at a later date. Trade credit is common in many industries such as retailing, trading and manufacturing. It is very common for retailers to purchase large orders – even worth billions of dollars – and suppliers ship the merchandise without receiving the full payment. Suppliers record trade credit transactions as a trade receivable, and the retailer records them as a trade payable. The main advantage of trade credit is its easy availability of cash because credit sales are common in different industries. The main drawback to trade credit is that the amount that a company can borrow is limited to the amount that it purchases.

Many suppliers do not charge a fee for trade credit; instead they even offer discounts for payments made in cash before the agreed-upon date. For example, assume a supplier offers trade credit under the terms net 30 – meaning that the buyer has 30 days to pay. This is similar to borrowing HK\$100 and repaying HK\$100 in 30 days. The effective interest rate is zero. Interest fees and late payment fees can be a way to increase revenues for creditors extending trade credit. In addition, some suppliers offer a discount if they are paid in cash. If a 2% discount is offered to cash buyers for payment in 10 days, and instead they choose to pay in 30 days, they are essentially borrowing HK\$98 today and repaying HK\$100 30 days from today. The annual interest rate on such a loan exceeds 24%. Companies must be mindful of the downside to trade credit.

7.2.1.2 Short-term Loans

Loans from commercial banks are a significant source of short-term financing for businesses. Often businesses whose sales fluctuate on a seasonal basis use these loans to finance inventory and trade receivables. For example, a swimming pool equipment manufacturer would have a peak sales period during the summer. During this season, it will also need to extend credit sales to customers in the form of trade receivables. To meet the summer demand, the manufacturer has to begin building inventory over the winter. To support its manufacturing operations, the company may take out a bank loan during the winter.



Throughout the summer, the inventory is sold and trade receivables are collected, providing the company with cash to repay the loan.

There are two types of short-term bank loans: lines of credit and revolving credit agreements. A line of credit specifies the maximum amount the company can borrow over a period of time, usually a year. The bank is under no obligation to actually lend the money unless a line of credit is secured. If the company has any asset that can act as pledged assets, the bank can be comparatively secured. As the asset becomes collateral, it can be seized or liquidated by the bank in the event of default.

Most lines of credit require the borrower to repay the original amount, plus interest, within one year. Under a revolving credit agreement (i.e., an agreement between the bank and customer to confirm lending up to a specific amount within a specific period of time to the company), a bank guarantee – up to a predetermined amount – will be available when the company needs them. Banks typically charge a fee in addition to interest for revolving credit agreements.

Financial managers use the cash budget to determine when during the year financing will be needed, how much is available via a line of credit, and when it can be repaid. For instance, assume the swimming pool manufacturer's cash budget indicates that it will need HK\$2.5 million from November to March. The finance manager might ask to set up a line of credit with the bank for HK\$2.8 million. The extra HK\$300,000 is a cushion for any unexpected cash outflows. Apart from the cash budget, revenue and profitability are important considerations for the bank to grant facilities to an organisation as well.

Commercial finance companies also make short-term loans to businesses. One difference is that, unlike bank loans, loans from commercial financial companies often require collateral. Collateral is a specific asset or assets, such as **inventory** or trade receivables, that are used to guarantee a loan.

Another form of short-term financing backed by trade receivables is called **factoring**. This occurs when a business sells trade receivables to a lender at a discount. This is called a factor. The cost of a factor is set by the discount rate. Factoring benefits companies because it allows them to generate cash immediately without processing and pursuing collections against the receivables.

Short-term loans can be costlier than long-term loans. The interest rate and additional lending fees determine the cost of the loan. An additional cost may be imposed in the form of a **compensating balance**. This is cash held in the borrower's current (chequing) account. The amount is typically 5% to 20% of the outstanding loan amount. This is an additional cost because the borrower cannot use the amount of the compensating balance. Say, for example, that a company borrows HK\$100,000 for one year at 5% interest. The borrower will pay HK\$5,000 in interest ($5\% \times \text{HK\$}100,000$). If the lender requires that 10% of the loan amount be kept as a compensating balance, the company has use of only HK\$90,000. However, because it still will pay HK\$5,000 in interest, the effective rate on the loan is actually 5.56% ($\text{HK\$}5,000 \text{ divided by } \text{HK\$}90,000$).

7.2.1.3 Commercial Paper

Some companies sell IOUs ('I owe yous') as a means of securing short-term financing. This is called commercial paper. It is an informal document that acknowledges a debt, which can

be owed in cash or physical goods. Because commercial paper may not be considered a legally binding contract, there may be different recourse for pursuing unpaid IOUs than debts arranged via formal legal contracts.

Commercial paper is also an unsecured debt instrument issued for financing trade receivables and inventories. Commercial paper is typically sold in multiples of HK\$100,000 to HK\$1 million and has a maturity that ranges from 1 to 270 days.

Most commercial paper is unsecured. It is an attractive source of financing because large amounts of money can be raised at rates that are typically 1% to 2% less than those charged by banks.

Despite these advantages, use of commercial paper is typically limited to large companies with strong financial positions.

7.2.2 Long-term Finances

Short-term funding poses various risks, which is why many companies choose to rely on long-term funds, especially when financing long-term assets. There are a few primary reasons why long-term finances differ from short-term finances.

- Long-term finances are more predictable because interest expenses are not typically variable. This is a contrast to short-term finances, which are subject to fluctuations in interest rates.
- Long-term finances alleviate the problems of availability, which can be an issue in short-term finances. When credit markets are tight, even financially strong companies can face difficulty borrowing money. Having long-term funding in place reduces this risk.
- Larger and longer-term projects may be best suited to long-term funding sources. These types of projects are likely to require extensive planning to address financing, execution and all other aspects. Examples of such projects are building construction, research and development of new products, etc. Immediate needs for cash or inventories are probably best suited to short-term funding.

Companies often seek to secure long-term funding for that very reason, to minimise risks associated with fluctuations in interest rates. The interest that companies have to pay on long-term funds may also fluctuate but the fluctuations are both less frequent and less extreme.

Organisations acquire long-term funds from three sources. The first is through loans from commercial banks, life insurance companies, pension funds and other financial institutions. The second is bonds issued to investors. The third is equity by selling stock in the company or reinvesting profits, both sources of equity financing.

7.2.2.1 Public Sale of Stocks and Bonds

Public sales of securities such as stocks and bonds are a major source of funds for corporations. Both will bring cash inflows to the corporations, one by the cost of diluting the power of existing shareholders (for stocks), another by the cost of paying interest to the purchasers at a later date (for bonds).

Stockholders and bond purchasers may choose to sell their shares or bond issues in secondary markets, which offers them flexibility. With low interest rates and the possibility of an increase, there will not be a significant return from bond holdings. However, bonds

do remain a key diversification strategy (relative to stocks) for some investors. Although returns are expected to be fairly modest, bonds do serve a key role in generating income and preserving wealth. Continued concerns about global growth have also subdued bond yields.

Most companies sell securities publicly through investment bankers via a process called **underwriting**. Investment bankers purchase the securities from the issuer and then resell them to investors. The issuer pays a fee to the investment banker, called an **underwriting discount**.

7.2.2.2 Private Placements

Some new stock or bond issues are sold only to a select group of buyers, typically investors like pension funds and insurance companies, which are considered institutional investors. Sales like these are referred to as a **private placement**. Most private placements involve corporate debt securities.

Such private sales of stock are attractive because they are less expensive for the issuing company and there is not as much government regulation as applies to public sales. Institutional investors find private placements attractive because of their higher interest rates compared with publicly issued bonds. Private placements can also be customised to address specific needs of the issuing company and the investors. One disadvantage of private placements is that they cannot be traded in secondary markets, so purchasers lose flexibility, unlike public stock and bond issues.

7.2.2.3 Venture Capitalists

Venture capitalists are an important source of long-term financing, especially to new companies or start-ups who wish to expand but do not have qualifications to access the securities markets at start-ups stage. **Venture capitalists** raise money from wealthy individuals and institutional investors and invest these funds in promising companies. Venture capitalists also provide management consulting advice as well as funds. In exchange for their investment, venture capitalists become part owners of the business. If the business succeeds, venture capitalists can earn substantial profits.

7.2.2.4 Private Equity Funds

A **private equity fund** is an investment company that raises money from wealthy individuals and institutional investors and use it to make large investments in both public and privately held companies. Private equity funds invest in all types of businesses, including mature ones. This is one key difference between private equity and venture capital, which focuses on start-ups and small businesses.

A variety of different funds, including money market funds and exchange-traded funds, have become increasingly important for socially responsible investors. Many of these funds tailor their investment strategies to meet a particular social goal, which makes them an ideal vehicle for investors with shared values and principles.

Often private equity funds invest in transactions to take public companies' private or conduct leveraged buyouts (LBOs). The reason is that LBOs provide financing support that makes a purchase through debt to finance the transaction. The returns generated on the purchase more than outweigh the interest paid on the debt. Finally, public companies can revert to private status.

Sovereign wealth funds are a particular type of private equity fund. Unlike private equity funds, which are owned by individual and institutional investors, sovereign wealth funds are owned by governments and invest in a variety of assets, ranging from financial assets to real estate. The risk-return trade-off is at the core of sovereign wealth funds' decisions, but they also consider the political and social impacts of their investments.

7.2.2.5 Hedge Funds

A **hedge fund** is a private investment company open only to qualified large investors. The world's largest hedge fund is managed by Ray Dalio, who made more money for investors in a recent year than any other hedge fund manager. With assets under management of US\$82 billion, Dalio's firm, Bridgewater Pure Alpha, gained US\$3.3 billion in a recent year.

Illustrative Example 2

Candy Lim is now working with her newly hired finance manager and discussing how to make use of short-term or long-term funds.

For example, her company has successfully applied for trade credit worth HK\$100,000 that can be borrowed from the bank. It can be used for short-term purposes like setting up a booth in a trade fair to promoting her services while setting up a few marketing and advertising campaigns on the Internet.

After checking the bank agreement, her finance manager reminds Ms. Lim that the loan is short term and has to be returned in 12 months but it is revolving. Unlike traditional loans, she does not have to use the entire amount offered at once. She can use the funds as she needs them up to the amount offered.

In general, a revolving line of credit is an important tool for SME owners to keep their business's operations going smoothly with the ups and downs of sales, seasonal changes and occasional cash flow shortages. In view of this, getting this type of short-term loan can also enable Ms. Lim's business to pursue opportunities faster, even if she does not have enough cash on hand available to invest. It can be an important way to invest in her business's growth.

Apply and Analyse 2

Financing is an important factor to the success of every business. Companies often need financing to pay for equipment and other important assets. Financing, as discussed earlier, can be either over a long term or short term period.

There are different types of short-term financing including trade credit, short-term loans and commercial paper. Long-term financing includes stocks and bonds, venture capital, private placements and equity funds, amongst others.

Explain the difference between long-term and short-term finances by citing a few examples.

Apply and Analyse 2 (continued)

Analysis

The most important difference when choosing various types of financing is based on time periods. Short-term financing is normally for less than a year and long-term could range from a few years to over a decade.

A second factor to consider is the cost of financing. Financing costs, such as interest rates, are higher in cases of short-term financing and comparatively lower for long-term financing, barring abnormal economic conditions. Like all things business loan-related, the cost of any given loan is not formulaic, because every loan type and underwriting process is different.

A third factor is the purpose of loan that the company is considering. Short-term financing is normally used to support the working capital gap of a business whereas the long term is required to finance big projects or invest in the long run.

Examples of short-term financing include:

- Working capital loans
- Revolving loans
- Merchant cash advances
- Small ticket equipment leasing

Examples of long-term financing include:

- Big-ticket equipment loan. This is a type of long-term loan for big-ticket items such as equipment. Normally, big-ticket items imply high value or expensive products like furniture, appliances, equipment, cars and even houses. In view of this, the loan financing of these items involves terms from at least 12 months to a few years.
- Commercial property mortgage loan.
- Common stock issued publicly through initial public offerings (IPOs).
- Equity from angel investors.

Key Learning Point

An important decision facing finance managers is to determine the appropriate mix of short- and long-term funds. Short-term funds consist of current liabilities, and long-term funds consist of long-term debt and equity.

► Knowledge Check Questions

Question 4

Identify the payment date that a customer is granted for trade credit by suppliers once receiving the goods or services.

- A At an early date
- B On a specific date
- C At a later date
- D Each day

Question 5

Apart from lines of credit, identify another short-term bank loan.

- A Compensating balances
- B Venture capital
- C Hedge funds
- D Revolving credit agreements

Question 6

Identify which type of funds private investment companies offer only to qualified large investors.

- A Venture capitalists
- B Private placements
- C Private equity funds
- D Hedge funds

7.3 FUNDING PROJECTS

Finance managers develop their organisation's **financial plan**, a document that specifies the funds needed by a company for a given period of time, the timing of inflows and outflows, and the most appropriate sources and uses of funds. **Operating plans** are a type of short-term financial plan that focuses on projections no more than a year or two in the future. A **strategic plan** is a type of financial plan that focuses on projections 5 to 10 years in the future.

No matter the time horizon, financial plans are based on forecasts of production costs, purchase requirements, plant and equipment expenditures, and expected sales activities for the period covered. Finance managers use forecasts to determine the specific amounts and timing of expenditures and receipts. Financial plans are often dictated by three topics:

1. The required funds for the planning period.
2. The timing of additional funds.
3. The source of funds.

7.3.1 Internal Sources of Finances

Forecasting the product or service-line volume and mix of sales or revenue over a future time period is important when planning internal sources of finance. Internal sources of finance are sources of business that are generated within the business, from the existing assets or activities including sales of stock, sales of fixed assets, retained earnings and debt collection. The cost of capital from internal sources is quite low and does not require any collateral.

The projection involved in forecasting sales or revenue is the most important information in any financial plan. Without an accurate sales forecast, it is difficult to accurately estimate other variables, such as production costs and purchasing needs, which vary with the levels of sales volume and mix.

The best method of forecasting sales depends on the nature of the business. For instance, a CFO of a grocery chain might begin with the current sales-per-store figure. Using that number in conjunction with same-store growth, planned store openings or closings, online sales channels and other significant factors, it is possible to forecast the next period's sales. Same-store sales is a calculation that determines the difference in revenue of a retailer's existing stores over a certain period of time, usually quarterly, compared to the identical period of time in a prior year.

The cash inflows and outflows of a business are similar to those of a household. The members of a household depend on weekly or monthly income, mainly in the form of a pay cheque, for funds, but their expenditures vary greatly from one pay period to the next. The financial plan should indicate when the flows of funds entering and leaving the organisation will occur and in what amounts.

7.3.2 External Sources of Finances

Apart from a business choosing to use internal funds, such as savings or the sale of assets, sources of finance can be arranged from outside the company. If it can manage its financial resources properly, external sources of financing can be crucial for business development and expansion. Using external sources of finance can be beneficial to grow faster and leverage returns.

Borrowing allows a company to raise necessary cash and benefit from **leverage**, it may increase the rate of return on funds invested by borrowing funds. The key to managing leverage is to maintain the additional earnings to exceed a company's interest payments, which increases the leverage on the rate of return on shareholders' investment. The opposite is also true. If the additional earnings fall below interest payments, shareholders lose money on their original investments.

If a company needs to generate more finance and cannot look for it internally, it may seek external sources of finance. External sources are more difficult to raise than internal sources. Examples of external sources of finance are bank loans, bank overdrafts, hiring and leasing, government grants, and others.

Leverage has the potential to increase returns but it also increases risk, which is one of the disadvantages of debt capital. Borrowing money can also decrease future flexibility and options should management seek additional financing. For example, if a company raises equity capital one year and needs to raise funds the next year, the company will be able to choose between

raising debt or equity capital. However, if a company raises debt capital one year and needs to raise funds the next year, equity capital is likely to be the only option.

Equity capital has drawbacks as well. As owners of the company, shareholders can typically vote for the board of directors, executive compensation and on other key company decisions. This can reduce management's role in such decisions. Additionally, when new equity is issued, the existing shares have diluted voting power. It is not possible to know how new shareholders will vote to impact company decisions.

Equity capital is also more expensive than debt capital. Shareholders typically demand higher rates of return than lenders. This is because a lenders' claims to a company's assets pre-empts the claims of shareholders. Additionally, dividend payments are not tax deductible, unlike interest payments on debt.

Illustrative Example 3

Before using funding, Candy Lim's finance manager, Luke Tam, sets out to prepare a financial plan, especially for how the company uses funds in certain circumstances.

Before doing the plan, Mr. Tam consults Ms. Lim about the overall strategy as well as company directions and goals. He thinks of the operating plan as an outline of the capital and expense requirements for the company.

He should, at least, include the items listed of financial situations or forecasts issues in the report, such as:

- cash flow projections by month and by year;
- pro forma statement of financial position by year;
- business financial ratios by year (calculate ratios of, for example, liquidity, profitability, efficiency and solvency);
- pro forma statement of profit or loss and other comprehensive income by year;
- a capital expenditures plan if the business has significant capital expenditures on its near-term horizon.

Apply and Analyse 3

Financing decisions are another set of crucial decisions that finance managers are expected to make. Part of making these decisions is to determine the financing mix. These decisions are concerned with the borrowing and allocation of funds required for investment.

Financing decisions involve internal and external sources of financing, choosing between using a company's own money and/or borrowing from outside.

Summarise how SMEs apply and make the appropriate choices about sources of finance.

Apply and Analyse 3 (continued)

Analysis

All businesses need money. The choice of sourcing financing either internally or externally is an important one. The choices are based on these factors:

- Time period – how long will the finances be needed for?
- Certain amount – how much does the business spend?
- Purpose – what is the final use of the financing?
- Business ownership and size.

For internal sources of funding, companies need cash or existing capital to pay wages or other overhead amounts such as electricity and stationary. They can use the amounts raised from within the companies themselves. Here are three examples of internal sources of financing:

Owner capital	• Money comes from the owner's own savings. • Maybe in the form of start-up or additional capital for the business.
Profits	• Money earned from ordinary course of business.
Sale of fixed assets	• Money comes from selling off fixed assets.

External sources of financing rely on money from sources outside the company, such as investors that may invest in fixed assets or long-term projects for their companies. Here are three examples:

Loans from banks	• Can be used to support the period between money paid out for stock purchase and received from sale. • The business is allowed to be overdrawn on its account.
Hire purchases	• Allow the business to obtain assets without the need to pay a large lump sum up front. • Involve paying an initial deposit and regular payments for a time period.
Trade credit	• Normally the trade credit period is 30 days, it means buy now and pay later.

Key Learning Point

Raising needed cash by borrowing allows a company to benefit from the principle of **leverage**; it may increase the rate of return on funds invested by borrowing funds.

► Knowledge Check Questions

Question 7

State which of the following is not the major factor of the sources of financing considering the type and amount of money.

- A The type or size of business
- B The type of manpower
- C The stage of business development
- D The economy status

Question 8

Identify under which of the following situations a company would raise fund by debt.

- A Earnings generated by the fund would be larger than its interest payments.
- B Earnings generated by the fund would be lower than its interest payments.
- C Earnings generated by the fund would be the same as its interest payments.
- D All of the above.

➤ 7.4 FINANCIAL DECISIONS AND STAKEHOLDERS IN FINANCIAL CONSIDERATIONS

The natural progression of a business begins with financing. Subsequent steps, including investing, support business operations. All organisations, profit oriented and not-for-profit, large and small, perform these three basic activities, and accounting plays a key role in each one:

1. Financing: Secure the funds necessary to start a business and begin operations. Early financing typically comes from investors.
2. Investing: Provide the assets necessary to run the business and maintain operations.
3. Operating: Focus on selling goods and services, with expenses being the primary concern of financial management.

7.4.1 Financial Decisions

Special measures of financial performance help managers use information from a statement of financial position and statement of profit or loss and other comprehensive income to make financial decisions. They include financial ratios that indicate liquidity – the ability to generate cash to pay bills; leverage – the ability to earn more in returns than the cost of debt; asset management – the ability to use resources efficiently and operate at minimum cost; and profitability – the ability to earn revenues greater than costs.

Other factors to consider include the following:

- Macroeconomic conditions: Includes market conditions and expectations concerning economic factors such as interest rates, tax rates and inflation/deflation rates.

Increasing interest rates, tax rates and inflation, or expectation thereof, will result in a higher cost of capital.

- Past performance of the firm: Reflects management's operating and financial decisions and the riskiness associated with those decisions. The greater the inferred risk inherent in past performance, the higher the risk premium required and, therefore, the cost of capital.
- Amount of financing: The larger the absolute amount of financing sought, the higher the cost of capital.
- Relative level of debt financing: At some level of debt financing, increasing financing sought through debt will increase the cost of marginal debt and result in increasing the cost of capital.
- Debt maturity: The longer the maturity of debt, the higher the cost of capital. The longer the debt, the greater the risk of interest rate changes, thus, lenders charge a maturity premium for that risk.
- Debt security: The greater the value of collateral relative to the amount of debt, the lower the interest rate, or cost of capital.

7.4.1.1 Debt versus Equity

When entrepreneurs use **debt financing**, they borrow money that they must repay. Loans from banks, finance companies, credit card companies, and family or friends are all sources of debt financing. Although some entrepreneurs charge business expenses to personal credit cards because they are relatively easy to obtain, high interest rates make this source of funding expensive.

Debt involves borrowing money to be repaid, plus interest, at a later date. Equity involves raising money by selling shares in a company. There are some advantages and disadvantages to both.

The key advantages of debt are that it does not dilute the owner's ownership interest in the company since a bank does not have a claim to equity in the business; banks are only entitled to repayment of the principal plus interest and have no direct claim on future profits of the business. However, debt has some disadvantages as well, including that it has to be repaid at a certain period and may have high interest costs, which increases the risk for the company.

Applying for a bank loan requires careful preparation. Bank loan officers want to see a business plan and will evaluate the entrepreneur's and the firm's credit history. Banks are more willing to lend to entrepreneurs who have a successful track record, show a profit on rising revenues and plan to use funds to expand operations.

To secure **equity financing**, entrepreneurs exchange a share of ownership in their company for money supplied by one or more investors. Entrepreneurs invest their own money as well as that of outside investors, who get an ownership stake in return. In this situation, investors are not repaid like lenders. Instead, their returns come from the business's success. Sources of early equity financing include family and friends, business partners, venture capital firms, and private investors.

Entrepreneurial partners may work best when they complement one another. For example, if one person has a good idea and the skills to make it a reality, but lacks funding,

finding a partner with funds to invest may be a good match. Investors may also have business experience, which, as invested owners, they will be eager to share because it could have a direct impact on their own investment return. Despite these benefits, equity financing also has disadvantages. One is that investment partners may disagree on the direction of the business. In order to keep the business running if they decide to part ways, one partner must buy the other out. This can be a difficult financial hurdle to overcome.

The **statement of owners', or shareholders', equity** illustrates the components of equity changes over the course of the fiscal year. It uses information from both the statement of financial position and statement of other comprehensive income.

The statement begins with the amount of equity shown on the statement of financial position at the end of the prior year. Net income is added, and cash dividends paid to owners are subtracted (both are found on the statement of profit or loss and other comprehensive income for the current year). Additional contributions of equity capital (e.g., the sale of new shares) are added to equity. Alternatively, if owners withdraw capital (e.g., the repurchase of existing shares) equity declines. Taken together, these transactions equal the year-over-year change in owners' equity. The new amount of owners' equity is then reported on the statement of financial position for the current year.

7.4.1.2 The Concept of Leverage

In a business context, leverage is the use of borrowing, cost structure, or other arrangements to increase the potential benefit derived from an undertaking, operation or position.

Operating leverage measures the degree to which a firm incurs fixed costs in its operations. Operating leverage is a financial efficiency ratio used to measure what percentage of total costs are made up of fixed costs and variable costs in an effort to calculate how well a company uses its fixed costs to generate profits.

If fixed costs are high, a significant decrease in sales can dramatically affect operating results. Therefore, all other things being equal, the greater a firm's fixed cost, the greater its business risk.

If sales increase for a firm with a high degree of operating leverage, there will be a larger increase in return on equity.

The following formula is used to compute the degree of operating leverage (DOL):

$$\text{DOL} = \% \text{ change in operating income} / \% \text{ change in unit volume}$$

Notice that the numerator uses operating income, which does not consider financing expense.

7.4.1.3 Capital Structure and Financial Leverage

Generally, debt is a less costly form of financing than equity; therefore, a firm would like to use as much debt financing as is reasonable so as to produce higher returns to shareholders.

Financial leverage measures the extent to which a firm uses debt financing.

The following formula is used to compute the degree of financial leverage (DFL):

$$\text{DFL} = \% \text{ change in EPS} / \% \text{ change in EBIT}$$

where: EPS = Earnings per share; EBIT = Earnings before interest and taxes.

7.4.1.4 Financial Leverage and Risk

The mix of capital financing affects not only the cost of capital but also the business risk of the firm. Financial leverage is a measure of risk as the level of debt financing increases.

As more and more debt is issued, the risk associated with it increases. This increases the cost (interest rate) on additional debt to compensate lenders for the increased risk. It also increases the risk to shareholders that the interest payments and/or principal repayment cannot be met.

7.4.1.5 Capital Structure and Taxes

A company can deduct interest payments on debt, reducing its taxable income and tax bill. Dividends paid to shareholders, however, are not tax deductible.

Other things being equal, the higher the tax rate of a firm, the greater the benefit of debt financing. Because the cost of debt – that is, interest – is tax deductible, it generates a tax benefit. Therefore, the higher the tax rate faced by a firm, the greater the amount of tax saved from the use of debt financing compared to using equity financing.

7.4.1.6 Capital Structure and Financial Distress

Cash flow sustains every organisation. Research into business failures reveals that owners often cite low cash flow as a reason for their company's closure. When the statement of cash flows is prepared, it should be thoroughly analysed by various people and departments. Such rigorous examination can alert companies to dangers related to inadequate cash flows early. This gives profitable companies a chance to secure funding for short-term operations before bankruptcy is the only option.

The statement of cash flows can also provide critical information to investors and other stakeholders. For instance, assume that a company's statement of profit or loss and other comprehensive income reports a net loss for the year. If the corresponding statement of cash flows shows that the company generates net cash outflow from the operating activities and it can only maintain its cash balance by cash inflow from investing and financing activities, then it may be a sign that the company is in danger.

7.4.1.7 The Cost of Capital

As mentioned, basic long-term debt financing is less costly than common stock financing. (This is logical, if for no other reason than that the tax shield resulting from debt expense – interest – is tax deductible, while the cost of common stock – dividends – is not.)

Therefore, firms will be motivated to use increasing amounts of long-term debt for financing – this is the concept of financial leverage. However, at some level of relative debt the increased risk of default associated with the debt will result in debt investors demanding such a high return (default premium) that the cost of debt may be greater than the cost of common stock.

7.4.2 Stakeholders in Financial Considerations

An organisation's stakeholders can have different and conflicting interests that make it hard for all of them to be satisfied all the time. When stakeholders' interests clash, an organisation's leadership can face difficult challenges and controversial decisions.

One way to deal with conflicting stakeholder interests is to assess the power of the stakeholder, the legitimacy of the demand, and the urgency of the issue. **Stakeholder power** refers to the capacity of the stakeholder to positively or negatively affect the operations of the organisation. **Demand legitimacy** is the level of validity a stakeholder's demand has. **Issue urgency** deals with the extent to which the issues require immediate attention or action.

7.4.2.1 Financial Institutions

Financial institutions are the most important entities in the financial system. They serve as intermediaries between lenders, savers, investors and borrowers. Financial institutions have been classified into depository institutions – institutions which accept deposits that customers can withdraw on demand – and non-depository financial institutions.

There are various types of financial institutions. Deposit-taking institutions include commercial banks, saving institutions and credit unions. Non-deposit-taking institutions include insurance companies, stock brokerages, mutual funds, finance companies, asset management firms and investment banks.

Financial institutions greatly increase the efficiency and effectiveness of the transfer of funds from savers to users. For many, traditional financial institutions provide safety, convenience, security, and the opportunity to obtain a loan or financing for a business, new car or home. Prospective borrowers identify and negotiate terms with each saver individually.

Commercial banks are the largest and probably most important type of financial institution. They offer a wide range of services, including current (chequing) and savings deposit accounts, consumer loans, credit cards, home mortgage loans, business loans and trust services. They may also sell securities, insurance and other financial products.

Non-depository financial institutions invest the funds they accept from customers. Generally, these institutions do not offer current (chequing) accounts so they are not commonly relied upon by general consumers and small businesses for day-to-day banking needs. Three examples of non-depository financial institutions are insurance companies, pension funds and finance companies.

7.4.2.2 Corporations

For corporations, business valuation is commonly used in conjunction with business combinations. A business combination occurs when an existing or newly formed business entity either:

- acquires a group of net assets that constitute a business (e.g., a division or product line);
- acquires equity interest in another entity and obtains control of that entity.

Business combinations may take one of three legal (or statutory) forms:

1. **Merger:** One pre-existing entity acquires either a group of assets that constitute a business or controlling equity interest of another pre-existing entity and 'collapses' the acquired assets or entity into the acquiring entity. In this form of combination, the acquired assets or entity cease to exist separate from the acquiring entity. Only the acquiring entity remains; the assets and liabilities of the acquired entity have been merged into the acquiring entity.

2. **Consolidation:** A new entity is formed to consolidate (combine) the net assets or the equity interest of two (or more) pre-existing entities, which cease to exist. In this form of combination, only the new entity exists after the combination. The assets and liabilities of the pre-existing entities are combined to form the new entity. The pre-existing entities cease to exist as legal entities; only the new entity remains as a legal entity.
3. **Acquisition:** One pre-existing entity acquires controlling equity interest of another pre-existing entity and both entities continue to exist and operate as separate legal entities. In this form of combination, one entity acquires more than 50% of the voting stock of another entity but does not 'collapse' that entity; it continues to exist. The acquiring entity becomes the 'parent' of the acquired 'subsidiary'. In virtually all such cases, consolidated financial statements will be required. Many present-day corporations operate as a subsidiary of a higher-level parent corporation.

Because most business combinations involve public companies, existing market value provides a 'starting point' for valuing a business combination. Those 'starting point' or base valuations are likely to need to be adjusted to recognise the financial effects of the reason (or reasons) for the business combination.

Ultimately, business combinations may have an impact on the financial situation of a corporation. These combinations may reduce competition, improve economies of scale and diversification, which in turn can have a direct impact on the cashflow of the corporation and help the company make decisions on increasing or decreasing their short-term or long-term loans.

The value associated with the reason or reasons for a business combination provides a basis for adjusting the market value of the acquired entity. Thus, they enter into determining the total value to be assigned to the combination.

For accounting purposes, the total value of the combination (the purchase price) must be allocated to record all identifiable assets acquired (including any identifiable intangible assets) and liabilities assumed at fair value as of the date of the combination.

7.4.2.3 Investors

A small business may start with cash from a personal savings account or a loan from a family member. But small business owners soon begin to look for greater sums of money in order to continue operating and eventually grow. They may want to continue with assistance from private investors.

Some businesses search for **venture capital**, which is money invested in the small business by another business firm or group of individuals in exchange for an ownership share – this can give the small business needed capital to expand. Venture capitalists are likely to focus on several technology trends in the near future. These include digital health, consumer, and enterprise digital technologies, cloud computing, cyber-security and life science investments. These investors are strict in their requirements for a solid business plan and expect small business owners to run lean operations.

While businesses are expected to make profits, which benefit their shareholders, they must do so within legal regulations and ethical standards. Failure to do so can be detrimental to consumers, investors and the organisation itself.

7.4.2.4 Activists

An activist investor is an individual or group that has raised large sums of money and typically purchases large numbers of a company's shares of stock to obtain greater control over the company's business. Greater control comes with getting a seat or multiple seats on a company's board of directors. This strategy gives activists the greatest opportunity to influence business decisions and possibly increase the company's stock price.

The long-term impact of activist investors continues to be questioned. One side of the debate views the role of activists as one that seemingly holds corporate leaders accountable for their decision making and spending. The other side views their tactics and power as aggressive and impatient – with too much focus on short-term results, stock prices and financial gains.

Illustrative Example 4

Candy Lim is the owner of her business. She wants help from her finance manager and outside consultants to make timely financial decisions.

The existing market is competitive and her trading business has to expand. To this end, she needs some external funding from investors. Such funding could strengthen her company's finances.

Following a suggestion from her finance team, she invites a group of venture capital investors to support the development of a new project. This project would allow her to run her business online, supported by recent updates in technology.

However, Ms. Lim does not know enough about the various financial considerations that stakeholders might have. She is focused on changing the financing options and preferences as her businesses moves through different stages. She would like to know how getting more venture capital investment would lead to changes in the ownership structure. These changes would have direct consequences on her original personal objectives for owning a business.

There are a series of underlying factors such as personal perspectives, life events and future outlook that shape the goals and perceptions of an SME owner. Moreover, these factors also influence her financial decisions, actions and future funding options. For example, leverage is one of the basic premises of venture capital. It means adding money and other resources to speed up growth. Finally, an SME that is successfully funded can be expected to show significant growth faster.

Apply and Analyse 4

As discussed earlier, there are many financial reasons behind business combinations. One of the big reasons is to reduce competition.

Not infrequently, most business combinations stem from a desire to eliminate a competitor or for the sake of acquiring a larger market share. Determine options for the financial considerations and business impact that can be achieved through the elimination of competition.

Apply and Analyse 4 (continued)

Analysis

The companies can utilise debt financing to borrow money from banks or finance companies. Through the success of financial leverage, the companies increase free cash to enact their plans of combinations to reduce the competition.

Additionally, they can link up with some more partners who have funds. The businesses can also be searched for venture capital to attract more investors. More investment can be used for strengthening the cash flows and assets of the companies. After the settlement and planning, the three forms of combinations – ‘merger’, ‘consolidation’, and ‘acquisition’ – can be adopted. Finally, these combinations can reduce competition in the market.

Nowadays, many businesses produce a specific set of goods. The existing competition amongst market players may result in price competition. The impact is negative and may hurt the financial position of a company. This type of competition often increases the risks for companies and leads to lower profits.

To survive, companies may look for ways to seek business combinations with their competitors. If they do not survive in the market, their business may shut down or downsize from any number of myriad factors such as an overextension of plant production, overestimation of sales turnover or unrealistic pricing strategies. By coming together and uniting or combining their operations, companies may better survive the competition.

Key Learning Point

One of the most important components of the financial system is **financial institutions**. They are an intermediary between savers and borrowers, collecting funds from savers and then lending the funds to individuals, businesses and governments.

► Knowledge Check Questions

Question 9

Identify which of the following factors is represented as a major cause of business failure by many former owners of failed companies.

- A Technology
- B Cash flow
- C Human resources
- D Sales turnover

► Knowledge Check Questions (*continued*)

Question 10

Explain what the term 'stakeholder power' refers to.

- A** The capacity of the stakeholder to positively affect the operations of the organisation.
- B** The capacity of the stakeholder to negatively affect the operations of the organisation.
- C** The capacity of the stakeholder to positively or negatively affect the operations of the organisation.
- D** The capacity of the stakeholder to positively and negatively affect the operations of the organisation.

Question 11

Identify the term that describes the type of capital invested in a small business by another business firm or group of individuals in exchange for an ownership share.

- A** Venture capital
- B** Natural capital
- C** Human capital
- D** Debt capital

7.5 FINANCIAL MANAGEMENT AND ACCOUNTING

An accountant employed by a business other than a public accounting firm is called a **management accountant**. The person in this role gathers and records financial transactions and prepares financial statements used by the company's managers in making decisions.

Management accountants provide timely, relevant, accurate, and concise information that executives, managers and employee teams can use to operate their companies more effectively, efficiently and more profitably than they could without this input. A management accountant plays a major role in both preparing and interpreting financial statements. The work of management accounting is relevant to questions such as:

- What direction is the company headed in? What opportunities are anticipated?
- What are sources of undesirable risk?
- What technology can provide detailed and timely information to all levels of management?
- What are the profit margins of products, service lines, channels and customers?

Management accountants frequently specialise in different aspects of accounting. A cost accountant, for example, determines the cost of goods and services and helps set their prices. An internal auditor examines the company's financial practices to ensure that its records include accurate data and that its operations comply with internal controls and policies as

well as with laws and regulations. A tax accountant works to minimise a company's tax bill and assumes responsibility for its tax returns.

7.5.1 Reporting

Financial statements provide managers with essential information needed to evaluate the liquidity position of an organisation – its ability to meet current obligations and needs by converting assets into cash, the company's profitability, and its overall financial health. The statement of financial position, the statement of profit or loss and other comprehensive income, statement of changes in equity, and statement of cash flows provide a foundation on which managers can base these statements to make their decisions. Managers can interpret the information presented in financial reports and use it in decisions being made with both internal and external entities.

Of the four financial statements, the statement of financial position and the statement of changes in equity are considered to be permanent statements, i.e. the amounts are carried over from year to year. The statement of profit or loss and other comprehensive income, and the statement of cash flows are considered temporary because they are closed out at the end of each fiscal year.

Reporting requirements call for companies to provide financial statements on a quarterly and annual basis. These required reporting documents must be audited by external auditors to ensure they were prepared correctly and truthfully. These financial statements are public information available to anyone.

Sometimes companies choose their fiscal year in order to match income and expenses for the reportable tax year. For example, expenses would not match up with income if a seasonal business incurs the majority of its expenses in October–November and income in March–April. A traditional January through December calendar year would split these into two different years. For example, a company's fiscal year could consist of the 12 months between 1 June and 31 May.

7.5.2 Controls

In the past, accounting transactions were recorded manually in journals and ledgers. Today, computers have dramatically changed the process, increasing speed, accuracy and ease. For instance, point-of-sale terminals in retail stores perform a number of functions each time they record sales. These terminals not only access prices from computer system memory and maintain constant inventory counts of individual items in stock but also automatically perform accounting data entry functions.

Accounting controls are the methods and procedures that companies use to ensure the accuracy and validity of financial statements. Accounting controls also ensure that employees perform their duties honestly and ethically. The main purpose of these controls is to help the firm comply with their own policies and rules. Accounting controls include cash controls, the segregation of duties, documentation, audits and information security.

The procedures for accounting controls are as follows:

- Segregation of duties
- Access controls

- Physical audits
- Standardised documentation
- Trial balance
- Periodic reconciliation
- Approval authority

Accounting software is used widely today in both large and small businesses. These programs house transaction inputs so they can be immediately drawn on at the click of a button. The data can populate financial statements, ratios and other useful information formats instantly. Improvements in technology, access to data, and accounting software continue to make the process even faster and easier.

In addition, accounting firms have begun to use mobile computing to better serve their clients. Smart phones provide connections between employees and their company's network, which means they can access current, vital information from anywhere. Accounting firms may also provide mobile computing to clients with branded applications allowing clients to access their financial information and services via their phones. As they increase in their Internet capabilities, tablet computers and even smart phones have become important business tools for accounting firms.

Small and large businesses have different needs when it comes to accounting software, and solutions have been developed to fulfil specific user needs. Some examples of accounting software designed for entrepreneurs and small businesses, and designed to run on personal computers, include QuickBooks, and Sage50 (formerly Peachtree). Software designed for larger companies, often requiring more sophisticated computer systems, include products from NetSuite, Oracle and SAP.

Global businesses rely on accounting programs that can work with data across a range of countries, accounting for differences in currency, regulations, tax and reporting requirements.

Designed for small and medium-size businesses, several cloud-based accounting applications are available. Amongst other benefits, these products allow users to access their complete accounting systems from anywhere using a standard web browser.

7.5.3 Statement of Profit or Loss and Other Comprehensive Income

Managing costs is a critical business activity, however, it can be eclipsed by efforts to increase revenues. It is important to remember that revenues are only part of what determines profits. Costs are equally important. These variables are recorded in the **statement of profit or loss and other comprehensive income**.

The statement indicates the flow of resources that reveals the performance of the organisation over a specific time period.

In addition to reporting a company's profit or loss results, the statement helps decision makers focus on overall revenues and the costs involved in generating these revenues. Managers of a not-for-profit organisation use this statement to determine whether its revenues from contributions, grants and investments will cover its operating costs. Finally, the statement

of profit or loss and other comprehensive income provides much of the basic data needed to calculate the financial ratios managers use in planning and controlling activities.

7.5.4 Statement of Financial Position

A company's **statement of financial position** shows its financial position at a specific point in time. It is similar to a photograph of the company's assets together with its liabilities and equity at a specific moment in time.

The statement of financial position must be prepared at regular intervals, because a company's managers and other internal parties often request this information daily, weekly, or at least monthly. However, external users, such as stockholders or industry analysts, may use this information less frequently, perhaps every quarter or once a year.

Total assets must always equal the sum of liabilities and equity. In other words, the statement of financial position must be always balanced.

The **accounting equation** reflects the financial position of a company at any point in time:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

Because financing comes from either creditors or owners, the right side of the accounting equation also represents the business's financial structure.

7.5.5 Assets

Long-lived assets, for example, land and buildings, machineries and furniture and fittings are expected to produce economic benefits for more than one year. These investments often involve substantial amounts of money. A downturn in capital spending typically suggests a sentiment of economic uncertainty or potential weakness.

The process by which decisions are made regarding investments in long-lived assets is called capital investment analysis. Finance managers face a difficult task: estimating the long-term costs and benefits of a major investment. Only those investments that offer an acceptable return – measured by the difference between benefits and costs – should be undertaken.

Alternatively, short-term, or current, assets consist of cash and assets that can reasonably be expected to be converted into cash within a year. The major current assets are cash, marketable securities, trade receivables and inventory.

The major purpose of **cash** is to pay day-to-day expenses, much in the same way individuals maintain balances in current (chequing) accounts to pay bills or buy food and clothing. In addition, most organisations strive to maintain a minimum cash balance in order to have funds available in the event of unexpected expenses.

As noted, because cash earns little, if any, return, most companies invest excess cash in so-called marketable securities – low-risk securities that either have short maturities or can be easily sold in secondary markets. Money market instruments are popular choices for companies with surplus cash. The cash budget is one tool for managing cash and marketable securities because it shows expected cash inflows and outflows for a period of time. The cash budget indicates months when the company will have surplus cash and can invest in marketable securities and months when it will need additional cash.

The ability to grow organically through research and development activities, make acquisitions and pay dividends are a few of the advantages for companies that hold large amounts of cash.

Trade receivables are yet-to-be-collected credit sales and can represent a significant percentage of a company's assets. The finance manager's job is to collect the funds owed to the company as quickly as possible while still offering sufficient credit to customers to generate increased sales. A more conservative credit policy is likely to result in lower sales and lower corresponding collection expenses, lower levels of bad debt and lower investment in trade receivables.

Management of trade receivables is composed of two functions: determining an overall credit policy and deciding which customers will be offered credit. Formulating a credit policy involves deciding whether the company will offer credit and, if so, on what terms. Industry practices and competitors' credit policies will influence a business's decisions in this regard. In some organisations, this manifests as a discount to customers who pay in cash. In other organisations, it includes the option of arranging a payment plan, typically for a fee or set interest rate. The other aspect of a credit policy is deciding how customers can qualify for credit. Managers must consider the importance, financial health, and repayment history of the customer.

One simple tool for assessing how well receivables are being managed is calculating trade receivables turnover over successive time periods. When the average credit customer is slower to repay, receivables turnover slows. Financial managers can follow this metric to understand more about an existing credit policy.

For many companies, such as retailers, inventory represents the largest single asset. Even for non-retailers, inventory is an important asset. However, some types of companies, such as electric utilities and transportation companies, have no inventory. For the majority of companies, which do carry inventory, proper management of it is vital.

Inventory control is more than just managing items going in and out of a company. It involves managing working capital (current assets minus current liabilities) and making sure that too much cash is not tied up in operations. The cost of inventory includes more than just the acquisition cost. It also includes the cost of ordering, storing, insuring, financing and the impact of stockouts (sales lost when inventory cannot meet demand). Finance managers try to minimise the cost of inventory, while production, marketing and logistics work together to determine sufficient inventory levels.

Trends in the inventory turnover ratio can be early indicators of problems. For example, if inventory turnover has been slowing for several consecutive quarters, it indicates that inventory is increasing faster than sales. This could reveal a decrease in customer demand, which could call for marketing actions or reduced production.

7.5.6 Liabilities

Two groups have claims against the assets of a company: creditors and owners.

A business **liability** can be anything owed to creditors. When a company borrows money to purchase assets, creditors' claims are recorded as trade payable, notes payable, or long-term debt. Wages and salaries owed to employees also are liabilities.

Owner's equity is the owner's initial investment in the business (sole proprietorship) plus profits that were not paid out to the owner over time in the form of cash dividends. A strong owner's equity position often is used as evidence of a company's financial strength and stability.

7.5.7 Financial Analysis

Accounting professionals do much more than prepare financial statements. They also help managers interpret financial statements by comparing data about current business activities to those for previous periods and to corresponding data released by competitors.

Ratio analysis is one of the most commonly used tools for measuring a company's liquidity, profitability, and reliance on debt financing. It can also reveal how effectively and efficiently resources are used. This analysis also allows comparisons with other companies and against the company's own past performance through trend analysis. Benchmarking is an analytical method used for comparisons with other companies. There are a number of ratios used in ratio analysis, including such ratios as the liquidity ratio (which measures the amount of liquidity of a company), profitability ratio (which measures the profitability of a company), and efficiency ratio (which measures how efficiently a company uses its capital).

Ratios assist managers in interpreting actual performance and making comparisons to the company's previous projections. Because ratios are standardised across an industry, it is easy to use them to make direct comparisons across time and companies. This makes them a key source of information about a company's strengths, weaknesses and how well it performs compared with competitors.

Illustrative Example 5

An important issue for most SMEs is financial management.

Candy Lim had originally planned to find a partner who is familiar with management accounting. She learned that basic accounting principles are essential for success in SMEs, especially from bookkeeping to financial analysis. She would like her partner to be an accountant who manages more than just credits and debits.

She expects her partner to play a role in everyday business decisions such as the following situations:

- Closely monitoring trades receivable to illustrate trends or behaviours in customer portfolio and cut down on costs incurred by pursuing late payers.
- Establishing a detailed budget to help discover inefficiencies within the business operations.
- Sudden changes in vendor costs or sales revenues can alert to important industry changes.
- Analysing the financial position to spot problem areas that could interfere with loans earmarked for expansion.

Apply and Analyse 5

The role of the management accountant varies from one business to another. The position is crucial for the well-being of a company. Companies want to know about the efficiency of their operations, budgeting, handling taxes, managing operational costs and assets and even fund allocation arrangements through finance departments or finance employees.

Management accountants perform a series of tasks or functions to ensure their company's financial security, handling essentially all financial matters such as tracking internal cost for any businesses. They can collect, record and report the financial information after professional analysis to drive the business's overall management and strategy.

Outline the role and the responsibilities of the management accountant that could be applied to the real case of a financial institution in Hong Kong.

Analysis

The responsibilities of management accountants can range widely depending on their role within a company, the level of experience, the time of year and the type of industry in which the job is. Below are the actual duties for the management accountant at a particular financial institution:

- To formulate the annual budget process and the mid-year forecast.
- To assist the manager in driving changes in the cost centre structure and implement cost allocations at the segment level to facilitate performance management.
- To analyse and prepare management reports to enhance transparency.
- To manage the ongoing system development or enhancement and coordinate with relevant departments to device/ implement necessary changes if required.
- To set up the business case review process.
- To support ad hoc management financial analysis, assignments and projects as required.

Key Learning Point

Financial statements provide managers with essential information needed to evaluate the liquidity position of an organisation – its ability to meet current obligations and needs by converting assets into cash; the company's profitability; and its overall financial health.

► Knowledge Check Questions

Question 12

Identify who typically collects and records financial transactions and prepares financial information from financial statements used by the company's managers when making decisions.

- A Auditor
- B Management accountant
- C Accounting clerk
- D CFO

Question 13

Identify the purpose of the statement of profit or loss and other comprehensive income for a company.

- A It shows the financial performance of a company.
- B It shows the cash flow of a company.
- C It shows the financial position of a company.
- D It shows the assets and liabilities of a company.

Question 14

Identify which of the financial terms represents sales that are yet-to-be-collected and can represent a significant percentage of a company's assets.

- A Trade payables
- B Trade receivables
- C Liabilities
- D Statement of financial position

7.6 FINANCIAL CONTROLS

Every business project has risks of varying size and degree. A risk is any uncertain factor, event or occurrence that might potentially interfere with the progress and successful completion of a project. A risk is not a problem; it is the recognition that a problem might occur. By recognising, understanding and identifying potential problems in advance, and planning for them, managers can attempt to prevent them. Actions to prevent risk are referred to as risk mitigation.

An accounting department provides accounting services as well as financial support and controls to the organisation to which it belongs.

7.6.1 Risk Analysis

Hedging is a risk management strategy which involves using offsetting (or counter) transactions so that a loss on one transaction would be offset (at least in part) by a gain on another transaction (or vice versa).

You would 'hedge a bet' by offsetting a possible loss from betting on one team to win by also betting on the other team to win.

You would hedge against a possible loss in inventory value by entering into a contract to sell comparable inventory at a fixed price (set now) for future delivery. While hedging is used to reduce risk, it also reduces profit potential.

Hedging involves two basic elements:

- **Hedged item:** The recognised asset, recognised liability, commitment or planned transaction that is at risk of loss. It is the possible loss on the hedged item that is hedged.
- **Hedging instrument:** The contract or other arrangement that is entered into to mitigate or eliminate the risk of loss associated with the hedged item. Derivatives are the primary instrument used for hedging.

The number and kinds of items (risks) that can be hedged is extensive. The most commonly hedged items include:

- **Inventory/commodity prices:** Risk that the price of an inventory/a commodity (e.g., raw material such as agricultural products, energy, good for resale, etc.) will change and adversely affect inventory/commodity values and profit margins. A company could possibly turn to commodity derivatives to hedge raw material prices. A derivative is a contract between two or more parties whose value is based on an agreed-upon underlying set of assets.
- **Foreign currency exchange rates:** Risk that the exchange rate between currencies will change such that the value of revenues, expenses, assets or liabilities expressed in a foreign currency will be adversely affected when converted to the domestic currency especially the operation of business dealing with international trade.
- **Interest rates:** Risk that an increase in the market rate of interest will adversely affect either the value of an existing fixed-rate interest investment or the cost of interest on variable-rate debt.
- **Credit (default) risk:** Risk that the issuer of debt will default (i.e., fail to make payments as due), which would result in the investor suffering a loss.

7.6.2 Operating Risks Analysis

Business risk derives from the uncertainty inherent in the nature of the operations of the business and would be affected by such things as macroeconomic conditions, degree of competition, size, diversification and operating leverage, and so on. This risk is measured in terms of the variability of a firm's expected operating earnings (earnings before interest and taxes, known as EBIT). The higher the variation of EBIT, the greater the risk. Firms with a higher level of business risk have an increased chance that operating results may cause default on fixed obligations, for example, long-term loans and, therefore, should use less debt financing than a firm with steady operating results.

Managing project risks is best addressed in the planning stage. It is the job of the project team and manager to manage and minimise the risk in their projects. A risk management plan documents how risks will be managed throughout the project. In addition to identifying

potential risks, it specifies which team members are responsible for managing various areas of risk, how risks will be monitored throughout the project life cycle, how contingency plans for risks that materialise will be developed and implemented, and how project resources will be allocated to handle risk.

The approach to managing project risk is proactive. The first step is to identify all of the possible risks that can be anticipated in the project. This might include such things as resource changes, wrong assumptions, a change in company objectives and needs, technology changes, changes in the company's competitive environment, and anything new in the project, like technology. After as many risks as possible are identified, they should each be evaluated in terms of their impact and possible eventuality (i.e., probability), and possibly quantified. Although any kind of risk evaluation and measurement is obviously an estimate, the objective is to have a process to compare the risks to one another in order to prioritise them in terms of which ones will most threaten project success. The most important risks that are controllable can be mitigated, and strategies should be developed to mitigate those that cannot be controlled.

Successfully managing project risk can have a very positive impact; it can keep projects within budget and save money, maintain project schedules, and result in the project success and quality results hoped for.

7.6.3 Crisis and Risk Analysis

A number of techniques have been developed to incorporate uncertainty and to measure risks. Those techniques include:

- **Probability assignment:** Under this approach, probabilities are assigned to possible outcomes. These probabilities may be assigned based on past experience, industry-wide measures, forecasts, simulation or other bases. Once possible outcomes have been identified and probabilities have been assigned, an expected value can be determined.
- **Risk-adjusted discount rates:** Under this approach to addressing uncertainty in project assessment, different discount rates are used for projects with different levels of risk. For a project with higher or lower than normal risk, a higher or lower discount rate would be used.
- **Time-adjusted discount rates:** Under this approach, cash flows associated with the later years of a long-term project are discounted at a higher rate than cash flows of the earlier years. This use of a higher discount rate for later years reflects the increased uncertainty in making longer-term projections.
- **Sensitivity analysis:** Under this approach, the most likely set of assumptions is used to compute the most likely outcome. Then one of the assumptions is changed, and the resulting outcome is determined. This process of changing one assumption at a time is repeated until the effect of changing each major assumption separately on the final outcome is known. This process allows management to consider how sensitive the outcome is to each major assumption.
- **Scenario analysis:** This approach is similar to sensitivity analysis except that rather than changing one assumption (variable) at a time, multiple related assumptions are

changed simultaneously. This enables management to determine the range of possible outcomes that might occur.

- Other risk consideration approaches: In addition to the foregoing approaches for recognising and measuring risk inherent in project analysis, firms might also employ simulation or decision-tree analysis.

7.6.4 Planning and Financing for the Future

While financial statements focus on past performance, they also provide valuable insights for future planning. A **budget** is a planning and controlling tool that reflects the company's expected sales revenues, operating expenses and cash receipts and outlays. It quantifies the company's plans for a specified future period. When preparing a budget, management estimates sales, cash flow and costs, which makes it an ideal point of comparison against actual performance.

Budget preparation is frequently a time-consuming task that involves many people from various departments within the organisation. The budgeting process varies with the size and complexity of the organisation. Besides serving as planning and controlling tools, budgets help managers integrate across numerous divisions. However, budgeting in both large and small companies is similar to household budgeting in its purpose: to match income and expenses in a way that accomplishes objectives while projecting the timing and amount of cash inflows and outflows. For companies that are exposed to volatility and uncertainty where the budget will likely be outdated during the fiscal year, they will refresh its input variables, such as sales volume and operating costs, to generate rolling financial forecasts. These may extend beyond 12 months, sometimes to 18 to 36 months.

The overall master, or operating, budget is actually a composite of many individual budgets for separate units of the company. These individual budgets typically include the production budget, cash budget, capital expenditures budget, advertising budget, sales budget, and travel budget. One of the most important budgets prepared by companies is the cash budget. The cash budget, usually prepared monthly, tracks the company's cash inflows and outflows.

Illustrative Example 6

Candy Lim has invited investors to put venture capital into a new business development effort by her company.

She knows that better financial risk planning and control procedures are vital to report financial performance to their investors. As many strategies for risk analysis and financial control are complicated, she has appointed Peter Wong as an external financial consultant for her company.

Peter Wong suggests Ms. Lim and her financial team use financial statements and other financial tools to exercise financial control issues for better planning, evaluating performance and coordinating financial activities. The aim is to ensure its money is properly managed and achieves the desired returns on investment.

Illustrative Example 6 (continued)

In view of this, he proposes a number of best practices for financial controls for Ms. Lim's business, including:

- Separation of business and personal finances. Never commingle business and personal finances. If Ms. Lim does make a loan to her business or take a loan from her business, it has to be documented appropriately with a promissory note specifying repayment terms.
- Conducting background checks before hiring. This is especially important for employees whose job duties relate to finance, such as bookkeeping, accounting, payroll or handling cash.
- Creating monthly cash flow projections and annual budget forecast. If actual cash flow falls short of projections, investigate to find out the reason. Moreover, the budget forecast should be compared with the actual performance of the business to find out the variances for improvement.
- Reviewing business monthly bank statements in detail. Careful reviewing of bank statement and bank reconciliation records prepared by accounting staff can help avoid fraudulent and duplicate transactions.
- Segregate duties of financial activities. Require a delegated employee to authorise all petty cash transactions and record all transactions and balance of the petty cash once a week. Even worse, it is easy when only one person is in charge of all financial issues of the business, such as bookkeeping, payments and payroll, for this person to become involved in illegal acts.
- Review all outgoing payments. Match the payments to supplier invoices in order to avoid duplication and new vendors or multiple invoices from the same vendor in a short time. Employees who embezzle often use these tactics to pay themselves.
- Requiring vendors to submit detailed invoices. All the payment terms and quantities and amount of goods delivery should be clearly stated on the purchase invoices. The accounts department should check the invoices with purchase orders with correct terms and request approval before recording.
- Signing all the cheques by the owner. All outgoing cheques and payments should be signed and authorised by the owner.
- Planning ahead for business financing. If the business has a sudden cash flow crunch, or an opportunity that requires a cash outlay, it should have a couple of potential capital sources at the ready.

Apply and Analyse 6

Financial controls are processes, policies and procedures used to manage finances. Controls play a role in helping organisations achieve their financial goals and meeting obligations in regard to governance, fiduciary duty and due diligence. Controls may be implemented with accountabilities, responsibilities and automation. If controls are not enacted well, risk events can come to pass. Thus, risk management is used to manage exposure to risk.

Illustrate four common types of financial controls and risks in business environments.

Analysis

Common types of financial controls for managing and measuring risks can be applied as follows:

1. Budgeting is a vital part in the control process. As control is the process of collecting feedback on actual performances, comparing the actual results with original plans, and finally taking corrective action to bring all incoming activities in line with the predictive budget.
2. Financial statements and policies: Management is accountable for delivering timely and accurate financial statements such as statement of profit or loss and other comprehensive income, statement of cash flows, statement of financial position and statement of changes in equity. Meanwhile, some other accounting aspects are being controlled such as invoice payment and inventory management.
3. Doing timely operating risks analysis: Finance managers are accountable for delivering operating risks for possible conditions such as resources changes and wrong assumptions. These risks are linked to company's administrative and operational procedures ranging from IT systems to regulations to recruitment. For example, in manufacturing firms, they rely on third parties for the mechanical work instead of choosing to have a qualified mechanic staff in reduction of cost. This could be classified as an operational risk.
4. Sensitivity analysis: The use of 'what-if' scenarios to generate possible outcomes in a controllable range. The technique is used for applying different assumptions about variables to evaluate alternative business decisions. For example, a financial analyst can calculate the range of profit outcomes to back up purchasing the right equipment to lower risk.

Key Learning Point

A risk is any uncertain factor, event, or occurrence that might potentially interfere with the progress and successful completion of a project.



► Knowledge Check Questions

Question 15

State the risk from which the increase will adversely affect either the value of an existing fixed-rate interest investment or the cost of interest on variable-rate debt.

- A** Interest rate
- B** Inventory prices
- C** Credit risk
- D** Foreign currency exchange rates

Question 16

State the name of the rate which is used by cash flows associated with the later years of a long-term project that is discounted at a higher rate than cash flows of the earlier years.

- A** Risk-adjusted discount rates
- B** Time-adjusted discount rates
- C** Cash-adjusted discount rates
- D** Return-adjusted discount rates

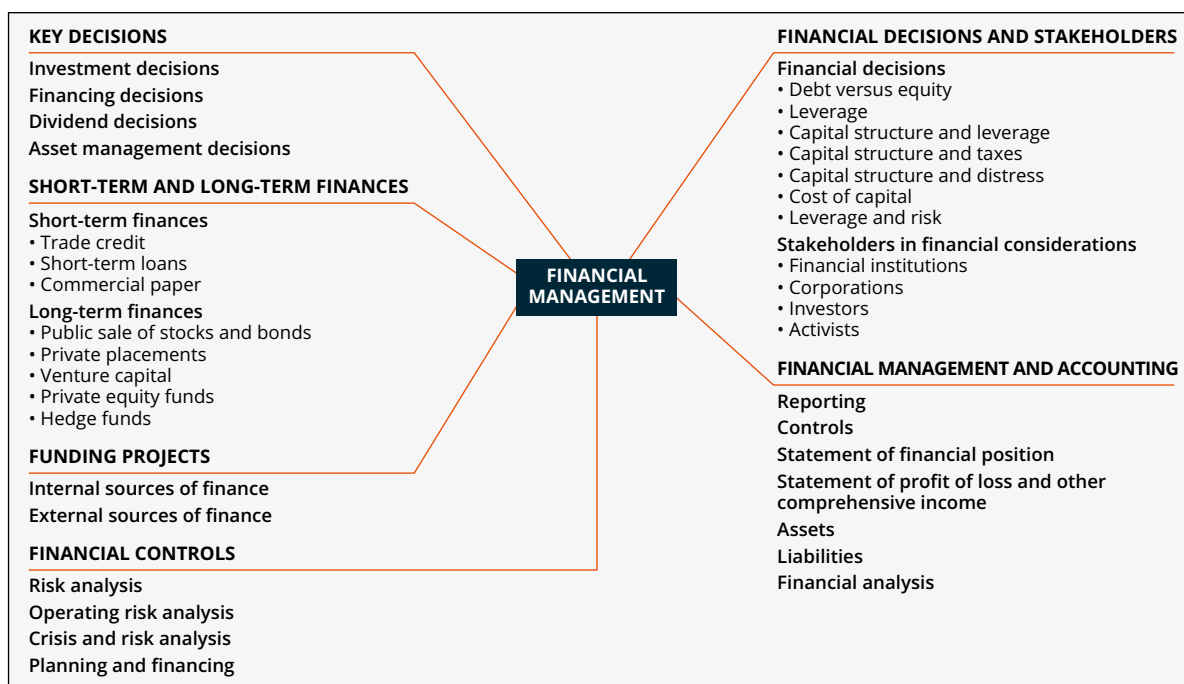
SUMMARY

- Finance managers are responsible for overseeing the finances of a company, along with directing investment activities, which includes acquiring and managing the assets of a company.
- A key component of the finance manager's job is to weigh the advantages and disadvantages of debt capital and equity capital, creating the most appropriate capital structure for their company.
- Most companies invest excess cash in so-called *marketable securities* – low-risk securities that either have short maturities or can be easily sold in secondary markets.
- The process by which decisions are made regarding investments in long-lived assets is called *capital investment analysis*.
- *Debt capital* consists of funds obtained through borrowing. *Equity capital* consists of funds provided by the company's owners when they reinvest earnings, make additional contributions, liquidate assets, issue stock to the general public or raise capital from outside investors. The mix of a company's debt and equity capital is known as its *capital structure*.
- *Dividends* are periodic cash payments to shareholders. The most common type of dividend is paid quarterly and is often labelled as a *regular dividend*.
- Companies engage in activities that reduce the risks associated with exchange rate fluctuations. Some are quite complicated. However, one of the simplest and most widely used is called a *balance sheet hedge*.
- Many times throughout a year, an organisation may discover that its cash needs are seasonal and exceed its available funds.
- *Trade credit* is extended by suppliers when a company receives goods or services and agrees to pay for them at a later date.
- Loans from commercial banks are a significant source of short-term financing for businesses.
- *Commercial paper* is a short-term IOU sold by a company.
- Because short-term rates move up and down frequently, interest expense on short-term funds can change substantially from year to year.
- Public sales of securities such as stocks and bonds are a major source of funds for corporations.
- Some new stock or bond issues are not sold publicly but instead to a small group of major investors such as pension funds and insurance companies. These sales are referred to as *private placements*.
- *Venture capitalists* are an important source of long-term financing, especially to new companies or start-ups.
- *Private equity funds* are investment companies that raise funds from wealthy individuals and institutional investors and use those funds to make large investments in both public and privately held companies.

- *Hedge funds* are private investment companies open only to qualified large investors.
- Finance managers develop their organisation's *financial plan*, a document that specifies the funds needed by a company for a given period of time, the timing of inflows and outflows, and the most appropriate sources and uses of funds.
- Raising needed cash by borrowing allows a company to benefit from the principle of *leverage*, increasing the rate of return on funds invested by borrowing funds.
- Special measures of financial performance help managers use information from statement of financial position and statement of profit or loss and other comprehensive income to make financial decisions.
- When entrepreneurs use *debt financing*, they borrow money that they must repay.
- The *statement of owner's, or shareholders', equity* is designed to show the components of the change in equity from the end of one fiscal year to the end of the next.
- In a business context, leverage is the use of borrowing, cost structure, or other arrangement to increase the potential benefit derived from an undertaking, operation or position.
- Generally, debt is a less costly form of financing than equity.
- The mix of capital financing affects not only the cost of capital but also the business risk of the firm.
- The fact that *cash flow* is the lifeblood of every organisation is evidenced by the business failure rate.
- One way to deal with conflicting stakeholder interests is to assess the power of the stakeholder, the legitimacy of the demand and the urgency of the issue.
- One of the most important components of the financial system is *financial institutions*. They are an intermediary between savers and borrowers, collecting funds from savers and then lending the funds to individuals, businesses and governments.
- For corporations, business valuation is commonly used in conjunction with business combinations.
- Business combinations may take the form of mergers, consolidations or acquisitions.
- *Venture capital* – money invested in the small business by another business firm or group of individuals in exchange for an ownership share – can give the small business needed capital to expand.
- An activist *investor* is an individual or group that has raised large sums of money and typically purchases large numbers of a company's shares of stock to obtain greater control over the company's business.
- An accountant employed by a business other than a public accounting firm is called a *management accountant*, who typically collects and records financial transactions and prepares financial statements used by the company's managers in decision making.
- Financial statements provide managers with essential information needed to evaluate the liquidity position of an organisation – its ability to meet current obligations and needs by converting assets into cash, the company's profitability and its overall financial health.

- A *statement of profit or loss and other comprehensive income* provides a picture of a company's performance during a particular accounting period.
- A company's *statement of financial position* shows its financial position at a specific point in time.
- Long-lived assets are expected to produce economic benefits for more than one year.
- Short-term, or current, assets consist of cash and assets that can be, or are expected to be, converted into cash within a year.
- *Trade receivables* are yet-to-be-collected credit sales and can represent a significant percentage of a company's assets.
- A *liability* of a business is anything owed to creditors – that is, the claims of a company's creditors.
- *Owner's equity* is the owner's initial investment in the business plus profits that were not paid out to the owner.
- By recognising, understanding, and identifying potential problems in advance, and planning for them, managers can attempt to prevent them.
- *Hedging* is a risk management strategy which involves using offsetting (or counter) transactions so that a loss on one transaction would be offset (at least in part) by a gain on another transaction (or vice versa).
- Business risk derives from the uncertainty inherent in the nature of the operations of the business and would be affected by macroeconomic conditions, degree of competition, size, diversification, operating leverage, and so on.
- A *budget* is a planning and controlling tool that reflects the company's expected sales revenues, operating expenses and cash receipts and outlays.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct because risk–return trade-off is true to balance risks with expected financial returns.

Answer B is incorrect because debt–return trade-off is related to the inverse relationship between investment risk and investment return which is not true for the statement.

Answer C is incorrect because capital investment analysis is a budgeting process to assess potential profitability of long investments which is not true for the statement.

Answer D is incorrect because equity capital is investor funds exchanged for the ownership shares which is not true for the statement.

Question 2

Answer A is incorrect because equity capital is obtained through selling shares but not through borrowing.

Answer B is correct because debt capital is obtained through borrowing.

Answer C is incorrect because capital structure is referring to a company's outstanding debt and equity.

Answer D is incorrect because dividends are a payment made by a company to its shareholders.

Question 3

Answer A is incorrect because it is not true for customers only.

Answer B is incorrect because it is not true for finance managers specifically.

Answer C is correct because dividends target shareholders although companies are under no legal obligation to pay dividends to shareholders until getting the approval by shareholders in an annual general meeting.

Answer D is incorrect because it is not true for a financial department specifically.

Question 4

Answer A is incorrect because the principle of trade credit should not be settled at an early date.

Answer B is incorrect because the principle of trade credit should not be settled on a specific date when receiving any goods or services.

Answer C is correct because it is true as suppliers routinely ship billions of dollars of merchandise to retailers each day and are paid later.

Answer D is incorrect because the principle of trade credit should not be settled on each day.

Question 5

Answer A is incorrect because compensating balances is a long-term balance maintained in a bank account.

Answer B is incorrect because venture capitalists provide financing to companies as a long-term investment.

Answer C is incorrect because hedge funds invest for the long-term to protect investment portfolios from market uncertainty.

Answer D is correct because revolving credit agreements are a legal commitment in which a bank promises to lend a customer up to a specified maximum amount during a specified short-term period.

Question 6

Answer A is incorrect because venture capitalists can raise money from any wealthy individuals and institutional investors.

Answer B is incorrect because private placements can invite investors from a small group of major or selected investors.

Answer C is incorrect because private equity funds can also raise money from any wealthy individuals and institutional investors.

Answer D is correct because hedge funds is an investment fund that pools capital from accredited individuals or institutional investors.

Question 7

Answer A is incorrect because the type or size of business is a major factor of financing, for example, a SME will be limited to the capital.

Answer B is correct because the type of manpower is not related to sources of financing, it is related to resources allocation.

Answer C is incorrect because the stages of business development are a major factor of financing, for example, an established company can be easier to raise funds for than a new business.

Answer D is incorrect because the status of the economy is a major factor of financing: when the economy is booming then it is easier to raise funds from loan borrowing or from investors.

Question 8

Answer A is correct because the net profits of the company will increase.

Answer B is incorrect because the net profits of the company will decrease.

Answer C is incorrect because the net profits of the company will not increase.

Answer D is incorrect because only answer A is correct.

Question 9

Answer A is incorrect because technology is not a must for every successful company.

Answer B is correct because cash flow maintains its preparation in financial liquidity.

Answer C is incorrect because human resources is not a major cause of business failure or success.

Answer D is incorrect because sales turnover is not a major cause of business failure of every company. Some companies have fixed assets with high investment value.

Question 10

Answer A is incorrect because it is not true that the influence of the stakeholder is just positive.

Answer B is incorrect because it is not true that the influence of the stakeholder is just negative.

Answer C is correct because stakeholders could influence the operations of the organisation either positively or negatively.

Answer D is incorrect because it is not true that the influence of the stakeholder is both positive and negative at the same time.

Question 11

Answer A is correct because venture capital is a type of money invested by other firms or individuals in exchange for an ownership share.

Answer B is incorrect because the statement is not true.

Answer C is incorrect because the statement is not true.

Answer D is incorrect because the statement is not true.

Question 12

Answer A is incorrect because it is not true for the role of an auditor whose focus is on auditing.

Answer B is correct because a management accountant keeps track of a company's financial statement by collecting, analysing and presenting financial information to support sound decision making.

Answer C is incorrect because it is not true for the role of an accounting clerk whose focus is on clerical work in accounting.

Answer D is incorrect because it is not true for the role of a CFO who oversees the company financial status and predicts the future of the company.

Question 13

Answer A is correct because the statement can summarise a company's financial performance in terms of revenues, expenses and profits over a given time period.

Answer B is incorrect because it is not the purpose of this statement. Cash flow can be determined by the use of a cash flow statement to present a company's cash inflow and outflow over an accounting period.

Answer C is incorrect because it is not the purpose of this statement. The statement of financial position can only show a company's financial position at a specific point in time.

Answer D is incorrect because it is not the purpose of this statement. Assets and liabilities can also be calculated in the statement of financial position.

Question 14

Answer A is incorrect because trades payable is the amount from purchases.

Answer B is correct because trades receivable is the amount billed by a company to its customers when it delivers goods or services to them in the ordinary course of business.

Answer C is incorrect because liabilities are legal financial debts of a company.

Answer D is incorrect because the statement of financial position presents the financial position of an entity at a given date.

Question 15

Answer A is correct because rising interest rates can adversely affect either the value of an existing fixed-rate interest investment or the cost of interest on variable-rate debt.

Answer B is incorrect because the changes in inventory prices are not applicable here.

Answer C is incorrect because credit risk is the risk for a person or company who will not be able to pay back money that they have borrowed from a financial institution.

Answer D is incorrect because the changes in foreign currency exchange rates are not applicable here.

Question 16

Answer A is incorrect because risk-adjusted discount rates concern the uncertainty in project assessment.

Answer B is correct because time-adjusted discount rates concern the use of a higher discount rate for later years, which reflects the increased uncertainty in making longer-term projections.

Answer C is incorrect because cash-adjusted discount rates are not applicable here.

Answer D is incorrect because return-adjusted discount rates are not applicable here.



EXAM PRACTICE

QUESTION 1

Identify what the mix of a company's debt and equity capital is known as.

- A. Debt capital
- B. Equity capital
- C. Capital structure
- D. Dividends

QUESTION 2

Identify the process that most companies use to sell securities publicly through investment bankers.

- A. Underwriting discount
- B. Inventory prices
- C. Credit risk
- D. Underwriting

QUESTION 3

Identify the disadvantage of equity capital.

- A. It is more expensive than debt capital.
- B. It is less expensive than debt capital.
- C. Creditors are willing to accept a lower rate of return than shareholders are.
- D. Debtors are willing to accept a lower rate of return than shareholders are.

QUESTION 4

Identify which factor shows the greater the value of collateral relative to the amount of debt, the lower the interest rate or cost of capital.

- A. Amount of financing
- B. Relative level of debt financing
- C. Debt security
- D. Debt maturity

QUESTION 5

State the type of debt instrument for commercial paper issued for financing trade receivables and inventories.

- A. Secured debt
- B. Unsecured debt
- C. Debt capital
- D. Long-term capital

QUESTION 6

Identify a risk management strategy that involves using offsetting (or counter) transactions so that a loss on one transaction would be offset (at least in part) by a gain on another transaction (or vice versa).

- A. Operating risks analysis
- B. Crisis and risk analysis
- C. Sensitivity analysis
- D. Hedging

QUESTION 7

Maintaining control over finances is vital to the well-being of any company. Financial controllers perform tasks that might range from the mundane to the highly complex. Members of a financial control team are amongst the leading accounting executives of a company. Besides providing financial leadership and formulating accounting strategies, they can also help a company establish a broad vision of where they are, where they want to be and how they propose to get there in terms of finances. Identify five best practices for financial controls.

QUESTION 8

As venture capital is long-term financing, investors provide their investments to start-up companies and small businesses that are believed to have a growth potential for business development in the long run. In fact, when seeking venture capital a company would like to invite more investors to contribute to the running of the business. Some investors can bring in their knowledge, networking and experience. Explain the importance of these external sources of financing compared to internal sources.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect because debt capital is obtained through borrowing, not the mix of a company's debt and equity capital.

Answer B is incorrect because equity capital is obtained through selling shares, not the mix of a company's debt and equity capital.

Answer C is correct because the capital structure can be a mixture of a firm's short-term and long-term debt, common or preferred equity. It can help a firm to finance its overall operations and growth by using different sources of funds.

Answer D is incorrect because dividends are payments made by a company to its shareholders.

QUESTION 2

Answer A is incorrect because the underwriting discount is just a commission when purchasing equity.

Answer B is incorrect because inventory prices are not a process.

Answer C is incorrect because credit risk is the risk on a debt.

Answer D is correct because underwriting is the process of selling securities for bankers, whereby they guarantee payment in case of damage or financial loss, and also accept the financial risk for liability arising from such a guarantee.

QUESTION 3

Answer A is correct because equity capital is more expensive than debt capital as stockholders shoulder more risk compared to creditors.

Answer B is incorrect because equity capital is more expensive than debt capital.

Answer C is incorrect because the advantage of equity capital is that creditors are willing to accept a lower rate of return than shareholders.

Answer D is incorrect because the advantage of equity capital is that creditors are willing to accept a lower rate of return than shareholders.

QUESTION 4

Answer A is incorrect because the amount of financing is the actual amount of credit made available to a borrower in a loan.

Answer B is incorrect because debt financing must be paid back at some agreed date in the future.

Answer C is correct because debt security has a greater value of collateral since it is a debt instrument like a government bond or corporate bond.

Answer D is incorrect because debt maturity is the date that a borrower must reimburse the debt principal.

QUESTION 5

Answer A is incorrect because commercial paper is not a secured debt for financing.

Answer B is correct because commercial paper is an unsecured debt for financing.

Answer C is incorrect because debt capital is a loan made to a company that uses it to fund operations.

Answer D is incorrect because long-term debt is not commercial paper.

QUESTION 6

Answer A is incorrect because operating risk analysis is the risk assessment after determining financing and systematic risk.

Answer B is incorrect because crisis and risk analysis involve techniques to incorporate uncertainty and to measure risks.

Answer C is incorrect because sensitivity analysis allows the company to consider how sensitive the outcome is to each major assumption.

Answer D is correct because hedging is an investment to reduce the risk of adverse price movements in an asset, which consists of taking an offsetting position in a related security.

QUESTION 7

(Choose any five below)

- Separation of business and personal finances.
- Creating monthly cash flow projections and an annual budget forecast.
- Reviewing a business's monthly bank statements in detail. Careful reviewing of bank statements and bank reconciliation records prepared by accounting staff avoiding fraudulent and duplication transactions.
- Segregation of duties for financial activities. Require a delegated employee to authorise all petty cash transactions and record all transactions and balance of the petty cash once a week.
- Reviewing all outgoing payments. Match the payments to supplier invoices and supplier statements in order to avoid duplication and new vendors or multiple invoices from the same vendor in a short time.
- Requiring vendors to submit detailed invoices, purchase orders and delivery notes. All the payment terms and quantities and amount of goods delivered should be clearly stated on the purchase invoices. Vendors should also require that purchase invoices match signed customers' sales orders in order to make sure the correct terms and conditions have been applied. Some vendors also require clients to provide purchase

orders before purchasing goods for presenting as an official signal of the commitment to purchase goods from them at an agreed term and rate.

- Sales invoices should be matched with the sales order. All the selling prices of sales orders should be approved by delegated personnel, for example, a sales manager.
- Planning ahead for business financing.

QUESTION 8

Finding different sources of finances may involve balancing conflicting interests. Internal sources of finance may be too limited to provide opportunities for business development.

Getting external finance can increase the amount of money available, but also requires a substantial part ownership of the company. Borrowing too much can be risky. Raising extra share capital dilutes the control held by existing shareholders.

For the different stages of business development, sourcing adequate finance is vital to the success of business and healthy growth. The amount of funding can be decided by the management to achieve various business objectives at different stages. A well-run business plans for its financing needs.



8

Human Resource Management



CHAPTER TOPIC LIST

8.1 Human Resource Management

8.1.1 The Strategic Role of HRM in Organisations

8.1.2 Attracting, Developing and Maintaining a Talented Workforce

8.2 Specific Functions of Human Resource Management

8.2.1 Planning and Defining Human Resource Needs

8.2.2 Recruitment and Selection

8.2.3 Induction, Training and Development

8.2.4 Evaluation and Appraisals

8.2.5 Firing

8.2.6 Payroll



LEARNING OUTCOMES

PRINCIPAL LO6: EXPLAIN THE ROLE OF HUMAN RESOURCE MANAGEMENT

LO6.01: Explain the role and functions of the human resource management and its importance in a business entity

6.01.01 Explain the importance of human resource management

6.01.02 Describe the following functions of human resource management:

- Staff planning
 - Employee recruitment
 - Payroll
 - Selection
 - Induction
 - Training
 - Development
 - Appraisal
-

The graphic consists of a large, stylized letter 'V' shape in a light grey color. To the right of the 'V', the words 'OPENING CASE' are written in a bold, sans-serif font. 'OPENING' is in orange and 'CASE' is in dark blue.

MANAGING HUMAN RESOURCES FOR BUSINESS TRANSFORMATION

Dong Dong Ltd., a company owned by Thomas Tung, has been established for over 20 years in Hong Kong. It started off as a small original equipment manufacturing (OEM) company for infants' clothing for the US market, the company has expanded over the years to cover also original design manufacturing (ODM) and the products now range from baby products and accessories to toys and bags. It has around 5,000 employees, with over half of them being long-service employees. Under company transformation, several human resources challenges were encountered and respective human resources (HR) strategies were adopted.

The first challenge was high staff turnover. Some long-service staff resigned because of their disappointment in the company's HR policies. The new employees' salaries were much higher than theirs, and so they felt that loyalty was not recognised. The managerial positions were filled by external hires, depriving them of career advancement opportunities. Also, some new employees resigned – around one-third left in the first year, and some even left during their probation. They left Dong Dong because they found it difficult to integrate into the company. Their managers were too busy, and long-service staff were not willing to share information.

The second challenge was that the norms and values of both groups were not well integrated. The long-service staff found the new joiners too aggressive in proving themselves and did not respect old practices, while the new joiners found the long-service staff unwilling to provide support and help.

The third challenge was the employees' confidence in the success of company transformation. For the new joiners, the extent of manual operation was much greater than expected. For the long-service staff, they lacked information and motivation for the company transformation.

Thomas therefore adopted several HR strategies to manage the above problems. The remuneration practice and policies were clearly communicated through internal email with a salary review mechanism to ensure employees understood the job requirements. Any openings were advertised to internal staff for fair competition. New staff were required to take an orientation programme in the first week with tutoring support and guidance from experienced staff, which enabled the new staff to understand the company values and culture, as well as their work teams and job requirements. Any updated information about the company transformation was shared with staff through seminars and e-mails. Staff were also invited to provide feedback on transformation issues. Through various HR strategies, the employee turnover rate and loyalty improved. 



OVERVIEW

The importance of employees to the success of any organisation is the very basis of management. To attract the right people, an organisation must know exactly what it is looking for in terms of the jobs and tasks to be done and the talents required to do them well. It must provide an attractive compensation package and career opportunities that enable the organisation to stand out as a preferred employer. It must also have a human resource management system in place so that it can excel at employee recruitment and selection, as well as effectively evaluate employee performance and retain talent.

Therefore, the first responsibility of human resource management is talent acquisition. Its goal is to attract a high-quality workforce that has the talents and skills needed for the organisation to meet its performance goals. The focus of human resource management is effective organisational management to achieve the aims of a company or organisation.

This chapter explores the important issues of human resource management, motivation and incentives. We begin with a discussion of the ways in which organisations attract, develop and retain employees. Topics covered include finding qualified candidates; selecting and hiring employees; creating effective training programmes; conducting performance evaluations; and implementing compensation and benefits strategies. We explain the strategic role of human resource management and how it affects employee satisfaction and organisational effectiveness.



8.1 HUMAN RESOURCE MANAGEMENT

The success of an organisation depends on the quality of its employees. Managers know that the right talent can give companies an enormous competitive and strategic advantage over competitors.

This is why **human resource management**, or HRM, has become so crucial to strategic planning. HRM is all about attracting, developing and maintaining a competent and motivated workforce. For an organisation to succeed at being competitive in the long run, it must have talented and committed employees to do the work.

However, this is not easy. Organisations often struggle to find the right people who match the skills they need to fill positions. Competition for talent is fierce, leading many companies to adopt **talent management**, a process for strategically and deliberately attracting new, highly skilled workers and developing the abilities of existing employees to meet current and future organisational objectives.



Innovative, organised people with important skill sets, such as critical thinking, add value to products and services and help a company differentiate from the competition. In this age of globalisation and technological advancement, it is crucial for businesses to diversify their workforce and ensure that they stand out from their competition in order to attract the right talent.

As people are an organisation's most valuable asset, companies have become increasingly invested in **human capital**, the employees' skills and experience gained from education and training that increase the economic value for employers. Thus, the role of the human resources (HR) professional has evolved beyond simply hiring and firing to include analysing information to find and retain talent, match people to jobs, optimise employee abilities and identify effective methods of training.

8.1.1 The Strategic Role of HRM in Organisations

Strategic HRM mobilises human capital by developing a high-performing workforce that supports the organisation's core values and helps it to implement organisational strategies. Thus, it is important for a member of the executive management to be involved in HRM.

HRM plays a strategic role when the organisation's employees are aligned with its strategies and objectives. This requires the organisation to provide attractive opportunities and rewards, such as pay, benefits, meaningful work and advancement possibilities, that make diverse and talented people want to belong to and work hard for the organisation.

Organisations that offer compelling career opportunities and rewards have a huge competitive edge over others in hiring and retaining talented people.

Illustrative Example 1

Upon receipt of feedback from employees that their advancement opportunities had been deprived because of external recruitment to fill managerial positions, Dong Dong Ltd. started to advertise positions internally when there was a job vacancy.

It also set a target of gradually increasing the success rate for filling positions from within. To support this, Dong Dong enhanced staff development by implementing a talent management programme to identify staff who have the potential and aspiration to take on more responsibilities.

An individualised training and career progression plan was developed for this group of employees. HR and line management reviewed the staff's progress regularly.

8.1.2 Attracting, Developing and Maintaining a Talented Workforce

All managers, not just HRM specialists, are responsible for ensuring that employees are highly capable, driven and in the right positions and working with the support they need to be successful. The goal of HRM is to optimise organisational performance by aligning people and their talents with organisational strategies and objectives. As such, talent management is key to the development of a company or organisation.

This involves three key tasks, as follows:

1. Attracting a quality workforce: Talent acquisition through human resource planning, employee recruitment and employee selection.
2. Developing a quality workforce: Talent development through orientation, training and performance management.
3. Maintaining a quality workforce: Talent retention through compensation and benefits, career development and employee–management relations.

An organisation's HRM approach should always focus on establishing a good fit between the employee and the specific job, and between the employee and the overall organisational culture.

Person–job fit is the extent to which an individual's skills, knowledge, experiences and personal characteristics are suitable for the requirements of their work.

Person–organisation fit is the extent to which an individual's interests, values and behaviour are consistent with the culture of the organisation. The key to attracting, developing and maintaining a talented workforce is to ensure good person–job fit and good person–organisation fit at all times.

The Dutch brewing company Heineken took an unconventional approach to recruiting the right talent for the company in 2013. The recruitment campaign was called 'The Candidate', which was launched to hire an intern for the company's Event and Sponsorship Marketing team. The interviews were designed to get job applicants out of their comfort zones and put them in unusual circumstances. Rather than asking questions about business knowledge, the job applicants' personalities were assessed, such as confidence, resourcefulness, wit, attitude and ability to respond to three given unusual circumstances. First, the boss got up-close and personal with the job candidates. He held their hands and soon he 'collapsed', and then the interviewees had to try to revive the boss. Finally, the job candidates were forced to help and rescue a stranded Heineken employee from the roof after a fire alarm sounded and they were on their way out. The candidates were assessed depending on their responses to these incidents. The one with the right behaviour, thinking style and interests for the job was recruited.

The unconventional interview approach not only attracted and engaged potential employees, but also stimulated the job interest of current employees. This interview approach fits its brand attitude 'Open your World' that allowed the job candidates to look beyond the ordinary, but also projected the company culture to the outsiders that strengthen its brand reputation in consumers' mind – 'Beer is fun'.

Apply and Analyse 1

Ping Ting (PT) is a fashion chain targeting young office ladies. With the competition in the women's fashion market plus the growth of Internet shopping, PT sees the need for hiring a marketing director to meet the business objectives – to enhance the image of PT and improve the customer experience to retain customers and ensure continual growth. Explain the importance of human resource management in meeting PT's business objectives.

Apply and Analyse 1 (continued)

Analysis

HRM helps PT identify potential and quality workforce for achieving its business objective.

1. Attracting a quality workforce – HRM provides a role description and person specification to attract a qualified candidate to apply for the marketing director position, for example, leadership experience, industrial experience, strengths and so on. In this case, PT wants to enhance the image of PT by improving the customer experience. While experience in the women's fashion market is important, PT wants to engage a person who can relate to, attract and keep young female shoppers.
2. Developing a quality workforce – After confirming the suitable candidate, orientation and training programmes should be implemented for the purpose of improving customer experience to retain customers and ensure continual business growth. The marketing director should be given a brief orientation on the company and its structure. Leadership and interpersonal skills could be further strengthened. The performance appraisal should be tailor-made for this director role and list out the qualitative measures such as the service, leadership and communication standards, sales target and so on. The ideal candidate should have strong experiences in the social media platforms used by younger female shoppers.
3. Maintaining a quality workforce – HRM provides information for PT to retain the marketing director through monetary and non-monetary rewards and recognition. The package has to be competitive in the market in order to sustain the loyalty of the marketing director. The position also has to be interesting and challenging to help the new marketing director love to come to work every day.

Key Learning Point

Strategic HRM mobilises human capital by developing a high-performing workforce that supports the organisation's core values and helps it to implement organisational strategies.

► Knowledge Check Questions

Question 1

An Original Equipment Manufacturer (OEM) company is going to hire a director for its new product line for women's casual wear. The HR director is formulating the interview questions. From the following, identify which will provide information on person-job fit:

- (i) Please tell me your education background.
- (ii) Please share with me your past experience in leading a business unit.
- (iii) What is your experience in making presentations in Mandarin?
- (iv) What do you do in your leisure time?

► Knowledge Check Questions (*continued*)

- A (i) only
- B (i) and (ii) only
- C (i), (ii) and (iii) only
- D All of the above

Question 2

While knowledge and skills for fulfilling the job's requirement are important, how the individual fits with the organisation culture is equally important. The HR director is formulating interview questions to understand the job applicants. Amongst the following, identify which will provide information on person–organisation fit.

- (i) What professional qualifications do you possess?
- (ii) What core values are important to you?
- (iii) What is your career aspiration?
- (iv) How do you manage cross-department relationships?

- A (i) and (ii) only
- B (ii), (iii) and (iv) only
- C (iii) and (iv) only
- D (i), (ii) and (iii) only

Question 3

Identify which of the following questions is NOT relevant for assessing the applicant's suitability for a position.

- A How do you manage work stress?
- B What factors will you consider in conducting a business review?
- C Do you need to take care of your children after work?
- D How did you handle a challenging customer request in the past?

Question 4

Define talent management and explain its importance in an organisation.

8.2 SPECIFIC FUNCTIONS OF HUMAN RESOURCE MANAGEMENT

HRM involves a wide range of functions that deal with hiring, compensation and benefits, training, employee relations and more. HRM therefore provides many career opportunities in a wide variety of areas; common HR job titles include human resource planner, training and development specialist, compensation analyst, salary and benefits manager, corporate recruiter and director of diversity.



Close attention to the many facets of HRM is crucial, especially for organisations in environments complicated by legal issues, rapid technological advancement, new corporate strategies, economic instability, shifting labour markets and changing social values. Companies are thus increasingly employing HR professionals to provide specialised services.

8.2.1 Planning and Defining Human Resource Needs

When planning for human resource needs, there are five features that a human resources manager may follow.

1. *Well-defined objectives:* When defining the numbers and types of human resources needed to achieve business goals, HR planning becomes crucial to ensure human resources needs are planned to achieve the company's goals. Examples of objectives include career and professional development of human resources, strengthening commitment and morale of human resources and updating knowledge and skills in specific areas.
2. *Determining human resources needs:* The role of the HR manager is to analyse the needs of each department and decide which type of employee would possess the skills to enhance the performance of the organisation and best fit into the culture. After analysing the needs, the HR manager has to recruit, select and train the employees for the business.

With every new hire, HR managers must take into account legal requirements and ensure the right people are matched with the right roles, as unhappy employees who quit suddenly or are terminated cost firms a lot of money and inconvenience.

Companies are becoming more specific than ever when it comes to defining the types of employees that they want working for them. In particular, there is a fierce competition for **knowledge workers**, self-driven workers who have an excellent educational background and substantial experience in a particular field and who add value to the business by introducing new business models, technologies, products and services. Although these workers tend to be self-motivated, managers still need to monitor their performance and ensure that the workforce is given attractive promotional opportunities.

3. *Keeping a manpower inventory:* The HR manager has to ensure that there will be human resources who will be available to replace executives when they have to undertake higher positions and responsibilities in the future. The HR manager has to provide training to develop the junior staff to ensure that they will be equipped with appropriate knowledge, skills and abilities to take up senior posts.
4. *Adjusting demand and supply:* The HR manager has to plan well in advance the manpower needs and availability to ensure smooth operation. HR managers might hire **independent contractors**, self-employed individuals or outside businesses that provide services to organisations if more manpower is needed. Hiring outside contractors can lead to significant cost savings for an organisation because they do not receive the benefits and compensation packages afforded to regular employees. In addition, hiring and firing decisions are usually much less complicated and problematic; contractors are hired for a specific length of time and for a particular project and then let go once the work is completed.

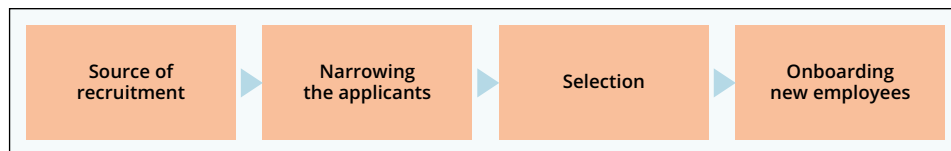
However, there are also drawbacks to outsourcing work to contractors. As they are usually short-term hires, they cannot be as strictly managed in the same way that employees are. If there is too much interference from management, some contractors can become resentful. This makes it difficult to monitor and control the quality of their work. Relying too much on contractors can also be disruptive for the company culture and operations since contractors come and go quickly.

5. *Creating a proper work environment:* The HR manager has to ensure that the working conditions are properly created for the employees. The organisation should provide a happy and fair environment for them to ensure their satisfaction and loyalty.

Walmart Inc. (Walmart) is a multinational retail corporation that operates hypermarkets, discount department stores and grocery stores. Its human resource management aims to maximise employee performance for achieving the sales capacity. Walmart forecasts its workforces required for meeting the consumer demand by using a bottom-up approach, trend analysis and the Delphi method (a form of anonymous brain storming). It balances HR supply and demand by adjusting the compensation strategy and recruitment efforts.

8.2.2 Recruitment and Selection

Human resource managers are largely responsible for recruiting and selecting the right talent for a company. Most companies implement a recruitment and selection process to find new talent who have the necessary skills for the job or the desire and ability to learn them. This process involves identifying the best applicants internally or externally for specific roles (Exhibit 8.1).



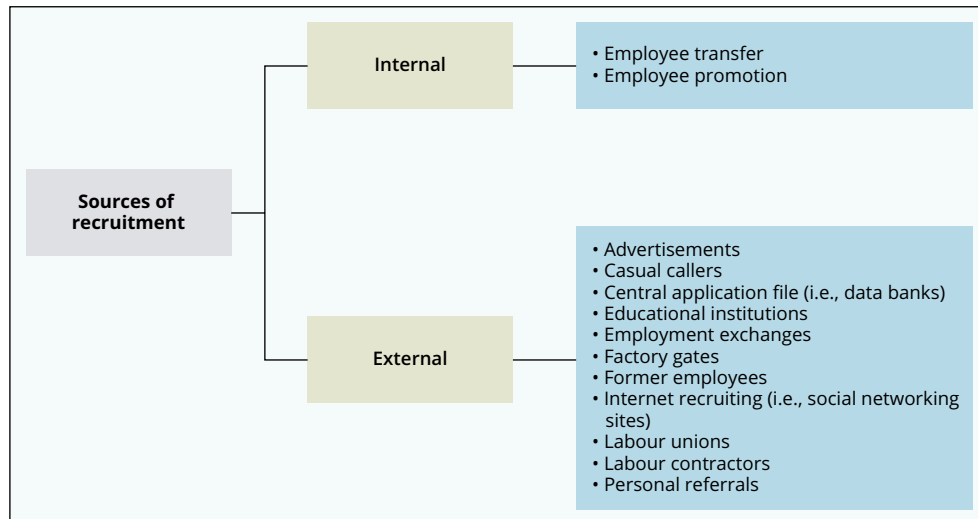
► **EXHIBIT 8.1** Recruitment and selection process

8.2.2.1 Sources of Recruitment

There are two main sources of recruitment: external recruitment and internal recruitment (see Exhibit 8.2).

- **External recruiting** is the process of selecting and hiring qualified workers from outside the organisation.
- **Internal recruiting** is the process of selecting and hiring existing employees who are qualified and able to fill required job vacancies in an organisation (e.g., employee promotion and transfer).

It is common practice for companies to adopt both internal and external recruiting. In the Opening Case, Dong Dong prioritised internal recruiting by advertising vacancies internally first. It advertised externally if suitable candidates could not be identified from within the organisation.



► **EXHIBIT 8.2** Sources of recruitment

Some traditional methods of external recruiting include college job fairs and personal referrals. Nowadays, most companies rely on their websites, which usually have a career section with general employment information and a listing of open positions. Qualified applicants are encouraged to submit a résumé and apply for an open position online.

Internet recruiting is a quick, efficient and inexpensive way to reach a large pool of job seekers. The vast majority of companies now also use social networking sites to fill job openings. This is an excellent way for companies to reach new graduates and workers of all ages. Companies can also communicate directly with prospective employees through their social media profiles posted on LinkedIn, Twitter or other social networking platforms.

8.2.2.2 Narrowing the Applicants

A key task for HR managers is narrowing the pool of applicants to save time and resources spent on the recruitment process. The aim is to identify and hire the best applicants to fill positions as quickly as possible.

Ensuring that correct hiring decisions are made is imperative because recruitment and selection are costly. There are costs for advertising, interviewing, administering employment tests and even medical exams. There are costs for training and equipment such as a computer once an employee is hired. A bad hiring decision would mean the company has to repeat the entire process again to find the right person. Hiring the wrong top-level manager not only results in a significant financial cost but also negatively affects the company's productivity, employee morale and reputation.

One way to help identify the right candidates is to require applicants to complete employment tests. These tests may verify certain skills, including mechanical, technical, language and computer skills.

The Wonderlic Basic Skills Test, for example, is a cognitive ability test that measures a person's abilities in understanding words, numbers and logic. Cognitive ability tests are sometimes used in the recruitment and selection process to predict job performance. Some

companies also use personality tests to decide whether an applicant would fit in with the company culture and possess the right attitude and temperament for the job.

Another approach to making the best hiring decisions is to require job candidates to perform tasks related to the job they are seeking as part of the job application process. For example, job candidates for a sales position may be asked to work with a company salesperson before a final decision is made on which candidate to hire.

8.2.2.3 Selection

After narrowing down the pool of applicants, HR managers will have to make the final selection of who to hire. **Selection** is the process of assessing the level of skills and abilities an individual possesses to perform a specific role.

Very few individuals are hired for managerial and professional positions without passing through one or more screening interviews. They are used to evaluate applicants on technical skill sets and experience, communication skills and personal impression and potential person-organisation culture fit. The traditional face-to-face interview is still the most used, but the telephone interview and the virtual or online video interview are increasingly common. The likelihood for most college graduates today is that success in a telephone or online virtual interview will determine whether they ever get to the face-to-face on-site interview stage.

However, interviews often have relatively low validity as selection devices. This is especially true of **unstructured interviews** where the interviewer does not work from a formal and pre-established list of questions that is asked of all interviewees. Some interviewers rush to judgement based on first impressions of candidates and fail to dig deeper for relevant information. Or, they may dominate the conversation and spend more time talking about themselves or the organisation than focusing on the applicant's readiness for the position. **Structured interviews** or standardised interviews is a quantitative approach to interviewing with the goal of ensuring that all similar interviews are identical.

Interviews that are more structured tend to have an enhanced predictive quality. **Behavioural interviews** ask job candidates about past work performance, focusing questions on specific behaviours related to job performance. For example: 'Describe how you have resolved a conflict with a co-worker or team mate.' **Situational interviews** ask applicants how they would react when confronted with specific work situations they would be likely to experience on the job. For example: 'How would you as team leader handle two team members who do not get along with one another?'

Employment tests are often used to identify a candidate's intelligence, aptitudes, personality, interests and even ethics. But organisations need to be careful about the way that they use tests and make sure that they are documented as valid predictors of job performance.

Biodata methods usually take the form of multiple-choice, self-reported questionnaires. They are designed to gather both facts about a candidate and insights into their personality, motivations and attitudes. Biodata methods pair well with ability tests to present a fuller and more reliable picture of a candidate.

Other types of employment tests involve actual demonstrations of job-relevant skills. An **assessment centre** is a space where applicants can perform mock tasks that are designed to mirror the work the candidate would be expected to perform. **Work sampling** entails grading candidates on their performance of actual job tasks.

Typically, the most complete and predictive selection processes include a combination of methods.

The following approaches can help companies select suitable candidates effectively and efficiently:

- **Define skills requirements:** Conduct person-job and person-organisation analyses to identify the competencies required as selection criteria for different openings.
- **Structured interviews:** Prepare interview questions to assess the competencies of candidates. For a comprehensive assessment, both behavioural and situational interview questions should be included.
- **Phone interviews for initial screening:** Use phone interviews for initial screening to make sure that the candidate meets the basic requirements, for example, satisfactory communications skills and language proficiency, before inviting them to face-to-face interviews.
- **Face-to-face interview:** Conduct face-to-face interviews to assess the candidate's suitability. Assess the candidate's competencies and presence, for example, grooming and manner and whether they match the role's requirements.
- **Skills test:** Consider the skills requirements, for example, language proficiency and computer skills and conduct skills tests.
- **Work sampling:** Set up a mock shop and invite the candidates to perform major tasks required by the job, for example, displaying the goods on the racks according to instructions.

Illustrative Example 2

Walmart recruits talent through internal and external sources. The internal recruitment sources include current employees, trainees and transfers. The external recruitment sources include respondents to job advertisements, campuses and previous applicants.

Potential candidates are selected according to a set of selection criteria depending on the job position. Walmart assesses the ability for knowledge retention and interpersonal skills of candidates applying for hourly sales positions. Analytical and problem-solving skills are assessed for supervisory and managerial positions. Structured interviews, personality tests, situational judgement tests and job knowledge evaluation are used in the selection process.

8.2.2.4 Onboarding New Employees

Once hired, employees need to know what is expected of them and how well they are performing. Companies provide this information through onboarding, orientation, training and evaluation.

Onboarding is the process of socialising a new employee to the company. Whether it is an internal or external employee moving into a new role, a smooth onboarding process is essential in order to integrate employees into the organisation successfully. New hires are frustrated

when they show up on their first day of work with nobody to greet them, nowhere to work, or unable to log in to their tablet or smartphone in order to do their jobs. A well-organised onboarding programme will help address and, hopefully, avoid these concerns.

Illustrative Example 3

Dong Dong Ltd. introduced a structured onboarding process to help new employees integrate into the company smoothly. There was an orientation briefing from HR on the company history, mission and organisation structure.

A checklist was prepared for department heads to ensure new employees were provided with adequate support, for example, an office tour, a job description, an operations manual and a system manual. Department heads would also assign a mentor to the new employee to provide close guidance to speed up the familiarisation.

8.2.3 Induction, Training and Development

Training is a good investment for both employers and employees. Training provides workers with an opportunity to build the skills and knowledge that will prepare them for new job opportunities within the company. It also provides employers with a better chance at retaining long-term, loyal, high-performing talent. Companies of all sizes take creative approaches to training. Some companies have a mentoring programme for new employees to help them integrate into the business culture, gain proficiency and answer questions. There is also a reverse mentoring platform where more senior-level employees are paired with junior-level employees to build relationships and learn fresh perspectives.

Through effective induction and training programmes, employees benefit from knowledge and skills development that can help them excel in their jobs and long-term careers.

8.2.3.1 Induction and Orientation Programmes

In many organisations, the human resources department provides an orientation programme for new hires. Typically, everyone receives general information about the company overall, including the company's policies, benefit programmes and the code of conduct. These are often presented in an employee manual. The job-specific details of such programmes can vary depending on each employee's level and department.

Orientation is sometimes referred to as onboarding and refers to the introduction of new employees to a company. This is typically a planned process that involves acquainting new hires with their jobs, co-workers and the organisation. The best orientation programmes are not mechanical but rather flexible and personalised.

Typically, new hires go through an **induction** programme, which is the structured process companies use to introduce new employees to the company, welcome them and prepare them for their jobs. Induction programmes cover a variety of areas such as the use of company-specific technology, safety rules and other similar requirements. Induction programmes are beneficial to staff and companies in that they make the process that all new staff face of joining and learning about company processes smoother and more predictable.



Induction processes also help new staff feel more comfortable with their new colleagues and aware of any new responsibilities they might have.

8.2.3.2 Training Programmes

In today's competitive environment, organisations spend billions of dollars every year on training, teaching new or existing employees the skills necessary to carry out their roles and improve current job performance. Most companies use training tools to enhance employee development, where managers help employees learn the skills necessary to carry out future roles. One popular training method is **cross-training**, where team members freely share knowledge and provide peer-to-peer mentorship. This tool gives employees the opportunities to experience other roles across departments and an understanding of what their colleagues do on a daily basis.

On-the-Job Training

On-the-job training prepares employees for new work tasks by permitting them to work alongside employees who are already experienced with the work. This is sometimes referred to as 'shadowing'. Apprenticeship training is a more formalised type of on-the-job training. Apprentices work as assistants to more experienced workers for an extended period of time.

There are various approaches to on-the-job-training. One that is commonly used, particularly by larger organisations, is **job rotation**. Job rotations allow staff to learn about different roles within the same organisation, giving them more visibility about the company as a whole and greater understanding of how their roles affect operations.

Computer-based Training

Many companies offer some form of classroom instruction such as lectures, conferences and workshops or seminars. However, online training programs are gaining in popularity and offer distinct advantages, including reduced costs.

Online training offers consistent presentations, along with videos that can simulate the work environment and be referred to after the formal training session is complete. Online training is also flexible, allowing employees to progress at their own pace and undertake training when the timing works best with their schedule. Through online training programmes, employees can engage in interactive and adaptive learning. Videoconferencing or Skype can put them in direct, face-to-face contact with an instructor who is located far away.

Many companies have also increased learning, training and engagement by using gamification. Gamification applies the typical elements of game playing and may include point scoring, competition with others and rules of play.

Walmart designs training programmes to ensure employees' effectiveness in handling daily job tasks and capacity to adjust to emergent conditions in the retail setting. The needs of training are assessed using work/task analysis, cost-benefit analysis and organisational analysis. Two approaches are adopted in designing the training programmes for different purposes: results-oriented and process-oriented training. Results-oriented training is used to fulfil the required knowledge, skills and abilities for each job. The process-oriented training is used to maintain the proper performance of standard work procedures. The programmes are delivered using discussions, on-the-job training and coaching, depending on the job position.

8.2.4 Evaluation and Appraisals

A **performance appraisal** can include assessments of everything from attendance to goals met with the goal of measuring productivity, efficiency and effectiveness. Based on this evaluation, a manager will make decisions about compensation, promotion, additional training needs, transfers or even termination.

In planning and implementing a performance appraisal system, the following should be taken into account:

- Establish performance measures for a consistent and objective basis for assessment. Performance measures can be quantitative, for example, sales turnover, or qualitative, for example, customer satisfaction. For senior positions, it is common to establish strategic objectives for different roles and apply key performance indicators (KPIs) as performance measures. This typically involves a strategy map with its associated balanced scorecard. Individual employee's objectives will align with the company's overall objective. A strategy map is a diagram to show your organisation's strategy concisely and generally on one page. The performance measurement should be communicated and discussed with the employee at the beginning of the year. (Refer to Module 2, Chapter 11 regarding performance measurement with a balanced scorecard.)
- Identify competencies required and define the desired behaviours for success. It helps to measure not only the results but also how the results are achieved. It helps reinforce the company culture and values.
- Communicate to all employees the system and provide training to managers to equip them for an effective appraisal discussion. Employees should also be encouraged to take an active role in the appraisal process, for example, seeking feedback and sharing their views, so that there is two-way communication on performance and staff's longer-term development.
- Identify the development needs of employees. To help employees to grow, the appraisal process should also include the staff training and development plan.
- Link performance result to reward. To make a performance appraisal effective, the reward decision should make reference to the appraisal result. For example, the higher the appraisal rating, the higher the amount of discretionary bonus.

Some management experts argue that performance reviews are too subjective and narrow, resting heavily on one manager's opinion and observations. Additionally, many employees do not fear comfortable being honest during a performance review and some are even afraid to question their manager's assessment or present a respectful defense. If a performance review is to be at all effective, it should meet the following criteria and be:

- tied to organisational goals;
- based on objective, measurable criteria;
- support the manager's evaluation and the employee's response.

Some companies conduct peer reviews, in which employees assess the performance of their co-workers, while other companies ask employees to review their supervisors and managers.



One type of evaluation that incorporates feedback from peers, managers and subordinates is the **360-degree performance review**. This type of review draws on appraisals from 8 to 12 people, including co-workers, supervisors, subordinates and sometimes even customers. They also typically include a self-assessment. The drawback is that this type of review is very time consuming and requires a lot of organisation and planning. The benefits are that 360-degree reviews provide comprehensive and diverse feedback, which removes the subjectivity of other types of assessments. They also provide employees with more information about their overall performance, including areas where they can improve. Finally, managers gain a more complete picture about their subordinates' workplace activity.

With some approaches, managers coach employees based on feedback rather than critique their performance.

Good planning and implementation is crucial for a successful 360-degree performance review.

Illustrative Example 4

When BCS, a financial services institute, implemented the 360-degree performance review for its managerial staff, it sought assessment from subordinates, peers and customers in addition to the staff's self-assessment and the assessment from supervising managers. BCS ran the following process to obtain assessment from subordinates, peers and customers:

- Identify the competencies to be assessed and design the assessment form.
- Staff should invite the raters in the different groups to participate in the assessment, together with the key messages on the intent and process of the 360-degree assessment which were developed by the HR Department to ensure consistency.
- To ensure confidentiality, the HR Department is responsible for sending out and receiving the assessment forms. A computer system was developed for consolidating the assessment data from raters.
- HR sent out the consolidated assessment report to the staff and supervising managers.

The supervising managers considered the assessment from peers, subordinates and customers in finalising their performance assessment and development needs for staff.

8.2.4.1 Designing Appraisals

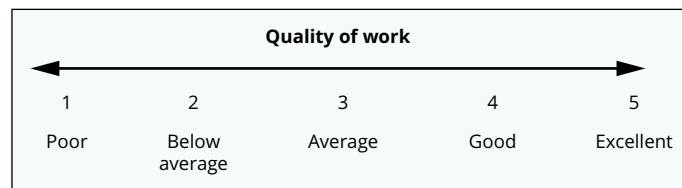
One strength of 360-degree appraisals is that they provide more comprehensive information about an employee's job performance.

Assessments from all of these sources are used to identify employees' strengths and weaknesses and necessary training. There are, however, other ways to design appraisals as well. They are trait-based performance assessment, behavioural-based performance assessment and results-based performance assessment.

Trait-Based Performance Assessment

Trait-based approaches measure an employee's key character traits that are important for effective job performance. Common traits that are examined include dependability, initiative, conscientiousness, collaboration and leadership.

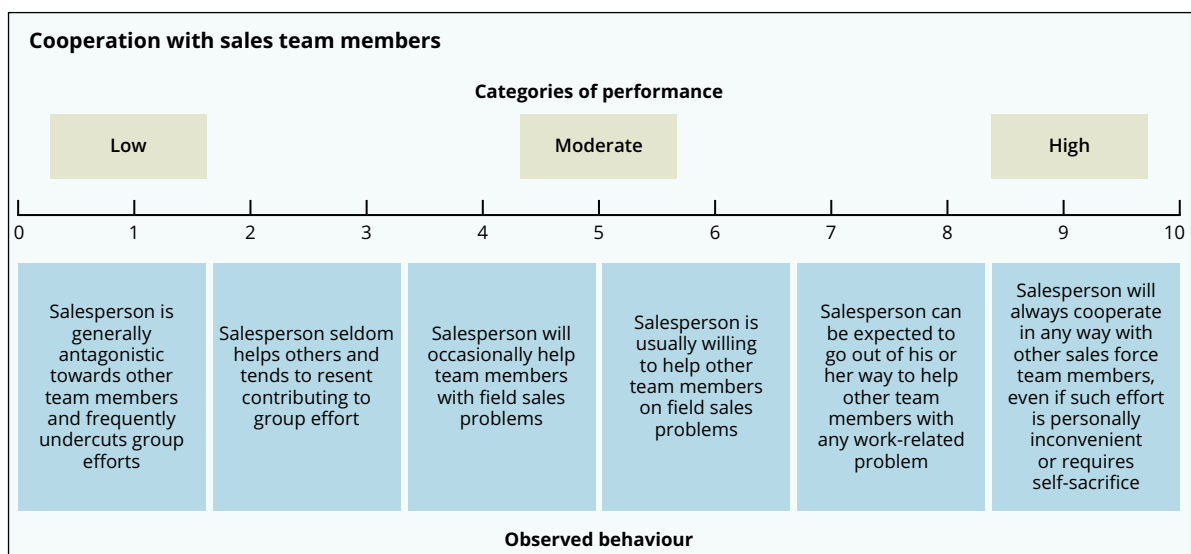
The **graphic rating scale** (Exhibit 8.3) is a checklist for rating individuals on traits or performance characteristics such as quality of work, attitude and professionalism. While this is one of the most common types of appraisals, it is also one of the most subjective, which makes it less reliable than other available methods.



► **EXHIBIT 8.3** Graphic rating scale

Behaviour-Based Performance Assessment

Behaviour-based approaches evaluate employees on specific actions that are viewed as important parts of the job. The **behaviourally anchored rating scale (BARS)** describes actual behaviours for various levels of performance achievement in a job (Exhibit 8.4).



► **EXHIBIT 8.4** Behaviourally anchored rating scales (Source: Adapted from Griffin 2016.)

The BARS is more reliable and valid than the graphic rating scale because it relies on detailed descriptions of specific behaviors, which reduces subjectivity. Behaviour-based appraisals also emphasise professional development by highlighting areas where employees can improve. One disadvantage of BARS is that it suffers from a **recency bias**, which occurs

when recent events are weighted more heavily than things that happened earlier in the year. This can result in evaluations that don't capture an employee's full-year performance.

The **critical-incident technique** can help diminish the recency bias by keeping a running record of employee behaviour and efficacy. The following could be recorded in a critical-incident log:

- Positive behaviour: 'Took extraordinary care of a customer who had purchased a defective product from a company store in another city'.
- Negative example: 'Rudely dismissed a client's complaint about long waiting time'.

Such a written record can be discussed in specific terms with the employee and used for both evaluative and developmental purposes.

Results-based Performance Assessment

Results-based approaches focus on proven and quantifiable employee accomplishments instead of behaviours or characteristics. Because they rely on data, these approaches tend to be less subjective. Despite these benefits, results-based measures also have drawbacks. In some jobs the outcomes that are the easiest to measure quantitatively are not necessarily the most important.

For instance, although the number of hours a technician spends on a customer's custom speaker installation is easy to measure, it is less important than how effective the installation is, which is more complicated to evaluate. Despite being more objective, results-based measures have a weakness. They make it difficult to recognise the effects of factors that are beyond the employee's control. Examples include outdated systems, inefficient mandatory processes or relying on low-performing team members. Furthermore, when too much emphasis is placed on achieving quantitative goals, employees may feel pressure to meet those goals at any cost. This can lead to unethical behaviour or cutting corners in areas that are not as closely monitored.

One distinct advantage of results-based performance appraisals is that they help avoid errors that emerge from subjective or emotional judgements. One of these errors is **leniency**, the tendency for supervisors to give more favourable feedback because they do not want to have a difficult conversation about a subordinate's poor performance. **Multi-person comparisons** are a formalised method of comparing the overall ratings of managers. This can identify managers who may suffer from leniency.

Another type of results-based evaluation that uses a different approach is rank ordering. Under this method, all employees being rated are identified in order of performance, with the strongest employees appearing at the top of the list and the weaker employees at the bottom. This allows for employees to be assigned specific performance classifications, for example, identifying them as being part of the top 10%, the next 25%, the middle 30%, the next 25% or the bottom 10%.

8.2.4.2 Assessing Behaviours and Results

Making the right staffing decisions is crucial to the success of an organisation. Employees must be the right fit for the company culture and willing to embrace the organisation's mission, values and work ethic. An important part of being a manager is being involved in HRM and

assessing employee behaviours and evaluation results; after all, a good team reflects on the ability of the manager to hire and retain the right employees.

Walmart designs appraisals based on the three dimensions of its retail service nature and the job position. This involves customer service orientation, decision making and result orientation, as well as analysis and problem-solving orientation. Different measurements and standards are adopted for positions at different levels, for example, productivity standards for warehouse employees, decision making and financial performance standards for managerial positions, salesmanship for hourly sales employees and higher problem-solving and planning standards for supervisory and managerial positions.

8.2.5 Firing

Termination, or the involuntary dismissal of an employee from their job, is one of the most difficult and serious tasks managers and supervisors must face. In some cases, termination is based on performance problems, policy violations or illegal behaviour. In other cases, reorganisation or workforce reduction can lead to layoffs, which are imposed regardless of employee performance. In all cases, terminations should be handled fairly and humanely, according to organisational policies and in full legal compliance with all relevant government statutes.

Involuntary turnover occurs when employees are terminated because of poor job performance or unethical behaviour. No matter how necessary a termination may be, it is never easy for the manager or the employee. The employee may react with anger or tears; co-workers may take sides. Managers should remain calm and professional, and they must be educated about employment laws and guidance provided from human resources.

The principle of **wrongful discharge** gives workers legal protections against discriminatory firings, and employers must have a bona fide job-related cause to terminate the employee. In situations where workers belong to unions, terminations also are potentially subject to labour contract rules and specifications.

8.2.6 Payroll

Compensation is one of the most highly charged and emotional issues faced by human resource managers. Compensation includes an employee's salary or wages and other benefits. It has a tremendous influence on employees' daily lives outside of the office and it also impacts on job satisfaction.

Walmart's compensation package includes basic pay, benefits and incentives. The basic pay is comparable to the competitors' offers. The benefits include company-matched contributions (up to 6% of salary), associate stock purchase plans with company match, associate discounts and comprehensive health insurance plans (includes a vision plan, dental plan, life insurance, accidental death and dismemberment insurance and accident insurance). The incentives are provided to give recognition to high-performance employees. Optional American Public University (APU) credits are offered to motivate staff to enhance their knowledge, skills and abilities through continuing education at APU.



Illustrative Example 5

In response to employees' feedback about unfair remuneration and that new employees were offered higher salaries, Dong Dong's human resources department communicated to staff the company's performance-linked remuneration philosophy and salary review mechanism to make the policy more transparent. Moreover, it conducted a special review on the salaries of long-service staff holding key positions for motivation and retention purposes.

The terms 'wage' and 'salary' are often used interchangeably, but actually are different. **Wages** are based on an hourly pay rate or the amount of work accomplished. Wages are typically paid to people who do shift work (e.g., factory workers, retail salespeople) or particular industries (e.g., restaurants, auto mechanics, construction). **Salaries** are calculated periodically, such as weekly or monthly and are not as closely tied to the precise number of hours or tasks an employee completes. Office managers, executives and professional employees usually receive salaries. In Hong Kong, whether salaried employees are eligible for overtime pay or not depends on the company policy. It is common market practice for employees in junior positions to be eligible for overtime pay.

Other types of compensation can encourage employees to connect their work tasks with the company's overall goals and vision. This can motivate them to improve performance and remain more engaged with their work. Bonuses, profit sharing and gains sharing are three of the most common ways this is achieved.

Bonus pay is given in the form of one-time or lump-sum payments to employees. Bonus plans are typically tied to performance; one-time bonuses are frequently used to reward employees for making an exceptional contribution or completing a particular project. Bonus pay plans are most commonly included in executive compensation packages, but they are becoming more common for lower level employees as well.

Some compensation packages also include **profit-sharing** plans. Under these plans, employees receive a portion of the company's net profits. This amount is typically measured and awarded in conjunction with performance reviews. **Gain-sharing** plans follow a similar idea, but rather than receiving a portion of profits, employees are rewarded with a share in gains, savings realised due to changes that resulted in higher levels of efficiency or productivity, or lower costs.

Rewarding employees with stock instead of cash can also help employees link their own compensation to the company's performance. Owning stock in the employer company can increase an employee's feelings of ownership, which has a positive influence on their day-to-day work. Employees are likely to be motivated to see the company succeed, not only because of the securities it provides, but also because it increases the value of their shares. **Employee stock ownership plans**, or ESOPs, typically offer employees the opportunity to buy shares in the company at exclusive discounts. Of course, there are downside risks of ESOPs. When a company's market value falls, the value of any employee-owned shares also declines.

Illustrative Example 5 (*continued*)

Another method of compensating employees with special stock ownership is through **stock options**. Stock options are very common in executive compensation plans, but lower-level employees in many companies are also given this benefit. Stock options allow employees to make future purchases of shares at a set price. If the company's share price goes up, employees can buy stock at a significant discount. For example, imagine a company's stock option plan allows employees to purchase stock 90 days in the future at a share price of HK\$60. If at that date, the company's stock is worth HK\$72 per share, employees would pay HK\$60 to buy shares that have a market price of HK\$72. This allows the employee to reap additional financial gains due to the company's good performance. However, if the same HK\$60 options were issued, but the stock is worth only HK\$56 as the time they can be exercised, the employee is not able to benefit from the options.

A compensation system can do more than simply compensate workers for completing jobs. It can also attract and retain talented employees, increase job satisfaction and spur productivity. (It is important to recognise that companies must always design compensation packages that comply with existing laws, such as those that apply to minimum wage, discrimination and sale of securities.)

The HR manager should annually review the salary based on five aspects: (1) conforming with the market average; (2) predict the expected inflation; (3) predict the expected market sector increases; (4) alignment of the staff cost with the company's margin; and (5) employees' individual performance as well as divisional-based or team-based performance.

8.2.6.1 Benefits Analysis

In addition to wages and salaries, some companies provide non-monetary compensation that may extend to an employee's immediate family. **Employee benefits** can include paid vacation time, retirement plans, health insurance, gym memberships, child and elder care and tuition reimbursement. Benefits represent a large part of an employee's total compensation. In Hong Kong, there are different types of benefits offered to employees:

- Rest days.
- Paid annual leave.
- Paid maternity or paternity leave.
- Sickness allowance.
- Severance or long-service payments (where other necessary conditions are satisfied).

Many employees value having flexible paid leave. While many companies designate a certain amount of leave time for holidays, vacation time and sick days, some employers give each employee a specific amount of paid time off (PTO). PTO can be used for any reason, which gives employees more freedom about why, when and how they take time off from work. This flexibility can come at a price for employers, however, PTO plans may be more costly than paid leave that can be used only in certain circumstances.

Many companies have also moved towards the option of flexible work plans, which allow employees to select working hours that best fit their schedule, based on an established range set by the employer (e.g., starting the workday between 7 and 10 in the morning). Flexible work can also enable employees to work out of the office on certain days. Most commonly this type of flexibility is used to allow employees to work from home some of the time. Allowing flexible work has become an important part in attracting and keeping a talented workforce.

Benefit programmes like these may reduce employee turnover and absenteeism, and increase productivity and job satisfaction.

8.2.6.2 Payroll and Accounting and Financial Integrity

The payment of employees for providing services is one of the largest expenditures for most organisations. The cost of paying employees includes much more than an employee's gross pay. It also includes the cost of benefits, which can account for nearly 40% of an employee's gross compensation.

To ensure financial data is accurate, strong internal controls are necessary. Some large organisations have a payroll department, which is dedicated to paying employees, and is often a division of the accounting department. The size of the organisation determines the department's scope of responsibilities.

Employers must ensure that employees are paid accurately in accordance with policies and procedures established by law. The objectives for payroll controls are as follows:

- Preapproval of all payroll transactions.
- Recording all payroll transactions with accuracy, consistency and timeliness.
- Ensure all recorded payroll transactions fairly represent the economic events that actually occurred, are in accordance with the law and have been executed with management's authorisation.
- Control access to payroll records so it is limited to authorised personnel.
- Assign tasks to ensure that the same individual does not control the recording function and the procedures for processing a transaction.

In addition, qualified personnel with the knowledge and skills to accomplish payroll tasks should be hired. Responsibility and authority should be assigned clearly and job descriptions should allow for proper segregation of duties.

Apply and Analyse 2

Google is a diversified organisation so different HR strategies are used to address the workforce needs. Google uses different analyses to predict the HR demand on current conditions and changes in the business, as well as the demand under each scenario.

Google recruits talented people through internal and external sources to maintain the adequacy of the human resources for the business. Potential candidates are selected according to a set of selection criteria. The procedures and steps for selection depend on the job positions applied for.

Apply and Analyse 2 (continued)

Google identifies the training needs, new HR needs and requirements by using different analyses. Also, various types of training and programmes are provided for meeting different business objectives.

Google's employees are appraised according to several aspects, which link to corporate objectives. Both individual measurements and team performance are used in Google. Both structured and unstructured, as well as formal and informal interview approaches are used.

Google is attractive to many talented candidates. Its compensation package is highly competitive to the competing firms.

Search information from the Internet and then explain the HR practices adopted by Google in planning, recruitment, selection, training, evaluation and appraisals, as well as compensation and benefits.

Analysis

HR planning: Google uses trend analysis and scenario analysis to predict the HR demand on current conditions and changes in the business, as well as the demand under each scenario. The forecast information is effectively used to minimise the surplus or shortage of employees and to balance between the supply and demand for qualified talents.

HR recruitment and selection: Google recruits talented people through internal and external sources to maintain the adequacy of the human resources for the business. Internal promotions, transfers, trainees and internal referrals are the internal recruitment sources, while educational institutions and respondents to job advertisements are the key external recruitment sources. Potential candidates are selected according to a set of selection criteria. The core criteria include smartness, creativity, drive for excellence and alignment with the organisation, while work experience is not a major criterion in the selection process. They will go through background checks, preliminary screening, on-the-job tests and interviews. The procedures and steps of selection depend on the job positions applied for.

HR training: Google identifies the training needs by using needs analysis, including organisational analysis, work analysis and cost-benefit analysis. The organisational analysis determines new HR needs and requirements according to the organisation's current situation to maximise the HR capabilities. The work analysis finds out the specific requirements to fulfil work tasks for new jobs or jobs under organisational restructuring. The cost-benefit analysis identifies the practicality of training activities and programmes. The training programmes and activities are designed by using the relational model to foster positive internal relations amongst employees and the results-oriented approach to facilitate employees' learning in achieving the job outcomes. On-the-job training is also provided to maximise the transfer of knowledge to new hires and interns.

Apply and Analyse 2 (continued)

HR evaluation and appraisal: Google's employees are appraised according to several aspects, including customer service, communication, support for diversity and problem-solving abilities, which link to corporate objectives. The staff evaluation is taken through internal communications and problem-solving activities. The measurements and standards are different depending on the areas of human resources. Both individual measurements and team performance are used in Google. Individual measurements include ethical conduct, contributions to innovation, creativity and quality of output, while team performance includes collaboration level. Performance interviews are conducted to address both individual and team performance. The individual performance interviews emphasise employees' knowledge, skills, abilities and other attributes. The team performance interviews focus on the performance of employees as part of the project teams. Both structured and unstructured, as well as formal and informal interview approaches are used.

HR compensation and benefits: Google is attractive to many talented candidates. Its compensation package is highly competitive to the competing firms. It offers high salaries, comprehensive incentives and nonconventional benefits to employees. Incentives include financial and moral aspects, while benefits include medical insurance, retirement pensions, free meals and free use of exercise equipment.

Key Learning Point

The major functions of HRM include planning, recruitment, training, appraisals, firing and payroll.

► Knowledge Check Questions

Question 5

It is common practice for companies to advertise their openings internally to invite application from existing employees. Identify which of the following is NOT a benefit of internal recruitment.

- A** Lower recruitment cost.
- B** Provide career development opportunities for existing staff.
- C** Reduce staff turnover.
- D** No need to assess the suitability of staff to take up the job.

► Knowledge Check Questions (*continued*)

Question 6

A bank is recruiting a customer service officer who will be responsible for handling customers' feedback received via email or over the phone. Skill requirements for the position include 3 years' experience in customer service and proficiency in English, Mandarin and Cantonese. The human resources manager would like to use a behavioural interview to assess the candidate's suitability. Identify which of the following belongs to behavioural interview.

- (i) Please introduce yourself in Mandarin.
- (ii) Share with me an example of how you last handled an angry customer.
- (iii) In your follow-up on a customer's request, if a colleague from the Operation Department fails to meet the agreed deadline, what will you do?
- (iv) Describe your experience of handling a customer request which was unrealistic to you.

- A** (i) and (ii) only
- B** (ii) and (iii) only
- C** (ii) and (iv) only
- D** (iii) and (iv) only

Question 7

Onboarding is the process of helping new employees to integrate into the organisation successfully. Some companies adopt a comprehensive onboarding process, carried out by both HR and the hiring manager, to ensure the new employees have a pleasant and welcoming experience. Identify which of the following should fall under the responsibility of the hiring manager.

- A** Explaining the company policy on code of conduct.
- B** Explaining the job description.
- C** Collecting the bank account information for salaries payment.
- D** Buying lunch for the new employee on the first day.

Question 8

IKEA provides job rotation across various departments and training for newly joined staff to understand its business and job requirements for each position better. This practice ensures happy employees and happy customers. Identify the HRM function involved in the case.

- A** Planning human resources needs
- B** Recruiting potential candidates
- C** Providing training for new hires
- D** Designing performance appraisals

► Knowledge Check Questions (continued)**Question 9**

ABC company adopts performance appraisal and constructive feedback as the performance management tools to assess employees. A 360-degree performance evaluation is also used. It includes self-evaluation, evaluation from customers, subordinates, co-workers as well as top management. This appraisal approach helps the employees understand their performance as perceived by their work parties and allows the managers to identify the problems of each employee. Identify the HRM function involved in the case.

- A** Planning human resources needs
- B** Recruiting potential candidates
- C** Providing training for new hires
- D** Evaluating the performance

Question 10

DPD is a café serving local customers living nearby. It has 40 staff members serving for more than 20 years. The café owner foresees that the staff turnover rate will go up in the coming two years, as 10 staff members will leave because of retirement. This high turnover rate will cause a problem in serving customers. Also, the staff members are not young enough to provide as speedy and friendly a service as customers expect. This problem has caused declining sales in recent months.

Suggest possible ways to manage the problem through HRM planning.

Question 11

Singapore Airlines (SIA) is regularly ranked as the best airline in the world. Its success is the result of effective human resources practices and strategies. SIA adopts a rigorous and strict selection process through group and one-on-one interviews and English language competency testing to recruit quality, cheerful, friendly and humble candidates. All newly recruited cabin crews will take part in an intensive and comprehensive training course over 15 weeks to enable its staff to provide gracious services with confidence and warmth. Its staff are evaluated in different aspects, including grooming, passenger handling capabilities, product knowledge, safety knowledge and work relationships with teammates. Quality staff are recognised and rewarded for their outstanding performance. Other than the recognition, performance-based share options and linking variable pay components to individual staff contribution and the company's financial performance are used to reward employees.

Explain the roles of HRM functions adopted in contributing to the success of SIA.

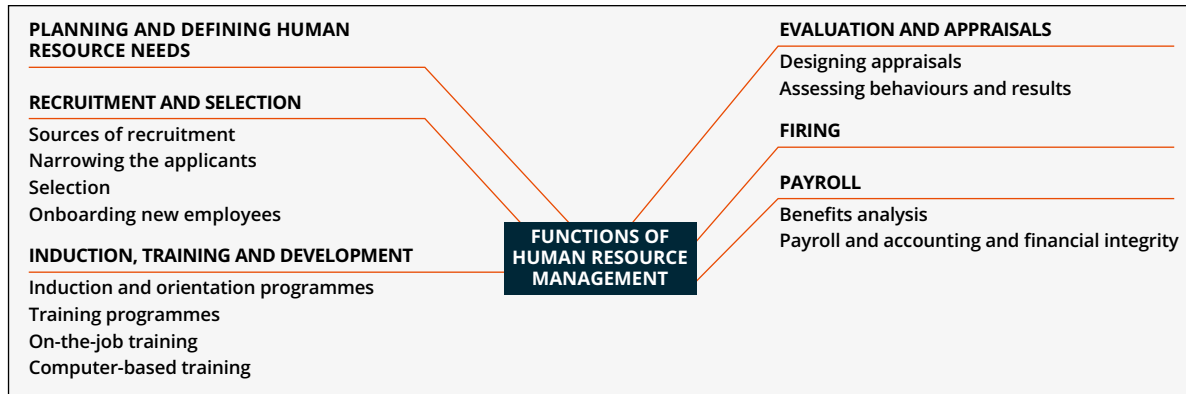


SUMMARY

- *Human resource management*, or HRM, has become crucial to strategic planning. HRM is all about attracting, developing and maintaining a competent and motivated workforce. For an organisation to succeed at being competitive in the long run, it must have talented and committed employees to do the work.
- Competition for talent is fierce, leading many companies to adopt *talent management*, a process for strategically and deliberately attracting new, highly skilled workers and developing the abilities of existing employees to meet current and future organisational objectives.
- As people are an organisation's most valuable asset, companies have become increasingly invested in *human capital*, the employees' skills and experience gained from education and training that increase the economic value for employers.
- Strategic HRM mobilises human capital by developing a high-performing workforce that supports the organisation's core values and helps it to implement organisational strategies.
- All managers, not just HRM specialists, are responsible for ensuring that employees are highly capable, driven and in the right positions, working with the support they need to be successful.
- An organisation's HRM approach should always focus on establishing a good fit between the employee and the specific job and between the employee and the overall organisational culture.
- HRM involves a wide range of functions that deal with hiring, compensation and benefits, training, employee relations and more.
- There is a fierce competition for *knowledge workers*, self-driven workers who have an excellent educational background and substantial experience in a particular field and who add value to the business by introducing new business models, technologies, products and services.
- HR managers might also hire *independent contractors*, self-employed individuals or outside businesses that provide services to organisations.
- Human resource managers are largely responsible for recruiting and selecting the right talent for a company.
- There are two main sources of recruitment: external recruitment and internal recruitment.
- A key task for HR managers is narrowing the pool of applicants to save time and resources spent on the recruitment process.
- *Selection* is the process of assessing the level of skills and abilities an individual possesses to perform a specific role.
- *Onboarding* is the process of socialising a new employee into the company. Whether it is an internal or external employee moving into a new role, a smooth onboarding process is essential in order to integrate employees into the organisation successfully. New hires are frustrated when they show up on their first day of work with nobody to look after them.

- *Training* is a good investment for both employers and employees.
- *Orientation* is sometimes referred to as onboarding and refers to the introduction of new employees to a company.
- A *performance appraisal* can include assessments of everything from attendance to objectives met with the goal of measuring productivity, efficiency and effectiveness.
- The most extreme replacement decisions involve *termination*, or the involuntary and permanent dismissal of an employee.
- *Compensation* is how much employees are paid in money and benefits – it is one of the most highly charged issues faced by human resource managers.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect as (ii) and (iii) also apply.

Answer B is incorrect as (iii) also applies.

Answer C is correct as all three of these questions will provide information on a candidate's skills and knowledge.

Answer D is incorrect as (iv) does not relate to the job's requirements.

Question 2

Answer A is incorrect as (i) relates to skills and knowledge, the person-job fit; and (iii) and (iv) is not the only question to provide information on person-organisation fit.

Answer B is correct as (ii), (iii) and (iv) provide information on the alignment between the candidate's personal values and the organisation's values.

Answer C is incorrect as (iii) and (iv) are not the only questions to provide information on person-organisation fit.

Answer D is incorrect as (i) relates to person-job fit; and (iv) is not the only question to provide information on person-organisation fit.

Question 3

Answer A is incorrect. It is a relevant question for assessing the skill in managing work stress.

Answer B is incorrect. It is a relevant question for assessing the skill in managing business performance.

Answer C is correct. It is an irrelevant question. It is not related to the job's requirements. Moreover, there is the risk of breaching the anti-discrimination ordinance for family status in Hong Kong.

Answer D is incorrect. It is a relevant question for assessing the customer service skill.

Question 4

Talent management is a process for strategically and deliberately attracting new, highly skilled workers and developing the abilities of existing employees to meet current and future organisational objectives.

Innovative and organised people with important skill sets such as critical thinking add value to products and services and help the company differentiate itself from the competition. In this age of globalisation and technological advancement, it is crucial for businesses to diversify their workforce and ensure that they stand out from their competition in order to attract the right talent.

Question 5

Answer A is incorrect. The cost of hiring internally is lower than hiring externally, for example, no need to pay advertising or recruitment agency fees.

Answer B is incorrect. Hiring internally provides staff with opportunities for more exposure or promotion.

Answer C is incorrect. With more opportunities for career development, staff will be more willing to stay with the company and thus the staff turnover rate will be reduced.

Answer D is correct. There is still the need to assess employees' skills and experience against the job's requirements.

Question 6

Answer A is incorrect as (i) assesses the candidate's language skills; and (ii) is not the only question to provide information on the candidate's suitability.

Answer B is incorrect as (ii) is not the only question to provide information on the candidate's suitability; and (iii) is a situational assessment to understand staff's behaviour if colleagues fail to meet the agreed deadline.

Answer C is correct as (ii) provides information on the candidate's skills and behaviour and (iv) provides information on how the candidate acted in handling the request.

Answer D is incorrect as (iii) is a situational assessment to understand staff's behaviour if colleagues fail to meet the agreed deadline; and (iv) is not the only question to provide information on the candidate's suitability.

Question 7

A is incorrect. The code of conduct should be explained by HR.

B is correct. The hiring manager should ensure new employees understand the job description.

C is incorrect. It is the employee's personal information and should be handled by HR.

D is incorrect. It is a good practice to have lunch with new employees on the first day but not necessary for the hiring manager to pay the cost.

Question 8

A is incorrect. It is the planning function in HRM, which does not address the situation about training.

B is incorrect. It is the recruitment and selection function in HRM, which does not address the situation about training.

C is correct. It is the training and development function in HRM, which matches the case information about job rotation and training for newly joined staff.

D is incorrect. It is the performance and appraisal function in HRM, which does not address the situation about training.

Question 9

A is incorrect. It is the planning function in HRM, which does not address the situation about evaluation.

B is incorrect. It is the recruitment and selection function in HRM, which does not address the situation about evaluation.

C is incorrect. It is the training and development function in HRM, which does not address the situation about evaluation.

D is correct. It is the performance and appraisal function in HRM, which addresses the evaluation techniques used (i.e., performance appraisal, constructive feedback and the 360-degree performance evaluation).

Question 10

DPD should have a well-designed HRM plan to manage the mentioned problems. It could first determine the numbers and types of staff required to replace the staff that are to retire for different aspects of its business, for example, catering, cleaning, serving and so on. The business owner should then identify the skills, personality and knowledge required to ensure proper, speedy and friendly services. After confirming the requirements, the business owner can go through the recruitment and selection process to identify qualified candidates. DPD should also ensure that the working conditions are properly created for the existing employees. It has to provide a happy, fair and safe environment for them to ensure their satisfaction and loyalty.

Question 11

The HRM roles adopting in achieving the success of SIA:

- HR recruitment and selection role: SIA adopts a rigorous and strict selection process through group and one-to-one interviews and an English language competency test to recruit quality, cheerful, friendly and humble candidates. This HRM process helps SIA identify suitable candidates for providing the best airline services in the world.
- HR training and development role: All newly recruited cabin crews will take part in an intensive and comprehensive training course over 15 weeks to enable its staff to provide gracious services with confidence and warmth. This HRM process allows SIA to develop its staff to fit its service guidelines and offer the services up to its standard.
- HR evaluation and appraisal: Its staff are evaluated in different aspects, including grooming, passenger handling capabilities, product knowledge, safety knowledge and work relationships with teammates. Quality staff are recognised and rewarded for their outstanding performance. This HRM process ensures its staff are assessed fairly with objective criteria. They would be rewarded for their quality contribution to its services. Happy employees would then generate happy customers through quality services.

- HR compensation and benefits: Other than the recognition, performance-based share options and linking variable pay components to individual staff contribution and the company's financial performance are used to reward employees. This HRM process ensures its staff are recognised and compensated objectively. Their contribution to the business is recognised and compensated. It can enhance better employee performance and better customer services for the business.

EXAM PRACTICE

QUESTION 1

Recruitment is a key function of HR. A selection interview provides an opportunity for the hiring manager to assess the candidate's suitability for the position and, at the same time, the candidate can assess whether the company is suitable for them. Identify which of the following also serves as an interview objective.

- A. Promote the company's goods and services.
- B. Promote the company as a preferred employer.
- C. Understand the public's image about the company.
- D. Understand other companies' practices in employee benefits for improvement.

QUESTION 2

In managing termination of employment because of substandard performance, different aspects need to be considered to ensure the process is smooth and complies with legislative requirements. Identify which of the following is NOT relevant to employment termination for substandard performance:

- A. Determine if the staff's ethnic background is appropriate to your clientele.
- B. Check the employment contract to ensure the termination process does not violate any terms stated in the contract, for example, the notice period.
- C. Check the staff's age.
- D. Understand the staff's personality.

QUESTION 3

Performance appraisal is a process of evaluating an employee's performance against the job's requirements for recognition and further growth. Identify which of the following should be of the least importance in designing the appraisal system.

- A. Link the review to the organisation's goals.
- B. Arrive at an overall rating for the employee.
- C. Self-assessment of the employee.
- D. Identify areas for improvement for the employee.

QUESTION 4

Adequate compensation is important for attracting and retaining employees. It is the usual practice for organisations to link employees' performance to compensation to drive performance and increase productivity. Apart from employee performance, identify which amongst the following factors is the most important in designing an organisation's salary review.

- A.** Qualifications of an employee.
- B.** Market pay level for similar roles in similar organisations.
- C.** Gender of employees.
- D.** The organisation's workforce size.

QUESTION 5

To increase staff retention, organisations offer different benefit plans. From the following, identify which is the most effective in serving both the purposes of staff retention and driving performance.

- A.** Performance-linked bonus scheme
- B.** Staff saving plan for stock ownership
- C.** Staff mortgage plan
- D.** Children's education subsidy

QUESTION 6

Ma Ma Kitchen (MMK) is a restaurant chain with six outlets employing 150 employees in Hong Kong. With the objective of improving the quality of service of restaurant staff and thus the business performance, MMK is planning to introduce a performance appraisal system for the restaurant staff.

Explain three factors that should be considered in the planning and implementation of the new performance appraisal system.

QUESTION 7

BDD is a fast fashion retailer. To support its aggressive expansion plan, it is going to open six new shops and recruit 80 sales staff in the next three months.

- A.** List and describe four sources of external recruitment for reaching the potential candidates.
- B.** Describe three methods to help BDD select the suitable candidates effectively and efficiently.

QUESTION 8

Happy Supermarket is going to adopt self-checkout services to increase the efficiency of checkout services. Under this reform, some cashiers could be released from their duties, but some assistants are required to facilitate the self-checkout services for the customers, and more assistants are needed to organise products on the shelf. Outline the staff planning process to manage this reform for Happy Supermarket.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. The selection interview should focus on subjects relating to the employment opportunity. It is not an appropriate occasion for promoting the company's goods and services.

Answer B is correct. Explaining to candidates the company's core values and its remuneration system would help the candidate understand better the organisation as an employer, and thus enhance the understanding of person-organisation fit.



Answer C is incorrect. The selection interview should focus on subjects related to the employment opportunity. It is not an appropriate occasion for collecting reliable information on company image.

Answer D is incorrect. The selection interview should focus on subjects related to the employment opportunity. It is not an appropriate occasion for collecting reliable information on market practice.

QUESTION 2

Answer A is incorrect. Reasons for termination and the evidence should be documented for future reference, in case of any labour dispute. This issue should be considered in this case.

Answer B is incorrect. The termination should comply with the terms stated in the employment contract, for example, the notice period and special terms for termination of employment, if any.

Answer C is correct. Age should not be a factor for consideration in this case of termination of employment due to substandard performance.

Answer D is incorrect. Understanding the personality of staff will help anticipate staff's emotion when the termination is communicated. This issue should be considered in this case.

QUESTION 3

Answer A is incorrect. It is important to link the assessment to the organisation's goals.

Answer B is correct. The focus of the appraisal should be a two-way communication between the employee and the supervisor on performance and career growth. While it is common practice to have an overall performance rating, it should be the least important in the appraisal system. In fact, some large corporations in the United States have started to do away with ratings in the performance appraisal.

Answer C is incorrect. The performance appraisal is about two-way communication. Self-assessment provides an opportunity for employees to review their performance and prepare for the discussion with the manager.

Answer D is incorrect. While performance appraisal assesses past performance, it should also focus on the growth of staff in the future. Identifying areas for improvement will equip employees better for their current and future roles.

QUESTION 4

Answer A is incorrect. A salary review should be linked with the employee's performance rather than their qualifications.

Answer B is correct. To stay competitive in attracting and retaining employees, companies should consider the market pay trend and pay level.

Answer C is incorrect. A salary review should be linked with the employee's performance irrespective of gender. It is worth noting that there is an anti-discrimination ordinance on gender in Hong Kong.

Answer D is incorrect. The salary review should make reference to market pay for similar roles in organisations of a similar business nature, rather than considering the workforce size.

QUESTION 5

Answer A is correct. It is effective in driving performance and retention. Some companies adopt a deferral mechanism to enhance the retention effect.

Answer B is incorrect. It serves retention but is not related to staff performance.

Answer C is incorrect. It serves retention but is not related to staff performance.

Answer D is incorrect. It does not relate to staff performance and if the subsidy is for education in Hong Kong, the amount may not be substantial enough for retention.

QUESTION 6

Decide on the performance measures.

Performance measures will provide a consistent basis for appraisal and minimise subjectivity. The measures may differ for different job roles. For restaurant managers, the performance measure may include sales turnover of respective restaurants, customer service score in mystery shopper surveys and operating expenses. For waiters and waitresses, the performance measure may include productivity, customer service score and completion of training for respective role.

Identify the required competencies.

MKK should consider the company's culture and values in defining the required competencies for reinforcing the desired behaviours. Customer orientation, communication, problem solving and initiative are some of the competencies supporting the business objectives of MKK. For restaurant managers, the company may include the competencies of drive for performance and staff development.

Appraisal system that is easy to understand and administer.

The appraisal system should be easy to understand and administer for restaurant frontline staff, for example, low requirements for write-up will suit restaurant frontline staff better.

Staff communication and training.

Conduct communication to get staff's buy-in of the new appraisal system and provide training to ensure they understand the appraisal system and the performance standard. Supervisors should be trained to conduct an effective appraisal.

Do a pilot run of the new system for enhancement.

Run a pilot of the new system to collect feedback from supervisors and staff for improving the process and system before it is finalised.

Link performance appraisal to staff development.

Feedback from the appraisal system will provide input to staff's development plan to help staff improve work performance or prepare them for taking on more responsibilities.

Link performance to reward.

Linking appraisal results to rewards will motivate staff to do better and reinforce strong performance.

QUESTION 7

The following external sources can be used for reaching the potential candidates:

- Company website: To advertise the openings on the company website.
- BDD shops: To advertise the openings in the BDD shops and organise recruitment days in the shops in major locations.

- External recruitment websites: To advertise on popular job search websites in Hong Kong such as jobsdb.com, Recruit, Indeed, CTgoodjobs and so on.
- Free newspapers: To advertise in free newspapers such as *am730*, *Headline Daily*, *Metropolis Daily* and so on.
- Social media: To advertise on popular social media platforms such as Facebook, LinkedIn and so on.
- Job fairs: To participate in job fairs, information of which is available from the Labour Department.
- Employee referral: To invite employees to refer friends to apply for the openings.
- Career office of academic institutions: To contact the career office of institutions offering training relevant to retail, such as the Employee Retraining Board, to advertise the openings.

The following means will help BDD to select the suitable candidates effectively and efficiently:

- Define skills requirements: Conduct person-job and person-organisation analyses to identify the competencies required as selection criteria for different openings.
- Structured interview: Prepare interview questions to assess the competencies of candidates. For a comprehensive assessment, both behavioural and situational interview questions should be included.
- Phone interview for initial screening: Use phone interviews for initial screening to make sure that the candidate meets the basic requirements by fashion retailer, for example, satisfactory communications skills and language proficiency, before inviting them for face-to-face interviews.
- Face-to-face interview: Conduct face-to-face interviews to assess the candidate's suitability. Assess the candidate's competencies and presence, for example, grooming and manner and whether they match the role's requirements.
- Skills test: Consider the skills requirements, for example, language proficiency and computer skills and conduct skills tests.
- Work sampling: Set up a mock shop at BDD and invite the candidates to perform major tasks required by the job, for example, display the goods on the racks according to instructions.

QUESTION 8

Happy Supermarket could first list out the number, roles and responsibilities of the new position – assistants for self-checkout services as well as shop assistants. It can then recruit potential candidates from internal sources. It could encourage existing cashiers to take up these new positions. It may provide new guidelines for the cashiers to be familiar with the duties and responsibilities of the self-checkout assistants, whereas training could be provided to ensure that the cashiers are familiar with the position of the shop assistant. Each cashier who will take up this new position could be assigned a buddy, who is currently a shop assistant and familiar with the duties and responsibilities of the position, to understand what is required from the role. This process not only avoids firing the cashiers, but also maintains staff morale in the organisation and enhances the corporate image of Happy Supermarket.

9

Control Systems, Risks and Recovery

CHAPTER TOPIC LIST

9.1 Risks and Controls

- 9.1.1 Reasons for Control Systems
- 9.1.2 Types of Risks
- 9.1.3 Risk and Crisis Identification and Mitigation

9.2 Effective Control Systems

- 9.2.1 Characteristics of Effective Control Systems
- 9.2.2 Levels of Controls
- 9.2.3 Control Process
- 9.2.4 Tools for Measuring Organisational Performance



LEARNING OUTCOMES

PRINCIPAL LO7: DESCRIBE AND ANALYSE EFFECTIVE CONTROL SYSTEMS

LO7.01: Describe the characteristics of effective control systems and risks (including operating and financial risks, key issues in relation to crisis management) in a business entity and analyse the systems' effectiveness (including performance control, financial and non-financial methods of control), and the main components of the risk management process

7.01.01 Explain the need for control in entities

7.01.02 Describe and analyse the characteristics of effective control systems including performance control in entities

7.01.03 Describe financial and non-financial methods of control

7.01.04 Describe operating risk and financial risk

7.01.05 Identify the main components of the risk management process

7.01.06 Describe and analyse the key issues in relation to risk and crisis management



OPENING CASE

THE NEED FOR RISK CONTROLS IN A FAST FOOD RESTAURANT

Risks and controls are crucial to any business entity.

The Café de Coral Group (SEHK:0341) is one of Asia's largest publicly listed restaurant and catering groups. It is principally engaged in operating quick-service and specialty restaurant chains and has successfully diversified both vertically and horizontally into the institutional catering and food processing business.

Meanwhile, the group has also worked hard to develop and implement appropriate risk management and internal control systems.

To ensure the effectiveness of internal control systems, risk management should be reviewed and the internal control performance monitored while an internal audit plan is approved.

In this particular case, the restaurant chain has adopted a risk and control self-assessment methodology by continuously assessing risks. It also communicates key control procedures to employees in each functional unit on a regular basis.

Considering the need for external controls, it has appointed an external consultant to continuously review its internal control system, working systems and workflows, as well as management systems. The review is conducted by referring to the guidelines and definitions given by the regulatory and professional bodies to assess the five different internal control elements: the control environment, risk assessment, control activities, information and communications and monitoring.

For the control process, the group has put in place a strong central food processing centre, which is crucial for the success of the catering group. It has been centrally processing food since the 1980s.

With state-of-the-art technology, the facility enables a streamlined standardisation of food quality and ensures total control over an ever-increasing volume and range of products and ingredients. Much of the food sold in the restaurants is portioned and processed at this facility. All products, ingredients and packaging materials undergo strict hygiene and safety checks on arrival, before processing and distribution to individual restaurants.

Risks have to be identified and managed. Management assesses and ranks risks that are relevant to the business according to their likelihood, financial impact and reputational impact. Risk profiles are reassessed periodically.

For example, food safety is always the core risk element in the risk profile and it is related and embedded in controlling and monitoring mechanisms of business operations on a daily basis.

Finally, the group conducts an annual review and assessment of the effectiveness of risk management and internal control systems. 



OVERVIEW

Control processes and systems are essential to the success of a business. Control is needed so that things happen in the right way at the right time, and if things go wrong, control helps to identify the error, preventing further mistakes and enabling things to move forward again. Accurate evaluation of control processes is critical to ensure their effectiveness and reliability.

Most companies use a variety of controls. Quality control, purchasing and inventory controls, break-even analysis, key financial controls and balanced scorecards are some of the basic tools and techniques. Because business operations are constantly evolving, control processes must anticipate and promptly react to changes. To identify the causes of any gaps between real performance and desired performance, companies often create systems to report on activities.

The effectiveness of a control system depends on the people who create, maintain and monitor it. These people include the board of directors or equivalent oversight body, management and personnel, support (i.e., business-enabling) functions and internal auditors. If aspects of a control process are outsourced, the service provider performs controls, but management retains responsibility.

Senior management plays an important role in a control system. Management's behaviour sets the organisational ethical tone at the top by providing leadership. Accordingly, management is accountable to the board of directors and provides leadership and direction including shaping the company's values, standards, expectations of competence, organisational structure and accountability for the control system (e.g., by specifying company-wide objectives and policies).

Management also maintains daily oversight and control over relevant business risks, guides and develops control activities at the company level and delegates the design, implementation and assessment of control processes to appropriate levels of management. It is responsible for communicating expectations (i.e., integrity, competence, key controls and policies) and information requirements related to control processes and must evaluate control deficiencies and their impact on the ongoing and long-term effectiveness of the control system.

Ultimately, internal controls are the responsibility of *all* individuals within a company. That is, all employees play a role in the company's control objectives. Specific responsibilities related to internal control, of course, depend on the individuals' functions.

This chapter explains why control processes are important and discusses the role of management and other parties in control processes. Techniques for evaluating control processes are identified, as well as the possible limitations and deficiencies of a control system.

This chapter also discusses how businesses monitor systems of internal control in the face of ever-evolving risks. It describes the techniques for monitoring the effectiveness of control

systems and introduces corrective actions to address deficiencies. In addition, risk and crisis management processes are discussed. These control processes are crucial for identifying potential risks and for handling crises when they occur.

9.1 RISKS AND CONTROLS

Control is a process of measuring performance and taking action to achieve desired results. To managers, the aim is simply to ensure that things go according to plan and that objectives are met or surpassed. Control involves significant decision making, which forms the foundation of all control processes and systems.

External control exists through the administrative system or direct supervision. Examples include bureaucratic control and market control. Just like government regulation in Hong Kong, the Mandatory Provident Fund (MPF) Schemes Authority regulates the city's compulsory pension scheme for formulating public policy and financial regulation. It can directly affect manpower resources in business entities. For refining the MPF scheme, a major reform has been proposed by the Hong Kong government to set a controversial MPF offsetting mechanism that lets employers take cash from the pot to offset long-service payments to workers.

Internal control occurs when people undertake self-control in achieving the job expectations. It is the responsibility of everyone in an organisation; therefore, the principles and objectives are to differing extents, requirements of all employees. For example, accounting managers must set the procedures in place to ensure the continued reliability of accounting systems. Managers can then make fully informed financial decisions and error-free financial reports. In an accounting department, the separation of duties is recommended for different accounting staff. Activities such as bookkeeping, **reporting** and auditing involve splitting responsibilities. The control can mean less chance of committing fraudulent acts when only one employee is responsible for all these activities.

9.1.1 Reasons for Control Systems

Multiple parties and management levels are involved in control processes. For the whole system to work, meticulous planning is required to set the direction, manpower and resources needed to be organised into the right places, and leadership needs to be strong to inspire people to do their best.

There are four main reasons for control systems:

- Accountability
- Corporate and individual protection
- For stakeholders
- For the general public

9.1.1.1 Accountability

Control systems are important for **accountability**. They are used to ensure **compliance** with management's prescribed policies and procedures, and that goals are met.



Some common measures of business performance include sales growth, earnings per share, market share, delivery time and error rates. These measure actual outcomes or performance results in terms of quantity, quality, cost or time, and are thus examples of **output standards**.

Input standards, which measure the efforts that go into a task, are also important in control processes. Sometimes outputs are difficult or expensive to measure; in these situations, input standards are especially helpful. Examples include efficiency in the use of resources and manpower, the attitude and professionalism of employees, punctuality and adherence to rules and procedures. Of course, satisfactory input standards do not necessarily mean that the desired output standards are achieved, but they are a first step in the right direction for accountability.

Internal financial reporting is important in this respect, for example, divisional financial reports, profitability analysis and bank covenant calculations. Objectives may include staff or asset utilisation, customer satisfaction measures and/or health and safety measures. Reporting internal information is necessary for management and the board to manage the business and support decisions regarding the business's strategic direction, operating plans and expectations.

While establishing objectives and standards to ensure accountability, management should consider the potential for excessive performance pressures, including unrealistic performance targets and an excessive concern with short-term targets (e.g., quarterly earnings).

There are four key roles and responsibilities for internal controls in relation to accountability:

- The **board of directors** is responsible for oversight of key internal control activities and the organisation's enterprise-wide risk management.
- Management's responsibility is for maintaining effective internal controls related to daily operations. Often their compensation is partly (or fully) based on the organisation's achievement of objectives (e.g., earnings targets). Management is sometimes referred to as the 'first line of defence' in internal controls.
- Support (business-enabling) functions may include legal, compliance, finance, human resources, information technology and others. **Support functions** clarify internal control requirements and evaluate control-related compliance with set standards. Support function compensation should not be tied directly to the achievement of organisational objectives. Support (business-enabling) functions are also called the 'second line of defence' in internal controls.
- **Internal auditors** assess and report on internal control and provide recommendations to correct or improve activities. Their compensation should be unrelated to the business areas that they review and assess. Internal auditors are also called the 'third line of defence' in internal controls.

9.1.1.2 Corporate and Individual Protection

Control systems are crucial to safeguard assets of the firm, promoting the efficiency of the firm's **operations** and protecting individual employees. Hence, they are used for corporate and individual protection.

Control objectives relate to the effective and efficient use of resources. This involves improving financial performance, productivity, quality, environmental practices, innovation, customer and employee satisfaction, as well as safeguarding assets (protecting and preserving assets).

Without effective control systems, a company would not only have a lot of wastage but also have no means to ensure the health and safety of its employees.

9.1.1.3 For Stakeholders

With increasing demand for business transparency, stakeholders (including owners), shareholders, employees, customers, creditors, potential investors and the government pay close attention to a company's performance and actions. Control systems are therefore very important for ensuring the accuracy and reliability of accounting records and information. This involves the following:

- Identifying and recording all valid transactions.
- Providing timely information in appropriate detail to enable proper financial reporting.
- Accurately measuring the financial value of transactions.
- Accurately recording transactions in the time period in which they occurred.

In this respect, control systems are related to the preparation of both financial and non-financial reports for use by shareholders and the organisation.

Financial reporting usually involves, for example, annual financial statements, interim financial statements and earnings releases. Non-financial reporting usually involves internal control reports and sustainability reports. Characteristics of financial and non-financial reporting objectives include meeting shareholder or regulatory requirements, being prepared in accordance with external standards and being prepared to meet regulatory, contractual or other agreement requirements.

External parties, such as external auditors, customers, legislators and regulators and financial analysts, also play a significant role in contributing to the achievement of a company's objectives. In view of this, ethical auditing is a process that measures the internal and external consistency of a business's values. For multinational companies in Hong Kong, the management needs to consider unfamiliar cultures of employees with differing value bases. For the specific factors of the ethical environment, codes of ethics are important since the rules should dominate the ethical accounting and auditing literature which sets limits for any unethical behaviour.

9.1.1.4 For the General Public

The way control systems are designed and executed communicates to the general public the fundamental mission and vision of the company.

Therefore, to avoid criticism from the general public, companies must use control systems that ensure compliance with external laws and regulations. For example, a company must identify any laws or regulations that must be adhered to, such as human resources, taxation, environmental compliance and laws that apply to operations in a foreign country.



Illustrative Example 1

Mr. Chan is a business manager of a small and medium-sized enterprise (SME). He is assigned to write a business proposal to acquire funding from the government. The funding is available to subsidise local SMEs in adopting technological services and solutions to improve productivity or upgrade or transform their business processes.

Mr. Chan has read the notes on how to prepare the proposal which is suggested by the government funding.

Mr. Chan also learns that, as a control measure, the assessment criteria of the funding must include:

- Relevance of the proposal to the applicant enterprise's business: The project should have good prospects of enhancing its competitiveness through improving productivity, business development/expansion, cost reduction, efficiency enhancement or upgrading/improving/transforming business processes.
- Reasonableness of the budget: Assessment is made with reference to market prices of the technologies in question as known to the applicant. Individual items of expenditure must also be essential and directly related to the implementation of the project.
- Reasonableness of the implementation details: Consideration may include whether concrete and quantifiable project deliverables and outcomes have been set. The implementation details should also be realistic in considering factors such as the complexity of the technology and the project duration.

However, Mr. Chan is suffering lack of knowledge to carry out controlling in the proposal. ABC Ltd. is a training consultancy firm which helps SMEs train managers to manage control processes effectively. As the consultant of Mr. Chan's SME, ABC Ltd. could further provide professional advice. They provide him with some notes to help him understand the control process.

Control processes begin with the business objectives and standards. They involve measuring performance and comparing the results with those objectives and standards, as well as taking corrective actions as needed. A business proposal would be much more convincing if it includes the details of the control processes.

The consultant at ABC explains that the government will also want to know the details of those involved in internal control, particularly the board of directors, management, support functions and internal auditors. The government will assess whether the standards from the proposal are realistic and clear, and whether the project goals are likely to be achieved. Hence, the proposal should also mention what will be monitored as part of the control processes, and how this will be executed.

Identify and determine the parties that would be involved in monitoring and controlling the funding processes.

A consultant could advise SMEs to perform assessments based on control criteria developed after careful review of how control processes may be effectively managed depending on the nature of the business. As control relates to both internal and external

Illustrative Example 1 (*continued*)

circumstances, it promotes the efficiency of the SME's operations and protects individual employees in internal circumstances. Management should make multiple types and levels of decisions within the control processes. These involve separate roles, such as directors and other management, and responsibilities for internal control. As a stakeholder, the government pays close attention to the company's performance and actions of the funding project with increasing demand for business transparency. Hence, controls could also be used for corporate and individual protection. In order to avoid criticism from the general public, Mr. Chan must use control systems to ensure the funding project complies with the funding criteria. At the same time, external auditors and regulators act as professional parties to measure control performances. In view of this, improving the control quality can minimise risks.

9.1.2 Types of Risks

9.1.2.1 Financial Risks

Businesses are always under pressure to make good use of their financial resources. This means allocating money where it can generate greater returns or where it is absolutely needed and keeping expenditures as low as possible without compromising quality. It also means minimising financial risks.

Financial risks include issues related to liquidity, debt, credit and the overall economic outlook. Two important types of financial risk are market risk and credit risk.

Market risk refers to uncertainties in market prices which can go up or down. The price of gold might drop, making gold mining less profitable – that is commodity risk. Volatile stock prices create equity risk, and volatile foreign exchange rates create interest rate risk and currency risk.

Businesses involved in contractual arrangements are also subject to **credit risk**, which is the risk of a counterparty to a contract going bankrupt and failing to repay the amount due.

9.1.2.2 Operational Risks

In addition to financial controls, there are also non-financial controls which managers must execute well for business operations to run smoothly. Managers must also pay attention to operational risks, as these can cause a crisis if left to spiral out of control. A strong combination of financial and non-financial controls can alleviate such risks.

Operational risks include failures in internal processes or systems, human error, safety for employees and other stakeholders, as well as changes in government policies regarding issues such as pollution, safety and hazardous waste. Any changes to such policies could affect business operations because businesses must adhere to governmental and legal requirements. Operational risks could lead to an increase in costs or a decrease in revenues.

Here are some examples of operational risks:

- *Internal fraud:* Acts involving at least one person in the company who tried to circumvent the law, regulations or company policy. Examples include intentional misreporting of finances and employee theft.

- *External fraud:* Acts by someone external to the company who tried to circumvent the law. Examples include robbery and computer hacking.
- *Business disruption and system failures:* Examples include utility outages, hardware and software failures and telecommunication problems.
- *Execution, delivery and process management:* Trade disputes and failure in transaction processing or process management. Examples include vendor disputes, incomplete legal documentation, data entry errors and unapproved access given to clients' accounts.
- *Damage to physical assets:* Loss or damage to physical assets caused by natural disasters or other events. Examples include fires, floods, terrorism and vandalism.
- *Employment practices and workplace safety:* Acts that could lead to compensation claims or which are inconsistent with employment, health or safety laws or agreements. Examples include violation of employee health and safety policies, discrimination claims and general liability (for example, an employee slipping and falling in a factory).
- *Clients, products and business practices:* Use of inappropriate products or business practices, and negligence causing failure to meet obligations to clients. Examples include misuse of confidential customer information, the sale of unauthorised products and money laundering.

9.1.3 Risk and Crisis Identification and Mitigation

Businesses operate in a risky and uncertain world. Business risk refers to the possibility of loss that is part of any business organisation. To survive and succeed, risk management is needed to effectively manage all aspects of a business. This involves **risk and crisis identification and mitigation**.

Managers make decisions in three different conditions or problem environments – certainty, risk and uncertainty. The higher the management rank, the higher the level of risk and uncertainty in problem environments.

A **certain environment** is an ideal and predictable situation for making decisions. Factual information exists on the different possible actions and their consequences, meaning a decision maker can study the alternatives and choose the best solution. However, such certain conditions are rare.

The reality is that the future is hard to predict and we often do not have all the information and facts that we need to make a decision with full confidence that it is the best thing to do. In these **risk environments**, alternative courses of action and their consequences can only be analysed using probabilities. When launching a new product, for example, it is unlikely that executives would give the green light without lots of data gathering and analysis. This often involves using multiple focus groups to test the new product in its early stages before launch. Gathering as much information as possible is important when dealing with risk.

When there is very little reliable information, and managers have a difficult time guessing probabilities, an **uncertain environment** exists. This is the most difficult condition for decision making because a lot of intuition, judgement and guessing are relied upon, leaving significant room for error.

Sometimes the difference between a risk environment and an uncertain environment is a very thin line. Understanding the components of the risk management process is therefore of critical importance.

Risk management refers to the forecasting and evaluation of financial risk along with the identification of procedures to avoid or minimise their impact. Effective risk management is proactive rather than reactive; it involves planning and acting before a crisis happens. Managers should not just wait and see what happens, hoping to be able to manage the consequences; instead, they should know in advance what the consequences are likely to be. Then, plans are made to reduce the probability of a crisis and to deal with the consequences if it occurs.

9.1.3.1 Identifying and Managing Risks

Risks can be usefully analysed, or decomposed, into constituent elements or parts.

Key questions to ask are:

- How likely is a risk event (or crisis) to occur?
- How is the event likely to occur?
- What controls are in place to reduce the risk?
- What might prevent the controls from working?
- How damaging would the crisis be? What is the amount of loss, should one occur? The expected value of a loss is the likelihood of the loss, multiplied by the amount of a loss, should one occur.

These questions help managers understand risk better by indicating the likelihood of a crisis happening, the causes of the crisis, the controls that exist to deal with the risk, and the consequences and impact of the crisis. With this understanding, managers can think of how to make the preventive controls more effective and how to handle the crisis should it occur (Exhibit 9.1).

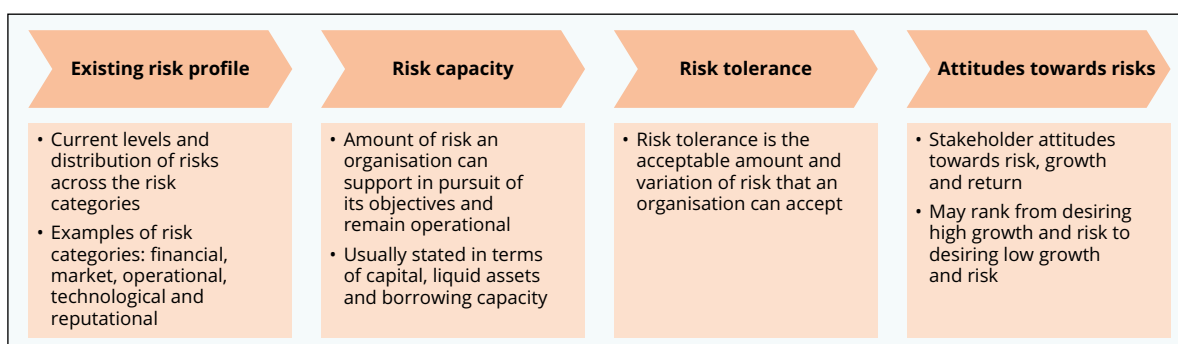
Product risk	Decide what products or services to sell with the ability to explain what the product is and the problems it solves
Market risk	Know who the target customers are by doing market research to identify the potential markets
Financial risk	Make sure there is enough equity or debt investments for the business plan; decide whether the business needs to attract investors or use crowdfunding to raise capital
Manpower risk	Have a strong team of programmers or reliable partners to overcome challenges
Execution risk	Have a strong, feasible business idea that is aligned with effective operation plans and strategies

► **EXHIBIT 9.1** Managing different types of risks

Explicit development and communication of organisational policies and standards for managing organisational risks are also critical to establishing the desired control environment. For example, some organisations require that a designated team review major proposed projects and activities to assess their risk. This would require the creation of a risk review team.

In addition, assessing risk appetite is essential in managing risk. Organisations can implement a strategy only with full consideration of the risk exposures associated with that strategy.

Risk appetite is the amount of risk that an organisation is willing to accept in pursuit of its goals. It can be articulated in numbers or words and in ranges or exact amounts. It requires stating whether a company chooses to pursue a high-risk and high-return strategy or a more conservative and predictable strategy (Exhibit 9.2).



► **EXHIBIT 9.2** Determinants of risk appetite

Apply and Analyse 1

A start-up business plans to write a new mobile app for food ordering and takeaway services for restaurants in Hong Kong. However, the project manager is finding similar competitors on the market. Their apps such as Food Panda, Deliveroo and UberEats have a variety of features and occupy a certain percentage of the market share in catering services.

To understand the risk management process better, the project manager would like to:

1. know the difference between risk and uncertainty;
2. identify the potential risks facing the business; and
3. understand the reasons why the risk management varies from a start-up business to a large enterprise.

Uncertainty means that it is possible to have alternate outcomes. Risk is uncertainty that affects the project for better or for worse. If the risk is favourable, it presents the project team with an opportunity to capture the market.

If the risk is unfavourable, it represents a threat that may require a response from the project team. Uncertainty will not always affect the project. If the project is unaffected by the uncertain scenario, the uncertain scenario is not a risk to the project.

The start-up economy is rich with opportunity, innovation and potential; however, it also faces risks and uncertainties. In view of this, starting a business has never been

Apply and Analyse 1 (continued)

more exciting. The following risks are identified when launching a start-up business. The following risks are linked to internal tasks. Management should analyse the marketing or operational tasks to avoid or mitigate the possible risks and to make better decisions such as building the right app as a product, setting the appropriate customer segments, and recruiting or hiring the right staff.

Identify the means for the start-up business to minimise the risks facing product, capital, customer, staffing and planning.

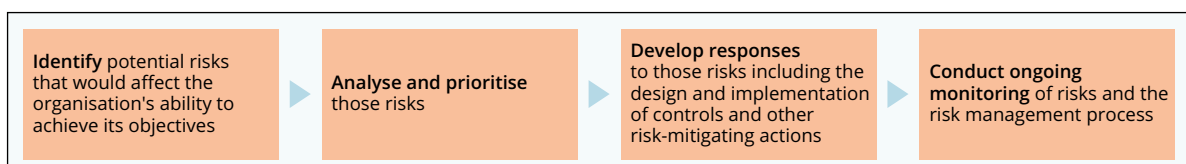
Analysis

The following is an analysis of the mobile app start-up business to minimise the risks:

Products	A mobile app is always built based on different mobile operating systems, such as iPhone OS and Android OS. The features of the app can be updated through system updates to check risks and compatibility with older versions of these systems. Furthermore, the apps for other competitors are quite easy to use and functional for different features.
Target customers	People who have smart phones are identified as potential market segments based on market research on their needs. For a catering app, people can choose their interested restaurants from different food segments or by districts/ regions.
Capital	This must ensure that investing in the start-up business is attractive to investors with appropriate business models.
People	Reliable and skilled IT staff or partners can overcome many technical problems and find practical solutions.
Plans	Planning is more effective under good operations and workable implementation strategies for app development.

9.1.3.2 The Main Components of the Risk Management Process

The risk management process at organisations normally involves four steps, starting from risk identification and moving to risk analysis and prioritising risks, developing responses and monitoring. These main processes are shown in Exhibit 9.3.



► EXHIBIT 9.3 Analysing and responding to risk

The first step in the risk management process is to identify potential risks. This is a broad step, involving as many different stakeholders as possible and covering the gamut of potential

risks – financial, economic, commercial, environmental and so on. The exercise of identifying potential risks could involve everyone in an organisation from the board down to frontline staff with risk managers gathering the information.

The ranges of risks that can impact an organisations are myriad, from an economic downturn and increases in interest rates to one-off events such as earthquakes and large storms. It is important, at this stage, for organisations to be as comprehensive as possible in their identification of risks, regardless of how outlandish any one risk may seem.

The second step is to analyse and prioritise the risks identified in the first step. This is where **risk managers** or risk management groups within an organisation step in.

The process of analysing and prioritising the risks identified in the first step typically takes into account two variables. The first is the probability or likelihood that an event associated with a particular risk could actually happen. The second is how serious the consequences should the risk event actually occur. Some risk events are frequent but have limited severity, a customer complaint, for example. Other risk events are rare but can be severe, such as an earthquake or a financial meltdown such as the global financial crisis.

Risk managers – whose responsibility is risk management, including the analysis and monitoring of risk as well as the development of risk management plans – and the board work together to determine a priority for those risks based on those two variables. Risk exposures that have both a high probability of happening and serious consequences should be prioritised over serious but unlikely events or frequent but less serious risks. Extreme risks should be dealt with immediately.

One useful approach to prioritising risk is to develop a matrix as shown in Exhibit 9.4.

Likelihood	Consequences				
	Insignificant	Minor	Moderate	Major	Catastrophic
Almost certain (expected at most times)	High	High	Extreme	Extreme	Extreme
Likely (will probably happen)	Moderate	High	High	Extreme	Extreme
Moderate (may happen)	Low	Moderate	High	Extreme	Extreme
Unlikely (could happen)	Low	Low	Moderate	High	Extreme
Rare (unlikely to happen)	Low	Low	Moderate	High	High

► **EXHIBIT 9.4** Risk priority matrix

Extreme risks should be dealt with immediately, followed by high risks, then moderate and then low. Another approach is to use a numeric score for each possible risk, based on the possibility of it coming to pass and the severity of the impact.

The third step follows naturally from the second and is to develop responses to risk that match the priorities and operations of the organisation. Some risks may, for example, be avoided by shifting the manner in which a company carries out its business. Other risks may be transferred to other entities, such as insurance providers. Some risks may be reduced through better training, more thorough due diligence or diversifying supply chains. Other risks may simply have to be accepted and plans put in place to deal with them after the fact as well as contingencies to address them.

Finally, the fourth step in the risk management process is ongoing and requires risk managers and the board as well as risk management committees to regularly review the implementation of risk management plans and to consider new risks that may arise. For most organisations, risk management is an ongoing process.

Ultimately, the goals of risk management would include risk avoidance and analysis. There are almost unlimited risks, some more certain than others. For example, could an asteroid land on the organisation's headquarters? Yes, it could. Is it likely? No. Is it possible that hackers could access organisational financial information? Yes.

In general, an organisations' approach to dealing with risk should be multifaceted:

- For events that are more likely, the organisation will need to assess the risk and develop strategies for avoidance or minimising the impact.
- Risk management also includes finding solutions that are both timely and effective. If fire is a risk for an organisation, being able to put out the fire with fire extinguishers may be an appropriate risk management.
- Developing solutions to analyse and reduce risks as they occur. A chain of command can assist in handling surprises and potential losses.
- Analyse and manage risks that can occur across an enterprise. A successful hacking event, for example, can impact the organisation in many locations and in many departments.
- Through risk analysis and management, an organisation can proactively face potential risks with appropriate plans and responses.
- Risk management also helps with analysing capital needs to handle risk. For example, biometric solutions for accessing corporate financial records.

Applying the restaurant industry in the Opening Case as an example, the restaurant manager should normally be aware of stock levels and the restaurant's capacity to meet customer demands. By predicting potential risks related to food supply, the restaurant manager can order more accurate amounts of food. These risks are internal and should be addressed based on priorities, whereas some other risks may need further analysis such as the bargaining power of suppliers. Furthermore, the restaurant manager should act in advance since orders take time to be delivered. Ongoing monitoring should also be conducted based on daily operations and special occasions, such as weekends, holidays and festivals, which greatly affect the consumption levels.

Apply and Analyse 2

The Mass Transit Railway (MTR) is a major public transport network serving Hong Kong, which is operated by the MTR Corporation Limited (MTRCL). It consists of heavy rail, light rail and feeder bus services centred on many lines and is a rapid transit network serving the urbanised areas of Hong Kong Island, Kowloon and the New Territories.

Providing customers with a safe and reliable service is the bedrock of its operations. Its robust risk management system guides its preparation for emergencies, strengthens audit and system assurance, improves safety standards and procedures, as well as engaging its stakeholders to raise their safety awareness.

MTR has applied a framework to underpin its day-to-day business activities, which also provides a simple and effective management process to identify and review risks across various units of the organisation. It takes proactive measures to identify, evaluate and manage significant risks.

Risks that can be identified and managed include:

- New railway projects programmes and costs.
- Major railway service incidents.
- System crowdedness.
- System and staff safety.
- Upgrading of signalling system.

There are various considerations, including:

- Changes in the nature and extent of significant risks and responsiveness to changes in the business/external environment.
- Scope/quality of management's ongoing monitoring of risks, including 'deep-dive' reviews and other presentations on selected risk areas by the relevant members of the executive committee and managers.
- Extent and frequency of communication of risk monitoring results to the risk committee and the board.
- Results of annual internal certification of risk management effectiveness within the departments and business units.
- Benchmarking/roundtable/peer group ideas exchange.

To help ensure and monitor that responding to and recovering from emergencies and crises in an organised and highly effective manner, including timely communication with principal stakeholders such as government departments, it established a mechanism to activate the formation of the Crisis Management Team in the event of an emergency.

Review the annual report of MTR, then identify and prioritise the risks, and develop risk responses by applying the risk management process.

(Source: Adapted from MTR annual report 2017.)

Apply and Analyse 2 (continued)

Analysis

By applying the risk management process, the risks and risk responses of MTR are listed below:

1. Identify potential risks that would affect the organisation's ability to achieve its objectives. The possible risks facing MTR are:
 - Market risk: Changing external environment, new and emerging issues and trends in the market, competitors' strategies and actions, development of new technology, as well as changes in legal and regulations.
 - Product risk: Reliability of existing railway operation system and new project or business ventures.
 - Manpower risk: Responsiveness and quality of drivers and supporting staff, the transition, competence and knowledge of manpower and resourcing of workforce.
 - Operational risk: Relationship with key stakeholders, security threat towards the operations, execution of new operational systems, as well as IT systems and operations safety and service incidents.
 - Financial risk: Costs of new projects and systems, sources of funding.
2. Analyse and prioritise those risks. The management adopts the following procedures to evaluate and prioritise risks:
 - The management of MTR adopts the enterprise risk management (ERM) framework to evaluate risks.
 - It analyses the risks across all business units periodically by estimating the likelihood and consequences of the risks.
 - Then, the management prioritises the risks by using its risk matrix with four levels of ranking (E1 to E4). E1 has a very high risk and E4 has a low risk. The categorised risks will then be reviewed by the management and treated with different levels of effort. The risks categorised into E1 will be subject to the board, risk committee and executive committee's supervision.
3. Develop responses to those risks including the design and implementation of controls and other risk-mitigating actions. The management of MTR has the following methods to treat the risks:
 - Consider the risk appetite.
 - Review controls in place that ensure adequacy and effectiveness.
 - Ensure owners are in place to implement the risk-mitigating process.
 - Examples of controls for different risks:
 - Market risk: Monitor competitors' actions and conduct regular environmental scans for any changes through research.
 - Product risk: Close coordination with different parties for the development of new projects.

Apply and Analyse 2 (continued)

- Manpower risk: Training for contractor workers and staff on railway safety, training and development plans, and working with the government for labour recruitment and importation.
 - Operational risk: Engagement plan for stakeholders to ensure effective communication, investigation or technical studies, crowd management plans, upgrading signalling systems and works management office, enhanced IT network resilience, implementation of cyber security protection systems and corporate security framework.
 - Financial risk: Stringent control of contingency funds.
4. Conduct ongoing monitoring of risks and the risk management process.
- Capture risks in the risk registers.
 - Prepare ERM reports to the board, risk committee, executive committee and enterprise risk committee.

9.1.3.3 Identifying and Managing a Crisis

A **business crisis** refers to an unplanned event that causes damage to an organisation and disturbances to operations, possibly leading to unrest amongst employees. In other words, a crisis is an emergency situation that leads to instability and uncertainty in an organisation.

This could be anything that can negatively impact a company's profitability or reputation.

Stakeholders may feel threatened or afraid due to a crisis and may eventually lose interest and trust in the organisation. Hence, a major crisis not only has impact on the organisational level but also on the individual and societal levels.

Many events may not appear to be serious at the beginning but eventually cause an emergency situation. The sudden resignation or death of a key person in an organisation could cause major disruptions, for example, and small labour disputes may turn into a headline-grabbing protest or strike that leads to the demise of a company. Product recalls, data losses, natural disasters – the list of possible crises is endless.

The characteristics of a crisis are as follows:

- A crisis involves unplanned events that damage an organisation.
- A crisis generally occurs suddenly and unexpectedly.
- A crisis causes fear amongst stakeholders.

The possible causes of a crisis include the following:

- Technological failures, such as machine breakdowns, Internet problems, software corruption and password errors.
- Natural disasters, such as earthquakes, floods, droughts, tornadoes and hurricanes.
- Neglecting minor issues in the beginning.
- Employee disagreements and conflicts.
- Boycotts, strikes and disputes.

- Violence, thefts and terrorism.
- Illegal behaviour, such as fraud, bribery and tampering of data or information.
- Failure to pay creditors and bankruptcy.
- Sudden and major changes in organisational culture.

Crisis management is the process of handling unexpected events that negatively affect an organisation. This includes any action made with the intention of mitigating a business threat, such as identifying the root causes of a crisis, intervening to minimise damage and recovering from the crisis.

Ideally, organisations have the resources and time to plan for potential crises before they actually experience a crisis. Such proactive crisis management typically involves attempts to predict potential catastrophes. This involves identifying potential problems and planning how to handle the situation should they occur. An example is the creation of a computer system backup and recovery procedure should there be a computer system failure. In this regard, crisis management is very similar to risk management – the difference is that crisis management is more focused on finding solutions to a crisis whereas risk management is more focused on finding ways to reduce risk (i.e., the causes of a crisis).

The following are reasons why crisis management is needed:

- Crisis management prepares the organisation and its stakeholders for adverse conditions and unexpected developments, thereby protecting stakeholder trust and confidence.
- Crisis management helps managers to make effective decisions and think of strategies to handle uncertain conditions.
 - Crisis management helps managers to see the early signs of a crisis, warn employees of the consequences and take necessary precautions.
 - Crisis management helps employees to understand and analyse the causes of a crisis.
 - Crisis management helps to ensure that employees can adjust well to sudden changes in the organisation.

9.1.3.4 The Crisis Management Process

The crisis management process consists of three key steps: prevention and planning, action and adjusting to changes.

1. Prevention and planning

This stage involves identifying the indicators of a crisis as early as possible. When there is a crisis on the horizon, there are warning signals that managers and leaders should be able to detect. They should then inform other employees and prepare them to face the situation confidently.

Managers therefore need to know what is happening at all times and what employees are doing. Employee performance should be monitored regularly so that managers can foresee potential crises and take action to prevent them from happening. This includes warning employees of the negative consequences of any undesirable behaviour and enforcing necessary policies.

Taking early indicators of crises seriously and acting immediately to prevent a crisis from occurring can save the organisation and its stakeholders from significant damage.



2. Action

Once a crisis is detected, the crisis management team must act immediately and devise a strategy to prevent the situation from escalating. Managers should ensure that employees stay calm and focused. Key members of the organisation and those who understand the causes of the crisis should discuss and come up with a solution.

At this stage, since an emergency situation is already occurring, it is crucial that managers make quick decisions based on correct information. Relying on assumptions and guesswork could lead to costly consequences. Everyone in the organisation must also be alert and patient.

3. Adjusting to changes

After the crisis, employees need to adjust to new situations, recover damages and restore the effective functioning of the organisation. To avoid repeating mistakes, management must analyse the root causes of the crisis and implement new plans or improve control processes.

The organisation might also rely on its public relations personnel to restore the damaged reputation and public image, and to assure stakeholders that the organisation is recovering and will take the lessons learnt into account for future plans.

The following are key features of effective crisis management:

- Managers and employees are able to analyse and understand situations that might lead to a crisis in the organisation.
- Managers and employees are able to respond effectively to changes and warning signals.
- Departments are able to work together effectively to overcome crises.
- Employees remain calm and patient and communicate with each other effectively during a crisis.
- Management ensures that all stakeholders are informed of changes and reassures them to minimise panic and fear.
- The organisation as a whole adapts well to new situations.

Illustrative Example 2

QRS Limited is engaged in the provision of airport management services in the Asia region. Its crisis management plan (airport safety) is described as follows:

1. *Planning*: This involves the risk management process, change management, safety plans and legal requirements.
 - Implementation and operation: This involves safety responsibilities, coordination, communication, training and awareness and safety technology.
 - Checking and corrective action: This involves performance measurement, preventive actions, inspections and audits and disciplinary actions.
 - Management review: This involves internal and external reviews.
 - Policy: This involves the review of policies.

Illustrative Example 2 (continued)

2. *Prevention and planning*: This requires an examination of (a) the safety plans as developed by the company's crisis management system that are designed to promote safety across the airport and meet stakeholders' safety expectations; (b) the legal requirements of the airport which outlines in detail the safety policies, including policy statements on safety management and procedures for conducting hazard management, safety audits, accident investigations, fire safety and safety training.
3. *Action*: This requires promotion of safety crisis management across the airport and meets stakeholders' safety expectations. At first, management can plan and select tasks that are risky. It can prepare precautionary measures to avoid crisis and rate the tasks to identify the probability of a crisis occurring. Also, training workshops can be arranged for management to address the importance and steps of crisis management processes.
4. *Adjusting to changes*: This requires ongoing communication with regulatory authorities including various departments of the government such as Buildings, Fire Services, Civil Aviation and Labour. This helps the company to (a) ensure the airport under its management complies with all relevant safety and occupational health standards; (b) identify a potential crisis at an early stage, analyse the root causes of such a crisis and implement new plans or improve control processes. For example, 24-hours communication between the company and Civil Aviation is required to ensure the runway is kept free of any debris that may affect flight operation.

Key Learning Point

Control is a process of measuring performance and taking action to achieve desired results. **External control** exists through the administrative system or direct supervision. **Internal control** occurs when people undertake self-control in achieving the job expectations. Risk management processes could be adopted to identify, analyse and prioritise risks.

Control measures and responses, as well as risk-mitigating actions have to be developed and implemented to manage the risks with an ongoing monitoring process. **Crisis management** is the process of handling unexpected events that negatively affect an organisation. This includes any action done with the intention to mitigate a business threat, such as identifying the root causes of a crisis, intervening to minimise damage and recovering from the crisis.

► Knowledge Check Questions

Question 1

The senior management and the board of an organisation have reached a shared understanding of the acceptable risks that the organisation will undertake. Identify which of the following is the first step of the risk management process in the organisation.

► Knowledge Check Questions (*continued*)

- A** Analyse and prioritise those risks.
- B** Identify potential risks that would affect the entity's ability to achieve its objectives.
- C** Conduct ongoing monitoring of risks and the risk management process.
- D** Develop responses to those risks including the design and implementation of controls and other risk-mitigating actions.

Question 2

Risks and objectives differ depending on the specified organisational level. Identify which of the following is not one of the four business levels.

- A** Senior
- B** Subsidiary
- C** Business unit
- D** Division

Question 3

To formulate strategies to address risks faced by a business, it is important for the manager to consider control processes associated with both internal and external environments. Other than internal control, describe the situations in external control.

Question 4

Risk management enables better risk responses. Describe the four types of risk response in the process of controlling identified risks.

9.2 EFFECTIVE CONTROL SYSTEMS

Effective control systems are reliable processes that measure performance and compare results with objectives and standards. Effective control systems should help managers understand what corrective actions need to be taken to solve problems and ensure that things go according to plan.

Various types of control are involved in auditing activities, for example monthly reconciliation of bank accounts, review and verification of refunds, reconciliation of petty cash accounts, audits of payroll disbursements or conducting physical inventory.

Preventive, detective and corrective controls are classifications of controls that can be useful in developing controls and evaluating the benefits and limitations of these controls. The classifications focus on the timing of the control relative to the potential error: that is *when* the controls are applied. A well-controlled system balances preventive and detective controls and includes corrective controls as needed.

- **Preventive controls** ('before the fact' controls) attempt to stop an error or irregularity before it occurs. They tend to be 'passive' controls; that is, once established, they simply need to be activated to be effective. Examples of preventive controls include locks on buildings and doors, use of user names and passwords to gain access to computer resources and building segregation of duties into the organisational structure.
- **Detective controls** ('after the fact' controls) attempt to detect an error after it has occurred. They tend to be 'active' controls; that is, they must be continually performed to be effective. Examples of detective controls include data entry edits (e.g., checks for missing data, values that are too large or too small), reconciliation of accounting records to physical assets (bank reconciliations, inventory counts) and tests of transactions to determine whether they comply with management's policies and procedures (audits).
- **Corrective controls** are always paired with detective controls to reverse the effects of the observed error or irregularity. Examples of corrective controls include maintenance of backup files, disaster recovery plans and insurance.

General and application controls focus on the functional areas of the control system: that is, *where* the control is applied.

- **General controls** are controls over the environment as a whole. They apply to all functions, not just specific accounting applications. General controls help ensure that data integrity is maintained. Examples of general controls include restricting physical access to computer resources, production and storage of backup files and performing background checks of computer services personnel.
- **Application controls** are controls over specific data input, data processing and data output activities. Application controls are designed to ensure the accuracy, completeness and validity of transaction processing. As such, they have a relatively narrow focus on those accounting applications that are involved with data entry, updates and reporting. Examples of application controls include checks to ensure that input data is complete and properly formatted (e.g., dates and dollar amounts), that account numbers are valid and that values are reasonable (e.g., no selling quantities greater than the quantity currently in inventory). Application controls are sometimes called 'transaction controls' since they relate specifically to transaction processing.

9.2.1 Characteristics of Effective Control Systems

Control systems are effective when they can be relied on to:

- Accurately and consistently track performance.
- Indicate what went wrong when objectives are not met or when performance deviates from the expected.

The following are characteristics of effective control systems:

- *Accurate*: Control systems should generate accurate information. Inaccurate data could lead to wrong management decisions. Control systems therefore must be reliable.
- *Timely*: Control systems should provide information in a timely manner so that managers are alerted to potential problems in time.

- *Economical*: Control measures should be cost effective and economical to maintain. The costs of control should not outweigh the benefits of control. Thus, to minimise costs, managers should aim to produce the desired results by using the least amount of control necessary.
- *Flexible*: Business environments are dynamic and full of change; control systems should therefore be flexible and adjustable.
- *Understandable*: Control systems must be easy to understand for users; otherwise, they may feel frustrated and ignore the control systems.
- *Reasonable*: Control systems must have reasonable and achievable criteria; otherwise employees may not take the criteria seriously and instead find shortcuts to create the appearance that standards are being met.
- *Strategically placed*: This means implementing control measures in critical performance areas that are key to the organisation's success. Focus should be placed on areas where there could be variations or where variations would hurt performance. By focusing controls on key areas, the amount of control required would be reduced, thereby saving resources.
- *Emphasis on exceptions*: This refers to concentrating on exceptional variances only. Operative staff should deal with routine variations so that managers can focus on important issues without being bothered by standard activities.
- *Have multiple criteria*: Multiple criteria in control measures prevent bias and decision-making with insufficient information. The complexity of multiple criteria also prevents manipulation, enabling a more objective and accurate performance assessment.
- *Have corrective ability*: Corrective suggestions should be highlighted through control systems. After identifying variations, corrective actions must be taken to fix the errors and ensure that activities are back on track.

Apply and Analyse 3

The documentation procedures in the administration department are very loose in Chou Brothers Company Ltd., a small and medium-sized enterprise (SME). There is no master list of documents and the approval process is missing. Other units of the organisation make many complaints to the administration department about missing documents and the lack of an explicit approval process.

Describe and analyse the characteristics of effective control systems for the administration department.

Analysis

The control systems contribute to the success of a business such as Chou Brothers Company Ltd. The focus of these control systems can be on inputs, processes and outputs. It is very important to have effective controls at each of these three stages. The administration department can make use of the control systems to manage and process the documents through setting procedures, rules and predicted outputs.

Apply and Analyse 3 (continued)

Effective control systems tend to have certain common characteristics such as accuracy, timeliness and flexibility. They can help the administration department to process documents and plans. They are particularly necessary for companies with few processes in place such as Chou Brothers Company Ltd. These control systems help achieve business objectives and define how employees attain goals and perform job duties. Owners or managers can implement standards as well as track and monitor performance for various tasks.

An instance of how this plays out is in document controls in an administration department, which are common in small and medium-sized enterprises (SMEs) like Chou Brothers Company Ltd. These departments have controls to assure standardised documents, such as guides, specifications, work instructions or policies and procedures. Document control procedures usually include a master list of documents.

All documents must receive approval before use. The approval process may include naming the document, assigning a control number and a date. Typically, documents must undergo approval before use, be identified with dates and given control and revision numbers. Revisions must also receive authorisation and approval. Some control procedures may also include a method of distribution and assign responsibilities for updating documents. The master list of documents should be updated.

9.2.2 Levels of Controls

There are two critical levels of controls in management; these are strategic controls and operational controls.

Strategic controls relate to decisions and risks that affect the overall direction of the organisation – in other words, the ‘big picture’. Operational controls refer to measures that ensure smooth daily operations that enable the organisation to meet its objectives. Both are needed for a company to succeed.

9.2.2.1 Strategic Controls

An organisation’s senior executives and board of directors have to focus on the following strategic controls to ensure effective management:

- Discuss risk management philosophy and risk appetite. Senior management and the board must reach a shared understanding of the acceptable risks that the organisation will undertake.
- Understand risk management practices. Effective risk management activities are formal, holistic and explicit. Informal, ad hoc and implicit practices will result in inadequate **risk assessment** and responses.
- Review portfolio risks in relation to risk appetite. Risks do not exist in isolation; they result from a portfolio of activities that influence organisational objectives. Hence, the organisation’s risk focus must truly be organisation-wide.
- Know the organisation’s most significant risks and related responses. The evolving nature of risks requires active participation in monitoring **key performance indicators**. These key indicators should relate to significant risks that can impact an organisation’s ability to achieve key objectives.

9.2.2.2 Operational Controls

Financial Controls

Financial controls are an integral part of management. These controls require measuring and tracking of financial performance to ensure that the controls remain effective.

For example, **break-even analysis** can be used to understand different possible scenarios with different projected cost and revenue conditions. Project managers and business executives often perform these analyses to allow for better forecasting. They can determine the break-even point to perform 'what-if' calculations under different revenue and cost conditions.

Break-even is when revenues are exactly equal to costs – that is, when losses end and profits begin. The following formula is used to calculate the break-even point:

$$\text{Break-even Point} = \text{Total Fixed Costs} \div (\text{Selling Price per Unit} - \text{Variable Costs per Unit})$$

In addition, a company's **financial statements** are the foundation for financial performance analysis. These tools look at finances in different ways, and together they give a good overall picture of a company's financial health.

- In a statement of financial position, assets, liabilities and owner's equity at a point in time are displayed in the format of $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$.
- In a statement of profit or loss and other comprehensive income, profits or losses for a period of time are shown in the format of: $\text{Sales} - \text{Expenses} = \text{Net Income}$.

Managers also use other tools to analyse the information in financial statements. These include, but are not limited to, financial ratios that indicate *profitability*, *liquidity*, *leverage* and *asset management*.

Profitability measures the ability to earn more revenues than costs. Higher is better, which indicates higher net income than sales, assets and equity.

- $\text{Net Margin} = \text{Net Income} \div \text{Sales}$
- $\text{Return on Assets (ROA)} = \text{Net Income} \div \text{Total Assets}$
- $\text{Return on Equity (ROE)} = \text{Net Income} \div \text{Owner's Equity}$

Liquidity measures the ability to meet short-term obligations – in other words, the ability to generate cash to pay bills. Higher is better, which indicates more assets and fewer liabilities.

- $\text{Current Ratio} = \text{Current Assets} \div \text{Current Liabilities}$
- $\text{Quick Ratio or Acid Test} = (\text{Current Assets} - \text{Inventories}) \div \text{Current Liabilities}$

Leverage measures the use of debt; that is, to understand the capital structure of the company, i.e., how much of the company's assets are financed by debt.

- $\text{Debt Ratio} = \text{Total Debts} \div \text{Total Assets}$

Asset management measures the ability to operate at minimum cost by using assets and inventory efficiently. Higher is better, which indicates more sales than assets and inventory.

- $\text{Asset Turnover} = \text{Sales} \div \text{Total Assets}$
- $\text{Inventory Turnover} = \text{Sales} \div \text{Average Inventory}$

Financial ratios are very commonly used for business control and decision making. The ratios provide a straightforward and easy reference for historical comparisons and industry benchmarking. They can also be used to set financial targets to share with employees and to track performance, thereby helping employees focus on what they can do better to improve the company's overall performance.

Non-financial Controls

Apart from the financial controls discussed in Section 9.2.2.2, there are non-financial controls as well. Non-financial controls include information controls, behavioural controls and operations controls.

1. Information controls

An effective **management information system (MIS)** must be in place to ensure that managers have access to accurate and timely information for decision making. An MIS regularly provides management with the needed information by processing, analysing and organising data.

A good MIS can help improve performance and efficiency, for example in the following areas:

- Hands-on involvement: Managers can closely monitor operations through video-conferencing and other technologies that are part of the MIS.
- Decision-making capability: Managers can make better and quicker decisions when they have more accurate and timely information.
- Organisational design: Boundaries between departments, divisions and levels in an organisation can be overcome through the use of a sophisticated MIS.
- Authority: With direct access to data and information, top management does not need to depend on middle-level management to provide information.

MIS can help with performing non-financial controls because it is a closed system which handles data inputs, processes and outputs. Under the systematic settings, the information just has to be processed using programmable processes. MIS is a good control system for information and operations resources.

2. Behavioural controls

To ensure that employees work as expected, managers use various behavioural controls including direct supervision, performance appraisal and discipline. Indirect mechanisms are also used, including the organisational culture, employee training and the selection process for hiring.

3. Operations controls

The ability of an organisation to produce and deliver quality goods or services efficiently depends largely on controls that monitor production activities. Managers need to ensure that progress is on schedule, quality and safety standards are met and that there are enough supplies, while still meeting budgets.

Control charts that show measurement results over a certain time period are often used to assess quality, delays and variances. Purchasing departments also use the **economic order quantity (EOQ)** to ensure the highest quantity of materials is



obtained in each order at the lowest possible cost. This requires balancing the costs of ordering, purchasing, delivery and storage.

Operational controls must also be considered carefully in a number of areas:

- *Objectives:* The organisation should specify objectives with sufficient clarity to enable the identification and assessment of risks that threaten the achievement of objectives. In so doing, the organisation should consider:
 - The precision of risk tolerance levels; for example, can the risk be quantified?
 - Materiality in relation to risk assessment; for example, how big a risk poses a threat to objectives (a loss of HK\$10,000? HK\$100,000? HK\$1,000,000?)?
 - Risks related to the organisation's ability to comply with standards, frameworks, laws and regulations.
 - Risks related to operational and financial performance goals.
 - Risks in committing resources.
- *Assessment:* The organisation should identify risks to the achievement of its objectives and analyse risks as a basis for determining how the risks should be managed. In so doing, the organisation should:
 - Involve appropriate levels of management in risk assessment.
 - Consider and include all subsidiaries, divisions, operating units and functional levels.
 - Analyse internal and external factors.
 - Estimate risk importance.
 - Develop appropriate risk responses.
- *Risk reduction:* Organisational control activities should mitigate the risks to the achievement of objectives to acceptable levels. In so doing, the organisation should:
 - Integrate controls with risk assessments.
 - Use risk reduction analyses to determine which business processes require a control focus.
 - Consider how the environment, complexity, nature and scope of operations influence risk reduction and control activities.
 - Evaluate a mix of potential control activity types, including manual and automated, preventive and detective controls.
 - Segregate incompatible activities and implement alternative controls where segregation is impossible.
- *Key risk indicators (KRIs):* These are forward-looking metrics that seek to identify potential problems, thus enabling an organisation to take timely action, if necessary:
 - KRIs range from simple (e.g., key ratios used by the board or senior management) to elaborate (e.g., collecting and aggregating multiple indicators of risk into multidimensional risk scores that are displayed to senior managers in dashboards).
 - KRIs measure events or causes that can prevent the achievement of performance goals.

- Well-designed KRIs are:
 - based on established practices or benchmarks;
 - developed and used consistently across the organisation;
 - provide an unambiguous, intuitive view of the risk;
 - are comparable over time and across business units;
 - provide an opportunity for timely assessments of the performance of controls; and
 - use resources efficiently.

Illustrative Example 3

Cash management can be used to predict daily sales turnover on the basis of cash coming in and going out. This requires cash management controls, particularly in retail. Best practices can be used to avoid cash shortfalls and a loss of customers. Examples of cash control in retail businesses include – safe to be used to store cash; provide a cash count sheet; bank deposit slips to be matched with the cash sheet, and so on.

In manufacturing businesses, the same can be said for inventory controls. Examples of **inventory control** include – scheduling physical stocktakes; setting up reorder point; keeping records of stock movements, and so on. Production lines in manufacturing plants and inventory forecasts are vital for the smooth run of making products with enough resources. Otherwise, the production line may be temporarily stopped due to shortage of supplies or surplus of products without enough storage spaces.

In e-commerce, management can predict daily sales online and a set number of products with stock through sales forecasts or daily sales reports. Without stock controls, customer complaints may arise from a number of areas, including delivery times. Poor management of inventory can lead to a bad customer experience. Stored inventory can lead to capital tie up.

Illustrative Example 4

The executives of a business should consider risks and put in place controls to deal with them. This relates not just to financial risks but also operational risks that should be addressed through non-financial controls.

An increasingly important business topic is that of the 'Belt and Road Initiative' (BRI) launched by China. The BRI opens up new doors for business development for mainland China or Hong Kong businesses. The BRI may lead to several risks including financial and operational such as different government business regulations, trade disputes for import and export, or local investment, and decision making as well as how the businesses approaches these countries with timely information and rich experience.

Consider a business entity that undertakes a project to benefit from the BRI. This project raises a number of financial risks that stem from trade along this new Silk Route.



Illustrative Example 4 (*continued*)

As the business environments of the countries involved are varied and often challenging, business projects face multiple risks.

The BRI is an ambitious development initiative by the Chinese government to promote economic cooperation and trade amongst countries along proposed Belt and Road routes. Businesses face borrowing costs in international financial markets to implement projects, and these costs are often higher than elsewhere because of the risks often associated with projects.

Although the BRI has close links to Hong Kong and Mainland China, the chances of a reduced credit rating for Hong Kong inevitably increase as the city invests in these projects. The downgrade in rating indicates that the credit trends in mainland China will continue to have a significant impact on Hong Kong's credit profile.

To execute the projects under the plan, several types of operational risks are also considered. Examples include changes in government policies, damages to physical assets such as inventories in warehouse or in delivery processes, computer system failure or hacking, natural disasters, trade disputes and failures in process management.

9.2.3 Control Process

9.2.3.1 Setting Performance Objectives and Establishing Standards

Here project management is used as the example to illustrate the concepts of the control process. Projects sometimes involve multiple components and complex interrelated tasks that must happen in a certain sequence and be completed by a specific date or time.

Project management is essential to ensure the project's objectives are met within the required timeframe. The planning, supervision and control of the project are all parts of project management. A project manager usually takes up this responsibility, ensuring that the project is designed well and then completed on time, within budget and according to the planned objectives. Project management therefore requires an effective *control process*.

The first step is the planning part: setting performance objectives and measurement standards for comparing actual results with those objectives. These are specific targets against which the effectiveness of the control process is evaluated. When setting objectives and standards, the focus should be on critical or essential results that will make a real difference in performance.

The following are important areas in the control process:

- *Control environment*: This includes management's philosophy, operating style and risk appetite; the board of directors; commitment to integrity, ethical values and competence; organisational structure; methods of assigning authority and responsibility; human resource standards and external influences on the organisation.
- *Objective setting*: Achievable and useful objectives must be set to provide direction for executing the control systems.

- *Event identification*: Events that might affect, either positively or negatively, the organisation's ability to meet its objectives, should be identified.
- *Risk assessment*: In assessing risk, inherent (before management does anything to address it) and residual (the risk that remains after controls are implemented) risks should be considered. Risk assessment should be an ongoing and periodic process that adapts to changing conditions.
- *Risk response*: Depending on management's appetite for risk, observed risks may be avoided, reduced, shared or accepted.
- *Control activities*: Policies and procedures that provide reasonable assurance that management's control objectives are met and risk responses are carried out should be followed. These include the following activities:
 - Proper authorisation of transactions and activities.
 - Segregation of duties.
 - Project development and acquisition controls.
 - Change management controls.
 - Design and use of documents and records.
 - Safeguarding assets, records and data.
 - Independent checks on performance to ensure correct transaction processing.
- *Information and communication*: This includes controls used to identify, capture and communicate information. This also facilitates an audit trail from the transaction to the financial statements (and vice versa).
- *Monitoring*: This includes, but is not limited to, evaluations, supervision, periodic audits, fraud hotlines, security procedures and attempts to ensure proper reporting and response to deficiencies.

9.2.3.2 Measuring Actual Performance

Measuring actual performance is a crucial step in a control process. To identify differences between what is really happening and what was originally planned in the objectives, accurate and timely measurement is crucial. Without measuring, very little of a control process can be effective.

During this stage, the performance measures established in the form of objectives and standards are put to use. A number of factors should be considered such as competencies, adherence to policies and procedures and commitment to integrity and ethical values.

Monitoring should be ongoing and continuous as well as periodic, through separate, formally designed and designated evaluation processes.

Methods for reviewing control processes may include:

- Reviewing processes that incorporate reviews of flowcharts and risk and control documentation.
- Benchmarking assessments for comparing organisational controls and processes with best practices in comparable functions.

- Questionnaires that assess the extent to which controls are operating as stipulated.
- Focus groups and interviews used to identify concerns and surprises related to changes in the control system.

9.2.3.3 Comparing Actual Performance to the Standard

Once performance results have been obtained, the next step in a control process is to compare those results with objectives and standards. The control equation is:

$$\text{Need for Action} = \text{Desired Performance} - \text{Actual Performance}$$

This step is essential for identifying **performance threats and deficiencies**, which exist when actual performance is in any way less than desired (*problem situation*). Conversely, when actual performance is better than desired, that means there is a **performance opportunity** (*opportunity situation*). However, the accuracy of the insights obtained in this step highly depends on having objectives that clearly define the desired performance and measurements that effectively evaluate actual performance.

There are various ways to compare results with objectives and standards. One way is an **engineering comparison**, which uses models to measure actual results against expected results. Another is **historical comparison**, which evaluates performance based on past experience. **Relative comparison** benchmarks results against those achieved by other teams or organisations.

9.2.3.4 Taking Managerial Action

Finally, the last step in a control process requires taking action to address the causes of any gaps between desired and actual performance.

Two scenarios warrant attention. The first is a *problem situation* where actual performance is less than desired. Managers must understand the causes of this situation to ensure corrective actions are taken to bring performance up to the desired level. Alternatively, an *opportunity situation* occurs when actual performance turns out better than expected. The underlying reasons for this scenario also need to be understood so as to continue or further increase the high level of performance.

During this stage, attention should be given to high-priority areas that require change the most. This is called *management by exception*. It is important for creating effective solutions that have the greatest positive impact. This prevents wasting valuable time, resources and energy on small issues and delaying or overlooking action for important needs. The focus and discipline in this strategy helps in fine-tuning control processes.

Illustrative Example 5

Nowadays, manufacturing equipment often includes **quality control** measures as a key feature. The goal is that management can be alerted if products deviate from specifications.

These tools can measure the organisational performance by comparing actual results or projected results to a predetermined standard. Many inventory-ordering systems are essentially forward-looking control systems, known as feedforward controls. The system

Illustrative Example 5 (*continued*)

projects product sales over the relevant time period, identifies the current inventory level and orders inventory sufficient to fulfil the sales demand.

There are multiple examples of how the three types of controls – *preventive*, *detective* and *corrective* – can focus on changing inputs or processes of information.

- Preventive controls are a basic monitoring activity in manufacturing. Manufacturers need quality control to minimise waste and related costs.
- Detective controls let manufacturers catch and correct problems quickly while limiting losses from substandard products.
- Corrective controls allow users to input specific settings into products, for example, they can input temperature settings for a room in a heating system. The output is the room temperature, which might then be measured and compared to the input. The process being controlled in this case is the heater. In other feedback systems, the process might be a manufacturing operation, the automobile engine in vehicle control or other processes to which power is applied.

9.2.4 Tools for Measuring Organisational Performance

Gantt charts and the critical path method/programme evaluation review technique (CPM/PERT) are two useful project control techniques. Project managers use CPM/PERT to track activities to make sure they happen in the right order and on time.

9.2.4.1 Gantt Charts

Gantt charts visually show an overview of what needs to be done in a project. The tool was developed in the early twentieth century by Henry Gantt, an industrial engineer, and has since become a key aspect of project management. The scheduling of tasks in graphical form allows for progress checks to be made easily at different times and helps prevent one of the biggest problems with projects – delayed early activities, which create problems for later activities.

9.2.4.2 CPM/PERT

CPM/PERT is a more advanced form of the Gantt chart technique. It makes use of a network chart to illustrate a project as a series of small activities with clear beginning and end points, or 'nodes'. Arrows between nodes show the order in which the activities must be completed; hence, all the interrelated tasks that must be coordinated for a project to be completed are shown in a full CPM/PERT diagram. The entire pathway from start to finish is called the **critical path**. It represents the quickest time in which the whole project can be completed, assuming all the activities go according to schedule.

However, no control tools are effective unless results can be measured and compared with desired performance objectives. A control process therefore involves establishing objectives and standards, measuring actual performance, comparing actual performance to objectives and standards and taking managerial or corrective action.



9.2.4.3 Balanced Scorecards

Balanced scorecards are useful for tracking performance. This technique gives managers a quick yet comprehensive picture of the business, facilitating management control. Companies tend to perform better when a 'score' is kept and frequently shared with employees, so they know how well they are doing as a team.

Companies must have a clear mission and vision for preparing the development of a balanced scorecard. Once these objectives are clear, several aspects are considered for developing the goals and measures of the scorecard:

- *Financial performance:* Measures include cash flow, sales growth, operating income, increased market share and return on equity. These measures help managers understand how well the company is doing and how to improve the company's bottom line. Goals include surviving, succeeding and prospering.
- *Customer response:* Measures include percentage sales from new products and percentage of on-time deliveries. These measures indicate how well the company is serving its customers and clients. Goals for improvement could include new products and faster response times.
- *Internal process improvement:* Measures include cycle times, engineering efficiency and new product time. These measures indicate how well the company's activities and processes directly increase the value provided to customers and clients. Goals include manufacturing excellence, design productivity and new product launches.
- *Innovation and learning:* Measures include time to develop new technologies and new product launch time versus competition. These measures help managers understand how well the company is learning, adapting and improving over time, providing insight into the sustainability of the company's current performance and innovativeness. Managers can then come up with strategies to sustain the company's ability to change and grow in ways that are aligned with its vision. Goals could involve technology leadership and time to market.

By routinely recording these measures in a balanced scorecard for critical managerial review, managers can make better decisions, and therefore companies can perform better in these areas. The balanced scorecard also provides a good visual display of business intelligence, making it a convenient tool for corporate meetings and brainstorming sessions.

Apply and Analyse 4

A local bank in Hong Kong has a clear mission and vision to prepare a balanced scorecard to track performance. This technique gives managers a quick yet comprehensive picture of the business and facilitates management control.

To meet this goal, managers create an end-to-end measurement system aligned all the way from the most junior to senior management levels.

The system can keep track of changes that are going on within the bank throughout a year. More importantly, it ensures that they are delivering the desired results. At the end of the year, the management committee will go back to the board, and use the scorecard

Apply and Analyse 4 (continued)

that was agreed upon at the beginning of the year as an objective basis for evaluating what they had achieved.

The bank is completely aligned with its own strategy and functions with an innovation mind set and a laser-like focus on customer experience.

This bank aims to achieve revenue growth and positive return on equity. These financial outcomes could be achieved through market penetration, market expansion, customer satisfaction and customer loyalty. The bank plans to penetrate the market through cross-selling other services and offers and up-selling prestige offers to existing customers.

All these service offers are well-planned and designed by using product planning, pricing and promotion strategies. It also keeps recruiting new customers through quality service offers, aggressive pricing and promotion. All customers will be served by quality frontline staff, including customer service and personal sales. The bank will keep investing resources in the workforce, including providing training for its employees to deliver quality services and investment advice, provide administration support for various departments and provide operational and technical support for IT systems. The research and development department will continuously predict market needs, observe environmental changes, monitor competitors' strategies and actions and keep innovating new products. The administration department will develop controls and measures to analyse risks and process, manage crisis and take corrective action. The IT department will keep maintaining efficient and quality systems and web interfaces to serve internal staff and external customers.

Illustrate by using the balanced scorecards to track actual performance in the control processes for this bank.

Analysis

Financial performance involves revenue growth and positive return on equity. These financial outcomes have to be attained through achieving satisfactory customer responses.

Customer responses involve market penetration, market expansion, customer satisfaction and customer loyalty. For ensuring satisfactory customer responses, the internal process has to be managed well to fulfil customers' needs and wants.

Internal process improvement involves product planning, quality products and services, pricing and promotion strategies and quality personnel (customer service and personal sales). For facilitating these internal processes, the banks need to maintain innovation and learning in different business areas.

Innovation and learning involves human resources management, research and development, the administration department and the IT department.

Key Learning Point

A well-controlled system balances preventive and detective controls and includes corrective controls as needed. **Preventive controls** ('before the fact' controls) attempt to stop an error or irregularity before it occurs. **Detective controls** ('after the fact' controls) attempt to detect an error after it has occurred. **Corrective controls** are always paired with detective controls to reverse the effects of the observed error or irregularity.

► Knowledge Check Questions

Question 5

A logistics company carefully measures the routes and routines of its drivers to establish the time expected for each delivery. When a delivery is completed, the driver's time is registered in an electronic performance log that is closely monitored by supervisors. In this scenario, identify which one of the following comparisons refers to this strategy.

- A Engineering
- B Relative
- C Historical
- D Local

Question 6

Managers use flowcharts and risk and control documentation to evaluate control processes. Identify which one of the following refers to this method.

- A Benchmarking assessment
- B Questionnaire
- C Focus group and interview
- D Reviewing process

Question 7

Bill, a finance manager at Iridium Inc. wants to understand why the company's profitability fell in the past six months. Identify the type of control he must use to understand this issue.

- A Critical path method (CPM) statement
- B Balanced scorecard
- C Break-even analysis account
- D Statement of profit or loss and other comprehensive income

Question 8

Determine which of the following refers to the form of inventory control that automatically orders a fixed number of items every time an inventory level falls to a predetermined point.

► **Knowledge Check Questions (*continued*)**

- A** Break-even analysis
- B** Just-in-time scheduling
- C** Economic order quantity
- D** Asset management

Question 9

ABC Ltd. is going to implement a business project. The junior project manager knows that a comprehensive control process is vital to the success of the project development. As you are the project consultant, illustrate with some control tools and techniques to explain why the following can help to monitor the project in terms of time, cost and scope.

1. Using a monitoring system
2. Collecting data
3. Selecting reporting methods

Question 10

Controlling is an essential part of the management process. It allows and measures any business activities. Managers can plan and execute the control process involving carefully collecting information about a system, process, person, or group of people in order to make necessary decisions about each one. Analyse the sequence of the steps of control processes that are crucial for managers.

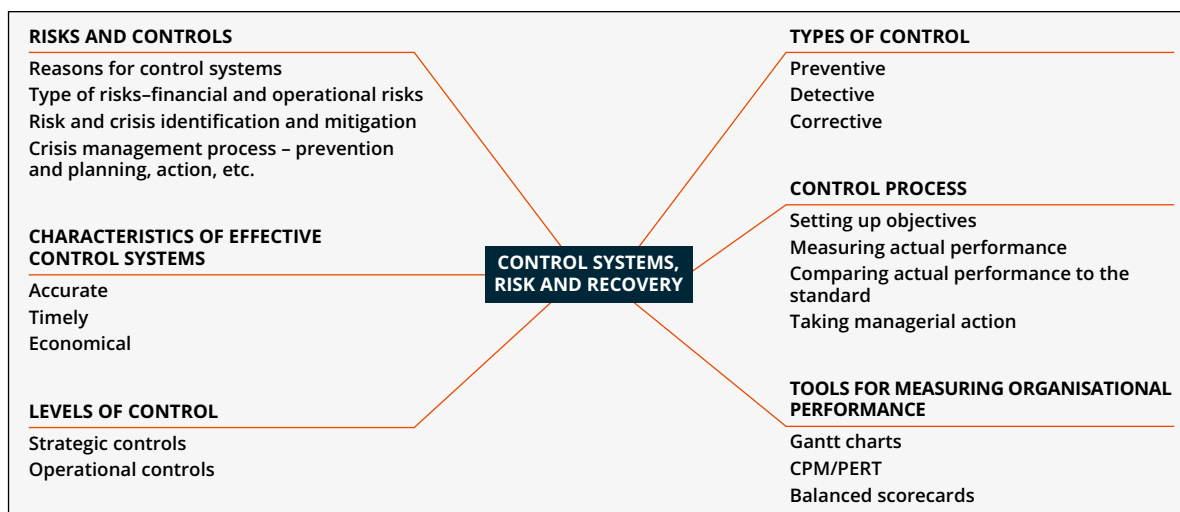


SUMMARY

- Control is a process of measuring performance and taking action to achieve desired results.
- *External control* exists through the administrative system and direct supervision system of an entity. This includes bureaucratic controls and market controls.
- *Internal control* occurs when people undertake self-control in meeting job expectations.
- Control systems are important for *accountability*.
- *Input standards*, which measure the efforts that go into a task, are also important in control processes.
- *Control systems* are also crucial for safeguarding assets of the firm, promoting the efficiency of the firm's operations and protecting individual employees.
- *Financial reporting* usually involves, for example, annual financial statements, interim financial statements and earnings releases. Non-financial reporting usually involves internal control reports and sustainability reports.
- *Financial risks* include issues related to liquidity, debt, credit and the overall economic outlook. *Financial controls* are therefore an integral part of management.
- A company's *financial statements* are the foundation for financial performance analysis.
- *Operational risks* include failures in internal processes or systems, human error, safety for employees and other stakeholders, as well as changes in government policies regarding issues such as pollution, safety and hazardous waste.
- Non-financial controls include information controls, behavioural controls and operations controls.
- An effective *management information system (MIS)* must be in place to ensure that managers have access to accurate and timely information for decision making.
- To survive and succeed, risk management is needed to effectively manage all aspects of a business. This involves *risk and crisis identification and mitigation*.
- *Risk appetite* is the amount of risk that an organisation is willing to accept in pursuit of its goals.
- The risk management process involves the identification, assessment, prioritisation and monitoring of risks to an organisation.
- A *business crisis* refers to an unplanned event that causes damage to an organisation and disturbances to operations, possibly leading to unrest amongst employees.
- The characteristics of a crisis include unplanned events that damage an organisation, generally occur suddenly and unexpectedly and cause fear amongst stakeholders.
- *Crisis management* is the process of handling unexpected events that negatively affect an organisation.

- Managing a crisis includes three steps: prevention and planning, action and adjusting to changes.
- Effective control systems are reliable processes that measure performance and compare results with objectives and standards.
- Effective control systems are accurate, timely, economical, flexible, understandable, reasonable, strategic, provide for exceptions, have multiple criteria and corrective ability.
- Operational controls must also be considered carefully in a number of areas.
- *Project management* is essential to ensure the project's objectives are met within the required timeframe. Gantt charts and the critical path method/programme evaluation review technique (CPM/PERT) are two useful project control techniques.
- Measuring actual performance is a crucial step in a control process. To identify differences between what is really happening and what was originally planned in the objectives, accurate and timely measurement is crucial.
- *Balanced scorecards* are useful for tracking performance.
- The tools for measuring organisations performance include feedforward controls, concurrent controls and feedback controls.

MIND MAP



LIST OF FORMULAS

The formulas are examples. There are many additional, and alternative, formulas for accounting and finance.

$$\text{Asset Turnover} = \text{Sales} \div \text{Total Assets}$$

$$\text{Break-even Point} = \text{Total Fixed Costs} \div (\text{Selling Price per Unit} - \text{Variable Costs per Unit})$$

$$\text{Current Ratio} = \text{Current Assets} \div \text{Current Liabilities}$$

$$\text{Debt Ratio} = \text{Total Debts} \div \text{Total Assets}$$

$$\text{Inventory Turnover} = \text{Sales} \div \text{Average Inventory}$$

$$\text{Net Margin} = \text{Net Income} \div \text{Sales}$$

$$\text{Quick Ratio or Acid Test} = (\text{Current Assets} - \text{Inventories}) \div \text{Current Liabilities}$$

$$\text{Return on Assets (ROA)} = \text{Net Income} \div \text{Total Assets}$$

$$\text{Return on Equity (ROE)} = \text{Net Income} \div \text{Owner's Equity}$$

► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because this is the second step of the risk management process.

Answer B is correct because this is the first step of the risk management process.

Answer C is incorrect because this is the fourth step of the risk management process.

Answer D is incorrect because this is the third step of the risk management process.

Question 2

Answer A is correct because it does not belong to any organisational level.

Answer B is incorrect because it belongs to one of the organisational levels.

Answer C is incorrect because it belongs to one of the organisational levels.

Answer D is incorrect because it belongs to one of the organisational levels.

Question 3

No company exists in its own world. Almost every aspect of a company is subject to external influences. External control exists through the administrative system or direct supervision. Examples include bureaucratic control, clan control and market control.

The external environment of a company includes the parent organisation's corporate culture. Corporate culture shows itself in overt and subtle ways. The manager must know the environment in which they are operating and also the environment of the stakeholders if there is any hope of understanding or meeting stakeholder expectations.

Question 4

Four types of risk response are risk avoidance, reduction, sharing and acceptance. Risk avoidance and reduction are threat responses that management tries to mitigate as much as possible. Risk sharing and acceptance are opportunity responses – management sees opportunity in the situation, takes advantage of it and does not shy away from the risks.

Risk avoidance involves changing or planning the strategy to avoid risk. Risk reduction involves taking action to reduce the risk such as by assessing work procedures and equipment for reducing workplace safety risks. Risk sharing involves transferring the risk to a third party such as by purchasing insurance. Risk acceptance involves deciding to take the risk.

Question 5

Answer A is correct because the strategy uses engineering models to measure actual results against expected results.

Answer B is incorrect because it benchmarks results against those achieved by other teams or organisations.

Answer C is incorrect because it evaluates performance based on past experience.

Answer D is incorrect because there is no such kind of comparison.



Question 6

Answer A is incorrect because it compares organisational controls and processes with the best practices in comparable functions.

Answer B is incorrect because it assesses the extent to which controls are operating as stipulated.

Answer C is incorrect because this method identifies concerns and surprises related to target groups.

Answer D is correct because it incorporates reviews of flowcharts and risk and control documentation.

Question 7

Answer A is incorrect because a CPM statement illustrates a project as a series of small activities with clear beginning and end points, or 'nodes'.

Answer B is incorrect because a balanced scorecard gives managers a quick yet comprehensive picture of the business (i.e., financial performance, customer satisfaction, internal process improvement and innovation and learning) and facilitates management control.

Answer C is incorrect because a break-even analysis account is used to understand different possible scenarios with different projected cost and revenue conditions.

Answer D is correct because the statement of profit or loss and other comprehensive income is the foundation for financial performance analysis, which gives a good overall picture of a company's financial health. In a statement of profit or loss and other comprehensive income, profits or losses at a point in time are shown in the format of: Sales – Expenses = Net Income.

Question 8

Answer A is incorrect because it is used to understand different possible scenarios with different projected cost and revenue conditions.

Answer B is incorrect because it schedules materials to arrive at a facility just in time for use.

Answer C is correct because it automatically orders a certain number of items every time an inventory level drops to a predetermined point.

Answer D is incorrect because it measures the ability to operate at minimum cost by using assets and inventory efficiently.

Question 9

Project management, inventory control, break-even analysis, financial controls and balanced scorecards are some examples of common and effective techniques.

1. Using a monitoring system: The manager must define exactly which characteristics of time, cost and scope they believe are worth monitoring. The project action plan should provide the basis for the majority of the key items to be measured. In addition, the range or boundaries that the data should fall in for the project to be considered 'in control' must be defined.
2. Collecting data: The frequency, type and amount of data to be collected must be precisely defined. Once the data has been collected, it may be beneficial to subject it to some statistical analysis. This will help determine the size of data variance significant for the project.

3. Selecting reporting methods: Reports are commonly used for disseminating data. A report should reveal relevant information to the manager viewing it, and should be tailored according to the needs of the manager. Reports can be divided into different types such as routine, exception and special analysis.

Question 10

The sequence of steps crucial for managers to control processes:

1. Establishing objectives and standards for measuring performance: Standards are simply the criteria of performance. As managers can receive signals about how things are going, they do not have to watch every step in the execution of plans.
2. Measuring actual performance: The measurement of performance against standards should be done on a forward-looking basis so that deviations may be detected in advance of their occurrence and avoided by appropriate actions.
3. Determining whether performance can match established standards: If performance matches the standard, managers may assume that 'everything is under control'. In such a case the managers do not have to intervene in the organisation's operations.
4. Taking corrective action to improve results: This step becomes essential if performance falls short of standards and the analysis indicates that corrective action is required. The corrective action could involve a change in one or more activities of the organisation's operations.

EXAM PRACTICE

QUESTION 1

Roy, the CEO of FinTech Inc., found that his company's current ratio is 1 : 3. In this context, identify which of the following statements is true.

- A.** The company is performing financially well.
- B.** The company's revenues are equal to their costs.
- C.** The company's leverage is relatively low.
- D.** The company has less liquid assets than liabilities.

QUESTION 2

If fixed costs are HK\$10,000, variable costs are HK\$4 per unit, and the target selling price per unit is HK\$8, calculate the break-even point.

- A.** 2
- B.** 500
- C.** 2,500
- D.** None of the above

QUESTION 3

Identify which of the following best describes what a manager must do for control in their decision-making process.

- A.** The process of inspiring people to best utilise the resources.
- B.** The process of measuring performance and taking action for results.
- C.** The process of bringing people and material resources together in working combinations.
- D.** The process of setting directions and allocating resources.

QUESTION 4

State which one of the following types of control takes place after completing an action.

- A.** Feedback control
- B.** Detective control
- C.** Corrective control
- D.** Preventive control

QUESTION 5

The aviation industry is facing various risks in its business and operation. In general, its risks include financial risks, operational risks, market risks, product risks, manpower risks and executional risks. The table below lists the possible risks faced by most aviation operators.

Financial risks	• Liquidity risks
Operational risks	• Operations of flight schedules and routes • Fleet maintenance and operations
Market risks	• Increased operational costs • Updated aircraft technology • Increased competitors with aggressive strategies • Reduced number of passengers
Product risks	• Aircraft engine downtime • Aircraft stairway and lighting downtime • Aircraft operational system downtime • Fuel leakage
Manpower risks	• Employee dissatisfaction and strike • High turnover rate

An aviation operator believes that it will face the same sets of risks in its business and decides to adopt a risk management process to manage the above risks. The management of this aviation operator plans to conduct a SWOT analysis periodically and then adopt some control measures to manage the identified risks. It believes that it can adopt this simple process to measure and manage the risks, rather than a comprehensive risk management process. Analyse the risk management process adopted by this aviation operator, and then provide suggestions to improve its risk management process for better business operation.

QUESTION 6

Crisis management is needed to effectively manage all aspects of a business. Describe how a restaurant owner is likely to deal with the planning to reduce the probability of a crisis occurring in their chain restaurants.

QUESTION 7

An effective control system should have three types of controls that are used in evaluating performance. Illustrate an example of how management can adopt an effective control system.

QUESTION 8

Peter is the owner of a pizza restaurant. He is designing some control activities to manage problems and errors. Categorise the following controls and then analyse their effectiveness in managing problems.

1. Employee background checks.
2. Random cash counts per cash register.
3. Induction training and orientation for employees.
4. Physical inventory counts.
5. Password protected access to confidential information and inventory warehouses.
6. Insurance package for the restaurant.
7. Performance measurement reports.
8. Surveillance system to monitor the operation of restaurant.
9. Periodic training and updated guidance.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect because the ratio shows that the company has fewer assets and more liabilities.

Answer B is incorrect because this ratio addresses assets and liabilities, not revenues.

Answer C is incorrect because this ratio is about liquidity, not leverage.

Answer D is correct because this ratio shows that the company has fewer assets and more liabilities.

QUESTION 2

Answer C is correct because $\text{HK\$}10,000 \div (\text{HK\$}8 - \text{HK\$}4) = 2,500$.

QUESTION 3

Answer A is incorrect because the control does not focus on resource utilisation.

Answer B is correct because the control can ensure desired results.

Answer C is incorrect because the control does not focus on resource combinations.

Answer D is incorrect because the control does not focus on resource allocations.

QUESTION 4

Answer A is correct because it focuses on changing inputs or processes to promote desirable outcomes by comparing actual results (feedback) to a predetermined standard.

Answer B is incorrect because it attempts to detect an error after it has occurred.

Answer C is incorrect because it attempts to reverse the effects of the observed error or irregularity.

Answer D is incorrect because it attempts to stop an error or irregularity before it occurs.

QUESTION 5

The risk management process adopted by this aviation operator was appropriate. It is able to identify opportunities, risks, strengths and weaknesses through the SWOT analysis. It is also good to develop some control measures for managing risks. However, it would be better to adopt a more systematic process to identify and evaluate risks, design risk



management procedures and propose possible control measures. A more systematic risk management process would be:

1. *Identify potential risks that would affect the organisation's ability to achieve its objectives.* The aviation operator can develop a system and design possible strategies to identify the risks. Examples include industrial report, market analysis, primary research on operations and services, feedback from stakeholders and reports from employees. A team of employees could be nominated internally or a risk management committee could be set up to monitor the risk management process.
2. *Analyse and prioritise those risks.* An evaluation and assessment list with rankings has to be developed first to prioritise risks. Then, the risk management team or committee has to analyse the probability, impact level, and potential level of the risks by using the list.
3. *Develop responses to those risks including the design and implementation of controls and other risk-mitigating actions.* The risk management team and committee have to develop possible responses, mitigating actions and control measures to manage each type of risk. The risk reporting system and procedures have to be developed as well.
4. *Conduct ongoing monitoring of risks and the risk management process.* The monitoring and review schedules and responsible parties have to be planned and assigned.

QUESTION 6

To reduce the chance of a crisis, a chain restaurant owner manager can be more proactive when taking part in crisis management. They can develop a crisis management team involving trusted employees from the marketing team, public relations team, human resources team and finance and operations team.

The crisis management team should also take into account predictive and holistic considerations of different consequences and be well prepared with effective crisis management practices. The team has to detect and identify possible crises as early as possible, for example, scandals relating to food, employees, services and operations and finance.

Once a crisis is detected, the team should act immediately and then take action to manage the crisis, for example, stay calm, get out in front of the issue, utilise official social networking channels to broadcast the crisis response, take corrective actions and so on.

After the crisis has been managed, the team should help to recover damages, restore the effective function of the restaurant, find out the real causes of the crisis, identify new plans and improvement needs, for example, maintain higher product and service quality standards, provide training for employees to meet the new standards and so on.

QUESTION 7

The three types of controls are preventive, detective and corrective controls. The classifications focus on the timing of the control relative to the potential error.

The following are examples:

Preventive control – the manager can set the usernames and passwords in advance for employees to gain access to computer resources.

Detective control – the manager can check for any missing data when processing data entries to systems by adding validation rules in programming or software.

Corrective control – the manager can apply backup mechanisms and disaster recovery planning by reversing the observed errors or irregularities.

QUESTION 8

Controls	Types of Controls	Effectiveness
Employee background checks	Preventive control	Effective in identifying quality and reliable employees and avoiding recruiting staff not meeting the business's requirements
Random cash counts per cash register	Detective control	Effective in detecting cash loss
Induction training and orientation for employees	Preventive control	Effective in offering consistent and reliable services by employees
Physical inventory counts	Detective control	Effective in identifying inventory loss
Password protected access to confidential information and inventory warehouses	Preventive control	Effective in preventing data loss and information leaked to unauthorised persons
Insurance package for the restaurant	Corrective control	Effective in reserving the problems that might happen in the restaurant, for example, property, life insurance, workers compensation, product liability, equipment, theft and so on
Performance measurement reports	Corrective control	Effective in identifying errors and taking corrective actions
Surveillance system to monitor the operation of restaurant	Preventive controls	Effective in avoiding fraud and theft
Periodic training and updated guidance	Corrective control	Effective in correcting manpower and operational errors

10

Marketing and Management

CHAPTER TOPIC LIST

10.1 Concepts of Marketing

- 10.1.1** Functions and Objectives of Marketing
- 10.1.2** Conditions for Exchange
- 10.1.3** Definition of Market

10.2 Market Segmentation, Targeting and Positioning

- 10.2.1** Market Segmentation
- 10.2.2** Market Targeting
- 10.2.3** Market Positioning

10.3 The 4 'Ps' of Marketing for Tangible Goods

- 10.3.1** Product
- 10.3.2** Price
- 10.3.3** Place
- 10.3.4** Promotion

10.4 Marketing Research

- 10.4.1** The Need for Research
- 10.4.2** Research Design
- 10.4.3** Data Collection Methods and Sources
- 10.4.4** Data Analysis and Reporting



LEARNING OUTCOMES

PRINCIPAL LO8: EXPLAIN AND APPLY BASIC CONCEPTS OF MARKETING

LO8.01: Explain the basic concepts of marketing and apply marketing mix and how businesses analyse and use marketing information

8.01.01 Define marketing

8.01.02 Identify the nature and functions of marketing

8.01.03 Explain and analyse the relationships between:

- Market segmentation
- Market targeting
- Market positioning

8.01.04 Explain and apply key elements of the marketing mix:

- Product
- Price
- Place
- Promotion

8.01.05 Explain how businesses analyse and use marketing information

OPENING CASE

COMPETITIVE MOBILE PHONE MARKETS IN HONG KONG

With the introduction of new technology leading to a significant increase in mobile network capacity, the cost of owning and using mobile phones has reduced substantially in past years. As such mobile phones have become a 'necessity' in our daily lives as many Hong Kong people carry at least one phone for regular communication and accessing online information.

The evolution of the mobile phone market over the past 30 years has demonstrated how the market has been transformed from a 'close to oligopoly' market to a highly competitive market in which key players deploy clear marketing strategies to identify profitable market segments and use creative marketing strategies for brand building and differentiation for customer acquisition and retention.

In the 1980s, portable mobile devices installed inside cars were introduced to Hong Kong, targeting rich and famous customers. Later with the launch of handheld mobile phones by key players like Motorola and NEC, the penetration of the mobile phone increased, particularly amongst high-end business users. They mainly used the phones for important business communications and contacting clients. The bills were generally paid by their companies. Therefore, the mobile phone charges had been kept high and the social status associated with the usage of mobile phones remained at a premium. There were only three players in the market, namely Hutchison, CSL and Pacific Link.

In the early 1990s, the Hong Kong government announced a policy to migrate the analogue mobile network into digital networks, hence enabling higher network capacity to take on more customers. Moreover, with the granting of a digital operating licence to a new operator, SmarTone, the government intended to introduce more competition to the mobile market with the hope to drive down prices for the consumers. However, this objective could not be achieved until the further opening up of market competition by granting three more Personal Communication Service (PCS) licences to Sunday, New World and Peoples in the late 1990s. This action completely stirred up the market.

With a total of seven operators operating eleven mobile networks all fighting to get a fair share in a small market of around 6 million people in Hong Kong, the competition was extremely intense. Marketers put a lot of effort in to segmenting the market and identifying the most profitable segments and coming up with clear brand differentiating strategies to address those segment needs.

Amongst the companies competing in this market was CSL, which used multiple marketing principles to shore up its real-life competitive capability and brand development. 



OVERVIEW

A company must be able to identify and cater to its target markets in order to succeed.

Whether for-profit or not-for-profit, all organisations serve customers. Today, we define 'marketing' as the way in which organisations determine customer needs and inform potential customers of their goods and services. In order to attract and retain loyal customers, organisations must convince people that their products and services can satisfy their needs at a reasonable price.

To understand what consumers and business buyers need, companies gather large amounts of data on demographics, lifestyles, trends and purchasing behaviours. It is important to understand the different factors that drive purchasing decisions because different customers demand different things. For example, consumers buy goods for their own use and business purchasers look for products that can assist them in their company's operations. A manufacturer would have vastly different needs compared to a shopper in a grocery store. Understanding potential and existing customers goes a long way towards building long-term relationships, especially in today's hyper-competitive business environment.

This chapter examines the marketing concepts and how managers and entrepreneurs develop marketing strategies. It also looks at marketing research strategies and how companies use data to understand customer behaviour.



10.1 CONCEPTS OF MARKETING

Every organisation exists to serve customer needs, regardless of whether the organisation is profit-oriented or not.

Marketing is the activity for communicating and delivering goods and services that have value for customers, business partners and society. Marketing strategies are used not only to sell goods and services but also to educate the public and advocate ideas for certain causes. For example, the Hong Kong government might place advertisements in MTR stations to help educate people about the risk factors and common symptoms of cancer.

10.1.1 Functions and Objectives of Marketing

Marketing requires a strong understanding of the market to create, communicate and deliver a product or service for which customers are willing to pay. The **marketing process** is therefore a cycle of planning and implementation of a marketing strategy, and then evaluation of the effectiveness of that strategy.



Marketing is a diversified practice that includes a number of functions. In broad strokes, these functions include:

- Exchange functions: An individual or organisation satisfies a need or want by offering goods or services in return for money or goods.
- Buying and selling: The marketing process involves buyers and sellers.
- Physical distribution: The goods are delivered from sellers to the buyers through physical distribution channels like land, water and air.
- Transportation and storage: The goods are manufactured and stored before delivering to the distribution points to the final consumers.
- Facilitation of transactions: The marketing process facilitates the transactions between buyers and sellers through the promotion of goods or services.
- Standardising and grading of products and services: The marketing standardises the goods and services in the production process under a brand name by adopting a grading system or a uniform procedure.
- Financing to facilitate sales: An organisation requires fixed capital and working capital to do marketing including carrying stocks, extending trade credit and meeting operating expenses.
- Securing market information: The organisation has to collect market information to understand consumers' needs and wants, monitor competitors' strategies and offers, and measure customers' satisfaction and loyalty for further improvement in marketing strategies.

These functions are typically aimed at meeting a number of objectives of marketing. These objectives include:

- Ensuring customer satisfaction;
- Increasing demand for products;
- Providing better quality to customers;
- Creating goodwill for the organisation amongst customers and potential customers;
- Generating a profitable level of sales; and
- Enhancing customer relationships.

Once a product or service has been launched and the marketing strategy implemented, the company will have to monitor performance and evaluate sales data to gain insight on how effective the strategy is and what could be done to improve it. The cycle then repeats – an improved strategy is planned, implemented, monitored and evaluated on an ongoing basis.

The best marketers anticipate needs before people are even aware of them. These companies do not just respond to customer demands – they create a desire for their goods and services. This is called **market driving**. Effective marketing can convince even the most satisfied people that they do in fact need a new product or service. If a company can do this, it would have a head start in the competition because consumers would link its products and services with the fulfilment of their new need.

10.1.2 Conditions for Exchange

Marketing is more than just selling. It involves a process of discovering unmet needs in society through in-depth research on potential markets; and then promoting, pricing and distributing goods or services that can satisfy the targeted customers.

The goal of the process of exchange is to satisfy three conditions in every transaction:

- Both the seller and the buyer must provide something of value to the other party.
- The exchange must benefit both parties.
- The exchange must satisfy or exceed the expectations of both parties in terms of quality and price.

When the whole marketing process is taken into consideration, the exchange process of business becomes more complex than just trading things for money. An exchange is the process through which an individual or an organisation satisfies a need or desire through the offering of goods or services. To meet the definition, exchanges have to satisfy a number of conditions including that they include two or more parties, that the parties participate in the exchange voluntarily and that each participating party bring some perceived value to the exchange.

For example, a woman buying a cup of coffee at Starbucks is the process of exchange because she feels the need for a cup of coffee and knows that Starbucks sells coffee. If she was not aware of the brand, she might have gone to a café, convenience store or vending machine instead. Because of marketing, Starbucks is able to provide the specific blends that cater to various, identified preferences, thus enabling it to grow into a giant coffee chain worldwide.

Successful marketing enables organisations to build long-lasting customer relationships. Relationships are at the heart of every marketing strategy. Organisations need to build strong relationships with the right markets and groups in order to succeed. A marketing strategy would be used not only to target customers but also to get on the good side of governments, advocacy groups and other stakeholders. That said, the focus is usually on customers, as they comprise the main target markets. In order to design an effective marketing strategy, companies have to know whether they are serving consumers or other businesses.

Once the target markets are identified, a marketing mix (see Section 10.3) is created specifically for each chosen market. The next sections in this chapter explain the different aspects of a marketing strategy. But first, let's understand the basic concepts.

10.1.3 Definition of Market

A **market** is a group of consumers with certain needs and wants. Different markets would consist of consumers with different demands. Markets are commonly categorised based on geography (e.g., the Hong Kong market), product (e.g., the textbook market) and demographics (e.g., young adults), but companies may use different ways to define markets to suit their needs.

Within this broad definition of markets, there are other more specific categories, including:

- Potential market: An untapped market that may generate opportunities for companies.
- Available market: A market that companies are able to tap into.
- Qualified available market: A market that companies can tap into provided they meet some conditions.

- Target market: A particular segment that companies are looking to focus on.
- Penetrated market: A segment in which a company already has a significant share.

Marketers customise marketing strategies to address specific markets. Some companies market to end users (individual consumers who personally use the products and services they purchase), some market to businesses and others might focus on the needs of the society at large. The focus of all marketing activities differs according to whom the marketer is targeting.

A **market segment** is a further defined market of which consumers share very specific wants and needs. For example, a women's wear retailer looking to expand into Hong Kong would look at the women's wear market segment in the overall Hong Kong market. Note how this combines geography, product and demographic factors.

The concentrated effort on meeting the needs of a single market segment is called **market specialisation**. For example, the agrochemicals manufacturer whose principal target market is farmers.

Customers are the people who buy goods and services, either for their own or someone else's use. **Consumers** are people who use goods or services. If you buy a box of chocolate for your friend, you would be a customer and your friend would be the consumer.

Sometimes the word 'client' is used in lieu of 'customer', especially when talking about professional services such as legal services and accounting services.

A **competitor** to a business is another business that provides a product or service that is an alternative to theirs. Every business aims to make customers happy and do better than their competitors. This means ensuring that their products and services are perceived by their target market to have greater value than those of their competitors.

When thinking about competition, marketers need to consider many factors such as the competitors' marketing strategies, branding, market share and sales trends. This requires thorough competitive and market analysis with the aim of putting the company in a better position to create, communicate and deliver goods and services that are perceived by consumers to have good value for price.

Illustrative Example 1

Due to the extremely competitive market in the telecoms industry in Hong Kong, telecom operators are trying to stimulate additional demand to generate higher revenues.

One of the obvious cases is the offering of 100 MB broadband Internet connection by ISPs in Hong Kong. In the early days when broadband Internet was launched, customers had already been satisfied by the faster speed of a 1Mbps or even 6Mbps Internet connection.

However, as more Internet service providers entered into the market offering a 10Mbps connection, the market norm was raised. And Hong Kong Broadband Network (HKBN) was the first one to offer even up to 100Mbps, by far exceeding customer expectations and leading the competition. This stirred up the market and led to 'induced market demand' for high-speed broadband connections thereafter.

Illustrative Example 1 (*continued*)

Moreover, since the Internet market is so competitive, different competitors set out to try and define their own market segment and even specialise to attract certain groups of target customers. For example, HKBN set up an 'Enterprise Solutions' division to provide a diversified commercial fibre broadband service of up to 1,000Mbps to appeal to commercial users, while PCCW Netvigator opted for improving their brand image in providing quality service and a reliable network to the general consumers.

Apply and Analyse 1

CSL had been operating a premium brand called 1010 targeting high-end business users. It remained the market leader for many years.

However, with the increased competition from new entrants offering lower handset prices and tariffs, the customer acquisition power of 1010 was severely affected.

Since CSL's parent company, Hong Kong Telecom, was a publicly listed company, it was of paramount importance for CSL to stay competitive. But in those days, mobile phone services were rather generic with not much product or service differentiation.

Basically, all competitors had focused their attention to attract the relatively smaller segment of premium business users. They relied on price promotion on handsets and reducing in tariffs to lure customers. But a simple cut in price would impact on the profitability of existing mobile operators.

Analyse the situation in which CSL tries to define the market and what it should do to sustain its business growth.

Analysis

CSL could have considered a direct price competition with other operators by focusing on promoting their quality network and services. However, it might cut into the profitability of the business because the cost of provision of quality service was high. Moreover, the premium market segment was relatively small and would saturate when so many competitors were aiming to get a fair share of the market.

As such, CSL took the route to identify an alternative profitable market, which targeted young and less affluent customers, to sustain its business growth. This group of customers is willing to pay a higher price for better service (the concept of exchange) than the general mass market. This would avoid direct price competition and it would open up a new market segment for customer acquisition. The objective of defining this market segment was to enlarge the size of the pie of the potential market.

Key Learning Point

Objectives of marketing are the activities for communicating and delivering goods and services that have value for customers, business partners and the society.

► Knowledge Check Questions

Question 1

State which one is not a common way to categorise a 'market'.

- A Product offerings
- B Price offerings
- C Demographic data of consumers
- D Geographic location

Question 2

Company A has been selling electrical appliances in the district for many years and the business especially from selling air conditioners has been good. Company B is a competitor who sees this as an opportunity to open another shop selling air conditioners nearby. Identify which of the followings is not true as a competitor:

- A Company B is a competitor because it provides similar products to Company A.
- B Company B would ensure their air conditioners are perceived by their neighbours to have greater value than Company A.
- C Company B will monitor the marketing and branding strategies of Company A in order to beat them.
- D It is necessary for Company B to compete by lowering the price of the air conditioner.

Question 3

A cosmetic brand intends to enter into the Hong Kong market with a focus on a 'men's collection'. State what this marketing effort is called.

- A Expert specialisation
- B Target specialisation
- C Market specialisation
- D Product specialisation

➤ 10.2 MARKET SEGMENTATION, TARGETING AND POSITIONING

All organisations, for-profit or not-for-profit, must have a **marketing strategy** – a plan designed to attract customers and build relationships with them. Decision makers in organisations have to first identify and analyse potential target markets and decide where to invest their efforts.

A **target market** is the group of potential customers to which an organisation directs its marketing efforts.

Companies can have a greater competitive advantage if they are able to identify trends in consumer habits and preferences before competitors do. However, marketing success requires not only effective **segmentation** but also appropriate strategies designed to target the identified market segments.

10.2.1 Market Segmentation

Market segmentation is the process of dividing a large market into specific segments or groups based on shared or similar characteristics and demands. For example, an athletic footwear company might have market segments for basketball players and football players. It is important for organisations to segment markets effectively, as this enables them to reach specific markets and use their resources wisely.

Market segmentation often begins with research to identify trends amongst certain groups of people, such as the current and potential opportunities in the market. The next step is to identify the distinguishing characteristics of the various segments within the market. By isolating the traits that distinguish a certain group of customers from the overall market, organisations can more accurately market their goods and services to key audiences.

Market segmentation makes it possible to undertake other activities, including market targeting, the process of focusing on a specific market, and market positioning, through which companies frame their products in such a way as to attract a particular market segment.

Effective market segmentation requires segments to meet a number of characteristics. Segments have to be measurable in size and marketers have to be able to promote to the segment effectively. At the same time, segments must be large enough to have good profit potential and companies must focus on segments that match their marketing strategies.

Since people first started to trade goods, market segmentation has been in use. Men and women require different clothing items, a distinction that tailors take into account when making clothes. China exports tea for consumers in various European countries. These are examples of demographic and geographical segmentation. Today, marketers also consider psychographic distinctions such as lifestyles and values and product-related distinctions as criteria for segmenting customer groups.

Hence, for companies offering goods and services to customers for their own use, there are four common ways to segment consumer markets. These are geographical segmentation, demographic segmentation, psychographic segmentation and product-related segmentation.

Dividing a market into groups based on their locations is called **geographical segmentation**, organisations can group markets by geographical areas, such as by city, state, region, country or international region (like Asia). It is the oldest segmentation method. Although consumers in the same area may not all buy the same kinds of products, geographical locations do provide some indication of needs.

In considering locations, it is important to consider factors such as job growth and migration trends as well. Geographical segmentation can also be categorised into country-based, population-based, climate-based, urban-based and rural-based segmentations. Businesses can combine entire areas or even countries that share similar demands and population characteristics instead of treating each region as a separate segment. In India, McDonald's burgers are made from chicken due to religious beliefs.

Demographic segmentation, the most common method of market segmentation, identifies markets according to various demographic and socioeconomic characteristics.

Common demographic measures include age, gender, ethnicity, income, occupation, household size, marital status and education. For example, perfume companies could effectively use a variety of segmentation variables. Males and females would have different needs as would younger and older consumers.

A person's needs, preferences, attitudes, habits and cultural background make up their lifestyle. Marketers are increasingly trying to understand consumer lifestyles, which has led to **psychographic segmentation**. This type of segmentation is used when a product is offered to a heterogeneous market, where consumers have very different demographics from each other. There are five psychographic segmentation variables which are personality, lifestyle, social status, AIO (activities, interests, opinions) and attitudes. This segmentation strategy divides consumer markets based on psychological characteristics, lifestyles and values. A company manufactures high-end luxury cars which could not be afforded by every income group. For the car manufacturer's marketing plan, only high-income groups are the realistic customers by return as the primary basis of segmentation.

Businesses can identify groups according to customers' relationships to a good or service. This is called **product-related segmentation**. There are various approaches to this strategy, of which the three most popular are based on benefits sought, usage rates and brand loyalty. For example, of benefits sought, bananas are bought by the customers for their taste. There are not many substitutes for the taste of bananas so that segment would be less price sensitive.

The specific focus on a product or segment is known as specialisation. **Product specialisation** refers to companies' focus on a particular product, which may allow them to bring a particular focus to bear on this one product or category. Segment specialisation refers to a similar process involving market segments, as opposed to products. Some companies specialise in providing goods and services to specific segments.

10.2.2 Market Targeting

When selecting a target market, an organisation must identify a need amongst people with purchasing power. No single organisation has the resources to satisfy everyone, as customers have many different needs and wants. Therefore, it is important for an organisation to identify and address specific needs so as to use its resources effectively.

In addition to targeting based on market segments, four common targeting strategies are: mass marketing, multi-segment marketing, single-segment concentration and one-to-one marketing.

Mass marketing is essentially an undifferentiated approach to marketing, which is ideal when a product can be produced in large volumes and at low cost. The product must satisfy the needs and wants of most people in the market in order for mass marketing to succeed. Organisations that are able to capture very large markets at a low unit cost are able to sell the product at a low price, attracting more customers and driving production costs lower through the increased level of production (a concept known as economy of scale). The marketer would ignore differences amongst various segments. Successful mass marketing therefore enables organisations to sustain high levels of profitability.

Examples of mass market products are pharmaceuticals and stationery, and services such as public transport. Coca-Cola is a leading mass market consumer product. Sometimes,

multiple versions of a product may become necessary as consumer preferences evolve and diversify.

Multi-segment marketing targets several attractive and appropriate segments. It enables the firm to diversify the risk in doing business. Businesses can adopt product specialisation to achieve some synergy in targeting two or more segments. With product specialisation, the business targets several market segments through selling a certain product. Examples include Crest Whitestrips launched to reach several different market segments – newly engaged women, brides-to-be and gay males.

The marketer should be strong in market research; identify the changing needs, wants and preferences across each segment. The marketer should adapt product and service offerings correspondingly. It is necessary to manage the positioning strategy for the various segments.

Single-segment concentration focuses on one particular segment. This strategy enables the firms to gain deep knowledge of the segment's needs and achieve economies in production, distribution and promotion. Examples include Rolex watches and Porsche sports cars. The segments' preferences always change, so marketers need to adapt their change accordingly.

One-to-one marketing, by contrast, targets individual customers by offering products and services customised to fit their need. It is also referred to as personalised marketing. Companies using this strategy often develop close and long-term relationships with customers which strengthen customer loyalty, encourage repeat purchasing and positive word-of-mouth promotion. However, this approach usually requires higher production costs and restricts the target market to a certain niche market.

This strategy is particularly popular amongst small businesses because they have the flexibility to focus on individual customers. Some service providers such as hairdressers and interior designers are expected to provide high customisation based on the customer's preferences and needs.

10.2.3 Market Positioning

Marketers also attempt to establish their products in consumers' minds by using a concept called **positioning**. It is also a process of differentiating itself from its competitors.

This involves promoting a product or brand in order to differentiate it from the competition, which will fall within the sectors of the product positioning map (Exhibit 10.1). Luxury goods, for example, are positioned as high quality, expensive, exclusive and prestigious. Whether a product is intended for the mass market or for luxury buyers, the key to positioning is to communicate to the target market meaningful distinctions about the attributes, price or quality of the good or service.

Product differentiation is a strategy that focuses on ensuring a product has attributes that distinguish it from alternatives. When developing a new product, management must decide on the characteristics that will set the product apart from its competitors. Before purchasing a product, customers compare characteristics of similar products in their decision-making process.



► **EXHIBIT 10.1** Product positioning map

These characteristics for a tangible product include design, quality, brand, image and features. A product with perceived superior characteristics would have a competitive advantage. When promoting a product, companies can also emphasise the superior qualities to communicate value to consumers, thereby differentiating the product from competitors.

When companies work to differentiate their products or services they have to consider a number of factors that go towards setting their products apart from those of their competitors. These factors include the value of the product to customers, how important those products or services are to customers, their distinctiveness, whether they are of superior quality, any emotional links, how they communicate the qualities of their products and services, any pre-emptive factors that facilitate differentiation, the affordability of products and services and their profitability.

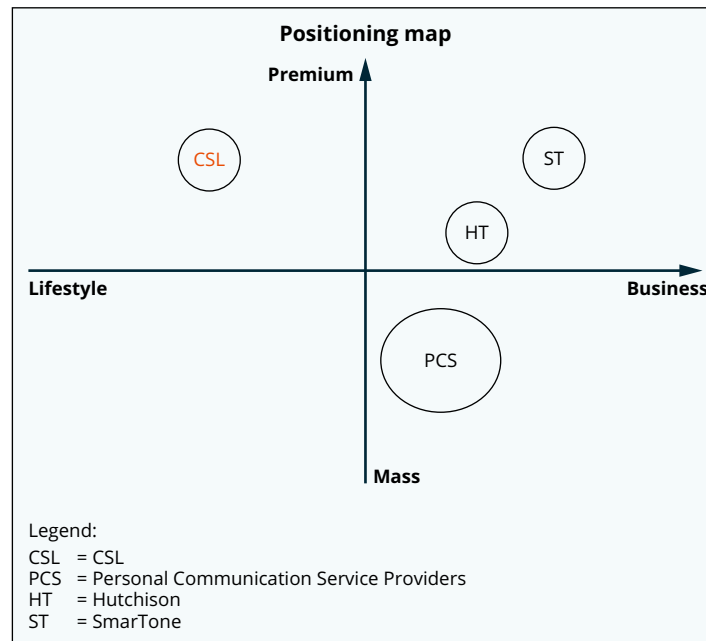
Service differentiation, like product differentiation, is a strategy to set services apart from alternatives offered by competitors. Because services cannot be protected by patents or copyright, they are easy to replicate; thus, lasting service differentiation is difficult to achieve. Any successful service innovation is almost immediately imitated by competitors in today's fiercely competitive marketplace.

To sustain differentiation, some companies rely on creating a service culture that, much like a personality, is unique. Good examples of companies that do this include exclusive restaurants and luxury hotel brands, such as Four Seasons Hotels and Resorts. A strong service culture helps position the business in the minds of consumers, thereby differentiating it from competitors.

Refer to the opening case, differentiation in the different telecom operators in Hong Kong can be seen in the positioning map in Exhibit 10.2.

There are other areas in which companies can differentiate their products. For instance, companies can set themselves apart by differentiating the relationship between their products or services and their customers. They can also differentiate themselves through their reputation, a better reputation can set a company apart. Companies can also differentiate

their products and services based on price. Another approach to differentiation is to separate themselves based on the reach and quality of distribution.



► **EXHIBIT 10.2 Mapping players**

Illustrative Example 2

- Toyota has been one of the biggest car manufacturers in the world. It has launched many models with high appeal and demand, ranging from sports cars, family cars, sport utility vehicles and so on.
- However, their cars had not been able to compete directly with luxury car makers like Mercedes Benz and BMW. Those high-end customers do not associate well with the existing Toyota brand and thus have not considered buying a Toyota even though the performance and level of comfort may be quite comparable with the German luxury brands.
- Toyota sees an opportunity to target the premium market segment by launching a totally new brand called Lexus with clear brand and product differentiation strategies. Lexus has a complete new look and feel with a full range of car designs. This brand is positioned as the premium brand over Toyota with high performing and luxury line-ups to compete with the luxury European brands. And they are distributed in separate sales channels to project a totally separate image from Toyota.



Apply and Analyse 2

The telecom industry is currently working on the infrastructure foundation and services for 5G. Telecom service providers in Hong Kong focus on delivering 5G services that are compatible with 4G mobile networks. In the everyday lives of people, 5G services can provide higher speed, stable connectivity and low latency features. These more efficient networks support improved delivery of digital information in all sectors, including in education and healthcare. They also enable exponentially more devices and innovative applications to be connected, making the Internet of Things (IoT) and smart city concepts a reality.

CSL has had a successful market segmentation strategy over the last couple of years, based on practical market experience and their research into 4G smart phones mobile services. Their existing strategy focuses on two target segments – the ‘premium business’ and ‘premium lifestyle’ segments. CSL continues to provide quality services with exclusive features in these two segments.

The ‘premium business’ segment consists of business customers, businessmen or senior executives who are mostly male and aged in their 40s and above. They are less price sensitive and sought high network quality services in the past within the 4G market. From the first quarter of year 2020, the management of CSL claimed that the ultra-high speed 5G network was ready for their top priority customer group to use. The superior value of 5G service usage would satisfy their needs and enrich their social status.

The ‘premium lifestyle’ segment targets young adults, aged between 25 and 40 with a more balanced mix of male and female customers. They are professionals and young executives who are used to the convenience of smart phone applications and social communication with friends. They pursue a flexibility of choice and lifestyle quality services such as the various game and entertainment features on the 5G network.

CSL had deployed two sets of marketing strategies through two brands to reach these two segments in view of the intense competition in the market. CSL uses the ‘1010’ brand to serve the ‘premium business’ segment, while the ‘CSL’ brand targets the ‘premium lifestyle’ segment.

Analyse and explain the market segmentation, market targeting and market positioning strategies based on CSL’s focus on 5G with the aid of the positioning map in Exhibit 10.2.

Analysis

To enact an effective marketing strategy, CSL deliberately chose the two most profitable segments for providing a better return on investment. These are ‘premium business’ (‘1010’ brand) and ‘premium lifestyle’ (‘CSL’ own brand) for identifying the different groups based on customers’ relationships to the products or services. The age and gender variables under demographic segmentation, as well as the lifestyle variable under psychographic segmentation, were used to segment the markets.

Multisegment marketing can diversify the risk and address those customer groups that can pay more for better services. In the ‘premium lifestyle’ segment, the ‘CSL’ brand charged a higher price to this customer group, who are willing to pay more for better services. With the aid of psychographic segmentation, CSL is better able to understand the lifestyle habits of their target young adults on the 5G network. For example, CSL provides exclusive VR applications or games. An example of this is the huge popularity of K-pop entertainment in Hong Kong, which makes use of an immersive VR experience.

Apply and Analyse 2 (continued)

Additionally, CSL offers innovative entertainment content collaboration with LG U+ to further provide the best viewing experiences, such as exclusive live coverage of the Premier League with selected matches broadcast in 4K streaming quality for football fans.

CSL used market positioning to establish the products in consumers' minds by setting their services apart from the alternatives. It began promoting its 5G network to its top 'premium business' segment through its '1010' brand. Priority customers were invited to try the true quality 5G services in advance. The brand continued to be positioned as the most premium mobile brand in Hong Kong by offering the best network quality. It also developed a one-stop IoT ecosystem and smart city laboratory through collaboration with various partners and industry experts. One partner CSL worked with to provide quality 5G services to their customer segments is the Hong Kong Applied Science and Technology Research Institute (ASTRI).

Key Learning Point

A good **market segmentation** forms the basis for subsequent target setting and correct positioning of the product/service.

Market targeting is to identify and address specific needs of certain market segments for an organisation to use its limited resources effectively.

Market positioning is to establish the brand or the product in the minds of consumers for differentiation from its competitors.

► Knowledge Check Questions

Question 4

Guinness Stout has been very successful in launching marketing campaigns to attract customers who have an attitude for being cool and aspire to be unique amongst peers. The colour black appeals to them. Identify the way to segment their market.

- A Geographic segmentation
- B Psychographic segmentation
- C Product-related segmentation
- D Demographic segmentation

Question 5

A premium fashion brand will launch a new handbag and want to set a clear position in the market. Identify the attributes the brand should possess to support the launch.

- A High price high quality
- B High price low quality
- C Low price high quality
- D Low price low quality

► Knowledge Check Questions (*continued*)

Question 6

In order to stay competitive and win over the competitors, the restaurant owner decided to follow a 'product differentiation' strategy in the coming year. State which of the following should be done.

- (i) Hire more waiters with training to better serve the customers.
- (ii) Advertise to raise the awareness of its brand over its competitors.
- (iii) Hire a good chef and design a better menu.
- (iv) Improve the supply chain to ensure purchasing high quality cooking materials.

A (i), (ii) and (iii)

B (i), (iii) and (iv)

C (ii), (iii) and (iv)

D All of the above

Question 7

Lucy Cheung is a well-known fashion designer who has been very successful in her haute couture tailor-made fashion label for the rich and famous. However, she understands that limiting her collection to only this segment of the market will limit her business growth in the long run. She sees that there are huge potentials in the mass market at different price levels and positioning. Identify three possible segments that Lucy could target and explain how she should position her brands to attract these customers.

10.3 THE FOUR 'Ps' OF MARKETING FOR TANGIBLE GOODS

A company's strategies for four areas of marketing activity inform its decisions in marketing. These four areas are product, place, price and promotion, commonly known as the four 'Ps' of marketing. The strategies relating to these four areas form a company's **marketing mix**. The four 'Ps' mostly apply to tangible goods. Service marketing can include three additional areas of people, process and physical evidence.

The key to successful marketing lies in creating a marketing mix that fits the needs and preferences of the target market. This requires a strong combination of all four 'Ps' rather than a singular focus on any one area.

10.3.1 Product

Companies need to decide what products to provide customers. When designing the product strategy, a company must consider the needed attributes, package design, brand names, trademarks, warranties, product image and customer service. Competitive products offer good value for money and satisfy customer needs.

10.3.1.1 Types of Products

Some companies provide **consumer products**, which are often known as business-to-consumer (B2C) products. These are goods and services that are purchased by end users, such as mobile phones, canned soup or a haircut. Consumer products can be further categorised as convenience products (that meet immediate customer needs such as cleaning supplies), specialty products (that are unique), shopping products (that hold an attraction for customers) and unsought goods (that consumers do not know about or normally do not think about).

Other companies provide **business products** – or business-to-business (B2B) products.

These are goods and services purchased by businesses for the production of other goods and services, for example, large printers for offices or kitchenware for restaurants. Some products fall into these two categories; desktop computers, for example, can be purchased and used by both businesses and consumers. Such classifications help marketers design marketing strategies to target the right markets.

10.3.1.2 Product Mix and Lines

Since the product variable in the marketing mix is all about creating a product that meets the needs and wants of customers, marketers must understand value from a customer's perspective. Value might come from an elevated social status for owning a certain product. Value might come from using a product that solves a problem.

Many companies produce multiple products or several different versions of a product. A **product line** is a group of products that are closely related in terms of the target market, technology or raw materials. For example, when a company creates a group of products that deal with hygiene, such as shaving cream, soap and shampoo, this is known as a product line. A **product mix** is the entire collection of products that a company sells, including all items in every product line. Any product mix can be defined in terms of width, length and consistency. For example, Coca-Cola has different drinks for sparkling beverages, water, juice, coffee, tea and international flavours.

When considering their product mix and their strategy towards that mix, companies have a number of possible strategies to consider. One approach is expansion, which relies on growing its line-up of products and services to increase sales. Another approach is contraction, which relies on reducing the number of products and services to boost sales in specific areas and eliminate unprofitable segments or lines. A third possible approach is alteration of existing products, which relies on making changes as needed to boost sales and profitability. A fourth approach is to trade up or trade down, moving products and services within segments and price points.

Branding is sometimes used to differentiate products from competitors. Branding involves giving a product certain representative symbols such as a name, slogan, logo and distinct design. Customers exchange money for the perceived value gained from the brand image as well as the features and functions of the product. All the attributes should benefit the customer in some way.

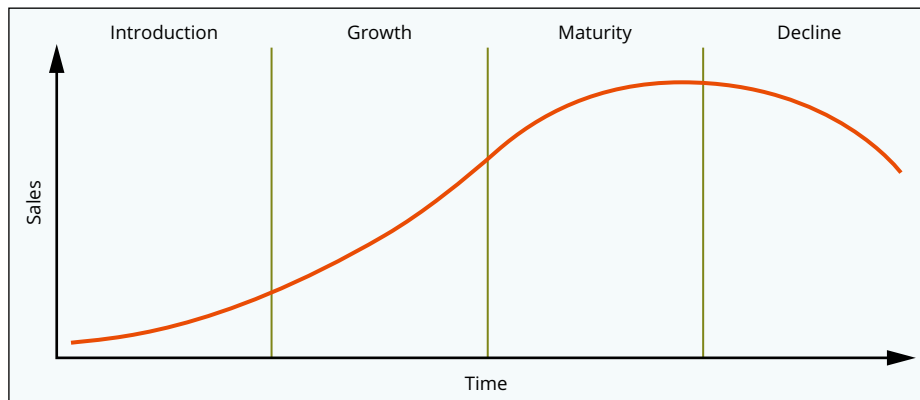
Branding should match the product and service strategy of companies. The specific branding approach of companies should be directly linked to the types of products or services a company produces as well as the product mix and any development of new products or services that may be underway.

To sustain sales in today's competitive marketplace, companies must monitor the market to ensure that their products will not be replaced by alternatives – that is, their products must always have certain attributes that provide unique value. New products are constantly being launched into the market, making it very difficult to sustain this kind of competitive advantage. That is why companies must also modify their existing products and develop new ones to keep up with the competition and changing consumer preferences. Sometimes, a product might have to be discontinued because it is no longer mutually beneficial, meaning it no longer provides value in consumers' minds or it is no longer profitable.

Value might also come from choosing a product that is more environmentally friendly. The culture and values of a society are therefore important factors to consider as well when developing a product.

10.3.1.3 Product Life Cycle

When thinking of the product variable in the marketing mix, it is important to consider the **product life cycle**. This refers to the key stages in a product's 'life', from development and market launch to its eventual removal from the market (Exhibit 10.3).



► EXHIBIT 10.3 The product life cycle

The product life cycle has four stages:

1. **Introduction:** This is when the product is first introduced in the marketplace. To inform consumers about the product, the company often needs to invest in promotional activities. These efforts should attract potential customers to evaluate and purchase the new product. However, substantial profits do not usually occur until later, even with a successfully launched product, as sales in the introduction stage need to offset the promotional costs and product development costs. Only after these costs are recouped does the company begin to profit from the product sales. In highly competitive industries, companies often use sales promotions at the product launch in order to lure customers away from the competitors. For example, a new brand of potato chips might appear in displays with steep discount at launch to attract attention from chip consumers.
2. **Growth:** This is when the product gains increasing popularity and sales, thus generating more profits. As competitors enter the market with similar products, the rate of growth

of a particular company's sales and profits is likely to slow. Promotions are not nearly as common during this stage. Product sales grow as more customers become aware of its benefits.

3. *Maturity*: This is when consumers begin to lose interest in the product because newer alternatives, some of which may be superior, are available. At this stage, the sales and profitability of the product peak and start to fall, and the company must decide what to do with the product. Should changes be made to the marketing mix to sustain profits? Strategies could be to lower the price, expand to an overseas market, launch a new promotional campaign or update the product. Alternatively, the company may decide to let the product enter the decline stage and eventually exit the market. In highly competitive industries, companies may use promotions to maintain relationships with customers in advance of a new version or replacement product launch in the near future.
4. *Decline*: This is when the product's sales and profits decline. There may not be a lot of interest in the product anymore, and it is losing its competitive edge against alternatives. In the decline stage, the company must decide whether to increase its investment in the product to boost its profitability or to reduce its investment and remove the product from the market. Left in the decline stage, a product would eventually be withdrawn from the market. Even price reductions or other changes in the marketing mix are not likely to improve sales much for products that consumers perceive as outdated or of little interest. Companies normally want to clear out remaining inventory of products and generate whatever revenue and cash they can.

10.3.1.4 New Product Development Process

A particularly important step is the development process of new products. At this stage, defects and problems can be eliminated and positive features can be added and improved at this stage.

New product development refers to a company's efforts to develop an idea, conduct research, develop prototypes, test the product and modify it before the product launch.

The product could be:

- New to the market, such as a breakthrough technology.
- New to the company, such as a product that already exists in the marketplace, but is being produced by a certain company for the first time.
- New to the product line, such as a product that is an addition to the type of products the company has been producing.
- New to an existing product, such as a modified and enhanced version of an existing product.

The product development process typically includes seven key steps, including:

1. generating ideas;
2. screening ideas;
3. developing a business proposal;
4. developing a product;

5. testing a product with consumers;
6. introducing products; and
7. evaluating customer acceptance.

Substantial costs are involved in new product development and returns are only achieved later in the product life cycle when sales are realised.

10.3.2 Price

The price of a product is the amount of money a customer must pay in exchange for it. The pricing strategy is one of the most difficult areas of marketing decision making. Companies must find a balance between what is a justifiable and reasonable price to customers and what is profitable to the business. Simply put, companies need to know what customers would like to have and what they are prepared to give in return.

10.3.2.1 Pricing Objectives

When pricing a product, businesses must consider many factors, including:

- the costs related to production, marketing and distribution;
- the profitability required;
- customers' willingness to pay;
- any requirements by business partners;
- competitors' prices;
- proposed positioning strategies; and
- company objectives.

Pricing changes by one company may cause pricing changes by other companies in the industry, because businesses try to match the competition's pricing to avoid losing customers. Companies that are able to lower prices without hurting profitability (perhaps by lowering the cost of production) would have a significant competitive edge. Some examples of pricing objectives include maximising short-run profits, increasing sales volume, matching competitors' prices or meeting target rates of return. Each pricing objective requires a different price-setting strategy in order to successfully achieve business goals.

The price of a product also plays a role in creating value perceptions. A luxury brand for handbags, for example, would find it beneficial to price its handbags higher to give a sense of quality and exclusiveness. Marketers need to understand the company's positioning and the relationship between price and quality in customers' minds in order to price correctly. Mistakes in pricing could lead to a crisis – a product that is priced too high, for example, could lead to harsh public criticism, and sometimes pricing is subject to government regulation, as is the case with items like cigarettes, alcohol products or gasoline for vehicles for which minimum prices are set.

10.3.2.2 Pricing Strategies

In sum, the most common pricing objectives are profitability, long-term prosperity, market share and positioning. To achieve these objectives, companies use a variety of pricing

strategies. An example is **penetration pricing**, which is to set a low launch price to maximise sales volume and increase the market share of a new product. The low price encourages consumers at least to try the product. This lower price strategy may result in losses for the company at first, but the marketers expect that to achieve a stronger market penetration which will raise prices to a more profitable level. In **cost-based pricing**, the company adds a percentage or dollar amount to the cost of the product. The amount added is the company's profit. In competitive markets, companies must look at their costs carefully. If it costs more than its competitors to produce and sell a similar product, eventually, the company will consider charging a higher price or making less profit.

Another strategy is **price skimming**, which is to charge the highest price that customers who most desire the product are willing to pay. The price is lowered over time to attract more customers, again at the highest prices that these buyers are willing to pay. Price skimming helps a company to recover product development and launch costs quickly. For example, a mobile phone company might launch a new product with an initial high price, capitalising on those people's willingness to pay a premium for cutting-edge technology. It also enables the company to balance its supply capacity with demand by limiting demand.

Other types of strategies include:

- **Product line pricing**, through which pricing is coordinated across an entire product line to ensure consistency in the messaging and the approach to market development. An example of this might be the iPhone XS, XS Max and XR. It sets different price points between various products in a product line based on the cost differences and market needs.
- **Bundle pricing**, through which companies may offer a single package price for customers that buy multiple units or specific types of units lower than buying products individually. An example of this might be McDonald's Extra Value Meal that includes a burger, a drink and fries.
- **Premium pricing**, through which companies charge more for products and services to set them aside in the market and create the perception of higher quality. Examples include Hermes, Cartier, Vertu and so on.
- **Value-based pricing**, through which companies separate their products and services aside using specific pricing approaches that give customers the perception of value. Starbucks is one brand that uses value-based pricing to maximise its profits.

10.3.3 Place

Also called the distribution strategy, this marketing-mix element ensures that customers receive their purchases in convenient locations and at the right times. Retailers and restaurants also need to ensure that the right amount of stock is available at the right locations. The science of achieving this balance of having the correct product quantity at the correct place and the correct time is known as **logistics**.

The place variable in the marketing mix is largely a logistics function. Marketers need to be aware of how logistics impact their ability to deliver a product at a time and place that is good for the customer. A balance must be achieved between the costs of making products available and ensuring the right amount of the products is available at the right time for the target market. Costs to consider include inventory, storage and transport.



10.3.3.1 Types of Marketing Channels

Some businesses use catalogues, a physical shop or a website to sell their products directly to customers, while others (usually larger businesses), involve other players in the supply chain such as wholesalers and retailers. The complexity and costs of distribution change as technology advances. Consider music, for example, nowadays consumers can download music through a streaming service such as Spotify instead of buying a physical product such as a CD, cassette or vinyl.

There are both direct and indirect marketing channels. A direct marketing channel is one in which the producer sells a product directly to a consumer, without an intermediary, such as a brand store or a direct shipment. An indirect marketing channel is one that relies on intermediaries, such as distributors or retailers.

10.3.3.2 Roles and Functions of Marketing Channels

The following are some common distribution channels for tangible goods:

- Producer–consumer
- Producer–retailer–consumer
- Producer–wholesaler–retailer–consumer
- Producer–agent/broker–wholesaler–retailer–consumer
- Producer–agent/broker–consumer

The choice of distribution channels depends on the needs of the producer. For example, goods that are sold in large quantities through numerous retailers, such as grocery products, are often distributed through a wholesaler. If legal and regulatory factors are complex for a certain product, an agent or broker may be needed.

There are also marketing functions that play specific roles. These include:

- Transactional functions, which including facilitating and logistical functions, are performed by intermediaries in marketing channels. These functions include activities associated with the buying and reselling of products.
- Added value functions, which refer to marketing functions that add value to the company. When companies get involved in direct marketing, for example, they may engage in value added functions by increasing the place utility that consumers can buy in many distribution points offered by the retailers.
- Facilitating functions involve activities that make it easier to sell products and services, including standardisation, researching, financing, risk bearing and market intelligence.
- Support functions are ancillary functions that are not directly related to marketing activities but make marketing efforts possible.
- Logistic functions, which facilitate the marketing and distribution of products including physically distributing, storing, sorting and assortment.

10.3.3.3 Managing Channel Relationships

As each party in a distribution channel has different needs and expectations, sometimes conflict, disagreements and misunderstandings can arise. It is important to manage the

relationships in a supply chain to ensure that all the parties cooperate on implementing the agreed goals and processes. However, it is difficult for a consensus to be reached by all the parties as to what the best approaches are, and the relative power amongst the parties often varies. How each party exercises its power is very important, as a distribution channel is only effective when it benefits all the parties involved.

10.3.4 Promotion

The promotional strategy combines advertising, personal selling, sales promotion and public relations to inform, persuade and influence consumers to buy a product. Sometimes promotion aims to remind customers of an already established product (such as Coca-Cola) or to inform them of a modified product (such as Coke Zero). The latter is to attract new customers or to inform existing customers of an improvement or new variety. Sometimes promotion aims to make customers aware of a new product for the first time, such as a movie that is soon to be released. All marketing activities to make potential customers aware of and attracted to a product are part of the promotion variable in the marketing mix. Promotion is an umbrella term that encompasses many marketing activities, including the following.

10.3.4.1 Advertising

Advertising is an impersonal and one-way mass communication of a product between the marketer and the consumers. Examples of advertising media include print ad, newspaper ad, magazine ad, TV ad, poster, outdoor advertising, transit advertising, lighted moving signs, radio, videos and billboards.

10.3.4.2 Sales Promotion

Sales promotion involves temporary activities used to encourage trial and purchase. Examples of sales promotion include discounts, premiums, product sampling, coupons, contests, games and rebates, sweepstakes and lucky draws.

10.3.4.3 Direct Marketing

Direct marketing is an approach to promotion through which companies communicate directly to customers, such as telemarketing, direct mail and fax mail.

Some companies have revolutionised the process of direct marketing, including household goods distributor Amway and cosmetics distributor Mary Kay. Direct marketing often relies on personal networks, with sales people using their networks to distribute products.

10.3.4.4 Public Relations

Another approach to marketing is public relations, through which companies engage with the public at large. Public relations may not be directly related to the sales of products and services but it can help companies differentiate themselves or address market concerns. Examples of public relations include company magazines, press kits and publications.

10.3.4.5 Digital and Social Media

Apart from the traditional promotional strategy, digital and social media have become key vehicles for companies to market themselves, their products or services. Channels such as WeChat, particularly in China, as well as Facebook, Instagram, Pinterest, YouTube, LinkedIn or Twitter are used.



These channels, along with the individual digital platforms of companies, help them reach out to customers around the globe directly. Digital marketing has made it possible for entire new business models to emerge, including the models of such companies as Alibaba and Amazon, that have redefined the marketing process.

10.3.4.6 Mobile Marketing

As with digital and social media marketing, mobile marketing is allowing companies to reach out to customers around the world, relying on the increasing penetration of mobile devices.

Mobile marketing refers to a multichannel digital marketing strategy aimed at reaching a particular audience through smartphones or tablets as well as websites, email, SMS or MMS and social media and apps. Other new mobile technology includes the use of NFC (near field communication), Beacons, and Geofencing.

Key to mobile marketing is understanding the audience and specific market segment for products and services and developing content that is useful for marketing content but also effective for consumption on mobile devices.

There are many other interesting ways to promote a product, such as through a creative display or piece of artwork in a shopping mall or animation attracting users' initial attention. Companies may also adopt loyalty schemes to encourage repeat purchases such as punch programmes, tiered programmes and points programmes. Word-of-mouth promotion through the use of referral programmes could also be used to attract new customers through existing customers. Personal selling may also involve promotion, including the use of sales representatives, as well as fairs and trade shows.

Several promotional methods might also be used in combination, and in such cases careful coordination is crucial to achieve a consistent message. Marketers have to think outside the box, so to speak, to find ways that would enable the promotional efforts to stand out and grab attention in an intensely competitive market.

Illustrative Example 3

When Walt Disney decided to open a new Disneyland in Hong Kong, they had planned a major campaign to launch the theme park with a full marketing mix.

First, besides having most of the key attractions and rides from the States, Disney designed some 'only-in-Hong Kong' rides to make the Hong Kong Disneyland unique. These new 'products' would serve as good promotional messages to attract visitors coming from the Asian markets.

Second, since the theme park was comparatively smaller than other Disneylands in other parts of the world, the pricing was set to be lower to make Hong Kong Disneyland competitive, yet still commanding a premium over other major attractions in Hong Kong, such as Ocean Park.

Besides selling the tickets at the gate, Hong Kong Disneyland also extended its distribution channels to online as well as working with travel agents, tour operators and airlines to package tours to come to the park.

Illustrative Example 3 (continued)

They had a major launch campaign with full above-the-line advertising such as television commercial (TVC), print ads and events to raise the profile, awareness and interest as well as many public relations activities including the launch event by the vice president of China and chief executive of HKSAR.

Apply and Analyse 3

To execute a successful marketing strategy, the management of a company should be capable of understanding the market environment for its products or services. When analysing market history and trends of competitive forces, formulating and improving the right marketing mix is of overriding importance. Traditionally, the effective marketing strategy involves four main elements, i.e. place, price, product and promotion.

CSL acts as a mobile service provider that is also making good use of these elements of marketing mix in order to provide better service marketing. For 'place', it utilises their existing physical shops distributed in many districts to reach their target customers. Meanwhile, it allows access to various online marketing channels, such as different websites and social media platforms, to initiate their new 5G services.

For 'price', CSL set a few standard packages in which the prices are higher than many other competitors on the 5G market. As the prices are positively linked to the quality services provided, new target customers can be attracted to switch from competitors and existing customers can be upgraded from existing 4G service plans.

For 'product', 5G services allow customers to explore a universe of entertainment and enjoy spectacular audio-visual effects, such as VR applications, games and music services. This requires the necessary combination of the hardware requirements of 5G smart phones, software applications and network coverage. An enhanced experience on 5G smart phones fits its customers' needs and preferences because there are not too many other existing models of phones in the market that can currently fully utilise a faster, more stable, smoother 5G network. Also, the 5G network is capable in carrying a high-quality entertainment experience that performs anytime, anywhere.

Lastly, effective 'promotion' is an important element for helping to achieve the presence of other captioned elements in a marketing mix. CSL provides frequent advertising and marketing campaigns on their services, even exclusive services towards their target customers.

Explain the marketing mix of CSL's focus on 5G.

Analysis

By developing strategies to achieve its desired results within the market it serves, let us analyse the marketing mix of CSL and how it markets its new 5G services.

To market 5G services, 'place' is one of the key elements in the marketing mix. Nowadays, the convenience to access telecom services is valued highly by customers.

Apply and Analyse 3 (continued)

CSL utilises its physical distribution network, such as its over 50 shops that serve to demonstrate the 5G smartphones bundled with its quality services. Meanwhile, it also makes use of online channels like its website, mobile app and social media platforms. CSL has also launched an online portal, <https://www.hkcs1-5g.com/en/>, to announce its advantages on 5G.

The 'price' element requires an evaluation of the value of the product for CSL's targeted customers. As CSL focuses on customer groups in premium segments, the 5G service monthly plan offering in 2020 ranges from HK\$398 to HK\$698, with 80 GB to 300 GB local data usage. The setting of the price packages is higher than the average on the market since it provides many value-added and exclusive services to customers. Moreover, customers who upgrade from its 4G services are given discounts on prices.

As 'product' reflects the solution to customers' needs, 5G services that are accessible are based on the hardware requirements of 5G smart phones, software applications and the network coverage. CSL supports various models of 5G smart phones and has deployed high-quality 5G coverage via the fastest connectivity and a far-reaching, reliable network. The infrastructure network on CSL is competitive since it built the first all-fiber mobile network in Hong Kong. As its mobile broadband service is in high demand in large-capacity crowded places, such as MTR stations, shopping malls and the airport, it is easier to upgrade to 5G without additional cabling. For its services, the target customers can exclusively watch K-Pop music shows performed by Korean pop singers and bands through its 5G VR application. The show is produced in 4K resolution and is especially created for 180° VR viewing with the aid of a smooth, high-speed 5G network. Essentially, it also has a 24-bit music service with a studio-quality music experience. CSL provides strong product-centric development for its marketing strategy, improving it from time to time.

In addition to VR, augmented reality (AR) is also better supported by 5G. AR is a technology that overlays digital content over the real-life environment. One popular example is the mobile game Pokemon Go. Using their smartphones, players could use the Pokemon Go app to find digital characters in real-world locations. AR also has compelling applications in business products. For example, traffic and navigation infrastructure can use it to augment map and location data; medical fields can use it for training and support in surgery; and logistics companies can use it to place digital labels over freight containers.

Finally, promotional strategies can be achieved through its marketing objectives. CSL uses multiple media channels to promote its 5G products through 5G event shows, offline branches and online platforms. Customers can have an exclusive experience when joining the packages that allow free access to Now E Premier League, MOOV music service, VR application and eSport games. It promotes 120 mini performances showcasing the hottest K-pop idols and backstage 'making-of' programmes starring famous and popular Korean artists like IZ*ONE, MAMAMOO, KANG DANIEL and MONSTA X, etc. K-pop fans can feel their Korean idols perform in front of their eyes with the aid of this VR technology.

Key Learning Point

The **four Ps** of marketing are **product, price, place** and **promotion**.

► Knowledge Check Questions

Question 8

Company A has developed a new 3-D TV and launched it in the market with great impact. The sales have been growing well until the last two years when sales became sluggish. Competitors have also launched similar products and successfully been grabbing the market shares from Company A. Identify the option that Company A should not consider at this stage of the product cycle.

- A** Review and reduce the price to attract more customers.
- B** Develop alternative sales channels, for example, overseas distribution.
- C** Repackage and relaunch a marketing campaign to help push sales.
- D** Stop production.

Question 9

Company X is a latecomer to the diapers market. They want to launch a new product and want to grab a sizeable market share within a very short period of time, in order to catch up with the loss in time. Identify the pricing strategy that Company X should adopt.

- A** Price skimming strategy
- B** Cost-based pricing strategy
- C** Mass market pricing strategy
- D** Penetration pricing strategy

Question 10

Identify which of the following are referred to in promotional strategy.

- (i) Discounting on price or gifts on purchase
- (ii) Running a TV campaign
- (iii) Lobbying media to write stories about the product
- (iv) Appointing a new sales agent

- A** (i), (ii), (iii)
- B** (i), (iii), (iv)
- C** (ii), (iii), (iv)
- D** All of the above

Question 11

Mercedes Benz is going to launch an all new electric car later this year. It is aimed to compete with Tesla, the market leader of electric cars (e-car). Define the marketing mix of Mercedes Benz and justify and explain your recommendations by considering the current brand positioning of Mercedes Benz and Tesla in the market.

10.4 MARKETING RESEARCH

Marketers need to study potential markets to understand consumer demand. If a company can find a solution to a problem that many consumers have, it could then plan how to develop a product or service that delivers that solution to people who need it.

This planning phase of the marketing process involves an analysis of the market and consumer purchasing behaviour, as well as the company's competition. To make better decisions and maintain competitiveness, companies use a range of activities and technologies to gather and analyse data. This is called **marketing research**.

Marketing research is imperative to a strong marketing mix. The marketing mix refers to a company's approach to taking a product to the market. The marketing mix is usually associated with the 'four Ps' of marketing discussed earlier, namely: product, place, price, promotion.

Marketing research helps companies determine how to prioritise the four Ps and approach them in a way that may be most effective to ensure the success of a new product.

10.4.1 The Need for Research

Marketing research involves collecting data and converting that data into meaningful information – or **business intelligence** – for marketers to make effective decisions – it is the foundation upon which the marketing mix rests.

10.4.1.1 Identify Market Opportunities and Problems

The process requires researchers to decide how to collect data and interpret the results for decision making, and then communicate those results to managers so they can make informed decisions. Effective marketing research enables business decision makers to understand potential target markets better and to design a strong marketing mix.

The first step in this research process is to identify the market opportunities or specific problems that companies can address with their products and services.

10.4.1.2 Generate, Refine, and Evaluate Potential Marketing Actions

Over the past two decades, technological advances have made it easier than ever to access massive amounts of information. With the Internet, social media, mobile devices and the like, consumers are constantly producing large sets of data – or **Big Data** – that companies can gather and analyse to understand customer preferences, market trends and purchasing patterns. With this information, companies can increase revenue and market share by creating stronger marketing strategies and even new businesses.

This makes it possible to generate potential marketing actions that may be most suited to a company's products and services as well as evaluate and refine those actions to generate the most potential value.

10.4.1.3 Select Target Markets

Given the constantly increasing and changing data, managing and analysing this data poses a challenge for organisations. A key challenge is to use the data they generate and the strategies they develop to identify the most suitable target markets for their products and services.

Today, marketers must pay close attention to consumer behaviour on a range of digital media platforms. E-commerce is now increasingly being driven by mobile commerce, as more and more people, especially millennials, are buying goods and services through their mobile devices.

10.4.1.4 Monitor Marketing Performance

With strategies in place, markets selected and data in hand, companies can monitor the performance of their marketing strategies.

For instance, companies can use Big Data generated through various transactions to understand mobile purchasing habits and customer preferences when selecting products and services. Social media such as Facebook, Twitter, Pinterest, Tumblr and blogs are also valuable sources of information for marketing.

They can also track the progress of their marketing efforts and key performance indicators (KPIs) to track the performance of their marketing efforts.

10.4.2 Research Design

There are three main types of research that market researchers conduct, namely: exploratory research, descriptive research and causal research.

10.4.2.1 Exploratory

Exploratory research: This type of research is intended to gather information on a loosely defined issue. When management has little knowledge about the research problem and is uncertain about what actions to take, exploratory research is required. In these situations, the aim is to increase management's knowledge and to generate ideas to help management make informed decisions. Evidently, it is most commonly used for further defining areas of potential growth and alternative courses of action that require statistical research. The research takes place in the form of open-ended questions.

10.4.2.2 Descriptive

Descriptive research: This type of research is used to solve a specific problem by gaining a better understanding of it. In the same way, it is better to define an opinion, attitude or behaviour held by a group of people on a given subject. When management is aware of a problem but needs certain information before it can move forward to address the problem, descriptive research is undertaken. At the same time, multiple choice questions are predefined categories in which a respondent must choose from as descriptive research.

10.4.2.3 Causal

Causal research: This type of research is based on an assumption that a specific outcome is caused by a particular variable. By assuming everything else is constant, tests are conducted to confirm whether that hypothesis is true. A *hypothesis* is created using existing knowledge and expectations about what the study will prove. It differs in its attempt to explain the cause and effect relationship between variables. For example, a marketer might hypothesise that increased usage of television commercials would lead to higher sales and therefore conducts research to test whether that variable does affect the outcome.

As you can see, how much knowledge management already has about a research problem affects the type and amount of research that is needed.



10.4.3 Data Collection Methods and Sources

Key considerations for the approaches that companies take to develop their marketing strategies are the way they collect data and the type of data they can collect.

10.4.3.1 Data Collection Methods

Companies have a number of different avenues open to them to collect data that can then be used to develop strategies for product line-ups or marketing.

Focus Groups

A **focus group** normally brings five to eight people together to discuss a particular topic, helping to generate new ideas and point out flaws in existing products.

Surveys

To gain a deeper understanding of the reasons behind purchasing behaviours, researchers would need information about consumers' attitudes, opinions and motives. This would require them to conduct surveys in person, online, by phone or in focus groups.

Observation

Researchers may sometimes use observation tools such as video cameras or humans to directly observe customers or track site views and visits.

Experiments

Sometimes experiments are conducted to test a new product. For example, a chocolate manufacturer might recruit ten people to taste three new chocolate bar recipes to select the one that is likely to sell more.

Test Marketing

Test marketing is also sometimes used, which is when actual products or services are sold for a period of time to customers unaware that they are participating in an experiment. Information on customer satisfaction and feedback as well as sales performance is obtained from test marketing and evaluated afterwards. Test marketing of retail products involves placement in a limited and selected number of stores. Sales in those stores are used to predict market and customer response to the product and guide distribution for the full launch.

10.4.3.2 Types of Data

Business intelligence comprises internal and external data, which are used for marketing decision-making.

Primary Data

Sometimes, companies may have to find their own way to develop up-to-date and specific information for researchers. This information is known as **primary data**.

Obtaining such data is often not as quick and inexpensive as obtaining secondary data, as researchers would need to obtain data first-hand through research tools such as observation, surveys, experiments and other data collection methods.

Secondary Data

Secondary data are previously collected data for any purchase other than the one at hand. Internal data are collected from sources inside the company. Financial records are a major source of **internal data** in companies, and provide much information regarding inventory levels, sales generated by different types of customers or products, sales by territory or

salesperson, profitability, bills and the like. Other internal data include distribution records, customer complaints and customer feedback. Opportunities and problems can be identified through careful evaluation of internal data.

External data are obtained from sources outside the company and are usually low cost and easy to obtain. Examples include trade associations, advertising agencies and marketing research companies. Government statistics are also frequently used, especially census data containing the population's age, gender, household size and composition, education level, occupation and income.

Private research firms use a range of social media platforms to gather data from their target audiences. Some of these organisations offer information through paid subscription services and focus on certain markets, such as elderly or married consumers, or on specific topics ranging from industry analysis to business trends. Some of this information is available online. When making decisions about product development, such information is particularly useful for companies. Purchasing behaviours, possible changes in markets and potential new markets can all be evaluated using external data.

Market and consumer preferences and tastes may change over time. It is also important for the brands or companies to keep track on the changing profiles and demand. As such, many brands adopt continuous tracking of market performance through regular surveys. This will allow them to monitor closely and identify trends in consumer behaviour over time. This is called a 'market tracking study'.

10.4.4 Data Analysis and Reporting

When analysing data, researchers must understand the differences between quantitative data and qualitative data.

Quantitative data are represented numerically. The quantitative data that are collected must be analysed and are amenable to statistical manipulation which could be understood to inform management decision making. Quantitative data collection methods include various forms of surveys including online, paper, mobile and face-to-face interviews and telephone interviews.

Qualitative data are not usually represented numerically. Qualitative data are usually obtained from interview transcripts, written or spoken responses to questions, video recordings and observation records. Qualitative data can be very useful for gaining a richer and deeper understanding than can be obtained from quantitative data. Some common methods include focus groups, individual interviews and observation.

The aim of analysing data is to identify trends or patterns that can facilitate decision making. Once conclusions are drawn in terms of what the data shows, recommendations on the best courses of action are promptly made.

The findings should be presented in a way that marketing decision makers can easily understand and use. This often involves a presentation and a written report that is concise and to the point but has all the necessary details and explanations.

A written report should mention how the research was conducted and how the analysis was performed, so that decision makers can have a better understanding of how the conclusions or recommendations were reached, should they feel the need for more background on the study.

Once marketing strategies have been designed and implemented, the final step in the process is to monitor performance and adapt plans as needed when goals are not reached.

Monitoring involves obtaining feedback about performance, such as by comparing actual sales to forecasts, using surveys, listening to customers, interviewing employees and reviewing finance, marketing and production reports.

Managers may decide to change or discontinue a marketing campaign if it fails to generate enough sales or positive response. Alternatively, a campaign may be expanded or extended if it is working as desired.

Illustrative Example 4

Ferro Catino is a famous 'haute couture' designer with most of his clients being the rich and famous. His evening gowns are well received and priced at a premium. However, Ferro Catino wants to diversify his business into the 'ready to wear' women's fashion market.

He, therefore, did some focus groups of his existing clients to gauge how they would react to his new idea of launching a new brand for this ready-to-wear collection. He also did another focus group research on other potential clients with lower income to really understand the purchase intention and behaviour of this new segment. He could understand more how his 'brand' would have an impact on their purchase decision.

He also carried out a survey to quantify the market potential of this new target segment to evaluate if the market potential is really there. He visited stores of other fashion brands to observe their retail operations, customer sales and services for operating these shops. He also observed the purchase behaviour of these potential customers for the planning and design of his own shops.

Apply and Analyse 4

Market research can foster the growth of companies. By understanding what customers want, companies can develop suitable products or services for targeted groups. Market research is the process of determining the viability of new or improved products or services. It can allow companies to maintain competitive advantages over other competitors in the market. In general, many companies collect data for analysis and reporting by themselves or through a third-party research company. The research process usually involves the use of surveys, focus groups and product samples or testing.

By gathering reliable secondary data from external parties such as research companies and trade associations, CSL management can have better insights and make better decisions on adopting 5G technologies to its services. As the 5G network can link up a large number of users at the same time, it can support a higher demand from a massive number of devices at the same time. Based on the 5G network research, the data transfer speed is up to 5 to 20 times faster than the 4G specification, while the 5G network can achieve low latency of less than one thousandth of a second.

CSL formed a partnership with the Hong Kong Applied Science and Technology Research Institute (ASTRI) in pursuit of smart city solutions for Hong Kong. The data collected from research collaborated with ASTRI is quantitative and useful for the marketing mix, as it can be used to develop better services such as the smart kiosk. As CSL

Apply and Analyse 4 (continued)

built Hong Kong's first 5G all-fiber shared indoor digital network on a new MTR line, it can analyse quantitative data to show that customers are increasingly more reliant on mobile data, especially in terms of high-resolution music and video.

Identify the types of secondary data, either internal or external, that can be beneficial to CSL to identify opportunities in the 5G market.

Analysis

Adopting new technologies in 5G are needed for collecting reliable data to enhance business intelligence on the decision making. The following secondary data are divided into external and internal data. The data can be provided for identifying the market opportunities and marketing mix.

External data: obtained from sources outside the company

1. Use of the 3.3 GHz, 3.5 GHz, 4.9 GHz and 26/28 GHz bands in the 5G network spectrum can restructure existing low-frequency spectrum bands in coming years in order to enhance overall 5G network performance.
2. By transmitting messages between sensors and the device in each driverless car, customers can have safer and smarter car-driving experience.
3. The 5G network can achieve low latency of less than one thousandth of a second, while its data transfer speed is up to 5 to 20 times faster than 4G specification.

Internal data: obtained from CSL services

4. Running 4K football live streaming on greater network speed and low latency performance allows customers to watch live football action in fine detail using smartphones on the go. Moreover, 5G technology is able to reinvent the concept of live streaming, such as watching movies or concerts using multiple angles through a smart phone.
5. Listening to 24 bit high-resolution audio with music streaming capabilities over the standard MP3 16 bit format.
6. Adopting AR and VR applications to run more smoothly as 5G technology can massively increase network capacity by enabling intensive processing to be offloaded to the cloud. In the near future, the AR headset can be applied in a game or even a lecture, to allow customers to get responses or instant images in real time.

Key Learning Point

There are three main types of research that market researchers conduct: **exploratory research**, **descriptive research** and **causal research**.

Data analysis and reporting are important to identify trends or patterns to facilitate management decision making and recommendations on the best courses of action.



► Knowledge Check Questions

Question 12

A computer manufacturer is looking at the opportunity to expand its business to sustain growth by entering into smartphone production. The management team has limited knowledge about the market conditions, that is, the potential customers and the target segments. State the type of research that this company should do to gather more insight.

- A** Quantitative research
- B** Causal research
- C** Exploratory research
- D** Descriptive research

Question 13

State what focus group research is good for.

- A** Generating new ideas and gaining more in-depth understanding of purchase decisions.
- B** Identifying the relationship between marketing mix and sales of a new product.
- C** Quantifying the market potential.
- D** Observing the customers' shopping experience.

Question 14

After a marketing strategy is launched, results should be tracked and reported periodically. Managers may decide to change or discontinue a marketing campaign if it fails to generate enough sales or positive response. Identify which of the following is NOT part of marketing performance monitoring functions.

- A** Customer surveys
- B** Sales versus target reports
- C** Finance reports
- D** Staff productivity reports

Question 15

Kunada is a well-known fashion brand in Japan. They have successfully positioned the brand in the high-end couture dresses for women. Their CEO is keen to expand their business beyond fashion and he believes that there is a close association of high-end fashion with cosmetics targeting the rich and famous segment in Japan. However, since it is a completely new industry for them, there is no internal data or reference that they can draw on. Identify and define how Kunada could design their research and elaborate how they could gain more insight on consumer attitudes to their launching of this new cosmetic brand and their possible purchase behaviour and psychographic information.

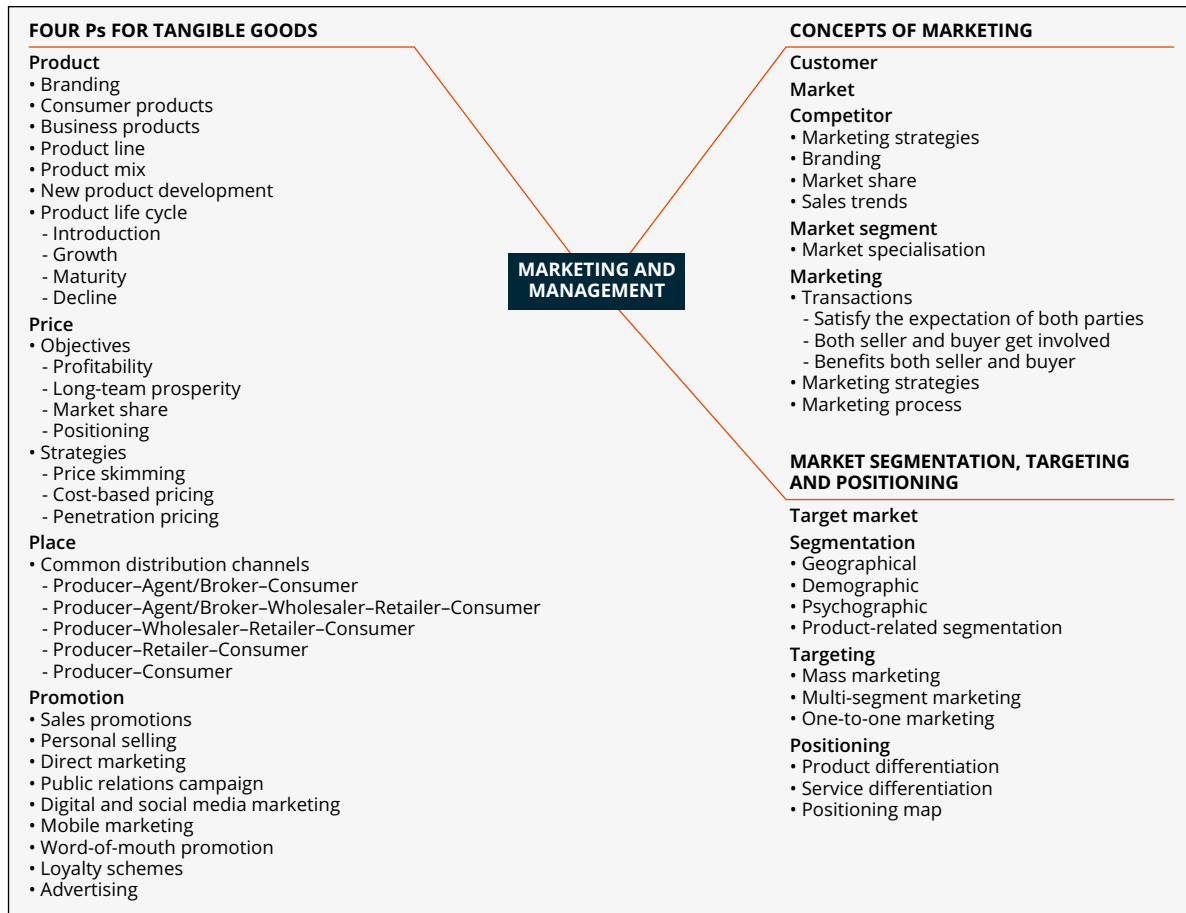


SUMMARY

- *Marketing* is the activity for communicating and delivering goods and services that have value for customers, business partners and the society.
- The *marketing process* is a cycle of planning and implementation of a marketing strategy, and then evaluation of the effectiveness of that strategy.
- The goal is to satisfy three conditions in every transaction: both the seller and the buyer must provide something of value to the other party. The exchange must benefit both parties. The exchange must satisfy the expectations of both parties in terms of quality and price.
- When the whole marketing process is taken into consideration, the exchange process of business becomes more complex than just trading things for money.
- A *market* is a group of consumers with certain needs and wants.
- A *market segment* is a further defined market of which consumers share very specific wants and needs.
- The concentrated effort on meeting the needs of a single market segment is called *market specialisation*.
- *Customers* are the people who buy goods and services, either for their own or someone else's use.
- A *competitor* to a business is another business that provides a product or service that is an alternative to theirs.
- *Market segmentation* is the process of dividing a large market into specific segments or groups based on shared or similar characteristics and demands.
- *Demographic segmentation*, the most common method of market segmentation, identifies markets according to various demographic or socioeconomic characteristics.
- *Mass marketing* is essentially an undifferentiated approach to marketing, which is ideal when a product can be produced in large volumes and at low cost.
- *Multi-segment marketing* targets several attractive and appropriate segments. It enables the firm to diversify the risk in doing business.
- *Single-segment concentration* focuses on one particular segment.
- *One-to-one marketing*, by contrast, targets individual customers by offering products and services customised to fit their needs.
- Marketers also attempt to establish their products in consumers' minds by using a concept called *positioning*.
- *Service differentiation*, like product differentiation, is a strategy to set services apart from alternatives offered by competitors.
- The strategies related to these four areas form a company's *marketing mix*.

- The four 'Ps' of marketing are product, place, price and promotion.
- A *product line* is a group of products that are closely related in terms of the target market, technology or raw materials. A *product mix* is the entire collection of products that a company sells, including all items in every product line.
- *Branding* is sometimes used to differentiate products from competitors. Branding involves giving a product certain representative symbols such as a name, slogan, logo and distinct design.
- The product life cycle has four stages: introduction, growth, maturity and decline.
- The price of a product is the amount of money a customer must pay in exchange for it.
- The place variable in the marketing mix is largely a logistics function.
- The promotional strategy combines advertising, personal selling, sales promotion and public relations to inform, persuade and influence consumers to buy a product.
- To make better decisions and maintain competitiveness, companies use a range of activities and technologies to gather and analyse data. This is called *marketing research*.
- There are three main types of market research: exploratory research, descriptive research and causal research.
- Financial records are a major source of *internal data* in companies, and provide much information regarding inventory levels, sales generated by different types of customers or products, sales by territory or salesperson, profitability, bills and the like.
- *External data* are obtained from sources outside the company and are usually low cost and easy to obtain.
- A *focus group* brings five to eight people together to discuss a particular topic, helping to generate new ideas and point out flaws in existing products.
- *Quantitative data* are represented numerically. The quantitative data that are collected must be analysed and understood to inform decision making. *Qualitative data* are not usually represented numerically.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect as it is a common way to categorise a market.

Answer B is correct as it is not used in categorising the market.

Answer C is incorrect as it is a common way to categorise a market.

Answer D is incorrect as it is a common way to categorise a market.

Question 2

Answer A is incorrect because this is what a competitor would do.

Answer B is incorrect because this is what a competitor would do.

Answer C is incorrect because this is what a competitor would do.

Answer D is correct because competitors can compete in terms of quality of service and purely lowering the price may not guarantee winning the competition.

**Question 3**

Answer A is incorrect because there is no such specialisation.

Answer B is incorrect because the brand should enter a particular market not a specific target.

Answer C is correct because it is the concentrated marketing effort to address the needs of a single market, which is men.

Answer D is incorrect because the effort is to address the market needs and not the product.

Question 4

Answer A is incorrect because the segmentation has nothing to do with geographic locations of the targets.

Answer B is correct because it focuses on the attitude/perception of the customers towards the brand and any lifestyle needs of the target customers.

Answer C is incorrect because the segmentation has nothing to do with the product features, and so on.

Answer D is incorrect because it is limited to demographics.

Question 5

Answer A is correct because premium brand positioning requires the substantiation of offering high-quality products/services and charging a higher price than the competition.

Answer B is incorrect because premium brands cannot afford to offer a low-quality product or service which would damage the brand image.

Answer C is incorrect because premium brands charging low prices would harm the profitability generated from the brand.

Answer D is incorrect because premium brands cannot afford to offer a low-quality product or service and by charging low prices would also damage the brand image and harm the profitability generated from the brand.

Question 6

Answer A is incorrect because advertising (ii) is not part of upgrading the product/service of the restaurant.

Answer B is correct because improving service and products is part of product differentiation.

Answer C is incorrect because advertising (ii) is not part of upgrading the product/service of the restaurant.

Answer D is incorrect because advertising (ii) is not part of upgrading the product/service of the restaurant.

Question 7

The market can be segmented into three potential segments. That is, the 'premium' market (high price, high quality), the 'mass' market (low quality, low price) and the mid-range 'premium mass' market (good quality at an affordable price). Lucy Cheung can consider to launch different lines and collections to address these segments. Her haute couture

line can continue to serve the high-end rich and famous and she can launch a new brand providing 'ready to wear' fashion for the 'premium mass' segment. As for the mass market, since the positioning would be much lower than her existing brand, she may consider designing her clothes for other mass market brands in order not to affect the premium positioning of the Lucy Cheung name.

Question 8

Answer A is incorrect because the product is at the 'mature' stage of the product life cycle. Price review is needed to test if the product can still attract customers.

Answer B is incorrect because the product is at the 'mature' stage of the product life cycle. Developing alternative sales channels would try to lengthen the sales period of the product.

Answer C is incorrect because the product is at the 'mature' stage of the product life cycle. The company can try to use new marketing campaigns to revitalise the brand appeal.

Answer D is correct because the product is only at the 'mature' stage of the product life cycle. No need to consider stopping production or withdrawal until the decline stage.

Question 9

Answer A is incorrect because price skimming strategy is to charge the highest price that customers who most desire the product are willing to pay. So, this will not be the quickest to grab market share.

Answer B is incorrect because cost-based pricing strategy does not base on consumer acceptance in price setting and thus may not be the fastest to grab market share.

Answer C is incorrect because mass market pricing strategy is a price appealing to the majority of the market and thus may not be fastest in attracting new customers.

Answer D is correct because penetration pricing strategy is to set the product at a low launch price to maximise sales volume and increase the market share of a new product in a short period of time.

Question 10

Answer A is correct because (i), (ii) and (iii) are all part of a promotional strategy, whereas (iv) is part of the distribution strategy.

Answer B is incorrect because (iv) is part of the distribution strategy.

Answer C is incorrect because (iv) is part of the distribution strategy.

Answer D is incorrect because (iv) is part of the distribution strategy.

Question 11

The marketing mix is defined as the strategy to focus on four areas of marketing – product, place, price and promotion.

Mercedes should be able to leverage well on its well-established brand image in the automotive industry to compete with Tesla. They should emphasise that their cars are being designed and manufactured in Germany which carries great endorsement on product quality and innovative design. This would help differentiate the new electric car to be a better 'product' than Tesla.

With a more prestige image and track records in making quality luxury cars, Mercedes would be able to price the new e-car at a premium to reflect a better status of the brand. Moreover, production volume would not be too high to start and thus the supply would definitely be lower than the anticipated demand for such a German e-car. They can sell it at a higher price than the Tesla.

The e-car can be demonstrated and sold at the existing showrooms of Mercedes. This will enable them to capture the existing Mercedes Benz lovers to come and try out the new cars. Alternatively, Mercedes can consider doing roadshows in high-end shopping malls to conveniently reach out to their targeted consumers on the move.

Mercedes can run promotions through advertising and public relations to call attention to the innovative designs and the performance of this all new e-car. They can launch it with a major car launch inviting media and special VIPs and potential customers to join.

Mercedes can also reach out to younger segments who frequently browse posts on social media through placement of ads on platforms like Facebook, Instagram and WeChat. They can upload promotional videos on YouTube and encourage sharing of these contents on their social media networks. They can also cooperate with shopping malls and mobile operators to send out location-based promotional messages to the mobile phones of their target audience.

Question 12

Answer A is incorrect because it is used to quantify market potential.

Answer B is incorrect because it is a research to understand the cause and effect relationship with a hypothesis in mind.

Answer C is correct because the management team knows very little about the market and target audience.

Answer D is incorrect because it is a type of research to solve a specific management problem.

Question 13

Answer A is correct because this research method will help in generating new ideas and gaining more in-depth understanding of purchase decisions.

Answer B is incorrect because it is the purpose of test marketing.

Answer C is incorrect because the sample size is too small to quantify the market potential. It would be better to conduct a survey with a larger sample size to address this issue.

Answer D is incorrect because it is a kind of observational study. Customers' shopping experiences could not be observed during the focus group study.

Question 14

Answer A is incorrect because it is a part of marketing performance monitoring.

Answer B is incorrect because it is a part of marketing performance monitoring.

Answer C is incorrect because it is a part of marketing performance monitoring.

Answer D is correct because it is not a part of marketing performance monitoring. It is a tool for human resources performance management.

Question 15

Since Kunada is new to the cosmetics industry. They cannot rely on internal data to forecast the demand of their products. Thus, they need to find ways through external data sources. They may start with collecting previously published secondary data from various sources like government statistics, cosmetics trade associations, advertising or marketing research agencies.

They also need to supplement by doing some primary data collection through research on the profile, psychographic information and purchase behaviour of the potential customers. Since the management has little knowledge about the cosmetic market and is uncertain about what actions to take, exploratory research is required. This would generate ideas to help management make informed decisions.

Focus groups are recommended to gain a deeper understanding of the consumers' attitudes to the brand, the purchase decision process and their reasons behind their behaviours. They can consider doing test marketing to experiment and test the acceptance of their product's concepts and trials.

They can also arrange observation of consumer behaviour and purchase patterns as well as conducting surveys to quantify the potential demand and preference for certain products and features. This information will be useful for the production and marketing planning before the product launch.

 EXAM PRACTICE**QUESTION 1**

You have opened a cosmetics retail shop in Mongkok selling cosmetics imported from Korea. One day a guy came into your shop and bought two packs of facial masks for his girlfriend. State which of the following his girlfriend represents.

- A.** Customer
- B.** Client
- C.** Vendor
- D.** Consumer

QUESTION 2

A fashion designer is considering opening up his own atelier shop to offer a tailor-made service to his customers. He prefers this business model as he can provide a higher level of customer service in order to strengthen loyalty of his brand. Hopefully this model would encourage repeated purchase and positive word of mouth. Determine what marketing strategy he has decided to implement.

- A.** Mass marketing
- B.** One-to-one marketing
- C.** Multi-segment marketing
- D.** Consumer marketing

**QUESTION 3**

Identify which of the following would not normally happen at the 'introductory stage' of the product life cycle.

- A.** Companies need to invest a lot in promotional activities.
- B.** New and potential customers are being attracted to try out the products/brands.
- C.** Increasing sales and customer acceptance.
- D.** Substantial profits after a successful launch.

QUESTION 4

A soft drink company has developed a new recipe for a new drink and invited passers-by at Sai Yeung Choi Street to blind taste it and compare it with different brands of soft drinks to gather their feedback and gauge the market acceptance. Classify the data collection method that the company is using.

- A.** Experiment and test marketing
- B.** Focus group research
- C.** Consumer promotion
- D.** Secondary data collection

QUESTION 5

An insurance company wants to understand the demographic profiles of its customers so that they can segment the customer base to design the most relevant insurance products for them. State which of the following should not be considered for this demographic segmentation.

- A.** Gender
- B.** Age
- C.** Income
- D.** Interests in sports

QUESTION 6

Marybelle is a locally educated fashion designer. She has started her own small boutique in PMQ for 3 years and the business has been growing steadily. Her customers include Hong Kong people as well as some overseas visitors to PMQ. Marybelle is considering expanding her business further to reach out to the world. However, she understands that it is not wise and it is too costly for her to expand her business to many places at the start. Identify two of the most commonly used segmentation approaches which Marybelle should use to prioritise where she can expand her business in the first phase.

QUESTION 7

A luxury hotel group from the United States wants to diversify its business. They have been focusing on the high-end luxury segment of the North American market as well as those business travellers who are willing to pay a premium for better service.

However, they have discovered through market research that there are profitable segments other than the traditional luxury and business segments. In particular, they would like to extend to segments that have different travel and lifestyle needs but are still willing to pay for their quality service.

Explain the possible segmentation strategy of this hotel chain and how they would target their potential markets. Explain how they would differentiate their new hotel brand from their own and their competitors' brand.

QUESTION 8

Sofie is a high-end cosmetic brand from Paris. They are successful in capturing the premium market segments and are quite well-received amongst more mature women. The brand has been selling at a premium at upscale department stores. They have decided to launch a new brand called *C'est La Vie* targeting the less affluent but up and coming segment, young women at the universities. Compare the marketing mixes of these two brands and explain at least one difference with each marketing mix.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect because the guy who bought the masks was his customer.

Answer B is incorrect because this term is normally used for purchase of professional services.

Answer C is incorrect because the vendor is the party who sells you the products.

Answer D is correct because his girlfriend is in fact the end user who consumes the purchased masks.

QUESTION 2

Answer A is incorrect because he is not targeting one to many, that is, the mass market.

Answer B is correct because he is targeting one-to-one customer service.

Answer C is incorrect because he is not targeting more than one level of customer segments.

Answer D is incorrect because he is not targeting the general consumer market.

QUESTION 3

Answer A is incorrect because companies do need to invest a lot at the introductory stage.

Answer B is incorrect because customers could be attracted to try new products due to heavy promotional activities.

Answer C is incorrect because customers and sales would pick up due to heavy promotional activities.

Answer D is correct because substantial costs are involved in new product development and returns are only achieved later in the product life cycle when sales are realised.

QUESTION 4

Answer A is correct because customers are invited to a test without knowing the brands being tested.

Answer B is incorrect because focus group research usually involves only 5–8 respondents.

Answer C is incorrect because it is a test not a promotional activity.

Answer D is incorrect because it is collecting primary not secondary data.

QUESTION 5

Answer A is incorrect because gender is part of the demographic segmentation.

Answer B is incorrect because age is part of the demographic segmentation.

Answer C is incorrect because income is part of the demographic segmentation.

Answer D is correct because interest in sports is psychographic segmentation.



QUESTION 6

The most commonly used segmentation relies on the geographic approach, which assumes consumers within the same area would have similar purchase interests/patterns. So Marybelle can consider targeting a specific country or countries or regions nearby, for example, Guangzhou where the culture and traditions or even buying behaviour might be similar. However, Marybelle should also consider the demographic profiles of the targeted country or region in terms of age, gender, ethnicity, income and education level, and so on, in deciding whether these are the right target segments for her products and whether the size of the segments is large enough for her to be profitable to launch in that market.

QUESTION 7

A hotel group should use both geographic and demographic segmentation to develop the new brand. First, since most of their existing hotels focus mainly on the North American markets, there is a potential for them to expand to other parts of the globe such as Asia and Europe where business travel is also common. Besides, they can also consider the lifestyles of their target customers, that is, exploring non-business travel and leisure travel. They can operate resort hotels as these segments of customers tend to be less price sensitive and willing to pay for a higher quality of service.

The hotel group can adopt a multi-segment marketing approach. The existing hotel brand can continue to target the premium business market, while they launch a new brand to appeal to the new segment such as the leisure and resort travellers.

The group can differentiate between the two brands within the group as well as their competitors through a service differentiation strategy in which they offer different levels of service and unique service culture of their respective hotel brands. This will be a more sustainable strategy because generic service can be easily copied by the competition.

QUESTION 8

Sofie has been successful amongst the high-end segments who are more mature and affluent. They are willing to pay a higher price. As such, the pricing of Sofie is kept on the high side. In order to cope with its premium positioning, Sofie can only be found in luxury and upmarket department stores or shopping malls. Famous but slightly more mature celebrities and models are invited to be the spokespersons for the brand and featured in their advertising.

However, *C'est La Vie* being positioned to target the younger segments, such as young women at university or graduates, should be priced lower and be more affordable than Sofie. The brand can be found in mass market department stores or shopping malls. To complement the reach to these target customers, *C'est La Vie* can run roadshows or temporary counters in universities. They should use younger models or singers to appeal to these young target segments.

11

International Business and Management

CHAPTER TOPIC LIST

11.1 Issues (Key Characteristics) of International Business

- 11.1.1** Borders
- 11.1.2** Regulatory Requirements
- 11.1.3** Cultural Diversity
- 11.1.4** Language
- 11.1.5** Political Environment
- 11.1.6** Social Issues
- 11.1.7** Economic Environment
- 11.1.8** Global and Regional Trade Regimes

11.2 Opportunities in International Business

- 11.2.1** Importing and Exporting

11.2.2 Licensing and Franchising

11.2.3 Contract Manufacturing and Outsourcing

11.2.4 Strategic Alliance and Joint Ventures

11.2.5 Foreign Direct Investment and Subsidiaries

11.2.6 Multinational Corporations

11.3 Globalisation

11.3.1 Multinational Corporations

11.3.2 International Trade

11.3.3 E-Commerce

11.3.4 Emerging Markets



LEARNING OUTCOMES

PRINCIPAL LO9: DESCRIBE THE CHARACTERISTICS OF INTERNATIONAL BUSINESS AND FEATURES OF GLOBALISATION

LO9.01: Describe the key characteristics of international business

9.01.01 Explain the importance and relevance of conducting business across national borders

9.01.02 Describe the key characteristics of international business:

- Regulatory requirements
- Terminology
- Cultural diversity
- Socio-political environment
- Economic environment
- Global and regional trade regimes

9.01.03 Describe the features of globalisation including the role of multi-national corporations (MNCs), international trade, e-commerce and emerging markets



OPENING CASE

Yamazaki Tanaka is a talented fashion designer. He had been an apprentice and designer for a few famous fashion brands in Japan for five years before he decided to establish his fashion label and brand name called 'YaTa' in 2008.

He started a small atelier shop in Aoyama, the fashion district in Tokyo, doing retail targeting to a niche segment of the young and trendy local Japanese consumers.

The business went on well and the popularity of YaTa began to pick up after only two years of launch. He designed the clothes himself, supported by a junior designer whom he met at a fashion show. They did most of the sourcing of raw materials in Japan and at times he outsourced some of his clothes to local factories in Japan if he was too tied up in designs and other business.

In recent years, he noticed that an increasing portion of his business came from overseas visitors, in particular Chinese visitors from Hong Kong. Out of curiosity, he asked some of his clients how did they know about his brand and why was YaTa known in an overseas market like Hong Kong. Yamazaki was pleasantly surprised when he learned that his design was being recommended by some travel books and being worn by a few young idols in Hong Kong. Consequently, young fans of these celebrities also became interested in the brand. As such, because of the tourists visiting Tokyo to purchase his designs, some smaller companies also took an interest, considering it a good business opportunity to buy in bulk in Tokyo and then resell YaTa in Hong Kong.

Yamazaki was very excited about this opportunity to market his brand abroad. However, since he grew up and was educated solely in Japan, and without much overseas travelling experience, Yamazaki was concerned about his lack of knowledge of foreign culture, regulations and market environment when exporting his designs and brand. Moreover, due to his inability to speak fluent English, he was also worried about the cultural and social differences between him and his overseas partners. He felt that he needed advice from some management consultants to explore the various options for him to start his international business. 



OVERVIEW

Global corporations, also called multinational enterprises (MNEs) and multinational corporations (MNCs), are companies that operate extensively in a number of countries. *Fortune* magazine's Global 500 and the *Financial Times*'s FT Global 500 list the largest of these corporations. They include familiar companies consumers encounter in their daily lives, such as Walmart, BP, Toyota, Nestlé, BMW, Hitachi, Caterpillar, Sony and Samsung, and also less well-known companies, including big oil and gas producers like PetroChina (China), Gazprom (Russia) and Total (France).

Most people consider Hewlett-Packard and General Motors to be American firms, while they identify Sony and Honda as Japanese. However, leadership at global corporations like these prefer that their companies be viewed differently. These types of multinational companies would rather not be identified with one particular country. Instead, they would like to be seen as transnational, fitting well in all the countries in which they do business.

Executives at global corporations consider the entire world when making key business decisions such as acquiring resources, locating production facilities, marketing products and establishing a brand. The goal is described by global executives as 'source everywhere, manufacture everywhere, and sell everywhere'. The resulting dense, overlapping and worldwide manufacturing and marketing networks often make it difficult to distinguish one country's firms from the next.

We live at a time of increasing global democratisation of information and communication technologies, and the ready availability of reports on ethics-tied outcomes associated with global business activity, such as environmental controls or diversification. Customers, governments and other stakeholders, and the public at large, have access to more information about what is happening with MNCs and their complex supply chains than ever before. The consequences of business actions – the good and the bad, and anywhere in the world – have never been more visible and impactful. Although bad decisions will continue to be made, it is harder to hide them from intense public scrutiny and significant public relations and financial backlash.

This chapter discusses the issues and opportunities in international business as well as the key impact factors in the context of globalisation.

11.1 ISSUES (KEY CHARACTERISTICS) OF INTERNATIONAL BUSINESS

An international business conducts for-profit transactions of goods and services across national boundaries. Below are the reasons for businesses to go international:

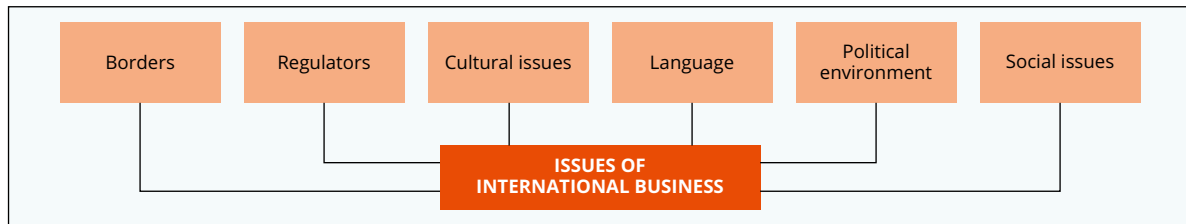
- Enjoy profit potential.
- Reach new markets to sell products and generate new income sources.
- Acquire resources and raw materials.
- Access to financial resources.
- Enjoy lower labour costs.
- Diversify sources of sales and supplies.
- Enhance competitiveness in markets.
- Increase product innovation opportunities.
- Attract talents.
- Enjoy economies of scale.
- Spread assets amongst multiple countries to minimise risks in doing business.

A global marketing perspective can be appropriate for some products or market segments that are common to many nations. This global approach works for products with nearly universal appeal, for luxury items such as jewellery, for commodities like chemicals and metals, and for consumer staples like soft drinks and other beverages.

The Coca-Cola Company, one of the world's most recognisable brands, provides an example of global standardisation. Using relatively standard formulations, packaging, positioning and distribution in its global markets, the product is marketed in similar fashion to consumers worldwide. Additional 'standard' attributes of Coca-Cola include its high-quality requirements for retailers, its iconic script logo, and the glass design of its bottle.

However, even products like Coca-Cola that look similar across the globe tend to have subtle variations in the different countries that can make or break their success in a local region. Regardless of global business strategies, companies need to be aware of local cultural and business customs in the countries in which they do business and whether certain behaviours are acceptable.

In developing a framework for conducting international business, managers must first evaluate their corporate objectives, organisational strengths and weaknesses, and strategies for product development and marketing. These elements can be combined in either a global strategy or a multidomestic strategy, through which companies work to achieve the best local responsiveness by adapting their offerings to match local conditions. Exhibit 11.1 illustrates the key characteristics of international business.



► **EXHIBIT 11.1** Issues of international business

11.1.1 Borders

When companies want to expand their business abroad, they may face some regulations and cultural norms which are different from those of their own countries. For example, retailers should keep in mind that if they open new shops in Italy, the operation hours are regulated. In addition to complying with a variety of legal structures and cultural practices, international companies may also have to reformulate or adapt their products to accommodate different buying preferences by location.

In addition to cultural differences, companies engaged in international business face economic, legal and political challenges that local businesses are better able to avoid. Some of these are easy to overcome, but others require major strategic changes that impact the fundamental way an organisation does business. Yum! Brands, Inc., which operates Taco Bell, KFC, and Pizza Hut worldwide, and was once a huge success in China, recently made a decision to split its Chinese business into a separate publicly traded franchise, a model that includes the collection of royalties from the franchisee and provides greater stability and less risk to the parent company. A number of issues related to operating overseas, including food safety, increased competition, and operational missteps, have caused the brand to implement the new business model.

To successfully compete in global markets, managers and organisations must understand the impact of barriers to international trade and also be adept at finding solutions to the difficulties they pose.

11.1.2 Regulatory Requirements

As you may imagine, the more home-country and host-country laws differ, the more difficult and complex it is for international businesses to operate successfully. And the greater the extent of foreign involvement, the more complex it becomes to understand and adapt to local customs. Common legal problems faced by international businesses involve integration practices and business ownership, negotiation and implementation of contracts, handling of foreign exchange, and protection of intellectual property, such as patents, trademarks and copyrights.

The issue of intellectual property is particularly sensitive these days. You might know this best in terms of concerns about movie and music downloads, photocopying of books and journals, and sales of fake designer fashions. Many Western businesses know it as lost profits due to their products or designs being copied and sold as imitations by foreign firms. For example, after a lengthy and complex legal battle, Starbucks won a major intellectual property case it had taken to the Chinese courts. A local firm was using Starbucks' Chinese name, 'Xingbake' (*Xing* means 'star' and *bake* is pronounced 'bah kuh'), and was also copying its café designs.



The growth of e-commerce requires international businesses to navigate a complex legal environment. Protections for brand names, trademarks, copyrights and privacy are difficult to enforce, given the availability of information on the Internet. However, some countries are seeking to provide companies and consumers with more robust protection laws when it comes to electronic communication.

11.1.3 Cultural Diversity

Even though technology can make today's world feel smaller, there are intrinsic differences in values and cultural practices from country to country. This is evident in the attitudes that both companies and workers have about employment.

For example, the United States prioritises high levels of business efficiency and productivity. Many European countries place a higher emphasis on employee well-being. This contrast is evident in the types of benefits governments guarantee to workers. While the European Union (EU) requires a minimum of four weeks of paid vacation leave, the United States does not mandate paid time off. Despite the US norms, when US companies open offices or plants in the EU, they must offer employees at least four weeks of paid leave. In order to attract top talent in the EU, US-based companies may find that they must offer five or six weeks of paid vacation leave, which is in line with the benefits packages of many European businesses.

While it's diverse and full of regional differences, US culture values national unity. International companies consider the United States to be a single national market with one economy. European countries that are part of the EU are trying to create a similar marketplace but the push has, at times, proven difficult because of the different national characteristics amongst the various members, for example, French consumers differ from Italians in ways that may affect sales strategies, while US companies who fail to recognise consumer differences will run into problems with brand acceptance.

Religion is an important driver of culture, so businesses must be sensitive to the religions that are dominant where they operate. Understanding the timing of major holidays is important when scheduling conferences, store openings, key meetings and other important projects. For instance, Friday is the day of worship for Muslims, so the Saudi Arabian workweek runs from Saturday through Thursday. Businesses in Saudi Arabia also observe Ramadan, a holiday that involves a one-month period of prayer and dawn-to-dusk fasting. Also, many Muslims abstain from alcohol and pork products, so gifts of this kind would be considered inappropriate. Different parts of the world observe other religious traditions and must be acknowledged accordingly.

A company's website typically serves as a point of familiarisation and entry for consumers. A website's visitors may come from anywhere in the world, so it is important to be aware of how symbols and gestures that are friendly in one culture may be seen as rude in another. For example, a hand making a circle with the thumb and index finger may signify a friendly 'okay' in Hong Kong will be interpreted as vulgar and insulting in Brazil. The same consideration should be given for colloquial expressions or idioms, which may have entirely different meanings – or no meaning at all – with an audience from across the world.

11.1.4 Language

Mandarin is the most widely spoken language in the world; English, Spanish, Hindi, Arabic and Bengali follow. Understanding the primary language of a colleague or client may prove to be the difference between closing an international sale or losing it to another company. Company

representatives operating in foreign markets must be sure that they are understood. Not only must they be certain that they are able to have a discussion all parties can understand, they must also take care to avoid mistranslations or inappropriate connotations. Even product names and slogans should be researched before being marketed to foreign consumers.

Potential communication barriers include more than translation errors. Customs, differences in taste and aesthetics, and legal regulations must also be considered when working in foreign markets. For example, one cautionary tale recounts a US executive who lost a deal in China after giving the prospective client a set of four antique clocks wrapped in white paper. What, in the US, seemed like an innocent and tasteful gift, was full of negative meaning in China. The number four and the Chinese word for 'clock' are considered unlucky because of their similarity with the word 'death'; and white is the traditional colour for funerals.

11.1.5 Political Environment

Legal and political differences between countries can also pose barriers to international trade. To compete in today's world marketplace, international business managers must be well versed in laws that affect their industries. Some countries impose general trade restrictions, while others have detailed regulations dictating how foreign companies can operate.

An important factor in any international business investment and expansion is political stability. For example countries such as Indonesia, Thailand and Congo, follow political structures that vary frequently and may be very different from that of the host country. Host nations often pass laws designed to protect their own interests, sometimes at the expense of foreign businesses.

The World Trade Organization (WTO) is designed to ensure companies are fairly treated in all countries. Businesses that believe they are subject to unfair treatment may file a case with the WTO. The 161 members of the WTO give one another most favoured nation status – the most favourable treatment for imports and exports. Members also agree to work together within its framework to try and resolve some international business problems.

Even though WTO members are supposed to give one another most favoured nation status, disputes over trade barriers are still common. Issues relate to tariffs or taxes that governments impose on imports. They also include non-tariff barriers that discourage imports in non-tax ways such as quotas and government import restrictions.

A big concern in international business is outright protectionism – the attempt by governments to protect local firms from foreign competition and save jobs for local workers. You will see such issues reflected in many political campaigns and debates. And the issues are not easy. Government leaders face internal political dilemmas involving the often-conflicting goals of seeking free international trade while still protecting domestic industries. Such dilemmas can make it difficult for countries to reach international agreements on trade matters and hard for the WTO to act as a global arbiter of trade issues.

11.1.6 Social Issues

The social and cultural differences amongst nations range from language and customs, consumption habits, beliefs and values, customs and traditions, taste and preferences, to educational background and religious holidays. Understanding and respecting these differences is critical to paving the way for international business success.



Business people who understand the cultures, languages, ethical values, religious beliefs and social practices of client countries are well equipped for the marketplace and the negotiating table. When meeting face to face, interpersonal behaviours are also important. Local attitudes, greetings, clothing, body language and formality all influence the relationships between business people. Understanding these can help companies win customers and achieve their business objectives. For example, punctuality is one of the most important working practices of doing business with the Japanese.

Likewise, gift-giving traditions employ the language of symbolism. In Latin America, giving a knife, sword or scissors represents the cutting off of a relationship. In China, people have to send gifts like mooncake and fruits to the seniors in Mid-Autumn Festival. Flowers are generally acceptable but are used in Day of the Dead festivities in Mexico, and yellow flowers can be associated with death.

In recent years, relaxed dress code is popular in the corporate work environment in the United States. Americans have been dressing casually for occasions that require formal attire. Coffee and caffeine are also popular in Korea and America for breakfast and tea breaks. Chinese also avoid black and white colours during Chinese Lunar New Year. They usually prepare red and colourful clothes to celebrate the festival with family. Families and relatives gather together for a meal in the morning on the first day of the new year. Married seniors have to give 'lucky money' in a red envelope for the kids and singles.

11.1.7 Economic Environment

One of the characteristics of globalisation is the growth of regional economic alliances, where nations agree to work together for economic gains. The Association of Southeast Asian Nations (ASEAN) is a group of 10 countries that work together to promote economic growth in the region. In Asia and the Pacific Rim, 21 member nations established the Asia-Pacific Economic Cooperation (APEC) to promote free trade and investment in the Pacific region. China, the Republic of Korea, Indonesia, Russia and Australia are a few APEC countries that are considered to have outstanding economic status, so their businesses are held in high regard. APEC boasts nearly 3 billion customers, a number far greater than the EU or North American Free Trade Agreement (NAFTA).

11.1.8 Global and Regional Trade Regimes

Since 1995, the WTO has monitored GATT (General Agreement on Tariffs and Trade) agreements amongst the member nations, mediated disputes, and continued the effort to reduce trade barriers and promote international trade throughout the world. WTO also has the Committee on Regional Trade Agreements (CRTA) to oversee individual regional agreements under the transparency mechanism for regional trade agreements (RTAs). RTAs are reciprocal trade agreements between two or more partners and include free trade agreements and customs unions. More information about RTAs can be obtained at <http://rtais.wto.org/UI/PublicMaintainRTAHome.aspx>.

Apply and Analyse 1

Yamazaki Tanaka started to look for partners to help him export his products to Hong Kong and mainland China. Unfortunately, he did not have much experience. He could speak very limited English and the two business partners whom he met did not speak Japanese at all. Therefore, he employed an interpreter to support the translation, the meetings were still inefficient as it would take three times longer in the exchange of ideas with two-sided translations.

He was also concerned that his design could be copied by Hong Kong and mainland China-based designers. However, the potential partners did not really take this matter seriously during their negotiation.

Moreover, it is the 80th anniversary of the Sino-Japanese war this year. He wondered if there might be political sensitivities to launching a Japanese brand in China, especially in Nanjing, Beijing and certain cities in the Northeast of China.

Outline the issues Yamazaki faced during the initial start of his international trade.

Analysis

Yamazaki had to deal with communication problems, regulatory requirements, and social and political issues when starting up international trade with Hong Kong and mainland China.

The first issue is language. His limited ability to speak English hindered the negotiations and discussions with his business partners and made the meeting efficiency low. It was imperative that the translator translated words correctly so as to convey the intended meaning. The efficiency of meetings needed to improve by avoiding long discussions with two-sided translations.

The second issue concerns the intellectual property rights (IP rights). IP rights is a regulatory issue that had to be set in place when dealing with partners in a different country that has different levels of regulatory protection on IP rights. Complex and lengthy legal procedures are necessary to protect his designs.

He also faced a cultural, social and political issue because of the history of Japan at war with China from 1937 to 1945. The timing is even more sensitive because it is a special commemoration of the war this year, which might affect the overall sentiment of the consumers in China towards his brand. With the strong beliefs and values of the Chinese people, Yamazaki hesitated as he felt that this year might not be a good time to launch his products in China.

Yamazaki should consider the above issues when he looks for a trading partner to expand his business in Hong Kong and mainland China.

Key Learning Point

Multinational corporations face a lot of difficulties and challenges when doing business globally. To succeed, they have to understand the differences between the countries, e.g., regulatory requirements, cultural diversity, political environment, etc.

► Knowledge Check Questions

Question 1

A watch brand from the United States started promoting their products in China. The marketing director was advised not to market their watch as 'gift-giving' and avoid wrapping the watch in white. State what issue this brand is facing.

- A Cultural
- B Legal
- C Language
- D Political

Question 2

Effective communication with overseas partners and customers is important for the success of companies operating in overseas markets. Identify which of the following practices is not an appropriate action:

- A Use English only because it is the most common international language in the world.
- B Choose the local language that most customers could understand.
- C Rename products and slogans to adapt to local market condition.
- D Have accurate translation and choice of words to convey the intended meanings correctly.

Question 3

When there are international trade disputes and businesses may believe that they are being mistreated in foreign countries, they will bring the issues to their respective governments. State which international organisation would take the case for resolving the issues.

- A International Monetary Fund
- B International Court of Justice
- C World Trade Organisation
- D World Bank

Question 4

International accounting is one of the critical challenges to an international business. Explain the possible challenges of international accounting in doing international business.

➤ 11.2 OPPORTUNITIES IN INTERNATIONAL BUSINESS

When a business starts trading internationally, global sourcing, exporting/importing, licensing and franchising are typically the most common areas in which to launch international operations. These are market-entry strategies that involve the sale of goods or services to foreign markets that do not require an expensive investment. Strategic alliances, joint ventures and wholly owned subsidiaries are direct investment strategies. These approaches do require

a major capital commitment, but also create rights of ownership and control over operations in the foreign country.

11.2.1 Importing and Exporting

International business mainly involves **exporting** (selling locally made products in foreign markets) and **importing** (buying foreign-made products and selling them in domestic markets). Exporting in particular is often viewed positively as a driver of economic development. Because the growth of export industries creates local jobs, governments support these types of business initiatives.

Importers are countries that bring goods produced abroad into their borders. Exporters produce or purchase domestic goods and sell them in foreign markets. An importing or exporting strategy is low-risk and offers little control, but it is also the simplest way to enter international trade.

Export trading companies are specialists that act as intermediaries for exporters. These businesses seek competitively priced local merchandise and then resell it abroad at a profit. Consider Pier 1 Imports, a US-based retailer specialising in global wares. If it wants to purchase West African products to sell in the United States, it may contract with an export trading company operating in Ghana, or some other West African country. The export trading company is responsible for finding and inspecting the quality of the products. It is also responsible for preparing the order for international shipment, which entails packaging, arranging transportation, and completing customs paperwork, among other steps that may be required to move the product from Ghana to the United States.

Firms engage in two forms of exporting: indirect and direct. Indirect exporting involves the manufacture of a product that becomes part of another product sold in foreign markets. For example, a transistor that is used in electronic devices would be handled by indirect export. Direct exporting is when a company sells its products to end users in foreign markets. Direct exporting is the most common form of international business and often the first step for companies entering foreign markets. Firms that succeed at this may then move to other strategies.

There are two other methods by which exporters can reach foreign markets: export management companies and offset agreements. Export management companies provide services similar to export trading companies, but they work in a more advisory capacity. These international specialists help the exporter complete paperwork, connect with local buyers, and comply with local laws governing labelling, product safety and performance testing. Because export trading companies are involved in a more limited capacity, exporting firms have more control over the process.

11.2.2 Licensing and Franchising

Another form of international business is the licensing agreement, where foreign firms pay a fee for rights to make or sell another company's products in a specified region. The licence typically grants access by the foreign firm to a unique manufacturing technology, special patent, or trademark. However, it also carries business risks like stealing and counterfeiting. New Balance, for example, licensed a Chinese supplier to produce one of its brands. Even after New Balance revoked the license, the supplier continued to produce and distribute 'New Barlun' shoes around Asia. New Balance ended up facing costly and complex litigation in China's courts.



Licensing can provide small manufacturers preparing an overseas launch of a well-known brand with an advantage. Licensing agreements require little or no investment to begin an export operation. It also relies on a local company to provide a proven product. The arrangement can also allow entry into a market otherwise closed to imports due to government restrictions. Global e-commerce giant Alibaba recently struck a multi-year licensing agreement with The Walt Disney Company to begin sales of a system called DisneyLife through the Alibaba online shopping site, Tmall, in China. The device, shaped like Mickey Mouse, will connect users to Disney content.

In **franchising**, a foreign firm buys the rights to use another's name and operating methods in its home country. When companies such as Dunkin' Donuts or Subway franchise internationally, they sell facility designs, equipment, product ingredients, recipes and management systems to foreign investors. They also typically retain certain products and operating controls to protect their brand's image.

11.2.3 Contract Manufacturing and Outsourcing

Subcontracting involves hiring local companies to produce, distribute or sell goods or services. Subcontractors may have expertise in local culture, contacts and regulations, and subcontracting allows foreign companies to tap into this knowledge. Mail-order and online companies can outsource order fulfilment and customer service to local businesses. Relying on subcontractors can save money on import duties and labour costs, and also better supports products that are best sold or serviced locally. For example US-based Pacific Bridge Medical helps medical manufacturers find reliable subcontractors and parts suppliers in Asia.

A key disadvantage of subcontracting is that companies relinquish control to their subcontractors, who may have very different business practices. Several major US companies have had to launch investigations and take compliance measures when findings surfaced that their subcontractors used child labour to manufacture clothing.

While it is not generally considered a way of initiating business internationally, offshoring, or the relocation of business processes to a lower-cost location overseas, has become a widespread practice. Despite increasing labour costs, China is still one of the top destinations for production offshoring and India and the Philippines for services offshoring. Many business leaders, in favour of offshoring, argue that global firms must keep their costs as low as possible to remain competitive. But the apparent link between jobs sent overseas and jobs lost at home has made the practice controversial.

Offshoring is changing, particularly for manufacturers. Mexico, India and Vietnam are currently countries with the lowest manufacturing costs. Companies considering offshoring options look for flexibility, which may best be achieved by using a few low-cost locations. This strategy can be cost effective and low-risk. The rising cost of Chinese labour has created a wave of change. Wages in Mexico, a manufacturing alternative to China, are predicted to be as much as 29% lower than China's, and many countries, like Vietnam, have seen gains due to the country's lower wages. India and the Philippines remain the top two **outsourcing** destinations.

11.2.4 Strategic Alliance and Joint Ventures

Sooner or later, some firms decide to make costly direct investments to set up local operations in foreign countries. One way to do this is by a **joint venture**. In a joint venture, two or more

firms arrange to share resources to operate a new business together. They also agree to share any risks posed by the new business. In global joint ventures, a foreign company may purchase an ownership stake in a local firm (e.g., a retailer buys part ownership in a local distribution company). Joint ventures can also occur when independent partners unite to form a new business.

International joint ventures become global **strategic alliances** in which foreign and domestic partners cooperate for mutual gains. In such arrangements, local partners gain access to technology and opportunities to learn new skills. Meanwhile, outside partners gain access to new markets and customers and the expert assistance of locals who understand them.

It is important to recognise that joint venture deals pose potential risks, and loss of technology is a big one. Some time ago, for example, General Motor (GM) executives noticed that a new car – the Chery – from a fast-growing local competitor looked very similar to one of their models. This competitor was partially owned by GM's Chinese joint venture partner, and GM claimed its design was copied. Chery Automobile Ltd., has grown to be China's major automaker and largest car exporter.

11.2.5 Foreign Direct Investment and Subsidiaries

Investing directly in production and marketing operations in another country is considered the highest level of global business. Lower levels of involvement include exporting and contracting, which rely on third parties or supply-chain partners and does not require manufacturing facilities to be established overseas. This provides an opportunity for global involvement with a lower level of investment.

Foreign direct investment, or FDI, involves setting up and buying all or part of a business in another country. For many countries, the ability to attract foreign business investors has been a key to succeeding in the global economy. The term **insourcing** is often used to describe foreign direct investment that results in local job creation.

One way around some of the risks and problems associated with joint ventures and strategic alliances is full ownership of the foreign operation. A **foreign subsidiary** is a local operation completely owned and controlled by a foreign firm. These subsidiaries may be built from the ground up as a **greenfield venture**, such as Toyota's effort to build operations in Mexico in 2015 with a HK\$1.5 billion investment. They also can be established by acquisition, wherein the outside firm purchases an entire local operation.

Decisions to set up foreign subsidiaries are most often made only after foreign firms have gained experience in the local environment through earlier joint ventures. Although a foreign subsidiary represents the highest level of involvement in international operations, it can be very profitable to approach an international venture in this way.

11.2.6 Multinational Corporations

A global corporation or **multinational corporation (MNC)**, is defined as a corporation that has assets or operations in at least one country other than its home country, has extensive international operations in many foreign countries and derives a substantial portion of its sales and profits from international sources. The world's largest MNCs are identified in annual listings such as *Fortune's* Global 500 the *Financial Times's* FT Global 500, and *Forbes's* The World's

Largest Public Companies. They include familiar consumer names like Apple, Toyota, Nestlé, BMW, Caterpillar, Sony and Samsung. But you might be surprised that the top four on *Forbes's* list are Chinese banks, while the largest US global firm is Warren Buffet's Berkshire Hathaway followed by JP Morgan Chase and Exxon Mobil.

Top managers of some global companies are trying to move their firms towards becoming transnational corporations. That is, they would like to operate worldwide without being identified with one national home. When you buy Nestlé's products, for example, do you have any idea that it is a registered Swiss company? The firm's executives view the entire world as their domain for acquiring resources, locating production facilities, marketing goods and services, and establishing brand image. They seek total integration of global operations, try to make major decisions from a global perspective, and have top managers from many different countries.

Even with the goal of becoming transnationals, most MNCs still retain strong national identifications. Is there any doubt in your mind that IBM and Intel are 'American' firms, whereas Nissan and Sony are 'Japanese'? Most likely not, but that may not be the way their executives would like the firms viewed. And it is certainly not reflected in the sources of earnings. Nissan and Sony thrive in US and European markets. Both IBM and Intel earn more than 75% of their revenues from sales outside of the United States.

Apply and Analyse 2

Yamazaki Tanaka almost gave up his dream in exporting his design after several rounds of unfruitful negotiation with the two potential partners. Through an introduction by his friend, Yamazaki met Marvin Lee, chief executive officer (CEO) of Fakhion, a large fashion distributor in Hong Kong. It has been distributing European fashion brands for a long time with over 500 retail outlets in Hong Kong, Macau, Taiwan and mainland China. Marvin has always been looking for expanding his business beyond European brands and was exploring business opportunities in Japan and Korea.

Marvin was very much interested in Yamazaki's design and thus came up with a series of collaboration ideas with him. He proposed to invest and acquire 30% shareholding of YaTa. By doing so, Fakhion would become a strategic partner for YaTa to expand his designs into the world, in particular the Greater China markets.

Marvin proposed to make good use of his 500 outlets in Hong Kong, Macau, Taiwan and mainland China. Moreover, Marvin suggested manufacturing the products of YaTa at the factories of Fakhion in China.

Describe and explain the possible ways for Yamazaki to roll out his brands quickly in China in collaboration with his new strategic partner, Fakhion.

Analysis

Marvin proposed to start with importing his products for sale in his 500 outlets in the region and priced them at premium since they are the 'authentic Japanese brand' directly imported from Japan. Then he would licence some designs to Fakhion for manufacturing locally at the factories of Fakhion in China. These finished goods can be distributed and sold within China which would have a huge business potential for YaTa.

Apply and Analyse 2 (continued)

After the production run of those designs becomes stabilised, Marvin proposed that the factories of Faxhion can act as the outsourcing or **contract manufacturing** partner for YaTa. This will significantly reduce the production cost for YaTa, raising its competitiveness and thus profitability of the brand.

With a good cooperation with Faxhion, Yamazaki can form a joint venture in China responsible for managing, marketing and expansion of his brand in China. He can establish YaTa shops in the 1st tier cities in China first. Once proven successful in marketing and operation, and the brand being well-received by the general consumers, he can consider franchising his brand YaTa to potential investors to penetrate quickly into the 2nd or even 3rd tier cities in China.

Key Learning Point

When a business is becoming international, global sourcing, exporting/importing, licensing and franchising are typically the most common areas in which to launch international operations.

► Knowledge Check Questions

Question 5

Licensing is a good way to start international business. However, there are certain business risks that the company would have to bear. Identify which one of the following is the most direct risk.

- A** Reputational risk
- B** Financial risk
- C** Political risk
- D** Copyrights and counterfeiting risk

Question 6

Subcontracting is a common business strategy amongst foreign firms in international trade. Identify which of the following is not an advantage of this move.

- A** Taking advantage of the subcontractor's expertise in local culture.
- B** Having direct control over the business practices of subcontractors.
- C** Having better contacts and networks of the subcontractors for manufacturing or distribution.
- D** Having better connections with the local government and better knowledge of the local regulatory requirements.

► Knowledge Check Questions (*continued*)

Question 7

State which one of the following is not a typical characteristic of multinational corporations.

- A** They are transnational corporations which prefer to operate worldwide without being identified with one national home.
- B** They have extensive international operations, deriving a substantial portion of its sales and profits from many different countries.
- C** They try to make major decisions from a global perspective.
- D** They tend to have executives only from the national country of origin.

Question 8

McDonald's is the king of the fast food industry in the world. Its hamburgers and foods are well-received by consumers in many markets. It is not easy to expand its fast food business because of high costs in production, business setting, human resources, and others. Other than independently owned branches in the world, identify and describe the expansion strategy it used in successfully developing its international business.

11.3 GLOBALISATION

We live and work in a global economy where labour and resource supplies, capital and product markets and business competition are worldwide in scope. Pretty much everything we do – from the things we buy, to the food we eat, to the investments we make – is influenced by the forces of globalisation. Globalisation can be defined as the process of increasing interaction, integration and connectivity between people, companies and governments in different countries. Think of it as the process of growing interconnections amongst the components of the global economy. The following show the features of globalisation:

- **Borderless:** Increasingly borderless world that facilitates business and exchange.
- **Information technology change:** Increase in data, information and technology flows that transform the operation of a business.
- **Talent mobility and integration:** Increasing the mobility of the human resources that may attract talents to the business and transform skills and knowledge to the local economy.
- **Cultural diversity:** Diversity in race, music, art, food, life style and customs helps promote cultural blending and generate business opportunities.
- **Free trade:** Free flow of trade relations amongst all the nations.
- **Liberalisation:** The freedom to establish business or trade to exchange goods.

11.3.1 Multinational Corporations

The globalisation allows multinational corporations access to markets that would have been difficult for them to enter in the past. They can enjoy partnership cooperation, minimise

operating and manufacturing costs and maximise product quality. Firms like Cisco, Sony, Ford and IKEA are large international businesses. They conduct for-profit transactions of goods and services across national boundaries. Such businesses, from small exporters and importers to the huge multinational corporations, form the foundations of world trade. They move raw materials, finished products and specialised services from one country to another in the global economy. And, they 'go global' for good reasons – profits, customers, suppliers, labour, capital, risk management and more.

Illustrative Example 1

Today you can also add economic development to the list of reasons why some businesses go global. They can enjoy free trade and they operate borderless. It is a way of helping make the world a better place while supporting sustainability and local business enterprise. An example is found in Rwanda, where coffee giant Starbucks works with the non-profit Techno-Serve. Its goal is to help raise the incomes of African coffee farmers by improving their production and marketing methods. The global firms send advisers to teach coffee growers how to meet international standards. It is a win-win situation. The global firm gets a quality product at a good price. The growers gain skills and markets, and the local economy improves. It shows talent mobility and integration because of globalisation.

11.3.2 International Trade

A mainstay of international business is global sourcing. International trade is the exchange of goods, services and capital across international borders. In other words, a business purchases materials, manufacturing, or services from around the world. It basically takes advantage of international wage gaps by contracting for low-cost goods and services in foreign locations. Nike is a master at this, and you see lots of it in all sorts of manufacturing. Boeing's 787 Dreamliner, for example, has wings and centre fuselage from Japan, engines from the United Kingdom and Canada, and doors from Sweden and France. It shows liberalisation and free trade in these cases.

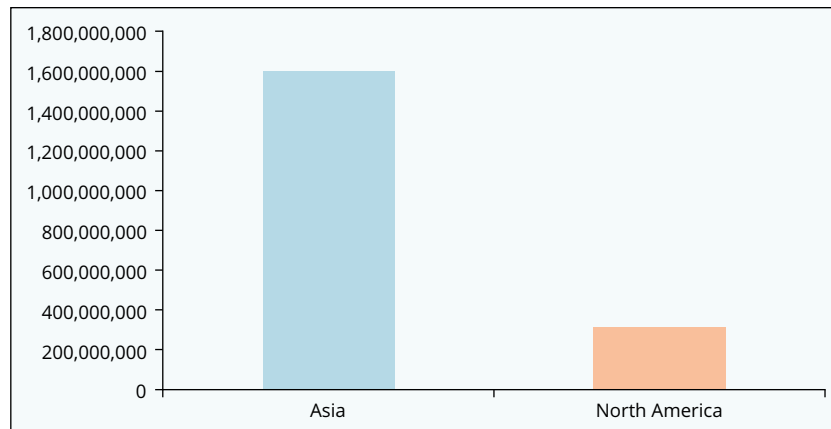
It is also visible in services. Think of this when speaking with a customer-support call centre in the Philippines or having your medical X-rays and scans read by physicians in India. For these cases, it may encounter the cultural diversity arising from the global business.

The network of international outsourcing suppliers and contractors used by a firm constitutes its global supply chain. And this chain can get rather complex and risky as it extends around the world. Automakers suffered when the Japanese tsunami knocked many parts suppliers offline. Computer makers suffered when massive flooding in Thailand shut down their supply of hard drives. Apple suffered when complaints surfaced that some of its Chinese suppliers were violating company expectations for work hours, worker safety and hazardous substance practices.

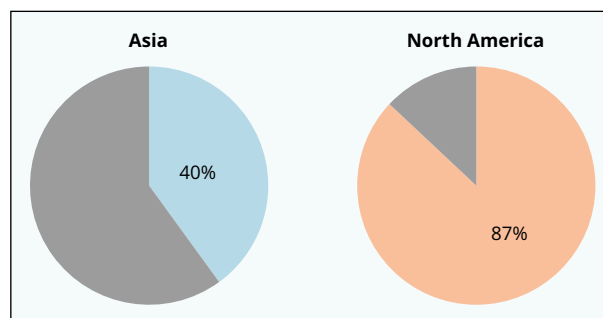
Global problems with sketchy suppliers, rising labour and transportation costs, availability of cheaper energy at home and concerns for good public relations are all reasons why some firms are now modifying their outsourcing strategies. There is an increasing number of news reports about reshoring that shifts foreign production – and jobs – back to domestic locations.

11.3.3 E-Commerce

By its very nature, e-commerce has global implications for every company. For many companies, future growth is directly linked to a global e-commerce strategy. A study by Boone et al. (2016) showed that while a greater percentage of North Americans (87%) are online as compared to those in Asia (40%), the actual number of users in Asia (1.6 billion) is far greater than in North America (314 million) (see Exhibits 11.2 and 11.3).



► **EXHIBIT 11.2** Total number of Internet users in 2016



► **EXHIBIT 11.3** Percentage of population with Internet access in 2016

What does this mean for businesses considering going online? The Internet allows businesses of all sizes and home countries to access an enormous pool of potential customers. The Internet makes it easier to market and distribute products overseas. In addition to finding trading partners, businesses can use the Internet to connect directly with consumers, who can make online purchases. Many companies also use digital retailing tools to deliver content based on a user's location. For example, visitors to the Ikea website are asked to select their country. Once they do, they can see catalogue offerings, prices and in-store availability based on their country, and the content is presented in the local language. E-commerce shows the characteristics of borderless because of globalisation. It also demonstrates the evolution of information technology around the world in that business owners can make use of e-commerce to reach different markets.

One of the biggest challenges of doing business on a global scale is choosing the right language and phrasing to use when marketing products. Another obvious challenge to consider is that regulations, laws and customs differ across countries. In order to find success abroad, companies must be sensitive to cultural differences while remaining true to their own ethos and vision.

Customers and suppliers based in different countries use different languages. However, English is the dominant language of the Internet. This slows the adoption of the Internet in countries where English is not commonly used, which makes it more difficult to reach these consumers.

While e-commerce makes it easier to reach consumers in other countries, it also increases competition. Retailers and suppliers can no longer assume that they will secure their local customers just because of not having local competitors. Now, there is pressure from competing businesses that may either be across the country or even on another continent. But this threat also presents an opportunity because the Internet makes it easier for businesses to grow beyond their local area.

11.3.4 Emerging Markets

It is likely that you will occasionally hear someone say, write or report that the 21st century will be dominated by developments in Asia – economic, political and social. As a reflection of that future, APEC – short for Asia-Pacific Economic Cooperation – links 21 nations to promote free trade and investment in the Pacific region. Its members represent prominent economies such as Australia, Canada, China, the Republic of Korea, Indonesia, Russia and the United States.

Africa is fast moving centre stage in world business headlines. The region's economies are growing, the middle class is expanding and regional economic alliances are gaining strength. Amongst them, the Southern Africa Development Community, SADC, links 14 southern African countries in trade and economic development efforts to improve prosperity and living standards for their citizens. Its website posts this vision: 'a future in a regional community that will ensure economic well-being, improvement of the standards of living and quality of life, freedom and social justice, and peace and security for the peoples of Southern Africa'. However, the way towards globalisation for these 14 southern African countries may bring more cultural diversity. Other countries doing business with these countries need to be aware that race is a very important issue and the importance of tribal leaders should not be overlooked. Different values amongst groups have led to violence. Poverty and human rights are also important issues to be addressed across all cultures in the region.

Apply and Analyse 3

With the strong support from Fashion, YaTa has been successfully launched in Hong Kong and mainland China. Market responses have been good and the YaTa brand has enjoyed steady growth over the past three years of operation.

Marvin knows the market very well and believed that future growth can only be fuelled by expanding to online distribution to complement the existing retail network.

Therefore he has set up the official website with e-commerce capability to capture the markets outside Greater China, hopefully the rest of Asia where Japanese brands are



Apply and Analyse 3 (continued)

preferred. He also established a few e-shops in China such as Tmall, JD.com and VIP.com to quickly penetrate into the younger segments of the Chinese markets. Although the major growth engine will definitely be China for the coming years, Marvin has a bigger vision of establishing YaTa as a transnational corporation in the future.

1. Explain the importance of YaTa conducting international business.
2. Identify and explain possible routes for expanding YaTa business and taking YaTa to new heights.

Analysis

1. Marvin wants to position 'YaTa' as a brand with global appeal, instead of a regional brand. This positioning would enable YaTa to command a higher price premium and increase sales potential for the group. In addition to China being an obvious growth engine, Marvin believed that the next potential growth market would be from the emerging markets in the APEC region, for example, New Zealand, Canada, Chile, Singapore, Malaysia and the Philippines, and so on.

With the diversification of markets, YaTa would be able to achieve a more balanced portfolio and be less affected in case certain markets failed or shrank because of short-term economic or political factors. Moreover, the increase in sales volume would let the brand enjoy the benefits of higher economies of scale and driving down production costs, thus improving profitability of the group.

2. Since Singapore is strategically located in the middle of the South and Southeast Asia region, it is an important market to enter. As such, Marvin decided to set up a subsidiary office in Singapore to coordinate and manage business development in the region.

He will start by opening some retail outlets in the South and Southeast Asia markets. Further, similar to his experience in China, once the business model has been proven and the brand YaTa well-accepted in the local markets, he would franchise out the brands for foreign investment to open up more stores in the region.

Key Learning Point

Globalisation allows multinational corporations access to markets that would have been difficult for them to enter in the past. **E-commerce** is a crucial tool for conducting international trade and reaching emerging markets.

► Knowledge Check Questions

Question 9

E-commerce is increasingly important in facilitating international trade. It enables a virtual marketplace where buyers and sellers from different countries can interact and trade.

Identify the reason why e-commerce would heighten competition:

- A** Information from different supply sources can easily be found online for comparison of prices and features.
- B** Customers are purchasing online more frequently.
- C** Government's recent effort in building a smart city with free Wi-Fi network around town.
- D** A few big companies are already dominating the market and selling online with aggressive offers.

Question 10

Identify which one of the following countries is not an APEC (Asia-Pacific Economic Cooperation) member?

- A** China
- B** United States
- C** Canada
- D** India

Question 11

International outsourcing suppliers and contractors are common in international trade constituting the formation of global supply chains. However, this chain can get very complex and risky and there are an increasing number of companies shifting their foreign production – and jobs – back to their domestic countries. State what this strategy is called.

- A** Insourcing
- B** Reshoring
- C** Contract manufacturing
- D** Subcontracting

Question 12

Illustrate two successful multinational corporations by using e-commerce to expand their businesses around the globe.

Question 13

A Korean skincare brand decides to expand its online business to Hong Kong. State the features of globalisation in this aspect.

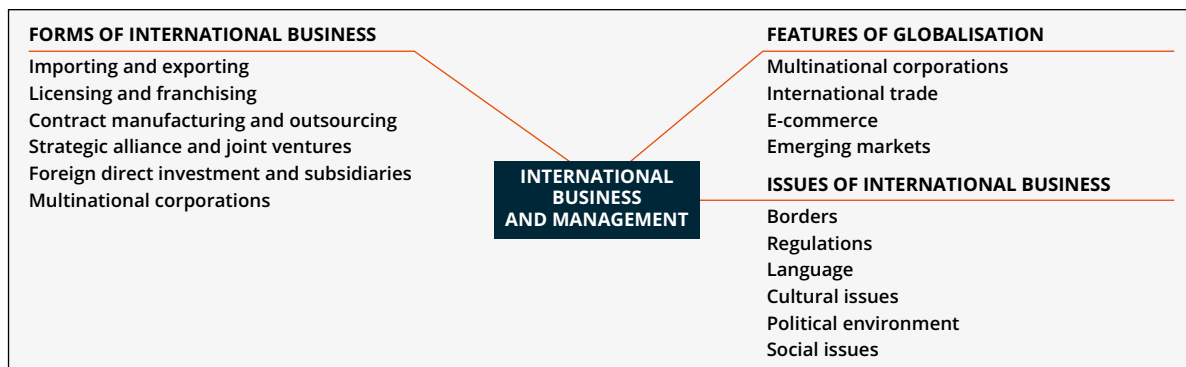


SUMMARY

- A global marketing perspective can be appropriate for some goods and services and certain market segments that are common to many nations.
- Regardless of global business strategies, companies need to be aware of local cultural and business customs in the countries in which they do business and whether certain behaviours are acceptable.
- All businesses encounter barriers in their operations, whether they sell only to local customers or trade in international markets.
- In addition to social and cultural differences, companies engaging in international business face economic barriers as well as legal and political ones.
- As you might imagine, the more home-country and host-country laws differ, the more difficult and complex it is for international businesses to operate successfully.
- The growth of e-commerce has introduced new challenges to the legal climate of international business.
- Even though today's world is shrinking in many ways, people in different countries do not necessarily share the same values or religious attitudes. Marked differences remain in workers' attitudes from country to country.
- Like social, cultural and economic differences, legal and political differences in host countries can pose barriers to international trade.
- The social and cultural differences amongst nations range from language and customs to educational background and religious holidays. Understanding and respecting these differences is critical to paving the way for international business success.
- When a business expands internationally, global sourcing, exporting/importing, licensing and franchising are typically the most common areas in which to launch international operations.
- When a company brings in goods produced abroad to sell domestically, it is an importer. Conversely, companies are exporters when they produce – or purchase – goods at home and sell them in overseas markets.
- Another form of international business is the licensing agreement, where foreign firms pay a fee for rights to make or sell another company's products in a specified region.
- Subcontracting involves hiring local companies to produce, distribute or sell goods or services. This move allows a foreign firm to take advantage of the subcontractor's expertise in local culture, contacts and regulations.
- Sooner or later, some firms decide to make costly direct investments to set up local operations in foreign countries through strategic alliances or joint ventures.
- Investing directly in production and marketing operations in a foreign country is the ultimate level of global involvement.

- A global corporation or multinational corporation (MNC), defined as a corporation that has assets or operations in at least one country other than its home country, has extensive international operations in many foreign countries and derives a substantial portion of its sales and profits from international sources.
- Globalisation can be defined as the process of increasing interaction, integration and connectivity between people, companies and governments in different countries.
- A mainstay of international business is global sourcing. International trade is the exchange of goods, services and capital across international borders.
- E-commerce has global implications for every company. For many companies, future growth is directly linked to a global e-commerce strategy.
- The 21st century might be dominated by developments in Asia – economic, political and social. APEC – short for Asia-Pacific Economic Cooperation – was formed with that vision in mind. The 21-member economies are Australia, Brunei Darussalam, Canada, Chile, People's Republic of China, Hong Kong (China), Indonesia, Japan, the Republic of Korea, Malaysia, Mexico, New Zealand, Papua New Guinea, Peru, the Philippines, the Russian Federation, Singapore, Taipei, Thailand, United States of America and Vietnam. Africa is fast moving towards centre stage in world business headlines. The region's economies are growing, the middle class is expanding and regional economic alliances are gaining strength.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct because it is related to the Chinese culture of not accepting a watch as a gift. And white is also considered something related to funeral services.

Answer B is incorrect because gift-giving is not related to a legal issue.

Answer C is incorrect because gift-giving is not related to a language issue.

Answer D is incorrect because gift-giving is not related to a political issue.

Question 2

Answer A is correct because although English is widely used in many countries in the world, there are still many customers who do not understand this language and may not be able to appreciate the messages that the company wants to convey.

Answer B is incorrect because it is beneficial to communicate in the local language.

Answer C is incorrect because it is beneficial to adapt to local market conditions.

Answer D is incorrect because it is beneficial to have accurate translations done.

Question 3

Answer A is incorrect because the IMF is an organisation working to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth and reduce poverty around the world.

Answer B is incorrect because the ICJ settles legal disputes between member states and gives advisory opinions to authorised United Nations organs and specialised agencies.

Answer C is correct because the World Trade Organization (WTO) is the only global international organisation dealing with the rules of trade between nations.

Answer D is incorrect because the World Bank is an international financial institution that provides loans to countries of the world for capital projects.

Question 4

Some challenges of international accounting when doing international business may include tax compliance and tax liability. First, different tax compliance, that is, tax systems, rates and compliance requirements, may make the accounting function of an international business firm more challenging. Second, the location where the international business

is registered will also impact the tax liability. It may also involve tax treaties where an international business may unnecessarily pay double taxes when it trades in more than one country.

Question 5

Answer A is incorrect because reputational risk is not the most direct risk to licensing.

Answer B is incorrect because financial risk is not the most direct risk to licensing.

Answer C is incorrect because political risk is not the most direct risk to licensing.

Answer D is correct because licensing would grant the foreign companies access to a proprietary technology, special patent, or trademark, but there is a risk of these being stolen and counterfeited.

Question 6

Answer A is incorrect because subcontractors' local expertise is an advantage of international subcontracting.

Answer B is correct because it is hard to have direct control over the business operation of the subcontractors.

Answer C is incorrect because subcontractors' contracts and networks is an advantage of international subcontracting.

Answer D is incorrect because connection with the local government and knowledge of local regulatory requirements is an advantage of international subcontracting.

Question 7

Answer A is incorrect because it is a typical characteristic of MNCs which operate worldwide.

Answer B is incorrect because it is a typical characteristic of MNCs which have extensive international operations.

Answer C is incorrect because it is a typical characteristic of MNCs to make major decisions from a global perspective.

Answer D is correct because MNCs try to hire top managers from local markets as well as expatriates from different parts of their operations to maintain a global view in management.

Question 8

McDonald's adopts a franchising strategy to expand its business around the world. Its consistency in operation and serving customers, support for the franchisees, product innovation and resiliency to the challenges and controversies from different communities are the key success factors in making its success in the franchising system. Franchising allows McDonald's to expand its business in a cost-effective way, but certain control over operation is given up allowing flexibility and adaptability to the local market needs.

Question 9

Answer A is correct because e-commerce lowers the entry barrier for international trade, especially for smaller companies that would otherwise have difficulties finding overseas customers.

Answer B is incorrect because the increase in more online sales does not necessarily mean an increase in competition.

Answer C is incorrect because government's initiatives to facilitate people to access the Internet from anywhere would not help promote competition in international trade.

Answer D is incorrect because a few big companies are enjoying the economies of scale with lower cost that enable them to mark down the price significantly to drive out competition, thus they can continue dominating the market.

Question 10

Answer A is incorrect because China is a member of APEC.

Answer B is incorrect because the United States is a member of APEC.

Answer C is incorrect because Canada a member of APEC.

Answer D is correct because India is not a member of APEC.

Question 11

Answer A is incorrect because insourcing is often used to describe foreign direct investment, or FDI, that results in local job creation.

Answer B is the correct definition.

Answer C is incorrect because contract manufacturing is the production of goods by one firm under the label or brand of another firm.

Answer D is incorrect because subcontracting involves hiring local companies to produce, distribute or sell goods or services.

Question 12

Amazon and Alibaba are two successful multinational corporations that use e-commerce to expand their business around the globe. Amazon focuses on low prices for its marketplace brand, with a wide variety of product selection and quick delivery for its online business. Alibaba expands its logistic network around the world and connects to its global e-commerce markets. Both companies will expand their business around the world through online retail business, as many markets are undeveloped and untapped.

Read more at <http://www.digitaljournal.com/business/amazon-and-alibaba-compete-for-global-market-dominance/article/516532#ixzz5GUTltPWg>

Question 13

Online retail is becoming popular in Hong Kong. The Internet is a good platform for a Korean skincare brand to enter the Hong Kong market by opening an online shop in borderless trading. Through the use of technology and data analysis, consumer demands in Hong Kong will be analysed and fed back to Korea for providing the right product mix for the Hong Kong market. Consumers can easily buy these products online without having to fly to Korea. This is a free flow of trade enabled by the current booming of e-commerce.

And with the recent trends of increasing influence of the Korean pop culture in the region, more young people in Hong Kong and mainland China are receptive to Korean fashion and products than before. They embrace the diversity of culture and lifestyle. Many talents are being attracted to join the beauty industry trying to adopt and transform Korean beauty skills and knowledge to local businesses.

EXAM PRACTICE

QUESTION 1

There are a number of challenges for companies to invest and operate in foreign countries because they may face many differences from their home markets. Identify which of the following is not an issue that corporations need to deal with in international trade.

- A. Cultural and social differences
- B. Economic barriers
- C. Political differences
- D. Psychological differences

QUESTION 2

Exporting is often viewed positively as a driver of economic development. State which one of the following is the most possible driver of economic development.

- A. Exporting creates local jobs.
- B. Exporting strengthen people's pride towards their own country.
- C. Exporting reduces reliance on government support and subsidies.
- D. Exporting reduces production costs.

QUESTION 3

Marianne is a local fashion designer. She has been successful in establishing her own brand amongst the young office ladies in Hong Kong. However, due to the rising cost of operation and the relatively small domestic market in Hong Kong the business has stopped growing. Identify a possible route for her to sustain growth of her business.

- A. Relocate to a studio with lower rent.
- B. Explore overseas markets by participating in trade missions organised by the Trade Development Council.
- C. Find a designer partner to share part of the operating costs as well as resources.
- D. Identify more local promotion partners to expand her business to different groups of customers.

QUESTION 4

Multinational corporations normally have a 'go global' strategy. State the reason(s) for pursuing this strategy.

- A. Customers and markets
- B. Suppliers
- C. Stable supply of labour
- D. All of the above

QUESTION 5

Multinational corporations (MNCs) will invest in a foreign country and set up subsidiaries. Some are set up by acquiring the full control of a local company. Some are built from the ground up. Identify which of the following was built from the ground up.

- A. Greenfield venture
- B. Foreign direct investment
- C. Ground zero subsidiary
- D. Fully controlled subsidiary

QUESTION 6

Zara is a successful fast fashion brand around the world. It caters its products and strategies to the local market needs to expand its business. It offers appropriate products for the seasons to the local markets. Starting from September 2011, it has developed its e-commerce business to reach the global markets that its competitors, like H&M, have not adopted yet. It has also adopted a smart supply chain in which it sources more than half its goods from its home country and neighbourhood countries, and manufactures garments in China and some other Asian countries with lower labour costs.

Explain the two success factors of Zara in expanding its business around the world in the above case.

QUESTION 7

Cool & Shape is a successful Korean-based fashion brand around the world. It sources and manufactures its products from Korea to ensure good quality and stable supply. Due to the rise in labour costs and other operating costs in Korea, the profit margin of the business dropped from 25% to 15% in 2017 and the sales turnovers dropped by about 8%. The chief executive officer (CEO) is requested by the shareholders in the annual general meeting to seek a solution to improve the financial performance of Cool & Shape. As a management consultant for Cool & Shape, explain to the CEO the necessity to consider global sourcing.

Identify and describe a possible approach to the CEO of Cool & Shape. Describe the potential issues faced by the possible approach.

QUESTION 8

Bubbly Tea is a bubble milk tea company that has been successful amongst young consumers in Taiwan for many years. It has an ambition to open up chain stores in the Greater China region. However, the management team is not very familiar with the markets in mainland China and Hong Kong. The CEO decided to use franchising to enter into these markets.

1. List the possible areas of business Bubbly Tea can sell to its foreign investors and franchisees.
2. Identify and explain the advantages and disadvantages for Bubbly Tea in expanding its business through franchising.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect because cultural and social differences are issues that corporations have to face in international trade.

Answer B is incorrect because economic barriers are issues that corporations have to face in international trade.

Answer C is incorrect because political differences are issues that corporations have to face in international trade.

Answer D is correct because it is not something companies would consider in international trade.

QUESTION 2

Answer A is correct because exports mean production of goods and services which require people to fill the jobs to do so.

Answer B is incorrect because it has no direct correlation.

Answer C is incorrect because it has no direct correlation.

Answer D is incorrect because it has no direct correlation.

QUESTION 3

Answer A is incorrect because relocating will only cut down the operating cost and not help to expand her business.

Answer B is correct because it will help expose her brand to overseas buyers and allow her to start some international businesses.

Answer C is incorrect because this will only help reduce part of her operating cost.

Answer D is incorrect because local promotion partners cannot help her tap into those market segments outside the existing small domestic market.

QUESTION 4

Answer A is incorrect because it is only one of the reasons for going global.

Answer B is incorrect because it is only one of the reasons for going global.

Answer C is incorrect because it is only one of the reasons for going global.

Answer D is correct because customers and markets, suppliers and a stable supply of labour are the reasons for 'going global'.

QUESTION 5

Answer A is correct because it is a subsidiary that was a local operation completely owned and controlled by a foreign firm and it was built from the ground up.

Answer B is incorrect because foreign direct investment, or FDI, involves setting up and buying all or part of a business in another country.

Answer C is incorrect there is no 'ground zero subsidiary'.

Answer D is incorrect because the subsidiary is wholly owned and controlled by the foreign firm.

QUESTION 6

The adoption of a 'smart supply chain' strategy is one of the key success factors for Zara in winning over its competition. It purchases materials from China and some Asian countries and takes advantage of international wage gaps with lower costs of production. However, Zara also sourced over half of its goods in its home country and neighbouring countries to balance the source of supply and ensure quality of production.

Another factor is e-commerce which allows Zara to source its supply globally as well as serving customers from all over the world. Sales through the Internet will be borderless and easy with different language capabilities to serve enquiries from various countries. The move to online sales in 2011 was also important as this service was not available from its major competitor, H&M.



QUESTION 7

Cool & Shape may consider outsourcing its manufacturing process to other markets to lower the production costs, but maintain the quality standard at the same time. It may also source quality products from other markets to lower the production costs. However, some potential quality issues might affect final products if it fails to control its manufacturing process properly. The quality standard and procedure should be clearly set and communicated to the respective parties. It may also face disputes over its work practice, as people in different marketplaces may have different working styles and behaviours.

QUESTION 8

Bubbly Tea can consider selling its restaurant interior designs, equipment, product ingredients, recipes and management systems to franchisees and foreign investors. This will allow them to retain certain products and operating controls to protect their brand's image.

There are many advantages for expanding its business through franchising. First, Bubbly Tea can work with investors with local knowledge as the management team do not know much about the China market. Second, Bubbly Tea do not need immediate investment in an unknown market in terms of opening new shops, market research, marketing and promotion and so on. These will be taken care of by the local franchisees. Third, Bubbly Tea will be able to receive revenues from the sales of its property and intellectual rights, for example, the interior designs, product recipes and ingredients and management systems.

However, there are also some associated disadvantages of using franchising in business expansion. First of all, the over-reliance on local partners will be dangerous as market knowledge, operating environments and customer contacts are all under the control of the franchisees. Bubbly Tea will not gain from this and if there are any disputes or separation of partnerships, it will lose important information needed to maintain business continuity.

Second, since the shops are not directly under the control of Bubbly Tea, there is a risk of mismanagement in operation and not following the standard guidelines in the service and production processes. Some franchisees may not follow the strict guidelines set by the brand owners in advertising and promotion, and so on. This may lead to dissatisfaction and damaging of the brand image.

Lastly, Bubbly Tea can only earn franchising fee income and not the potential profits for the operation of the business. Considering the vast potential in the China market, the income generated by the fees will be much lower than the potential profits if the shops were to be run by Bubbly Tea directly.



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GLOSSARY OF TERMS

360-degree performance review is a process through which feedback from an employee's subordinates, colleagues and supervisors as well as a self-evaluation by the employee themselves is gathered.

accountability adherence to controls to measure and track performance.

accounting controls methods and procedures to ensure the accuracy and validity of a company's financial statements. Also ensures that employees perform their duties honestly and ethically.

accounting equation reflects the financial position of a company at any point in time.

acquisition when one company purchases another company, including its assets and debt obligations. An acquisition happens when one company acquires more than 50% ownership in the target company.

adaptive organisations organisations that can keep up with rapid changes in operating environments.

advocacy group a group of people dedicated to creating change based on their values and concerns.

affiliation/belongingness needs these needs reflect our desire to be accepted by others and to find our place within certain working groups.

analytical competency the ability to evaluate and analyse information to make actual decisions and solve real problems.

analytics the systematic computer-based analysis of data.

application controls controls over specific data input, data processing, and data output activities, designed to ensure the accuracy, completeness, and validity of transaction processing.

artefacts the things you would see, hear and feel when you encounter an unfamiliar culture.

assessment centre a process where candidates are examined to determine their suitability for various types of employment.

asset management a financial tool for measuring the ability to operate at minimum cost by using assets and inventory efficiently.

autocratic leadership leaders make decisions on their own without consulting employees.

balanced scorecards a tool for tracking performance, which gives managers a quick yet comprehensive picture of the business, facilitating management control.

balance sheet hedge a corporate treasury method typically used by business that operates with foreign currency to reduce the potential impact of changes in exchange rates.

base compensation salary or hourly wage.

basic underlying assumptions a concept that has become so common as to be taken for granted.

batch production production of different types of products in groups or 'batches'.

behavioural decision model assumes that people act with only partial knowledge about the available action alternatives and their consequences.

behavioural interviews ask job candidates about their past behaviour, focusing specifically on actions that are likely to be important in the work environment.

behaviourally anchored rating scale (BARS) describes actual behaviours for various levels of performance achievement in a job.

behaviour-based approaches evaluate employees on specific actions that are viewed as important parts of the job.

benchmarking the use of external and internal comparisons to better evaluate current performance and identify possible ways to improve for the future.

Big Data large sets of data.

biodata methods take the form of multiple-choice, self-report questionnaires.

board of directors a recognised group of people elected by shareholders to oversee the operations of a company.

bonus pay one-time or lump-sum payments to employees who meet specific performance targets or make some other extraordinary contribution.

bounded rationality the concept that decisions are limited by tractability, cognitive limitations and time available.

branding a strategy that involves giving a product certain representative symbols such as a name, slogan, logo and distinct design, which is used to

differentiate a company's products from competitors.

break-even analysis a tool used to understand different possible scenarios with different projected cost and revenue conditions.

budget plan that commits resources for specific time periods to activities, projects, or programmes.

bureaucracy an administrative policy-making group.

business an organisation involved in the exchange of goods or services for money.

business crisis an unplanned event that causes damage to an organisation and disturbances to operations, possibly leading to unrest amongst employees.

business ethics professional ethics of ethical and moral application to a business.

business intelligence using a range of activities and technologies to gather and analyse data for better business decision-making.

business owner an individual or entity that owns a business in whole or part.

business products goods and services purchased by businesses for the direct and indirect production of other goods and services.

capital investment analysis a budget procedure that companies use to assess the potential profitability of a long-term investment and assesses long-term investments that might include fixed assets or real estate.

capital items products that are long-lived and relatively expensive.

capital structure how a company finances its operations and growth by using different sources of funds.

cash a current asset account that includes currency, coins, current (chequing) accounts and undeposited cheques received from customers.

cash flow incoming and outgoing cash that represents the operating activities of an organisation. Cash flow represents the difference in the amount of cash available at the beginning of a period and the amount at the end of a period.

causal research this type of research is based on an assumption that a specific outcome is caused by a particular variable.

centralisation most decisions are made at the top levels of an organisation.

certain environment an ideal and predictable situation for making decisions.

chain of command the line of authority that vertically links each position with successively higher levels of management.

chief information officer (CIO) an executive in charge of information technology.

classical decision model views the manager as acting rationally in a certain world.

commercialisation the final stage of product development when the product is made available in the marketplace.

compensating balance a minimum balance that must be maintained in a bank account to offset the bank's costs to set up a business loan.

compensation how much employees are paid in money and benefits.

competition the condition of striving to establish superiority over competitors so as to attract and retain customers.

competitor a competitor to a business is another business that provides a product or service that is an alternative to theirs.

complacency trap a potential problem that is caused by simply being carried along by the flow of events.

compliance ensuring that business activities comply with external laws and regulations, as well as internal policies and procedures.

concept testing marketing research designed to solicit initial consumer reaction to new product ideas.

conservative focus a vertical structure with clear-cut division of labour, strict hierarchy of authority, formal rules and procedures, and promotion based on competency.

consolidation the combination of assets, liabilities and other financial items of two or more entities into one.

consumer products goods and services that are purchased by end users.

consumers people who use goods or services.

contingency planning allows operations to be resumed as quickly and as smoothly as possible after a crisis while openly communicating with the public about what happened.

continuous production high-volume production of commodity products.

continuous reinforcement rewarding each time a desired behaviour occurs.

contract manufacturing hiring local companies to produce, distribute or sell goods or services.

control a process of measuring performance and taking action to achieve desired results.

controlling involves all monitoring activities and processes for measuring results against goals and making corrective actions when needed.

convenience products items that consumers seek to purchase frequently, immediately and with little effort.

corporate culture refers to the beliefs and behaviours of a company's employees and management.

corporation an artificial legal entity whose owners (shareholders) typically enjoy limited liability.

corrective controls measures taken to reverse the effects of an observed error or irregularity.

cost-based pricing a pricing strategy in which the company adds a percentage or dollar amount to the cost of the product.

cost focus this strategy exploits differences in cost behaviour in certain segments, where a company seeks a cost advantage in its target segment.

costs of quality costs that are incurred to prevent, detect and remove defects from products.

CPM/PERT critical path method/programme evaluation review technique, used to track activities to make sure they happen in the right order and on time.

credit risk the risk of a counterparty to a contract going bankrupt and failing to repay the amount due.

crisis management the process of handling unexpected events that negatively affect an organisation.

critical-incident technique a behaviour-based approach that can diminish recency bias. With this technique a running log or inventory is kept of employees' effective and ineffective job behaviours.

critical path the quickest time in which a project can be completed, assuming all the activities go according to schedule.

cross-training team members freely share knowledge and provide peer-to-peer mentorship.

C-suite the highest level of management (e.g. CEO, CFO, COO).

customers people who buy goods and services, either for their own or someone else's use.

data mining the process of analysing data to produce useful information for decision makers.

debt capital the capital that a business raises by taking out a loan.

debt financing including a company raises money by selling bonds or notes.

decentralisation decisions are dispersed by extensive delegation across all levels.

decision support systems (DSS) a set of related applications or programmes that combine with data to facilitate in the analysis and decision-making processes within an organisation.

decisional roles managers are responsible for monitoring and assessing situations based on available information and data to make accurate judgments and decisions.

deficit principle the principle that a satisfied need no longer motivates behaviour.

delegation the process of managers assigning work to employees.

demand legitimacy the extent to which the stakeholder's demand is perceived as valid and the extent to which the demand comes from a party with a legitimate stake in the organisation.

democratic leadership leadership that includes subordinates in the decision-making process.

demographic segmentation dividing a market into groups based on various demographic or socioeconomic characteristics.

descriptive research this type of research is used to solve a specific problem by gaining a better understanding of it.

detective controls measures used to detect an error after it has occurred.

differentiation focus this strategy exploits the unique consumer needs in certain segments, where a company seeks differentiation in its target segment.

differentiation strategy a strategy that seeks competitive advantage through uniqueness.

dividend payment by a company to its shareholders.

downstream in the supply chain, the goods are produced and distributed to customers.

economic order quantity (EOQ) a control measure that ensures the highest quantity of materials is obtained in each order at the lowest possible cost.

employee benefits such as vacation, retirement plans, health insurance, gym memberships, child and elder care, profit sharing and tuition reimbursement—are sometimes offered by the company.

employee ownership a business structure where shares of stock are owned by some or all of the company's employees.

employee stock ownership plans an employee-owner programme that provides a company's workforce with an ownership interest in a company.

empowerment the process of allowing others to exercise power and achieve organisational influence.

engineering comparison the use of engineering models to measure actual results against expected results.

equity capital money that is invested in a company and is not repaid to investors in the normal course of business.

equity financing the process of raising capital through the sale of shares.

equity sensitivity proposes that people have different preferences for equity and thus react differently to perceptions of inequity.

equity theory a theory based on the idea that we all want to be treated fairly in comparison to others.

espoused beliefs and values beliefs and values introduced in a company's mission and value statements.

esteem needs our need to be respected and appreciated by others.

executive information systems systems tailored to help executives make better decisions.

expense items less costly products that are consumed within a year.

expert systems systems designed using artificial intelligence (AI).

exploratory research this type of research is intended to gather information on a loosely defined issue.

exporting selling locally made products in foreign markets.

external control exists through the administrative system or direct supervision by entities, such as the government, outside the company.

external data data obtained from sources outside the company.

external environment all forces and conditions outside a business that create its context.

external recruiting the process of selecting and hiring qualified workers from outside the organisation.

factoring a form of short-term financing backed by trade receivables.

family-owned business a business that is owned by members of the same family.

feasibility study a study to determine the feasibility of a new product or service.

feedback information about reactions to a product, service or performance used as a basis for improvement.

finance the management of money, which includes activities like investing, borrowing, lending, budgeting, saving and forecasting.

finance managers managers who develop and implement their company's financial plan and determine the most appropriate sources and uses of funds.

financial controls techniques used for measuring and tracking financial performance.

financial institutions intermediaries between savers and borrowers.

financial managers see *finance managers*.

financial plan a plan to help managers determine an organisation's goals and how to achieve them.

financial risks risks to a business, such as liquidity, debt, credit and the overall economic outlook.

first to market the first company to launch a new product and gain consumer confidence and market share.

flat structures organisational structures with wider spans of control and fewer levels of management.

focus groups sessions in which consumers meet with marketers to discuss what they like or dislike about current products and perhaps test or sample a new offering to provide some immediate feedback.

focus strategy choosing a narrow competitive scope within an industry.

foreign direct investment involves setting up and buying all or part of a business in another country.

foreign subsidiary a local operation completely owned and controlled by a foreign firm.

franchisee In a franchise business arrangement a franchisee is a dealer, such as a retailer or restaurant operator, who works with the franchise supplier (franchisor).

franchising a business arrangement whereby a dealer (or franchisee) markets and sells the products or services of a supplier (or franchisor).

functional structure an organisational structure where people with similar skills and who perform similar tasks are grouped together into formal work units.

- gain-sharing** allowing groups of employees to share in any savings or 'gains' realised when their efforts or ideas result in measurable cost reductions or productivity increases.
- Gantt charts** a tool that visually shows an overview of the tasks that need to be done in a project.
- general controls** controls over the business environment as a whole.
- general environment** see *external environment*.
- general partnership** an association of two or more persons to carry on as co-owners of a business for profit.
- generational cohort** a group of people of similar age and background.
- geographical segmentation** dividing a market into groups based on their locations.
- graphic rating scale** a checklist for rating individuals on traits or performance characteristics such as quality of work, job attitude and punctuality.
- greenfield venture** a local operation completely owned and controlled by a foreign firm and built from the ground up.
- hedge fund** alternative investments using pooled funds that employ different strategies to earn active returns for investors.
- higher-order needs** needs that are higher up Maslow's hierarchy of needs.
- historical comparison** a technique that evaluates performance based on past experience.
- human capital** the skills, knowledge and experience possessed by an individual or population as seen in terms of their value.
- human resource management** an organisational function that attracts, develops and retains the employees who can perform the activities necessary to accomplish organisational objectives.
- hygiene factors** issues related to the actual work environment.
- importing** buying foreign-made products and selling them in domestic markets.
- inbound logistics** the transport, storage and delivery of goods coming into a business.
- independent contractors** a person, business or company that provides goods or services to another under specified terms.
- induction** structured process companies use to introduce new employees to the company, welcome them and prepare them for their jobs.
- information competency** the ability to locate, gather, organise, and display information.
- informational roles** managers obtain, analyse and communicate information to co-workers and teams to support them in their work.
- information system** an organised method for collecting, storing and communicating past, present and projected information on internal operations and external intelligence.
- infrastructure** basic physical and organisational structures and facilities.
- input standards** measurements on the efforts that go into a task.
- inseparable** items such as services that cannot be inventoried or counted separately.
- insourcing** foreign direct investment, or FDI, that results in local job creation.
- intangible** things that cannot be seen or touched the way a physical object can be.
- intermittent reinforcement** rewarding behaviour only periodically.
- internal auditors** people who assess and report on internal controls and provide recommendations to correct or improve activities.
- internal control** occurs when people undertake self-control in achieving the job expectations.
- internal data** data obtained from sources inside the company.
- internal environment** all forces inside a business that contribute to its operations.
- internal financial reporting** to manage the business and support decisions regarding the business's strategic direction, operating plans and expectations.
- internal information** comes from the organisation to provide insight and helps managers solve problems.
- internal recruiting** the process of selecting and hiring existing employees who are qualified and able to fill required job vacancies in an organisation.
- internal stakeholders** are part of the company, such as staff or management.
- interpersonal roles** managers focus on building relationships with the people with whom they work.
- inventory** an asset that is intended to be sold in the ordinary course of business. Inventory may not be immediately ready for sale or fall into one of three categories: held for sale in the ordinary course of business, being produced or material or

supplies intended for consumption in the production process.

inventory control an important part of cost control, ensuring that there is enough inventory to meet immediate needs, but not more, thereby minimising storage costs.

issue urgency the extent to which stakeholders' concerns need immediate attention.

job rotation allow staff to learn about different roles within the same organisation as well as a greater understanding on how the different roles affect operations.

joint ventures a co-ownership arrangement in which the partners agree to pool resources, share risks and jointly operate the new business.

just-in-time (JIT) system a supply chain management system that seeks to eliminate anything that does not add value in operations activities by providing the right part at the right place at just the right time—right before it is needed in production.

key performance indicators indicators that relate to significant risks that can impact an organisation's ability to achieve key objectives.

knowledge workers workers whose main capital is knowledge.

lack-of-participation error a failure to adequately involve individuals whose support is necessary to put a decision into action.

leading exhibits leadership and involves effective communication and motivating employees and team members to work toward the shared goal.

leniency the tendency for supervisors to rate employees more favourably than they deserve in order to avoid the unpleasant task of giving negative feedback.

leverage an investment strategy using borrowed money, such as financial instruments or borrowed capital, to increase the potential return of an investment.

liability a company's legal financial debt or obligations that arise during the course of business operations.

liberal focus horizontal structures that operate with decentralised authority, fewer rules and procedures, less precise division of labour, wider spans of control and more personal means of coordination.

licensing foreign firms pay a fee for rights to make or sell another company's products in a specified region.

limited liability the most shareholders could lose is their investment in the company.

limited liability partnership (LLP) a business structure that carries greater protection from liability than exists in either general or limited partnerships.

limited partnership (LP) a business partnership that is a separate legal entity with at least one general partner and at least one limited partner.

logistics the process of coordinating and moving resources from one location to storage at a desired location.

lower-order needs needs that are lower in Maslow's hierarchy of needs.

management accountant an accountant employed directly by a business rather than by a public accounting firm.

management information system (MIS) a computer-based system that regularly provides management with needed information by processing, analysing and organising data.

management teams design, operate, improve and monitor productive systems.

managerial roles the organised set of behaviours identified with management roles within a company.

market a group of consumers with certain needs and wants.

marketable securities low-risk securities that either have short maturities or can be easily sold in secondary markets.

market driving best marketers anticipate needs before people are even aware of them. They create a desire for their goods and services.

marketing the activity for communicating and delivering goods and services that have value for customers, business partners and the society.

marketing and sales the effort of determining what customers and people want and how much they are willing to pay is marketing. Sales is the work of exchanging goods or services for money.

marketing mix the strategies related to the four 'Ps' of marketing—product, place, price and promotion.

marketing process cycle of planning and implementation of a marketing strategy, and then evaluation of the effectiveness of that strategy.

marketing research collecting data and converting that data into meaningful information for marketers to make effective decisions.

marketing strategy a plan designed to attract customers and build relationships with them.

market risks uncertainties in market prices, including commodity risks and currency risks.

market segment a defined market of which consumers share very specific wants and needs.

market segmentation the process of dividing a large market into specific segments or groups based on shared or similar characteristics and demands.

market share the portion of a market controlled by a particular company or product.

market specialisation the concentrated effort on meeting the needs of a single market segment.

mass marketing an undifferentiated approach to marketing, which is ideal when a product can be produced in large volumes and at low cost.

mass production production of large volumes of standard goods for the mass market.

merger when two or more firms combine to form one company.

merit pay pay increases based at least in part on some assessment of performance.

mission a description of a company's function, markets and competitive advantage.

mission statement a short explanation of the organisation's reason to exist.

motivation forces within individuals that account for the level, direction and persistence of effort they expend at work.

multinational corporations (MNC) corporations with extensive international operations in many foreign countries which derive a substantial portion of its sales and profits from international sources.

multi-person comparisons formally compare one manager's evaluations with ratings provided by another manager.

multi-segment marketing targets at several attractive and appropriate market segments.

net promoter score (NPS) calculated based on surveys of a single question.

non-programmed decision a decision that involves a complex and unique problem or opportunity with important consequences for the organisation.

not-for-profit organisation an entity that does not aim to pursue a profit.

onboarding the process of socialising a new employee to the company.

one-to-one marketing a strategy that targets individual customers by offering products and services customised to fit their needs.

on-the-job training prepares employees for job duties by allowing them to perform tasks under the guidance of experienced employees.

operating plans short-term in nature, focusing on projections no more than a year or two in the future.

operational decisions decisions that create the detailed standards that guide implementation of tactical decisions and strategic plans.

operational management supervisory management, or first-line management.

operational planning a plan prepared by a part of an organisation that defines actions to take to support a strategic objective.

operational risks failures in internal processes or systems, human error, safety for employees and other stakeholders, as well as changes in government policies.

operations the ongoing activities that a business is involved in every day, from production to final delivery of goods and services.

order fulfilment the steps involved in receiving, processing and delivering orders to end customers.

organic designs a style of product design that starts out with organic and flowing natural forms.

organisational structure the way in which the various parts of an organisation are arranged.

organising the process of implementing the plans including the recruitment of people and obtaining the needed resources.

orientation refers to the introduction of the company to a new employee.

outbound logistics the goods and services going out of a business.

output standards measurements on the actual outcomes or performance results in terms of quantity, quality, cost or time.

outsourcing the relocation of business processes to a lower-cost location overseas.

over-reward inequity when individuals perceive that they are receiving more than what is fair.

owner's equity the owner's investment in a business minus the owner's draws or withdrawals from the business plus net income since a business started.

participatory leadership leadership that involves encouraging participation in all planning steps from the people who will be affected by the plans and asked to help implement them.

penetration pricing a pricing strategy in which a low launch price is set to maximise sales volume and increase the market share of a new product.

performance appraisal include assessments of everything from attendance to goals met.

performance opportunity exists when actual performance is better than desired.

performance specifications specifications written for product concepts that pass the feasibility study and are approved for development.

performance threats and deficiencies when actual performance is in any way less than desired.

perishable likely to decay quickly.

person-job fit the extent to which an individual's skills, knowledge, experiences and personal characteristics are suitable for the requirements of their work.

person-organisation fit the extent to which an individual's interests, values and behaviour are consistent with the culture of the organisation.

PESTLE political, economic, sociological, technological, legal and environmental factors.

physiological needs basic items that we all need to ensure our survival, such as shelter, food, water, air, sleep and warmth.

pick two relationship the concept that businesses can only pick two out of price, quality or service but not provide all three consistently over time.

planning the basic management function of setting short- and long-term goals, devising appropriate strategies and making decisions on the best course of action and how to obtain the resources needed to achieve the organisation's goals.

Porter's five forces of competitive position analysis a framework for evaluating the position and competitiveness of a business organisation.

Porter's value chain views organisational processes as parts of a complete system comprising inputs and outputs. This involves the acquisition and use of resources such as money, labour, materials, equipment, buildings and land.

positioning establishing a product or brand in consumers' minds in order to differentiate it from the competition.

positive reinforcement strengthening or increasing the frequency of desirable behaviour.

preventive controls attempts to stop an error or irregularity before it occurs.

price skimming a pricing strategy which charges the highest price that customers who most desire the product are willing to pay.

primary data data obtained first-hand through observation, surveys and other research methods.

private equity fund a collective investment scheme used for making investments in various equity (and to a lesser extent debt) securities according to one of the investment strategies associated with private equity.

private placement the sale of stocks, bonds or securities to a private investor rather than in a public offering.

process theories of motivation the psychological and behavioural processes that lead people to act in a particular way.

procurement the actions of procuring goods or services.

product differentiation a differentiation strategy that focuses on ensuring a product has attributes that distinguish it from alternatives.

production a transformation process whereby inputs (such as material, machines, labour, management and capital) are transformed into outputs (goods and services).

product life cycle the four stages in the life of a product—introduction, growth, maturity and decline.

product line a group of products by the same company that are closely related in terms of the target market, technology or raw materials.

product mix the entire collection of products that a company sells, including all items in every product line.

product specialisation selling a certain product to several market segments.

product-related segmentation dividing a market into groups based on customers' relationships to a good or service.

products an article or substance manufactured or refined for sale.

profit the financial gain generated by a company.

profit sharing giving employees a proportion of the net profits earned by the organisation during a performance period.

programmed decision a decision that involves simple, common and frequently occurring problems for which solutions have already been determined.

progression principle states that the need at one level does not become activated until the next-lower-level need in the hierarchy is already satisfied.

project management the planning, supervision and control of a project to ensure the project's objectives are met within the required timeframe.

project teams multidisciplinary groups assigned to the same project.

psychographic segmentation dividing a market into groups based on psychological characteristics, lifestyles and values.

public sector the part of the economy comprised of organisations owned and operated by government.

qualitative data data that are not usually represented numerically, often obtained from interview transcripts, written or spoken responses to questions, video recordings and observation records.

quality control measures taken to ensure high performance.

quality of conformance how effectively the production process is able to conform to the specifications required by the design.

quality service meeting or exceeding customer expectations.

quantitative data data that are represented numerically.

recency bias where stock market participants evaluate their portfolio performance based on recent results and make incorrect conclusions that ultimately lead to incorrect decisions.

regular dividend a dividend on common stock that is intended to be paid periodically in equal amounts over the course of a year, typically quarterly, after being declared by the issue of the stock.

regulations standards and rules set by external governing bodies.

relative comparison a technique that benchmarks results against those achieved by other teams or organisations.

reporting the use of financial or non-financial reports for shareholders and the organisation.

resource availability and scarcity the availability and shortage of natural resources.

results-based approaches focus on accomplishments.

risk and crisis identification and mitigation a process of defining sources of risk and how such risks and related crises can be reduced, eliminated, or addressed.

risk appetite the amount of risk that an organisation is willing to accept in pursuit of its goals.

risk assessment an ongoing and periodic process for assessing risk.

risk environments business environments with varying degrees of risk.

risk management the process of identifying and mitigating the potential causes of a business crisis.

risk managers a manager whose responsibility is risk management, including the analysis and monitoring of risk as well as the development of risk management plans.

risk-return trade-off the trade-off between higher risk and higher profits and lower risk and lower profits.

safety needs our needs for an environment that is safe, both physically and mentally.

salaries calculated periodically, such as weekly or monthly.

satisfier factors motivator factors related directly to the nature of the work itself.

scenario planning a long-term strategic planning process. It involves identifying several possible future scenarios or states of affairs and then making plans to deal with each scenario should it actually occur.

secondary data previously published data.

segmentation the process of defining and subdividing a market into identifiable segments.

selection the process of assessing the level of skills and abilities an individual possesses to perform a specific role.

self-actualisation needs our needs for personal growth and self-development.

self-fulfilling prophecies a prediction that directly or indirectly causes itself to become true.

servant leadership leadership that is based on serving others and helping them fully use their talents so that organisations benefit society.

service concept the *how* and *what* of service design. Helps mediate between customer needs and organisation intent.

service differentiation a strategy that sets services apart from alternatives offered by competitors.

service failure the performance of a service that fails to meet customer expectations.

service package a bundle of goods and services provided.

services intangible products provided by companies.

service time the time that a company takes to serve a customer.

shopping products products typically purchased only after the buyer has compared competing products in competing stores.

single-segment concentration markets to only one particular segment.

situational interviews ask applicants how they would react when confronted with specific work situations that they would be likely to experience on the job.

Six Sigma a quality management strategy that uses statistical methods to analyse the causes of defects with the intention to develop and deliver perfect products and services.

social validation confirmation through shared social experiences.

sociocultural forces the behaviours and beliefs associated with demographic groups.

sole proprietorship a single-owner unincorporated business.

sourcing the selection of suppliers.

span of control the number of persons directly reporting to a manager.

specialty products a category of consumer products that a purchaser is willing to make a special effort to obtain.

stakeholder power the capacity of the stakeholder to positively or negatively affect the operations of the organisation.

stakeholders all organisations, groups and persons that have an interest in a company's behaviour and performance.

statement of financial position a statement of the assets, liabilities and capital of a business at a particular point in time.

statement of owner's, or shareholders', equity a financial statement that companies issue that highlights the changes in value to stockholders' or shareholders' equity or ownership interest in a company from the beginning of a given accounting period to the end of that period.

statement of profit or loss and other comprehensive income a financial statement that outlines the financial performance of a company throughout an accounting period.

stock option give owners the right to buy shares of stock at a future date at a fixed price. Employees gain financially if the stock price rises above the option price, but the stock options lose value if the stock price drops.

strategic alliances foreign and domestic partners cooperate for mutual gains.

strategic and tactical management middle management.

strategic decisions longer-term decisions that are focused on the organisation as a whole or a major component.

strategic goal a planned objective that an organisation strives to achieve.

strategic plan a coordinated and systematic way to develop a course and direction for a company.

strategic planning the process of defining a strategy and direction and making decisions on allocating resources to pursue a strategy.

structured interviews a quantitative approach to interviewing with the goal of ensuring that all similar interviews are identical.

substitution the ability of customers to replace one product for another.

suppliers the providers of material, money, manpower or information to businesses.

supply and demand the amount of a product or service available and consumers' desire to buy it at various prices.

supply chain all activities associated with the flow and transformation of goods and services from the raw materials stage to the end user (customer), as well as the associated information flows.

support functions departments in a company that clarify internal control requirements and evaluate control-related compliance with set standards.

SWOT analysis an evaluation method used to assess a business venture's strengths and weaknesses, and to identify the opportunities and threats open to the business.

tactical decisions decisions that involve implementing the activities specified by strategic decisions.

tactical planning the steps or tactics needed to achieve the goals defined in a strategic plan.

talent management a process for strategically and deliberately attracting new, highly skilled workers and developing the abilities of existing employees to meet current and future organisational objectives.

tall structures organisational structures that have narrow spans of control and many levels of management.

target market the group of potential customers that an organisation directs its marketing efforts.

technological competency the ability to understand new technologies and to use them to their best advantage.

technological development the continuous strive for improvements in technology.

termination when an employee's job ends.

test marketing when actual products or services are sold for a period of time to customers unaware that they are participating in an experiment; used to evaluate customer satisfaction and feedback and sales performance.

Theory X assumptions that employees generally dislike work, have little ambition, are irresponsible, resistant to change and prefer to be led rather than to lead.

Theory Y assumptions that employees are willing to work hard, accept responsibility, are capable of self-control and self-direction, and are imaginative and creative.

total quality management (TQM) a quality management system popular since the 1980s that focuses on quality not only of product but throughout the supply chain and operations.

trade credit credit extended by suppliers to pay for goods or services at a later date.

trade receivables money owed to a company by entities outside of it. Trade receivables are classified as current assets if they are due within a year.

training organised activity with the aim of imparting information or instructions to improve the performance of workers.

trait-based approaches measure the extent to which employees possess characteristics or traits that are considered important in the job.

uncertain environments when little reliable information is available and managers have to guess probabilities.

under-reward inequity the perception of receiving less than what is deserved in comparison to someone else.

underwriting the process through which investment bankers raise investment capital from investors on behalf of corporations and governments that issue equity or debt securities.

underwriting discount also known as underwriting commission, it is a percentage of the price of an offering for equity or of the principal amount of debt that makes up the compensation paid to underwriters for marketing and selling an offering.

unsought products goods and services that consumers either do not know about or know about but do not think of buying until a need arises.

unstructured interviews the interviewer does not work from a formal and pre-established list of questions that is asked of all interviewees.

upstream suppliers in the supply chain; materials that are needed to be added to the production process.

values the beliefs and ideals shared by members of a particular company or organisation.

variable an element, feature or factor that is liable to change.

venture capital financing that investors provide to companies and small businesses with long-term growth potential.

vertically integrated a firm that sells the product, assembles the product, makes all the parts and extracts the raw material. It is a strategy that a corporation would like to exercise control over the suppliers or distributors in order to gain stable supply and cost effectiveness.

vision a company's road map that states what a company aims to become.

visionary leadership leadership that offers a clear and compelling sense of the future, as well as an understanding of the actions needed to get there successfully.

wages based on an hourly pay rate or the amount of work accomplished.

warehouse management systems

(WMS) systems that place an item in storage at a specific location (a putaway), locates and takes an item out of storage (a pick), packs the item and ships it via a carrier. These systems are used to manage inventory kept in warehouses.

work sampling the statistical technique used to predict the total time spent by workers in various defined categories of activity.

wrongful discharge sometimes called wrongful termination or wrongful discharge, it refers to the situation in which an employee's contract of employment is terminated in breach of the provisions of the contract.



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